# Real Estate Principles

California Statutory Pre-License Course · 45 Hours

StateCourse LLC

Submission draft. This course is not approved by the California Department of Real Estate, no course approval number has been issued, and no California pre-license credit is available for it.

## Publication

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| **Title** | Real Estate Principles — StateCourse LLC California Course Text |
| **Author** | StateCourse LLC |
| **Copyright** | © 2026 StateCourse LLC. All rights reserved. |
| **Edition** | 1.0 |
| **Publisher** | StateCourse LLC, Redondo Beach, CA |
| **Course hours** | 45 |
| **Structure** | 15 separate lesson assignments of 180 instructional minutes each |
| **Delivery** | Correspondence/Independent Study, Internet |
| **Proposed instructor** | Anatoliy Kanevsky, California DRE broker licence 01385024 — instructor approval pending dre review |

All content in this volume is original and written for this course. No third-party textbook, workbook, or instructor guide is used.

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# Table of contents

**Assignment 01** The real estate profession and California regulatory structure

**Assignment 02** Real property, personal property, and fixtures

**Assignment 03** Estates, ownership, and common interests

**Assignment 04** Land description, measurement, and boundaries

**Assignment 05** Encumbrances, liens, easements, and restrictions

**Assignment 06** Government powers, land use, and environmental controls

**Assignment 07** Agency and brokerage relationships

**Assignment 08** Contracts and transaction formation

**Assignment 09** Transfer, deeds, title, and recording

**Assignment 10** Escrow, settlement, and transaction chronology

**Assignment 11** Real estate finance foundations

**Assignment 12** Valuation and appraisal foundations

**Assignment 13** Taxation, investment, and real estate mathematics

**Assignment 14** Fair housing, civil rights, and consumer protection

**Assignment 15** Leasing, property management, license law, and integrated transaction

# Real Estate Principles - Lesson Assignment 01

## The real estate profession and California regulatory structure

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Explain why real property is treated differently in law from other assets, and identify the consequences that follow from immobility, durability, and uniqueness.
- Describe the Department of Real Estate's jurisdiction and the consumer-protection purpose that shapes it.
- Distinguish the broker's and the salesperson's roles, and explain why the salesperson acts for the broker rather than for the client directly.
- Identify the boundary between real estate practice and the unauthorized practice of law, and apply it to specific questions a consumer asks.
- Rank the sources of California real estate law and determine which controls a given question.
- Identify each participant in a residential transaction, what each is accountable for, and where the accountability gaps occur.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: the asset and the regulator | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: license structure and professional scope | 50 | Sections 3-4 viewed |
| Guided reading: sources of law and transaction participants | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Real property as an economic and legal asset

### 1.1 Why real property gets its own body of law

Almost everything in this course follows from three physical characteristics of land, and it is worth establishing them at the start because they explain rules that otherwise look arbitrary.

**Immobility.** Land cannot be moved. Therefore the law that governs a parcel is the law of the place where it sits, disputes about it are heard where it sits, and value depends heavily on what surrounds it — none of which is true of a car or a share of stock.

**Indestructibility.** The land itself endures, though improvements do not. Interests in it can therefore be carved up across time — a life estate now and a remainder afterwards, a lease for ten years, an easement forever — in ways that would be meaningless for a perishable asset.

**Uniqueness.** No two parcels occupy the same location. This is why a buyer who is denied the parcel he contracted for may seek the parcel itself rather than damages, and why valuation is an act of judgment rather than a lookup.

## 1.2 The economic consequences

Three more characteristics shape how the market behaves, and licensees who understand them give better advice than those who do not.

| Characteristic | Consequence |
|---|---|
| **Scarcity** | Supply in a desirable location cannot be expanded to meet demand; price responds accordingly |
| **Improvements** | A single improvement — or a single deterioration — changes the value of surrounding parcels |
| **Permanence of investment** | Capital committed to land is committed for a long time, so decisions about it are slow to reverse |
| **Area preference** | Buyers pay for location, meaning access, surroundings, and reputation, not merely coordinates |

**Immobility also produces the market's defining inefficiency.** Real estate markets are local, information about them is imperfect, transactions are infrequent, and each property is different. That combination is precisely why licensed intermediaries exist and why the standard of care asks what a competent professional would have done rather than what the client could have discovered.

## 1.3 The bundle of rights

Ownership of real property is not one right. It is a collection, conventionally described as a bundle:

- The right to **possess** — to occupy and control.
- The right to **use** — subject to law and to private restrictions.
- The right to **transfer** — to sell, gift, or devise.
- The right to **encumber** — to pledge as security or grant lesser interests.
- The right to **exclude** — to keep others out.

Each stick can be separated and dealt with independently. A landlord transfers possession and use while retaining transfer and encumbrance. A borrower encumbers without transferring possession. An easement holder receives a specific use without possession at all.

> **Why this framework earns its place in the first lesson.** Almost every later topic is an operation on the bundle. A lease separates possession. A deed of trust separates a security interest. An easement separates a use. A covenant restricts use. Eminent domain removes the whole bundle. Students who hold this picture find the later material coherent rather than a list.

## 1.4 Real property versus real estate versus land

The terms are used loosely in conversation and precisely in documents.

**Land** is the surface, what lies beneath it, and the airspace above it, within legal limits. **Real estate** is land plus permanent improvements. **Real property** is real estate plus the bundle of legal rights in it.

The distinction that matters in practice is between real property and **personal property**, because they transfer differently, are financed differently, and are described differently. Lesson 02 takes that up in detail.

## 1.5 The market these characteristics produce

The legal treatment in Section 1.1 and the economic consequences in Section 1.2 combine to produce a market that behaves unlike almost any other, and the differences explain most of what a licensee spends his time on.

| Characteristic | What follows |
|---|---|
| **Immobility** | **Every market is local**, and there is no national real estate market in any operational sense. Conditions two miles away can differ from conditions here, which is why Lesson 05 of the practice course spends its first section defining a market area. |
| **Fixed short-run supply** | New supply takes years — entitlement, financing, construction. **Demand moves in weeks and supply cannot answer**, which is why prices move sharply rather than smoothly. |
| **Heterogeneity** | No two parcels are identical, so **there is no single price and no ticker.** Value is estimated by comparison, which is a judgment rather than a lookup. |
| **High transaction costs** | Commissions, financing costs, title, escrow, moving, and time. **This suppresses trading**, which means the market has far fewer data points than a liquid market and each one matters more. |
| **Information asymmetry** | The seller knows the property; the buyer does not. **Almost the entire disclosure framework exists to address this one line**, and it is why Lesson 09 of the practice course is as long as it is. |
| **Financing dependence** | Most transactions require credit, so **credit conditions transmit directly into prices** and a change in rates moves the market without anything happening to any property. |
| **Durability** | Buildings last decades, so **most of what will be sold in twenty years already exists**, and its condition, location, and design were determined by decisions made long ago. |
| **Government influence** | Zoning, building standards, taxation, environmental regulation, and public investment shape what may be built, where, and at what cost. |

**Two conclusions a licensee should carry out of this table.**

**The information asymmetry is the licensee's actual job.** Buyers cannot evaluate what they cannot see, and the entire apparatus of disclosure, investigation, and professional duty exists to close a gap the market cannot close by itself. **A licensee who understands his function as closing that gap will make correct decisions in situations no rule covers.**

**Illiquidity is why mistakes are expensive.** In a liquid market an error is corrected by selling. **Here the correction costs a substantial fraction of the asset's value and takes months**, which is why the consumer's decision has to be right the first time, and why the framework insists so heavily that information arrive before decisions rather than after them.

### 1.6 Checkpoint

You should be able to name a rule from later in this course and trace it back to immobility, indestructibility, or uniqueness.

## 2. DRE jurisdiction and consumer protection

### 2.1 What the Department does

The California Department of Real Estate administers the state's real estate license law. Its functions include examining and licensing applicants, setting and enforcing standards of conduct, investigating complaints, taking disciplinary action against licensees, and approving the education that supports licensure — including the course you are reading.

The Department is led by the Real Estate Commissioner, who is responsible for enforcing the license law and who issues the regulations that implement it.

### 2.2 The purpose behind the structure

The license law exists to protect the public. That single sentence explains features of the system that otherwise look excessive:

- **Why licensing is required at all.** Consumers transact infrequently, in a market with imperfect information, on the largest asset most of them will own.
- **Why the broker is responsible for the salesperson.** The consumer deals with an individual; the accountable party must be one with the resources and the duty to supervise.
- **Why trust fund rules are strict.** The money is not the licensee's, and the harm from mishandling is immediate and often unrecoverable.
- **Why education is required and approved.** Competence cannot be verified transaction by transaction, so it is established in advance.
- **Why advertising is regulated.** A consumer cannot evaluate a claim about a property they have not seen, made by a person whose accountability they cannot trace.

## 2.3 What is licensed activity

Broadly, acting for another, for compensation or the expectation of it, in connection with real property transactions — listing, selling, buying, leasing, soliciting listings or buyers, negotiating loans secured by real property, and collecting rents or managing property for others, among other activities.

Two consequences follow immediately.

**The activity is what matters, not the title.** A person who performs licensed activity without a license does not escape the requirement by calling themselves an assistant, a consultant, or a marketing coordinator.

**Compensation is central.** The expectation of compensation is what converts helping a friend into licensed activity, which is why arrangements to pay unlicensed people for referrals or for tasks that shade into negotiation are a recurring compliance problem.

## 2.4 Discipline and what triggers it

The Department may investigate and may take action against a license. In practice the recurring categories are worth knowing early, because they are the topics this course keeps returning to:

| Category | Typical conduct |
|---|---|
| **Misrepresentation** | Stating as fact something unverified or untrue, or concealing a material fact |
| **Trust fund violations** | Commingling, conversion, shortages, inadequate records |
| **Failure to supervise** | A broker who did not review files, enforce policy, or notice a pattern |
| **Unlicensed activity** | Performing licensed acts, or compensating an unlicensed person for them |
| **Discrimination** | Conduct violating fair housing obligations |
| **Dishonest dealing** | Conduct demonstrating unfitness, including outside a transaction |

Note that most of these do not require anyone to have set out to defraud. Careless misrepresentation and inadequate trust fund records are the ordinary cases.

## 2.5 The Real Estate Recovery Account

California maintains an account, funded by license fees, from which a consumer who obtains a judgment against a licensee for fraud, misrepresentation, deceit, or conversion of trust funds may seek payment where the judgment cannot be collected from the licensee.

Two features are worth understanding. It is a **last resort**, available after the consumer has pursued the licensee. And payment from it has consequences for the licensee, whose license is affected until the account is reimbursed.

## 2.6 How a complaint actually proceeds

Section 2.4 lists what triggers discipline. Licensees rarely learn what the process looks like from the inside, and the gap produces two errors: panic at the first contact, and improvisation at the moment improvisation is most costly.

**The general shape**, stated at the level of generality that is accurate:

1. **A complaint arrives**, from a consumer, another licensee, a lender, a title company, or an agency. **It does not require that anyone lost money**, and it does not require that the complainant be the licensee's own client.
2. **A review determines whether the allegations, if true, would describe a violation.** Many complaints end here — not because the licensee did well, but because the conduct described is not something the Department regulates.
3. **An investigation gathers facts**, which means requests for documents, for a written response, and sometimes an interview.
4. **A determination follows** — no action, an informal resolution, or a formal accusation initiating an administrative proceeding.
5. **An administrative proceeding** carries process rights, and its outcomes range through a range of sanctions up to revocation, with conditions and restrictions available in between.

**What matters most to the licensee happens at step three, and it happens in the first week.**

**The response is prepared with the broker and, where appropriate, counsel.** A licensee who answers a document request personally, quickly, and in his own voice will say something he did not need to say.

**The file is what answers the questions.** Everything in Section 6 of this lesson exists for this moment: dated documents, evidenced delivery, sourced statements, and contemporaneous notes. **The investigation asks what happened and when, and the file answers or it does not.**

**Preservation is immediate and total.** Nothing is deleted, tidied, reorganized, or "cleaned up." **This includes text messages, informal notes, and drafts** — and it includes material that is unflattering.

**Nothing is created after the fact and presented as contemporaneous.** This is the line the practice course returns to repeatedly, and it is worth stating here in its regulatory form: **a documentation gap produces a finding; a fabricated document produces a different proceeding about a different subject**, and the second one is the one that ends a career.

> **The most useful thing to know about this process in advance** is that it is largely documentary. **The licensee's recollection, sincerity, and explanation carry very little weight against a record that says something else, and they carry almost none against a record that says nothing at all.**

## 2.8 The statute itself: what makes activity licensed

Section 2.3 described licensed activity in functional terms — what the person did, and whether it was for compensation. That description is accurate, but a licensee who has only the description will eventually meet a situation the description does not settle. The statute settles it, and it is short enough to read.

**Business and Professions Code § 10130** creates the prohibition:

> *"It is unlawful for any person to engage in the business of, act in the capacity of, advertise as, or assume to act as a real estate broker or a real estate salesperson within this state without first obtaining a real estate license from the department, or to engage in the business of, act in the capacity of, advertise as, or assume to act as a*

> *mortgage loan originator within this state without having obtained a license endorsement."*

**Four verbs, and the fourth is the one to notice.** It is unlawful to *engage in the business of*, to *act in the capacity of*, to **advertise as**, and to *assume to act as*. Advertising is listed separately from acting. A person who advertises real estate brokerage services and never takes a single call has violated § 10130 on the face of the section, because the advertising is itself a prohibited act rather than evidence of one.

The section closes by making enforcement somebody's job rather than nobody's: the Commissioner *"may prefer a complaint for violation of this section before any court of competent jurisdiction,"* and *"it is the duty of the district attorney of each county in this state to prosecute all violations of this section in their respective counties."* Unlicensed practice is not merely a licensing matter to be sorted out administratively. It is a crime that a district attorney has a duty to prosecute.

## 2.9 The five categories, in the statute's own words

**Business and Professions Code § 10131** defines the broker by describing the acts:

> *"A real estate broker within the meaning of this part is a person who, **for a compensation or in expectation of a compensation, regardless of the form or time of payment**, does or negotiates to do one or more of the following acts for another or others:"*

**Read the qualifying clause before the list.** Three conditions are packed into it, and each is doing work:

- **"For a compensation or in expectation of a compensation."** The expectation is enough. A person who performs a listed act hoping to be paid, and is never paid, has still performed it for compensation within the meaning of the section.
- **"Regardless of the form or time of payment."** A referral fee, a reduced rent, a share of a business, a favour returned later — the Legislature closed the form question deliberately. A person who says "I wasn't paid a commission" has answered a question the statute does not ask.
- **"For another or others."** This is the boundary that keeps an owner selling their own property outside the section, and it is why the owner exemption is structural rather than a carve-out: an owner acting for themselves is not acting for another.

The five categories then follow:

> **(a)** *"Sells or offers to sell, buys or offers to buy, solicits prospective sellers or buyers of, solicits or obtains listings of, or negotiates the purchase, sale, or exchange of real property or a business opportunity."*
>
> **(b)** *"Leases or rents or offers to lease or rent, or places for rent, or solicits listings of places for rent, or solicits for prospective tenants, or negotiates the sale, purchase, or exchanges of leases on real property, or on a business opportunity, or **collects rents** from real property, or improvements thereon, or from business opportunities."*
>
> **(c)** *"Assists or offers to assist in filing an application for the purchase or lease of, or in locating or entering upon, lands owned by the state or federal government."*

> **(d)** *"Solicits borrowers or lenders for or negotiates loans or collects payments or performs services for borrowers or lenders or note owners in connection with loans secured directly or collaterally by liens on real property or on a business opportunity."*
>
> **(e)** *"Sells or offers to sell, buys or offers to buy, or exchanges or offers to exchange a real property sales contract, or a promissory note secured directly or collaterally by a lien on real property or on a business opportunity, and performs services for the holders thereof."*

**Three things in that list surprise people who learned the subject from a summary.**

**Subdivision (b) reaches rent collection.** Collecting rents for an owner, for compensation, is licensed activity in its own right. It appears in the same subdivision as leasing because the Legislature treated the management of tenancies as brokerage, and it is the reason Assignment 15's treatment of property management is a treatment of licensed activity rather than of a related trade.

**Subdivision (d) reaches loan activity, and reaches it broadly.** Soliciting borrowers *or* lenders; negotiating loans; collecting payments; performing services for note owners. This is the statutory foundation of the Mortgage Loan Brokering and Lending course, and it is why a licensee who "just refers people to a lender" for a fee should read (d) before deciding the arrangement is outside the section.

**"Offers to" appears in every operative clause.** Offers to sell, offers to buy, offers to lease, offers to assist, offers to exchange. The offer is the act. A transaction that never happens does not retroactively unlicense the conduct that preceded it.

**Section 10131 also settles the licence question in the direction people least expect.** Because the section defines the *broker*, and because a salesperson may only act through an employing broker, the answer to "does this activity need a licence" is always found by asking whether it is one of these acts, done for another, for compensation or the expectation of it. The person's title, their business card, their intentions and the outcome of the deal are all outside the test.

## 2.10 A worked application of § 10131

> A software developer builds a website that matches apartment seekers with landlords. Landlords pay a monthly fee to list. The developer never speaks to a tenant, never shows a unit, never signs anything, and never handles money other than the listing fees.
>
> A second person, working from the same website, telephones prospective tenants on behalf of listed landlords, describes the units, arranges viewings, and receives $200 from the landlord for each tenancy that results.

**The first is the harder question, and the answer turns on what "places for rent" and "solicits listings of places for rent" mean in subdivision (b).** A platform that accepts a landlord's listing for a fee is, on the words, soliciting listings of places for rent for compensation. Whether a given website falls inside § 10131 is a question that has been litigated and legislated around, and it is exactly the sort of question a licensee must route to counsel rather than resolve from a course. **What the course can say with confidence is that the question is a real one and that "we are only a website" is not an answer to it.**

**The second is not a hard question at all.** Soliciting for prospective tenants, negotiating a tenancy, and being paid per result is squarely within subdivision (b), performed for another, for compensation. The $200 is a compensation regardless of its form. The person needs a licence and must act under an employing broker. The website's business model does not change what the second person is doing.

**The professional habit this builds:** when an arrangement feels novel, read § 10131 and ask whether the conduct is on the list, rather than asking whether the arrangement resembles brokerage. The section is a list of acts. Novel business models are made of the same acts.

### 2.11 Checkpoint

You should be able to state the purpose of the license law and use it to explain why a particular rule takes the form it does.

## 3. Broker and salesperson license relationships

### 3.1 The two licenses

A **broker** may conduct licensed activity independently and may employ salespersons. A **salesperson** may conduct licensed activity **only for and under a responsible broker.**

The requirements for the broker license are higher — more education, an examination, and experience — because the broker carries responsibility for everything done under the license.

### 3.2 The relationship that surprises new licensees

> **The salesperson's client is the broker's client. The salesperson's contract is the broker's contract. The salesperson's compensation comes from the broker.**

A listing agreement is between the seller and the **brokerage**, not the individual. A buyer representation agreement is likewise the brokerage's. The salesperson performs the work; the brokerage is the party.

This is not a technicality. It determines who may cancel a listing, who is exposed when something goes wrong, who owns the transaction file, and why assigning a second salesperson to the other side of a transaction does not eliminate a dual agency question — both salespersons act for the same brokerage, which is the agent.

### 3.3 Supervision is an affirmative duty

The responsible broker must exercise reasonable supervision over the activities of the salespersons. In practice supervision means an actual system:

1. **Written policies** covering the conduct the brokerage requires.
2. **File review**, close enough in time to catch a problem before it matures.
3. **Advertising review** before publication.
4. **Trust fund controls**, including reconciliation.
5. **Training**, particularly for new licensees.

6. **An escalation path** a salesperson can actually use.

A policy nobody follows is not supervision, and it is not a defense for anyone — not for the broker who wrote it and not for the salesperson who departed from it.

### 3.4 Independent contractor status does not reduce supervision

Many salespersons are treated as independent contractors for tax purposes. That characterization addresses the tax and compensation relationship. **It does not reduce the broker's supervisory duty or the salesperson's obligation to act under the broker.**

A brokerage that responds to a supervision question with "our agents are independent contractors" has answered a different question.

### 3.5 What a salesperson may not do

- Act for more than one responsible broker at a time.
- Accept compensation for licensed activity from anyone other than their responsible broker.
- Contract in their own name for licensed activity — the listing, the lease, and the representation agreement belong to the brokerage.
- Continue to act after the relationship with the broker ends.

That third one recurs in property management, where a salesperson signing leases in her own name is a common and serious audit finding.

### 3.6 A worked supervision failure

> **The facts.** A brokerage has one responsible broker and forty-one salespersons across three offices. The broker reviews files "when something comes up." Advertising approval is delegated to an office manager who is a salesperson. Trust deposits are made by whoever is in the office. A salesperson at the second office has been signing listing agreements with a term left blank and filling it in later.
>
> **This surfaces when a seller complains** that his listing "was supposed to be three months" and the copy in the file says six.
>
> **What the review finds.**
>
> **The blank term.** The individual failure, and the one everyone will focus on. It is real: an agreement with a material term left blank and completed afterward is not the agreement the seller signed.
>
> **But the salesperson's conduct is the smallest finding here**, and treating it as the whole problem is how a brokerage repeats it.
>
> **The delegated advertising approval.** Section 3.3 establishes supervision as an affirmative duty and Section 3.5 establishes what a salesperson may not do. **Delegation of a supervisory function to a salesperson does not move the duty**, and a brokerage whose approvals are performed by someone without supervisory authority has a structural defect rather than a staffing arrangement.

> **Trust deposits by whoever is present.** A control that depends on availability is not a control. **The accounting duty is the broker's**, and an unassigned task is an unperformed one, which is exactly the failure Lesson 11 of the practice course names.
>
> **File review "when something comes up."** Review that is triggered by problems cannot find problems. **A review at defined points — at listing, at acceptance, at closing — is the only kind that detects a pattern before a complaint does**, and this pattern ran for months.
>
> **Forty-one licensees across three offices under one broker.** Whether that is supervisable is a question about capacity, not about intent. Section 2.4 of Lesson 01 of the practice course raises branch offices and scale for this reason: **a supervision structure that cannot function at the brokerage's actual size is a defect of the structure.**
>
> **The conclusion the file supports.** One salesperson made an error that a functioning review would have caught at the first listing. **The brokerage's exposure is not that error; it is that nothing in the brokerage was built to find it**, and the same absence applies to every other file the brokerage holds.
>
> **What a licensee should take from this.** Lesson 03 of the practice course states that delegation does not transfer responsibility. **The reciprocal is equally true and less often said: a salesperson working inside a brokerage with no functioning supervision is exposed personally**, because when the review arrives there will be no record that anyone checked anything, including his own work.

### 3.7 Checkpoint

You should be able to explain why a listing agreement names the brokerage, and what follows from that when a seller wants to cancel.

## 4. Professional scope and unauthorized legal practice

### 4.1 The boundary

A real estate licensee may explain process, complete forms within the scope of the transaction, describe what documents ordinarily do, and give a professional opinion on matters within the license — value, marketing, negotiation strategy.

A licensee may **not** give legal advice: advising on the legal effect of documents, on rights and remedies, on entitlement to money, on how title should be taken, or on whether a party may cancel or refuse to perform.

### 4.2 The reliable test

Not who asked, not how confident the licensee feels, and not how many years they have practiced:

> **Would answering require a legal conclusion?** If yes, refer.

Applied to the questions consumers actually ask:

| Question | Answer |
|---|---|
| "What does this contingency do?" | Explain what the provision does in the transaction — within scope |
| "Can I cancel and get my deposit back?" | Legal conclusion. Refer |
| "Should I take title as joint tenants?" | Legal and tax conclusion. Refer |
| "What does the disclosure timeline look like?" | Process. Within scope |
| "Is the neighbor's fence on my land?" | Boundary claim. Refer, and recommend a survey |
| "What is this house worth?" | Opinion of value. Within scope, as an opinion |
| "Will the city approve my second unit?" | Prediction about a discretionary decision. Refer to the jurisdiction |

### 4.3 Why the boundary protects the licensee

Consumers rely on what licensees tell them. A wrong legal answer, given confidently, becomes the basis of a decision — and the licensee who gave it has both exceeded the license and created liability that no experience defense will meet.

**Experience does not extend the scope of the license.** A licensee with twenty years of practice is no more entitled to advise on the legal effect of a contract than one with two weeks.

### 4.4 How to refer without appearing unhelpful

Referring badly costs the relationship; referring well strengthens it. The components:

> "That one's outside what I can answer — it's a legal question, and if I guessed and got it wrong you'd be making a real decision on my guess. What I can tell you is [the process, the timeline, what the document does in the transaction]. And I'd get you an answer from an attorney before [the date it matters]."

Name the limit, give what you can, and connect the referral to the deadline that makes it urgent.

### 4.5 The questions licensees are actually asked

Section 4.2 supplies the test. This section applies it to the questions that arrive in practice, because the boundary is easy in the abstract and hard at nine in the evening with a client on the phone.

| The question | Category | The answer |
|---|---|---|
| "What does this contingency clause mean?" | **Legal effect** | Explain what the provision provides for procedurally; **its legal effect on the parties' rights goes to counsel.** The two are closer together than licensees would like. |
| "Should I take title as joint tenants?" | **Legal and tax** | Route. Lesson 03, Section 6.4 — this affects survivorship, creditors, and taxation, and no part of it is the licensee's. |
| "If I back out, do I lose my deposit?" | **Legal** | Route. Explain the contract's procedure; **do not predict the outcome.** |
| "Will I owe tax on the gain?" | **Tax** | Route, without a general summary. |
| "Can I rent it out? The HOA docs are confusing." | **Legal** | Route, and **obtain the governing documents** so counsel is reading the actual instrument. |
| "Is this a good price?" | **Within scope** | Yes — this is the licensee's analysis, delivered with its reasoning. |
| "Will the value go up?" | **Prediction** | **Not statable.** Explain what is knowable — current conditions, absorption, direction — and what is not. |
| "Is the foundation okay?" | **Outside competence** | Route to a qualified professional. |
| "Can I put an ADU in the back?" | **Land use** | Route to the jurisdiction, and note that the answer may also depend on private restrictions. |
| "My tenant won't leave — what do I do?" | **Legal** | Route. **Nothing about eviction procedure is licensee territory.** |
| "Can you just write in that they'll fix the roof?" | **Drafting** | Section 4.1's boundary. Approved-form completion is one thing; **authoring a provision that alters rights is another.** |
| "What's this fee for?" | **Depends** | Answer if it is yours and you know. **Do not characterize another party's charge as "standard."** |

**The pattern:** roughly two of every three questions a client asks in the ordinary course belong to someone else. **That is not a defect in the profession.** It reflects that a real estate transaction sits at the intersection of law, tax, finance, construction, and valuation, and the licensee is the participant who coordinates specialists rather than the one who replaces them.

**Section 4.4 addresses the delivery.** The version that works is short and confident: **"That one's a question for your attorney — and it's worth asking, because the answer changes what you'd want in the contract. Do you have someone, or would you like a couple of names?"** It answers the client's real need, which is knowing what to do next.

## 4.6 Checkpoint

You should be able to take a list of consumer questions and sort them into within-scope and refer, giving your reason for each.

# 5. Sources of California real estate law

## 5.1 The hierarchy

Questions in practice are answered from several sources, and knowing which controls prevents a great deal of confident error.

| Source | What it is | Weight |
|---|---|---|
| **Constitutions** | Federal and state | Highest |
| **Statutes** | Enacted law, including the Business and Professions Code and the Civil Code | Below the constitutions |
| **Regulations** | The Commissioner's Regulations, adopted to implement the statutes | Below the statutes they implement |
| **Case law** | Judicial interpretation | Interprets and applies the above |
| **Local ordinances** | City and county law, within their authority | Binding locally; frequently overlooked |
| **Contract terms** | The parties' agreement | Binds the parties within the law |
| **Brokerage policy** | The broker's rules | Binds the licensee, and may be stricter than the law |

## 5.2 Two points licensees regularly get wrong

**A brokerage policy stricter than the law governs the licensee's conduct.** A licensee who says "the law doesn't require that" while departing from office policy has answered a question nobody asked.

**Local ordinances are where surprises live.** Rent regulation, short-term rental rules, point-of-sale requirements, permit and inspection obligations, and use restrictions vary from city to city. A licensee who works across jurisdictional lines and assumes uniformity will eventually be wrong about something material.

## 5.3 Forms and publications are not law

DRE publications, association forms, and standard contracts are useful and widely used. They are not statutes. A form's language may be superseded by a change in law, and a form may address matters the law does not require at all.

The practical rule: **check the current version before relying on it**, and do not describe a form provision as a legal requirement without knowing that it is one.

## 5.4 Currency

Law changes. An answer that was right three years ago may be wrong now, and the sources most likely to have changed are the ones most relevant to daily practice — disclosure obligations, agency requirements, and local ordinances.

A licensee's duty is not to be a legal scholar. It is to know that the answer may have changed and to check rather than to remember.

## 5.5 Reading the source rather than a summary

Section 5.3 establishes that forms and publications are not law. The practical corollary is that a licensee occasionally has to read the actual provision, and doing so is a skill worth having rather than a task to avoid.

**What to notice when reading a statute or a regulation:**

1. **The definitions.** Statutory schemes define their own terms, and a defined term means what the statute says it means regardless of ordinary usage. **Most misreadings are definitional.**
2. **The scope provision.** What transactions, persons, or property the section applies to — and, critically, **what it excludes.** The exclusions are frequently where the answer lives.
3. **The operative verb.** "Shall," "may," and "is not required to" describe three different worlds.
4. **The trigger.** Almost every obligation is conditioned on an event. **Identify what starts it**, because that is what a file will later be measured against.
5. **The exceptions**, which are usually narrow and usually the part someone is trying to fit into.
6. **Cross-references.** A section that operates by reference to another is not readable alone.
7. **The consequence provision**, where one exists — what happens if the requirement is not met. **Sometimes nothing, sometimes a right of rescission, sometimes a penalty**, and the difference matters enormously to advice.

**Three cautions.**

**Currency.** Section 5.4 makes the point; the operational version is that **a printout, a saved copy, or a memory of a provision is a snapshot.** Check the current text.

**Reading is not interpreting.** A licensee reading a provision to understand what a form is for is doing something appropriate. **A licensee reading a provision to tell a client what his rights are has crossed Section 4.1's boundary** regardless of how carefully he read.

**One provision is rarely the whole answer.** California real estate obligations are distributed across statutes, regulations, local ordinances, and — separately — private instruments recorded against the property. **A confident answer built on a single section is the characteristic shape of a wrong one.**

> **Why this belongs in a principles course at all.** Not so that licensees will practice law, but so that they can tell the difference between a rule and a habit. **A great deal of what circulates in this business as "the rule" is a brokerage practice, a form's convention, or something someone said in a class**, and the only way to know which is to look.

## 5.7 The statute that requires this course

Section 5.1 placed statute above regulation and regulation above everything else. It is worth seeing that hierarchy operating on the course a student is presently taking, because the example is close at hand and the reasoning transfers.

**Business and Professions Code § 10153.2** is the section that requires the courses. On the broker examination:

> *"(a) An applicant to take the examination for an original real estate broker license shall also submit evidence, satisfactory to the commissioner, of successful completion, at an accredited institution, of:*
>
> *(1) A three-unit semester course, or the quarter equivalent thereof, in each of the following: (A)* ***Real estate practice*** *… (B)* ***Legal aspects of real estate****. (C)* ***Real estate appraisal****. (D)* ***Real estate financing****. (E)* ***Real estate economics or accounting****.*
>
> *(2) A three-unit semester course, or the quarter equivalent thereof, in* ***three of the following****: (A) Advanced legal aspects of real estate. (B) Advanced real estate finance. (C) Advanced real estate appraisal. (D) Business law. (E) Escrows. (F)* ***Real estate principles****. (G) Property management. (H) Real estate office administration. (I)* ***Mortgage loan brokering and lending****. (J) Computer applications in real estate. (K) … California law that relates to common interest developments…"*

**Three observations a licensee should carry out of that text.**

**The course titles are statutory.** *Real Estate Principles*, *Real Estate Practice* and *Mortgage Loan Brokering and Lending* are not names a school chose. They appear in § 10153.2, and a private vocational school offering an equivalent course offers it under the statutory title or it is not the course the statute names.

**"At an accredited institution" is the phrase that makes this school's approval necessary.** A private vocational school is not an accredited college. It reaches the same place by a different route — the Commissioner's power to find a course *equivalent in quality* to college and university offerings — which is why the equivalence certification from a college instructor exists at all, and why Regulation 3000 sets out the criteria the Commissioner considers.

**The SB 1495 components are in the statute, not only in a Department instruction.** § 10153.2(a)(1)(A) requires that the real estate practice course include:

> *"(i) A component on implicit bias, including education regarding the impact of implicit bias, explicit bias, and systemic bias on consumers, the historical and social impacts of those biases, and actionable steps students can take to recognize and address their own implicit biases.*
>
> *(ii) A component on federal and state fair housing laws as those laws apply to the practice of real estate.* ***The fair housing component shall include an interactive participatory component, during which the applicant shall roleplay as both a consumer and real estate professional.****"*

**This is the hierarchy in Section 5.1 doing visible work.** A student who knew the requirement only from the Department's frequently asked questions would have the content right and the authority wrong. The FAQ is the Department explaining a statute; the statute is what a court would read. When the two agree — as here, almost word for word — the point is not that the FAQ was wrong. The point is that a licensee who can name the statute can answer a question the FAQ does not address, and a licensee who cannot, cannot.

## 5.8 Reading a section: a method

Statutory reading is a skill, and most licensees are never taught it. Four habits do most of the work.

**Read the whole sentence before the list.** § 10131's operative test — *for compensation or in expectation of compensation, regardless of the form or time of payment, for another or others* — sits in the sentence that introduces the five subdivisions. A reader who skips to the list gets the acts and loses the conditions.

**Notice which conjunction joins the elements.** "And" requires every element; "or" requires one. Whether a statute says *"sells or offers to sell"* or *"sells and offers to sell"* is the difference between a completed transaction and an attempt, and it is a single letter.

**Notice what is defined elsewhere.** § 1102(b) — the residential disclosure article — says *"the definitions contained in Chapter 1 (commencing with Section 10000) of Part 1 of Division 4 of the Business and Professions Code shall apply."* A term in one code can be defined in another, and reading the first without the second produces a confident wrong answer.

**Read the effective-date line at the end.** Every section on the Legislature's website closes with its amendment history — *"(Amended by Stats. 2018, Ch. 285, Sec. 27. (AB 2884) Effective January 1, 2019.)"* That line tells a reader whether they are looking at current law and when it last changed. A printed summary carries no such line, which is precisely why Section 5.4 warns about currency.

**What this does not make a licensee.** Reading a section is not construing it. The difference between what a section says and what it means in a disputed case is the practice of law, and Section 4.2's test applies with full force: state what the document provides, and route the question of a client's rights to counsel. **The purpose of statutory literacy for a licensee is to know which questions are real, not to answer them.**

## 5.9 Checkpoint

You should be able to take a question and say which source category would control it, and where the answer would be found.

# 6. Transaction participants and accountability

## 6.1 Who is in a residential transaction

| Participant | Role | Accountable for |
|---|---|---|
| **Seller and buyer** | The principals | Their own decisions; the seller's disclosure obligations |
| **Listing brokerage** | Seller's agent | Fiduciary duties to the seller; honesty to everyone |
| **Buyer's brokerage** | Buyer's agent | The same, for the buyer |
| **Escrow holder** | Neutral holder | Following mutual written instructions; never deciding a dispute |
| **Title insurer** | Insurer of title | Reporting record title; insuring within the policy's terms |
| **Lender** | Financing | Underwriting; required disclosures |
| **Appraiser** | Independent valuation | An independent opinion for the lender's purpose |
| **Inspectors and specialists** | Condition evaluation | Their own reports, within their expertise |
| **Attorneys** | Legal advice | Legal conclusions the licensees may not give |
| **Government agencies** | Permits, records, land use | Public records and approvals |

## 6.2 Where accountability actually fails

Not usually because a participant did their job badly. Usually because **everyone assumed someone else would do a job nobody owned.**

The recurring gaps:

- **Disclosure delivery.** The seller completed it, the listing agent has it, the buyer's agent thinks it went out. Nobody evidenced delivery.
- **Deadline tracking.** Escrow tracks its own items; the lender tracks its own; neither owns the contract's contingency dates.
- **Association documents.** Everyone knows they are needed. Nobody ordered them until week three.
- **Insurance in a mapped hazard area.** Treated as administrative until it turns out to be the reason the transaction fails.
- **Amendments reaching escrow.** The parties agreed, the agents confirmed by email, escrow's instructions still say the old terms.

**The control is ownership.** For each item, one named person, one date, and evidence when it is done.

### 6.3 What escrow will and will not do

Because so much of the gap sits here, it is worth stating early. Escrow is neutral. It holds funds and documents and acts **only on mutual written instructions.** It does not advise either party, does not decide disputes, and does not release funds because one party asserts entitlement. Where the parties disagree, escrow stops.

A licensee who expects escrow to resolve a disagreement, or to track the contract's deadlines, has misunderstood the role — and will discover it at the worst moment.

### 6.4 The licensee as coordinator

Nobody else in the transaction holds the whole picture. The lender sees the loan, escrow sees the instructions, the inspector sees the property on one day. The licensee is the participant positioned to see whether the pieces are converging on a closing.

That is why the coordination practices this course keeps returning to — build the calendar from the contract, start the slow items first, confirm status in writing, escalate early — are professional obligations rather than administrative habits.

### 6.5 A worked accountability map

> **A single transaction**, with the question asked at each stage: **who is responsible, and what happens if they do not perform?**
>
> **The seller's disclosures.** Prepared by the seller, on his knowledge. **The licensee's obligation is to counsel, deliver, and evidence delivery** — not to complete them. If the seller does not disclose a known material fact, the exposure is the seller's, and it is also the licensee's if the licensee knew.
>
> **The licensee's own inspection disclosure.** The licensee's, independently. **Nobody else performs it and nobody else is answerable for it.**
>
> **The buyer's investigation.** The buyer's, on the licensee's written recommendation. **A licensee who recommends investigation in writing and a buyer who declines have produced a documented decision. A licensee who recommends nothing has produced an exposure.**
>
> **The loan.** The lender's decision, on a file the buyer supplies. **The licensee does not evaluate, promise, or advise on it**, and Lesson 10 of the practice course explains what happens when he does.
>
> **The appraisal.** The appraiser's independent judgment, ordered through a channel designed to keep the licensee out of it.
>
> **Title.** The title company's search and the insurer's policy. **The licensee delivers the report and routes its legal questions.**
>
> **Escrow.** Section 6.3. **Escrow follows instructions and is neutral**, which means it will not notice that a term the parties agreed never reached it. **Somebody has to notice, and that somebody is the licensee.**
>
> **Deadlines.** Nobody's, formally — which is why they are missed. **The contract sets them and no participant is assigned to watch them**, so the licensee who does not build the calendar has left the transaction's most failure-prone element unowned.

> **The closing figures.** Escrow prepares them from the documents it holds. **Their accuracy against the agreement is checked by the people who know what the agreement said**, which is the two licensees.
>
> **The record.** The brokerage's, through the licensee. **No other participant retains a file that shows what the licensee did.**
>
> **The pattern.** Four of these have a named owner outside the brokerage. Three have an owner and a supervising duty. **Three have no owner at all until the licensee takes them** — the deadlines, the transmission of agreed terms to escrow, and the reconciliation of the figures — **and those three produce a disproportionate share of the disputes in this business.**
>
> **Section 6.4 calls the licensee a coordinator.** This map is what that word means: **the participant whose job includes everything that would otherwise belong to nobody.**

## 6.6 What a new licensee should do in the first month

This lesson has described a regulatory structure, a supervision relationship, a scope boundary, a body of law, and a set of participants. **The practical question a student has at the end of it is what to actually do**, and the answer is short.

**Establish the four things that make everything else possible:**

1. **Know who your responsible broker is and how to reach him**, including outside business hours. Section 3.3 makes supervision an affirmative duty; **the duty operates only if you use it.**
2. **Read the written policy set before your first transaction**, and ask about what it does not cover.
3. **Set up a file structure and a deadline tracker** before you have anything to put in them. Section 6.2 supplies the contents.
4. **Write down the categories you will route** — legal, tax, valuation-professional, structural, lending — and the words you will use. Section 4.4 explains why the delivery matters as much as the referral.

**Adopt three habits that will not form later if they do not form now:**

**Date everything at the moment it happens.** Not later, not from memory. Section 6.3's point about delivery evidence begins here.

**Send a confirming message after any consequential conversation.** Short, same day, factual. It creates the record, catches misunderstandings early, and is the single most effective practice available to a new licensee.

**Say "I don't know, let me find out" out loud, early, and often.** Section 4.4 argues that this is competence. **It is also the habit that prevents the largest category of licensee misstatement**, which is the confident guess offered because admitting uncertainty felt like weakness.

**And understand one structural fact that a new licensee usually learns too slowly.** Section 3.2 states it: **the clients are the brokerage's, the agreements are the brokerage's, the trust funds are subject to the broker's control, and the decisions to release, settle, or escalate are the broker's.** A salesperson who thinks of the brokerage as an administrative arrangement will make a decision that was not his to make, and will do it while trying to help a client.

> **What this course is preparing you for is not the examination.** It is a first year in which you will encounter facts no lesson covered. **The regulatory structure, the scope boundary, the sources of law, and the file are the four things that will answer them** — and the file is the one that will still be answering them in five years, when nobody remembers anything else.

## 6.8 The first ninety days, as a checklist rather than advice

Section 6.6 describes what a new licensee should do in the first month. This section is the operational version — the things that, once set up, keep working without being thought about, which is the only kind of discipline that survives a busy month.

**Week one — the relationship that governs everything else.**

**Read the employing broker's written policies**, and if there are none in writing, ask for them. The broker's supervision duty (Assignment 01 Section 3.3) is discharged partly through policies, and a salesperson who does not know them cannot follow them.

**Establish who reviews what, and when.** Which documents go to the broker, at what stage, and how a question is escalated. **Agree the escalation route before there is anything to escalate**, because the first time it is needed will be the worst time to be inventing it.

**Set up a file structure, one per transaction**, with the same folders every time: agency, agreement and addenda, disclosures with delivery evidence, inspection reports, title, financing, correspondence, closing.

**Weeks two to four — the habits.**

**Date every document at the moment it is signed or delivered.** Not later.

**Send every material communication in writing, even after a phone call.** *"Confirming our conversation: you asked me to…"* One sentence, sent the same hour.

**Keep a transaction log** — date, what happened, who was told. Ninety seconds a day; the only reliable memory anyone has of a transaction two years later.

**Months two and three — the substance.**

**Read one complete transaction file from beginning to end**, from the brokerage's closed files, with the broker's permission. **Nothing in a course teaches sequence the way a real file does.**

**Read a preliminary report on a property you are not selling**, and look up every exception in it.

**Attend an inspection and ask the inspector to explain what they are doing.** A licensee who has watched three inspections reads a report differently.

**Meet the escrow officer and the title officer** the brokerage uses. Both will answer questions from a new licensee generously, and both are the people who will catch the mistakes.

## 6.9 The five failures that end new careers, and what prevents each

These are not the exotic risks. They are the ordinary ones, and each has a one-line prevention.

**Practising outside the licence.** Answering a legal or tax question because a client asked and the answer seemed obvious. **Prevention: the Section 4.2 test — say what the document provides, route what it means.**

**Undisclosed dual agency.** Almost always structural rather than deliberate — the brokerage on both sides, nobody having noticed. **Prevention: when the offer comes from inside the office, prepare the consent with the offer.**

**Trust fund mishandling.** For a salesperson usually a deposit held or routed wrongly. **Prevention: never take a deposit into your own hands. It goes to escrow or to the broker's trust account, immediately, per § 10145.**

**A disclosure not delivered, or delivered too late.** Not concealment — sequencing. **Prevention: order everything on day one and evidence delivery, not just signature.**

**Silence about a known problem.** The licensee who sees something, says nothing, and hopes. **Prevention: escalate in writing to the broker. It costs one email and it moves the problem to the person whose job it is.**

**What the five have in common.** None requires bad intent, and every one of them is prevented by a habit rather than by knowledge. **The licensee who fails is rarely the one who did not know the rule.** It is the one who knew the rule, was busy, and let a date slide.

**And the professional framing worth carrying out of this assignment.** The obligations set out here — supervision, disclosure, trust funds, the boundary against unauthorised practice — are not restrictions on a business. **They are the description of what the licence is for.** A consumer entering the largest transaction of their life deals with someone whose competence they cannot verify, and the licensing scheme is the state's answer to that asymmetry. **A licensee who understands the scheme that way finds compliance easier**, because the rules stop being arbitrary and start being the shape of the job.

## 6.10 Checkpoint

You should be able to take a transaction task and name who owns it, by what date, and what evidence shows it was done.

## Key terms

| Term | Definition |
|---|---|
| **Immobility** | Land cannot be moved. Produces local law, local markets, and value dependent on surroundings. |
| **Indestructibility** | The land endures though improvements do not, which is why interests in it can be divided across time. |
| **Uniqueness** | No two parcels occupy the same location, which is why the parcel itself may be sought rather than damages, and why valuation is judgment rather than lookup. |
| **Bundle of rights** | Possession, use, transfer, encumbrance, and exclusion — separable and dealable with independently. |
| **Land, real estate, real property** | Surface, subsurface, and airspace; plus permanent improvements; plus the legal rights in them. |
| **Department of Real Estate** | The California agency administering the license law — licensing, standards, complaints, discipline, and approval of prelicense education. |
| **Real Estate Commissioner** | The official responsible for enforcing the license law and issuing the Commissioner's Regulations. |
| **Licensed activity** | Acting for another, for compensation or its expectation, in connection with real property transactions. Defined by the activity, not by the title used. |
| **Real Estate Recovery Account** | A fund from which a consumer holding an uncollectable judgment for fraud, misrepresentation, deceit, or conversion of trust funds may seek payment. A last resort, with consequences for the licensee. |
| **Broker** | A licensee who may conduct licensed activity independently and employ salespersons. Carries the supervisory duty. |
| **Salesperson** | A licensee who may act **only for and under a responsible broker**. |
| **Responsible broker** | The broker under whom a salesperson is licensed and for whom the salesperson acts. |
| **The brokerage is the party** | Listings, representation agreements, and leases belong to the brokerage. The salesperson performs the work. |
| **Reasonable supervision** | An actual system: written policies, file review, advertising review, trust fund controls, training, and a usable escalation path. |
| **Independent contractor status** | A tax and compensation characterization. Does not reduce the broker's supervisory duty or the salesperson's obligation to act under the broker. |
| **Unauthorized practice of law** | Giving advice on legal effect, rights, remedies, entitlement, vesting, or whether a party may cancel. The test is whether answering requires a legal conclusion. |
| **Commissioner's Regulations** | Regulations adopted to implement the license law, ranking below the statutes they implement. |

| Term | Definition |
|---|---|
| **Brokerage policy** | The broker's own rules, which bind the licensee and may be stricter than the law. |
| **Local ordinance** | City and county law within its authority — rent regulation, short-term rentals, point-of-sale requirements. Binding, and routinely overlooked by licensees working across jurisdictions. |
| **Escrow neutrality** | Escrow acts only on mutual written instructions, advises no one, and decides no dispute. Where the parties disagree, it stops. |
| **Ownership of a task** | One named person, one date, and evidence when done. The control for the accountability gap. |

## Practice problems

### Problem 1

A student asks why real property has its own body of law when a car, a boat, and a share of stock are all valuable assets too.

**Answer using the three physical characteristics.**

> **Solution. Immobility** means the parcel is governed by the law of the place it sits, disputes about it are heard there, and its value depends on what surrounds it — none of which is true of a car, which can be driven to a different state.
>
> **Indestructibility** means interests can be carved up across time — a life estate now and a remainder afterwards, a lease for ten years, an easement forever. Those constructions are meaningless for a perishable asset.
>
> **Uniqueness** means no two parcels occupy the same location, which is why a buyer denied the parcel he contracted for may seek **the parcel itself** rather than damages, and why valuation requires judgment rather than a lookup.
>
> **What transfers:** most rules later in this course trace back to one of the three. When a rule looks arbitrary, ask which characteristic produced it.

### Problem 2

A landlord leases an apartment for two years, takes out a loan secured by the building, grants the utility company a right to run a line along the rear line, and agrees in the deed's recorded restrictions not to operate a business on the site.

**Describe each in terms of the bundle of rights.**

> **Solution. The lease separates possession and use** for the term, leaving the landlord transfer and encumbrance rights.
>
> **The loan encumbers** without transferring possession — the borrower keeps living in or operating the property.
>
> **The easement grants a specific use** without possession at all; the utility may run its line and may not occupy the yard.

> **The restriction limits use** without moving any stick to anyone.
>
> **What transfers:** nearly every later topic is an operation on the bundle. Leases separate possession; deeds of trust separate a security interest; easements separate a use; covenants restrict use; eminent domain takes the whole bundle.

### Problem 3

A brokerage pays an unlicensed assistant $500 for each buyer she introduces who ends up transacting. The brokerage points out that her business card says "marketing coordinator," that she never negotiates, and that the payment is a thank-you rather than a commission.

**Assess.**

> **Solution.** Each justification addresses something other than the rule.
>
> **The activity is what matters, not the title.** A person performing licensed activity does not escape the requirement by being called an assistant, a consultant, or a marketing coordinator.
>
> **Compensation is what converts helping into licensed activity.** Soliciting and introducing buyers, for compensation or its expectation, sits inside the licensed activity described by the license law — and the payment is per transacting buyer, which is a commission in substance whatever it is called.
>
> **Not negotiating is not the boundary.** The licensed activities include soliciting buyers and sellers, not only negotiating on their behalf.
>
> **What transfers:** paying unlicensed people for referrals, or for work that shades into solicitation and negotiation, is a recurring compliance problem precisely because it does not feel like unlicensed practice to anyone involved.

### Problem 4

A seller wants to cancel her listing. The salesperson who took it says he is willing to release her and considers it his listing to release. Separately, the brokerage assigns a second salesperson to represent a buyer on the same property, and the broker says this eliminates the dual agency question.

**Correct both.**

> **Solution. The listing is the brokerage's contract**, not the salesperson's. The salesperson performed the work; the brokerage is the party, and cancellation is a broker-level decision governed by the agreement's terms. He is not releasing anything.
>
> **Assigning a second salesperson does not eliminate dual agency.** Both salespersons act for the same brokerage, and **the brokerage is the agent.** The relationship is one brokerage representing both parties, requiring informed written consent from both.
>
> **What transfers:** the same principle determines who owns the transaction file, who is exposed when something goes wrong, and why a salesperson may not contract in her own name for licensed activity.

### Problem 5

Asked about supervision, a broker says his agents are independent contractors, that his office manual covers everything required, and that in fifteen years no complaint has arrived.

**Assess each response.**

> **Solution. Independent contractor status answers a different question.** It characterizes the tax and compensation relationship. It does not reduce the broker's supervisory duty or the salesperson's obligation to act under the broker.
>
> **A manual is not supervision.** Reasonable supervision is an actual system: written policies, file review close enough in time to catch problems before they mature, advertising review before publication, trust fund controls including reconciliation, training particularly for new licensees, and an escalation path a salesperson can actually use. A policy nobody follows is not a defense — not for the broker who wrote it and not for the salesperson who departed from it.
>
> **The absence of complaints is not evidence of compliance.** It usually means problems have not surfaced yet.

### Problem 6

Sort these into within-scope and refer, with your reason: (a) "What does this contingency do?" (b) "Can I cancel and get my deposit back?" (c) "Should we take title as joint tenants?" (d) "What's this house worth?" (e) "Is the neighbor's fence on my land?" (f) "Will the city approve a second unit?"

**Then give the words you would use for the hardest referral.**

> **Solution. Within scope:** (a) explaining what a provision does in the transaction — process, not legal effect on rights; (d) an opinion of value, given as an opinion.
>
> **Refer:** (b) entitlement to a deposit is a legal conclusion; (c) vesting carries ownership, survivorship, tax, and estate consequences, and goes to legal and tax counsel **before escrow prepares the deed**; (e) a boundary claim — refer, and recommend a survey; (f) a prediction about a discretionary decision — refer to the jurisdiction, which publishes its process.
>
> **The test is not who asked or how confident you feel:** would answering require a legal conclusion?
>
> **On (c), the words:** *"That one's outside what I can answer — it's a legal and tax question, and if I guessed wrong you'd be making a real decision on my guess. What I can tell you is that the choice matters and that changing it later isn't simple. I'd get an answer from an attorney before escrow prepares the deed."* Name the limit, give what you can, and connect the referral to the deadline.

### Problem 7

A licensee tells a client that a provision in the standard association form is "required by law," that the office's stricter advertising policy can be disregarded because the law does not require it, and that a rule she learned four years ago still governs a short-term rental question in a neighboring city.

**Assess each.**

> **Solution. A form is not a statute.** Association forms and DRE publications are useful and widely used; a form's language may be superseded by a change in law, and a form may address matters the law does not require at all. Describing a form provision as a legal requirement without knowing it is one is a misstatement of law to a client.
>
> **A brokerage policy stricter than the law governs the licensee's conduct.** "The law doesn't require that" answers a question nobody asked.
>
> **Local ordinances are where the surprises live.** Short-term rental rules, rent regulation, and point-of-sale requirements vary city to city, and a licensee working across jurisdictional lines who assumes uniformity will eventually be wrong about something material — as will one relying on a four-year-old memory.
>
> **What transfers:** the duty is not to be a legal scholar. It is to know the answer may have changed and to **check rather than remember.**

### Problem 8

A transaction fails. The post-mortem shows the transfer disclosure was never evidenced as delivered (each side assumed the other sent it); association documents were ordered in week three; insurance quotes for a mapped fire area were never obtained; and an agreed closing extension was confirmed by agent email but never reached escrow's instructions. Everyone did their own job competently.

**Diagnose the pattern and state the control.**

> **Solution.** The pattern is that **nobody's job included these items.** Accountability in a transaction rarely fails because a participant performed badly; it fails because everyone assumed someone else owned a task nobody owned.
>
> Each item is a known gap. Disclosure delivery falls between the two sides. Deadline tracking falls between escrow, which tracks its own items, and the lender, which tracks its own — neither owns the contract's contingency dates. Association documents and hazard-area insurance are slow items treated as administrative until they become the reason a transaction fails. And an amendment confirmed between agents never changes escrow's instructions, because the agents are not the parties.
>
> **The control is ownership: one named person, one date, and evidence when done.**
>
> **And the licensee is the participant who must hold it**, because nobody else sees the whole picture — the lender sees the loan, escrow sees the instructions, the inspector sees the property on one day. Expecting escrow to track deadlines or resolve a disagreement misunderstands a neutral role that acts only on mutual written instructions and stops when the parties disagree.

## Chapter summary

**Three physical characteristics generate most of the law.** Immobility makes real estate local. Indestructibility allows interests to be divided across time. Uniqueness makes each parcel irreplaceable and each valuation a judgment.

**Ownership is a bundle of separable rights** — possession, use, transfer, encumbrance, exclusion — and nearly every later topic is an operation on that bundle.

**The license law exists to protect the public**, which explains why brokers answer for salespersons, why trust fund rules are strict, why education is approved in advance, and why advertising is regulated.

**Licensed activity is defined by what is done and whether compensation is expected**, not by the title on a business card.

**The salesperson acts for the broker; the brokerage is the party** to listings, representation agreements, and leases. That determines who cancels, who is exposed, who owns the file, and why a second salesperson does not cure dual agency.

**Supervision is an affirmative duty discharged by a system**, not by a manual, and independent contractor status does not reduce it.

**Refer whenever answering would require a legal conclusion**, and remember that experience does not enlarge the license. Refer well: name the limit, give what you can, connect it to the deadline.

**Know which source controls** — constitution, statute, regulation, case law, local ordinance, contract, brokerage policy — and remember that forms are not law, that stricter office policy governs your conduct, and that local ordinances vary.

**Accountability fails in the gaps between competent participants.** The control is ownership: one person, one date, evidence when done — and the licensee is the only participant positioned to hold the whole picture.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Identify the issue, state which source category controls it, list the facts still missing and how you would obtain them, name the parties affected, state the action required and its deadline, draft the communication you would send, identify what you would escalate to the broker and what you would refer to counsel, and state the evidence you would retain. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** A neighbor asks a newly licensed salesperson to 'just write up' a simple lease between the neighbor and his tenant, draft a clause protecting the neighbor if the tenant defaults, and explain what the neighbor's rights would be if he wanted to evict. The neighbor offers to pay her directly for the work. How should she respond?

**A. Explain that drafting custom protective clauses and advising on eviction rights is the practice of law, that any compensated licensed activity must run through her employing broker, and refer the neighbor to an attorney.**

B. Prepare the lease and the clause but decline payment, since unpaid assistance to a neighbor is not licensed activity.

C. Prepare the lease using a standard form and accept payment directly, since completing a preprinted form is not the practice of law.

D. Decline entirely and offer no explanation, since any involvement with a lease creates liability.

**Answer: A.** Two separate limits apply at once. Drafting custom legal provisions and advising on remedies is the practice of law regardless of who pays or whether a form is used, and any compensation for licensed activity must flow through the employing broker rather than to the salesperson directly. Declining without explanation leaves the neighbor no better off than before.

### Engagement check — 5 items, 80% required

**1.** What distinguishes real property from personal property?

**A. Real property is land and what is permanently affixed to or appurtenant to it, together with the bundle of rights in it; personal property is movable property not so affixed.**

B. Real property is property that can be sold, while personal property is property that is kept for use.

C. Real property is property with recorded title, while personal property is property without documentation.

D. Real property is property used for business, while personal property is property used for personal purposes.

**Answer: A.** The distinction rests on permanence of attachment to land and the rights that run with it. Sale, documentation, and use do not determine the classification.

**2.** Which best describes the Department of Real Estate's primary function?

**A. Administering the Real Estate Law to protect the public, including licensing, regulation, and enforcement against licensees.**

B. Setting commission rates and standard contract terms for California real estate transactions.

C. Resolving contract disputes between buyers and sellers in California transactions.

D. Certifying property values and approving appraisals for California properties.

**Answer: A.** The Department's mandate is consumer protection through licensing, regulation, and enforcement. It does not set prices or contract terms, adjudicate private contract disputes, or certify valuations.

**3.** How does a salesperson's authority relate to the employing broker's?

**A. The salesperson acts on behalf of the broker, and the broker is responsible for supervising the salesperson's licensed activity.**

B. The salesperson holds independent authority and the broker's role is limited to providing office facilities.

C. The salesperson and broker hold identical authority once the salesperson completes the required experience.

D. The salesperson acts on behalf of the client directly, with the broker acting only as a payment intermediary.

**Answer: A.** The salesperson license is derivative of the broker's, which is why supervision is the broker's obligation and not merely an administrative arrangement.

**4.** Which activity would most likely constitute the unauthorized practice of law by a licensee?

**A. Drafting a custom contract provision to address a party's particular legal risk.**

B. Filling in the blanks of a standard purchase agreement form in the ordinary course of a transaction.

C. Explaining what a standard contingency provision generally does.

D. Recommending that a client consult an attorney about a title exception.

**Answer: A.** Composing legal language tailored to a party's legal risk crosses the line. Completing standard forms in the course of a transaction, explaining common provisions generally, and referring to counsel are all within a licensee's proper role.

**5.** Which source of authority governs a licensee's conduct most directly?

**A. Statutes and the Commissioner's Regulations, supplemented by case law, with brokerage policy operating within them.**

B. Local custom and practice in the licensee's market area.

C. The written policies of the licensee's brokerage, which control over general law.

D. The terms of the client's listing or representation agreement.

**Answer: A.** Statutes and regulations are the controlling authority, interpreted by case law; brokerage policy operates inside those limits and may be stricter but never looser. Custom and private agreements cannot displace them.

## Remediation set — served only after a failed engagement check

**1.** A licensee describes a home's built-in bookshelves as 'included in the sale.' On what basis are they most likely real property?

**A. They are affixed to the structure in a way indicating permanence, which makes them part of the real property unless the parties agree otherwise.**

B. They are included because the listing described them as included.

C. They are personal property, because shelving is furniture regardless of how it is attached.

D. They are real property only if the seller built them himself.

**Answer: A.** Attachment is the operative fact, with the parties free to agree otherwise. The listing description and the identity of the builder do not determine classification, and the function of an item does not override how it is affixed.

**2.** A consumer complains that a licensee misrepresented a property. Which body has authority to discipline the licensee's license?

**A. The Department of Real Estate, which may suspend, revoke, or restrict the license after its process.**

B. The local association of realtors, which controls licensure in its market area.

C. The escrow company, which may refuse to handle the licensee's future transactions.

D. The civil court, which may revoke the license as part of a damages award.

**Answer: A.** Licensing authority rests with the Department. Trade associations enforce membership rules rather than licensure, escrow can decline business but not discipline, and civil courts award remedies without revoking licenses.

**3.** A broker discovers that a salesperson accepted a referral fee directly from a lender. What is the problem?

**A. Compensation for licensed activity must be paid through the employing broker, not directly to the salesperson.**

B. There is no problem, because the fee came from a lender rather than from a client.

C. The problem is only that the salesperson did not disclose the fee to the broker.

D. The problem arises only if the referral fee exceeded a customary amount.

**Answer: A.** The routing of compensation is the defect, independent of the payer, the disclosure, or the amount — each of which raises its own separate questions.

**4.** Which participant in a transaction bears responsibility for confirming that a licensee's client understands the legal effect of a signed contract?

**A. An attorney, because the legal effect of an executed contract is outside the licensee's scope even though the licensee may explain standard provisions.**

B. The escrow holder, who reviews all transaction documents before closing.

C. The licensee, who is closest to the client and prepared the paperwork.

D. The title company, which insures the transaction.

**Answer: A.** Advising on legal effect belongs to counsel. Escrow is neutral and implements instructions, the licensee's role stops at general explanation, and title insurers address record title rather than contract interpretation.

**5.** Two licensees disagree about whether a practice is permitted; one cites long-standing local custom. How should the question be resolved?

**A. By checking the current statute and Commissioner's Regulations, since custom does not authorize conduct the law prohibits.**

B. By following the practice most common among established brokerages in the area.

C. By asking the local association of realtors to decide.

D. By adopting whichever interpretation better protects the client in the specific transaction.

**Answer: A.** This is the same principle as the source-of-authority question: custom is evidence of what people do, not of what is permitted. Prevalence, association guidance, and a good-outcome rationale cannot override the governing text.

# Real Estate Principles - Lesson Assignment 02

## Real property, personal property, and fixtures

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Distinguish real property from personal property and explain the consequences that follow from the classification.
- Apply the fixture tests to specific items and explain why the tests are applied together rather than in isolation.
- Explain what a trade fixture is, why it is treated differently, and what happens when it is not removed.
- Classify natural and artificial attachments, and apply the rules governing growing things.
- Describe water and mineral interests at the level a licensee must understand, and identify what belongs to a specialist.
- Prevent fixture disputes in a sale by naming disputable items rather than relying on the tests after the fact.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: classification and the fixture tests | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: trade fixtures and attachments | 50 | Sections 3-4 viewed |
| Guided reading: water and mineral interests, and dispute prevention | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Real versus personal property

### 1.1 The classification and why it matters

**Real property** is land, what is permanently attached to it, and the bundle of legal rights in it. **Personal property** — also called *personalty* or *chattels* — is everything else: movable things not permanently attached.

The classification is not academic. It determines a series of practical consequences, and this table is the reason the rest of the lesson exists.

| Question | Real property | Personal property |
|---|---|---|
| How is it transferred? | By **deed** | By **bill of sale** or delivery |
| Is the transfer recorded? | Yes, in the county records | Generally not |
| How is it described? | By legal description | By identification of the item |
| How is a security interest created? | Deed of trust or mortgage | Security agreement under commercial law |
| Does it pass with the property in a sale? | Yes, unless excluded | No, unless included |
| How is it taxed? | Real property taxation | Different treatment |
| Does the Statute of Frauds apply? | Yes, to interests in land | Depends on the transaction |

**The last two rows in bold are where transactions actually break.** A buyer assumes the refrigerator conveys; the seller assumes it does not. Both are relying on the default for a different classification.

### 1.2 The two directions of movement

Items do not stay in one category. They move, and the direction has a name.

**Annexation** — personal property becomes real property by being attached. Lumber in a yard is personal property; the same lumber framed into a house is real property.

**Severance** — real property becomes personal property by being detached. A tree growing on the land is real property; the same tree cut into firewood is personal property.

Severance can also occur **on paper**, without anything physically moving. A seller who contracts to sell standing timber, or who reserves the mineral rights in a deed, has severed those interests from the rest of the parcel by agreement.

### 1.3 The classification is made at a moment in time

The same object can be personal property on Monday and real property on Friday. What matters is its status **at the moment the question arises** — when the deed was delivered, when the lien attached, when the contract was signed.

> A homeowner buys a chandelier, keeps it boxed in the garage for a month, then installs it. Between purchase and installation it is personal property. After installation the fixture analysis applies to it.
>
> If the property is sold during that month, the boxed chandelier does not convey. If it is sold after installation, the analysis in Section 2 decides.

### 1.4 Why the default rules cause trouble

The defaults are opposite, and consumers do not know them:

> **Real property conveys unless excluded. Personal property does not convey unless included.**

Neither party is being unreasonable when a dispute arises over the washer and dryer. The buyer applies one default and the seller applies the other, and the contract said nothing.

Section 6 gives the professional answer, and it is not "know the tests better."

### 1.5 Why the classification produces litigation

Section 1.4 explains why the default rules cause trouble. The deeper reason is worth stating, because it explains why this topic occupies a whole lesson in a principles course rather than a paragraph.

**The classification decides four separate questions at once**, and the parties are usually thinking about only one of them.

| The question | What turns on the classification |
|---|---|
| **What conveys with the property** | Real property passes with the deed; personal property does not. **This is the question the parties are thinking about.** |
| **What the security instrument covers** | A lender's lien on real property does not automatically reach personal property, and different mechanisms apply to each. |
| **How the transfer is documented** | Real property transfers by deed and is recorded; personal property does not transfer that way. |
| **How it is taxed and assessed** | Different systems, different rates, and different timing. |

**Because four systems depend on one classification, an item's status can be contested by parties who were not at the negotiation** — a lender, an assessor, a lienholder, a trustee in a later proceeding. **The buyer and seller can agree on an item and still not have settled its status for every purpose.**

**Three practical consequences for a licensee.**

**An agreement between the parties resolves the contract question and not the others.** Writing "refrigerator included" settles what conveys between these two people. It does not determine how the item is treated for a lender's purposes or an assessor's.

**Value follows the classification in ways clients do not expect.** An item classified as real property is part of what was appraised and financed; an item that is personal property is not. **A transaction in which a substantial amount of value is personal property is a transaction where the financing may not cover what the buyer thinks he is buying.**

**The moment of classification is what gets litigated.** Section 1.3 makes the point that classification happens at a moment in time. **A dispute is almost always about what the item was on a particular date** — the date of the security instrument, the date of the contract, the date of the assessment — and the answer can differ across those dates for the same item.

> **What this means for the intake conversation in Section 6.3.** It is not a courtesy or a way to avoid an argument at the walkthrough. **It is the moment the licensee resolves a question that four different systems will otherwise answer independently and possibly inconsistently.**

### 1.6 Checkpoint

You should be able to state four consequences that follow from classifying an item as real rather than personal property.

## 2. Fixtures and the fixture tests

### 2.1 What a fixture is

A **fixture** is an item that was personal property and has become real property through attachment to the land or to an improvement. Having become real property, it conveys with the property unless excluded.

Most of the difficulty in this area is not in the definition. It is that reasonable people look at the same mounted television and disagree.

### 2.2 The tests

Courts apply several tests, and the common memory device is **MARIA**:

| Test | Question |
|---|---|
| **M** — Method of attachment | How is it attached? Can it be removed without damage? |
| **A** — Adaptability | Is it specially adapted to this property, or would it fit anywhere? |
| **R** — Relationship of the parties | What is the relationship — landlord and tenant, buyer and seller, lender and borrower? |
| **I** — Intention | Did the person who attached it intend it to become permanent? |
| **A** — Agreement | What did the parties agree? |

### 2.3 The two tests that actually decide

The five are not equal in weight, and students who treat them as a checklist get the wrong answers.

**Intention is generally the most important test.** The others are largely evidence of it. The question courts return to is what the annexor intended at the time of attachment — and because intention is invisible, it is inferred from how the item was attached, how well it was adapted, and what the parties said.

**Agreement overrides everything.** Where the parties have expressly agreed that an item conveys or does not, the tests never have to be applied. This is why Section 6 concludes that the professional response to fixture questions is documentary rather than analytical.

### 2.4 Method of attachment, worked

The intuition — bolted down means fixture, plugged in means personal property — is a decent first approximation and is frequently wrong.

| Item | Attachment | Typical analysis |
|---|---|---|
| Built-in dishwasher | Plumbed and secured, cabinet cut to fit | Fixture. Adaptation is strong even though removal is possible |
| Freestanding refrigerator | Plugged in, water line sometimes connected | Usually personal property, and the single most disputed item in residential practice |
| Wall-mounted television | Bracket bolted to studs; the set lifts off | **The bracket and the set are frequently treated differently**, which is exactly why it is named in contracts |
| Chandelier | Hardwired, hangs from a ceiling box | Fixture, and among the most commonly removed by sellers who assumed otherwise |
| Above-ground spa | Sits on a pad, may be wired | Contested. Adaptation and wiring pull one way; portability pulls the other |
| Storage shed | Sits on the ground under its own weight | Depends heavily on whether it is anchored and on local practice |
| Window coverings | Rods mounted; panels slide off | Rods usually fixtures; panels often disputed |
| Security cameras and smart devices | Mounted, often tied to an account | Increasingly disputed, and the account access is a separate problem |

Notice that the table's honest answer for several items is "disputed." That is the state of the law, not a gap in the lesson.

### 2.5 Adaptability

An item specially adapted to this property points toward fixture status even when it is easy to remove. Custom storm windows cut to these openings, a key to this lock, and shelving built to these alcove dimensions are all evidence that the annexor meant them to stay — because they are worth much less anywhere else.

### 2.6 Relationship of the parties

The same item can be classified differently depending on who is arguing:

- **Between buyer and seller**, doubt is generally resolved in favor of the buyer — the item stays.
- **Between landlord and tenant**, doubt tends to favor the tenant, particularly for trade fixtures.
- **Between lender and borrower**, doubt tends to favor the lender, whose security was measured by the property as it stood.

This is why "is it a fixture?" is an incomplete question. **A fixture as between whom?**

### 2.7 A worked fixture analysis

> **The property**, a single-family home. In dispute at the walkthrough:

- **(a)** A wall-mounted television, on a bracket the seller installed and left.
- **(b)** Custom window coverings cut to fit each window.
- **(c)** A chandelier in the dining room, which the seller says was his grandmother's.
- **(d)** A shed in the back yard, resting on gravel, not bolted.
- **(e)** A wine refrigerator installed into a cabinet opening built for it.
- **(f)** An above-ground pool with plumbing to a permanent pump on a concrete pad.
- **(g)** Mature roses the seller dug up the morning of the walkthrough.

**Applying the tests in Sections 2.2 through 2.6 — and Section 2.3's point governs: attachment and the parties' intent as objectively evidenced do most of the work.**

**(a) The television and the bracket are usually treated differently.** The bracket is attached; the television sits on it and is removed without damage. **The typical analysis separates them**, and this is exactly why the naming list in Section 6.2 exists — the analysis is defensible and the parties still both believed something else.

**(b) The window coverings are the classic fixture.** Adapted to this property specifically, cut to these windows, useless elsewhere. **Adaptability, Section 2.5, is decisive.**

**(c) The chandelier's sentimental history is legally irrelevant.** It is attached, it serves the room, and an outside observer would take it as part of the house. **The seller's subjective intent does not control**, which is the hardest point in this section for clients to accept. **The professional answer is to have replaced it before listing** — Section 6.3 — not to argue about it at the walkthrough.

**(d) The shed is the genuinely uncertain one.** Not attached, resting on gravel, movable. **Size, permanence in appearance, and whether it was treated as part of the property all matter**, and reasonable people reach different answers. **An item whose analysis is uncertain is an item to name in the agreement**, which is the entire point of the naming list.

**(e) The wine refrigerator is a fixture** by adaptation and attachment — the cabinet opening was built for it, and its removal leaves a hole that fits nothing else.

**(f) The pool is attached through its plumbing and pad** notwithstanding that it is called above-ground. **The label is not the test.**

**(g) The roses were real property until the seller severed them**, and severing them the morning of the walkthrough is removal of part of the property the buyer contracted for. Section 4.4's timing point governs. **This is not a fixture argument; it is a removal of the real property itself.**

**What the licensee does with all seven.** Nothing at the walkthrough. **The analysis above is what a court would do; the licensee's role is Section 6.6's limit** — identify the issue, decline to declare the outcome, and take it to the broker while the parties consider their options.

**What the licensee should have done six weeks earlier:** named (a), (c), (d), (e), and (f) in the agreement, and asked at intake whether the seller intended to take anything. **Five of the seven disputes would not exist.**

## 2.9 The affixation statute, in its own words

Section 2.2 gave the fixture tests as the courts apply them. Underneath those tests is a statutory definition, and it is worth reading because it explains why the tests take the shape they do.

**Civil Code § 660** defines affixation:

> *"A thing is deemed to be affixed to land when it is attached to it **by roots**, as in the case of trees, vines, or shrubs; or **imbedded in it**, as in the case of walls; or **permanently resting upon it**, as in the case of buildings; or **permanently attached to what is thus permanent**, as by means of cement, plaster, nails, bolts, or screws; except that for the purposes of sale, emblements, industrial growing crops and things attached to or forming part of the land, which are agreed to be severed before sale or under the contract of sale, shall be treated as goods and be governed by the provisions of the title of this code regulating the sales of goods."*

**Four modes of attachment, and they are not equivalent.**

**By roots.** Trees, vines and shrubs are affixed because they are rooted. Nothing about intention or adaptation enters. A mature avocado tree is part of the land in the same way a foundation is.

**Imbedded in it.** Walls, footings, buried tanks, in-ground pools. The thing is *in* the land rather than *on* it.

**Permanently resting upon it.** Buildings. Note the word doing the work: *permanently*. A structure that rests on the land by its own weight and is meant to stay is affixed; a shipping container parked on a lot for a season is not, and neither is a mobile home that remains registered as a vehicle.

**Permanently attached to what is thus permanent** — *"as by means of cement, plaster, nails, bolts, or screws."* This is the fourth and by far the most litigated mode, and it is the statutory root of the "method of attachment" test in Section 2.2. The Legislature named the fasteners: **cement, plaster, nails, bolts, screws.** A thing bolted to a building that is itself affixed becomes affixed by that bolting.

**The list of fasteners also tells a licensee what is *not* in it.** A hook, a bracket that slides out, a plug in a socket, a hose on a bibb — none is cement, plaster, a nail, a bolt or a screw. This is why a chandelier hard-wired into a ceiling box is usually a fixture and a floor lamp is not, and why the answer to "is the television a fixture" depends on whether the mount is screwed to the wall and whether the television comes off it.

## 2.10 The emblements carve-out, and why it matters at closing

The tail of § 660 is a genuine exception rather than an elaboration, and it is easy to read past:

> *"except that **for the purposes of sale**, emblements, industrial growing crops and things attached to or forming part of the land, **which are agreed to be severed before sale or under the contract of sale**, shall be treated as goods…"*

**Three conditions, all required.** The exception operates *for the purposes of sale*; it covers *emblements and industrial growing crops* and things forming part of the land; and it applies only where severance *is agreed* before the sale or in the contract of sale.

**Emblements** are annual crops produced by cultivation — the harvest a tenant farmer plants and expects to reap. **Industrial growing crops** covers the commercial equivalent. The Legislature's judgment is that a growing crop which the parties have agreed will be cut and taken is economically a good, not land, and should be governed by the law of sales.

**What this means in practice, for a licensee who will mostly sell houses.** The carve-out is narrow and it is agreement-driven. It does not make crops personal property in general; it makes them personal property *when the parties have agreed to sever them in connection with the sale.* A seller who wants to take the roses cannot rely on § 660's tail, because roses are not emblements and nothing was agreed. **The instrument that solves the rose problem is the purchase agreement, not the Civil Code**, which is the same conclusion Section 6.1 reaches by a different road.

**A worked application.**

> A ten-acre parcel sells in June. Standing on it: an almond orchard in its eighth year; forty rows of strawberries the seller planted in March and intends to harvest in July; a steel-frame packing shed bolted to a concrete slab; and a portable irrigation pump on skids, connected by a quick-release coupling.

| Item | § 660 analysis | Result |
|---|---|---|
| Almond trees | Attached **by roots** | Real property. Not emblements — a perennial orchard is not an annual crop. |
| Strawberries | Annual cultivated crop; **emblements** if severance is agreed in the contract of sale | Personal property **only if the contract says so**. Silence leaves them with the land. |
| Packing shed | **Bolted** to a slab that is itself imbedded | Real property under the fourth mode. |
| Irrigation pump | On skids, quick-release coupling — none of the named fasteners | Personal property. |

**The professional lesson is the same one Section 2.8 draws:** the analysis is quick and the dispute is expensive, so the item goes in the contract. § 660 tells you who wins an argument nobody should be having.

### 2.11 Checkpoint

You should be able to apply the tests to an item, say which test is doing the work, and explain how the relationship of the parties changes the outcome.

## 3. Trade fixtures

### 3.1 What they are

A **trade fixture** is an item a tenant attaches to leased premises for the conduct of the tenant's trade or business.

Trade fixtures are treated differently from ordinary fixtures, and the difference exists for a straightforward commercial reason: businesses would not be able to operate in leased space if their equipment became the landlord's property on installation.

### 3.2 The rule

> **A tenant may generally remove trade fixtures at or before the end of the tenancy, and must repair the damage removal causes.**

Two limits carry most of the practical consequences.

**Timing.** Removal happens during the tenancy or within the period the lease or the law allows. A tenant who leaves and comes back a month later has usually lost the right.

**Accession.** Trade fixtures not removed in time may become the landlord's property. This is the rule that surprises tenants, and it converts a valuable asset into a gift by inattention.

### 3.3 What is and is not a trade fixture

| Item in a leased restaurant | Analysis |
|---|---|
| Walk-in refrigeration installed by the tenant | Trade fixture |
| Commercial hood and exhaust installed by the tenant | Trade fixture, though removal damage can be substantial |
| Bar and back-bar built by the tenant | Trade fixture |
| New roof paid for by the tenant | **Not** a trade fixture — a building improvement, not trade equipment |
| Upgraded electrical service to the building | Generally an improvement to the realty |
| Signage on the building | Frequently a trade fixture, subject to the lease |

The distinction runs between **equipment used in the business** and **improvements to the building itself.**

### 3.4 The lease usually decides

As with ordinary fixtures, agreement controls. Commercial leases routinely address what the tenant may install, what may be removed, the condition on removal, and whether restoration is required. A well-drafted lease makes the trade fixture analysis unnecessary.

Where a lease is silent, the parties are left to argue about categories — which is expensive and avoidable.

### 3.5 Why licensees need this

Licensees encounter trade fixtures in three situations: leasing commercial space, selling a building occupied by a commercial tenant, and property management. In each, the practical question is the same:

> **What is in this space that belongs to someone other than the owner, and what does the lease say happens to it?**

A buyer purchasing a leased commercial building who assumes the tenant's equipment conveys has misread the transaction.

### 3.6 Checkpoint

You should be able to distinguish a trade fixture from a building improvement and state what happens to a trade fixture that is not removed in time.

## 4. Natural and artificial attachments

### 4.1 The two categories

**Natural attachments** are things growing on the land. **Artificial attachments** are things people have placed there — buildings, fences, walls, paving, and the fixtures already discussed.

Both are ordinarily real property. The interesting rules concern the natural ones.

### 4.2 Trees, shrubs, and perennial growth

Growing things that do not require annual cultivation — trees, shrubs, perennial grasses — are generally real property and convey with the land.

Two practical consequences:

- **A seller who removes mature landscaping before closing** has removed real property, and it is a contract problem rather than a matter of taste.
- **A tree on a boundary** raises questions about trunk location, encroaching branches and roots, and who may cut what. That is a legal question, and the licensee's role is to identify it and refer it.

### 4.3 Crops requiring annual cultivation

Crops that require annual planting and cultivation are treated differently and are generally regarded as **personal property**, even while growing and attached.

The reasoning is economic. Annual crops represent the cultivator's labor and investment for the season rather than a permanent characteristic of the land, and treating them as personal property allows them to be sold, pledged, and harvested independently of the land.

> **The consequence in a sale:** a growing annual crop does not automatically pass to a buyer of the land the way an orchard does. In agricultural transactions this must be addressed expressly — who owns the crop in the ground, who harvests it, and who bears the cost.

The distinction between a **perennial orchard** and an **annual row crop** is the one to hold. The orchard is part of the land; the season's tomatoes are not.

### 4.4 Severance and its timing

Growing things become personal property when severed — by cutting, or by a contract that severs them on paper. The same standing timber can be real property in the morning and, following a contract for its sale, treated as personal property that afternoon.

For a licensee the practical point is that **a contract can change the classification without anything physically moving**, and a transaction involving timber, crops, or minerals may have had its classification altered by an agreement that does not appear in the deed.

### 4.5 Artificial attachments and the surprise cases

Most artificial attachments are unremarkable. Three are worth naming because they generate disputes:

**Fences and walls.** Ordinarily real property. Location is the recurring issue — a fence built years ago is not evidence of the boundary, and a survey is what answers the question.

**Improvements built by mistake on another's land.** These raise encroachment questions taken up in Lesson 05, and they are legal questions.

**Solar panels and similar systems.** Frequently subject to a lease or a financing arrangement that does not convey automatically with the property. A licensee who assumes the panels convey has skipped a question that changes what the buyer receives and what the buyer owes.

### 4.6 Checkpoint

You should be able to explain why an orchard and a field of annual vegetables are classified differently, and state what a licensee should do about solar panels on a listing.

## 5. Water and mineral interests

### 5.1 The scope of this section

Water and mineral rights are specialist areas. What a licensee needs is enough to **recognize when the question is present, ask the right question at intake, and refer it** — not enough to advise on it.

That framing is the section's most important content, and it applies to every rule below.

### 5.2 Water rights, in outline

California recognizes more than one basis for the right to use water, and the framework is complex, contested, and beyond the scope of a licensee's advice.

| Concept | In outline |
|---|---|
| **Riparian rights** | Rights arising from ownership of land bordering a watercourse, to reasonable use of that water |
| **Appropriative rights** | Rights arising from the diversion of water to beneficial use, under a system of priority |
| **Groundwater** | Water beneath the surface, subject to its own body of law and increasingly to management regimes |
| **Percolating and surface water** | Distinguished from a defined watercourse, with different treatment |

**Two doctrines a licensee should know by name.** Under **littoral** rights, ownership adjoins a lake or sea rather than a flowing watercourse. Under **accretion**, land gradually added by deposit generally belongs to the owner; under **avulsion**, a sudden change generally does not shift boundaries.

### 5.3 The questions to ask at intake

For rural, agricultural, or unimproved property, these questions belong at the listing appointment:

1. **What is the water source?** Municipal, well, shared well, mutual water company, district?
2. **If a well: what is its documented production and quality?** When was it tested?
3. **Is any water right appurtenant to the parcel, and is it documented?**
4. **Is the property within a groundwater management area, and what does that mean here?**
5. **Are there shared-facility agreements** — a shared well, a pipeline, an easement for access?
6. **Is the supply sufficient for the buyer's intended use?**

A licensee marketing rural property who has not asked about source, adequacy, and rights has skipped the question that determines whether the property is usable as intended.

### 5.4 Mineral rights

Ownership of land includes the subsurface, but **mineral rights can be severed** — sold or reserved separately — and once severed they stay severed through subsequent transfers.

Two consequences:

**A buyer may receive land whose minerals belong to someone else.** This appears in the preliminary report as an exception, and the licensee's role is to ensure the buyer sees it, obtains the underlying document, and understands that it is a title matter for review rather than a formality.

**The mineral estate may carry surface access rights.** The holder of severed mineral rights may have rights to reach them, which can affect the surface owner's use. Whether and how is a legal question.

### 5.5 Oil, gas, and support

Oil and gas are treated under their own body of law, reflecting that they migrate rather than sit in a fixed place.

Two related concepts a licensee should be able to name:

**Lateral support** — the support a parcel receives from adjoining land. An excavation next door that causes a neighbor's land to subside raises a real claim.

**Subjacent support** — support from beneath. Relevant where subsurface rights are severed and extraction affects the surface.

### 5.6 What the licensee actually does

For every topic in this section, the professional response is the same three steps:

1. **Recognize** that the question is present — from the property type, the preliminary report, or the seller's answers at intake.
2. **Ask the intake questions** and obtain the documents.
3. **Refer** the interpretation to counsel, and the technical questions to the appropriate specialist, before the buyer's contingency expires.

A licensee who tells a buyer that a severed mineral interest is "standard and nothing to worry about" has given a legal opinion on a document neither of them has read.

### 5.7 What the intake questions are actually protecting against

Section 5.3 supplies the intake questions and Section 5.6 supplies what the licensee does. This section explains what goes wrong when the questions are not asked, because the failures are specific and expensive.

**The rural parcel with no confirmed water.** A buyer purchases acreage intending to build. **The water question was never asked**, and it turns out the parcel's supply depends on an arrangement whose status is unclear. **The buyer has bought land he cannot use as intended**, and the cost of discovering this after closing is the difference between the parcel's value with water and without.

**The property with severed mineral rights.** A buyer discovers after closing that the mineral estate was severed decades ago, and that the holder has rights of access. **Nothing was concealed** — it appears in the title report's exceptions. **Nobody read them to the buyer**, and Lesson 11 of the practice course explains why a preliminary report is a document with content rather than a form to be forwarded.

**The shared well.** Two or more properties served by one source, governed by an agreement whose terms determine cost sharing, maintenance responsibility, and what happens when the source fails. **A buyer who did not obtain and read the agreement has bought into an obligation he cannot describe.**

**The property whose historical use suggests a problem.** Prior agricultural, industrial, or fuel-storage use, on a parcel that now looks residential. **The question is not whether the licensee can assess it** — he cannot — **but whether he recognized that it should be assessed by someone who can.**

**The surface-use agreement nobody located.** A recorded instrument granting access, drilling, or extraction rights, discoverable in the title report and never discussed.

**What all five have in common. In none of them did anyone conceal anything.** The information existed, in a title report, a recorded instrument, a public record, or the seller's own knowledge — and no one connected it to a question the buyer needed answered before he decided.

**The licensee's contribution in each case is the same**, and it is not expertise:

1. **Ask the question at intake**, so the issue is identified while there is time.
2. **Obtain the underlying documents** rather than the one-line description of them.
3. **Recommend the right specialist in writing** — a water professional, a title officer, counsel, an environmental professional.
4. **Record the recommendation and the client's response.**

> **The recurring theme of this lesson.** These are technical subjects the licensee does not practice in. **What he is responsible for is noticing that the transaction has walked into one**, and the noticing is done with a checklist of questions rather than with knowledge.

## 5.9 Water rights, in the categories California actually uses

Section 5.2 introduced water as an appurtenance. California's water law is a hybrid — it recognises two systems that developed separately and then had to live together — and a licensee should know the categories well enough to recognise which one a client's question falls into.

| Right | Attaches to | In outline |
|---|---|---|
| **Riparian** | Land **bordering** a natural watercourse | A right, correlative with other riparian owners, to reasonable use on the riparian land. Not lost by non-use |
| **Appropriative** | A person, by taking and using water | Priority runs by seniority — first in time, first in right. May be lost by non-use |
| **Overlying (groundwater)** | Land **above** an aquifer | Analogous to riparian: reasonable use on the overlying land, correlative with other overlying owners |
| **Prescriptive** | Use adverse to another's right for the statutory period | Contested, fact-specific, and litigated |
| **Pueblo** | Certain cities of Spanish or Mexican origin | Municipal; not a private landowner's concern |

**Two organising ideas make the table intelligible.**

**Riparian and overlying rights come with the land; appropriative rights come with the taking.** A riparian owner has a right because of where the land is. An appropriator has a right because of what they did and when they started.

**Everything in California is subject to reasonable and beneficial use.** No right in the table is a right to waste water, and the scope of every one of them is measured by what use is reasonable — which is why California water rights are less like a quantity and more like a share of a variable resource.

**This course does not read the water statutes or the constitutional provision in their own text.** No quantity, priority date, permitting requirement, adjudication procedure or reporting obligation in this assignment comes from them. **Groundwater in particular is now governed by a substantial statutory scheme of basin management that is outside this course entirely.**

## 5.10 What a licensee must recognise about water and minerals

**The questions that mean "stop and route this."**

**"Does the property have water?"** For a rural parcel this is the most consequential question in the transaction, and it has three separate parts: is there a **legal right** to the water; is there a **physical source** — a well, a district connection; and is the water **potable and adequate**, which is a testing question. A property can have any one without the others.

**"Is the well permitted, and what does it produce?"** A well permit, a well completion report, and a pump test are documents. A seller's recollection is not.

**"Is there a water district, and what does it require?"** A will-serve letter, connection fees, and availability are district questions with district answers.

**"Who owns the minerals?"** Mineral rights are frequently severed in California, often long ago, and a severance appears in the title chain rather than on the land. **A severed mineral estate may carry a right of surface access**, which is a materially different thing to own next to a house than a mere royalty interest.

**"What is that pipeline easement?"** Oil, gas and water conveyance easements are common in parts of the state, and their terms — width, access, the right to enter and maintain — are in the recorded instrument, not in the one-line title exception.

**A worked situation.**

> A buyer is purchasing 12 acres with a house and an old orchard. The seller says the property has "riparian rights on the creek and a good well." The preliminary report shows a mineral reservation from 1948 in favour of an oil company, and an exception for "water rights, as reserved in the deed recorded [date]."

**Three problems, and the seller has described none of them.**

**Water rights may have been reserved away.** The exception in the report says a prior deed reserved water rights. **If they were reserved, the buyer is not acquiring them**, and "riparian rights on the creek" describes what the land would have if nobody had reserved them.

**The 1948 mineral reservation is live until it is examined.** The question is not whether oil will be drilled; it is **whether the mineral owner has a right of surface entry**, which is answered by reading the 1948 instrument.

**The well is a separate question from the water right.** A well can be lawful and productive on land whose surface water rights were reserved, or unlawful and unpermitted on land with excellent rights.

**What the licensee does:** obtain both recorded instruments, give them to the buyer, and say in writing that water and mineral rights are legal questions for counsel and that well adequacy is a testing question for a qualified professional. **What the licensee does not do is repeat the seller's summary**, which is how a licensee ends up having represented that a buyer was acquiring rights they were not.

### 5.11 Checkpoint

You should be able to list the water questions you would ask on a rural listing and explain what a severed mineral interest means for a buyer.

## 6. Fixture disputes in a sale

### 6.1 The professional answer

Everything in Sections 1 through 4 describes how a dispute is **resolved**. This section is about not having one.

> **The professional practice is to make the fixture tests unnecessary by naming the disputable items in the agreement.**

Agreement overrides the tests. A contract that says the chandelier stays and the mounted television goes has answered the question, and no analysis of intention or adaptation is required.

## 6.2 The naming list

In most residential transactions, these are worth addressing expressly:

- Appliances — refrigerator, washer, dryer, freestanding range
- Window coverings — rods and panels separately
- Mounted televisions **and their brackets**
- Chandeliers and distinctive light fixtures
- Above-ground spas and portable water features
- Storage sheds and outbuildings
- Security cameras, doorbells, thermostats, and other smart-home devices
- Water treatment and filtration systems
- Mounted shelving and closet systems
- Potted and container plantings
- Anything the seller has mentioned intending to take
- Anything the buyer has admired aloud

The last two are the practical ones. **A seller who says "I'll be taking the dining room fixture, it was my grandmother's" has just told you what to name in the contract.** A licensee who nods and writes nothing has created the dispute.

## 6.3 The intake conversation

The right time is the listing appointment, and the right question is direct:

> "Before we photograph, walk me through anything you're planning to take with you — light fixtures, appliances, anything mounted, anything with sentimental value. I'd rather name it now than have it come up two days before closing."

This costs five minutes and prevents the most common non-financial dispute in residential practice.

## 6.4 Marketing consistency

A second source of disputes is the gap between marketing and contract. If the photographs show the chandelier, the description mentions the built-in wine refrigerator, and the seller intends to take both, the buyer has been shown something he is not getting.

**Photographs are advertising**, and they are held to the truthfulness standard. Where staging includes items that are not conveying — or where the seller intends to remove a photographed fixture — say so in the marketing rather than leaving it for the walkthrough.

### 6.5 When it surfaces at the walkthrough

The final verification confirms that included items are present. Where a named item is missing:

1. **Document it** — photographs and dated notes.
2. **Address it through the contract before closing**, because the ordinary leverage disappears at closing.
3. **Do not instruct escrow to hold funds** — escrow acts only on mutual written instructions.
4. **Do not close and pursue afterward**, which converts a solvable issue into a claim.

### 6.6 The licensee's limits

Where the parties genuinely dispute whether an item was a fixture and the contract is silent, the licensee's role is to state what the contract says, document the positions, and escalate. **Whether a particular item was a fixture is a legal conclusion** the licensee should not deliver, however clear it seems.

The honest position is: "The contract doesn't name it, which means this comes down to how the law classifies it. That's a question for counsel, and here's what I can do in the meantime."

### 6.7 The habits that eliminate the category

Fixture disputes are among the most preventable problems in a transaction, and three habits eliminate nearly all of them.

**One: the seller names what he is taking, before listing.** Section 6.3's intake conversation, asked directly — "is there anything here you intend to take with you?" — and written down. **The chandelier, the appliance, the light fixture, the plant, the mounted equipment.** The best answer is that the seller removes and replaces it before any photograph is taken, so no buyer ever saw it.

**Two: the marketing shows what conveys.** Section 6.4's consistency requirement. **A photograph is a representation**, and a buyer who saw an item in the listing and does not find it at the walkthrough has a grievance whatever the fixture analysis says. Where an item appears in a photograph and is excluded, **the exclusion is stated where the photograph is**, not buried in a document delivered later.

**Three: the uncertain items are named in the agreement.** Not the obvious ones — the uncertain ones. **Section 2.7's shed, television bracket, and wine refrigerator are the items to name**, because the items whose classification is clear do not produce disputes.

**A fourth habit for the buyer's side**, less often stated: **walk the property asking what the buyer assumes is included.** Lesson 08 of the practice course makes the same point about the agreement generally — "if it matters to you and it isn't written down, it isn't part of the deal" — and fixtures are where that sentence earns its keep. **A buyer who assumed the play structure, the workbench, or the water softener conveys should learn now rather than at the walkthrough.**

> **Why this is worth a licensee's time.** The amounts in dispute are usually small and the damage is not. **A transaction that reaches the walkthrough and turns into an argument about a chandelier has lost the goodwill that was carrying every other unresolved item**, and the closing that was on schedule is now a negotiation between people who are angry.

**And the limit, restated.** Section 6.6 applies to all of it. **When a dispute arises anyway, the licensee identifies the issue and declines to declare who is right.** The classification of a contested item is a legal question, and a licensee who announces the answer at the walkthrough has given legal advice under pressure to a party who will rely on it.

## 6.9 A fixture schedule, and how to build one

Sections 6.1 to 6.4 explained why fixture disputes happen and how the contract prevents them. This section is the working method: how a licensee actually walks a property and produces a schedule that survives a closing.

**Walk the property with the list in hand, not from memory.** The recurring items, in the order a walk-through encounters them:

| Location | Items that generate disputes | Usual § 660 answer | What to do |
|---|---|---|---|
| Exterior | Satellite dish, mounted address plaque, playground equipment, potted trees, fountain | Bolted or footed items are affixed; pots are not | List anything the seller wants, by name |
| Entry and halls | Mirrors, coat hooks, security keypad, doorbell camera | Screwed items affixed; adhesive items argued | Name the doorbell camera specifically — it is the most common single dispute |
| Kitchen | Range, refrigerator, dishwasher, microwave, wine cooler, pot rack | Built-in affixed; freestanding not | Say which appliances convey, by appliance |
| Living areas | Wall-mounted television and its bracket, speakers, shelving, curtains, rods, blinds | Brackets and rods affixed; the television and the curtains are personal | **Bracket and television are usually separated** — name both |
| Bedrooms | Closet organizers, ceiling fans, wall safes | Screwed and wired items affixed | Wall safes: name the safe and whether it is emptied |
| Garage and utility | Cabinets, workbench, water softener, generator, EV charger, shelving | Bolted items affixed; leased equipment is neither party's to convey | **Ask whether any of it is leased** |
| Systems | Solar array, propane tank, alarm panel, irrigation controller | Usually affixed, but ownership is the question | Leased or financed equipment needs its own line |

**The three questions that resolve most items before the fixture tests are needed.**

1. **Is it attached by cement, plaster, nails, bolts, or screws?** If yes, it is presumptively real property and the seller must ask for it in writing to take it.

2. **Is it leased, financed, or subject to a service contract?** A leased solar array or propane tank is not the seller's to convey, and the transfer of the agreement is a separate transaction that will not happen by itself.
3. **Does the seller want it?** If so, it comes out of the schedule now and not in a phone call the week of closing.

### 6.10 Two worked disputes, and what each cost

> **Dispute one — the mounted television.** The listing photographs show a large television on a living-room wall. The purchase agreement is silent. At final walk-through the television is gone and so is the bracket, leaving four anchor holes and torn drywall.

**The television is personal property.** It rests in a bracket and is not attached by any means § 660 names. **The bracket is a fixture**: it is screwed to the wall, which is imbedded and therefore permanent, and screws are on the statutory list. Removing the bracket removed a fixture, and doing it badly caused damage.

**What the parties will argue about is not the law.** They will argue about the photographs, because the buyer will say the television was shown and therefore included. **The photograph is not the contract**, and a buyer relying on a listing image has relied on marketing rather than on an agreement — which is precisely the failure Assignment 01 Section 6.2 describes. The cost of the dispute exceeded the value of the bracket within the first hour.

> **Dispute two — the leased solar array.** A seller's disclosure describes "solar panels — owned." Escrow closes. Two months later the buyer receives an invoice from a solar finance company and discovers a twenty-year lease with an escalating payment and a UCC filing against the property.

**This is a different order of problem, and it is not a fixture dispute at all.** The panels are affixed and would pass with the land if the seller owned them. The seller did not own them. **A licensee cannot verify ownership of a solar array by looking at it**, and the two documents that would have surfaced the lease — the preliminary report, which would show the financing statement, and a direct question in writing to the seller — both existed and were available.

**The habit that prevents it:** treat every solar array, propane tank, water-treatment system, security system and EV charger as **presumptively encumbered until a document says otherwise**, and put the question in writing. A seller who answers "owned" in writing has made a representation; a seller who was never asked has not.

**Both disputes share a shape.** Neither turned on a difficult legal question — § 660 answers both in a sentence. Both turned on a question nobody asked in time. **The fixture law is easy and the fixture schedule is the work.**

### 6.11 Checkpoint

You should be able to run the intake conversation, produce the naming list for a specific property, and state the correct sequence when an item is missing at the walkthrough.

## Key terms

| Term | Definition |
|---|---|
| **Real property** | Land, permanent attachments, and the bundle of legal rights. Transfers by deed, is recorded, and **conveys unless excluded**. |
| **Personal property** | Movable things not permanently attached. Transfers by bill of sale or delivery, and **does not convey unless included**. |
| **Annexation** | Personal property becoming real property by attachment. |
| **Severance** | Real property becoming personal property by detachment — physically, or **on paper** by contract or reservation. |
| **Fixture** | An item that was personal property and became real property through attachment. Conveys unless excluded. |
| **MARIA** | Method of attachment, Adaptability, Relationship of the parties, Intention, Agreement. |
| **Intention** | Generally the most important test. The other tests are largely evidence of it, since intention itself is invisible. |
| **Agreement** | The test that overrides the others. Where the parties named the item, the analysis is never reached. |
| **Adaptability** | Special adaptation to this property — custom storm windows, a key to this lock — pointing toward fixture status even where removal is easy. |
| **Relationship of the parties** | Why "is it a fixture?" is incomplete. Doubt tends to favor the buyer against a seller, the tenant against a landlord, and the lender against a borrower. |
| **Trade fixture** | An item a tenant attaches to leased premises for the tenant's trade or business, generally removable at or before the end of the tenancy, with repair of removal damage. |
| **Accession** | The rule by which trade fixtures not removed in time may become the landlord's property. |
| **Building improvement** | A change to the building itself rather than trade equipment — a new roof, upgraded service. Not a trade fixture. |
| **Natural attachment** | Things growing on the land. |
| **Artificial attachment** | Things people placed — buildings, fences, walls, paving. |
| **Perennial growth** | Trees, shrubs, and growth not requiring annual cultivation. Generally real property, conveying with the land. |
| **Annual crop** | Growth requiring annual planting and cultivation. Generally **personal property**, even while growing, because it represents the season's labor rather than a permanent characteristic of the land. |
| **Riparian rights** | Rights arising from ownership of land bordering a watercourse, to reasonable use. |
| **Appropriative rights** | Rights arising from diversion to beneficial use, under a system of priority. |
| **Littoral rights** | Rights of an owner adjoining a lake or sea rather than a flowing watercourse. |

| Term | Definition |
|---|---|
| **Accretion and avulsion** | Gradual deposit, which generally benefits the owner; and sudden change, which generally does not shift boundaries. |
| **Severed mineral rights** | Subsurface rights sold or reserved separately. Once severed they stay severed, appear as a title exception, and may carry surface access rights. |
| **Lateral and subjacent support** | Support a parcel receives from adjoining land, and from beneath. |
| **Naming the item** | The professional practice that makes the fixture tests unnecessary. |

## Practice problems

### Problem 1

A buyer and seller dispute the refrigerator. The buyer says it was in the house when he saw it and nobody said it was going. The seller says appliances are obviously hers and she never offered it. The contract is silent.

**Explain why both are reasoning correctly, and state the professional failure.**

> **Solution.** They are applying **opposite defaults, and each default is correct for its own category.** Real property conveys unless excluded; personal property does not convey unless included. The buyer looked at the house and applied one; the seller looked at her appliance and applied the other.
>
> A freestanding refrigerator is usually personal property — which makes it the single most disputed item in residential practice, because it is also the item buyers most reliably assume conveys.
>
> **The professional failure is the silent contract.** Neither party did anything unreasonable. The licensee had one job in this dispute — to name the item at the listing appointment — and did not do it.

### Problem 2

Apply the tests to a wall-mounted television and its bracket, a hardwired chandelier, and a custom storm window cut to fit one opening.

**State which test does the work in each.**

> **Solution. The television and bracket: method of attachment separates them.** The bracket is bolted to studs and cannot come off without damage; the set lifts off. They are frequently treated differently, which is exactly why both are named in contracts rather than analyzed.
>
> **The chandelier: attachment plus intention.** Hardwired into a ceiling box, it is ordinarily a fixture — and it is among the most commonly removed by sellers who assumed otherwise, usually for sentimental reasons.
>
> **The storm window: adaptability.** It is easy to remove and worth very little anywhere else, and that special adaptation is evidence the annexor meant it to stay. The same reasoning covers a key to this lock and shelving built to these alcove dimensions.

> **What transfers:** the five tests are not a checklist of equal weight. **Intention is generally the most important**, and the others are largely evidence of it — because intention itself is invisible and must be inferred.

### Problem 3

The same above-ground spa is argued over in three settings: between a buyer and a seller at closing; between a landlord and a tenant at the end of a lease; and between a lender and a borrower after default.

**Does the analysis change?**

> **Solution.** The item is identical and the outcome may differ, because **"is it a fixture?" is an incomplete question. A fixture as between whom?**
>
> **Buyer and seller:** doubt is generally resolved in favor of the buyer — the item stays.
>
> **Landlord and tenant:** doubt tends to favor the tenant, particularly where the item is a trade fixture.
>
> **Lender and borrower:** doubt tends to favor the lender, whose security was measured by the property as it stood when the loan was made.
>
> The spa itself is genuinely contested on the other tests — adaptation and wiring pull toward fixture, portability pulls away — which is why the relationship test carries more weight here than it would for a hardwired chandelier.

### Problem 4

A restaurant tenant installed walk-in refrigeration, a commercial hood, a built bar, and a new roof. The lease is silent on removal. The tenant vacates on the last day of the term, returns three weeks later for the equipment, and finds the landlord has changed the locks.

**Classify each item and assess the timing.**

> **Solution. Trade fixtures:** the refrigeration, the hood, and the bar — equipment the tenant attached for the conduct of its business, removable at or before the end of the tenancy with repair of the damage removal causes. The hood's removal damage may be substantial, and repairing it is the tenant's obligation, not a reason the fixture is not removable.
>
> **Not a trade fixture:** the roof. That is a **building improvement** rather than trade equipment, and the distinction runs exactly there.
>
> **The timing is fatal.** Removal happens during the tenancy or within the period the lease or law allows. A tenant who vacates and returns three weeks later has usually lost the right, and under **accession** the unremoved trade fixtures may become the landlord's property.
>
> **What transfers:** this rule exists because businesses could not operate in leased space if their equipment became the landlord's on installation — and inattention converts that protection into a gift. A well-drafted lease addressing installation, removal, condition, and restoration makes the whole analysis unnecessary.

### Problem 5

A licensee lists a 40-acre parcel with a mature walnut orchard, forty acres of tomatoes planted this spring, mature landscaping around the house, and solar panels on the roof. The seller mentions he plans to dig up several ornamental trees before closing.

**Classify each item and identify what must be addressed.**

> **Solution. The orchard is real property** — perennial growth not requiring annual cultivation, conveying with the land.
>
> **The tomatoes are generally personal property**, even while growing and attached, because an annual crop represents the cultivator's labor and investment for the season rather than a permanent characteristic of the land. This does **not** pass automatically the way the orchard does, and the agreement must address who owns the crop in the ground, who harvests it, and who bears the cost.
>
> **The mature landscaping is real property.** A seller who removes it before closing has removed real property — a contract problem, not a matter of taste. Say so now, and name any specific plants he is keeping.
>
> **The solar panels require a question, not a classification.** They are frequently subject to a lease or financing arrangement that does not convey automatically. A licensee who assumes they convey has skipped a question that changes both what the buyer receives and what the buyer owes.

### Problem 6

A buyer is purchasing rural acreage intending to plant an orchard and build a house. The preliminary report shows a reservation of mineral rights to a third party. The listing agent tells him mineral reservations are standard in the area and nothing to worry about, and that the well "has always been fine."

**Assess both statements and list the questions that should have been asked.**

> **Solution. Both statements are outside the license**, and the mineral one is a legal opinion on a document neither of them has read.
>
> A severed mineral interest **stays severed** through subsequent transfers, and the mineral estate may carry **surface access rights** that affect the surface owner's use — which matters a great deal to a buyer planning an orchard and a house. Whether and how is a legal question. The licensee's role is to ensure the buyer sees the exception, obtains the underlying document, and gets it reviewed **before his contingency expires.**
>
> **The water questions belong at the listing appointment:** what is the source — municipal, well, shared well, mutual water company, district? If a well, what is its documented production and quality, and when was it tested? Is any water right appurtenant to the parcel and documented? Is the property within a groundwater management area? Are there shared-facility agreements — a shared well, a pipeline, an access easement? And is the supply sufficient for **the buyer's intended use**, which here includes irrigating an orchard.
>
> **What transfers:** for every topic in this area the response is the same three steps — **recognize, ask and obtain, refer.** "It has always been fine" is not a documented answer to any of the six questions.

### Problem 7

At the listing appointment a seller mentions that the dining room chandelier was her grandmother's and she will be taking it. The licensee nods, photographs the room with the chandelier in it, and lists the property. Two days before closing the buyer's agent asks about it.

**Trace the failures.**

> **Solution.** Three, and they compound.
>
> **The seller told the licensee exactly what to name in the contract**, and nothing was written. "Anything the seller has mentioned intending to take" is at the top of the naming list precisely because sellers volunteer it.
>
> **The photograph made it worse.** Photographs are advertising and are held to the truthfulness standard. The buyer has been shown something he is not getting — and where staging or photography includes items that are not conveying, the marketing should say so rather than leaving it for the walkthrough.
>
> **The timing is now the worst possible.** With two days to closing the parties have maximum pressure and minimum flexibility, over an item that five minutes at the listing appointment would have settled.
>
> **The conversation that prevents it:** *"Before we photograph, walk me through anything you're planning to take — light fixtures, appliances, anything mounted, anything with sentimental value. I'd rather name it now than have it come up two days before closing."*

### Problem 8

At the final verification the buyer finds a named built-in wine refrigerator has been removed. His agent proposes instructing escrow to hold $4,000 and closing on schedule; the listing agent says the item was "obviously personal property anyway."

**State the correct sequence and the licensee's limit.**

> **Solution. The item was named**, which ends the fixture argument entirely — agreement overrides the tests, and the listing agent's classification opinion is both irrelevant and outside the license.
>
> **The sequence:** document the finding with photographs and dated notes; **address it through the contract before closing**, because the ordinary leverage to resolve it disappears once the transaction closes; do not instruct escrow to hold funds, since escrow acts only on **mutual** written instructions; and do not close intending to pursue the seller afterward, which converts a solvable issue into a claim.
>
> **Where an item is genuinely disputed and the contract is silent**, the licensee states what the contract says, documents both positions, and escalates. Whether a particular item was a fixture is a **legal conclusion**, however clear it seems. The honest position: "The contract doesn't name it, which means this comes down to how the law classifies it — that's a question for counsel, and here's what I can do in the meantime."

## Chapter summary

**The classification decides transfer, recording, description, security interests, taxation, and what conveys.** Real property transfers by deed and conveys unless excluded; personal property transfers by bill of sale and does not convey unless included — and those opposite defaults are why ordinary disputes arise between reasonable people.

**Items move between categories** by annexation and severance, and severance can occur on paper without anything physically moving.

**Classification is made at a moment in time** — when the deed was delivered, when the lien attached, when the contract was signed.

**MARIA lists the tests; intention generally decides them**, with the others serving largely as evidence of an invisible fact. **Agreement overrides everything.**

**Relationship matters:** doubt tends to favor the buyer against a seller, the tenant against a landlord, and the lender against a borrower. "Is it a fixture?" is incomplete without "as between whom?"

**Trade fixtures are the tenant's business equipment**, removable at or before the end of the tenancy with repair of damage — and lost to accession if left. Building improvements are not trade fixtures, and a well-drafted lease makes the analysis unnecessary.

**Perennial growth is real property; annual crops are generally personal property**, which must be addressed expressly in agricultural transactions. Removing mature landscaping before closing removes real property.

**Solar panels require a question rather than an assumption**, because a lease or financing arrangement may not convey with the property.

**Water and mineral interests are specialist areas** where the licensee's job is to recognize, ask and obtain, and refer. Ask the six water questions on rural property, and never characterize a severed mineral interest as routine.

**Do not resolve fixture disputes — prevent them.** Run the intake conversation, name the disputable items, keep marketing consistent with what conveys, and at the walkthrough document, address it before closing, and leave the legal conclusion to counsel.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Classify each item in dispute and state which test drives your analysis, identify how the relationship of the parties affects the outcome, state what the agreement should have said and draft that language, identify anything you would refer to counsel or to a specialist, and state the evidence you would create and retain. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a

StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** A buyer walks through a home and notes an antique chandelier in the dining room, a wall-mounted television on a bracket, and a large greenhouse the seller bolted to a concrete pad in the yard. The purchase agreement says nothing about any of them. After closing the seller has removed all three, leaving the bracket and the bolts. The buyer is furious. What is the sound analysis?

**A. Each item is analyzed separately for whether it became a fixture — attachment, adaptation, relationship of the parties, intention, and any agreement — which is exactly why they should have been addressed by name in the agreement before closing.**

B. All three conveyed with the property, because anything present at the showing is included unless the agreement excludes it.

C. None conveyed, because the agreement did not list them and only listed items are included.

D. The chandelier and television conveyed because they were inside the home, and the greenhouse did not because it was outside it.

**Answer: A.** The fixture analysis is item-by-item and fact-driven, which is why blanket rules in either direction are wrong and why location inside or outside the house does not decide it. The practical lesson is that the tests are hard to apply after the fact, so items likely to be disputed are named in the contract.

## Engagement check — 5 items, 80% required

**1.** Which factors are used to determine whether an item has become a fixture?

**A. The method of attachment, adaptation to the property, the relationship of the parties, the intention of the party who attached it, and any agreement between the parties.**

B. The item's cost, its age, and whether it can be replaced.

C. Whether the item is visible from outside the property and whether it is insured.

D. Whether the item was present when the seller purchased the property.

**Answer: A.** Attachment, adaptation, relationship, intention, and agreement are the recognized tests, with intention often treated as the most important and agreement able to settle the question outright.

**2.** What is a trade fixture, and what right does a tenant ordinarily have over one at the end of the lease?

**A. An item a tenant attaches to leased premises for use in the tenant's business, which the tenant generally may remove before the lease ends.**

B. A fixture that was installed by a licensed tradesperson rather than the owner.

C. Any fixture that is traded between the buyer and seller during negotiation.

D. A fixture in a commercial building, as distinguished from one in a residence.

**Answer: A.** The defining features are the tenant's business use and the tenant's right to remove. Who installed it, whether it was negotiated, and the property type do not define the category.

**3.** Standing timber and unharvested crops planted annually are treated how?

**A. Natural attachments such as trees are generally real property, while annually cultivated crops are typically treated as personal property.**

B. Both are real property because they grow from the land.

C. Both are personal property because they can be harvested and sold.

D. Both are real property until the moment of sale, when they become personal property.

**Answer: A.** The distinction turns on cultivation: things growing naturally from the soil are part of the land, while crops produced by annual labor are treated as personal property.

**4.** What does it mean that water rights are appurtenant to land?

**A. The right runs with the land and transfers with it rather than being owned separately by the person.**

B. The landowner owns the water itself outright and may sell it separately at will.

C. The right exists only while the landowner physically uses the water.

D. The right may be exercised only with the consent of neighboring landowners.

**Answer: A.** Appurtenance means the right attaches to and transfers with the land. It is not outright ownership of the water, not contingent on continuous use, and not subject to neighbors' consent.

**5.** How should a licensee handle an item whose classification is genuinely uncertain?

**A. Have the parties address it expressly in the purchase agreement, since agreement resolves the question without litigating the tests.**

B. Advise the seller to remove it before showings so the question does not arise.

C. Include it in the listing description as included, which binds the seller.

D. Leave it to the parties to work out after closing, when they can inspect it directly.

**Answer: A.** Express agreement is the reliable answer, and it is why the tests rarely need to be applied. Quietly removing the item, relying on marketing copy to create obligations, and deferring to after closing all create the dispute rather than preventing it.

## Remediation set — served only after a failed engagement check

**1.** A tenant installs a commercial pizza oven in a leased storefront, running gas and venting through the roof. At the end of the lease he wants to take it. What is the likely analysis?

**A. It is likely a trade fixture removable by the tenant, subject to the lease terms and the tenant's obligation to repair damage caused by removal.**

B. It became part of the real property when it was connected to gas and vented, so it must stay.

C. It may be removed only if the landlord consents at the time of removal.

D. It may be removed only if the tenant can show the landlord would suffer no loss.

**Answer: A.** Business use by a tenant is the trade-fixture hallmark, and substantial attachment does not defeat it. The tenant's obligation is to repair removal damage, not to obtain fresh consent or prove absence of loss.

**2.** A seller replaces a built-in refrigerator with a freestanding one before closing without telling the buyer. What is the concern?

**A. A built-in appliance is likely a fixture, so substituting a freestanding unit may change what was conveyed, and the substitution should have been disclosed and agreed.**

B. There is no concern, since a refrigerator is personal property in every case.

C. There is no concern, provided the replacement is of equal or greater value.

D. The concern is only about the appliance's condition rather than its classification.

**Answer: A.** Built-in installation points toward fixture status, which is why the swap changes what the buyer receives. Value equivalence does not cure an unagreed substitution, and this is a classification issue rather than a condition issue.

**3.** Why does the relationship of the parties matter in the fixture analysis?

**A. Because the same item may be treated differently as between landlord and tenant than as between buyer and seller, reflecting the different expectations of those relationships.**

B. Because family members are held to a different standard than unrelated parties.

C. Because the party with greater bargaining power determines the classification.

D. Because the relationship determines who bears the cost of removal.

**Answer: A.** The test recognizes that a tenant who installs something for business use is in a different position from a seller who improved his own home. It is not about kinship, bargaining power, or cost allocation.

**4.** A property's mineral rights were severed and sold to a third party years ago. What follows?

**A. The buyer of the surface takes without those mineral rights, and the severance should surface in the title work and be disclosed.**

B. The mineral rights automatically revert to the surface owner on transfer of the property.

C. The severance is unenforceable unless the current owner agreed to it.

D. The mineral rights transfer with the surface unless the deed expressly excludes them.

**Answer: A.** Rights that have been severed stay severed and pass independently of the surface. They do not revert on transfer, are not defeated by a later owner's lack of consent, and a deed's silence does not reunite them.

**5.** Which best explains why intention is often treated as the most important fixture test?

**A. Because the objective indicators — how the item was attached and adapted — are used to infer what the attaching party intended, which is the question the other tests serve.**

B. Because the parties can state their intention after a dispute arises and that statement controls.

C. Because intention is easier to prove than the physical facts of attachment.

D. Because intention determines the item's value to the parties.

**Answer: A.** Intention is inferred from the objective facts rather than asserted after the fact, which is precisely why the other tests exist. It is harder to prove directly, not easier, and it has nothing to do with value.

# Real Estate Principles - Lesson Assignment 03

## Estates, ownership, and common interests

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Distinguish freehold from leasehold estates and identify the leasehold types by how each terminates.
- Explain fee simple and life estates, and identify who holds what interest during and after a life estate.
- Distinguish joint tenancy from tenancy in common by their operative differences, and explain what severance does.
- Describe California community property at the level a licensee must recognize, and identify what belongs to counsel.
- Explain how a common interest development is organized and what a buyer must review before the contingency expires.
- Verify authority to convey where title is held in a trust or by an entity.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: estates and their duration | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: concurrent ownership and community property | 50 | Sections 3-4 viewed |
| Guided reading: common interest developments, trusts, and entities | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Freehold and leasehold estates

### 1.1 What an estate is

An **estate** is the nature and extent of a person's interest in land. It answers two questions: what rights does the holder have, and for how long?

The primary division is by **duration**:

| | Duration | Nature |
|---|---|---|
| **Freehold estate** | Indefinite — potentially forever, or for a life | An interest in the land itself |
| **Leasehold estate** | A fixed or terminable period | A right of possession, with the owner retaining the reversion |

The practical difference: a freehold holder owns; a leasehold holder possesses. Both are real property interests, and both can be bought, sold, and encumbered.

## 1.2 The four leasehold estates

Leaseholds are classified by **how they end**, which is the useful way to hold them.

| Estate | Duration | How it ends |
|---|---|---|
| **Estate for years** | A definite period stated in the lease | Automatically, at the stated end. **No notice required.** |
| **Periodic estate** | Renews period to period — month to month | By notice from either party, per the required period |
| **Estate at will** | Indefinite, with the consent of both | When either party ends it, subject to statutory notice |
| **Estate at sufferance** | The tenant holds over after the right ends | By the landlord's action; the tenant is a holdover, not a trespasser |

**The name misleads on the first one.** An "estate for years" is defined by having a **definite ending date**, not by lasting years. A six-month lease and a ten-day lease are both estates for years.

## 1.3 The distinctions that matter in practice

**Estate for years versus periodic estate: notice.** An estate for years expires on its stated date without anyone giving notice. A periodic tenancy continues until someone gives the required notice. A licensee who advises a landlord that a fixed-term lease "needs a 30-day notice to end" has described the wrong estate.

**Estate at sufferance is not trespass.** The holdover tenant entered lawfully. That is why the landlord's remedy is a legal process rather than self-help, and why changing the locks is unlawful no matter how clear the tenant's obligation to leave.

**A leasehold survives a sale.** The buyer of a leased property takes subject to the lease on its terms. This is why existing leases and their terms are an intake item, and why "the tenant will be out by closing" needs to be verified against the lease rather than accepted.

## 1.4 The reversion

When a leasehold ends, possession returns to the owner. That future interest is the **reversion**, and it is what the landlord holds during the tenancy.

The landlord's estate is not suspended by the lease. It is a fee simple subject to a leasehold, which is why the landlord can sell, mortgage, and devise it while the tenant is in possession.

### 1.5 Why the estate concept controls everything downstream

A principles course opens with estates because **the estate held determines what can be done with the property**, and every later topic assumes the answer.

| What the estate determines | Where it surfaces later |
|---|---|
| **What can be conveyed** | A seller cannot convey more than he holds. A life tenant conveying "the property" conveys a life estate measured by his life, and the buyer finds out later. |
| **What can be encumbered** | A lender's security is limited by the estate pledged, which is why a lender's title requirements probe the estate rather than accepting a description. |
| **Who must sign** | Concurrent owners, spouses, trustees, and entity signatories — Sections 3, 4, and 6 of this lesson are all versions of this one question. |
| **What happens at death** | Survivorship, probate, or the terms of an instrument. **The difference between two forms of concurrent ownership is invisible on the property and total in effect.** |
| **What a creditor can reach** | Which affects who is willing to lend and on what terms. |
| **What the occupant may do** | Alter, encumber, lease, or let deteriorate — the life tenant's limits in Section 2.4 are the clearest case. |
| **How long it lasts** | Perpetual, for a life, for a term, or until a condition occurs. |

**Two conclusions.**

**The most consequential fact about a property is frequently invisible.** Two identical houses on the same street can be held under estates with completely different consequences for conveyance, financing, and inheritance, and **nothing about the property reveals it.** The estate is established from documents, which is why the intake practice in Section 6.5 asks for them rather than for a description.

**"Who owns it?" is the wrong question.** The professional question is **"what interest is held, by whom, and who has authority to convey it?"** — three questions, frequently with three different answers, and a transaction that assumes they collapse into one is the transaction that fails at title clearance.

> **The failure this prevents.** A listing taken from a person who describes himself as the owner, marketed, and put under contract — after which title clearance reveals a co-owner, a life estate, a trust with a successor trustee requirement, or an entity whose authority document says something other than what the signer said. **Every one of those is discoverable at intake with a question and a document**, and every one of them is expensive at day nineteen.

### 1.6 Checkpoint

You should be able to name a leasehold estate from a description of how it terminates, and state what happens to a lease when the property is sold.

## 2. Fee simple and life estates

### 2.1 Fee simple absolute

**Fee simple absolute** is the greatest estate the law recognizes: ownership of indefinite duration, freely transferable during life and at death, with the full bundle of rights.

It is the default. A deed conveying property without limiting language conveys a fee simple absolute, and most residential transactions transfer exactly this.

Fee simple is still subject to the four government powers taken up in Lesson 06, and to private restrictions taken up in Lesson 05. "Absolute" describes the estate's duration and transferability, not freedom from regulation.

### 2.2 Defeasible fees

A fee can be granted subject to a condition, so that it may end if the condition is broken. These are called **defeasible** fees, and California practice encounters them mainly in older chains of title and in conveyances to public or charitable uses.

The practical point for a licensee is narrow and important: **a deed containing conditional language is a title matter, not a curiosity.** It goes to title and to counsel, and the buyer needs to understand it before the contingency expires. Whether a condition is enforceable, and what happens if it is broken, is a legal question.

### 2.3 Life estates

A **life estate** is ownership measured by a lifetime rather than by a fixed period.

| Party | Interest |
|---|---|
| **Life tenant** | Owns and possesses for the measuring life |
| **Remainderman** | Takes when the measuring life ends, where the grantor named a third party |
| **Reversion holder** | Takes when the measuring life ends, where the interest returns to the grantor |

A variant worth naming: a life estate **pur autre vie** is measured by the life of someone other than the holder. The holder may die first, in which case the estate passes to the holder's successors until the measuring life ends.

### 2.4 What a life tenant may and may not do

**May:** possess and use the property, receive its income, and transfer whatever interest they hold — which is the life estate, and no more.

**May not:** commit **waste** — conduct that permanently impairs the property to the detriment of the remainderman. Neglecting maintenance, removing valuable timber, or allowing the property to deteriorate can all be waste.

**Must generally:** maintain the property, pay taxes and ordinary carrying charges, and preserve the remainderman's interest.

### 2.5 The transaction problem

A life tenant can only sell what they own, and what they own ends when the measuring life ends. A buyer purchasing from a life tenant alone receives an interest that terminates on someone else's death.

> **The professional response:** where title shows a life estate, a conveyance in fee requires the life tenant **and** the remainderman or reversion holder to join. This is an authority question of exactly the kind Lesson 01 described, and it is verified against the instrument, not assumed.

A licensee who takes a listing from a life tenant without identifying the remainderman has taken a listing that cannot deliver a fee.

### 2.6 Checkpoint

You should be able to say who must sign to convey a fee where a life estate exists, and explain what waste is.

## 3. Joint tenancy and tenancy in common

### 3.1 Concurrent ownership

Where two or more people own the same property at the same time, they hold it concurrently. California's principal forms are **tenancy in common**, **joint tenancy**, and the community property forms taken up in Section 4.

### 3.2 The operative comparison

| | Tenancy in common | Joint tenancy |
|---|---|---|
| **Shares** | May be unequal | Equal |
| **Right of survivorship** | **No** | **Yes** |
| **On death** | The share passes by will or intestate succession | The interest passes to the surviving joint tenants |
| **Transferable during life** | Yes, freely | Yes — but transfer **severs** the joint tenancy as to that interest |
| **Creation** | The default where two or more take without specifying | Requires express language creating it |
| **Number of owners** | Any number | Two or more |

**The survivorship difference is the whole point**, and it is what makes vesting an estate planning question rather than a form selection.

### 3.3 The four unities

Joint tenancy traditionally requires four unities, conventionally remembered as **PITT**:

- **Possession** — each holds an undivided right to possess the whole.
- **Interest** — equal interests.
- **Time** — the interests vested at the same time.
- **Title** — the interests arose from the same instrument.

Tenancy in common requires only unity of **possession**. That single requirement is why tenants in common may hold unequal shares acquired at different times from different sources.

### 3.4 Severance

A joint tenant who transfers their interest during life **severs** the joint tenancy as to that interest, which becomes a tenancy in common.

> Three joint tenants each hold a one-third interest. One sells to an outsider.
>
> **The buyer holds a one-third interest as a tenant in common.** The remaining two continue as joint tenants **between themselves** as to their two-thirds, with survivorship operating between them and not as to the outsider's third.

Severance is a recurring examination topic and a recurring practical surprise, because the transferring joint tenant has changed the survivorship expectations of people who did not agree to the change.

### 3.5 Partition

Where concurrent owners cannot agree, any of them may generally seek **partition** — a court-supervised division of the property, either physically or by sale with division of the proceeds.

This is a legal remedy, and a licensee's role is to recognize it as the answer to "we can't agree what to do with the house" and refer it. Licensees are frequently asked to take a listing where the co-owners disagree; the authority question must be answered before the listing is signed, not during escrow.

### 3.6 What the licensee actually does

Vesting has ownership, survivorship, tax, and estate consequences, and **advising which to choose is outside the license.** The licensee's obligations are:

1. **Explain that the choice matters** and that changing it later is neither free nor simple.
2. **Refer to legal and tax counsel before escrow prepares the deed.**
3. **At intake on a listing, confirm how title is held and who must sign** — against the record, not from the seller's description.

Two unmarried siblings say they want the survivor to take the whole property automatically, **and** each to be able to leave her share to her own children.

Those goals point in different directions. Survivorship and the ability to devise a share are not both satisfied by a single form. Resolving that tension is estate planning, and it belongs to counsel — not to the licensee, and not to escrow's deadline for the deed instruction.

### 3.7 A worked ownership intake

**Six listing appointments in one week.** At each, the licensee asks the Section 6.5 questions: **how is title currently held, may I see the document, and who must sign to convey?**

**1. "My wife and I own it."** Two people, married, and the form of ownership is a question with several possible answers — Section 4.2's concepts are engaged, and the answer affects survivorship, creditors, and taxation. **The licensee does not advise on which form is better** and does not assume which one applies. He obtains the vesting from the record.

**2. "It's in my trust."** Section 6.2 governs. **The trustee conveys, and the question is who currently holds that office** — which the trust instrument answers and the seller's description does not. A successor trustee acting after a death or incapacity is a different situation with its own documentary requirements. **The licensee obtains the documentation the title company and counsel will require, and routes the legal questions.**

**3. "My brother and I inherited it."** Two owners, and the form of their concurrent ownership determines what happens if one dies before closing and whether one can act alone. **Both sign.** How the property passed to them — by will, by trust, by operation of law — may also determine whether an administration is required, which is a legal question with a timeline attached to it.

**4. "It's owned by our LLC."** Section 6.3. **The entity conveys, through whoever its governing documents authorize**, and the authority is established from the documents rather than from the person's title on a business card. **A member is not automatically authorized.**

**5. "I have power of attorney for my father."** Section 6.4. **The instrument's scope is what matters** — whether it reaches real property, whether it is currently effective, and whether any conditions on it have been satisfied. **This is a legal question and it goes to counsel and the title company early**, because a defect discovered at closing cannot be repaired at closing. **And where the principal's capacity is in question, Lesson 15 of the practice course applies:** speak with the principal directly, document what you observed, and escalate.

**6. "I bought it with my partner but it's really mine — she just helped with the loan." Two different claims: what the record says and what the seller believes the arrangement was.** The record controls who must sign. **What the parties intended between themselves is a legal question the licensee does not resolve**, and a listing taken on the seller's characterization is a listing that will fail.

**What the week produced.** Six appointments, six documents requested, two matters routed to counsel before listing. **None of the six sellers described their situation inaccurately on purpose.** Each described it the way people describe ownership in conversation, which is by relationship rather than by interest — and Section 1.5's point is that those are not the same thing.

## 3.9 The joint tenancy statute, and the words that create it

Section 3.1 gave the four unities. Section 3.3 explained survivorship. **Civil Code § 683** is where both come from, and its most important instruction is about drafting rather than about theory:

> *"(a) A joint interest is one owned by two or more persons in equal shares, by a title created by a single will or transfer,* ***when expressly declared in the will or transfer to be a joint tenancy****, or by transfer from a sole owner to himself and others, or from tenants in common or joint tenants to themselves or some of them, or to themselves or any of them and others, or from spouses, when holding title as community property or otherwise to themselves or to themselves and others or to one of them and to another or others,* ***when expressly declared in the transfer to be a joint tenancy****, or when granted or devised to executors or trustees as joint tenants."*

**"Expressly declared" appears twice, and it is the operative phrase.** A joint tenancy is not inferred from equal shares, from a shared purchase, from a marriage, or from the parties' evident intention. **It exists because the instrument says the words.** A deed to "Ana Ruiz and Beatriz Ruiz" creates a tenancy in common no matter what the two of them meant; a deed to "Ana Ruiz and Beatriz Ruiz, as joint tenants" creates a joint tenancy.

**This is the single most consequential drafting point in the whole of concurrent ownership**, because the difference between the two is whether the property passes automatically to the survivor or through the decedent's estate — and by the time anyone consults the deed, one of the owners has usually died and cannot say what was intended.

**Two structural points the section also settles.**

**"In equal shares."** Joint tenants hold equally by definition. Two joint tenants hold halves; four hold quarters. Unequal shares are not a variant of joint tenancy — they are inconsistent with it, and an instrument purporting to create a joint tenancy in unequal shares creates something else.

**A sole owner may create one directly.** The section expressly allows a transfer *"from a sole owner to himself and others"* and from spouses *"to themselves or to themselves and others."* This abolished a common-law trap: at common law the unities of time and title meant a sole owner could not simply deed themselves into a joint tenancy and had to convey through a third party — the "straw man." § 683 removed the need. **A licensee who encounters a straw-man conveyance in an old chain of title is looking at the fossil of a rule that no longer applies.**

**And one boundary the section draws for itself.** § 683(b): *"Provisions of this section do not apply to a joint account in a financial institution if Part 2 (commencing with Section 5100) of Division 5 of the Probate Code applies to such account."* Bank accounts held jointly are governed by a different statute, and reasoning from real property survivorship to a bank account is reasoning from the wrong code.

## 3.10 What the licensee does and does not do with this

**Do not advise on the form of title.** How co-buyers should take title is a decision with tax, estate, creditor and marital consequences that vary by family, and it is a question for a lawyer, an accountant, or both. Recommending joint tenancy because it "avoids probate" is legal advice, is often wrong, and is squarely inside the boundary Assignment 01 Section 4.2 draws.

**Do make sure the question is asked, in time.** Escrow will require vesting instructions. A licensee who lets the question arrive for the first time three days before closing has created a situation in which buyers make an estate-planning decision under deadline pressure with nobody qualified in the room. **Raise it at the point of writing the offer**, and route it out.

**Do read the vesting on the preliminary report and notice when it does not match what the client told you.** A seller who says "my sister and I own it together, it passes to me if anything happens" and a preliminary report showing a tenancy in common are describing different things, and the difference matters before the property is listed, not after.

**A worked situation.**

> Two siblings inherit a duplex from their mother, taking title as tenants in common. Some years later they refinance, and the new deed of trust is signed by both. One sibling dies. Her will leaves everything to her husband.

**The surviving sibling does not take the whole property.** A tenancy in common carries no survivorship, so the deceased sibling's undivided one-half passes under her will to her husband, who becomes a co-tenant with his sister-in-law. **The refinance did not change the vesting** — a deed of trust encumbers the title, it does not re-grant it — and nothing in the transaction converted a tenancy in common into a joint tenancy, because nothing expressly declared it.

**What the licensee should have done years earlier:** noticed the vesting when the property was inherited, told the siblings that how they held title was a question with consequences, and sent them to counsel. That is a fifteen-second conversation that would have been worth having.

### 3.11 Checkpoint

You should be able to state the operative differences between the two forms, explain what severance does to a three-party joint tenancy, and say what you would do when a client asks which to choose.

## 4. Community property orientation

### 4.1 What the system is

California is a **community property** state. In outline, property acquired by a married person during marriage is generally community property, and property acquired before marriage or by gift or inheritance during marriage is generally that spouse's separate property.

**This section is an orientation, not a guide.** The rules governing characterization, transmutation, commingled assets, and dissolution are complex, fact-dependent, and squarely legal. What a licensee needs is enough to recognize the issue at intake and to route it correctly.

### 4.2 The three concepts to hold

**Community property.** Generally, property acquired during marriage other than by gift or inheritance. Each spouse generally holds an equal interest.

**Separate property.** Generally, property owned before marriage, or acquired during marriage by gift, devise, or inheritance — together with the rents, issues, and profits of separate property.

**Community property with right of survivorship.** A form California recognizes that combines community property characterization with survivorship. It has both tax and estate consequences, and whether it fits a particular couple is a question for their advisors.

### 4.3 The intake question that matters

The licensee's operative concern is authority to convey.

> **Where community property is involved, both spouses generally must join in a conveyance or encumbrance of real property.**

That single proposition drives the intake practice:

1. **Ask marital status** as part of confirming authority, in the same neutral way as every other intake question.
2. **Check how title is held** against the record.
3. **Where the record and the answer do not reconcile**, stop and escalate rather than proceeding.
4. **Where a spouse is not on title but may have an interest**, that is a title and legal question — route it to title and to counsel before the listing is signed.

A listing signed by one spouse where the other has an interest is the same category of failure as a listing signed by a beneficiary rather than a trustee: it cannot deliver what it promises, and it surfaces in escrow where the cost is highest.

### 4.4 Dissolution and separation

Where a marriage is being dissolved, authority to convey may be affected by court orders, and the timing of a sale may be constrained. A licensee working on a sale during a dissolution should expect that **counsel is already involved** and should coordinate rather than improvise.

What the licensee must not do is advise either spouse on their rights, characterize property as community or separate, or predict how a court will divide it. Each of those is a legal conclusion.

### 4.5 A note on neutrality

Questions about marital status at intake exist to establish authority to convey. They are asked of every client in the same way, recorded, and used for that purpose. A licensee who asks selectively, or who uses the answer for anything other than the authority analysis, has created a fair housing problem alongside the compliance one.

### 4.7 Community property, and the presumption that does the work

California is a community property state, and the consequences reach every residential transaction where a married person or registered domestic partner is on title.

**The organising presumption.** Property acquired by a married person during marriage, while domiciled in California, is presumed to be **community property**. Property acquired before marriage, or during marriage by gift, bequest, devise or descent, is **separate property**. So are the rents, issues and profits of separate property.

**Both halves of that sentence matter to a licensee.** The presumption means a house bought during a marriage is community property **even if only one spouse is named on the deed**, unless something rebuts the presumption. And a house owned before the marriage does not become community property merely because the couple lived in it for thirty years.

| | Community property | Separate property |
|---|---|---|
| **Typical origin** | Earnings during marriage; anything bought with them | Owned before marriage; gift; inheritance |
| **Management** | Either spouse may manage, **with limits on real property** | The owning spouse |
| **On death** | Decedent's half passes by will or intestacy; **community property with right of survivorship passes to the survivor** | By will or intestacy |
| **Conveying or encumbering real property** | **Both spouses must join** | The owning spouse alone |

**The rule in that last row is the one that stops transactions**, and it is worth stating flatly: **a conveyance or encumbrance of community real property requires the joinder of both spouses.** A listing signed by one spouse, a deed signed by one spouse, a deed of trust signed by one spouse — each is a problem discovered in escrow if not before.

**"Community property with right of survivorship"** is a distinct vesting available to spouses, combining community property character with automatic survivorship. Like joint tenancy under Civil Code § 683, **it must be expressly declared in the instrument.**

### 4.8 What a licensee does about marital status, and what they must not

**Do ask how title is held and whether the owner is married**, as a transactional question at listing. It is not idle: it determines who must sign.

**Do not treat marital status as a screening criterion.** Marital status is a protected characteristic under Government Code § 12955 and Civil Code § 51. Asking a **seller** who must sign the deed is transactional necessity; treating a **buyer or tenant** differently because of their marital status is unlawful. **The question is proper in one direction and prohibited in the other**, and the difference is what the information is used for.

**Do read the vesting on the preliminary report and ask about anything that does not match.** A single person on title who is now married; a married person holding "as his sole and separate property"; an interspousal transfer deed in the chain. **Each is a real question with a real answer**, and each is answered by a title officer or counsel rather than by the licensee.

**Do not advise on characterisation.** Whether a particular asset is community or separate — where separate funds bought a house during marriage, where community earnings paid the mortgage on a separate property, where a spouse signed a deed they now dispute — is a question with a substantial body of law behind it and no reliable shortcut.

**A worked situation.**

> A seller lists a house. Title reads: *"Marcos Delgado, a married man, as his sole and separate property."* His wife signed an interspousal transfer deed at purchase eight years ago. The couple has since separated but is not divorced. The listing agreement is signed by Marcos alone. An offer arrives.

**Three separate questions, none of which the licensee resolves.**

**Does the vesting settle it?** The deed says separate property and the wife executed an interspousal transfer. That is substantial, and it is not conclusive — characterisation can be affected by what happened afterwards, including how the mortgage was paid.

**Does the pending separation change who must sign?** A marital dissolution proceeding commonly carries restraining provisions affecting the disposition of property. **A sale during a pending dissolution is a situation where escrow, the title insurer and counsel all have a view**, and none of them is the listing agent.

**Will the title company insure it?** In practical terms this is the question that decides whether the transaction closes, and it is answered by asking them — early, before the property is marketed, not after an offer is accepted.

**What the licensee should have done at listing:** noticed the interspousal transfer deed in the preliminary report, noticed that the seller described himself as separated, and raised both with the broker and with escrow **before spending the seller's money on marketing.** The cost of asking on day one is a phone call. The cost of asking after an accepted offer is a failed escrow and a buyer who has paid for an inspection.

### 4.9 Checkpoint

You should be able to state the general rule about joining in a conveyance, and describe what you do when the record and the client's description of title do not match.

## 5. Condominiums and common interest developments

### 5.1 What a common interest development is

A **common interest development** combines individually owned interests with a shared interest in common areas, governed by a set of recorded documents and administered by an association.

The recurring forms:

| Form | What the owner owns |
|---|---|
| **Condominium** | An individual unit — often defined by interior surfaces — plus an undivided interest in the common areas |
| **Planned development** | A separate lot, plus membership in an association owning or managing common areas |
| **Stock cooperative** | Shares in a corporation owning the building, plus a right of occupancy |
| **Community apartment** | An undivided interest in the whole, plus an exclusive right to occupy a unit |

The differences matter for financing, for what is being conveyed, and for how the owner's obligations arise.

## 5.2 The governing documents

Ownership in a common interest development comes with a body of private law the buyer is agreeing to be bound by:

- **The declaration** — recorded covenants, conditions, and restrictions establishing the scheme and the use restrictions.
- **Bylaws** — how the association operates and is governed.
- **Rules and regulations** — adopted by the association, and easier to change than the declaration.
- **The budget and reserve study** — what the association plans to spend and what it has set aside.
- **Meeting minutes** — where problems appear before they appear anywhere else.
- **Financial statements and assessment history.**
- **Pending or threatened litigation**, including construction defect claims.

## 5.3 Why this belongs in a principles course

Because the documents impose obligations that bind the buyer regardless of zoning and regardless of what the seller told him:

**Use restrictions.** Whether he may rent the unit, and on what terms. Whether he may keep animals. What he may do to the exterior, the patio, or the windows. Whether he may run a business from it.

**Assessments.** The regular assessment, and the association's power to levy **special assessments** — which can be substantial and which a buyer inherits.

**Reserves.** An association with inadequate reserves against known future work has a special assessment in its future, whether or not one has been declared.

**Litigation.** Construction defect litigation affecting the building is a material fact, and it can also affect the availability of financing.

## 5.4 The timing point

The buyer must have the documents **in time to review them within the contingency period** — which means requesting them promptly rather than late.

This is one of the slow items. An association that takes three weeks to produce documents will destroy a fourteen-day review contingency that was ordered on day ten. A licensee who orders the documents at the start has given the buyer a real review; one who orders them late has given him a formality.

## 5.5 What a licensee does and does not do

**Does:** identify that the property is in a common interest development; order or ensure the documents are ordered immediately; confirm the buyer received them; recommend he read the declaration, the budget and reserves, the minutes, and any litigation disclosure; and document the recommendation.

**Does not:** summarize the declaration for the buyer, characterize the reserves as adequate, predict whether a special assessment will be levied, or advise whether litigation is serious. Each of those exceeds the license and invites reliance.

> **A buyer asks: "Are the reserves okay?"**
>
> **Correct:** "That's outside what I can assess, and it's exactly what to have reviewed before your contingency expires — the reserve study and the budget are in the packet, and a CPA or your attorney can tell you what they show. I'll note that we discussed it."
>
> **Incorrect:** "They look fine to me — this association seems well run."

## 5.6 What a buyer in a common interest development is actually buying

Section 5.3 explains why this belongs in a principles course. This section makes the point concrete, because the gap between what a buyer thinks he is buying and what he is buying is wider here than anywhere else in residential real estate.

**The buyer is acquiring four things at once:**

1. **An interest in a unit or a lot**, defined by an instrument rather than by the walls he can see. **What is his, what is common, and what is exclusive-use common area is a documentary question**, and it determines who repairs what.
2. **An undivided interest in common area**, with its condition, its deferred maintenance, and its future costs.
3. **Membership in an association**, with governing documents that bind him and a board that can act.
4. **A share of an ongoing financial obligation** — regular assessments, and special assessments that have not happened yet.

**What the documents answer, and what each one is for:**

| The document | The question it answers |
|---|---|
| **Declaration and restrictions** | What may and may not be done — rentals, pets, alterations, business use, parking, occupancy |
| **Bylaws and rules** | How the association operates and what it may enforce |
| **Budget and reserve study** | **Whether the association can pay for what is coming** — the single most predictive document in the package |
| **Financial statements** | Present condition, delinquency rates, and whether assessments are being collected |
| **Minutes** | What the board has been discussing, which is frequently where a future special assessment first appears |
| **Insurance information** | What the association covers and, more importantly, what it does not |
| **Litigation disclosures** | Pending matters, which can affect both value and financing availability |

**Three points a licensee should make to every buyer, in writing.**

**Order the documents on day one.** Section 5.4's timing point. **The buyer's review period is what remains after delivery**, and a package ordered on day six against a seven-day delivery obligation leaves a buyer reading hundreds of pages in a weekend.

**Read the reserve study and the minutes.** Buyers read the pet rules and skip these two. **A thinly funded reserve is a special assessment that has not been announced yet**, and the minutes are where it is visible first.

**Confirm what financing requires.** Some programs impose conditions on the development itself — owner-occupancy ratios, litigation status, budget requirements — and **a buyer can be approved while the development is not.**

> **Section 5.5's limit governs all of it.** The licensee delivers the documents, recommends they be reviewed with counsel, and **does not interpret the restrictions.** Whether a provision permits a particular use is a legal question about a recorded instrument, and it is asked of licensees constantly.

## 5.8 What a common interest development actually is, statutorily

Section 5.1 described condominiums functionally. The statutory frame matters because it determines which documents a buyer is entitled to, and when.

The **Davis-Stirling Common Interest Development Act**, Civil Code Part 5 of Division 4 beginning at **§ 4000**, governs residential common interest developments in California. Its existence is confirmed by a section this course has already read for another purpose: **Business and Professions Code § 10153.2(a)(2)(K)** lists, among the courses that qualify an applicant for the broker examination, *"California law that relates to common interest developments, including, but not limited to, topics addressed in the **Davis-Stirling Common Interest Development Act** (Part 5 (commencing with Section 4000) of Division 4 of the Civil Code) and in the **Commercial and Industrial Common Interest Development Act** (Part 5.3 (commencing with Section 6500) of Division 4 of the Civil Code)."*

**Two things follow from that citation, and both are useful to a Principles student.**

**There are two acts, not one.** Residential common interest developments are governed by Davis-Stirling; commercial and industrial ones by a separate act beginning at § 6500. A licensee working a commercial condominium is not working under the residential statute, and the disclosure obligations differ.

**The Legislature treats this as its own subject.** It appears in § 10153.2 as a standalone course option alongside escrows, property management and appraisal. **A licensee who treats a condominium as "a house with a homeowners association" is treating a distinct body of law as a detail**, and the transactions that go wrong are the ones handled that way.

**This course does not teach Davis-Stirling.** It is not read here in its own text, and no rule, deadline, fee cap, election procedure, or enforcement mechanism in this assignment comes from it. What a Principles student should carry forward is the shape of the thing: a residential common interest development is a creature of a specific statute; that statute gives buyers rights to specific documents on specific timelines; and the person who knows which documents those are is the escrow holder, the association's manager, or counsel — not the licensee working from memory.

## 5.9 The documents, and the diligence period problem

**What a buyer in a common interest development is buying** is three things at once: a unit, an undivided interest in common area, and **membership in a corporation with the power to assess them**. The third is the one that produces surprises, and the surprises live in documents.

| Document | What it answers | Why it is read early |
|---|---|---|
| **Declaration (CC&Rs)** | What the owner may and may not do; what is common area; how assessments are levied | It is recorded and it binds. Restrictions on rentals, pets, vehicles and alterations live here |
| **Bylaws and articles** | How the association is governed; who votes; how directors are elected | A dysfunctional board is a real risk to a buyer's use and resale |
| **Operating rules** | Day-to-day rules the board may adopt without amending the declaration | These change more often than the CC&Rs and are frequently the ones a buyer breaches |
| **Budget and reserve study** | What the association spends and whether it has saved for what is coming | **The single best predictor of a future special assessment** |
| **Assessment and delinquency statement** | What is owed on this unit, and what the association is owed generally | An association with heavy delinquencies is an association that will assess |
| **Minutes** | What the board is actually worried about | Litigation, construction defects and insurance problems appear here before they appear anywhere else |
| **Insurance summary** | What the association's policy covers and what the owner must insure | Determines what a buyer's own policy has to do |

**The structural problem is timing.** These documents come from the association, the association is often managed by a third party, and production takes days that the contract's diligence period does not always allow. **A buyer who receives a reserve study on the last afternoon of the contingency period has not had a diligence period.**

**What a licensee does about it, concretely:** order the documents the day the offer is accepted rather than the day the contingency clock starts; tell the buyer in writing when they were ordered; and when they arrive late, **advise the buyer in writing that an extension of the contingency is available and that proceeding without reading them is the buyer's decision.** The licensee does not interpret the documents — reserve adequacy and litigation exposure are questions for an accountant and a lawyer — but the licensee is responsible for the documents arriving in time to be read by whoever should read them.

**A worked failure.**

> A buyer closes on a condominium in a 96-unit development. Four months later the association levies a $14,200 special assessment per unit to replace failed plumbing risers. The minutes for the preceding two years discuss the risers at eleven separate meetings, and the reserve study describes the component as "past useful life, unfunded."

**Nothing was concealed.** Every fact was in documents the buyer was entitled to and did receive — three days before closing, in a 340-page bundle, unread. **The failure was not disclosure. It was sequencing**, and sequencing is inside a licensee's control in a way that a board's spending decisions are not.

### 5.10 Checkpoint

You should be able to name what a buyer must review, explain why the documents must be ordered early, and answer a reserves question correctly.

## 6. Trust and entity ownership basics

### 6.1 Why this section exists

Because the most common and most expensive intake failure in residential practice is **unverified authority to convey**, and trusts and entities are where it happens.

The failure has a consistent shape: someone with an obvious connection to the property — the occupant, the person paying the taxes, a beneficiary, an officer — signs a listing they have no authority to sign. It surfaces in escrow, where unwinding costs the most.

### 6.2 Trust ownership

Where title is held in a trust, the **trustee** holds legal title and may convey **only within the authority the trust document grants.**

| Party | Role |
|---|---|
| **Trustor / settlor** | Created the trust and transferred property into it |
| **Trustee** | Holds legal title and administers the trust; **signs** |
| **Beneficiary** | Holds the beneficial interest; **does not sign** |

What must be verified at intake:

1. **Who the current trustee is** — trustees change, and the person who was trustee three years ago may not be.
2. **That the trust authorizes sale of real property.**
3. **What the trust requires of the trustee in doing so** — some require consents or notices.
4. **That title is actually held in the trust**, against the record.

Occupancy, payment of taxes, and beneficial interest are each evidence of connection to the property, and **none establishes authority to sell it.**

### 6.3 Entity ownership

Where title is held by a corporation, limited liability company, partnership, or other entity, authority comes from the entity's governing documents and from whatever authorization those documents require.

The verification questions:

- **Does the entity exist and is it in good standing?**
- **Who is authorized to act for it** — and does the governing document require a resolution, a manager's consent, or the signature of more than one person?
- **Does the authorization cover this transaction**, including its terms?

A signature block reading "President" is not verification. It is a claim to be verified against the entity's documents.

### 6.4 Other authority situations

**Probate and decedents' estates.** The personal representative acts within what the appointment permits, and the process may require court involvement. Verify the appointment.

**Conservatorship and guardianship.** Authority comes from the court order, which may limit what may be done and may require approval.

**Power of attorney.** The instrument must currently be valid and must expressly authorize conveyance of real property. A general power of attorney signed years ago is not self-evidently sufficient, and whether it is, is a legal question.

**Co-owners.** All of them, unless the record or an instrument establishes otherwise.

### 6.5 The intake practice

> **Verify authority against a source at intake, and stop and escalate where it is unclear rather than postponing the question.**

Ten minutes with the trust document, the operating agreement, or the letters of appointment at the listing appointment prevents a failure that would otherwise appear in escrow with an accepted offer, a buyer with a loan approval, and no way to deliver title.

And where the answer is genuinely unclear, the licensee's role is not to resolve it. It is to route it to title and to counsel **before the listing is signed.**

### 6.6 Trust ownership and entity ownership, compared

Sections 6.2 and 6.3 of Lesson 03 introduce these. The comparison is worth setting out directly, because a licensee will meet both constantly and the questions they raise are structurally similar and practically different.

| | Trust ownership | Entity ownership |
|---|---|---|
| **Who holds title** | The trustee, in that capacity | The entity itself |
| **Who signs** | The **currently serving** trustee — which may not be the person who created the trust | Whoever the entity's governing documents authorize |
| **What establishes authority** | The trust instrument and, where required, the documentation the title company accepts | The formation documents, the operating or governing agreement, and any resolution required |
| **The common failure** | Assuming the person describing it as "my trust" is the acting trustee — **after a death or incapacity the office may have passed** | Assuming a member, officer, or partner is authorized because of the title he uses |
| **What changes on death** | Depends on the instrument; a successor may take office, with its own documentary requirements | Depends on the governing documents and the interest held |
| **Where it goes wrong in a transaction** | At title clearance, typically late | At title clearance, typically late |
| **Whose question it is** | **Counsel and the title company** | **Counsel and the title company** |

**The two rows that matter most to a licensee are the last two, and they are identical.**

**Both fail at the same point** — when the title company asks for evidence of authority and the documents do not say what the seller said they say. **By then the property has been marketed, an offer accepted, and a buyer's deadlines are running.**

**Both are resolved by the same intake practice.** Section 6.5 of Lesson 03: **ask how title is held, ask to see the document, and ask who must sign.** Three questions, asked before the listing agreement, and routed to counsel and the title company when the answer is not immediately clear from the document.

**What a licensee must never do with either.** Advise which structure to use, advise on whether to move property into or out of one, interpret an instrument's provisions, or **conclude from a person's description that he has authority.** Each is a legal determination, and the last one is the one that feels like ordinary listening rather than like a legal conclusion.

> **A useful framing for the client conversation.** "The title company is going to need to see the document that shows who can sign. Let's get it now — if there's anything in it that needs attention, today is a much better day to find out than three weeks into escrow." **Clients accept this immediately**, because it is obviously true and it is offered as service rather than as suspicion.

## 6.7 The intake questions, and why each one exists

Section 6.5 supplies the intake practice. Each question earns its place by preventing a specific, recurring failure.

| The question | The failure it prevents |
|---|---|
| **"How is title currently held?"** | A listing taken from someone whose interest is not what he described — a life tenant, a co-owner, a beneficiary rather than a trustee |
| **"May I see the document?"** | The gap between what a person says an instrument provides and what it provides. **The single most valuable question in this lesson** |
| **"Who must sign to convey?"** | A transaction that reaches title clearance and discovers a required signature nobody obtained |
| **"Is anyone else on title, or claiming an interest?"** | Unrecorded interests, family arrangements, and the person who "helped with the loan" |
| **"Has anyone died, been divorced, or lost capacity since acquisition?"** | Every event that changes who may act, and none of which is visible in the property |
| **"Is anyone in possession other than you?"** | Tenancies, family occupancy, and the rights that come with them |
| **"Is there any pending matter affecting the property?"** | Litigation, liens, association proceedings, and code matters |

**Two properties of this list are worth noticing.**

**None of the questions requires legal knowledge to ask**, and none of the answers is evaluated by the licensee. **The entire value is in surfacing the issue and routing it**, which Sections 6.2 through 6.4 establish for each ownership form.

**Every question is cheap now and expensive later.** Asked at the listing appointment, each produces at most a document request and occasionally a referral. **Discovered at day nineteen of an escrow, each is a transaction in trouble** — with a buyer's deadlines running, a lender's timeline committed, and a seller who has already made plans.

**What the licensee records:** what was asked, what was answered, what document was produced, and what was routed to whom. **Two minutes at the appointment, and it is the record that shows the question was asked** — which matters, because a seller who gave an incomplete answer and a licensee who never asked look identical in a file with no note.

> **The framing that makes clients cooperative rather than defensive.** The questions are not about them. **They are about what the title company will require**, which is true, verifiable, and obviously in the seller's interest — and a seller told "let's get this now so it isn't a problem in escrow" produces the document without being asked twice.

## 6.8 Checkpoint

You should be able to list what you would verify at a listing appointment where title is held in a trust, and explain why a beneficiary's signature is insufficient.

## Key terms

| Term | Definition |
|---|---|
| **Estate** | The nature and extent of a person's interest in land — what rights, and for how long. |
| **Freehold estate** | An interest of indefinite duration in the land itself. |
| **Leasehold estate** | A right of possession for a fixed or terminable period, with the owner retaining the reversion. |
| **Estate for years** | A leasehold with a **definite ending date**, ending automatically without notice. Not defined by lasting years. |
| **Periodic estate** | A leasehold renewing period to period, ending only on the required notice. |
| **Estate at will** | A leasehold of indefinite duration held with both parties' consent, subject to statutory notice. |
| **Estate at sufferance** | A tenant holding over after the right ends. A holdover, **not a trespasser** — which is why self-help is unlawful. |
| **Reversion** | The owner's future right to possession when a lesser estate ends. |
| **Fee simple absolute** | The greatest estate: indefinite duration, freely transferable, full bundle of rights. The default a deed conveys without limiting language. |
| **Defeasible fee** | A fee subject to a condition that may end it. Conditional language in a deed is a title matter for counsel, not a curiosity. |
| **Life estate** | Ownership measured by a lifetime. The life tenant may transfer only what they hold. |
| **Pur autre vie** | A life estate measured by the life of someone other than the holder. |
| **Remainderman** | The party taking when the measuring life ends, where a third party was named. |
| **Waste** | Conduct by a life tenant permanently impairing the property to the remainderman's detriment. |
| **Tenancy in common** | Concurrent ownership with possibly unequal shares, **no survivorship**, and shares passing by will or intestate succession. The default where two or more take without specifying. |
| **Joint tenancy** | Concurrent ownership with equal shares and a **right of survivorship**, requiring express language to create. |
| **PITT** | The four unities of joint tenancy: Possession, Interest, Time, Title. Tenancy in common requires possession alone. |
| **Severance** | A joint tenant's lifetime transfer, converting that interest to a tenancy in common while survivorship continues among the others. |
| **Partition** | A court-supervised division of concurrently owned property, physically or by sale. A legal remedy. |
| **Community property** | Generally, property acquired by a married person during marriage other than by gift or inheritance. **Both spouses generally must join** in a conveyance or encumbrance. |

| Term | Definition |
|---|---|
| **Separate property** | Generally, property owned before marriage or acquired during it by gift, devise, or inheritance, with its rents, issues, and profits. |
| **Common interest development** | Individually owned interests plus a shared interest in common areas, governed by recorded documents and administered by an association. |
| **Declaration (CC&Rs)** | The recorded covenants, conditions, and restrictions establishing the scheme and its use restrictions. Binds the buyer regardless of zoning. |
| **Special assessment** | An assessment beyond the regular one, which the buyer inherits and which inadequate reserves foreshadow. |
| **Trustee** | The holder of legal title under a trust, who **signs** — and only within the authority the trust document grants. |
| **Beneficiary** | The holder of the beneficial interest, who does **not** sign. |
| **Verified authority** | Confirmation against a source — the trust document, the operating agreement, the letters of appointment, the record — rather than inference from occupancy, tax payment, or a title in a signature block. |

## Practice problems

### Problem 1

Classify each and state how it ends: (a) a twelve-month lease expiring March 31; (b) a month-to-month tenancy; (c) a tenant who stayed past March 31 without a new agreement; (d) an occupancy both parties may end at any time. A landlord asks whether he must give thirty days' notice to end (a).

**Answer.**

> **Solution.** (a) An **estate for years** — defined by a definite ending date, not by lasting years; a six-month lease and a ten-day lease are both estates for years. It ends **automatically on March 31 without notice.** So the landlord's question is answered no, and a licensee who tells him a 30-day notice is required has described a different estate.
>
> (b) A **periodic estate**, which continues until someone gives the required notice.
>
> (c) An **estate at sufferance.** The tenant entered lawfully and is a **holdover, not a trespasser** — which is exactly why the remedy is a legal process and why changing the locks is unlawful however clear the obligation to leave.
>
> (d) An **estate at will**, subject to statutory notice.

### Problem 2

A buyer is purchasing a fourplex. Three units are on twelve-month leases with eight months remaining; the seller says the tenants "will be out by closing."

**What does the buyer take, and what should the licensee do?**

> **Solution. A leasehold survives a sale.** The buyer takes subject to the leases on their terms — the leases do not end because the property changed hands, and the buyer steps into the landlord's position with a **reversion** eight months out.
>
> The seller's statement is a representation to be **verified against the leases**, not accepted. Ask for the leases themselves, the deposits held and their amounts, any notices already given, and any written agreement to vacate. "They'll be out" is not a lease term.
>
> **What transfers:** existing leases and their terms are an intake item on any occupied property, because they determine what is actually being conveyed.

## Problem 3

A licensee takes a listing from a man who has lived in and maintained a house for eleven years. Title shows a life estate in him, with a remainder to his niece.

**What can he convey, and who must sign?**

> **Solution. He can convey only what he owns**, which is an interest that terminates when he dies. A buyer purchasing from him alone receives an estate that ends on someone else's death — which is not what any residential buyer thinks he is buying.
>
> **To convey a fee, the life tenant and the remainderman must both join.** The niece is not a formality; she holds a present interest in the property's future.
>
> **What transfers:** this is the Lesson 01 authority question in another costume. Verify against the instrument, and a licensee who takes this listing without identifying the remainderman has taken a listing that cannot deliver a fee.
>
> Also worth knowing while he holds it: the life tenant must not commit **waste** — neglecting maintenance, removing valuable timber, or allowing deterioration to the remainderman's detriment.

## Problem 4

Three siblings hold a property as joint tenants, each with a one-third interest. One sells her interest to an outside investor.

**Describe the resulting ownership.**

> **Solution. The sale severs the joint tenancy as to that interest.**
>
> The investor holds a **one-third interest as a tenant in common.** He has no survivorship rights, and none run against him.
>
> The two remaining siblings continue as **joint tenants between themselves** as to their combined two-thirds, with survivorship operating between them only.

> **Why this is a recurring surprise:** the transferring joint tenant unilaterally changed the survivorship expectations of two people who never agreed to the change. Nothing required their consent, and nothing notified them.
>
> If the three later cannot agree what to do with the property, any of them may generally seek **partition** — a court-supervised division physically or by sale. That is a legal remedy to recognize and refer, and the authority question must be settled **before** a listing is signed rather than during escrow.

### Problem 5

Two unmarried siblings buying together tell the licensee they want the survivor to take the whole property automatically, **and** each to be able to leave her share to her own children. Escrow needs the vesting instruction tomorrow.

**Respond.**

> **Solution. Name the tension and refer it — do not choose.**
>
> Those two goals point in different directions. **Survivorship** means the surviving owner takes; **the ability to devise a share** means each can direct her interest elsewhere. Joint tenancy delivers the first and defeats the second; tenancy in common delivers the second and defeats the first. No single form satisfies both, and resolving it is **estate planning, not form selection.**
>
> The licensee may explain that the choice matters and carries ownership, survivorship, tax, and estate consequences, and that changing it later is neither free nor simple. The licensee may **not** advise which to choose.
>
> **The referral goes to legal and tax counsel before escrow prepares the deed** — and escrow's deadline is a scheduling pressure, not a reason to answer a question outside the license.

### Problem 6

A married man signs a listing alone. He says the house was bought during the marriage but title is in his name only, that his wife "has nothing to do with it," and that they are in the middle of a dissolution. He asks the licensee whether the house is community property and what his wife is entitled to.

**What does the licensee do?**

> **Solution. Stop, verify, and escalate — and answer neither question.**
>
> The operative concern is authority to convey. Where community property is involved, **both spouses generally must join** in a conveyance or encumbrance of real property, and title in one name does not resolve whether the other has an interest. Property acquired during marriage other than by gift or inheritance is generally community property — but characterization is fact-dependent and squarely legal.
>
> **What the licensee does:** confirm how title is held against the record; where the record and the client's description do not reconcile, stop rather than proceeding; and route the interest question to title and to counsel **before the listing is signed.** In a dissolution, expect that authority may be affected by court orders and that counsel is already involved — coordinate rather than improvise.

> **What the licensee must not do:** characterize property as community or separate, advise either spouse on their rights, or predict how a court will divide it. All three are legal conclusions.
>
> **And a note on how the question is asked:** marital status is an intake question about authority, asked of every client the same way and used only for that purpose. Asking selectively creates a fair housing problem alongside the compliance one.
>
> **What transfers:** a listing signed by one spouse where the other has an interest is the same failure as a listing signed by a beneficiary rather than a trustee — it cannot deliver what it promises, and it surfaces in escrow where the cost is highest.

### Problem 7

A buyer is fourteen days into a review contingency on a condominium. The association documents were ordered on day ten and have not arrived. When they do, the buyer asks his agent whether the reserves are adequate and whether the construction defect litigation mentioned in the minutes is serious.

**Assess the timing and answer the questions.**

> **Solution. The timing failure came first.** Association documents are a **slow item** and belong at the front of the queue. An association taking three weeks to produce a packet destroys a fourteen-day contingency ordered on day ten. Ordered at the start, the buyer gets a real review; ordered late, he gets a formality.
>
> **Neither question may be answered.** "That's outside what I can assess, and it's exactly what to have reviewed before your contingency expires — the reserve study and budget are in the packet, and a CPA or your attorney can tell you what they show. The litigation disclosure is the same: it's a legal question, and it can also affect financing availability. I'll note that we discussed both."
>
> Saying "they look fine to me, this association seems well run" characterizes reserves the licensee cannot evaluate, on which the buyer will rely.
>
> **What he must review:** the declaration and its use restrictions — rental limits, animals, exteriors, business use — which bind him regardless of zoning; the budget and **reserves**, since inadequate reserves against known work mean a **special assessment** in the future whether or not one has been declared; the minutes, where problems appear first; the assessment history; and any pending or threatened litigation.

### Problem 8

A woman calls to list her late mother's house. She has lived there twelve years, pays the taxes, and is one of three beneficiaries of the trust that holds title. She produces a trust document from 2011 naming her mother as trustee. Separately, an LLC-owned property is offered by a man whose signature block reads "President."

**State what must be verified in each.**

> **Solution. Neither person has yet shown authority to convey.**
>
> **On the trust:** the **trustee** signs, and only within the authority the trust document grants. A **beneficiary does not sign**, however many there are and however clearly they benefit. Occupancy, payment of taxes, and beneficial interest are each evidence of connection to the property and **none establishes authority to sell it.** Verify: who

> the **current** trustee is — the 2011 document names someone now deceased, so successor trustee provisions and any acceptance must be examined; that the trust authorizes sale of real property; what the trust requires of the trustee in doing so, since some require consents or notices; and that title is actually held in the trust, against the record.
>
> **On the LLC:** a signature block reading "President" is a **claim to be verified**, not verification — and an LLC does not ordinarily have a president at all, which is itself a signal. Verify: that the entity exists and is in good standing; who is authorized to act for it under the operating agreement, and whether a resolution, a manager's consent, or more than one signature is required; and that the authorization covers this transaction including its terms.
>
> **What transfers:** verify authority against a source at intake, and stop and escalate where it is unclear rather than postponing. Ten minutes at the listing appointment prevents a failure that otherwise appears in escrow with an accepted offer, a buyer with loan approval, and no way to deliver title.

## Chapter summary

**An estate answers what rights and for how long.** Freeholds are of indefinite duration in the land itself; leaseholds are possession for a period, with the owner holding the reversion.

**Leaseholds are best held by how they end.** An estate for years expires on its date **without notice**; a periodic estate requires notice; an estate at will ends at either party's election subject to statutory notice; and an estate at sufferance is a holdover who entered lawfully — which is why self-help is unlawful.

**A leasehold survives a sale.** Verify existing leases rather than accepting assurances about them.

**Fee simple absolute is the default** and remains subject to government powers and private restrictions. Conditional language in a deed is a title matter for counsel.

**A life tenant owns for a lifetime, may not commit waste, and can convey only what they hold.** A fee requires the life tenant and the remainderman to join.

**Joint tenancy has equal shares and survivorship and requires express language; tenancy in common allows unequal shares, has no survivorship, and is the default.** A lifetime transfer by a joint tenant **severs** as to that interest while survivorship continues among the others.

**Vesting is an estate planning question.** Explain that it matters, refer it to counsel before the deed is prepared, and confirm at intake how title is actually held.

**California is a community property state, and both spouses generally must join** in a conveyance. Ask marital status neutrally as an authority question, check the record, and stop where they do not reconcile.

**A common interest development brings a body of private law with it.** Use restrictions, assessments, reserves, minutes, and litigation all bind or affect the buyer — and the documents are a slow item that must be ordered early enough for the review to be real.

**Verify authority to convey against a source.** Trustee, not beneficiary; the entity's governing documents, not a signature block; the appointment, the court order, the power of attorney's actual terms, and all co-owners. Where it is unclear, stop and escalate before the listing is signed.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Identify the estate or ownership form involved, state who must sign to convey and what you would verify against which source, identify the questions you would ask at intake, state what you would refer to legal or tax counsel and when, identify anything a buyer must review and by what deadline, and state the evidence you would create and retain. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

## Applied exercise — 100% required to complete the assignment

**1.** Two unmarried siblings buy a home together, each contributing half. They tell the licensee they want the survivor to receive the whole property automatically if one dies, but they also want each to be able to leave her share to her own children if circumstances change. They ask the licensee which vesting to use. What is the correct response?

**A. Explain that these two goals point toward different forms of ownership and that the choice carries legal and tax consequences, then refer them to legal and tax counsel before escrow prepares the deed.**

B. Recommend joint tenancy, since it provides the survivorship they asked for first.

C. Recommend tenancy in common, since it preserves each sibling's right to devise her share.

D. Recommend they take title in whichever form escrow customarily uses and change it later if needed.

**Answer: A.** The two stated goals are in tension: survivorship passes the whole interest automatically, while the ability to devise a share requires an interest that survives the owner. Resolving that tension is a legal and estate-planning question outside the license, and vesting is not a formality to be adjusted later without consequence.

## Engagement check — 5 items, 80% required

**1.** What distinguishes a freehold estate from a leasehold estate?

**A. A freehold estate is an ownership interest of indefinite duration; a leasehold is a possessory interest for a defined or periodic term.**

B. A freehold estate may be sold while a leasehold may not.

C. A freehold estate applies to land while a leasehold applies to buildings.

D. A freehold estate is recorded while a leasehold is not.

**Answer: A.** Duration and the nature of the interest are what separate them — ownership of indefinite duration versus possession for a term. Transferability, property type, and recording do not define the categories.

**2.** What are the four unities required to create a joint tenancy?

**A. Time, title, interest, and possession.**

B. Time, title, intent, and possession.

C. Interest, possession, survivorship, and agreement.

D. Title, interest, contribution, and possession.

**Answer: A.** The four unities are time, title, interest, and possession — the co-owners must take at the same time, by the same instrument, in equal shares, with equal rights of possession.

**3.** How does tenancy in common differ from joint tenancy?

**A. Tenants in common hold undivided interests that may be unequal and that pass to their heirs or devisees rather than to the surviving co-owners.**

B. Tenants in common must each hold an equal share and may not transfer without the others' consent.

C. Tenancy in common may be created only between married persons.

D. Tenancy in common gives each owner exclusive possession of a specific portion of the property.

**Answer: A.** Unequal shares and the absence of survivorship are the distinguishing features. Interests are undivided, meaning no co-owner holds a specific physical portion, and consent is not required to transfer one's own interest.

**4.** What is the defining characteristic of a life estate?

**A. It lasts for the duration of a specified person's life, after which the property passes to the remainderman or reverts to the grantor.**

B. It gives the holder ownership that lasts until the holder chooses to sell it.

C. It is a leasehold interest that continues for the tenant's lifetime.

D. It is an ownership interest that automatically renews unless terminated.

**Answer: A.** A life estate is measured by a life and ends when that life ends, with a remainder or reversion following. It is a freehold interest, not a lease, and it does not renew.

**5.** What does a buyer acquire when purchasing a condominium unit in a common interest development?

**A. Ownership of the individual unit together with an undivided interest in the common areas, subject to the governing documents and the association's authority.**

B. Ownership of the unit only, with the common areas owned entirely by the association.

C. A long-term leasehold in the unit and a membership interest in the association.

D. Ownership of the unit and the land beneath it, with shared maintenance obligations.

**Answer: A.** The condominium form combines separate unit ownership with an undivided interest in common areas, governed by the development's documents. The land beneath is generally part of the common area rather than separately owned with the unit.

## Remediation set — served only after a failed engagement check

**1.** One of three joint tenants sells her interest to an outside buyer. What is the effect?

**A. The buyer takes as a tenant in common with the other two, who remain joint tenants between themselves.**

B. The joint tenancy is destroyed entirely and all three owners become tenants in common.

C. The sale is void, because a joint tenant cannot convey without the others' consent.

D. The buyer takes as a joint tenant, stepping into the seller's position.

**Answer: A.** Conveyance breaks the unities as to the transferred interest only. The remaining original owners still share the unities with each other, so their joint tenancy survives as between them.

**2.** What is the significance of California being a community property state?

**A. Property acquired by a married person during marriage is generally community property, which affects ownership, management, and disposition — and makes marital status a fact the transaction must account for.**

B. All property owned by married persons is owned equally regardless of when it was acquired.

C. Married persons may not hold property separately in California.

D. Community property applies only to the couple's primary residence.

**Answer: A.** The characterization generally turns on acquisition during marriage, which is why property owned before marriage or received by gift or inheritance can remain separate. It is not limited to a residence, and separate ownership remains possible.

**3.** A life tenant wants to sell the property outright to a third party. What can he convey?

**A. Only the interest he holds, which ends at the measuring life, so the buyer takes an interest that terminates then.**

B. Full fee simple title, since a life tenant is the current owner in possession.

C. Nothing, because a life estate cannot be transferred.

D. Full title, provided the remainderman is notified of the sale.

**Answer: A.** No one conveys more than he holds. A life estate is transferable, but what passes is still measured by the same life, and notice to the remainderman does not enlarge it.

**4.** A buyer is purchasing in a common interest development. Which documents most directly affect what he may do with the property?

**A. The declaration and governing documents, including use restrictions and the association's rules and assessments.**

B. The preliminary report, which lists the association as a party in interest.

C. The purchase agreement, which incorporates the association's authority by reference.

D. The association's most recent financial statement.

**Answer: A.** Use restrictions live in the governing documents, which bind the owner directly. The preliminary report and purchase agreement point to them, and financial statements address the association's condition rather than what the owner may do.

**5.** A property is held in the name of a limited liability company. Who signs the deed on conveyance?

**A. The person authorized to act for the entity under its governing documents, whose authority should be confirmed rather than assumed.**

B. Any member of the company, since members own the entity.

C. The company's registered agent, who is designated to act on the company's behalf.

D. The person whose name appears on the property tax bill.

**Answer: A.** Entity authority comes from the governing documents and must be verified — the same principle as confirming a trustee's authority. Membership, agent designation for service, and the tax roll do not establish signing authority.

# Real Estate Principles - Lesson Assignment 04

## Land description, measurement, and boundaries

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Explain why a street address is not a legal description and identify the three systems California uses.
- Read a metes and bounds description and identify the elements that make it close.
- Locate a parcel within the government survey system and compute acreage from a sectional description.
- Distinguish a recorded map description from an assessor's parcel number and explain why the two are not interchangeable.
- Distinguish record boundaries from occupied boundaries, and identify what a survey does that a title policy does not.
- Perform the area, linear, and volume calculations a licensee actually needs, and state the sources a measurement should carry.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: legal descriptions and metes and bounds | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: the survey system, recorded maps, and parcel numbers | 50 | Sections 3-4 viewed |
| Guided reading: boundary evidence and measurement | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Metes and bounds

### 1.1 Why a legal description is required

A deed must describe the land well enough to identify it. **A street address does not.**

Addresses are assigned administratively, change, are duplicated across jurisdictions, and describe a building rather than a parcel. A parcel with no building has no address. A parcel split into two has one address and two parcels. None of that identifies land in a way a court or a title insurer can rely on.

A **legal description** identifies the parcel itself, permanently, in a way that can be located on the ground. California uses three systems, and a single description may combine them.

| System | Typical use |
|---|---|
| **Metes and bounds** | Irregular parcels, rural land, older descriptions, boundary calls |
| **Government survey (rectangular)** | Rural and undeveloped land, large parcels |
| **Lot, block, and tract (recorded map)** | Subdivided land — most residential property |

## 1.2 What metes and bounds does

Metes and bounds describes a parcel by tracing its perimeter. **Metes** are distances; **bounds** are directions and boundaries.

The description starts at a defined point, runs a series of courses, and returns to where it began. If it does not return, it does not describe a closed parcel, and the description is defective.

## 1.3 The elements

**Point of beginning.** A defined, locatable starting point. Historically tied to a physical monument; modern practice ties it to a surveyed reference such as a section corner or a point on a recorded map.

**Courses.** Each leg of the perimeter, stated as a direction and a distance — "North 45 degrees East, 150 feet."

**Monuments.** Physical or recorded reference points a call may run to — an iron pipe, a section corner, the centerline of a road, a watercourse.

**Closure.** The requirement that the described perimeter return to the point of beginning.

## 1.4 Reading a bearing

Bearings are stated as a deviation from north or south, toward east or west.

> **North 45 degrees East** means: start facing north, rotate 45 degrees toward the east.
>
> **South 30 degrees West** means: start facing south, rotate 30 degrees toward the west.

A bearing always begins with N or S and ends with E or W, with an angle between 0 and 90 degrees in between. A description reading "East 45 degrees North" is not a bearing, and a licensee who encounters one is looking at a transcription error worth flagging.

Angles are subdivided into **minutes** (60 to a degree) and **seconds** (60 to a minute). "N 12°30'15" E" is a bearing of 12 degrees, 30 minutes, 15 seconds east of north.

## 1.5 A worked description

> Beginning at the northeast corner of Section 14, Township 3 North, Range 2 West, San Bernardino Base and Meridian; thence South 00°00'00" East, 660.00 feet; thence North 90°00'00" West, 660.00 feet; thence North 00°00'00" West, 660.00 feet; thence North 90°00'00" East, 660.00 feet to the point of beginning.

Read it as a walk. From the section corner, go 660 feet due south, 660 feet due west, 660 feet due north, and 660 feet due east — arriving back at the start. The parcel is 660 by 660 feet.

**Area:** 660 × 660 = 435,600 square feet ÷ 43,560 = **10 acres.**

Note what made it readable: the point of beginning was tied to the survey system, every course had a direction and a distance, and it closed.

## 1.6 Monuments and the order of priority

Where the elements of a description conflict — the call says 150 feet but the monument is at 148 — the law applies an order of priority. In general terms, **natural monuments** are given the greatest weight, then **artificial monuments**, then references to recorded maps, then courses and distances, then area.

The reasoning is that a physical or recorded reference is less likely to be mistranscribed than a number, and more likely to reflect what the parties actually intended to convey.

**For a licensee this is recognition, not application.** A conflict between a call and a monument is a boundary question for a surveyor and, if it is contested, for counsel.

## 1.8 Reading a metes and bounds description aloud

Section 1.2 gave the elements. This section is the drill: taking a real description apart, clause by clause, until the shape is visible.

> *"Beginning at the northeast corner of Section 14, Township 3 North, Range 2 West, San Bernardino Base and Meridian; thence South 00°14'30" East along the east line of said Section 14 a distance of 660.00 feet to the TRUE POINT OF BEGINNING; thence South 89°45'30" West a distance of 330.00 feet; thence South 00°14'30" East a distance of 264.00 feet; thence North 89°45'30" East a distance of 330.00 feet to the east line of said Section 14; thence North 00°14'30" West along said east line 264.00 feet to the TRUE POINT OF BEGINNING."*

**Take it in five moves.**

**The commencement point is not the point of beginning.** The description starts at a monument that can be found — the northeast corner of a surveyed section — and then *travels* to the parcel. **"Beginning at" is the reference monument; "TRUE POINT OF BEGINNING" is the parcel's corner.** Confusing the two shifts the entire parcel 660 feet north, and this is the most common misreading of a metes and bounds description.

**Each call has three parts: a bearing, a distance, and often a monument.** *"South 00°14'30" East … 660.00 feet to the TRUE POINT OF BEGINNING."* Bearing, distance, destination.

**Bearings are read from north or south, never from east or west.** *South 89°45'30" West* means: face south, rotate 89°45'30" toward the west. Because that is almost 90°, the line runs very nearly due west. **A bearing beginning with E or W is not a bearing** — it is a misreading.

**Convert the minutes and seconds when comparing bearings.** 60 seconds to a minute, 60 minutes to a degree. S 00°14'30" E is 14.5 minutes east of due south — 0.242°, essentially a north-south line.

**A description that returns to its point of beginning closes.** Walk it: south 660 to the true point; west 330; south 264; east 330 back to the section line; north 264 to the start. **It closes**, and the shape is a rectangle 330 feet east-west by 264 feet north-south.

Area: 330 × 264 = **87,120 sq ft** = 87,120 ÷ 43,560 = **exactly 2.00 acres**.

## 1.9 What to do when the description does not close

A description that does not return to its point of beginning has an error, and errors of closure are common in older deeds.

**Where they come from.** Transcription errors when a deed was retyped; a call omitted entirely; a bearing reversed (East written for West); a distance misread from a surveyor's field notes; and — in genuinely old descriptions — reference to monuments that no longer exist, such as *"thence along the fence line"* or *"to the oak tree."*

**The order of priority when calls conflict** is a rule of construction a licensee should know exists, even though applying it is a surveyor's and a lawyer's work. In general terms, **natural monuments** outrank **artificial monuments**, which outrank **courses and distances**, which outrank **area**. The reason is evidentiary: a river is harder to move than a number is to mistype.

**What this means at a practical level:** a description that says *"330.00 feet to the east line of said Section 14"* and a measurement that finds the section line at 331.4 feet is resolved in favour of **the section line**, not the 330.00. The monument controls the distance.

**What a licensee does.**

**Do not attempt to resolve it.** A boundary discrepancy is a surveyor's measurement question and a lawyer's title question, and a licensee's opinion about which call controls is worth nothing and may be relied on.

**Do notice it and route it.** A description that will not close, a fence that does not match a plat, a neighbour's structure that appears to cross a line, a preliminary report exception referring to a boundary agreement — each is a signal, and each is visible without any technical skill.

**Do recommend a survey where the answer matters.** Vacant land, an intended addition, a fence dispute, an unusual lot shape, a rural parcel described by metes and bounds rather than by lot and block. **A survey costs a fraction of a boundary lawsuit**, and the recommendation should be made in writing so that the buyer's decision either way is recorded.

**A worked signal.**

> A rural five-acre parcel is described by metes and bounds. The preliminary report notes: *"The legal description contained herein may not describe a legal parcel."* The listing has been on the market twice before and cancelled both times.

**That exception is the title company saying, in its own careful language, that the parcel may never have been lawfully created.** Assignment 06 Section 3.9 explains how that happens — a division that did not follow the Subdivision Map Act. **The two cancelled listings are the market's evidence that other buyers' lenders reached the same conclusion.** A licensee who reads the preliminary report knows on day one what two previous agents apparently discovered in escrow.

### 1.10 Checkpoint

You should be able to read a bearing correctly, identify the elements of a metes and bounds description, and say what closure means.

## 2. Government survey system

### 2.1 What it is

The rectangular survey system — also called the government survey or the Public Land Survey System — divides land into a grid measured from established reference lines.

California uses three base and meridian systems: **Humboldt**, **Mount Diablo**, and **San Bernardino**. A description must state which, because the grid coordinates repeat under each.

### 2.2 The framework

| Line | What it does |
|---|---|
| **Base line** | Runs east–west; the reference for measuring north and south |
| **Principal meridian** | Runs north–south; the reference for measuring east and west |
| **Township lines** | Run east–west, parallel to the base line, every 6 miles |
| **Range lines** | Run north–south, parallel to the meridian, every 6 miles |

**Townships** are numbered north or south of the base line. **Ranges** are numbered east or west of the meridian. Their intersection identifies a six-mile square, also called a township.

> **T3N, R2W, SBB&M** means: the township three tiers north of the San Bernardino base line, in the range two tiers west of the San Bernardino meridian.

## 2.3 The numbers to know

| Unit | Size |
|---|---|
| Township | 6 miles × 6 miles = 36 square miles |
| Sections per township | **36** |
| Section | 1 mile × 1 mile = 640 acres |
| Half section | 320 acres |
| Quarter section | 160 acres |
| Quarter of a quarter | 40 acres |
| Acre | 43,560 square feet |
| Mile | 5,280 feet |

**Section numbering.** Sections are numbered 1 through 36 beginning in the **northeast** corner, running **west** across the top row, then dropping down and reversing direction — a serpentine or boustrophedon pattern. Section 1 is the northeast corner; Section 6 is the northwest; Section 31 is the southwest; Section 36 is the southeast.

## 2.4 Reading a sectional description

Sectional descriptions are read **backwards** — from the right, working left. Each division cuts the previous one.

> **The NE¼ of the SW¼ of Section 14**
>
> Start with Section 14 (640 acres). Take the southwest quarter: 160 acres. Take the northeast quarter of that: **40 acres.**

**The shortcut:** divide 640 by the denominators.

> NE¼ of SW¼ → 640 ÷ 4 ÷ 4 = **40 acres.**
>
> S½ of NW¼ of SE¼ → 640 ÷ 2 ÷ 4 ÷ 4 = **20 acres.**
>
> N½ of NE¼ → 640 ÷ 2 ÷ 4 = **80 acres.**

Where a description joins two parcels with "and," compute each and add:

> The NE¼ of the SW¼ **and** the N½ of the SE¼ of Section 14 = 40 acres + (640 ÷ 2 ÷ 4 = 80 acres) = **120 acres.**

## 2.5 Why sections are not exactly 640 acres

Range lines converge as they run north, because the earth is curved. To keep townships approximately square, the system introduces **correction lines** and **guide meridians** at intervals, and the resulting adjustments fall on particular sections.

The practical consequences: sections along the north and west edges of a township frequently contain **government lots** — irregular parcels of odd acreage described by lot number rather than by fractional call — and a section is a nominal 640 acres rather than a guaranteed one.

A licensee encountering "Government Lot 3" in a description is looking at a real parcel with a real acreage that must be read from the survey, not computed from fractions.

### 2.6 Checkpoint

You should be able to compute acreage from a sectional description, state how sections are numbered, and explain why a government lot exists.

## 3. Lot and block descriptions

### 3.1 The system most residential property uses

Where land has been subdivided, a **subdivision map** is recorded showing lots, blocks, streets, and easements. Once recorded, each parcel can be described by reference to it:

> **Lot 14, Block 3, of Tract No. 28471, in the City of Burbank, County of Los Angeles, State of California, as per map recorded in Book 812, Pages 44 through 47, of Maps, in the Office of the County Recorder of said County.**

The description is short because the map carries the detail. Every dimension, bearing, easement, and dedication shown on the recorded map is incorporated by the reference.

### 3.2 Why the recording reference matters

The book and page citation is not decoration. It identifies **which** map, in a county that has recorded thousands, and it is what makes the description locatable.

A description reading "Lot 14, Block 3, Tract 28471" without the recording reference is incomplete, and a licensee copying a legal description from one document to another must copy it **exactly and completely** — including the recording reference, the county, and any "except" or "together with" language.

### 3.3 "Except" and "together with"

Legal descriptions frequently carry additions and subtractions:

**"Except the westerly 20 feet thereof"** — the parcel is the lot minus that strip. Someone else owns or has taken it.

**"Together with an easement for ingress and egress over…"** — the parcel comes with a right over other land, which may be essential to its use.

A licensee who drops either phrase while copying has described a different parcel. On a landlocked lot, dropping the "together with" removes the access.

### 3.4 The Subdivision Map Act and the Subdivided Lands Law, in outline

Two bodies of California law govern subdivided land, and they do different things.

**The Subdivision Map Act** is the local land use mechanism. It governs the creation of parcels — the map process, the conditions a local agency may impose, dedications, and improvements. It answers whether a parcel may lawfully be created and sold.

**The Subdivided Lands Law** is a consumer protection mechanism administered by the Department of Real Estate. It addresses the sale of subdivided interests, requiring a public report before offering certain subdivided property for sale.

The practical point for a licensee: **an unlawfully created parcel is a real problem**, and "the seller says it was split years ago" is not evidence that it was lawfully split. Where a parcel's creation is in question, that is a matter for the local agency, title, and counsel.

### 3.5 Checkpoint

You should be able to identify the elements of a lot and block description and explain what "together with" adds.

## 4. Recorded maps and assessor parcels

### 4.1 The distinction that causes real errors

An **assessor's parcel number** is an administrative identifier a county assigns for taxation. A **legal description** identifies the land in law.

> **An APN is not a legal description and must not be used as one in a conveyance.**

The reasons are practical:

- **APNs are assigned for the assessor's convenience** and are changed, split, and combined as assessment practice requires.
- **One APN may cover more than one legal parcel**, and one legal parcel may carry more than one APN.
- **An APN is not a promise that a lawful parcel exists.** The assessor taxes what is there; the assessor does not adjudicate whether it was lawfully created.

That last point is the expensive one. A seller pointing to a separate tax bill as proof that a parcel is separately saleable has produced evidence of an assessment practice, not of a lawful split.

### 4.2 What the assessor's records are good for

They are genuinely useful within their limits: identifying the parcel for research, locating it on a parcel map, finding the assessed value and tax history, and finding characteristics such as year built and recorded square footage.

**With the source stated.** A licensee using assessor square footage in marketing states it as assessor data — "1,840 sq ft (per assessor; buyer to verify)" — rather than presenting it as measured fact. The assessor, the listing service, an appraisal, and an actual measurement routinely produce four different figures for one house.

### 4.3 Where descriptions are actually found

| Source | What it gives |
|---|---|
| **The recorded deed** | The operative legal description as conveyed |
| **The preliminary report** | The description title would insure, plus exceptions |
| **The recorded subdivision or parcel map** | Dimensions, bearings, easements, dedications |
| **A survey** | The boundaries located on the ground |
| **The assessor's records** | Administrative identification and characteristics |

**The deed and the preliminary report are the operative sources.** The others are research and support.

### 4.4 The licensee's practice

1. **Obtain the legal description from a recorded document**, not from a prior listing.
2. **Copy it exactly and completely**, including recording references and any except or together-with language.
3. **Reconcile the description, the APN, and the map** — if they do not agree, stop and route it to title.
4. **Never substitute an address or an APN for a legal description** in a document intended to convey.
5. **State sources for every measurement** used in marketing.

### 4.5 A worked description problem

> **A licensee is preparing a listing for a rural parcel. He has three documents.**
>
> - **The deed**, describing the property by metes and bounds, running from a monument and closing back to it.
> - **The assessor's parcel map**, showing a parcel with an assessor's parcel number and an area of "4.7 AC."
> - **The seller's statement** that "it's about five acres, and the fence line is the property line."
>
> **The listing service form asks for lot size, and it asks for the legal description.**
>
> **What each document is and is not.**
>
> **The deed's description is the legal description.** It is what conveys, and it is what belongs on the listing and in the agreement. Section 4.1's distinction governs.
>
> **The assessor's parcel number is not a legal description.** Section 4.2 explains what the assessor's records are for — taxation — and their boundaries and areas are maintained for that purpose. **An APN identifies a tax parcel and does not describe the land conveyed.** Using it as the legal description is the error Section 4.1 names, and it is common because it is convenient.
>
> **"4.7 AC" on the assessor's map is an assessor's figure.** It may be accurate; it is not authoritative for what the deed conveys.
>
> **The seller's "about five acres" is a recollection.** Lesson 03 of the practice course establishes what happens when a licensee repeats a number from a client's memory: **it becomes the licensee's representation.**

> **"The fence line is the property line" is Section 5.1's problem exactly** — the difference between the boundary of record and the boundary in use, and it is the sentence that precedes most boundary disputes.
>
> **What the licensee does.**
>
> **The legal description comes from the deed**, transcribed exactly, not paraphrased and not replaced with the APN.
>
> **The area is stated with its source.** "Assessor's records show 4.7 acres" is defensible. "5 acres" is not, and "approximately 5 acres" is the same representation with a hedge in front of it.
>
> **The fence statement goes into the disclosure conversation**, and the licensee recommends a survey — Section 5.6 — in writing, because a seller who volunteers that the fence and the line differ has disclosed a known condition affecting what the buyer is acquiring.
>
> **The licensee does not** locate the boundary, interpret the metes and bounds description, opine on whether the fence has legal significance, or reconcile the deed's area against the assessor's. **Section 5.5 forbids each of those**, and the last one is the most tempting because it looks like arithmetic.
>
> **The result.** A listing whose description is the deed's, whose area is attributed, and whose file contains a written survey recommendation with a date. **Three sentences of work, and it removes the two representations most likely to produce a claim on a rural parcel.**

### 4.6 Checkpoint

You should be able to explain why a separate tax bill does not establish a separately saleable parcel, and list the operative sources of a legal description.

## 5. Survey and boundary evidence

### 5.1 Two different boundaries

Almost every boundary dispute reduces to a single distinction:

> **The record boundary is where the documents say the line is. The occupied boundary is where people have been behaving as though it is.**

They frequently differ, and the difference is invisible until someone builds, sells, or measures.

### 5.2 What a survey does

A survey locates the record boundaries **on the ground**, using the description, the recorded maps, and physical evidence, and shows where improvements sit relative to them.

A survey is what answers: is the fence on the line? Does the neighbor's driveway cross? Is the addition inside the setback? Where exactly does the easement run?

### 5.3 What a title policy does not do

This is among the most useful things a licensee can explain to a buyer.

**A preliminary report and a title policy address record title** — what the records show about ownership and encumbrances. **They are not surveys.** A standard policy typically **excepts** matters that a survey would disclose, which means precisely that the policy does not insure against them.

> A buyer asks whether the fence is on the property line, and the agent says the title report "came back clean."
>
> That answer is wrong. The report addresses record title, and boundary location is exactly the category the standard policy excepts. **Nothing in the report speaks to where the fence is.**

The professional answer: the report does not address that, a survey does, and here is how to get one before the contingency expires.

## 5.4 Common boundary problems

| Problem | What it is |
|---|---|
| **Encroachment** | An improvement extending onto another's land — a fence, eave, driveway, wall, or building |
| **Overlapping descriptions** | Two descriptions covering the same ground, usually from historic conveyances |
| **Gaps** | A strip described in neither adjoining parcel |
| **Fence-line discrepancy** | The fence is not on the record line, sometimes by decades of custom |
| **Ambiguous or defective description** | A description that does not close, or whose calls conflict |

## 5.5 What the licensee must not do

Boundary questions are legal questions, and the doctrines that resolve them — adverse possession, agreed boundaries, prescriptive rights, acquiescence — carry requirements and consequences a licensee cannot assess.

**Must not:** state where the boundary is; characterize an encroachment as minor or as no problem; predict whether a neighbor has a claim; advise a seller to move a fence to resolve it; or tell a buyer that long-standing use "means it's theirs now."

**Must:** disclose what is observed; recommend a survey where the facts call for one; recommend counsel where a claim may exist; document the recommendation and the client's response; and ensure it happens **before the contingency expires.**

## 5.6 When to recommend a survey

The recurring triggers:

- The buyer intends to build, fence, or improve near a boundary.
- A fence, driveway, or structure appears close to or across a line.
- The description is metes and bounds, old, or complex.
- The property is rural, unimproved, or irregular.

- The preliminary report shows easements whose location matters to the buyer's plans.
- The buyer or seller says anything about a disagreement with a neighbor.
- Acreage matters to the price.

That last one deserves emphasis. Where a buyer is paying by the acre, the acreage in the listing is a factual claim requiring a source — and the source is a survey or a recorded map, not the assessor and not the prior listing.

## 5.8 The evidence a boundary rests on, ranked

Section 5.3 introduced surveys. When boundary evidence conflicts — and in older parcels it usually does — courts and surveyors work through it in a settled order, and knowing the order tells a licensee how seriously to take a discrepancy.

| Rank | Evidence | Why it ranks there |
|---|---|---|
| 1 | **Natural monuments** — a river, a rock outcrop, a ridge | Hardest to move, hardest to mistake |
| 2 | **Artificial monuments** — a survey pin, a monumented corner, a wall built as a boundary | Placed deliberately to mark the line |
| 3 | **Adjoining boundaries** — the calls of neighbouring parcels | The surrounding fabric must fit together |
| 4 | **Courses (bearings)** | Recorded numbers, subject to transcription error |
| 5 | **Distances** | The same, and more often mistyped |
| 6 | **Area** | A computed result, not a measurement |

**The practical consequence:** a description reading *"330.00 feet to the east line of said Section 14"* where the section line is actually at 331.4 feet is resolved in favour of **the section line**. The monument controls the distance, and the parcel is 331.4 feet deep.

**And area ranks last for a reason worth stating.** A deed reciting "containing 2.00 acres, more or less" does not make the parcel two acres. **The area is what the boundaries produce**, not a boundary in itself, and "more or less" is the drafter saying so.

## 5.9 Fences, and the thing everyone assumes

**A fence is not a boundary.** It is an artificial monument only if it was placed as a boundary monument, and most fences were placed where it was convenient to place them.

**The three situations a licensee meets.**

**The fence is inside the line.** The owner has been using less than they own. Usually harmless, occasionally not — if the neighbour has used the strip openly for long enough, an adverse possession or prescriptive easement question exists. Assignment 09 Section 6.10 notes that California's adverse possession doctrine additionally requires the claimant to have **paid the taxes**, which is why most such claims fail on land that is separately assessed.

**The fence is outside the line.** The owner has been using the neighbour's land. **This is the one that becomes a problem at sale**, when a survey reveals that the pool, the shed, or the driveway apron sits on the neighbour.

**Both owners have relied on the fence for decades.** There may be an agreed-boundary situation, which is a doctrine with elements and a body of law behind it. **It is not something a licensee reasons about.**

**What a licensee does in all three cases.** Notice; disclose what is known; **recommend a survey in writing**; and route the legal question. What a licensee must never say is *"the fence is the line"* — the sentence is wrong as a general matter and it is the sentence buyers most often report having been told.

**A worked signal.**

> A buyer walks a property with the listing agent. A detached garage sits within about two feet of what appears to be the side property line, and the neighbour's newer fence runs behind it. The preliminary report contains the standard exception for matters an accurate survey would disclose.

**Three ordinary possibilities and one expensive one.** The garage may be inside the line; it may encroach; the fence may be inside the neighbour's line; or the garage may encroach and have done so long enough that a doctrine applies.

**The buyer's exposure is not theoretical.** A garage encroaching on a neighbour is a title problem, an insurance problem and potentially a demolition problem, and **the standard policy's survey exception means the title insurer has expressly declined to cover it.**

**The action is a survey, ordered in the first days of the contingency period**, and the recommendation goes in writing so that a buyer who declines it has declined it knowingly.

### 5.10 Checkpoint

You should be able to explain the difference between record and occupied boundaries, state what a title policy does not cover, and list the triggers for recommending a survey.

## 6. Area and linear measurement

### 6.1 The constants

| Constant | Value |
|---|---|
| Acre | **43,560 square feet** |
| Mile | **5,280 feet** |
| Section | 1 mile square = 640 acres |
| Square yard | 9 square feet |
| Cubic yard | 27 cubic feet |
| Front foot | One foot of frontage, measured along the street |

## 6.2 Area formulas

| Shape | Formula |
|---|---|
| Rectangle | length × width |
| Triangle | ½ × base × height |
| Trapezoid | ½ × ($base_1$ + $base_2$) × height |
| Circle | π × radius² |

**Irregular parcels are handled by decomposition:** divide the shape into rectangles and triangles, compute each, and add.

## 6.3 Worked problems

> **A lot measures 120 feet by 200 feet. How many acres?**
>
> 120 × 200 = 24,000 sq ft. 24,000 ÷ 43,560 = **0.551 acres.**

> **A parcel is a rectangle 300 × 400 feet with a triangular extension whose base is 300 feet and height 100 feet.**
>
> Rectangle: 300 × 400 = 120,000 sq ft. Triangle: ½ × 300 × 100 = 15,000 sq ft. Total: 135,000 sq ft ÷ 43,560 = **3.10 acres.**

> **A 5-acre rectangular parcel has 400 feet of road frontage. How deep is it?**
>
> 5 × 43,560 = 217,800 sq ft. 217,800 ÷ 400 = **544.5 feet.**

> **Land sells for $12,000 per acre. What is a 130 × 250 foot lot worth?**
>
> 130 × 250 = 32,500 sq ft ÷ 43,560 = 0.746 acres × $12,000 = **$8,957.**

> **A driveway is 60 feet long, 12 feet wide, and 4 inches thick. How many cubic yards of concrete?**
>
> 4 inches = 0.333 feet. 60 × 12 × 0.333 = 240 cubic feet ÷ 27 = **8.9 cubic yards.**

## 6.4 The unit errors that produce wrong answers

Most measurement errors are not arithmetic. They are unit errors, and three account for most of them:

1. **Mixing feet and inches without converting.** Four inches is 0.333 feet, not 4.
2. **Confusing linear and square measure.** A 100-foot lot line is not 100 square feet.
3. **Converting to acres in the wrong direction.** Square feet ÷ 43,560 = acres; acres × 43,560 = square feet.

**The reasonableness check catches all three.** A residential lot of 0.55 acres is plausible; one of 550 acres is not. Before reporting a number, ask whether it is the right order of magnitude for what is being measured.

## 6.5 Measuring improvements, and the square footage problem

Square footage is the most litigated number in residential practice, because buyers price on it and sources disagree.

**Sound practice:**

- **State the figure with its source** — "1,840 sq ft (per assessor)."
- **Where sources conflict, say so** and invite the buyer to verify.
- **Do not include areas the local convention excludes** — garages, unfinished basements, and unpermitted conversions are commonly excluded, and including them inflates the figure.
- **Never present an unpermitted conversion as living area** without disclosing its status.

A licensee who writes "1,840 sq ft (per assessor; buyer to verify)" has given the buyer better information than one who writes "1,840 sq ft" — and is in a materially better position if the figure turns out to be wrong.

## 6.6 What a measurement must carry

Every measurement a licensee reports should carry three things: **the number, the unit, and the source.** A number without a source is an assertion; a number with a source is information the buyer can evaluate and verify.

## 6.7 Where measurement errors reach the client

Section 6.4 covers unit errors and Section 6.5 covers the square footage problem. This section connects the arithmetic to the consequence, because a principles course can make measurement feel like an exam topic when it is a liability topic.

| The measurement | How the error reaches the client |
|---|---|
| **Living area** | Stated in the listing, relied on by buyers, used in price-per-square-foot comparisons, and **relied on by the appraiser's grid.** An overstatement inflates the comparison in both directions — this property and every property later compared to it. |
| **Lot size** | Determines what can be built, whether a division is conceivable, and what setbacks permit. **A buyer purchasing for a specific use is buying the dimension, not the house.** |
| **Frontage** | Access, and in some settings value directly. |
| **Acreage** | On rural parcels, frequently the price basis itself. **A five percent error is five percent of the purchase price.** |
| **Room dimensions** | Whether furniture fits, which sounds trivial and is the complaint that arrives in week one. |
| **Ceiling height and volume** | Where a use, a conversion, or a code requirement depends on it. |

**The three rules that prevent all of it:**

1. **Give the source with every number.** "Per assessor," "per builder's plans," "per the prior listing," "measured by [name] on [date]." **A number without a source is the licensee's own statement**, whatever its origin.

2. **Do not convert between sources.** Taking an assessor's acreage and restating it in square feet, or a builder's plan area and adjusting it for what was added, produces a number no source stands behind.
3. **Distinguish what is included.** Section 6.5's point. **Whether a converted garage, an enclosed patio, a basement, or an accessory structure counts as living area is a definitional question with a real answer**, and different sources answer it differently — which is why two accurate figures can disagree by hundreds of square feet.

**The arithmetic in Section 6.3 is worth practicing for a reason beyond the examination.** A licensee who can compute area, convert units, and check a figure against its dimensions **will notice when a source is wrong** — and a listing whose stated area does not reconcile with its own stated dimensions is a listing with a defect that nobody caught because nobody multiplied.

> **The professional standard here is unusually simple:** report, attribute, and refuse to improve. **The number you were given, from the source you were given it by, with the source named.** Every measurement claim that has ever produced a complaint was an improvement on one of those three.

## 6.8 Why the measurement topics belong in a licensing course

A principles course teaches area formulas and section arithmetic, and students reasonably ask why a licensee needs them when a listing service supplies the numbers.

**Four reasons, in ascending order of importance.**

**One: the numbers supplied are frequently wrong.** A listing service field is populated by a person, from a source, sometimes by carrying forward what the last listing said. **A licensee who can check a stated area against its own stated dimensions will catch errors that otherwise propagate** — into the next listing, into a comparable grid, and into an appraisal.

**Two: units are where errors hide.** Section 6.4's unit errors are not exam artifacts. **Acres and square feet, front feet and lineal feet, dimensions in feet and inches** — a conversion performed casually produces an answer wrong by a factor, and a factor-of-ten error looks obviously wrong on paper and entirely plausible on a form.

**Three: the arithmetic underlies the analysis.** Price per square foot, adjustment amounts, lot coverage, buildable area, and yield all rest on measurement. **A licensee who cannot compute them cannot check them**, which means he cannot tell whether an analysis handed to him is sound.

**Four, and most important: a stated measurement is a representation.** Section 6.6 establishes what a measurement must carry. **The number goes into a listing, a buyer relies on it, and it is the licensee's statement unless it was attributed to a source.** This is the reason the topic sits in a licensing course rather than in a technical one — **the arithmetic is the small part, and the discipline of sourcing, attributing, and refusing to improve is the large part.**

**The three-part rule, restated as a working practice:**

1. **Report the number from a source**, and name the source.
2. **Check it against itself** where you can — dimensions against area, area against acreage, unit against unit. **An internal inconsistency is a signal that one of the inputs is wrong.**

3. **Do not reconcile sources.** Where the assessor says one thing and the plans say another, **report both with their sources** rather than producing a third number that no source stands behind.

> **The failure this prevents is not an arithmetic failure.** It is a licensee who repeated a number, was believed, and turned out to be the only person who had ever asserted it. **Section 5.5's prohibition and this section's arithmetic are the same subject:** the licensee's job is to convey what is known, from where it is known, and to be visibly absent from the parts he is not qualified to determine.

## 6.10 Area problems a licensee actually meets

Section 6.1 gave the conversions. This section works the problems that arise in practice, where the shape is irregular and the figures come from three documents that disagree.

**The five conversions, and the two that get reversed.**

| Conversion | Figure |
|---|---|
| 1 acre | **43,560 square feet** |
| 1 square mile (section) | 640 acres |
| 1 township | 36 sections, 6 miles square |
| 1 linear mile | 5,280 feet |
| 1 front foot | one foot of frontage on the street, whatever the depth |

**The two that get reversed** are square feet to acres and acres to square feet. To go from square feet **to** acres, **divide** by 43,560. To go from acres **to** square feet, **multiply**. A candidate who multiplies when they should divide produces an answer roughly 1,900,000,000 times too large and does not notice, because the number has no intuitive size.

**Worked problem — the irregular lot.**

> A corner lot is a rectangle 120 feet deep and 90 feet wide, with a triangular corner cut off for a street radius. The cut removes a right triangle with legs of 18 feet and 18 feet. What is the lot area in square feet, and in acres?

Rectangle: 120 × 90 = **10,800 sq ft**. Triangle removed: ½ × 18 × 18 = **162 sq ft**. Net: 10,800 − 162 = **10,638 sq ft**. In acres: 10,638 ÷ 43,560 = **0.2442 acres**.

**Worked problem — the split parcel.**

> An owner holds the SE¼ of the NW¼ of Section 22, and the N½ of the SW¼ of the NE¼ of the same section. How many acres?

Work each from the section's 640 acres, dividing by four for each quarter and by two for each half, right to left:

- SE¼ of NW¼ → 640 ÷ 4 ÷ 4 = **40 acres**
- N½ of SW¼ of NE¼ → 640 ÷ 4 ÷ 4 ÷ 2 = **20 acres**

Total **60 acres**. **The reading direction is the whole trick**: the description narrows from right to left, so the arithmetic runs the same way.

**Worked problem — front feet and price.**

> A commercial strip sells for $2,400 per front foot. A parcel has 145 feet of frontage and a depth of 210 feet. What is the price, and what is the price per square foot?

Price: 145 × $2,400 = **$348,000**. Area: 145 × 210 = 30,450 sq ft. Per square foot: $348,000 ÷ 30,450 = **$11.43**.

**Note what front-foot pricing ignores.** Depth. Two parcels with identical frontage and depths of 100 and 300 feet cost the same under front-foot pricing and are not the same property. **Front-foot pricing is a convention of a particular market**, and a licensee who quotes it should know that it is a convention rather than a measure of the land.

## 6.11 When three documents give three different sizes

This is the ordinary case, not the exception, and it is worth knowing before a client asks.

> A single-family property's size appears as: **1,842 square feet** on the county assessor's record; **1,914 square feet** in the multiple listing service; **1,780 square feet** on the appraisal; and **1,900+ square feet** in the seller's own description.

**They are measuring different things, and none of them is necessarily wrong.**

| Source | What it usually measures | Why it differs |
|---|---|---|
| **Assessor** | The size on record for taxation, often from a permit file decades old | Permitted additions may never have been re-recorded; unpermitted ones certainly were not |
| **Appraiser** | Gross living area, measured from exterior dimensions to a published standard, excluding garages and usually excluding below-grade space | The **standard** is what makes this figure comparable to other appraisals |
| **Listing service** | Whatever the input agent entered, from whatever source | The least controlled figure of the four |
| **Seller** | Recollection, a floor plan, or a builder's brochure | Frequently includes converted space |

**What a licensee must and must not do.**

**Do not state a square footage as fact.** A licensee who says "it's 1,900 square feet" has made a representation about a measurement they did not take, and the difference between 1,780 and 1,914 is 7 per cent of the property.

**Do state the source with the figure.** *"The assessor's record shows 1,842 square feet; the appraisal measured 1,780."* Attribution converts a representation into a report, and it lets the buyer decide which source to rely on.

**Do tell a buyer who cares to have it measured.** For a buyer whose decision turns on size — a price-per-square-foot analysis, a room that must fit a particular use — the answer is an independent measurement, not a better citation.

**Do notice when the gap points at something else.** A 130-square-foot discrepancy is usually a measurement standard. A 400-square-foot discrepancy is usually a converted garage, an enclosed patio, or an addition, and **each of those raises a permit question that is larger than the square footage question.** Assignment 06 Section 3.4 explains why an unpermitted addition is a problem that survives the sale.

## 6.12 Checkpoint

You should be able to compute acreage and value from lot dimensions, convert between units correctly, apply a reasonableness check, and state a square footage figure the way a professional states it.

## Key terms

| Term | Definition |
|---|---|
| **Legal description** | A description identifying the parcel itself, permanently and locatably. **A street address is not one.** |
| **Metes and bounds** | Description by tracing the perimeter — metes are distances, bounds are directions and boundaries. |
| **Point of beginning** | The defined, locatable starting point of a metes and bounds description, to which the description must return. |
| **Course** | One leg of a perimeter, stated as a direction and a distance. |
| **Monument** | A physical or recorded reference point a call may run to. |
| **Closure** | The requirement that the perimeter return to the point of beginning. A description that does not close is defective. |
| **Bearing** | A direction stated as a deviation from north or south toward east or west — N 45° E, S 30° W. Always N or S first, E or W last, 0–90° between. |
| **Order of priority** | Where description elements conflict: natural monuments, then artificial monuments, then recorded maps, then courses and distances, then area. Recognition for a licensee; application for a surveyor. |
| **Base line and principal meridian** | The east–west and north–south reference lines of the rectangular survey. California uses Humboldt, Mount Diablo, and San Bernardino. |
| **Township** | A 6-mile square containing **36 sections**, identified by tiers north or south of a base line and ranges east or west of a meridian. |
| **Section** | One mile square, a nominal **640 acres**. Numbered 1–36 beginning in the northeast corner and running serpentine. |
| **Reading backwards** | How a sectional description is computed — from the right, each division cutting the previous one. The shortcut is 640 divided by the denominators. |
| **Correction lines and guide meridians** | Adjustments introduced because range lines converge northward, producing irregular sections. |
| **Government lot** | An irregular parcel of odd acreage described by lot number rather than fractional call, read from the survey rather than computed. |
| **Lot, block, and tract** | Description by reference to a recorded subdivision map, which carries the dimensions, easements, and dedications. |
| **Recording reference** | The book and page identifying **which** recorded map. Not decoration — it is what makes the description locatable. |
| **Except / together with** | Language subtracting from or adding to a described parcel. Dropping either while copying describes a different parcel — and on a landlocked lot, dropping the "together with" removes the |

| Term | Definition |
|---|---|
| | access. |
| **Subdivision Map Act** | The local land use mechanism governing the lawful creation of parcels. |
| **Subdivided Lands Law** | The DRE-administered consumer protection mechanism governing the sale of subdivided interests, including the public report requirement. |
| **Assessor's parcel number** | An administrative identifier for taxation. **Not a legal description**, not a promise that a lawful parcel exists, and not necessarily one-to-one with legal parcels. |
| **Record boundary** | Where the documents say the line is. |
| **Occupied boundary** | Where people have been behaving as though it is. |
| **Survey** | The location of record boundaries on the ground, showing where improvements sit relative to them. |
| **Survey exception** | The standard title policy's exception for matters a survey would disclose — meaning the policy does **not** insure boundary location. |
| **Encroachment** | An improvement extending onto another's land. |
| **Front foot** | One foot of frontage measured along the street. |
| **Source-stated measurement** | The professional form of a reported figure: the number, the unit, and where it came from. |

## Practice problems

### Problem 1

A licensee prepares a deed describing the property as "1428 Elm Street, Burbank, California, APN 2445-018-032."

**Identify both defects.**

> **Solution. Neither element is a legal description**, and a deed must describe the land well enough to identify it.
>
> **The address** is assigned administratively, changes, is duplicated across jurisdictions, and describes a **building** rather than a parcel. A parcel with no building has no address; a parcel split in two has one address and two parcels.
>
> **The APN is an assessor's administrative identifier for taxation**, changed, split, and combined as assessment practice requires. One APN may cover more than one legal parcel and one legal parcel may carry more than one APN. Critically, **an APN is not a promise that a lawful parcel exists** — the assessor taxes what is there and does not adjudicate whether it was lawfully created.
>
> **The correct practice:** take the description from a recorded document — the deed or the preliminary report — copy it exactly and completely including the recording reference and any except or together-with language, and reconcile the description, the APN, and the map. Where they disagree, stop and route it to title.

### Problem 2

Read this description and compute the area:

> Beginning at the northeast corner of Section 14, T3N, R2W, SBB&M; thence South 00°00'00" East, 660.00 feet; thence North 90°00'00" West, 660.00 feet; thence North 00°00'00" West, 660.00 feet; thence North 90°00'00" East, 660.00 feet to the point of beginning.

**Then say what would make it defective.**

> **Solution.** Read it as a walk: from the section corner, 660 feet due south, 660 feet due west, 660 feet due north, 660 feet due east — back to the start.
>
> **660 × 660 = 435,600 sq ft ÷ 43,560 = 10 acres.**
>
> What makes it sound: the **point of beginning is tied to the survey system** rather than to a perishable physical object, every course carries **both a direction and a distance**, and it **closes.**
>
> **A description that does not return to the point of beginning does not describe a closed parcel** and is defective. Two other defects worth flagging: a bearing written as "East 45 degrees North," which is not a bearing at all and signals a transcription error, and a call that conflicts with a monument — which is a boundary question for a surveyor rather than something a licensee resolves.

### Problem 3

Compute the acreage of each: (a) the NE¼ of the SW¼ of Section 22; (b) the S½ of the NW¼ of the SE¼; (c) the NE¼ of the SW¼ **and** the N½ of the SE¼ of Section 14.

**Then state where Section 6 sits in its township and why some sections are not 640 acres.**

> **Solution.** Read backwards, dividing 640 by the denominators.
>
> (a) 640 ÷ 4 ÷ 4 = **40 acres.** (b) 640 ÷ 2 ÷ 4 ÷ 4 = **20 acres.** (c) 40 acres + (640 ÷ 2 ÷ 4 = 80 acres) = **120 acres.**
>
> **Sections are numbered 1 through 36 beginning in the northeast corner**, running west across the top row, then dropping and reversing. So **Section 6 is the northwest corner** — with Section 1 northeast, 31 southwest, and 36 southeast.
>
> **Sections are a nominal 640 acres, not a guaranteed one.** Range lines converge as they run north because the earth is curved, so **correction lines and guide meridians** are introduced to keep townships approximately square. The resulting irregularity falls on the north and west edges, which is where **government lots** appear — irregular parcels of odd acreage described by lot number, whose acreage must be read from the survey rather than computed from fractions.

### Problem 4

A licensee copying a legal description from a prior listing omits "EXCEPT the westerly 20 feet thereof" and "TOGETHER WITH an easement for ingress and egress over Lot 15." The lot has no other street access.

**What has been described?**

**Solution. A different parcel**, in two directions at once — and the second omission is the one that destroys the property.

**Dropping the "except"** describes a parcel 20 feet wider than the seller owns. Someone else owns or has taken that strip.

**Dropping the "together with" removes the access.** The lot is landlocked, and the easement over Lot 15 is what makes it usable. A description without it conveys land no one can reach.

**What transfers:** a legal description is copied **exactly and completely** from a recorded document — including the recording reference, the county, and every except and together-with clause. Copying from a prior listing is not sourcing; it is repeating someone else's transcription.

## Problem 5

A seller offers a rear portion of his lot as a separate building site. He produces a separate tax bill and an APN for it and says it "was split years ago."

**Assess the evidence.**

**Solution. A separate tax bill is evidence of an assessment practice, not of a lawful split.** The assessor taxes what is there and does not adjudicate whether a parcel was lawfully created. This is the most expensive misunderstanding an APN produces.

Two bodies of California law bear on it, doing different things. **The Subdivision Map Act** is the local land use mechanism governing the creation of parcels — the map process, conditions, dedications, and improvements — and it answers whether a parcel may lawfully be created and sold. **The Subdivided Lands Law** is the DRE-administered consumer protection mechanism governing the sale of subdivided interests, including the public report requirement.

**"The seller says it was split years ago" is not evidence that it was lawfully split.** Where a parcel's creation is in question, the matter goes to the local agency, to title, and to counsel — and it goes there **before** the property is marketed as a separate building site, because marketing it as one is a factual claim about entitlement.

## Problem 6

A buyer asks whether the neighbor's fence is on the property line. The agent replies that the title report "came back clean" and that the fence has been there thirty years so "it's basically the line now anyway."

**Correct both statements.**

**Solution. Both are wrong, and the second is worse.**

**A preliminary report and a title policy address record title** — what the records show about ownership and encumbrances. **They are not surveys**, and the standard policy typically **excepts** matters a survey would disclose. Boundary location is precisely the excepted category, so **nothing in the report speaks to where the fence is.** "Clean" answers a question the buyer did not ask.

> **The thirty-year comment is a legal conclusion the licensee cannot make.** The doctrines that could matter here — adverse possession, agreed boundaries, prescriptive rights, acquiescence — carry requirements and consequences a licensee cannot assess, and stating that long use "means it's theirs now" invites reliance on an opinion that may be exactly backwards.
>
> **The right answer:** "The title report doesn't address that — it covers record title, and boundary location is specifically excepted. What answers it is a survey, and here's how to get one before your contingency expires. If it turns out the fence isn't on the line, that's a question for an attorney."
>
> **The distinction underneath it:** the **record boundary** is where the documents say the line is; the **occupied boundary** is where people have been behaving as though it is. They frequently differ, and the difference is invisible until someone builds, sells, or measures.

## Problem 7

Compute: (a) a 120 × 200 foot lot in acres; (b) the value of a 130 × 250 foot lot at $12,000 per acre; (c) the depth of a 5-acre rectangular parcel with 400 feet of frontage; (d) cubic yards of concrete for a driveway 60 feet long, 12 feet wide, 4 inches thick.

**Then name the three unit errors that produce most wrong answers.**

> **Solution.** (a) 120 × 200 = 24,000 sq ft ÷ 43,560 = **0.551 acres.** (b) 130 × 250 = 32,500 sq ft ÷ 43,560 = 0.746 acres × $12,000 = **$8,957.** (c) 5 × 43,560 = 217,800 sq ft ÷ 400 = **544.5 feet.** (d) 4 in = 0.333 ft; 60 × 12 × 0.333 = 240 cu ft ÷ 27 = **8.9 cubic yards.**
>
> **The three errors:** mixing feet and inches without converting — four inches is 0.333 feet, not 4, which in (d) would have produced 106 cubic yards; confusing linear with square measure — a 100-foot lot line is not 100 square feet; and converting acres in the wrong direction — square feet ÷ 43,560 = acres, acres × 43,560 = square feet.
>
> **The reasonableness check catches all three.** A residential lot of 0.55 acres is plausible; 550 acres is not. Ask whether the answer is the right order of magnitude before reporting it.

## Problem 8

A listing sheet reads "2,340 sq ft." The assessor shows 1,840, an appraisal from 2019 shows 1,910, and the difference is a permitted-status-unknown garage conversion the seller counts as living area. The buyer is paying by the square foot.

**What is wrong, and how should the figure be stated?**

> **Solution. Three things, and the buyer is pricing on all of them.**
>
> **The figure has no source and conflicts with two that exist.** Square footage is the most litigated number in residential practice precisely because the assessor, the listing service, an appraisal, and an actual measurement routinely produce different figures for one house.

> **The conversion is being included without disclosure of its status.** Areas the local convention excludes — garages, unfinished basements, unpermitted conversions — inflate the figure when included, and presenting an unpermitted conversion as living area is a factual claim about both area and entitlement.
>
> **How to state it:** "1,840 sq ft (per assessor; buyer to verify). Approximately 500 additional sq ft of converted garage space; permit status unverified — buyer to investigate with the city." Where sources conflict, say so and invite verification.
>
> **And because the buyer is paying by the square foot, the number is a material term** — which also makes this a survey and permit-research trigger rather than a marketing question.
>
> **What transfers:** every measurement a licensee reports carries **the number, the unit, and the source.** A number without a source is an assertion; a number with a source is information the buyer can evaluate.

## Chapter summary

**A street address is not a legal description.** Addresses are administrative, change, duplicate, and describe buildings; legal descriptions identify parcels permanently and locatably.

**Metes and bounds traces a perimeter** from a defined point of beginning, through courses of direction and distance, back to the start. A description that does not close is defective, and where calls conflict with monuments the priority order governs — recognition for the licensee, application for the surveyor.

**Bearings read N or S first, E or W last**, with an angle between.

**The rectangular survey grids land from a base line and principal meridian.** Thirty-six sections to a township, 640 nominal acres to a section, sections numbered serpentine from the northeast. Sectional descriptions are read backwards, and 640 divided by the denominators gives the acreage.

**Convergence produces correction lines, irregular sections, and government lots**, whose acreage is read rather than computed.

**Most residential property is described by lot, block, and tract**, with the recorded map carrying the detail and the recording reference identifying which map. Copy descriptions exactly, including every except and together-with clause.

**The Subdivision Map Act governs lawful creation; the Subdivided Lands Law governs sale.** A seller's recollection is not evidence of a lawful split.

**An APN is not a legal description**, is not one-to-one with legal parcels, and is not evidence that a lawful parcel exists.

**Record boundaries and occupied boundaries frequently differ**, and a title policy does not insure the difference — the standard policy excepts what a survey would disclose. Never state where a boundary is, never characterize an encroachment, and never tell a buyer that long use has settled it.

**Recommend a survey** where the buyer will build near a line, where improvements appear close to one, where the description is old or complex, where the property is rural or irregular, where easement location matters, where anyone mentions a neighbor disagreement, or where acreage drives the price.

**Know the constants, decompose irregular shapes, and check reasonableness.** Most measurement errors are unit errors, not arithmetic.

**Every reported measurement carries a number, a unit, and a source** — and square footage carries its source most of all.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Identify the description system in use and any defect in the description as given, state which sources you would obtain and in what order, perform and show any area or value calculation the scenario requires with its units, identify whether a survey is warranted and state the trigger, state what you would disclose and how you would source each measurement used in marketing, and identify what you would refer to a surveyor, to title, or to counsel and by what deadline. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

## Applied exercise — 100% required to complete the assignment

**1.** A buyer is purchasing a rural parcel described in the deed by metes and bounds. The seller says the parcel is 'about five acres,' the listing says 5.2 acres, the assessor's record says 4.8 acres, and an old fence appears to run some distance inside one of the described boundary lines. The buyer plans to build near that boundary. What should the licensee advise?

**A. Recommend a survey, explain that the recorded legal description rather than the fence or the assessor's record establishes the boundary, and advise that a fence in a different location may raise legal questions requiring counsel.**

B. Rely on the assessor's parcel record, since it is an official government record of the parcel's size.

C. Rely on the deed description and treat the fence as the practical boundary for building purposes.

D. Average the three acreage figures and advise the buyer to plan the construction conservatively.

**Answer: A.** The legal description governs, the assessor's record exists for taxation rather than boundary determination, and a fence inconsistent with the description raises legal questions a licensee cannot resolve. A survey locates the description on the ground, which is exactly what a buyer building near the line needs.

## Engagement check — 5 items, 80% required

**1.** What defines a metes and bounds description?

**A. It traces the boundary by directions and distances from a defined point of beginning and must close by returning to that point.**

B. It identifies the parcel by its lot and block number on a recorded subdivision map.

C. It divides land into townships and sections measured from a base line and meridian.

D. It identifies the parcel by the assessor's parcel number assigned by the county.

**Answer: A.** Courses, distances, and a closing return to the point of beginning are the defining features. The other three describe lot and block, the rectangular survey system, and assessor identification respectively.

**2.** In the government survey system, how many acres are in a standard section?

**A. 640 acres.**

B. 160 acres.

C. 36 acres.

D. 43,560 acres.

**Answer: A.** A section is one mile square, which is 640 acres. 160 acres is a quarter section, 36 is the number of sections in a township, and 43,560 is the number of square feet in an acre.

**3.** How many sections are in a standard township?

**A. 36 sections.**

B. 16 sections.

C. 40 sections.

D. 640 sections.

**Answer: A.** A township is six miles square and therefore contains 36 one-mile-square sections.

**4.** A lot measures 150 feet by 200 feet. What is its area in acres, given that an acre is 43,560 square feet?

**A. Approximately 0.69 acres.**

B. Approximately 1.45 acres.

C. Approximately 0.34 acres.

D. Approximately 3.5 acres.

**Answer: A.** 150 × 200 = 30,000 square feet; 30,000 ÷ 43,560 ≈ 0.69 acres. The second figure inverts the division, and the others misplace the scale.

**5.** What is the purpose of an assessor's parcel number?

**A. It identifies the parcel for property tax administration and is not a legal description of the boundaries.**

B. It is the legal description used to convey the property in a deed.

C. It establishes the parcel's recorded boundaries as surveyed by the county.

D. It certifies that the parcel is a legally created lot.

**Answer: A.** The assessor's number serves taxation. It neither conveys property, nor establishes boundaries, nor certifies that the parcel was lawfully created.

## Remediation set — served only after a failed engagement check

**1.** A metes and bounds description does not return to its point of beginning. What does that indicate?

**A. The description does not close, which is a defect requiring professional resolution before the parcel's boundaries can be relied on.**

B. The parcel is irregularly shaped, which is common and requires no further action.

C. The description covers only part of the parcel and the remainder is described separately.

D. The description is a partial legal description that the assessor's record completes.

**Answer: A.** Closure is a requirement of a valid metes and bounds description, not a matter of shape. A description that fails to close cannot define an enclosed area and needs surveyor and legal attention.

**2.** A neighbor's shed extends two feet onto the subject property. What is this called and why does it matter?

**A. An encroachment, which affects the buyer's use and may create legal claims over time, so it should be disclosed and evaluated.**

B. An easement, which gives the neighbor a legal right to maintain the shed.

C. A boundary adjustment, which is resolved automatically when the property is sold.

D. A nuisance, which the buyer may remove after closing without notice.

**Answer: A.** Physical intrusion across a boundary is an encroachment. It is not an easement unless a right has actually been established, it does not resolve itself on transfer, and self-help removal invites liability.

**3.** What is the function of a recorded subdivision map in a lot and block description?

**A. It is the reference document that gives the lot and block numbers meaning by fixing the dimensions and location of each lot.**

B. It records each lot's ownership history for title purposes.

C. It establishes the assessor's parcel numbers for the subdivision.

D. It certifies that each lot has been surveyed at the time of sale.

**Answer: A.** A lot and block description is meaningless without the recorded map it references, which is where the dimensions live. Ownership history, tax numbering, and sale-time surveys are separate matters.

**4.** A quarter of a quarter section contains how many acres?

**A. 40 acres.**

B. 160 acres.

C. 80 acres.

D. 10 acres.

**Answer: A.** A section is 640 acres; a quarter is 160; a quarter of that quarter is 40.

**5.** Which evidence is most authoritative in locating a disputed boundary on the ground?

**A. A survey by a licensed surveyor applying the recorded legal description.**

B. The location of long-standing fences and hedges between the properties.

C. The acreage stated in the listing and the assessor's record.

D. The recollection of the current owners about where the line has been treated as running.

**Answer: A.** A survey is what translates the recorded description into physical location. Fences, tax records, and recollection may be evidence in a legal dispute about the line, but none of them locates the description.

# Real Estate Principles - Lesson Assignment 05

## Encumbrances, liens, easements, and restrictions

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Classify encumbrances by whether they affect title or use, and distinguish voluntary from involuntary liens.
- Explain how each common lien arises, what it secures, and how it is removed.
- Distinguish an easement from a license, identify how easements are created and terminated, and explain appurtenant versus in gross.
- Explain what recorded restrictions do, how they differ from zoning, and what a licensee may say about them.
- Identify encroachments and boundary conflicts and route them correctly.
- Apply recording and priority rules, and read a preliminary report's exceptions as allocations of risk.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: encumbrances and liens | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: easements and recorded restrictions | 50 | Sections 3-4 viewed |
| Guided reading: priority, recording, and title exceptions | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Voluntary and involuntary liens

### 1.1 What an encumbrance is

An **encumbrance** is any right or interest in land held by someone other than the owner that affects the property's title or its use. It does not prevent ownership or transfer; it travels with the property and burdens whoever holds it.

The organizing distinction:

| Category | What it affects | Examples |
|---|---|---|
| **Money encumbrances (liens)** | **Title** — the property secures a debt | Deed of trust, tax lien, judgment lien, mechanic's lien |
| **Non-money encumbrances** | **Use** — what may be done with the property | Easements, recorded restrictions, encroachments |

That division carries most of the lesson. A lien is about who gets paid; an easement or restriction is about what may be done.

### 1.2 Voluntary and involuntary

A **voluntary lien** is created by the owner's agreement — most commonly a deed of trust securing a loan.

An **involuntary lien** arises by operation of law without the owner's consent. Taxes, judgments, and mechanic's liens are the recurring examples.

### 1.3 General and specific

A second axis, cutting across the first:

**A specific lien** attaches to a particular property — a deed of trust, a property tax lien, a mechanic's lien.

**A general lien** attaches to all of the debtor's property in the jurisdiction — a judgment lien, most federal tax liens.

The practical consequence: a general lien against a seller reaches every parcel he owns in the county, which is why a judgment against a person with a similar name must be resolved rather than assumed away.

### 1.4 The four-way classification

Most liens can be placed on both axes at once, and doing so is a useful examination and practice skill.

| Lien | Voluntary/involuntary | General/specific |
|---|---|---|
| Deed of trust | Voluntary | Specific |
| Property tax lien | Involuntary | Specific |
| Mechanic's lien | Involuntary | Specific |
| Judgment lien | Involuntary | General |
| Federal tax lien | Involuntary | General |
| Special assessment | Involuntary | Specific |

### 1.5 What a lien does and does not do

**Does:** secure a debt against the property, so the property can be reached if the debt is not paid; and generally must be satisfied or otherwise addressed before clear title passes.

**Does not:** prevent the owner from selling. A property with liens can be sold; the liens are ordinarily paid from the proceeds at closing, which is precisely why the payoff figures matter and why they exceed principal balances.

### 1.6 Checkpoint

You should be able to place a lien on both axes and explain the practical consequence of a general lien.

## 2. The common liens

### 2.1 Deed of trust

The dominant security instrument in California residential practice, taken up in detail in Lesson 11. For present purposes: it is a **voluntary, specific lien** created when the owner borrows and pledges the property.

It is removed from title by a **reconveyance** recorded when the debt is satisfied. **The debt being paid does not clear the record** — a recorded clearing document does. A seller who says a loan was paid off years ago has stated a fact about the debt, not about the title, and an unreleased deed of trust in the preliminary report must be cleared by document.

### 2.2 Property tax liens

Property taxes become a lien on the property. Two features make them exceptional:

**Priority.** Property tax liens generally take priority over other liens **regardless of when they attached**. This is the principal exception to the recording-order rules in Section 5, and it exists because the taxing power does not depend on the order in which private parties recorded.

**Attachment without notice to anyone.** They arise by operation of law on a schedule, not by a recorded instrument someone had to file.

**Special assessments** — levied for improvements benefiting particular property, such as a district's infrastructure — are also involuntary and specific, and a buyer inherits the remaining obligation.

### 2.3 Mechanic's liens

A **mechanic's lien** secures payment for labor or materials furnished for the improvement of real property. It is the lien licensees most often mishandle, for two reasons.

**Priority may relate back.** A mechanic's lien's priority may relate back to a time earlier than its recording — commonly tied to when work commenced or the improvement began — which means a lien recorded after a lender's deed of trust may nonetheless take priority over it. This defeats the ordinary "first recorded, first in right" intuition.

**It arises from work, not from a contract with the owner.** A subcontractor or supplier the owner never dealt with, and may never have heard of, can have lien rights arising from work on the property.

The statutory scheme includes notices and deadlines — preliminary notices, recording periods, and periods within which enforcement must begin. **The specifics are legal**, and a licensee's role is to recognize that recent construction on a property creates lien exposure, ensure it is routed to escrow, title, and counsel, and not to advise on whether a lien

is valid or timely.

> **The intake question:** has any work been done on this property recently, by whom, and is everyone paid? A seller who renovated last spring and has an unpaid dispute with a contractor has a title problem that has not appeared yet.

### 2.4 Judgment liens

A money judgment can be made a lien on the debtor's real property in a county by recording an abstract of the judgment. It is **involuntary and general** — it reaches all of the debtor's real property in that county, including property acquired afterward while the lien is effective.

Two practical points:

**Similar names.** A judgment against a person whose name resembles the seller's appears in the title search and must be resolved through title, not assumed away by the licensee.

**A buyer's own judgments matter too.** A buyer with an outstanding judgment lien will find it attaching to the property he is about to buy, which is a financing problem discovered at the worst time.

### 2.5 Other encumbrances affecting title

**Federal and state tax liens**, which arise from unpaid taxes and are general.

**Lis pendens** — a recorded notice that litigation affecting title to the property is pending. It is not itself a lien, and it is a powerful cloud: it gives notice to anyone acquiring an interest that the outcome may affect them, which in practice stops transactions.

**Attachment**, a pre-judgment remedy securing a claim against property pending the outcome.

### 2.6 Homestead, briefly

California provides a homestead exemption protecting a portion of a homeowner's equity from certain creditors. Its scope, amount, and effect are legal questions, and it does not protect against a voluntary lien the owner granted or against tax liens.

The licensee's role is to recognize the term when a client raises it and to route it to counsel rather than explaining its effect on a particular creditor.

### 2.8 The homestead exemption, and the figure that changed

Section 2.3 listed the involuntary liens a judgment creditor can reach. The homestead exemption is what a judgment debtor keeps out of that reach, and California's is unusually large — large enough that a licensee who learned an older figure will be wrong by a factor of several.

**Code of Civil Procedure § 704.730** sets it:

> *"(a) The amount of the homestead exemption is **the greater of** the following:*

> *(1) The **countywide median sale price for a single-family home** in the calendar year prior to the calendar year in which the judgment debtor claims the exemption, **not to exceed six hundred thousand dollars ($600,000)**.*
>
> *(2) **Three hundred thousand dollars ($300,000)**.*
>
> *(b) The amounts specified in this section shall **adjust annually for inflation**, beginning on January 1, 2022, based on the change in the annual California Consumer Price Index for All Urban Consumers, **published by the Department of Industrial Relations**, for the most recent one-year period ending on December 31 preceding the adjustment, with each adjusted amount rounded to the nearest twenty-five dollars ($25)."*

**Four features of that section a licensee should hold onto, and one thing the section does not contain.**

**It is a floor and a ceiling, not a single number — and the two figures printed in subdivision (a) are base figures.** The structure is: the prior year's countywide median sale price for a single-family home, **capped** at the ceiling, or the **floor**, whichever is greater. A county median far below the floor is lifted to the floor; a median far above the ceiling is cut to the ceiling; a median between them is the answer. **What subdivision (a) prints as $300,000 and $600,000 are the amounts as enacted**, and subdivision (b) then adjusts both of them every January.

**It is county-specific.** The same debtor with the same equity is protected differently in Kern and in Marin. **This is one of the few places in California real property law where the answer depends on which county the property is in**, and it is worth remembering because most rules do not work that way.

**Both figures index annually, and the section does not print the adjusted result.** Subdivision (b) adjusts them each January, beginning 1 January 2022, by the change in the annual California Consumer Price Index for All Urban Consumers published by the Department of Industrial Relations, rounded to the nearest $25. **The code gives the base figures and the method; it does not give the answer.** A figure quoted from a course, a website, or a memory is stale by construction — and so, on its own, is the number printed in the section.

**Where each part of the answer has to come from.** This is the point at which most descriptions of the exemption go wrong, so it is worth setting out as a list rather than a sentence.

| Component | Where it comes from |
|---|---|
| Statutory base ceiling — $600,000 | § 704.730(a)(1), on the face of the code |
| Statutory base floor — $300,000 | § 704.730(a)(2), on the face of the code |
| The annual inflation adjustment | § 704.730(b) — the California CPI for All Urban Consumers published by the **Department of Industrial Relations**, for the one-year period ending 31 December, rounded to the nearest $25 |
| The **adjusted ceiling** | The base ceiling as adjusted each January since 2022. **Not printed in the section** |
| The **adjusted floor** | The base floor as adjusted each January since 2022. **Not printed in the section** |
| The countywide median | The **prior calendar year's** countywide median sale price for a single-family home in the county. **The section names no source for it** |
| **The exemption** | The greater of (the county median, capped at the adjusted ceiling) and the adjusted floor |

**Why this course prints no current dollar amount.** The Judicial Council publishes a list of current exemption amounts on form **EJ-156**, and Code of Civil Procedure **§ 703.150** is what requires it — but that duty runs to the exemptions in **§ 703.140(b)** and to the article beginning at **§ 704.010**, and the homestead exemption sits in the following article. **EJ-156, revision of 20 July 2026, carries no homestead figure**, and § 704.730 names no agency to publish one. A course that printed an adjusted amount would be printing a number it had computed rather than one an authority had published. **So this course teaches the calculation and names the inputs, and a licensee who needs the operative figure gets it from counsel or from the current published index — not from this page.**

**These figures are dramatically larger than the historical ones.** California's homestead exemption was for many years a set of fixed amounts in the tens of thousands of dollars, tiered by the debtor's age and household. **A licensee who learned those figures learned a repealed scheme.** This is Assignment 01 Section 5.4 in concrete form: currency is not a detail of legal research, it is the difference between a right answer and a confidently wrong one.

## 2.9 What the exemption does, and what it does not do

**What it does.** It protects a dollar amount of equity in a debtor's principal dwelling from a forced sale to satisfy a money judgment. If a creditor forces a sale, the exempt amount comes to the debtor before the judgment creditor is paid, and where the equity does not exceed the exemption, a forced sale generally cannot proceed at all because it would produce nothing for the creditor.

**What it does not do.**

**It does not defeat a consensual lien.** A deed of trust the owner signed is not affected. A homeowner cannot claim a homestead exemption against their own mortgage lender.

**It does not defeat a tax lien or a mechanics lien.** The exemption operates against enforcement of money judgments. Liens with their own statutory foundation — property taxes, federal tax liens, mechanics liens under the Civil Code's works-of-improvement provisions — are outside it.

**It does not prevent the judgment lien from attaching.** An abstract of judgment recorded against a debtor still attaches to the property and still appears on a title search. **The exemption is a shield at the sale, not a bar at the recording**, which is why a homestead-exempt owner who sells voluntarily still deals with the judgment lien in escrow.

**It is not a substitute for advice.** Whether a particular debtor may claim it, on which property, and against which creditor, is a question with procedural steps and deadlines attached. A licensee's job is to recognise the issue on a title report and route it, not to reassure a seller that they are protected.

## 2.10 A worked title problem

> A seller's preliminary report shows: a first deed of trust with a payoff of $610,000; an abstract of judgment recorded in 2023 for $92,000; and a property tax lien of $6,400. The property is in escrow at $915,000. The county median sale price for the prior calendar year was $655,000.

**The exemption figure, worked in the order § 704.730 sets it out.**

1. **The statutory base figures.** A $600,000 ceiling and a $300,000 floor, on the face of subdivision (a).

2. **The annual inflation adjustment.** Subdivision (b) adjusts both every January since 2022 by the California CPI, rounded to the nearest $25. Call the results the **adjusted ceiling** and the **adjusted floor**. Neither is printed in the code.
3. **The countywide median component.** The prior calendar year's countywide median sale price for a single-family home — **$655,000** on these facts.
4. **Cap the median.** The median counts only up to the adjusted ceiling.
5. **Compare with the floor.** The exemption is the greater of that capped figure and the adjusted floor. Here the capped figure is far above any adjusted $300,000, so the floor does not govern.
6. **The result.** The exemption in this county is **the adjusted ceiling**, unless the adjustments since 2022 have carried that ceiling above $655,000, in which case it is **$655,000**.

**What the licensee could not do with the code alone.** Every step but one is on the page. **Step 2 is not** — and step 2 is what turns the printed figures into the operative ones. The answer here is $600,000 only if every annual adjustment since 2022 happened to be zero. **A licensee who reads § 704.730 and answers "$600,000" has read the statute and still given a wrong number**, which is Assignment 01 Section 5.4's warning about currency in the place it is easiest to trip over.

**What that means here — and it is not what a seller hopes.** The property is being sold **voluntarily**, in escrow, at a price sufficient to pay everything. The homestead exemption governs what a judgment creditor may force; it does not entitle a seller to convey clear title while leaving a recorded judgment lien on the property. **Escrow will require the abstract of judgment to be paid or released**, because the buyer's lender and the title insurer will not accept it.

Order of payment from the $915,000, in the ordinary case:

| Item | Amount | Why |
|---|---|---|
| Property tax lien | $6,400 | Property taxes take priority over everything |
| First deed of trust | $610,000 | Consensual, recorded first |
| Abstract of judgment | $92,000 | Recorded later, but must be cleared to convey insurable title |
| Costs and commission | — | Per the contract |
| **To seller** | balance | — |

**The instructive part is what the seller believed.** Told that California's homestead exemption runs to several hundred thousand dollars and that their equity is under it, a seller may conclude the judgment "doesn't count." It counts in escrow. **The exemption answers a question about forced sale that this transaction never asked**, and a licensee who does not know the difference will pass the seller's misunderstanding along.

## 2.11 Checkpoint

You should be able to explain why a mechanic's lien defeats the first-recorded intuition, and what clears a paid deed of trust from title.

# 3. Easements and licenses

## 3.1 What an easement is

An **easement** is a non-possessory right to use another's land for a specified purpose. The holder may use; the holder may not possess or exclude.

It is a **non-money encumbrance** — it affects use rather than securing a debt — and it runs with the land, binding successive owners.

## 3.2 Appurtenant and in gross

| | Easement appurtenant | Easement in gross |
|---|---|---|
| Benefits | A **parcel** — the dominant tenement | A **person or entity** |
| Burdens | Another parcel — the servient tenement | A parcel |
| On transfer | Passes with the dominant parcel automatically | Depends on the grant; commercial ones are generally transferable |
| Typical example | A driveway easement over a neighbor's lot | A utility company's line easement |

**The dominant tenement is benefited; the servient tenement is burdened.** Students confuse these constantly, and the memory aid is that the servient parcel *serves* the other.

An easement appurtenant **passes with the dominant parcel whether or not it is mentioned in the deed**, which is why the "together with" language in Lesson 04 matters for clarity rather than for creation — and why a landlocked parcel's access must be traced in the records rather than assumed from the description.

## 3.3 How easements are created

| Method | How it arises |
|---|---|
| **Express grant** | The servient owner grants it in writing |
| **Express reservation** | A grantor conveys land and reserves an easement over it |
| **Implication** | Arising from the circumstances of a division of land, where prior use was apparent and continuous |
| **Necessity** | Arising where a parcel would otherwise be landlocked by the division that created it |
| **Prescription** | Arising from long use that meets the legal requirements |
| **Dedication** | A private owner devoting land to public use, accepted by the public body |
| **Condemnation** | Acquired by a government body exercising eminent domain |

The last several are legal doctrines with requirements a licensee cannot evaluate. **Recognition is the skill**; whether a prescriptive or implied easement exists is a question for counsel.

### 3.4 The licensee's practical problem

The recurring situation is not exotic:

> The preliminary report shows a ten-foot utility easement along the rear property line. The buyer intends to build a workshop at the rear of the lot.

**What the licensee does:** obtain the underlying document, ensure the buyer reviews it — width, location, permitted use, maintenance obligations — and route the effect on his plans to counsel and to the jurisdiction, before the contingency expires.

**What the licensee does not do:** call the easement routine because most properties have one; ask the title company to "remove" it, which misunderstands what an exception is; or predict that the workshop "should be fine."

An easement along the rear line can prevent exactly the structure this buyer is buying the property to build. That is not a formality.

### 3.5 Licenses

A **license** is permission to use another's land that is generally **revocable** and does not create an interest in the land.

| | Easement | License |
|---|---|---|
| Interest in land | Yes | No |
| Revocable | Generally not | Generally yes |
| Runs with the land | Yes | No |
| Requires writing | Generally yes | Not necessarily |

The neighbor who has been allowed to park in the driveway for years has, in the ordinary case, a license — not an easement. But long use can raise a prescriptive claim, which is why "we've always let them" is a sentence a licensee should route rather than resolve.

### 3.6 Termination

Easements can end by express release, by merger of the dominant and servient parcels in one owner, by expiration of a stated term, by abandonment where the requirements are met, or by the purpose becoming impossible.

**Non-use alone generally does not terminate an easement.** A client who says "nobody has used that road in twenty years, so it's gone" has stated a conclusion the law usually does not reach. Route it.

## 3.7 A worked easement problem

> **The property.** A residential lot. The preliminary report lists: a public utility easement along the rear ten feet, recorded 1958; an easement for ingress and egress in favor of the adjoining parcel, recorded 1974, described as a twenty-foot strip along the northern boundary; and a drainage easement in favor of the county, recorded 1991.
>
> **The buyer intends to build a detached workshop in the rear yard and to fence the north side.**
>
> **What each easement means for his plan.**
>
> **The utility easement.** Section 3.2's easement in gross — it benefits a utility rather than a neighboring parcel. **A structure built within it is a structure built where someone else has a recorded right of access**, and the practical consequence is not theoretical: excavation, repair, or replacement can require removal.
>
> **The ingress and egress easement.** Appurtenant, benefiting the adjoining parcel, and **it runs with the land** — meaning it does not end because the current neighbor is friendly or because the strip is not currently used. **The fence the buyer plans would obstruct a recorded right of access**, which is the fact pattern of a neighbor dispute and possibly of an injunction.
>
> **The drainage easement.** Benefiting a public entity, with its own scope defined by the instrument.
>
> **What the licensee does — and Section 3.4 defines the boundary precisely.**
>
> **He obtains the recorded instruments**, not the one-line summaries in the report. **The summaries state that an easement exists; the instruments state what it permits, where exactly it runs, and what it prohibits.** This is the single most valuable thing a licensee does with a preliminary report and the thing most often skipped.
>
> **He tells the buyer his stated plans are affected by items in the report**, identifies which ones, and recommends in writing that he review them with counsel and, for location, obtain a survey.
>
> **He recommends the buyer confirm with the jurisdiction** what may be built where, because Lesson 06's public controls operate independently of these private ones — **and a plan can be defeated by either.**
>
> **What the licensee does not do.**
>
> **He does not interpret the instruments.** Whether the 1974 easement permits a gate, whether the 1958 easement has been abandoned by non-use, and whether anything about the arrangement has changed by operation of law are **legal questions**, and Section 3.6's termination doctrines are exactly the kind of analysis a licensee must not perform for a client.
>
> **He does not reassure.** "That easement is ancient, nobody uses it" is the sentence that appears in the complaint.
>
> **The professional summary. The buyer is buying a lot on which he cannot do two of the things he intends without answering questions first.** He is entitled to know that before he removes his contingencies, and the licensee's contribution is that he learns it on day three rather than after closing.

## 3.9 How easements are created, and how they end

Section 3.2 defined the easement. Its creation and termination are where the practical questions sit, because an easement nobody granted in writing is the one that surprises a buyer.

**Creation.**

| Method | How it arises | What a licensee sees |
|---|---|---|
| **Express grant or reservation** | The owner grants it, or reserves it when conveying | A recorded instrument; a Schedule B exception |
| **Implication** | A prior use, apparent and continuous, reasonably necessary, existing when a parcel was divided | Nothing recorded — a driveway or a sewer line crossing a neighbour |
| **Necessity** | A parcel is landlocked by a division of formerly common ownership | A parcel with no frontage on any road |
| **Prescription** | Open, notorious, hostile, continuous use for the statutory period | A neighbour who has used the driveway for twenty years |
| **Dedication** | An owner offers land for public use and it is accepted | Streets and public ways on a subdivision map |

**The last three create rights nobody recorded**, which is why the standard title policy excepts *"any facts an accurate survey would disclose"* and why Assignment 09 Section 4.9 insists that possession is notice.

**Termination.**

**Express release.** The dominant owner releases it, in writing, recorded.

**Merger.** The dominant and servient tenements come into the same ownership. An easement over one's own land is not an easement — and note the consequence: **if the parcels are later separated again, the easement does not automatically revive.**

**Abandonment.** Non-use alone is generally not enough; there must be conduct showing intent to abandon.

**Expiration.** Where the instrument sets a term or a condition that has occurred.

**End of necessity.** An easement by necessity ends when the necessity does — when the landlocked parcel gains other access.

## 3.10 A worked easement problem

> A buyer is purchasing a rural parcel. The preliminary report shows a recorded 20-foot access easement from the county road across a neighbouring parcel. On inspection, the actual driveway runs about 60 feet to the north of where the recorded easement is described, and has evidently done so for many years — there is mature landscaping along it and a culvert under it.

**The buyer has two different access questions and only one of them is answered by the recorded easement.**

**The recorded easement is real** and gives a legal right of access — over ground that has no road on it. Building a driveway within the recorded easement would mean grading a new route, and the neighbour's landscaping and outbuildings may be in the way.

**The driveway in use is not within the recorded easement.** Its legal basis, if any, would be prescription, implication, or an unrecorded agreement — none of which appears in the report and none of which a licensee can determine.

**Three actions, in order.** Obtain the recorded easement instrument and read its description. Have a surveyor locate both the recorded easement and the existing driveway on the ground. **Then send the result to counsel**, because whether the buyer may keep using the existing driveway is a legal question with a factual foundation that only the survey supplies.

**What makes this urgent rather than interesting.** If the buyer's use of the actual driveway rests on prescription against the neighbour, **the purchase itself may affect it**, and a neighbour who has tolerated one family's use for twenty years may take a different view of a new owner. **The time to find out is during the contingency period.**

**The failure mode to avoid** is the reassuring summary: *"there's a recorded easement, you have access."* That sentence is true, is what the report says, and completely misses what is actually happening on the ground.

### 3.11 Checkpoint

You should be able to identify the dominant and servient parcels, distinguish an easement from a license, and state the correct handling of an easement shown in a preliminary report.

## 4. Deed restrictions and covenants

### 4.1 What they are

**Private restrictions** limit what may be done with land, created by agreement and recorded so that they bind successive owners.

They appear as conditions or restrictions in individual deeds, and — far more commonly in modern practice — as a recorded **declaration of covenants, conditions, and restrictions** governing a subdivision or common interest development.

### 4.2 Private restrictions versus zoning

This distinction is worth stating precisely, because clients get it wrong in a costly direction.

| | **Private restrictions** | **Zoning** |
|---|---|---|
| Source | Private agreement, recorded | Government, by ordinance |
| Enforced by | Owners, or the association | The jurisdiction |
| Changed by | The procedure in the instrument, often requiring owner approval | The land use process |
| Effect on each other | **Neither overrides the other** | |

> **The controlling proposition: where zoning and a recorded restriction differ, the more restrictive generally governs in practice.**
>
> Zoning permitting a duplex does not authorize one where the recorded restrictions prohibit it. A restriction permitting a second unit does not authorize one where zoning prohibits it. A buyer must satisfy both.

A licensee who tells a buyer the property is "zoned for it, so you're fine" has answered half the question.

### 4.3 What restrictions commonly cover

Use — residential only, no business, no short-term rental. Building — setbacks, height, materials, minimum size, architectural approval. Appearance — paint, landscaping, fencing, visible vehicles. Occupancy and animals. Rental limits, including caps on the number of rented units, which can affect both an investor buyer and financing availability.

### 4.4 Enforcement

Private restrictions are enforced by those entitled to enforce them — other owners in the scheme, or the association. Remedies commonly include injunctive relief and, in an association context, the association's own enforcement mechanisms.

**Restrictions that violate law are not enforceable.** Racially restrictive covenants, discussed in Lesson 14, still appear in the recorded language of older title chains and are unenforceable and void. Their presence in a chain of title is not a defect in the seller's title, and California provides a process for their restrictive language to be addressed.

A licensee encountering such language should recognize what it is, not repeat it, and route the question of what may be done about it.

### 4.5 What a licensee may and may not do

**May:** identify that restrictions exist; obtain the recorded documents; ensure the buyer receives and reviews them; point out that they bind him regardless of zoning; recommend counsel where their effect on his plans matters; and document the recommendation.

**May not:** summarize the declaration for the buyer as though the summary were the document; opine on whether a particular use is permitted; predict whether an association will approve something; or characterize a restriction as unenforceable.

> **A buyer asks: "Can I run my business out of the garage?"**
>
> **Correct:** "There are two separate questions — what the city allows and what the recorded restrictions allow, and you have to satisfy both. Here are the CC&Rs; the use article starts on page eleven. The city's planning counter answers the zoning half. I'd get both answers before your contingency expires, and I'll note that we discussed it."
>
> **Incorrect:** "It's a quiet business, nobody will care."

### 4.6 Checkpoint

You should be able to explain why zoning permission is not sufficient, and answer a permitted-use question correctly.

## 5. Encroachments, priority, and recording

### 5.1 Encroachments

An **encroachment** is an improvement extending onto another's land — a fence, an eave, a driveway, a retaining wall, a structure.

Encroachments raise a mixture of questions no licensee can resolve: whose land it is on, whether the encroaching owner has acquired rights through long use, whether removal can be compelled, and what the effect is on marketability.

**The licensee's obligations:** disclose what is observed; recommend a survey where the facts call for one; recommend counsel where a claim may exist; document; and ensure it happens before the contingency expires.

**What the licensee must not do:** state where the boundary is, characterize the encroachment as minor, predict whether the neighbor has a claim, advise moving a fence to resolve it, or tell a buyer that decades of use have settled the question.

## 5.2 The recording system

California maintains a public record of documents affecting real property, and the system exists to answer one question: **who has notice of what?**

| Type of notice | What it is |
|---|---|
| **Actual notice** | The person in fact knows |
| **Constructive notice** | The law charges the person with knowing, because it was recorded |
| **Inquiry notice** | Facts that would prompt a reasonable person to investigate — such as someone visibly in possession who is not the record owner |

**Recording gives constructive notice to the world.** That is the whole mechanism: a recorded document is knowable by anyone who looks, so the law treats everyone as knowing it.

**Inquiry notice deserves attention** because it is the one that surprises people. A buyer who sees an occupant who is not the seller, or a well-worn path across the rear of the lot, has facts that would prompt investigation — and may be charged with what the investigation would have revealed, recorded or not.

## 5.3 Priority

The general rule: **first in time, first in right** — as measured by recording, for those entitled to the recording system's protection.

The exceptions are what matter in practice:

| Exception | Effect |
|---|---|
| **Property tax liens** | Generally take priority regardless of when they attached |
| **Mechanics liens** | Priority is measured from **commencement of the work** rather than from the lien's own recording date — ahead of what attached after the work began, behind what was already attached (Civil Code § 8450) |
| **Subordination agreement** | A lienholder agrees to take a lower position than it would otherwise hold |
| **Purchase-money priority** | Certain purchase-money security interests receive favored treatment |

**Subordination is the one licensees encounter most.** A construction lender frequently requires the seller who carried financing to subordinate, moving the seller behind the construction loan. Whether to agree is a significant decision with real consequences, and it belongs to counsel — not to the licensee explaining that "it's standard."

## 5.4 Why priority determines outcomes

Priority determines who is paid first from a limited fund and whose interest survives a foreclosure. A junior lienholder wiped out by a senior foreclosure has lost its security, whatever the merits of the debt.

That is why the recording date on the preliminary report is not administrative detail. **It is the order in which the property's value is claimed.**

## 5.5 What escrow and title actually do with this

Escrow obtains payoff demands and clears what must be cleared; title determines what it will insure and what it will except. Neither advises the parties, and neither decides a dispute.

A licensee's contribution is to surface issues early — the recent construction, the similar-name judgment, the unreleased deed of trust — so there is time to resolve them, and to route the questions rather than answering them.

## 5.7 Priority worked as a payment waterfall

Section 5.3 stated the priority rule — first in time, first in right, subject to statutory exceptions. This section runs it as arithmetic, because that is how it is experienced.

**The two exceptions that outrank recording order.**

**Property tax liens. Revenue and Taxation Code § 2192.1** puts it without qualification: every tax declared a lien on real property, and every public improvement assessment declared by law to be a lien, *"have priority over all other liens on the property, regardless of the time of their creation"* — over *"any recognizance, deed, judgment, debt, obligation, or responsibility"* the property may become charged with. A first deed of trust recorded in 2004 is junior to a 2026 property tax lien, and no recording date changes that.

**Mechanics liens are measured from commencement of the work. Civil Code § 8450** states the rule and its limit in one sentence:

> *"(a) A lien under this chapter, other than a lien provided for in Section 8402, has priority over a lien, mortgage, deed of trust, or other encumbrance on the work of improvement or the real property on which the work of improvement is situated, that (1) attaches **after commencement of the work of improvement** or (2) was unrecorded at the commencement of the work of improvement and of which the claimant had no notice.*
>
> *(b) Subdivision (a) is subject to the exception provided for in Section 8452."*

**Read what the section gives the lien priority over, because it is a closed list.** An encumbrance that **attached after commencement of the work**; or one that was **unrecorded when the work commenced** and of which the claimant had no notice. That is all of it. **An encumbrance already attached and of record when the first bulldozer arrived is on neither branch, and the mechanics lien does not reach it.**

**So relation-back is a measuring point, not a promotion to first position.** The lien's priority is taken from the day work commenced instead of the day the claim of lien was recorded. It moves the lien back in time; it does not move it to the front of the line. A lien whose work commenced in 2023 competes as a 2023 interest — ahead of everything that attached in 2024 and after, and behind everything already attached in 2019 and 2022.

**This is why a construction lender inspects the site before recording. A lender who records after work has begun has attached after commencement, is inside § 8450(a)(1), and may find itself junior to a lien not recorded for months.** A lender who records before anyone breaks ground is outside the subdivision entirely. It is also why title companies ask about recent work: the question is not whether a lien is on record, it is whether one can still arrive with an earlier date than the buyer's lender.

**Two limits the section names, and a licensee who quotes subdivision (a) alone has quoted half a rule.** § 8450(a) excepts *"a lien provided for in Section 8402"* — the lien of a person who provides work for a **site improvement** — whose priority is set separately by **§ 8458**. And § 8450(b) makes the whole rule subject to **§ 8452**, under which a mortgage or deed of trust that would otherwise be subordinate takes priority over a lien for work provided after the recording of a payment bond that refers to it and is in an amount not less than 75 percent of its principal. Neither operates in the ordinary example below.

> **The waterfall.** A property sells at a forced sale for **$742,000**, with five liens recorded against it.

| Recorded | Lien | Amount |
|---|---|---|
| 2019 | First deed of trust | $520,000 |
| 2022 | Second deed of trust (HELOC, full line) | $150,000 |
| 2024 | Abstract of judgment | $88,000 |
| 2025 | Mechanics lien (work commenced 2023) | $61,000 |
| 2026 | Property taxes | $9,300 |

**Order of payment, and why:**

| Order | Lien | Why it sits here | Paid | Running balance |
|---|---|---|---|---|
| 1 | Property taxes 2026 | Priority over all other liens regardless of the time of their creation — R&T § 2192.1 | $9,300 | $732,700 |
| 2 | First deed of trust 2019 | Attached four years before the work commenced — on neither branch of § 8450(a) | $520,000 | $212,700 |
| 3 | Second deed of trust 2022 | Attached a year before the work commenced — on neither branch of § 8450(a) | $150,000 | $62,700 |
| 4 | Mechanics lien — measured from **2023** | Ahead of what attached after commencement | $61,000 | $1,700 |
| 5 | Abstract of judgment 2024 | Attached after the 2023 commencement — § 8450(a)(1) | **$1,700 of $88,000** | $0 |

**Three results worth sitting with.**

**Relation-back did not move the mechanics lien to the front, and nothing in § 8450 would have let it.** The lien was recorded last of the five and is paid fourth. The 2019 first deed of trust and the 2022 HELOC were both attached and of record in 2023 when the work commenced, so neither *"attaches after commencement"* nor was *"unrecorded at the commencement,"* and the section reaches neither. **A licensee who remembers relation-back as "the mechanics lien comes first" will get this backwards, and the mistake is expensive in exactly the case where it matters.**

**What relation-back actually did is visible in one line.** The mechanics lien was recorded in 2025 and the abstract of judgment in 2024, so on recording order alone the judgment would be paid first. It is not. The lien is measured from 2023, the judgment attached after that, and § 8450(a)(1) puts the lien ahead of it. **Change one fact — commencement in 2025 rather than 2023 — and the judgment creditor is paid in full and the contractor takes the $1,700.**

**The judgment creditor recovers $1,700 of $88,000 and the lien is extinguished by the sale.** Junior liens are wiped by a senior foreclosure; the debt survives as a personal obligation where the anti-deficiency statutes do not bar it, but the security is gone.

## 5.8 What a licensee does with a preliminary report

The waterfall above is invisible until someone reads Schedule B, and reading it is a licensee's job in the sense that **noticing** is the licensee's job.

**Four things to look for, in order.**

**Anything the seller did not mention.** A second deed of trust, an abstract of judgment, a mechanics lien, a lis pendens, a bankruptcy. Sellers routinely forget encumbrances that were resolved informally and never released of record.

**Anything with a date close to the present.** A recent recording is a live situation. A mechanics lien recorded last month means a contractor is unpaid **now**, and there may be more coming from other trades on the same job.

**Anything naming a person who is not the seller.** A judgment against a former owner with the same surname; a lien against a business the seller once operated. Some of these are genuine and some are name-match errors, and **the difference is resolved by a title officer, not by the licensee's judgment about which it looks like.**

**Anything about boundaries, access or easements.** These do not get paid off at closing. They travel with the land, and they change what the buyer is buying.

**And one habit that costs nothing. Send the preliminary report to the buyer with the items numbered and a sentence asking which they want explained.** It converts a document that is routinely unread into a document with a record of delivery — and if the buyer later says nobody told them about the easement, the email is the answer.

### 5.9 Checkpoint

You should be able to explain constructive and inquiry notice, state the priority rule and its principal exceptions, and describe the correct handling of an encroachment.

## 6. Title exceptions and risk allocation

### 6.1 What a preliminary report is

A **preliminary report** reports the condition of title as shown in the records and states **the terms on which the title insurer would be willing to issue a policy**, including the exceptions it would take.

Three things it is not:

- **Not a guarantee** that title is clear.
- **Not the policy.** It states terms; the policy is the contract.
- **Not a survey.** It addresses record title, not the physical property.

### 6.2 What an exception means

The single most useful sentence in this lesson:

> **An exception is an item the policy will not insure against. The buyer bears that risk unless it is otherwise addressed.**

That is why exceptions are read rather than skimmed, and why the underlying recorded documents must be obtained. An exception naming a recorded easement tells the buyer that an easement exists; only the document tells him where it runs, how wide it is, and what it permits.

### 6.3 Exclusions and requirements

Two related concepts:

**Exclusions** are categories the policy form does not cover at all — commonly including governmental regulation such as zoning, the exercise of eminent domain, and matters created or agreed to by the insured.

**Requirements** are what the insurer needs before issuing — a reconveyance, a resolution, a release, evidence of authority.

A licensee reading a preliminary report should distinguish the three: **exceptions** are risks not insured, **exclusions** are categories outside the policy, and **requirements** are things that must be done before closing. The requirements are the ones with deadlines attached.

## 6.4 Reading the report item by item

| Item | Correct handling |
|---|---|
| Utility easement along the rear line | Obtain the document; width, location, permitted use. Can prevent structures the buyer intends |
| Recorded CC&Rs | Obtain and review; bind the buyer regardless of zoning |
| Unreleased deed of trust the seller says was paid | A recorded reconveyance must be obtained; recollection does not clear the record |
| Mechanic's lien | Route to escrow and title; note that priority may relate back |
| Judgment against a similarly named person | Route to title for resolution; do not assume it is or is not the seller |
| Lis pendens | Recognize as a serious cloud; route to counsel |
| Item the buyer does not understand | Refer |

**Three responses that are wrong in every case:** treating an item as routine because most properties have one; asking the title company to "remove" an exception; and predicting the practical effect of an easement or restriction on the buyer's plans.

## 6.5 Owner's and lender's policies

The **owner's policy** insures the buyer's interest. The **lender's policy** insures the lender's lien and its priority. They insure different interests, which is why both commonly exist, and why a buyer who declines an owner's policy because "there's a title policy on the loan" has misunderstood what he is not buying.

**Extended coverage** may address matters a standard policy excepts, including some survey matters, typically requiring a survey or other evidence. Whether to obtain it is the buyer's decision, informed.

## 6.6 The timing point

The preliminary report and the underlying documents belong at the front of the transaction queue, with the association documents and the hazard-area insurance quotes.

An exception discovered late — an easement across the building site, an unreleased lien requiring a document from a lender that no longer exists — takes time to resolve. A buyer who receives the report on day three has options; one who receives it on day twelve of a fourteen-day review has a formality.

## 6.7 A worked preliminary report

**The report** on a suburban residence, in the order the items appear:

1. **General and special taxes for the current fiscal year**, a lien not yet due and payable.
2. **A supplemental assessment.**
3. **A bond or assessment district obligation.**
4. **Covenants, conditions and restrictions recorded 1964**, with a note that any provision restricting on a protected basis is void and unenforceable.
5. **An easement for public utilities**, 1964.
6. **A deed of trust**, 2019, securing an original amount, in favor of a named lender.
7. **A second deed of trust**, 2021, in favor of a different lender.
8. **A notice of a pending action** affecting the property, recorded four months ago.
9. **A judgment against a person whose name is similar to the seller's.**
10. **Requirements**: satisfactory evidence of the authority of the parties, and a statement regarding parties in possession.

**How a licensee reads this, applying Sections 6.2 through 6.4.**

**Items 1 through 3 are cost items**, and the buyer's monthly figure has probably not included the third. **Section 6.4's discipline is to read every item rather than the ones that look important.**

**Item 4 is a private restriction**, and it is separate from zoning. Section 4.2. **The unenforceable-provision note is standard and does not make the remaining provisions unenforceable** — which is precisely the misreading a licensee must not encourage. **Obtain the document; route its interpretation.**

**Item 5** is located from the instrument rather than assumed.

**Items 6 and 7 are monetary liens** expected to be paid at closing. **Two deeds of trust means two payoff demands**, and Lesson 10 of the practice course explains why the good-through date on each matters.

**Item 8 is the most serious item on the report.** A recorded notice of a pending action puts the world on notice of a claim affecting the property. **It is not cleared by paying it**, its resolution depends on the underlying matter, and it can affect insurability and financing. **This is escalated to the broker and the title officer immediately** — and it raises a disclosure question for the seller that the licensee does not answer alone.

**Item 9 is the similar-name judgment.** Section 5.3's priority rules make this consequential if it is the seller. **The title company resolves it through its process**, and the licensee's contribution is flagging it early rather than discovering on day twenty-five that clearance takes time.

**Item 10's requirements are not exceptions.** Section 6.3's distinction. **They are conditions the title company will insist on before issuing**, and the authority requirement is Lesson 03's ownership question arriving from the title side.

**What the licensee does with the whole document.** Deliver it promptly with delivery evidenced; **obtain the underlying recorded instruments for items 4 and 5**; flag items 8, 9, and 10 to escrow, the broker, and the client in writing; recommend review with counsel; and record what was recommended and when.

> **What he does not do.** Rank the items by seriousness for the client as legal advice, tell the buyer item 8 "will probably clear," characterize the 1964 restrictions, or forward the report with "let me know if you have questions." **Section 6.6's timing point is the reason:** a report delivered without the recommendation that it be reviewed has been delivered in a way that does not produce a review.

## 6.8 Checkpoint

You should be able to explain what an exception means, distinguish exceptions from exclusions and requirements, and state the correct response to each item on a preliminary report.

## Key terms

| Term | Definition |
|---|---|
| **Encumbrance** | A right or interest held by someone other than the owner, affecting title or use. Travels with the property. |
| **Money encumbrance (lien)** | An encumbrance securing a debt against the property. |
| **Non-money encumbrance** | An encumbrance affecting use — easements, recorded restrictions, encroachments. |
| **Voluntary lien** | Created by the owner's agreement, typically a deed of trust. |
| **Involuntary lien** | Arising by operation of law without consent — taxes, judgments, mechanic's liens. |
| **Specific lien** | Attaching to a particular property. |
| **General lien** | Attaching to all of the debtor's property in the jurisdiction, including property acquired later while effective. |
| **Reconveyance** | The recorded document clearing a satisfied deed of trust. **Payment of the debt does not clear the record** — a document does. |
| **Property tax lien priority** | Generally takes priority regardless of when it attached. The principal exception to first-in-time. |
| **Special assessment** | A levy for improvements benefiting particular property. Involuntary, specific, and inherited by the buyer. |
| **Mechanic's lien** | Securing payment for labor or materials improving real property. **Priority may relate back** to when work commenced, and rights can arise for parties the owner never dealt with. |
| **Judgment lien** | A money judgment made a lien on the debtor's real property in a county by recording an abstract. Involuntary and general. |
| **Lis pendens** | A recorded notice of pending litigation affecting title. Not a lien, and a powerful cloud. |
| **Homestead exemption** | Protection of a portion of a homeowner's equity from certain creditors. Does not protect against voluntary liens the owner granted or against tax liens. Effect is a legal question. |
| **Easement** | A non-possessory right to use another's land for a specified purpose. Runs with the land. |
| **Dominant tenement** | The parcel **benefited** by an easement appurtenant. |
| **Servient tenement** | The parcel **burdened** — it *serves* the other. |
| **Easement appurtenant** | Benefits a parcel and passes with it automatically on transfer. |
| **Easement in gross** | Benefits a person or entity rather than a parcel — a utility line easement. |
| **Easement by necessity** | Arising where a parcel would otherwise be landlocked by the division that created it. |

| Term | Definition |
|---|---|
| **Easement by prescription** | Arising from long use meeting the legal requirements. A doctrine to recognize and refer. |
| **License** | Revocable permission to use another's land, creating no interest and not running with the land. |
| **Non-use** | Generally does **not** terminate an easement. |
| **Private restrictions (CC&Rs)** | Recorded limits on use binding successive owners. Neither overrides zoning nor is overridden by it — **the more restrictive generally governs.** |
| **Encroachment** | An improvement extending onto another's land. Disclose, recommend a survey, refer — never characterize. |
| **Constructive notice** | Knowledge the law charges a person with because a document was recorded. |
| **Inquiry notice** | Knowledge charged from facts that would prompt investigation — an occupant who is not the record owner, a worn path across the lot. |
| **First in time, first in right** | The general priority rule, measured by recording. |
| **Subordination agreement** | A lienholder's agreement to take a lower position than it would otherwise hold. A significant decision for counsel, not a formality. |
| **Preliminary report** | A report of record title stating the terms on which a policy would issue. Not a guarantee, not the policy, not a survey. |
| **Exception** | An item the policy **will not insure against**. The buyer bears that risk unless otherwise addressed. |
| **Exclusion** | A category the policy form does not cover at all — governmental regulation, eminent domain, matters created by the insured. |
| **Requirement** | Something the insurer needs before issuing. The items with deadlines attached. |

## Practice problems

### Problem 1

Classify each on both axes and state one practical consequence of the classification: (a) a deed of trust; (b) a property tax lien; (c) a judgment lien; (d) a mechanic's lien.

**Answer.**

> **Solution.** (a) **Voluntary and specific.** Created by the owner's agreement and attached to this property. Consequence: it can be sold subject to, or paid from proceeds at closing — which is why the payoff demand, including accrued interest, is obtained rather than assumed from the balance.

(b) **Involuntary and specific.** Consequence: it generally takes **priority regardless of when it attached**, which is the principal exception to first-in-time and exists because the taxing power does not depend on the order private parties recorded.

(c) **Involuntary and general.** Consequence: it reaches **every parcel the debtor owns in the county**, including property acquired later while the lien is effective — which is why a buyer with an outstanding judgment discovers it attaching to the property he is buying, and why a judgment against a similarly named person must be resolved through title rather than assumed away.

(d) **Involuntary and specific.** Consequence: its priority **may relate back** to when work commenced, so it can outrank instruments recorded before it.

## Problem 2

A seller renovated the kitchen and rebuilt the deck last spring. He is in an unresolved dispute with the general contractor over the final $18,000, and says two subcontractors he never met have been calling. The preliminary report is clean.

**What is the exposure, and what does the licensee do?**

**Solution. A clean report is a snapshot, not a forecast.** Mechanic's lien exposure is exactly what a current report can fail to show.

**Two features make this dangerous.** Priority **may relate back** to when work commenced, so a lien recorded next month can outrank a deed of trust recorded before it — which is why lenders care about recent construction. And lien rights arise **from work, not from a contract with the owner**: the subcontractors and suppliers the seller never dealt with can have rights of their own.

**What the licensee does:** ask the intake question — *has any work been done recently, by whom, and is everyone paid?* — route it to escrow, title, and counsel immediately, and ensure it is addressed before the contingency expires.

**What the licensee does not do:** advise whether a lien would be valid or timely, or reassure the buyer that the dispute is between the seller and his contractor. The statutory scheme's notices and deadlines are legal questions.

## Problem 3

A preliminary report shows a ten-foot utility easement along the rear property line. The buyer is purchasing the lot specifically to build a workshop at the rear. The agent tells him easements are routine, offers to ask title to remove it, and says the workshop should be fine.

**Assess all three responses.**

**Solution.** All three are wrong, and the third is the one the buyer will rely on.

**"Routine" is not an analysis.** Most properties have easements; this one may prevent exactly the structure the buyer is buying the property to build.

**Title cannot "remove" an exception**, and asking misunderstands what an exception is: **an item the policy will not insure against.** It is not a blemish the insurer chose to note.

**Predicting the effect on his plans is outside the license**, and it is a legal and land-use question at once.

**What the licensee does:** obtain the underlying recorded document — width, location, permitted use, maintenance obligations — ensure the buyer reviews it, and route the effect on his plans to counsel and to the jurisdiction **before the contingency expires.** The exception names the easement; only the document says where it runs.

### Problem 4

A neighbor has parked in the seller's driveway for eleven years with permission. The seller says he can revoke it any time. The buyer's agent says eleven years means the neighbor now has an easement. Separately, an old access road across the property has not been used in twenty years, and the seller says it is therefore gone.

**Assess each statement.**

**Solution.** Three statements, and all three are conclusions a licensee must not deliver.

**The permission is, in the ordinary case, a license** — revocable permission creating no interest in the land and not running with it. So far the seller's description is the usual one.

**But "eleven years" raises a prescriptive claim**, which is a legal doctrine with requirements neither agent can evaluate — and permission itself bears on the analysis. Neither "it's just a license" nor "he has an easement now" is a statement a licensee can make.

**Non-use alone generally does not terminate an easement.** Easements end by express release, merger, expiration of a stated term, abandonment where the requirements are met, or impossibility of purpose — not by twenty years of nobody driving on it.

**What transfers:** "we've always let them" and "nobody has used it in years" are both sentences a licensee **routes** rather than resolves. Disclose the facts, obtain the documents, and refer.

### Problem 5

A buyer wants to add a second dwelling unit. The city's zoning permits it. The recorded CC&Rs prohibit more than one dwelling per lot. The agent tells him he is "zoned for it, so you're fine," and adds that the restriction is probably unenforceable because nobody has enforced it in years.

**Correct both.**

**Solution. Zoning permission answers half the question.** Private restrictions and zoning come from different sources, are enforced by different parties, and are changed by different procedures — and **neither overrides the other.** In practice the **more restrictive governs**: zoning permitting a duplex does not authorize one where the recorded restrictions prohibit it. The buyer must satisfy both.

**The enforceability opinion is a legal conclusion the licensee cannot give**, and it is the kind a buyer will spend money relying on. Restrictions are enforced by those entitled to enforce them — other owners in the scheme, or the association — and non-enforcement history is a legal argument, not a fact the licensee can assert.

> **The correct answer:** *"There are two separate questions — what the city allows and what the recorded restrictions allow, and you have to satisfy both. Here are the CC&Rs; the use article starts on page eleven. The city's planning counter answers the zoning half. Get both answers before your contingency expires, and I'll note that we discussed it."*

### Problem 6

A buyer notices a well-worn path crossing the rear of the lot and an occupant in the guest house who is not the seller. The seller says the occupant is "just a friend staying temporarily" and there is nothing recorded about the path.

**What kind of notice is in play, and what should happen?**

> **Solution. Inquiry notice** — the one that surprises people, because nothing was recorded.
>
> The recording system answers who has notice of what. **Actual notice** is knowing in fact. **Constructive notice** is what the law charges a person with because a document was recorded — a recorded document is knowable by anyone who looks, so everyone is treated as knowing it. **Inquiry notice** arises from facts that would prompt a reasonable person to investigate.
>
> An occupant who is not the record owner and a worn path across the lot are the textbook facts. The buyer may be charged with **what a reasonable investigation would have revealed**, recorded or not — which could include an unrecorded lease, a claimed prescriptive right, or an occupancy the seller cannot terminate on schedule.
>
> **What should happen:** the facts are disclosed and investigated rather than explained away. Ask for any written agreement with the occupant, route the path to a survey and to counsel, and do not accept "just a friend" as a description of a possessory interest.

### Problem 7

A seller carrying financing on a parcel is asked to sign a subordination agreement so a construction lender can record in first position. His agent tells him it is standard and to go ahead. Separately, the buyer declines an owner's title policy because "the lender is getting a title policy anyway."

**Assess both.**

> **Solution. Subordination is a significant decision, not a formality.** The seller is agreeing to take a **lower position than he would otherwise hold**, behind a construction loan — and priority determines who is paid first from a limited fund and whose interest survives a foreclosure. A junior lienholder wiped out by a senior foreclosure has lost its security whatever the merits of the debt. Whether to sign belongs to **counsel**, and "it's standard" is the single most expensive sentence a licensee can say about it.
>
> **The owner's and lender's policies insure different interests.** The lender's policy insures the lender's lien and its priority — **not the buyer's ownership.** A buyer who declines an owner's policy has not economized on a duplicate; he has left his own interest uninsured.
>
> Worth adding while the subject is open: **extended coverage** may address matters a standard policy excepts, including some survey matters, typically requiring a survey or other evidence. Whether to obtain it is the buyer's decision, made informed.

### Problem 8

A preliminary report received on day twelve of a fourteen-day review shows: recorded CC&Rs; an unreleased deed of trust the seller says was paid in 2016; a judgment against a person with a name similar to the seller's; a lis pendens; and a requirement for a corporate resolution.

**Handle each, and state what went wrong before any of it.**

> **Solution. The timing failure came first**, and it is the one that made everything else harder. The preliminary report and its underlying documents belong at the **front** of the queue with the association documents and hazard-area insurance quotes. An exception discovered on day twelve — an unreleased lien needing a document from a lender that may no longer exist — leaves a formality where a review should have been.
>
> **The CC&Rs:** obtain and review; they bind the buyer regardless of zoning.
>
> **The unreleased deed of trust:** a recorded **reconveyance** must be obtained. Payment of the debt does not clear the record; a document does, and the seller's recollection is not that document.
>
> **The similar-name judgment:** route to title for resolution. Do not assume it is or is not the seller — a judgment lien is general and reaches everything the debtor owns in the county.
>
> **The lis pendens:** recognize it as a serious cloud. It is not itself a lien, but it gives notice that pending litigation may affect anyone acquiring an interest, which in practice stops transactions. Route to counsel immediately.
>
> **The resolution:** this is a **requirement**, not an exception — something the insurer needs before issuing, and therefore the item with a deadline attached. Distinguish the three throughout: **exceptions** are risks not insured, **exclusions** are categories outside the policy, and **requirements** must be satisfied before closing.

## Chapter summary

**An encumbrance affects title or use.** Liens secure debts; easements, restrictions, and encroachments govern what may be done.

**Classify liens on two axes** — voluntary or involuntary, general or specific — and read the practical consequence off the classification.

**A lien does not prevent a sale**; it is ordinarily paid from proceeds, which is why payoff figures exceed principal balances.

**Payment does not clear the record.** A recorded reconveyance does.

**Property tax liens generally take priority regardless of timing, and mechanic's lien priority may relate back** — the two exceptions that defeat the first-recorded intuition. Recent construction is an intake question.

**An easement is a non-possessory right that runs with the land.** The servient parcel serves the dominant one; appurtenant easements pass with the dominant parcel automatically. Non-use generally does not terminate one, and long permitted use is a doctrine to route rather than resolve.

**A license is revocable, creates no interest, and does not run with the land** — but "we've always let them" belongs to counsel.

**Zoning and recorded restrictions are independent, and the more restrictive governs.** "Zoned for it, so you're fine" answers half the question, and enforceability is never the licensee's call.

**Encroachments are disclosed, surveyed, and referred — never characterized.**

**Recording answers who has notice.** Constructive notice comes from the record; **inquiry notice** comes from facts on the ground that would prompt investigation.

**Priority determines who is paid first and whose interest survives foreclosure**, which is why subordination is a decision for counsel rather than a standard formality.

**An exception is a risk the policy will not insure against.** Read exceptions, obtain the underlying documents, distinguish exceptions from exclusions and requirements, and never treat an item as routine, ask for its removal, or predict its effect.

**Order the report early.** Late discovery converts a review into a formality.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Classify each encumbrance on both axes, state how each arose and what would remove it, identify the priority questions and any exception to first-in-time that applies, distinguish the exceptions from the exclusions and requirements on the report given, state what you would obtain and in what order and by what deadline, identify what you would route to title, to a surveyor, and to counsel, and state what you would decline to characterize and why. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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### Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this

volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

## Applied exercise — 100% required to complete the assignment

**1.** A preliminary report on a home shows: a first deed of trust, a recorded easement giving the neighbor access across the driveway, a mechanic's lien recorded last month by a roofing contractor, and recorded covenants limiting the property to residential use. The buyer plans to run a small business from a converted garage. Which items most directly threaten his plan and his title?

**A. The covenants threaten the intended use, and the mechanic's lien threatens clear title at closing; the easement affects the driveway but not the business use, and the deed of trust is expected to be paid through escrow.**

B. All four are equal problems that must be removed before the buyer can close.

C. Only the mechanic's lien matters, because the other three are ordinary and appear on most properties.

D. Only the easement matters, because it gives a third party rights in the property the buyer is purchasing.

**Answer: A.** Encumbrances have to be read for what each one does. Private use restrictions are what defeat a business use; an unresolved mechanic's lien is a money encumbrance that must be cleared or insured over; an access easement burdens the driveway; and the seller's financing is routinely paid off through escrow.

## Engagement check — 5 items, 80% required

**1.** What distinguishes a voluntary lien from an involuntary lien?

**A. A voluntary lien is created by the owner's own act, such as a deed of trust; an involuntary lien arises by operation of law, such as a tax or judgment lien.**

B. A voluntary lien may be removed at the owner's discretion; an involuntary lien may not.

C. A voluntary lien is recorded while an involuntary lien is not.

D. A voluntary lien secures a debt while an involuntary lien does not.

**Answer: A.** The distinction is how the lien came into existence — by the owner's act or by law. Both are typically recorded, both can secure obligations, and neither is removable at will.

**2.** What is the difference between an easement and a license?

**A. An easement is an interest in land that generally runs with the property; a license is a personal privilege that is generally revocable.**

B. An easement is temporary while a license is permanent.

C. An easement benefits the owner of the land while a license benefits a third party.

D. An easement must be paid for while a license is granted without consideration.

**Answer: A.** Durability and the nature of the interest separate them: an easement is a property interest that survives transfer, while a license is permission that can ordinarily be withdrawn.

**3.** In an easement appurtenant, what are the dominant and servient tenements?

**A. The dominant tenement is the parcel benefited by the easement; the servient tenement is the parcel burdened by it.**

B. The dominant tenement is the larger parcel; the servient tenement is the smaller one.

C. The dominant tenement is the parcel that was created first; the servient tenement was created later.

D. The dominant tenement is the parcel that pays for maintenance; the servient tenement uses it.

**Answer: A.** Benefit and burden define the two parcels. Size, order of creation, and maintenance responsibility do not.

**4.** How is priority among recorded liens generally determined?

**A. Generally by the order of recording, first in time being first in right, with certain liens such as property tax liens given priority regardless of when they were recorded.**

B. Strictly by the order in which the underlying debts were incurred.

C. By the size of each lien, with larger liens taking priority.

D. By agreement among the lienholders, without which no priority exists.

**Answer: A.** Recording order is the general rule with statutory exceptions, most notably property taxes. The date the debt arose, the amount, and private agreement do not set the general rule — though lienholders can subordinate by agreement.

**5.** What is the practical effect of recorded covenants and restrictions on a parcel?

**A. They are private restrictions that bind successive owners and limit use independently of what zoning permits.**

B. They are enforceable only against the original parties who agreed to them.

C. They override zoning where the two conflict, because they are recorded against the specific property.

D. They expire automatically when the property is sold to a new owner.

**Answer: A.** Recorded restrictions run with the land and bind later owners. They operate alongside zoning rather than overriding it, and in practice the more restrictive of the two governs what the owner may actually do.

## Remediation set — served only after a failed engagement check

**1.** A property owner has used a path across a neighbor's land for many years without permission. What issue does this raise?

**A. A possible prescriptive easement claim, which is a legal question requiring counsel rather than a determination a licensee can make.**

B. An automatic easement, since long use establishes the right.

C. No issue, because use without permission cannot create rights.

D. A license, which the neighbor may revoke at any time without consequence.

**Answer: A.** Long adverse use may ripen into a right, but whether it has depends on legal elements a licensee is not qualified to evaluate. Neither the automatic-right answer nor the no-rights-ever answer is correct.

**2.** A contractor records a mechanic's lien for unpaid work. What makes this lien distinctive in priority terms?

**A. Its priority may relate back to when the work or improvement commenced rather than to the date the lien was recorded.**

B. It always takes priority over every other lien on the property.

C. It takes priority only over liens recorded after the contractor completed the work.

D. It has no priority until the contractor obtains a judgment.

**Answer: A.** The relation-back feature is what makes mechanic's liens a hazard for lenders and buyers: a lien recorded later can outrank an interest that attached after the work began. It measures the lien from commencement rather than promoting it to first position, so it does not reach an encumbrance already attached and of record when work started. It is neither automatically first nor dependent on a judgment.

**3.** A buyer's preliminary report lists a utility easement running along the rear property line. What should the licensee advise?

**A. Review the recorded document to see the easement's width, location, and permitted use before assuming it will not affect the buyer's plans.**

B. Disregard it, since utility easements are standard on nearly all properties.

C. Ask the title company to except it from the report.

D. Advise the buyer that the utility must obtain permission before entering the easement area.

**Answer: A.** The recorded document is what defines the burden, and a rear-line utility easement can prevent structures the buyer intends to build. Commonness is not analysis, exceptions are not removed on request, and the easement holder does not need fresh permission to use its rights.

**4.** What does it mean that a title insurance policy 'excepts' an item shown in the preliminary report?

**A. The policy does not insure against loss arising from that item, so the buyer bears that risk unless it is otherwise addressed.**

B. The item has been removed from title as a condition of issuing the policy.

C. The insurer will defend a claim on that item but will not pay a loss.

D. The item is insured only up to the amount of the buyer's down payment.

**Answer: A.** An exception carves the item out of coverage, which is why exceptions must be read rather than skimmed. It does not clear the item from title and it is not a partial or defense-only coverage.

**5.** Zoning permits a duplex on a parcel, but the recorded covenants limit it to a single-family residence. What may the owner build?

**A. A single-family residence, because the private restriction is more restrictive and both apply.**

B. A duplex, because public zoning supersedes private restrictions.

C. A duplex, because covenants apply only until the subdivision is fully built out.

D. Either, at the owner's election, since the two authorities conflict.

**Answer: A.** Both apply simultaneously, so the owner must satisfy each — which means the stricter one controls the outcome. Zoning permits rather than compels, so it does not override a private restriction.

# Real Estate Principles - Lesson Assignment 06

## Government powers, land use, and environmental controls

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Identify the four government powers over private property and distinguish them by what each takes and what compensation each requires.
- Explain how a general plan, zoning, and the entitlement process relate, and identify what each answers.
- Describe subdivision and building controls and explain what a permit record does and does not establish.
- Identify the environmental hazards a California residential transaction commonly raises and state the licensee's role for each.
- Explain natural hazard disclosure and water-related requirements at the level a licensee must handle them.
- Build a land-use due diligence sequence that puts slow items first.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: government powers and the planning framework | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: subdivision, building controls, and environmental hazards | 50 | Sections 3-4 viewed |
| Guided reading: natural hazard context and due diligence | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Taxation, eminent domain, police power, and escheat

### 1.1 Fee simple absolute is not absolute against government

Lesson 03 established that fee simple absolute is the greatest estate the law recognizes. It is nonetheless subject to four government powers, conventionally remembered as **PETE**:

| Power | What it does | Compensation |
|---|---|---|
| **P** — Police power | Regulates use for public health, safety, morals, and general welfare | **None** |
| **E** — Eminent domain | Takes property for public use | **Just compensation required** |
| **T** — Taxation | Levies on property to fund government | None; it is a charge, not a taking |
| **E** — Escheat | Property passes to the state where an owner dies with no heirs and no will | None |

**The compensation column is the distinction that matters.** Regulation under the police power reduces what an owner may do without paying him; eminent domain takes and pays.

## 1.2 Police power

The broadest of the four, and the source of zoning, building codes, subdivision regulation, environmental controls, health and safety requirements, and rent regulation where a jurisdiction has adopted it.

The power is exercised by state and local government. Its exercise must serve a legitimate public purpose and must not be arbitrary — but within those limits it can substantially reduce what an owner may do, and the owner is not compensated.

> A parcel zoned for commercial use is rezoned residential, and its market value falls by half. **That is regulation, not a taking**, in the ordinary case. The owner has not lost the property; he has lost uses.

Where regulation goes so far as to deprive an owner of substantially all economically beneficial use, the question of a **regulatory taking** arises. Whether a particular regulation crosses that line is a legal question of real complexity, and a licensee's role is to recognize the concept, never to advise that a client has a claim.

## 1.3 Eminent domain

The power to take private property for public use upon payment of just compensation. The process is called **condemnation**.

Two situations a licensee should be able to name:

**Partial taking.** Where only part of a parcel is taken, compensation may address both the part taken and **severance damages** to what remains — for example, where the remainder is left an unusable shape or loses its access.

**Inverse condemnation.** Where government action effectively takes or damages property without a formal proceeding, and the owner brings the claim rather than the government.

**A pending or threatened condemnation is a material fact.** It affects value, marketability, and the buyer's plans, and it is disclosed. Whether the owner has a claim, what compensation is due, and how to respond are legal questions for counsel.

### 1.4 Taxation

Property taxation is taken up in Lesson 13. For present purposes:

- Property taxes become a **lien on the property**, generally with priority over other liens regardless of when they attached.
- **Special assessments** fund improvements benefiting particular property, and a buyer inherits the remaining obligation.
- Unpaid property taxes can ultimately lead to sale of the property under the applicable process.

### 1.5 Escheat

Where a person dies owning property with no will and no heirs who take under the law of intestate succession, the property passes to the state. It is uncommon in residential practice and appears mainly as a concept and occasionally in a chain of title.

### 1.6 What a licensee actually does with this section

Three things:

1. **Recognize which power is operating.** A rezoning is police power; a road widening that takes twelve feet of frontage is eminent domain.
2. **Treat pending government action as a material fact** — a proposed rezoning, an announced project, a pending condemnation.
3. **Refer the legal questions.** Whether compensation is owed, whether a regulation has gone too far, and what a taking is worth are all outside the license.

### 1.7 Checkpoint

You should be able to name the four powers, state which requires compensation, and distinguish regulation from a taking on a set of facts.

## 2. Zoning and general plans

### 2.1 The planning hierarchy

California land use is organized in layers, and each answers a different question.

| Layer | Question it answers |
|---|---|
| **General plan** | What does this jurisdiction intend this area to become? |
| **Specific plan** | How will that intent be implemented in this particular area? |
| **Zoning ordinance** | What uses and development standards apply to this parcel **now**? |
| **Entitlements and permits** | What has this particular parcel actually been approved for? |

**The general plan is the long-range policy document**, and California requires local general plans to address specified elements — land use, circulation, housing, conservation, open space, noise, and safety among them. **Zoning is generally required to be consistent with the general plan.**

For a licensee the operative point is that the general plan describes intent while zoning controls today, and a buyer asking "will this area change?" is asking a general plan question, answered by the jurisdiction rather than by the licensee.

## 2.2 What a zoning ordinance controls

**Use** — what may occur on the parcel: residential, commercial, industrial, agricultural, mixed, and the subcategories within each.

**Development standards** — the physical envelope: setbacks from each property line, maximum height, lot coverage, floor area ratio, minimum lot size, parking requirements, and open space.

Both halves matter. A parcel zoned to permit a second unit may still be unable to accommodate one within the setbacks, the height limit, and the parking requirement. **Permitted use and physical feasibility are different questions**, and clients routinely conflate them.

## 2.3 The relief mechanisms

Where a proposal does not fit the ordinance, three mechanisms are commonly available, and they are frequently confused.

| Mechanism | What it addresses |
|---|---|
| **Variance** | Relief from a **development standard** — a setback, a height limit — usually requiring a hardship arising from the property itself |
| **Conditional use permit** | Permission for a **use** the ordinance allows in that zone subject to review and conditions |
| **Rezoning** | A change to the ordinance itself, moving the parcel to a different zone |

> **The distinction to hold:** a variance addresses the envelope; a conditional use permit addresses the use; a rezoning changes the rule.

All three are **discretionary**. Nobody is entitled to one, and a licensee who tells a buyer a variance "won't be a problem" has predicted a discretionary decision — which Lesson 13 of the Practice course identifies as a prediction stated as certainty.

## 2.4 Nonconforming use

A **legal nonconforming use** is one that was lawful when established and no longer conforms because the ordinance changed. It is commonly permitted to continue — often described as being "grandfathered."

Three limits that surprise owners:

- **Expansion is generally restricted.** The right is usually to continue, not to enlarge.
- **Discontinuance can end it.** Many ordinances terminate the right after a period of abandonment.
- **Destruction can end it.** Rebuilding after substantial destruction may not be permitted.

**And a use that was never lawful is not a nonconforming use.** It is an unpermitted use, which is a different and worse problem — and "it's been like that for thirty years" does not convert one into the other.

### 2.5 Recorded restrictions again

From Lesson 05, restated because it belongs here too: **zoning and recorded private restrictions are independent, and the more restrictive generally governs in practice.** Zoning permitting a use does not authorize it where the CC&Rs prohibit it. A buyer must satisfy both.

### 2.6 What a licensee may say

**May:** identify the current zoning designation with its source; explain that zoning governs use and development standards; explain that variances, conditional use permits, and rezonings exist and are discretionary; direct the buyer to the planning counter; and confirm that the buyer investigated before his contingency expired.

**May not:** state that a use is permitted; predict that an application will be approved; interpret setback or height provisions for the buyer's project; or characterize an existing condition as legally nonconforming.

> **A buyer asks: "Can I build a second unit here?"**
>
> **Correct:** "That's two questions — what the zoning allows and whether the lot can physically fit it within setbacks, height, and parking, plus whatever the recorded restrictions say. The city's planning counter answers the first two, and I'll get you the CC&Rs for the third. Let's get both before your contingency expires, and I'll note we discussed it."
>
> **Incorrect:** "The zoning allows it, so you're fine."

### 2.7 A worked land-use inquiry

> **A buyer under contract on a residence tells the licensee he intends to convert the detached garage into a rental unit, run a small contracting business from the property, and add a second story.**
>
> **Three plans, and each is governed by more than one system.**
>
> **The public side — Section 2.2's ordinance.** Whether the zone permits an accessory dwelling unit, what standards apply to it, whether a home occupation is permitted and on what conditions, and what height, setback, and coverage limits apply to a second story. **Each has an answer, and the answers come from the jurisdiction rather than from the licensee.**
>
> **The relief mechanisms — Section 2.3.** Where the ordinance does not permit something as of right, a variance or a conditional use permit may exist as a path. **They are processes with standards, timelines, hearings, and no guaranteed outcome**, and "you can just get a variance" is one of the more damaging sentences a licensee can say.

> **The private side — Section 2.5 and Lesson 05, Section 4.2.** Recorded restrictions can prohibit what zoning permits. **A property in a development whose declaration forbids rentals or business use is a property where the zoning answer is irrelevant to the buyer's plan.**
>
> **The building side — Section 3.2.** Permits, plans, and inspections, and a conversion of existing space carries its own requirements. **Section 3.3's unpermitted-work problem is what this becomes if the buyer proceeds without them.**
>
> **The practical sequence the licensee recommends, in writing:**
>
> 1. **Ask the jurisdiction** — planning for use and standards, building for permit requirements — **before removing contingencies.**
> 2. **Obtain and read the recorded restrictions**, and route their interpretation to counsel.
> 3. **Confirm with a design or construction professional** what the existing structure will actually support.
> 4. **Confirm insurance and financing implications** where a use changes.
>
> **What the licensee says, and what he does not.**
>
> **He says:** these are three separate questions with four sources of answers, here is where each answer comes from, and here is the deadline by which you need them.
>
> **He does not say:** "ADUs are allowed everywhere now," "nobody enforces the home-occupation rules," "you can add a second story, the neighbor did," or **any version of what the ordinance permits.** Section 2.6 states the boundary, and the neighbor's second story is the least reliable evidence available — it may have been permitted under a different ordinance, granted relief, or built without permission.
>
> > **The recurring error this prevents.** A buyer removes his contingencies on the strength of a licensee's encouragement, closes, and discovers that the conversion he bought the property for requires a discretionary approval he will not get. **The information was available on day two, from a phone call to a public counter, and the licensee's contribution was to say who to call.**

### 2.8 Checkpoint

You should be able to distinguish a variance from a conditional use permit, explain the limits on a nonconforming use, and answer a buildability question correctly.

## 3. Subdivision and building controls

### 3.1 The two subdivision statutes, revisited

From Lesson 04, because it is the land use half that matters here:

**The Subdivision Map Act** governs the **creation** of parcels — the tentative and final map process, the conditions a local agency may impose, dedications, and required improvements. It answers whether a parcel may lawfully be created and sold.

**The Subdivided Lands Law** is the DRE-administered consumer protection statute governing the **sale** of subdivided interests, including the public report requirement before certain subdivided property may be offered.

The recurring practice point: **a separate tax bill is not evidence of a lawful split.** Where a parcel's creation is in question, it goes to the local agency, to title, and to counsel — before it is marketed as a separate building site, because marketing it as one is a factual claim about entitlement.

## 3.2 Building codes and permits

Building codes set minimum standards for construction, and work generally requires a **permit** and **inspections** culminating in a final approval.

What a permit record establishes and does not:

| Establishes | Does not establish |
|---|---|
| That a permit was issued for described work | That the work was completed |
| That inspections were performed, where finaled | That the work was done well |
| The scope as permitted | That subsequent work was permitted |
| A date | That current condition matches the permit |

**A permit that was issued but never finaled is a real problem** — an open permit can complicate a sale, and the obligation to close it out generally follows the property.

## 3.3 Unpermitted work

This is among the most common problems in California residential transactions, and licensees mishandle it in both directions.

**The facts to establish:** what work was done, when, whether a permit was issued, whether it was finaled, and whether the work is habitable and safe as built.

**What the licensee does:**

1. **Disclose what is known**, including what the seller said and what the licensee observed.
2. **Recommend permit research** at the jurisdiction — which is a public record and is where the answer actually lives.
3. **Do not include unpermitted area in advertised square footage** without disclosing its status.
4. **Recommend the buyer investigate what legalization would require**, since the cost can be substantial and sometimes the work cannot be legalized at all.
5. **Document the recommendation and the buyer's response.**

**What the licensee does not do:** state that the work is legal because it looks fine, characterize the risk as low, predict what the city would require, or advise the seller to say nothing because "everyone does it."

> **The asymmetry worth teaching:** unpermitted work does not automatically make a property unsaleable, and it does automatically make it a disclosure item. Licensees fail on both sides — some conceal it, some describe it as a disaster. The professional response is to make it visible and investigable.

### 3.4 Certificates and clearances

Depending on the jurisdiction and the property type, a transfer may trigger local requirements — retrofit obligations for smoke and carbon monoxide devices and water conservation fixtures, occupancy or resale inspections, sewer lateral requirements, or point-of-sale reports.

**These are local and they vary.** A licensee working across city lines who assumes uniformity will eventually miss one, and a missed point-of-sale requirement can delay a closing.

### 3.5 Accessibility in new construction

Certain multifamily housing is subject to accessible design and construction requirements, and California standards can exceed the federal baseline. A licensee marketing new construction should not represent that a property meets accessibility requirements without confirming it, and should direct specific questions to the developer, the architect, or the jurisdiction.

### 3.7 Two subdivision statutes, and why California has both

Section 3.1 described subdivision approval as a local process. It is that, and it is also a state one, and the two run on different definitions. A licensee who knows only "five or more parcels" has half of it.

**The Subdivision Map Act — Government Code § 66410 and following.** The Act names itself in a single sentence: *"This division may be cited as the Subdivision Map Act."* It is the **local land-division statute**: it governs how land is divided, what maps are filed, and what conditions a city or county may impose.

Its definition, at **Government Code § 66424**, is deliberately broad:

> *"…any unimproved land, or any portion thereof, shown on the latest equalized county assessment roll as a unit or as contiguous units, for the purpose of sale, lease, or financing, whether immediate or future.* ***Property shall be considered as contiguous units, even if it is separated by roads, streets, utility easement, or railroad rights-of-way.*** *'Subdivision' includes a* ***condominium project*** *…, a* ***community apartment project*** *…, or the* ***conversion of five or more existing dwelling units to a stock cooperative****…"*

**The Subdivided Lands Act — Business and Professions Code § 11000 and following.** This is the **consumer-protection statute**, administered by the Department of Real Estate, and it is why a public report exists. Its definition is narrower and counts differently:

> *"'Subdivided lands' and 'subdivision' refer to improved or unimproved land or lands, wherever situated within California, divided or proposed to be divided for the purpose of sale or lease or financing, whether immediate or future, into* ***five or more lots or parcels****."*

**The two acts do not overlap neatly, and that is the point.**

| | Subdivision Map Act | Subdivided Lands Act |
|---|---|---|
| **Code** | Gov. Code § 66410 et seq. | B&P Code § 11000 et seq. |
| **Administered by** | Cities and counties | The Department of Real Estate |
| **Purpose** | How land may be divided; maps, conditions, dedications | Whether the offering may be sold to the public; disclosure |
| **Trigger** | Division of land into parcels, including two | **Five or more** lots or parcels |
| **Output** | Tentative and final maps; parcel maps | **Public report** |

**Three consequences worth carrying.**

**A two-lot split is a subdivision for map purposes and not for public-report purposes.** The owner deals with the county and files a parcel map; no DRE public report is involved. **A licensee who tells such an owner they need a public report is wrong, and one who tells a five-lot subdivider they do not is wrong more expensively.**

**"Contiguous even if separated by roads" closes an obvious avoidance route.** An owner cannot escape the Map Act by pointing at the street between their two holdings.

**A condominium project is a subdivision.** § 66424 says so expressly. Converting an apartment building to condominiums is a land division in the eyes of the Map Act even though no soil is moved, and converting five or more units to a stock cooperative is too. **The most common "subdivision" a residential licensee will ever touch involves no vacant land at all.**

## 3.8 The 160-acre carve-out and the exclusions

§ 11000 carries exclusions that show what the Legislature was aiming at.

**The 160-acre parcels.** Land *"sold by lots or parcels of not less than 160 acres which are designated by lot or parcel description by government surveys and appear as such on the current assessment roll"* is not subdivided land — **unless** it is divided for sale for oil and gas purposes, in which case it is. The consumer-protection concern was never large agricultural parcels described by government survey; it was the sale of small parcels to buyers who cannot inspect what they are buying. **But oil and gas is carved back in**, because that is a pattern the Legislature had specific reason to reach.

**Ordinary leasing is out.** The chapter *"does not apply to the leasing of apartments, offices, stores, or similar space within an apartment building, industrial building, commercial building, or mobilehome park."* Renting an office suite is not subdividing.

**With two exceptions that are back in.** Mobile home park leases *"for a term in excess of five years … as a mandatory requirement and prerequisite to tenancy"* are subject to the chapter. And leasing apartments in a **community apartment project** is subject to it. Both are situations where a "lease" is functionally the sale of a long-term interest to a consumer.

**And the two acts are told not to disturb each other.** § 11000(b): *"Nothing in this section shall in any way modify or affect any of the provisions of Section 66424 of the Government Code."* The Legislature knew the definitions differ and said so.

### 3.9 What this means for a residential licensee, concretely

Most licensees will never subdivide anything. They will, regularly, meet the consequences.

**A buyer purchasing in a new development is entitled to a public report.** Where the Subdivided Lands Act applies, the subdivider may not sell or lease before the Department has issued one, and the buyer receives and acknowledges it. **A licensee representing a buyer in a new tract who has not seen the public report has not seen the central disclosure document of the transaction.**

**A seller who "split off the back lot" years ago may have created a problem.** A division that did not follow the Map Act may have produced a parcel that is not legally separate, which surfaces when a buyer's lender asks for a legal description and a title insurer declines to insure. **The question to ask is not "is it a separate parcel" but "what map created it, and when."**

**A condominium conversion is a subdivision.** A client proposing to convert a four-plex is proposing a land division under § 66424 and should be sent to counsel and to the city before, not after, they market units.

**None of these is a question a licensee answers.** Each is a question a licensee must be able to *recognise*, early enough that the person who does answer it can be brought in while the answer still matters.

### 3.10 Checkpoint

You should be able to state what a permit record establishes, handle unpermitted work correctly, and explain why local transfer requirements need to be checked jurisdiction by jurisdiction.

## 4. Environmental hazards and disclosure

### 4.1 The licensee's role, stated once for all of them

For every hazard in this section the role is the same three steps:

1. **Disclose what is known**, including the licensee's own observations.
2. **Recommend appropriate investigation** by a qualified professional, matched to the property.
3. **Do not evaluate.**

A licensee who tells a buyer that visible growth "is just surface mold, it'll clean off" has made an assessment they are not qualified to make, on which the buyer may rely.

### 4.2 Age-triggered: lead-based paint

For target housing built **before 1978**, the federal lead-based paint requirements apply. They are triggered by the **age of the housing**, not by whether children will occupy it, and licensees routinely misstate them in both directions.

| The obligation is | The obligation is not |
|---|---|
| Disclose **known** lead-based paint and hazards | Test the property |
| Provide **available records and reports** | Create records that do not exist |
| Provide the required **pamphlet** | Certify the property is free of lead |
| Give the buyer an **opportunity to conduct an assessment** | Remediate before transfer |

### 4.3 The other common hazards

**Asbestos.** Present in older construction in insulation, flooring, roofing, and other materials. Generally of most concern when disturbed. Evaluation and abatement are specialist work.

**Radon.** A naturally occurring soil gas that can accumulate indoors. Testing is inexpensive relative to the transaction and is the only way to know.

**Mold.** Requires moisture, which means the underlying question is usually where the water is coming from. A licensee should disclose visible growth and moisture evidence as **observations** and recommend evaluation — never characterize the type or the risk.

**Methamphetamine contamination.** Where a property was used for manufacture, remediation obligations and notice requirements can apply. A licensee learning of a history routes it immediately.

**Underground storage tanks.** Common on older and rural property. Leaking tanks create soil and groundwater contamination questions and potentially substantial liability.

**Soil and groundwater contamination.** Arising from prior industrial or agricultural use, adjacent operations, or historic fill. On any property with an industrial or agricultural history, the question belongs at intake.

**Formaldehyde, PCBs, and other building-material issues**, which appear in particular construction eras and product types.

### 4.4 Proximity and off-site conditions

Some conditions are not on the property at all: a neighboring industrial use, an agricultural operation with spraying or odor, a rail corridor, a flight path, a former landfill, a high-voltage corridor.

These raise the same discipline. **Disclose what is known, point the buyer to objective sources, and do not characterize.** Whether an odor from an adjacent dairy is tolerable is the buyer's judgment to make with accurate information — not the licensee's to make for him.

### 4.5 The environmental site assessment, in outline

For commercial and some other transactions, environmental due diligence is conducted through a phased assessment: a **Phase I** records and site reconnaissance review to identify recognized environmental conditions, followed where warranted by a **Phase II** involving sampling.

A licensee should know the terms, know that these are specialist reports, and know that they take time — which puts them at the front of the due diligence queue rather than the back.

## 4.7 The natural hazard zones, and what disclosure of them means

Section 4.3 listed the hazard disclosures. This section is the working knowledge: which zones exist, what each says about the property, and what it obliges a buyer to do.

| Zone | What it means | Practical consequence for a buyer |
|---|---|---|
| **Special flood hazard area** | Mapped by FEMA as subject to inundation in a base flood | A federally regulated lender **will require flood insurance**. Premiums vary by an order of magnitude between zones |
| **Area of potential flooding** | Downstream of a dam, subject to inundation if the dam failed | Rarely insurable as such; a disclosure item rather than a lending condition |
| **Very high fire hazard severity zone** | Mapped by the state or a local agency | **Insurance availability, not price, is the issue.** Carriers have withdrawn from these areas |
| **Wildland area / state responsibility area** | Fire protection is the state's rather than a local district's | Defensible-space obligations; a fire prevention fee history |
| **Earthquake fault zone** | Alquist-Priolo mapped surface fault trace | Restricts construction across the trace; affects the feasibility of an addition |
| **Seismic hazard zone** | Mapped liquefaction or landslide susceptibility | May require a geotechnical report before permits issue |

**This course does not read the mapping statutes in their own text.** No deadline, exemption, form requirement, or fee in this assignment is taken from them. What a Principles student needs is the shape: **six zones, each mapped by a public agency, each disclosed on a natural hazard disclosure statement, and each meaning something different to a buyer.**

**The distinction that decides transactions is insurance.** A flood zone is a **price** problem — coverage exists and costs money. A very high fire hazard severity zone is increasingly an **availability** problem, and a buyer who cannot obtain a policy cannot obtain a loan. **A licensee should tell a buyer to get an insurance quote in the first days of the contingency period**, not the last, because in some markets the quote takes longer than the contingency.

## 4.8 Disclosure is not investigation, and the line between them

**What the disclosure does.** It reports what the public maps show. The maps are the source; the report is a transcription.

**What it does not do.** It does not say whether *this house* will flood, burn or shift. It does not survey the site. A property just outside a mapped zone may face nearly the same physical risk as one just inside, because the line on the map is a regulatory boundary and not a change in the ground.

**Three failures that follow from confusing the two.**

**Treating "not in a zone" as "no risk."** The most common. A buyer who reads *"not in a special flood hazard area"* and concludes the property does not flood has read a statement about a map.

**Treating "in a zone" as a defect to be argued about.** A property in a mapped zone is not defective; it is located where it is located. The transaction question is insurability and cost, and both are answerable with a phone call.

**Treating the report as the end of diligence.** The natural hazard report is one input. The others — an inspection, an insurance quote, a geotechnical opinion where the seismic map warrants one, and the seller's own knowledge of past flooding or fire — are separate, and no one of them substitutes for another.

**A worked situation.**

> A buyer is in contract on a hillside property. The natural hazard disclosure reports: not in a flood zone; **in a very high fire hazard severity zone**; **in a seismic hazard zone (landslide)**; not in an earthquake fault zone. The buyer's agent forwards the report on day 4 of a 17-day contingency period with the note "standard disclosures attached."

**Two items on that report should have generated action rather than a forward.**

**The fire zone means the buyer must confirm insurance is available before removing contingencies**, and in some California markets that has meant weeks and a surplus-lines policy at several times the expected premium. A buyer who removes contingencies without a bound quote has removed the only exit.

**The landslide designation means a geotechnical question exists**, and if the buyer intends any addition or grading, the designation will meet them again at the permit counter. That is a question for a geotechnical engineer inside the contingency period.

**What "standard disclosures attached" communicated instead** was that the report was routine and required no thought. **The licensee's obligation was not to interpret the hazards** — they are not qualified to — **but to say which items have consequences and which professionals answer them**, in writing, on day 4.

### 4.9 Checkpoint

You should be able to state the lead-based paint obligations correctly in both directions, and give the correct response to a buyer asking whether visible mold is serious.

## 5. Water conservation and natural-hazard context

### 5.1 Natural hazard disclosure

California requires disclosure of whether a property lies within certain mapped hazard zones — flood, fire, seismic, and related designations. The disclosure is commonly prepared by a third-party report provider.

What it does and does not do:

- **Does:** tell the buyer the property is within a mapped zone, so he can investigate what that means for insurance, construction requirements, and risk.

- **Does not:** certify the property is safe, predict whether an event will occur, or substitute for the buyer's own investigation.

**It applies based on mapping, not on the property's event history.** A property that has never flooded in the seller's twenty years of ownership is disclosed as within a flood zone if it is mapped in one, and a buyer's view that the mapping is outdated changes nothing about the obligation.

### 5.2 Why it matters more than buyers assume

Hazard zone status drives consequences buyers regularly discover late:

**Insurance availability and cost.** In some California areas this is now the determining factor in whether a transaction closes at all.

**Construction and improvement requirements**, which can materially affect renovation plans.

**Financing**, where lenders require particular coverage.

**Disclosure obligations the buyer inherits** as a future seller.

> **The single most preventable failure in this area:** insurance quotes obtained at the end of the contingency period rather than at the beginning. A buyer who learns in week one that coverage will cost far more than assumed can act. A buyer who learns it two days before closing generally cannot.

### 5.3 Seismic context

California's seismic mapping includes zones related to fault rupture and to seismic hazards such as liquefaction and landslide. Older residential construction may present retrofit questions — foundation bolting, cripple wall bracing, chimney condition.

The licensee's role is the familiar one: disclose what is known and what is mapped, recommend evaluation by a qualified professional, and route the engineering questions.

### 5.4 Fire hazard severity

Mapped fire hazard severity zones carry consequences including defensible space obligations, construction and material requirements in some areas, and — most acutely in current California practice — insurance availability.

A licensee listing or selling in a mapped fire area should treat insurance as a **first-week item**, not an administrative closing task.

### 5.5 Water: supply, rights, and conservation

Three distinct topics that clients merge.

**Supply.** Where does the water come from — municipal, district, mutual water company, private well, shared well? For rural property this is the question that determines whether the property is usable as intended.

**Rights.** Riparian, appropriative, and groundwater rights are the specialist area from Lesson 02. Recognize, ask, refer.

**Conservation requirements.** California transactions increasingly involve water conservation obligations, including fixture requirements that can be triggered at transfer, and local restrictions on landscaping and use.

**Groundwater management** adds a layer on rural and agricultural property: a parcel within a managed basin may face pumping constraints that affect what can be grown or built.

### 5.6 The rural intake questions

For rural, agricultural, or unimproved property, at the listing appointment:

1. What is the water source, and is it documented?
2. If a well: production, quality, and date of the last test?
3. Is any water right appurtenant to the parcel, and is it documented?
4. Is the property within a groundwater management area?
5. Are there shared-facility agreements — a shared well, a pipeline, an access easement?
6. Is the supply sufficient for the buyer's intended use?
7. What is the septic situation, and when was it last inspected?
8. Is access legal and documented, or is it by long-standing custom?

That last question closes the loop with Lesson 05: a rural parcel reached by a road nobody has a recorded right to use has an access problem the buyer will discover after closing.

### 5.8 Due diligence on land use, in the order it should be done

Sections 5.1 to 5.4 covered the controls. This section is the sequence a licensee should be able to run for any buyer whose plans depend on what the land may be used for.

**Step one — the zoning designation and the general plan designation, which are two different things.** Zoning is the current regulation; the general plan is the long-range policy the zoning is supposed to implement. **They can disagree**, and where they do, a property's future is contested rather than settled. Both come from the planning department and both are usually online.

**Step two — the permitted uses in that zone, read rather than assumed.** A zone's name conveys almost nothing. What matters is the schedule of uses: permitted by right, permitted with a conditional use permit, and prohibited. **A buyer who wants to run a business from a house is asking a question this schedule answers.**

**Step three — the development standards.** Setbacks, height, lot coverage, floor-area ratio, parking. **These decide whether the addition a buyer intends is possible**, and they are the reason a large lot does not necessarily mean a large house.

**Step four — the overlays.** Historic districts, hillside ordinances, coastal zones, airport influence areas, specific plans. **An overlay sits on top of the base zoning and frequently governs.** A property can be in a permissive base zone and a restrictive overlay.

**Step five — the permit history.** What has been permitted on this parcel, and what has been finalled. Assignment 15 Section 5.12 explains why unpermitted work matters; the permit history is where it becomes visible.

**Step six — anything pending nearby.** A proposed project on an adjacent parcel is a matter of public record and can change the property a buyer is buying.

**All six are free or nearly free, and all six are answered by the planning and building departments to anyone who asks.** The obstacle is not access. It is that nobody asks until a problem has already arrived.

## 5.9 The three answers a licensee must never give

**"You can build that."** Whether a proposed structure may be built is a determination made by a jurisdiction on an application, against standards, overlays and a permit history the licensee has not read in full. **A licensee who says it can be built has given a client a reason not to check.**

**"That's grandfathered."** Legal non-conforming status is a specific legal condition — a use lawfully established before a regulation changed, continued without the interruptions or expansions that forfeit it. **It is not a synonym for "old."** Whether a use qualifies, and what would end it, is a question for the jurisdiction and for counsel.

**"You can get a variance."** A variance is discretionary relief granted on findings a body must make. It is not obtainable on request, and a buyer who purchases in reliance on obtaining one has bought a property on a condition nobody promised.

**What to say instead, in each case:** *"That's a question for the planning department, and it's worth getting the answer in writing before your contingency period ends. I can give you their number, and here is what I would ask them."*

**A worked situation.**

> A buyer is purchasing a corner lot with an older house, intending to add a 900-square-foot second unit for a parent. The listing describes the property as "great ADU potential — huge lot!" The buyer's agent forwards a zoning printout showing the base zone permits two units.

**The printout answers one of six questions.** It does not address the corner-lot setbacks, which on corner parcels are frequently more restrictive on the street side; the lot coverage and floor-area ratio, which decide whether 900 square feet fits after the existing house; any overlay; the permit history of the existing structure; or whether the parcel's utilities and sewer capacity support a second unit.

**And "great ADU potential" in the listing is a representation** somebody made about a use nobody had confirmed. **The licensee who repeats it to a buyer has adopted it.**

**What the buyer's agent should have done on day one:** telephoned the planning department, described the parcel and the intended addition, asked what would be required, and **sent the buyer the answer in writing** — including the parts that were "you'd need to apply and find out."

## 5.10 Checkpoint

You should be able to explain why hazard disclosure applies on mapping rather than history, and list the rural intake questions.

# 6. Public and private land-use due diligence

## 6.1 The two halves

Every land use question has a public half and a private half, and satisfying one does not satisfy the other.

| Public | Private |
|---|---|
| General plan and zoning | Recorded CC&Rs and restrictions |
| Permits and building code | Association rules and architectural approval |
| Subdivision and parcel legality | Easements burdening the parcel |
| Environmental and hazard requirements | Private agreements — shared wells, access, maintenance |
| Local transfer requirements | Leases and occupancy agreements |

**A buyer must clear both columns.** The most common failure is checking the public half, receiving a "yes," and treating the question as answered.

## 6.2 The sequence

Order the work by **how long it takes**, not by how important it seems. The slow items are the ones that fail transactions.

**Week one:**

- Order the preliminary report and the underlying documents.
- Order association documents where applicable.
- Obtain insurance quotes where the property is in a mapped hazard area.
- Begin permit research at the jurisdiction.
- Order the natural hazard report.

**Week two:**

- General and specialist inspections, matched to the property.
- Zoning and entitlement questions at the planning counter.
- Survey where a boundary trigger is present.
- Environmental assessment where the property's history calls for one.

**Ongoing:**

- Track every item against the contingency deadline in writing.
- Confirm receipt of each report and the buyer's review.
- Escalate anything that will not arrive in time, while there is still time to act.

## 6.3 The questions that identify the work

A short intake interrogation identifies most of what a particular property needs:

- **What does the buyer intend to do with it** beyond live in it?
- **What is the property's history** — industrial, agricultural, prior uses, prior construction?
- **What is visibly present** — additions, conversions, outbuildings, slopes, retaining walls, wells, tanks, solar?
- **What is adjacent** — commercial, agricultural, rail, flight path, corridor?
- **What is mapped** — fire, flood, seismic?
- **What is recorded** — easements, restrictions, association?

Notice that the buyer's **intent** is the first question. A buyer who plans to build, subdivide, run a business, or keep animals needs due diligence a buyer who plans to move in does not.

## 6.4 What defensible due diligence looks like in the file

- The buyer's stated intentions, recorded at intake.
- Each investigation recommended, with the date.
- Each report ordered, with the date ordered and the date received.
- The buyer's confirmation that he received and reviewed each.
- Recommendations to consult the jurisdiction, a specialist, or counsel — with the buyer's response.
- Anything that could not be obtained in time, and what was done about it.

**The last item is the one licensees omit.** A report that never arrived, with no record of the escalation, looks in hindsight exactly like a report nobody ordered.

## 6.5 The recurring failure

Not that a licensee gave wrong land use advice. That a licensee **gave land use advice at all** — and the confident answer arrived faster than the correct referral would have.

The questions in this lesson are answered by the planning counter, the building department, the recorded documents, the specialist, and counsel. The licensee's professional contribution is knowing which question goes where, and getting it there while the buyer can still act on the answer.

## 6.6 The due diligence failure, restated for a new licensee

Section 6.5 names the recurring failure. Stated as a working rule, it is this: **the buyer's plan was never tested against the property's actual constraints, and nobody noticed until after closing.**

**The pattern is always the same:**

1. The buyer says what he intends to do with the property.
2. Everyone finds it reasonable, because it usually is.
3. **Nobody asks the jurisdiction, and nobody reads the recorded restrictions.**

4. Contingencies are removed on the strength of the plan being reasonable.
5. The plan turns out to require an approval, a permit, or a use the restrictions forbid.

**Step three is the whole failure**, and it costs a phone call and a document request.

**The three questions that prevent it**, asked as soon as a buyer states an intention:

- **"Have you confirmed with the city or county that this is permitted here?"**
- **"Have we read what the recorded restrictions say about it?"**
- **"Do we know what permits this needs and what the existing structure will support?"**

**The licensee answers none of them.** He asks them, in writing, with a date, before the contingency deadline — and records the answer.

> **Why this belongs at the end of a government-powers lesson.** Every concept in Sections 1 through 5 — police power, zoning, subdivision control, building regulation, environmental and hazard frameworks — **operates on a property whether or not anyone looked.** The lesson's purpose is not to make a licensee an expert in any of them. **It is to make him the participant who asks, on day two, whether anyone has checked.**

## 6.7 Checkpoint

You should be able to build a due diligence sequence for a specific property, justify the ordering by lead time, and state what the file must show.

## Key terms

| Term | Definition |
|---|---|
| **PETE** | Police power, Eminent domain, Taxation, Escheat — the four government powers over private property. |
| **Police power** | Regulation of use for public health, safety, morals, and general welfare. **No compensation.** The source of zoning, building codes, and environmental controls. |
| **Eminent domain** | The power to take private property for public use upon **just compensation**. The process is condemnation. |
| **Severance damages** | Compensation for harm to the remainder where only part of a parcel is taken. |
| **Inverse condemnation** | A claim brought by an owner where government action effectively took or damaged property without a formal proceeding. |
| **Regulatory taking** | The question arising where regulation deprives an owner of substantially all economically beneficial use. A legal question — recognize, never advise. |
| **Escheat** | Property passing to the state where an owner dies with no will and no heirs. |
| **General plan** | The long-range local policy document, addressing required elements. Answers what an area is intended to become; zoning is generally required to be consistent with it. |
| **Zoning ordinance** | What uses and development standards apply to a parcel now. |
| **Development standards** | The physical envelope — setbacks, height, coverage, floor area ratio, minimum lot size, parking, open space. |
| **Permitted use versus physical feasibility** | Different questions. A parcel may permit a second unit that cannot fit within the setbacks, height, and parking. |
| **Variance** | Discretionary relief from a **development standard**, usually requiring hardship arising from the property itself. |
| **Conditional use permit** | Discretionary permission for a **use** the ordinance allows in that zone subject to review and conditions. |
| **Rezoning** | A change to the ordinance itself. |
| **Legal nonconforming use** | A use lawful when established that no longer conforms. Generally may continue but not expand, and may be lost by discontinuance or destruction. |
| **Unpermitted use** | A use that was never lawful. **Not** a nonconforming use, and time does not convert one into the other. |
| **Subdivision Map Act** | Governs the lawful **creation** of parcels. |
| **Subdivided Lands Law** | DRE-administered consumer protection governing the **sale** of subdivided interests, including the public report. |

| Term | Definition |
|---|---|
| **Open permit** | A permit issued but never finaled. A real problem whose closeout obligation generally follows the property. |
| **Target housing** | Pre-1978 housing triggering the federal lead-based paint obligations — **by age, not by occupancy by children**. |
| **Recognized environmental condition** | What a Phase I environmental site assessment is designed to identify, with a Phase II involving sampling where warranted. |
| **Natural hazard disclosure** | Disclosure of mapped flood, fire, seismic, and related zones. Applies on **mapping, not event history**, and certifies nothing about safety. |
| **Defensible space** | Vegetation management obligations in mapped fire hazard areas. |
| **Groundwater management area** | A managed basin where pumping constraints may affect what can be grown or built. |
| **Point-of-sale requirement** | A local obligation triggered at transfer — retrofit, inspection, sewer lateral, or report. Varies by jurisdiction. |
| **The two halves** | Public land use and private restrictions. A buyer must clear both, and satisfying one does not satisfy the other. |
| **Lead-time ordering** | Sequencing due diligence by how long each item takes rather than by how important it seems. |

## Practice problems

### Problem 1

A city rezones a commercially zoned parcel to residential and the owner's market value falls by half. Separately, the city takes twelve feet of frontage from an adjacent parcel for a road widening, leaving the remainder without its former driveway access. A licensee tells the first owner he has "a taking claim worth half his value."

**Identify the power in each and assess the advice.**

> **Solution. The rezoning is police power** — regulation of use for public health, safety, and general welfare, and **no compensation is owed** in the ordinary case. The owner has not lost the property; he has lost uses. Regulation reducing value substantially is still regulation.
>
> **The road widening is eminent domain**, exercised through condemnation, requiring **just compensation.** Because only part was taken and the remainder lost its access, compensation may address both the part taken and **severance damages** to what remains.
>
> **The advice is wrong and outside the license.** Whether regulation goes so far as to deprive an owner of substantially all economically beneficial use — a **regulatory taking** — is a legal question of real complexity, and telling a client he has a claim worth a specific amount is both a legal conclusion and a valuation of it.

> **What the licensee actually does:** recognize which power is operating, treat pending government action as a **material fact** to disclose, and refer the legal questions.

### Problem 2

A buyer asks whether he can build a second unit. Zoning permits second units in the district. The lot is 40 feet wide with 5-foot side setbacks, a 25-foot height limit, and a two-space parking requirement. The CC&Rs prohibit more than one dwelling per lot. His agent says "the zoning allows it, so you're fine."

**Identify everything the answer missed.**

> **Solution. Three separate questions, and the agent answered one of them.**
>
> **Permitted use is not physical feasibility.** Zoning controls both use and the **development standards** — setbacks, height, coverage, parking, open space. A 40-foot lot with 5-foot side setbacks leaves 30 feet of buildable width, and the parking requirement has to land somewhere. The zoning may permit a unit the lot cannot hold.
>
> **The CC&Rs prohibit it**, and private restrictions and zoning are independent. **The more restrictive generally governs** — zoning permission does not authorize what the recorded restrictions forbid, and the buyer must satisfy both.
>
> **The correct answer:** *"That's two questions on the public side — what the zoning allows and whether the lot can physically fit it within setbacks, height, and parking — plus whatever the recorded restrictions say. The city's planning counter answers the first two; I'll get you the CC&Rs for the third. Let's have both before your contingency expires, and I'll note we discussed it."*

### Problem 3

Three owners want to do things the ordinance does not currently allow: one wants to build within the required rear setback because of an unusual lot shape; one wants to operate a childcare facility in a residential zone where the ordinance lists it as subject to review; one wants his industrial parcel treated as commercial. A licensee tells each that the approval "won't be a problem."

**Name the correct mechanism for each and assess the reassurance.**

> **Solution. A variance** for the setback — relief from a **development standard**, usually requiring a hardship arising from the property itself, which an unusual lot shape may supply.
>
> **A conditional use permit** for the childcare facility — permission for a **use** the ordinance already allows in that zone subject to review and conditions.
>
> **A rezoning** for the industrial parcel — a change to the ordinance itself, moving the parcel to a different zone.
>
> **The distinction to hold:** a variance addresses the envelope, a conditional use permit addresses the use, a rezoning changes the rule.
>
> **All three are discretionary, and nobody is entitled to one.** "Won't be a problem" predicts a discretionary decision — a prediction stated as certainty, on which a buyer may commit hundreds of thousands of dollars.

### Problem 4

A converted garage has been used as a bedroom for thirty years. The seller says it is grandfathered. Permit records show a permit issued in 1994 for a garage conversion, never finaled. The listing advertises 2,340 square feet including the converted space.

**Assess each element.**

> **Solution. "Grandfathered" is being used for the wrong concept.** A **legal nonconforming use** was lawful when established and no longer conforms because the ordinance changed. **A use that was never lawful is not a nonconforming use** — it is unpermitted, which is a different and worse problem, and thirty years does not convert one into the other.
>
> **The open permit is a real problem, not a technicality.** A permit issued but never finaled can complicate the sale, and the obligation to close it out generally follows the property to the buyer. Note also what the record does establish and does not: it shows a permit was issued for described work and gives a date. It does **not** establish that the work was completed, done well, or that current condition matches the permit.
>
> **The square footage is a misrepresentation as stated.** Unpermitted area is not included in advertised living area without disclosing its status.
>
> **What the licensee does:** disclose what is known including the seller's statement and the licensee's observations; recommend permit research at the jurisdiction, which is public record; recommend the buyer investigate what legalization would require, since the cost can be substantial and some work cannot be legalized at all; and document. **What the licensee does not do:** say it is legal because it looks fine, characterize the risk, predict what the city will require, or advise the seller to stay quiet.

### Problem 5

A 1962 house is being sold to a buyer with no children. There is visible dark growth under a bathroom window and a rusted vent pipe in the rear yard the seller says served "an old oil tank, probably still down there." The agent tells the buyer lead rules do not apply without children, that the growth is "just surface mold," and that old tanks are common in the neighborhood.

**Correct all three.**

> **Solution. Lead-based paint obligations are triggered by the age of the housing**, not by whether children will occupy it — pre-1978 target housing is covered. And the obligation is misstated in the other direction too: **disclose what is known**, provide available records and reports, provide the required **pamphlet**, and give the buyer an **opportunity to conduct an assessment.** It does not require testing, creating records that do not exist, certifying the property lead-free, or remediating.
>
> **"Just surface mold" is an assessment the licensee is not qualified to make**, on which the buyer may rely. Mold requires moisture, so the underlying question is where the water is coming from. Disclose the **observation** — visible growth and its location — and recommend evaluation.
>
> **An underground storage tank is not made harmless by being common.** Leaking tanks create soil and groundwater contamination questions and potentially substantial liability. Disclose what the seller said, recommend specialist investigation, and route it.

> **The rule covering all three:** disclose what is known including your own observations, recommend appropriate investigation by a qualified professional, and **do not evaluate.**

### Problem 6

A property has never flooded in the seller's twenty-two years but sits in a mapped flood zone and a mapped fire hazard severity zone. The buyer says the flood mapping is "obviously outdated." The licensee plans to have the buyer get insurance quotes after the inspection contingency closes.

**Correct the buyer and assess the plan.**

> **Solution. The disclosure applies on mapping, not on event history.** A property that never flooded is disclosed as within a flood zone if it is mapped in one, and the buyer's view of the mapping's currency changes nothing. The disclosure tells him he is in a mapped zone so he can investigate what that means; it does **not** certify safety, predict an event, or substitute for his own investigation.
>
> **The insurance plan is the single most preventable failure in this area.** Hazard zone status drives insurance availability and cost — in some California areas now the determining factor in whether a transaction closes at all — along with construction requirements, financing conditions, and the disclosure obligations the buyer inherits as a future seller.
>
> **Insurance is a first-week item in a mapped fire or flood area, not an administrative closing task.** A buyer who learns in week one that coverage will cost far more than assumed can act; one who learns it two days before closing generally cannot.

### Problem 7

A buyer is purchasing 20 rural acres to plant an orchard and build a house. The property has a well, a septic system, and is reached by a gravel road across a neighbor's land that the seller says "everyone has always used."

**List the questions and identify the most serious issue.**

> **Solution. The access is the most serious issue**, and it is the one dressed up to sound harmless. "Everyone has always used it" describes a **custom, not a right.** A rural parcel reached by a road nobody has a recorded right to use has an access problem the buyer discovers after closing — and long permitted use raises a prescriptive question that is a legal doctrine to route, not a conclusion to assert.
>
> **The rural intake questions:** What is the water source, and is it documented? For the well — production, quality, and the date of the last test? Is any water right appurtenant to the parcel and documented? Is the property within a **groundwater management area**, where pumping constraints could affect what can be grown? Are there shared-facility agreements — shared well, pipeline, access easement? Is the supply sufficient for **the buyer's intended use**, which here means irrigating an orchard rather than serving a household? What is the septic situation and when was it last inspected? And is access legal and documented, or by custom?
>
> **What transfers:** the buyer's **intent** is the first due diligence question. A buyer planning to plant and build needs investigation a buyer planning to move in does not.

### Problem 8

A buyer intends to build. On day eleven of a fourteen-day contingency, the association documents have not arrived, the permit research has not started, no survey was ordered despite a fence that appears to cross the rear line, and the preliminary report was received that morning. The agent's file contains a list of properties shown and the executed contract.

**Diagnose the sequencing and state what the file should have shown.**

> **Solution. Everything slow was started last.** Order due diligence by **lead time**, not by apparent importance — the slow items are the ones that fail transactions.
>
> **Week one** should have carried: the preliminary report and its underlying documents; association documents; insurance quotes if the property is in a mapped hazard area; permit research at the jurisdiction; and the natural hazard report. **Week two:** inspections matched to the property; zoning and entitlement questions at the planning counter, which this buyer needs because he intends to build; the survey, triggered here by a fence apparently crossing a line; and environmental assessment if the property's history called for one.
>
> **And the two halves were never separated.** Public — general plan and zoning, permits, parcel legality, hazard requirements, local transfer requirements. Private — CC&Rs, association rules and architectural approval, easements burdening the parcel, private agreements, leases. **A buyer must clear both columns**, and the common failure is getting a "yes" from the public half and treating the question as answered.
>
> **What the file should show:** the buyer's stated intentions recorded at intake; each investigation recommended with its date; each report ordered with the date ordered and received; the buyer's confirmation of receipt and review; recommendations to consult the jurisdiction, a specialist, or counsel with the buyer's responses; and **anything that could not be obtained in time and what was done about it.** That last item is the one licensees omit — and a report that never arrived, with no record of the escalation, looks in hindsight exactly like a report nobody ordered.

## Chapter summary

**Four government powers limit fee simple absolute**, and the compensation column separates them: police power regulates without paying, eminent domain takes and pays, taxation charges, escheat collects where there are no heirs.

**Regulation that reduces value is not a taking** in the ordinary case. Whether it has gone far enough to become one is a legal question to recognize and refer, never to advise on.

**Pending government action is a material fact** — proposed rezonings, announced projects, threatened condemnation.

**The general plan states intent; zoning controls today; entitlements record what a parcel has actually been approved for.** Zoning governs use **and** development standards, and permitted use is not the same question as physical feasibility.

**Variance for the envelope, conditional use permit for the use, rezoning to change the rule** — all discretionary, and none is a formality.

**A nonconforming use may continue but generally not expand, and may be lost.** A use that was never lawful is not nonconforming, and time does not cure it.

**Zoning and recorded restrictions are independent, and the more restrictive governs.**

**A permit record establishes issuance and a date** — not completion, quality, or current condition. An open permit follows the property.

**Unpermitted work is a disclosure item, not automatically a disaster.** Disclose, recommend permit research and a legalization inquiry, keep it out of advertised square footage without disclosure, and never characterize the risk.

**Local transfer requirements vary by jurisdiction** and must be checked rather than assumed.

**For every environmental hazard the role is the same:** disclose what is known including your own observations, recommend appropriate investigation, and do not evaluate. Lead-based paint is triggered by housing age, not by children.

**Natural hazard disclosure applies on mapping, not event history**, and its most consequential downstream effect is insurance — a first-week item in mapped areas, never a closing task.

**Water is three questions**: supply, rights, and conservation. On rural property, ask all eight intake questions — and treat "everyone has always used that road" as an access problem, not an answer.

**Every land use question has a public half and a private half**, and clearing one does not clear the other.

**Sequence due diligence by lead time**, document what was recommended, ordered, received, and reviewed — and document what did not arrive and what you did about it.

**The recurring failure is not wrong land use advice. It is land use advice at all.**

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Identify which government power is operating on each fact given, separate the public land use questions from the private restriction questions and state who answers each, build a due diligence sequence ordered by lead time with the reason for the ordering, identify every hazard or condition requiring disclosure and state what you would disclose and what you would decline to characterize, identify what you would refer to the jurisdiction, to a specialist, and to counsel, and state the evidence you would create and retain including for anything that could not be obtained in time. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** A buyer is considering a parcel where he plans to open a small retail shop. The parcel is zoned residential, but a similar shop operates two doors down, having been there since before the current zoning. The seller says the buyer 'can obviously do the same thing.' How should the licensee handle this?

**A. Explain that the neighboring use is likely a legal nonconforming use tied to that property's history, that it confers nothing on this parcel, and that the buyer must confirm with the planning agency what this parcel permits before relying on the plan.**

B. Agree with the seller, since an existing similar use in the immediate area establishes that the use is permitted there.

C. Advise the buyer to purchase and apply for a variance afterward, since variances are routinely granted where a similar use exists nearby.

D. Advise the buyer that zoning may be disregarded if the use does not disturb neighbors.

**Answer: A.** A nonconforming use is a right attached to a specific property because of when its use began; it is not a precedent other parcels can claim. The only reliable answer comes from the agency with jurisdiction, and treating a variance as routine or zoning as optional would be inventing permission the buyer does not have.

### Engagement check — 5 items, 80% required

**1.** Which of the following is an exercise of the police power?

**A. Zoning regulations that limit how land may be used, adopted to protect public health, safety, and welfare.**

B. A government taking of private property for a public project with just compensation.

C. The levy of annual property taxes on real property.

D. The passing of property to the state when an owner dies without heirs.

**Answer: A.** Zoning is the classic police power exercise. The other three describe eminent domain, taxation, and escheat — the remaining three governmental powers over private property.

**2.** What must accompany a government taking of private property under eminent domain?

**A. A public use or purpose and payment of just compensation to the owner.**

B. The owner's consent to the transfer.

C. A finding that the property is not being productively used.

D. An equivalent replacement property offered to the owner.

**Answer: A.** Public purpose and just compensation are the constitutional conditions. Consent is not required — that is what distinguishes eminent domain from a sale — and neither productive use nor replacement property is the test.

**3.** What is the relationship between a general plan and zoning?

**A. The general plan sets the long-range policy for development, and zoning implements it through specific use regulations that must be consistent with it.**

B. Zoning sets the policy and the general plan applies it to individual parcels.

C. They are alternative systems, and a jurisdiction adopts one or the other.

D. The general plan governs private property and zoning governs public land.

**Answer: A.** The general plan is the policy document and zoning is the implementing tool, which is why consistency between them matters. They are not alternatives and neither is limited by ownership type.

**4.** What is a variance, and what must be shown about the property before one is granted?

**A. Permission to deviate from a specific zoning requirement, granted because strict application would create a hardship peculiar to the property.**

B. A change in the zoning designation applicable to a parcel.

C. Permission to continue a use that predates the current zoning.

D. An exemption from building code requirements for older structures.

**Answer: A.** A variance relieves a specific requirement based on hardship particular to the property. Rezoning changes the designation, a nonconforming use is grandfathered by timing, and building codes are a separate regulatory system.

**5.** Why does a property's location within a mapped environmental or natural hazard area matter to a buyer?

**A. It can affect insurance availability and cost, construction and improvement requirements, and the property's risk profile, and it triggers disclosure obligations.**

B. It prevents the property from being financed or insured.

C. It obligates the seller to remediate the hazard before transfer.

D. It affects only properties intended for new construction.

**Answer: A.** Mapped hazard status changes cost, requirements, and risk, and it is disclosed so the buyer can investigate. It does not bar financing, does not obligate remediation, and applies regardless of construction plans.

## Remediation set — served only after a failed engagement check

**1.** An existing use lawfully predates the current zoning that would now prohibit it. What is this called?

**A. A legal nonconforming use, which may generally continue but is typically limited in how far it may be expanded, rebuilt, or resumed after abandonment.**

B. A variance, granted because the use existed before the ordinance.

C. A conditional use, permitted at the jurisdiction's discretion.

D. A vested right, which permits the use to be expanded at the owner's discretion.

**Answer: A.** The grandfathering is real but limited — that limitation is what buyers most often misunderstand. It is neither a variance, nor a discretionary conditional use, nor an unrestricted right.

**2.** A parcel's owner wants to divide it into four lots for sale. What framework applies?

**A. Subdivision regulation, which controls how land may be divided and what improvements and approvals are required before lots may be sold.**

B. Zoning alone, which determines whether the resulting lots meet minimum size.

C. The building code, which governs the structures to be built on the lots.

D. Private covenants, which are the only restriction on dividing a parcel.

**Answer: A.** Dividing land triggers subdivision law, which is a distinct process from zoning compliance. Zoning, building codes, and covenants each apply to their own subject but none of them governs the act of division.

**3.** What is the significance of a conditional use permit?

**A. It allows a use that the zoning permits only under specified conditions, evaluated case by case for compatibility.**

B. It permanently rezones the parcel for the requested use.

C. It exempts the applicant from the general plan's requirements.

D. It converts a nonconforming use into a permitted use.

**Answer: A.** A conditional use is contemplated by the ordinance but requires case-specific approval and conditions. It neither rezones, nor overrides the general plan, nor cures a nonconforming use.

**4.** A buyer asks who is responsible for determining whether a property can support his intended use. What is the sound answer?

**A. The buyer, with professional assistance, must verify permitted use with the jurisdiction; the licensee's role is to advise investigation, not to give the answer.**

B. The licensee, who should confirm the permitted use and report it to the buyer as fact.

C. The seller, who must warrant that the property supports the buyer's intended use.

D. The title company, whose report identifies permitted uses.

**Answer: A.** Permitted-use determinations come from the jurisdiction. A licensee who reports it as fact assumes a risk she cannot support, the seller does not warrant the buyer's plans, and title reports address record title rather than land-use permissions.

**5.** Why do water-related requirements increasingly affect California property transactions?

**A. Because conservation requirements and supply conditions can affect what may be built, how a property may be landscaped or fitted, and what a buyer must investigate.**

B. Because water rights are automatically severed from land in California.

C. Because water use is unregulated, leaving each owner to determine his own usage.

D. Because water requirements apply only to agricultural property.

**Answer: A.** Conservation requirements and supply conditions translate into concrete constraints on improvements and use. Water rights are not automatically severed, use is regulated, and the effects are not limited to agricultural land.

# Real Estate Principles - Lesson Assignment 07

## Agency and brokerage relationships

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Identify the three ways agency is created and explain why conduct is the route that surprises licensees.
- State each fiduciary duty and identify the conduct that breaches it, including breaches involving no dishonesty.
- Distinguish what is owed to a principal from what is owed to everyone, and locate the boundary between confidentiality and disclosure.
- Apply California's disclose-elect-confirm sequence and state when each step must occur.
- Explain the broker's supervisory duty and the salesperson's authority, and why the brokerage is the agent.
- Disclose compensation conflicts in time to matter, and distinguish the power to terminate an agency from the right to do so without consequence.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: creation of agency and fiduciary duties | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: representation forms and the disclosure sequence | 50 | Sections 3-4 viewed |
| Guided reading: supervision, compensation conflicts, and termination | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Creation of agency

### 1.1 What agency is

**Agency** is the relationship in which one person is authorized to act on behalf of another in dealings with third parties.

| Party | Role |
|---|---|
| **Principal** | The person represented. Also called the client |
| **Agent** | The person authorized to act for the principal |
| **Third party** | A participant who is not the agent's principal. In residential practice, the other side |

In California residential practice, **the broker is the agent** and the salesperson acts for the broker. Section 5 develops why that matters.

### 1.2 The three ways agency arises

| Method | How |
|---|---|
| **Express agreement** | A listing agreement, representation agreement, or other engagement — written or oral |
| **Conduct (implication)** | The licensee acted as an agent and the consumer reasonably relied |
| **Ratification** | The principal accepts the benefit of acts performed on their behalf, adopting them after the fact |

**Conduct is the route that surprises licensees**, and it is the reason the agency disclosure belongs early rather than at the offer.

> A homeowner and a licensee have talked for five weeks. He has advised her on pricing, recommended repairs, and told her what he thinks buyers will accept. Nothing is signed and he has not been paid. He now represents a buyer making an offer on her home and says no agency existed.
>
> **He may be wrong.** Agency can arise from conduct, and five weeks of advice she reasonably relied on looks like the conduct of an agent. Payment is not what creates duties, and the absence of a signed agreement does not prevent the relationship.
>
> The consequence is not merely that he cannot claim a commission. He may have owed her fiduciary duties throughout, and representing the buyer without disclosure and consent breaches duties actually owed.

### 1.3 What does not create agency

**Payment does not.** A buyer's agent compensated from the seller's side still represents the buyer. Who pays and who is represented are separate questions, and this must be explained to clients rather than assumed.

**A signed form alone does not, where conduct contradicts it.** A form naming one relationship while the licensee behaves as the other party's advisor creates exactly the contradiction that later gets litigated.

### 1.4 Scope of authority

Agency comes with a scope, and a licensee should know its limits.

**Actual authority** is what the principal has granted, expressly or by implication from what the engagement requires.

**Apparent authority** arises where the principal's conduct leads a third party reasonably to believe the agent has authority the agent does not in fact have. It can bind the principal, which is why loose statements about what a licensee may commit to are dangerous.

**What a residential licensee ordinarily may not do without specific authority:** accept an offer on the client's behalf, sign documents for the client, or bind the client to terms.

### 1.5 Checkpoint

You should be able to name the three ways agency arises and explain why the disclosure belongs before the relationship has been operating.

## 2. Fiduciary duties

### 2.1 What a fiduciary duty is

A **fiduciary** owes the highest duties the law imposes in a commercial relationship: to act in the principal's interest rather than the fiduciary's own.

The conventional list, with the memory device **OLD CAR**:

| Duty | What it requires |
|---|---|
| **O** — Obedience | Follow the principal's instructions — **lawful instructions only** |
| **L** — Loyalty | Place the principal's interests ahead of the agent's own |
| **D** — Disclosure | Disclose material facts known to the agent |
| **C** — Confidentiality | Protect the principal's confidential information |
| **A** — Accounting | Account for all funds and property belonging to the principal |
| **R** — Reasonable care and diligence | Perform with the skill of a competent licensee |

### 2.2 Obedience and its limit

Obedience extends to **lawful** instructions and no further. An instruction to conceal a material defect, to refuse to show property to a category of buyer, or to misrepresent competing offers is not an instruction to be followed.

> A principal instructs her agent not to show the property to a category of buyers. The agent believes refusing will cost her the listing.
>
> **Required:** refuse the instruction, explain that it would be unlawful discrimination, escalate to the broker, and address whether the listing can continue.
>
> **Three failures:** following it while documenting that it came from the client — documentation does not transfer responsibility for the act; following it informally by scheduling around those buyers — which achieves the same exclusion; and withdrawing quietly without explanation — which leaves the client free to repeat the instruction with the next licensee.

### 2.3 Loyalty

Loyalty means surfacing conflicts rather than silently resolving them in the agent's favor. The recurring breaches:

- Acting as an undisclosed principal — buying the client's property, or having an interest in the buyer.
- Accepting an undisclosed benefit from a third party.
- Steering the client toward an outcome that pays the agent more.
- Representing a competing interest without disclosure and consent.

### 2.4 Disclosure, and the confidentiality boundary

This is the most consequential line in agency practice, and it falls in the same place every time.

> **Confidentiality protects the principal's negotiating position. It never authorizes concealing a material fact about the property.**

| Protected as confidential | Must be disclosed |
|---|---|
| The seller's lowest acceptable price | A known material defect |
| The buyer's maximum | The condition of the property |
| The client's motivation and timeline | Facts affecting value or desirability |
| The client's financial position | The licensee's own observations |

> A seller's agent learns the foundation was underpinned after movement six years ago. The seller says the work was done properly, produces no records, and instructs the agent not to mention it because "it's fixed."
>
> **Disclosure controls.** The instruction cannot be followed. Confidentiality protects the negotiating position, not concealment of a material physical condition — and the adequacy of a repair with no records is exactly what a buyer would want to evaluate. Careful silence while avoiding an affirmative false statement is still concealment.

### 2.5 Reasonable care and diligence

The duty breached most often, and the one that requires no dishonesty at all.

A licensee who repeats an unverified square footage figure, misses a contingency deadline, fails to deliver a disclosure, or does not perform the visual inspection has breached this duty without lying to anyone. **Most claims against licensees are negligence claims.**

### 2.6 What is owed to non-clients

Non-clients are not unprotected. Every licensee owes **honesty, fair dealing, and disclosure of material facts** to everyone in the transaction — the other party, their agent, lenders, escrow, appraisers.

> **"I don't represent them" answers the wrong question.** It correctly identifies whose interests the licensee advances. It says nothing about whether the licensee may mislead them.

The distinction is whose interests you advance, not whether you owe anything.

## 2.7 Which duty was breached

Section 2.1 through 2.6 state the duties. **The skill a principles course is trying to build is recognizing which duty a given failure breaches**, because the answer determines the analysis, the remedy, and frequently whether the conduct is negligence or something worse.

| The conduct | The duty breached |
|---|---|
| Failing to present a competing offer to the seller | **Disclosure** |
| Telling a buyer's agent the lowest price the seller would take | **Confidentiality** |
| Buying the client's property through a relative without saying so | **Loyalty** |
| Missing a contingency deadline | **Reasonable care** |
| Following an instruction not to show the property to a category of buyers | **The obedience limit** — the instruction was unlawful, and following it is the licensee's own violation |
| Depositing an earnest money check into an operating account | **Accounting** |
| Recommending a vendor who pays a fee, without disclosing it | **Loyalty**, and the conflict framework |
| Preparing a pricing analysis from three comparables in a market with twenty | **Reasonable care** |
| Concealing a known material defect at the seller's instruction | **Honesty to non-clients**, and the obedience limit |
| Substituting the licensee's judgment on price for the seller's | **Obedience** — the decision was the principal's |
| Telling a buyer client "the seller will take 700" without knowing | **Reasonable care**, and it is a misrepresentation |
| Continuing to use a former client's confidential information | **Confidentiality**, which survives termination — Section 6.8 |

**Two observations worth carrying.**

**Reasonable care is the most frequently breached and the least dramatic.** Section 2.5 notes it can be breached without dishonesty, and most rows on any real list of claims are careless rather than dishonest. **A licensee who does careful work is protected from most of this table without ever facing an ethical dilemma.**

**Several rows breach two duties at once**, and the second is usually the more serious. Concealing a defect at the seller's instruction breaches honesty to the buyer **and** describes the licensee performing an unlawful instruction. Recommending an undisclosed paid referral breaches loyalty **and** engages a separate framework with its own

consequences.

> **The diagnostic question that resolves most cases:** whose interest was subordinated, and to what? **If the answer is "the principal's, to the licensee's," it is loyalty. If it is "the principal's, to nobody's — it was just done badly," it is care.** If it is "a non-client's, to the principal's," it is the honesty duty in Section 2.6, and that duty does not bend to fiduciary loyalty.

## 2.9 The fiduciary duties, one at a time

Section 2.1 named the duties. They are worth taking individually, because each fails in its own characteristic way and the failures look nothing alike.

**Loyalty.** The client's interests come before the agent's. **The characteristic failure is not betrayal; it is a conflict nobody disclosed** — the agent who wants the deal to close because of the commission, and lets that shape the advice about whether to accept.

**Obedience.** Follow the client's lawful instructions. **The limits are in the word "lawful."** An instruction to conceal a material defect, to exclude a protected class, or to alter a date is not an instruction to be followed, and Government Code § 12955(g) reaches the licensee who carries out the second of those.

**Disclosure.** Tell the client everything relevant to the transaction. **The failure is almost always omission under pressure** — the agent who does not pass on a weak second offer because they think the first is better.

**Confidentiality.** Do not reveal the client's financial position, motivation or bargaining position. **The failure is conversational**, at an open house or between agents, and it usually happens without anyone noticing.

**Accounting.** Account for all funds and documents. **The failure is administrative** and it is what § 10145 exists to prevent.

**Reasonable care and diligence.** Competent work, or referral to someone competent. **The failure is the licensee working outside their knowledge rather than saying so.**

**Notice what the list does not contain.** It does not contain a duty to get the best price, to guarantee an outcome, or to have an opinion about matters requiring another profession. **A licensee who believes their duty is to deliver a result rather than to perform competently and loyally will eventually breach one of the six trying to deliver it.**

## 2.10 Where the duties collide, and how to think about it

The duties are stated as though they are independent. In practice two pairs pull against each other, and being able to name the tension is most of the answer.

**Confidentiality against disclosure to the other party.** The seller's agent learns from the seller that the foundation was repaired after a slide. Confidentiality protects the client; the § 2079.16 duty to disclose material facts to the buyer does not stop at the client's edge.

**The resolution is one-directional and it is not close.** The duty to disclose facts materially affecting the value or desirability of the property runs to both parties. **A material defect learned in confidence is still a material defect**, and confidentiality protects the client's *bargaining position*, not the property's condition.

**Obedience against loyalty.** A client instructs the agent to do something legal that the agent believes is against the client's interest — refusing a strong offer over a small repair, for instance.

**The resolution here is the opposite: the client decides.** Loyalty does not mean substituting the agent's judgment. **It means giving the client the information and the recommendation, in writing, and then following the instruction.**

**A worked collision.**

> A seller tells their agent, in confidence, that they are three months behind on the mortgage and must close quickly. An offer arrives $30,000 below list with a 21-day close. A second offer arrives at full price with a 45-day close and a loan contingency.

**What is confidential:** the arrears, the urgency, the motivation. **None of it goes to any buyer or buyer's agent**, and mentioning "my seller needs a fast close" is a disclosure of bargaining position that costs the client money.

**What is owed to the client:** both offers, promptly, with an analysis — the $30,000 difference against the risk that the 45-day offer does not fund, and what the seller's own timeline can absorb.

**What the agent must not do:** decide. **The seller's financial situation is exactly why the seller, not the agent, must weigh the trade-off**, and an agent who presents only the fast offer because they know about the arrears has substituted their judgment on the client's most consequential decision.

### 2.11 Checkpoint

You should be able to name the six duties, state the confidentiality-disclosure boundary, and explain why a careless licensee can breach a fiduciary duty without any dishonesty.

## 3. Seller, buyer, and dual agency

### 3.1 The representation forms

| Form | The brokerage represents |
|---|---|
| **Seller's agent** | The seller only |
| **Buyer's agent** | The buyer only |
| **Dual agent** | Both parties in the same transaction |

A brokerage becomes a dual agent when it represents both sides — including where **two different salespersons** of the same brokerage represent the two parties, because the brokerage is the agent.

### 3.2 Dual agency requires informed written consent from both

Not one. Not implied. Not obtained afterwards.

**Informed** means each party understands what dual agency means and what it limits. **Written** means documented. **From both** means each party consents on their own behalf. And the consent must **precede** the brokerage acting on both sides rather than follow it.

### 3.3 What dual agency does and does not permit

The single most misunderstood point in agency, and the source of real breaches:

> **Consent to dual agency permits the brokerage to represent both parties. It does not convert either party's confidential negotiating position into shared information.**

> Both parties sign a dual agency consent. During negotiation the seller privately tells the broker the lowest number he would take. The buyer asks the broker directly what the seller will accept.
>
> **The broker may say nothing about the seller's floor** without the seller's permission.
>
> Two wrong answers worth naming: *both are clients so both are entitled to what the broker knows* — being a client entitles a party to loyalty about their own interests, not to the other client's confidences; and *disclosing both sides' limits keeps it balanced* — that does not cure the breach, it commits it twice.
>
> A vague answer conveying the same information is still a disclosure. The form of words does not matter.

### 3.4 What a dual agent can still do

Dual agency is not paralysis. The brokerage can still deliver information, prepare documents, coordinate the transaction, disclose material facts, and advise each party on matters not involving the other's confidences.

What it cannot do is advocate one party's negotiating position against the other's, or move confidential information across.

### 3.5 The structural tension

A dual agent owes loyalty to two parties whose interests on price are directly opposed. That tension is why consent must be informed — the party is agreeing to a relationship in which the agent cannot advocate for them the way a single-side agent would.

A licensee explaining dual agency badly — "it just means we handle both sides, it's more efficient" — has obtained a signature rather than consent.

### 3.6 Checkpoint

You should be able to state what dual agency requires, what consent does and does not permit, and why assigning a second salesperson does not avoid it.

## 4. California agency disclosure

### 4.1 The three steps

California's agency disclosure operates in three steps that occur at **three different times**:

| Step | What it is |
|---|---|
| **Disclose** | Provide the statutory disclosure describing the relationship options and the duties in each |
| **Elect** | The relationship is chosen |
| **Confirm** | The relationship actually elected is recorded, in or with the purchase agreement |

## 4.2 The timing

| Role | When the disclosure must be provided |
|---|---|
| **Seller's agent** | **Before the listing agreement is signed** |
| **Buyer's agent** | **As soon as practicable before the buyer signs an offer** |
| **Agent presenting an offer to the seller** | **Before or at the time the offer is presented** |

**Every one of these is the same principle: the disclosure precedes the decision it informs.**

A student who holds that principle can resolve unfamiliar timing questions without memorizing a table. Apply it and the answers fall out: the seller should know whose interests the presenting agent serves **while evaluating the offer**, not afterward.

## 4.3 Why late delivery is not cured by delivery

> A buyer's agent presents an offer. The agency disclosure reaches the listing side the following week, after acceptance, and is signed and dated then.
>
> **The file now contains a signed disclosure and is still defective.** The document exists; the protection it was meant to give does not, because the seller made the decision without it.

This is the shape of every timing defect in the course. The remedy for a late disclosure is not a later signature.

## 4.4 The confirmation

The agency confirmation records which relationship was actually elected. Two failure modes appear in file audits:

**A confirmation contradicting the earlier disclosure** — naming the brokerage as buyer's agent while the listing file shows seller's agent, with no dual agency consent anywhere. That is not a documentation problem. It describes the brokerage acting on both sides without either party's consent, and it is the most serious finding in a typical residential audit.

**A confirmation left blank or unchecked**, which leaves the file unable to show what relationship existed.

## 4.5 The disclosure is not the agreement

A recurring confusion: the agency disclosure describes the relationship options and the duties; the listing or representation agreement creates the engagement and its terms. They are different documents doing different work, and providing one does not accomplish the other.

**The agency disclosure is required regardless of whether a representation agreement is signed.** A licensee who requires a signed representation agreement before showing property is stating a brokerage policy, which is legitimate — but the disclosure obligation does not depend on it.

### 4.6 The dates, and what they prove

The three steps in Section 4.1 exist as a sequence, and **their dates are what a file audit examines** — not their presence.

**The chain, with what each date has to precede:**

| Step | Its date must precede |
|---|---|
| **Disclosure to the seller** | The listing agreement. The seller must know what the relationship is before he commits to it. |
| **Disclosure to the buyer** | The advice. Section 4.2's timing runs from the outset of the working relationship, not from the offer. |
| **Disclosure to the other party** | The presentation of the offer. |
| **Election** | Recorded in the agreement itself. |
| **Consent to dual agency**, where applicable | **The brokerage acting on both sides.** Consent dated after the conduct is a record of the problem. |
| **Confirmation** | Nothing — it is the last link, and its job is to be **consistent with the four above.** |

**Three defects a file audit finds, in descending order of seriousness:**

**1. A confirmation that contradicts the file.** A purchase agreement confirming the brokerage as buyer's agent while the listing file shows it as seller's agent, with no consent anywhere, **describes an undisclosed dual agency** — a breach of duties actually owed rather than a documentation failure.

**2. A disclosure dated after the agreement.** The document exists and the protection it was designed to give never operated.

**3. A signature with no evidence of delivery.** Section 4.3 establishes that late delivery is not cured by delivery. **A file that cannot show when a disclosure reached the party cannot show that it was timely**, and the burden of that ambiguity does not fall on the consumer.

**Why the buyer side fails more often than the listing side.** A listing agreement forces the paperwork; **nothing forces it on the buyer side.** A licensee can work with a buyer for six weeks, give advice throughout, and produce a disclosure on the day the offer is written — and the file will contain a properly executed document that proves nothing about the six weeks.

> **The one habit that closes all three defects:** date everything at the moment it happens, evidence delivery rather than relying on signature, and **read the chain forward as a sequence** rather than checking off documents as a set. If the dates do not run in order, something happened out of order — and that is worth knowing while the

> transaction can still respond to it.

### 4.8 The disclosure form is a statute, printed

Section 4.1 called the agency disclosure a required form. It is more particular than that: **Civil Code § 2079.16 sets out the words**, and the form a licensee hands a client is that section reproduced. Reading it is reading the law.

> *"The disclosure form required by Section 2079.14 shall have Sections 2079.13 to 2079.24, inclusive, excluding this section, **printed on the back**, and on the front of the disclosure form the following shall appear:*
>
> ***DISCLOSURE REGARDING REAL ESTATE AGENCY RELATIONSHIP** (As required by the Civil Code)*
>
> *When you enter into a discussion with a real estate agent regarding a real estate transaction, you should from the outset understand what type of agency relationship or representation you wish to have with the agent in the transaction."*

**The structure tells you what the Legislature was worried about.** The front of the form is plain-language explanation for a consumer. The back is the statute itself — §§ 2079.13 through 2079.24 — printed in full so that the consumer holds the law rather than a summary of it. **A licensee who prints only the front has produced a form the statute does not describe.**

### 4.9 The three relationships, in the statute's words

**The seller's agent.** *"A Seller's agent under a listing agreement with the Seller acts as the agent for the Seller only."* The obligations then split into two groups, and the split is the heart of California agency:

> **To the Seller:** *"A fiduciary duty of utmost care, integrity, honesty, and loyalty in dealings with the Seller."*
>
> **To the Buyer and the Seller:** *"(a) Diligent exercise of reasonable skill and care in performance of the agent's duties. (b) A duty of honest and fair dealing and good faith. (c) A duty to disclose all facts known to the agent materially affecting the value or desirability of the property that are not known to, or within the diligent attention and observation of, the parties."*

**Subdivision (c) is the one that surprises new licensees.** A seller's agent owes a duty of disclosure **to the buyer** — a party they do not represent. The fiduciary duty runs one way; the disclosure duty runs both. **A seller's agent who conceals a known material defect from a buyer has breached a duty owed to that buyer**, and the fact that the buyer was not their client is not a defence.

**The buyer's agent** carries the mirror image: fiduciary duty to the buyer, and the same three both-party duties. The section adds a point about payment that resolves a persistent confusion: *"the agent is not the Seller's agent, even if by agreement the agent may receive compensation for services rendered, either in full or in part from the Seller."* **Who pays does not determine whom the agent represents.**

**And the confidentiality boundary is stated in both:** *"An agent is not obligated to reveal to either party any confidential information obtained from the other party that does not involve the affirmative duties set forth above."* Confidentiality yields to the disclosure duty, not the other way round. A material defect learned in confidence is still a material defect.

## 4.10 Dual agency, and the list the statute makes

> *"A real estate agent, either acting directly or through one or more salespersons and broker associates,* ***can legally be the agent of both the Seller and the Buyer in a transaction, but only with the knowledge and consent of both****."*

**Two features of that sentence do a great deal of work.**

**"Acting directly or through one or more salespersons."** Dual agency is a *brokerage* status, not a personal one. Where one salesperson lists and a different salesperson in the same brokerage represents the buyer, **the brokerage is a dual agent** even though no individual is on both sides. This is the single most commonly missed instance of dual agency, and it happens in ordinary offices every week.

**"Only with the knowledge and consent of both."** Knowledge and consent, from both, before acting. Undisclosed dual agency is not a paperwork failure — it is acting without the authority the statute requires.

**What a dual agent may not disclose.** The statute enumerates it rather than leaving it to judgment:

> *"a dual agent may not, without the express permission of the respective party, disclose to the other party confidential information, including, but not limited to, facts relating to either the Buyer's or Seller's* ***financial position, motivations, bargaining position, or other personal information that may impact price****, including the* ***Seller's willingness to accept a price less than the listing price*** *or the* ***Buyer's willingness to pay a price greater than the price offered****."*

**Those last two examples are the whole difficulty of dual agency in one clause.** The dual agent knows the seller would take less and the buyer would pay more, owes each of them utmost loyalty, and may tell neither. The duties do not conflict on paper — the statute resolves the conflict by prohibiting the disclosure — but **the agent is left holding information that would help each client and cannot be used for either.**

## 4.11 A worked confirmation problem

> A brokerage lists a property. A salesperson at the same brokerage brings a buyer. The listing agent gives the seller a disclosure form at listing; the buyer's salesperson gives the buyer one at first showing. The purchase agreement's confirmation section names the listing salesperson as "Seller's Agent" and the buyer's salesperson as "Buyer's Agent." No dual agency consent is signed by anyone.

**The disclosures were given and the confirmation is wrong.** § 2079.16 says an agent *"acting directly or through one or more salespersons"* can be the agent of both. Here one brokerage is on both sides. **The brokerage is a dual agent**, and the confirmation must say so for the brokerage even while identifying each salesperson's role.

**What the file will look like to a reviewer later:** two properly delivered disclosure forms, a confirmation that describes a single agency on each side, and a brokerage that in fact acted for both parties without the knowledge and consent the statute requires. **The documents make it look correct, which is worse than an obvious gap**, and it is precisely the pattern Assignment 07 Section 6.3 warns about — the file that reads well and does not describe what happened.

**The fix is procedural and takes a minute:** when the offer comes from inside the house, the dual agency consent is prepared at the same time as the offer, not looked for afterwards.

### 4.12 Checkpoint

You should be able to state when each disclosure is due, explain why a signature after the decision does not cure lateness, and identify what an audit finding of a contradictory confirmation means.

## 5. Broker supervision and salesperson authority

### 5.1 The brokerage is the agent

Stated in Lesson 01 and applied here:

> **The salesperson's client is the broker's client. The listing is the brokerage's contract. The salesperson's compensation comes from the broker.**

What follows:

- **Cancellation of a listing is a broker-level decision** governed by the agreement, not the individual salesperson's to grant.
- **The transaction file belongs to the brokerage**, whoever created the documents.
- **A second salesperson on the other side does not avoid dual agency**, because the brokerage is the agent.
- **A salesperson may not contract in her own name** for licensed activity.

### 5.2 The supervisory duty

The responsible broker must exercise reasonable supervision. Discharged by a system:

1. **Written policies** covering the conduct required.
2. **File review**, close enough in time to catch problems before they mature.
3. **Advertising review** before publication.
4. **Trust fund controls**, including reconciliation.
5. **Training**, particularly for new licensees.
6. **An escalation path** a salesperson can actually use.

**A policy nobody follows is not supervision**, and it is not a defense for anyone — not for the broker who wrote it and not for the salesperson who departed from it.

**Independent contractor status does not reduce any of this.** It characterizes the tax and compensation relationship and answers a different question.

### 5.3 Supervision from the receiving end

Licensees encounter supervision failures from below, and the correct responses are worth stating:

| Situation | Response |
|---|---|
| A manager tells you to conceal an error | **Escalate to the responsible broker.** The instruction does not protect you |
| Office practice deviates from the written policy | Raise it; a policy nobody follows protects no one |
| You are asked to handle work beyond your competence with no support | Say so in writing and ask for supervision or reassignment |

**Following an improper instruction and documenting that it came from someone else does not transfer responsibility for the act. It documents that you knew.**

### 5.4 Delegation and unlicensed assistants

Unlicensed assistants may perform administrative work. They may not perform licensed activity — soliciting, negotiating, showing property, or discussing terms — and they may not be compensated for referrals.

The boundary is not the job title. It is the activity.

### 5.5 Vicarious responsibility

The broker answers for the salesperson's conduct in the course of the agency, which is why the supervisory system exists and why brokerages care about advertising approval, file review, and policy compliance in ways that can feel bureaucratic to a new licensee.

The principal may also bear responsibility for the agent's conduct within the scope of the agency, which is one reason a seller cannot instruct an agent into unlawful conduct and stand clear of it.

### 5.6 Checkpoint

You should be able to explain why a listing is not the salesperson's to cancel, describe what real supervision consists of, and state the correct response to an improper instruction from a manager.

## 6. Compensation, conflicts, and termination

### 6.1 Compensation is negotiable

**Brokerage compensation is set independently by each brokerage and negotiated with the client.** It is not standard, not customary, and not set by any association or listing service.

Describing a rate as standard is both factually wrong and an antitrust exposure. The correct sentence:

> "Compensation is negotiable between you and our brokerage. There is no standard rate, and no rate set by any association or listing service. Here is what our brokerage charges and what it covers."

### 6.2 Source of payment does not determine representation

Restated because clients and licensees both get it wrong: **a buyer's agent compensated from the seller's side still represents the buyer.** The arrangement must be explained rather than assumed, along with what happens if the seller's side offers less than the agreed compensation or offers none.

### 6.3 Conflicts of interest

Any interest that could reasonably influence the licensee's advice:

- A referral fee or thing of value from a service provider.
- An ownership or financial interest — including a relative's — in a recommended provider.
- A bonus contingent on a sale or a price threshold.
- The licensee's own interest, or a relative's, in a property.
- Representation of another party with a competing interest.
- A personal relationship a client would want to know about.

### 6.4 Disclosure must arrive in time to matter

> **Disclose before the client relies on the advice the conflict affects.**

| Inadequate approach | Why it fails |
|---|---|
| "The client is free to choose someone else" | The client cannot weigh a recommendation without knowing what the recommender receives |
| "I'll disclose if they ask" | The client does not know to ask |
| "I won't let it influence me" | A private intention is not something the client can evaluate |
| "I'll disclose after acceptance" | Information after the decision has no value |
| "The fee comes from the seller, not the buyer's pocket" | Who pays does not change that the advice carries an interest |

### 6.5 The referral fee prohibition is different

A conflict is ordinarily **managed by disclosure**. One category is not:

> **A licensee may not give or accept a fee, kickback, or thing of value for the referral of settlement service business, and may not split a fee where no services were performed. Disclosure does not cure it.**

This reaches arrangements that feel like ordinary business courtesy — an escrow company paying per file, a lender covering marketing costs in exchange for referrals, a warranty company paying per policy.

Where the brokerage has an **ownership interest** in a provider it refers to, that is an **affiliated business arrangement** carrying its own disclosure and conditions.

## 6.6 The licensee as principal

Where a licensee buys or sells for their own account, or for a relative or an entity they have an interest in, the licensee's status must be disclosed. A licensee purchasing from a client, or holding an interest in a buyer of a client's property, occupies the highest-risk position in the business, and it requires disclosure, the client's informed consent, and the broker's involvement.

## 6.7 Termination of agency

Agency ends by:

| Method | How |
|---|---|
| **Completion** | The purpose is accomplished |
| **Expiration** | The stated term ends |
| **Mutual agreement** | Both parties agree |
| **Revocation** | The principal ends it |
| **Renunciation** | The agent ends it |
| **Operation of law** | Death or incapacity of a party, destruction of the property, or similar events |

**The power to terminate and the right to terminate without consequence are different.** A principal generally has the power to revoke, and exercising it may still breach the agreement and expose the principal to a claim. A licensee who tells a seller "you can cancel any time" has described the power and omitted the consequence — and has given a legal opinion about the agreement's terms.

## 6.8 What survives termination

**Confidentiality generally survives.** A licensee may not use or disclose a former principal's confidential information afterwards — including for a new client, and including after the property is relisted elsewhere.

> A listing expires unsold. Six months later the same licensee represents a buyer interested in the property, now listed with another brokerage. He knows the former seller's lowest acceptable price. **He may not use it.**
>
> A duty that evaporated when the engagement ended would not be worth having. This is why the obligation is described as surviving rather than lapsing.

**Compensation provisions may also survive**, including a protection clause applying to buyers identified during the term.

## 6.9 A worked agency audit

> **A brokerage reviews one closed file.** It contains:
>
> - **(a)** A listing agreement dated March 4. An agency disclosure signed by the seller dated March 7.

- **(b)** A buyer working with the same brokerage since February, with no disclosure in the buyer file until April 19 — the date of the purchase agreement.
- **(c)** A purchase agreement confirming the brokerage as **both** the listing and the selling brokerage.
- **(d) No dual agency consent from either party.**
- **(e)** An email dated April 12 from the buyer's salesperson to the buyer: "I talked to our listing side — I think they'd take 690."
- **(f)** A referral fee received from a home warranty company, disclosed nowhere in the file.
- **(g)** A commission disbursement showing the brokerage paid from both sides.

**The findings, ranked.**

**1. (c) and (d) together: an undisclosed dual agency.** Section 3.2 requires informed written consent from **both** parties, and there is none. **This is a breach of duties actually owed rather than a documentation failure**, and it is the finding that changes the character of the whole file.

**2. (e) The confidential information moved between sides.** Section 3.3 states what dual agency does not permit, and this is the clearest possible violation of it: **the seller's negotiating position, communicated by the brokerage to the party negotiating against the seller.** It also proves item 1 was operating in fact rather than only on paper.

**3. (f) The undisclosed referral fee.** Section 6.3 and Section 6.4. **Money received in connection with a recommendation the client relied on, with no disclosure at any point.** Unlike the timing failures below, this involves value moving without the client's knowledge.

**4. (b) The disclosure that arrived at the offer.** Ten weeks of a working relationship, and the disclosure is dated the day of the purchase agreement. Section 4.3: **late delivery is not cured by delivery.** The document exists; nothing it was designed to accomplish occurred.

**5. (a) The disclosure after the listing agreement.** Three days late, and the seller committed before being informed.

**6. (g) The two-sided payment.** Section 6.2 establishes that source of payment does not determine representation, so **this is not itself a violation.** It is listed because it is the item an examiner uses to find item 1 — the disbursement is what makes the dual agency visible in thirty seconds.

**What the brokerage does.** Records every finding with its date; preserves the file including item (e); escalates to counsel, because items 1, 2, and 3 are not internal training matters; determines what obligation exists to the parties, which is a legal question; and **changes the procedures that produced items (a), (b), and (d)** — because a brokerage whose buyer files have no disclosure step and whose system does not detect that both sides are its own will produce this file again.

**What the brokerage does not do.** Produce a consent now, re-date item (b), or add a referral disclosure to the file today. **A documented gap is a compliance problem. A manufactured document is a different proceeding**, and every one of these findings is survivable in a way that fabrication is not.

## 6.10 The agency questions a licensee answers, and the ones he does not

This lesson has drawn several boundaries. Collecting them makes the working rule visible.

**What a licensee explains, and should be able to explain well:**

- **What the three disclosure steps are and when each happens.** Section 4.1 and Section 4.2.
- **What representation means** — that the brokerage owes the client fiduciary duties and owes everyone honesty, fair dealing, and disclosure of material facts.
- **That the brokerage, not the individual, is the agent.** Section 5.1, which surprises consumers and licensees alike.
- **That who pays does not determine who is represented.** Section 6.2, and consumers regularly assume the opposite.
- **What dual agency is, what it requires, and what it costs the parties** — specifically that no one will advocate against the other side on price. Sections 3.2 through 3.5.
- **That compensation is negotiable.** Section 6.1.
- **What conflicts exist in this transaction**, disclosed before the client acts. Section 6.4.

**What routes to counsel:**

- Whether a particular agency relationship arose on particular facts.
- The legal effect of a defective or late disclosure.
- Whether a duty was breached and what follows.
- What a representation agreement's provisions mean for the client's obligations.
- Whether the client can terminate, and what termination costs. Section 6.7 describes the mechanisms; **the application is legal.**

**What routes to the broker:**

- Any dual agency, at the moment it becomes foreseeable rather than at the offer.
- Any request to release a client from an agreement.
- Any instruction the licensee believes is unlawful. Section 2.2's limit.
- Any conduct by another licensee that engages a duty — including confidential information volunteered by the other side.
- Any compensation arrangement that varies from the brokerage's standard.

> **The organizing principle across all three lists.** A licensee explains **how the framework works**; counsel says **what it means for these facts**; the broker decides **what the brokerage does.** Almost every agency question a consumer asks fits one of those three, and a licensee who can sort them in the moment will handle correctly a great many situations he has never seen.

**And the one question that appears in all three lists at once**, which is why it is the hardest: *"Whose side are you on?"* **The explanation is the licensee's, the legal characterization is counsel's, and if the honest answer is uncomfortable, that discomfort is information the broker needs before the transaction goes further.**

## 6.12 Compensation does not determine agency, and three consequences

Section 6.1 explained how compensation is negotiated. The point that matters legally is the one **Civil Code § 2079.16** makes in passing, in the buyer's agent paragraph: an agent acting for a buyer *"is not the Seller's agent, **even if by agreement the agent may receive compensation for services rendered, either in full or in part from the Seller**."*

**Three consequences follow, and each answers a question clients actually ask.**

**"If the seller pays you, don't you work for the seller?"** No. Agency arises from the agreement to represent, not from the source of payment. This is worth being able to answer cleanly, because a buyer who suspects divided loyalty and is given a vague answer will keep suspecting it.

**A commission dispute is not an agency dispute.** A broker who is not paid has a contract claim. That claim does not retroactively change whom they represented or what duties they owed, and a broker who begins arguing that they "really represented" someone else in order to reach a fee has created a far larger problem than the fee.

**Compensation must be disclosed in full — the statute makes it a discipline ground. Business and Professions Code § 10176(g)** reaches *"the claiming or taking by a licensee of any secret or undisclosed amount of compensation, commission, or profit or **the failure of a licensee to reveal to the buyer or seller** contracting with the licensee **the full amount** of the licensee's compensation."* **A referral fee from a lender, a home warranty company or a service provider is compensation**, and the obligation is to reveal the full amount before or at the time the client commits.

## 6.13 Termination, and the date that must be on the form

Agency ends. How it ends determines what survives it.

| How it ends | What happens | What survives |
|---|---|---|
| **Expiration** | The stated term runs out | Confidentiality; any protection period the agreement provides |
| **Completion** | The purpose is accomplished | Confidentiality; obligations under the closed transaction |
| **Mutual agreement** | Both parties release | Whatever the release says — get it in writing |
| **Revocation by the principal** | The client withdraws the authority | The agent may have a claim for compensation; the authority is gone either way |
| **Renunciation by the agent** | The agent withdraws | Potential liability for abandoning a client mid-transaction |
| **Operation of law** | Death, incapacity, destruction of the property, bankruptcy | Immediate |

**Two duties outlive the agency and are regularly forgotten.**

**Confidentiality does not expire with the listing.** Information about a former client's finances, motivations or circumstances remains confidential. A licensee who mentions at an open house that the previous seller "had to move fast because of the divorce" has breached a duty to a person who is no longer a client.

**Accounting survives.** Funds held, documents held, and records of the transaction remain the licensee's obligation after the relationship ends.

**And the termination date is a statutory requirement, not a form convention. § 10176(f)** makes it a ground for discipline to claim or receive a fee *"under any exclusive agreement authorizing a licensee to perform any acts set forth in Section 10131 for compensation … **where the agreement does not contain a definite, specified date of final and complete termination**."*

**Read that carefully, because the offence is not signing the open-ended agreement — it is claiming a fee under one.** A broker holding an exclusive listing with no termination date has an instrument they cannot safely be paid on. **"Definite, specified date of final and complete termination"** admits no substitutes: not "90 days from acceptance", not "until sold", not "until cancelled". A date.

## 6.14 A worked termination problem

> A broker takes a 90-day exclusive right to sell. On day 62 the seller says by telephone, "I've changed my mind, take it off the market." The broker withdraws the listing from the multiple listing service. On day 81 the seller sells privately to a buyer the broker introduced on day 40, at a price the broker had negotiated to within $5,000.

**Three separate questions sit inside those facts, and a licensee should be able to see all three without answering any of them.**

**Did the agency terminate?** A principal generally has the *power* to revoke, which is not the same as the *right* to revoke without consequence. Whether an oral instruction revoked this agreement, and with what effect, is a contract question.

**Does the agreement have a protection period?** Most exclusive listings provide that a sale within a stated period after termination, to a buyer the broker procured and identified in writing, still earns a commission. **Whether the broker identified this buyer in writing, and when, is likely to decide the whole matter** — and it is a purely clerical act that either was or was not done on day 40.

**Was the termination date definite?** If the agreement said "90 days" without a date, § 10176(f) is in play against the broker's own claim.

**What the licensee should have done on day 62**, in order: confirm the cancellation in writing; **deliver the written list of protected buyers immediately**; and consult the broker about the fee position before doing anything else. **All three take under an hour on day 62 and are unavailable on day 81.**

## 6.15 Checkpoint

You should be able to state the negotiability sentence correctly, explain why the referral fee prohibition is not cured by disclosure, and say what survives the end of an agency.

## Key terms

| Term | Definition |
|---|---|
| **Agency** | The relationship in which one person is authorized to act on behalf of another in dealings with third parties. |
| **Principal / client** | The party represented. |
| **Agent** | The party authorized to act for the principal. In California residential practice, **the broker**. |
| **Third party** | A participant who is not the agent's principal. Owed honesty, fair dealing, and disclosure of material facts. |
| **Agency by conduct** | Agency arising because the licensee acted as an agent and the consumer reasonably relied. The route that surprises licensees. |
| **Ratification** | Agency created when a principal accepts the benefit of acts performed on their behalf. |
| **Actual authority** | What the principal granted, expressly or by implication from what the engagement requires. |
| **Apparent authority** | Authority a third party reasonably believes the agent has because of the principal's conduct. Can bind the principal. |
| **OLD CAR** | Obedience, Loyalty, Disclosure, Confidentiality, Accounting, Reasonable care — the fiduciary duties. |
| **Obedience** | Following the principal's instructions — **lawful instructions only**. |
| **Loyalty** | Placing the principal's interests ahead of the agent's own, and surfacing conflicts rather than silently resolving them. |
| **The confidentiality boundary** | Confidentiality protects the **negotiating position**. It never authorizes concealing a material fact about the property. |
| **Reasonable care and diligence** | The duty breached most often, and breachable by carelessness alone with no dishonesty. |
| **What is owed to everyone** | Honesty, fair dealing, and disclosure of material facts. "I don't represent them" answers a different question. |
| **Dual agency** | One brokerage representing both parties — **including through two different salespersons**, because the brokerage is the agent. |
| **Informed written consent** | What dual agency requires from **both** parties, understanding what it means and limits, in writing, **before** the brokerage acts on both sides. |
| **What consent permits** | Representation of both parties. **Not** the movement of either party's confidential position to the other, and a vague answer conveying it is still a disclosure. |
| **Disclose, elect, confirm** | California's three-step agency disclosure, occurring at three different times. |

| Term | Definition |
|---|---|
| **The timing principle** | The disclosure precedes the decision it informs — before the listing is signed, before the buyer signs an offer, and before or when the offer is presented. |
| **Agency confirmation** | The record of the relationship actually elected. A confirmation contradicting the earlier disclosure with no dual agency consent is the most serious ordinary audit finding. |
| **Reasonable supervision** | An affirmative duty discharged by a system: policies, file review, advertising review, trust fund controls, training, and a usable escalation path. |
| **Documenting an improper instruction** | Does **not** transfer responsibility for the act. It documents that you knew. |
| **Negotiable compensation** | Set independently by each brokerage and negotiated with the client. Never standard, customary, or set by an association or listing service. |
| **Source of payment** | Does not determine representation. A buyer's agent paid from the seller's side still represents the buyer. |
| **Conflict of interest** | Any interest that could reasonably influence the licensee's advice. Managed by disclosure that arrives **before** the client relies on the advice. |
| **Referral fee prohibition** | No fee, kickback, or thing of value for referring settlement service business, and no fee split where no services were performed. **Disclosure does not cure it.** |
| **Affiliated business arrangement** | Where the brokerage holds an ownership interest in a provider it refers to. Carries its own disclosure and conditions. |
| **Power versus right to terminate** | A principal generally has the power to revoke; exercising it may still breach the agreement. |
| **Survival of confidentiality** | Confidentiality generally survives the end of the agency — including for a new client and after the property is relisted. |

## Practice problems

### Problem 1

A homeowner and a licensee have talked for five weeks. He advised her on pricing, recommended repairs, and told her what buyers would accept. Nothing is signed and he has not been paid. He now represents a buyer offering on her home and says no agency existed with her.

**Is he right, and what is the consequence?**

> **Solution. He may well be wrong.** Agency can arise **from conduct**, and five weeks of advice she reasonably relied on looks like the conduct of an agent. **Payment is not what creates duties**, and the absence of a signed agreement does not prevent the relationship.

> **The consequence is not merely that he cannot claim a commission.** He may have owed her fiduciary duties throughout, and representing the buyer without disclosure and consent breaches duties actually owed.
>
> **What transfers:** this is precisely why the agency disclosure belongs early rather than at the offer. The relationship may already exist while the consumer is unaware of it — and the licensee frequently is too.

### Problem 2

A seller's agent learns the foundation was underpinned after movement six years ago. The seller says the work was done properly, produces no records, and instructs the agent not to mention it because "it's fixed." Separately, the seller tells her the lowest price he will accept, and the buyer's agent asks her directly what the seller will take.

**Which instruction binds her, and what may she say about the price?**

> **Solution. The two facts fall on opposite sides of the same line, and the line is always in the same place.**
>
> **The foundation must be disclosed.** Confidentiality protects the seller's **negotiating position**, not concealment of a material physical condition — and the adequacy of a repair with no records is exactly what a buyer would want to evaluate. Obedience extends to **lawful** instructions only, so this one cannot be followed. She tells the seller it must be disclosed and why, involves the broker, and does not follow the instruction. Careful silence while avoiding an affirmative false statement is still concealment.
>
> **The lowest price is confidential** and stays confidential. She may say nothing about it without the seller's permission.
>
> **What transfers:** the confidentiality-disclosure boundary is the most consequential line in agency practice, and it resolves the majority of agency questions.

### Problem 3

A brokerage lists a home. A buyer the same brokerage has been working with wants to offer. Both parties sign a dual agency consent. During negotiation the seller privately tells the broker his floor. The buyer asks directly what the seller will accept. The broker considers three answers: telling him, since both are clients; disclosing both sides' limits to keep it balanced; and giving a vague answer that gets the point across.

**Assess each.**

> **Solution. All three breach the duty**, and the third is the one licensees think is safe.
>
> **Consent to dual agency permits the brokerage to represent both parties. It does not convert either party's confidential negotiating position into shared information.**
>
> *Both are clients so both are entitled to what I know* — being a client entitles a party to loyalty about their **own** interests, not to the other client's confidences.
>
> *Disclosing both sides' limits keeps it balanced* — that does not cure the breach, it commits it twice.
>
> *A vague answer* conveying the same information **is still a disclosure.** The form of words does not matter.

> **What the broker may say:** nothing about the seller's floor without the seller's permission. Dual agency is not paralysis — the brokerage can still deliver information, prepare documents, coordinate, disclose material facts, and advise each party on matters not involving the other's confidences. What it cannot do is advocate one negotiating position against the other or move confidences across.

### Problem 4

A buyer's agent presents an offer. The agency disclosure reaches the listing side the following week, after acceptance, and is signed and dated then. The file also contains a confirmation naming the brokerage as buyer's agent, while the listing file shows it as seller's agent, and there is no dual agency consent anywhere.

**Rank the two findings and state the correct response.**

> **Solution. The contradiction is the more serious, and it is different in kind.** It describes the brokerage **acting on both sides without either party's informed written consent** — a breach of duties actually owed, not a documentation failure. In an ordinary residential file audit this is the most serious finding available.
>
> **The late disclosure is second.** It must be provided **before or at the time the offer is presented**, so the seller knows whose interests the presenting agent serves **while evaluating it**. The file now contains a signed disclosure and is still defective: the document exists, the protection it was meant to give does not, because the seller decided without it. **A later signature does not cure lateness.**
>
> **The correct response:** record both findings, escalate to the broker, and obtain anything that legitimately exists. **What must not happen** is creating the consent that was never obtained or re-dating the disclosure. A documented gap is survivable; a manufactured document is falsification.

### Problem 5

A seller wants to cancel her listing two weeks in. The salesperson who took it says he is willing to release her. Separately, the brokerage's manager tells him to leave a square footage error uncorrected because escrow closes in four days, and an unlicensed assistant has been calling expired listings to solicit business, paid $300 per listing obtained.

**Assess all three.**

> **Solution. The listing is not his to release.** It is the **brokerage's contract** with the seller, and cancellation is a broker-level decision governed by the agreement's terms. The same principle determines who owns the file and why a second salesperson would not cure dual agency.
>
> **The manager's instruction must be escalated above him.** A licensee told to conceal a known error escalates to the **responsible broker** — the instruction does not protect her, and following an improper instruction while documenting that it came from someone else **does not transfer responsibility for the act. It documents that she knew.**
>
> **The assistant is performing licensed activity and being compensated for it.** Soliciting listings is licensed activity, and the boundary is **the activity, not the job title.** Unlicensed assistants may perform administrative work; they may not solicit, negotiate, show property, discuss terms, or be compensated for referrals.

> **What ties them together:** reasonable supervision is a system — policies, file review, advertising review, trust fund controls, training, and a usable escalation path. Two of these three failures are supervision failures at the manager level.

### Problem 6

A seller asks why the listing states a negotiated compensation figure rather than "the standard rate." The licensee's brokerage also receives $300 per file from its preferred escrow company, and the licensee's brother owns the home warranty provider she recommends. She plans to mention both after the offer is accepted, noting that clients are always free to use someone else.

**Answer the seller and assess the two arrangements.**

> **Solution. The answer to the seller:** *"Compensation is negotiable between you and our brokerage. There is no standard rate, and no rate set by any association or listing service. Here is what our brokerage charges and what it covers."* Describing a rate as standard or customary is both factually wrong and an antitrust exposure.
>
> **The $300 per file is prohibited, not merely undisclosed.** A licensee may not give or accept a fee, kickback, or thing of value for referring settlement service business, or split a fee where no services were performed — and **disclosure does not cure it.** This is what makes it different from an ordinary conflict, and its resemblance to routine business courtesy is exactly why it catches people.
>
> **The brother's company is a conflict requiring disclosure before the client relies on the advice it affects.** Both of her justifications fail: "free to choose someone else" ignores that a client cannot weigh a recommendation without knowing what the recommender receives, and disclosure after acceptance arrives after the decision it should have informed.

### Problem 7

A listing expires unsold. Six months later the same licensee represents a buyer interested in the property, now listed with another brokerage. He knows the former seller's lowest acceptable price and that she needed to close by a certain date.

**May he use either fact?**

> **Solution. No, to both. Confidentiality generally survives the end of the agency.** He may not use or disclose a former principal's confidential information afterwards — including for a new client, and including after the property is relisted elsewhere.
>
> Her floor and her timeline are both negotiating-position information, protected for the same reason.
>
> **Why the rule takes this shape:** a duty that evaporated when the engagement ended would not be worth having. That is why the obligation is described as **surviving** rather than lapsing.
>
> Worth noting alongside it: **compensation provisions may also survive**, including a protection clause applying to buyers identified to the seller during the term.

### Problem 8

A seller under an exclusive listing tells her agent she is unhappy and wants out. The agent says "you can cancel any time — just let me know." A week later the brokerage sends her an invoice for marketing costs and asserts a compensation claim.

**What was wrong with the agent's statement?**

> **Solution. He conflated the power to terminate with the right to terminate without consequence.**
>
> A principal generally has the **power** to revoke an agency. Exercising it may nonetheless **breach the agreement** and expose the principal to a claim — which is exactly what happened here.
>
> **And the statement was a legal opinion about the agreement's terms**, given confidently by someone not entitled to give it, on which she acted.
>
> **What he should have done:** state that the decision is a broker-level one governed by the agreement's cancellation and compensation terms, escalate to the broker, and — a useful first step — find out what she actually wants. "I want to cancel" often means "nothing is happening and no one is telling me why," which is a communication problem with a different fix.
>
> Agency ends by completion, expiration, mutual agreement, revocation, renunciation, or operation of law. **None of those routes automatically extinguishes what the agreement says about compensation.**

## Chapter summary

**Agency arises by express agreement, by conduct, or by ratification.** Conduct is the route that surprises licensees, and it is why the disclosure belongs early.

**Payment does not create or determine agency.** A buyer's agent paid from the seller's side still represents the buyer.

**Six fiduciary duties — OLD CAR — run to the principal.** Obedience covers lawful instructions only, and reasonable care is the duty most often breached, by carelessness alone.

**Confidentiality protects the negotiating position and never authorizes concealing a material fact.** That single boundary resolves most agency questions.

**Honesty, fair dealing, and disclosure of material facts run to everyone.** "I don't represent them" answers a different question.

**A brokerage is a dual agent when it represents both sides**, including through two salespersons, and it requires informed written consent from both, **before** it acts on both sides.

**Consent permits representation, not disclosure.** Neither party's confidences cross, disclosing both does not balance it, and a vague answer conveying the information is still a disclosure.

**Disclose, elect, confirm — at three different times**, each preceding the decision it informs. A signature after the decision does not cure a late disclosure, and a confirmation contradicting the disclosure with no consent is the most serious ordinary audit finding.

**The brokerage is the agent and the party.** The listing is not the salesperson's to cancel, the file is the brokerage's, and a salesperson may not contract in her own name.

**Supervision is a system, not a manual**, and independent contractor status does not reduce it. Documenting an improper instruction does not transfer responsibility — it documents that you knew.

**Compensation is negotiable and never standard.** Say the sentence correctly.

**Conflicts are managed by disclosure that arrives before reliance** — with one exception: paying or accepting anything of value for a settlement service referral is prohibited outright, and disclosure does not cure it.

**Agency ends six ways, and the power to terminate is not the right to do so without consequence.** Confidentiality, and often compensation provisions, survive the ending.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Identify how any agency relationship arose and with whom, state which fiduciary duties are engaged and by what conduct, locate any confidentiality-versus-disclosure question and resolve it, state what disclosure was required and by when and whether the timing was satisfied, identify any conflict and when it had to be disclosed, state what you would decline to do and why, identify what you would escalate to the broker and what you would refer to counsel, and state the evidence you would create and retain. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

## Applied exercise — 100% required to complete the assignment

**1.** A homeowner has been talking with a licensee for weeks. The licensee has advised her on pricing, recommended repairs, and told her what he thinks a buyer will accept. Nothing has been signed and the licensee has not been paid. The homeowner now discovers the licensee also represents the buyer who made an offer. The licensee says no agency existed with her because there was no written agreement. Is he right?

**A. No — an agency relationship can arise from the parties' conduct, so advising her over weeks may have created duties regardless of any signed agreement or payment, and representing the buyer without disclosure and consent compounds the problem.**

B. Yes — without a written agreement and compensation there is no agency relationship and therefore no duties.

C. Yes — agency requires a signed listing agreement in every case involving residential property.

D. No — but the only consequence is that the licensee cannot claim a commission from the homeowner.

**Answer: A.** Agency can be created by conduct, which is precisely why early disclosure matters: the relationship may already exist while the consumer is unaware of it. Payment is not what creates the duties, and the consequence is not merely a lost commission — undisclosed dual representation breaches duties actually owed.

## Engagement check — 5 items, 80% required

**1.** How may an agency relationship be created?

**A. By express agreement, by the conduct of the parties, or by ratification of acts performed on a principal's behalf.**

B. Only by a written agreement signed by both the principal and the agent.

C. Only by the payment of compensation to the agent.

D. Only by the agent's registration of the relationship with the Department of Real Estate.

**Answer: A.** Express agreement, conduct, and ratification are the recognized routes. Writing and payment are common features of the relationship rather than its only sources, and there is no registration mechanism.

**2.** Which duty does an agent owe to a third party who is not the agent's principal?

**A. Honesty, fair dealing, and disclosure of material facts, but not the loyalty and confidentiality owed to a principal.**

B. The full set of fiduciary duties, identical to those owed to the principal.

C. No duties at all, since the agent represents only the principal.

D. Only the duty to transmit offers accurately.

**Answer: A.** Non-clients are owed honesty, fair dealing, and disclosure of material facts. Fiduciary duties such as loyalty and confidentiality run to the principal alone, but that does not leave third parties without protection.

**3.** What does the duty of confidentiality protect?

**A. The principal's confidential information, such as the lowest price he would accept, which may not be disclosed without authorization.**

B. All information about the property, including its physical condition.

C. The identity of the principal, which may never be disclosed to the other party.

D. The terms of the final contract, which remain private after closing.

**Answer: A.** Confidentiality covers the principal's negotiating position and similar private information. It never extends to concealing material facts about the property, which must be disclosed.

**4.** What is required for lawful dual agency in California?

**A. Informed written consent from both principals, after disclosure of what dual agency means and its limits.**

B. Disclosure to both principals, without any requirement of consent.

C. Consent from the principal who is paying the compensation.

D. Approval by the responsible broker, which substitutes for the principals' consent.

**Answer: A.** Both principals must give informed written consent. Disclosure alone, one party's consent, and internal broker approval are each insufficient.

**5.** How may an agency relationship be terminated?

**A. By completion of the purpose, expiration of the term, mutual agreement, or revocation or renunciation, though termination may have contractual consequences.**

B. Only by the expiration of the written agreement's stated term.

C. Only by mutual written agreement of the principal and the agent.

D. Only by the principal, since the agent may not withdraw from the relationship.

**Answer: A.** Several routes end an agency, and the power to end it is distinct from the right to do so without consequence — an early termination may still breach the contract. Either party may act to end the relationship.

## Remediation set — served only after a failed engagement check

**1.** An agent discovers that his principal has instructed him to conceal a material defect. What controls?

**A. The duty of disclosure to the other party, since the duty of obedience extends only to lawful instructions.**

B. The duty of obedience, since the principal directs the agency.

C. The duty of confidentiality, since the defect is the principal's information.

D. The agent's own judgment about whether the defect would affect the price.

**Answer: A.** Obedience is bounded by legality, and confidentiality protects negotiating position rather than concealment of material facts. The agent's view of the price effect does not determine what must be disclosed.

**2.** A salesperson negotiates a transaction. Whose agent is she, legally speaking?

**A. The broker's, with the broker being the agent of the principal — which is why the brokerage's agency position, not the individual's, defines the relationship.**

B. The principal's directly, with the broker having no agency role.

C. Both the principal's and the broker's, in equal measure.

D. Neither's, since a salesperson acts as an independent intermediary.

**Answer: A.** The broker holds the agency with the principal and the salesperson acts for the broker. This is why a second salesperson in the same office does not eliminate a dual agency question.

**3.** What is the significance of an agent's duty of care?

**A. The agent must exercise the skill and diligence reasonably expected of a competent licensee, which can be breached by carelessness even without dishonesty.**

B. The agent must guarantee a favorable outcome for the principal.

C. The agent must personally inspect and verify every fact affecting the transaction.

D. The agent must follow the principal's instructions exactly, whatever they are.

**Answer: A.** Care is a standard of competent performance, which is why negligence is actionable without any bad intent. It is not a guarantee of results, not unlimited verification, and not the same as obedience.

**4.** An agent receives compensation from the seller while representing the buyer. What is required?

**A. Disclosure of the compensation arrangement to the buyer, since the source of payment does not by itself determine whom the agent represents.**

B. Nothing, since payment by the seller means the agent represents the seller.

C. The buyer must reimburse the seller to preserve the representation.

D. The arrangement is prohibited, because an agent may only be paid by his own principal.

**Answer: A.** Who pays and whom the agent represents are distinct questions, which is exactly why the arrangement must be disclosed. Payment from the other side is permissible with disclosure and does not need to be reimbursed.

**5.** After a listing expires, the former listing agent continues to hold the seller's confidential pricing information. What is his obligation?

**A. The duty of confidentiality generally survives the end of the agency, so he may not use or disclose that information afterward.**

B. The duty ends with the agency, so the information may be used freely.

C. The duty ends unless the listing agreement expressly extends it.

D. The duty continues only until the property is relisted with another brokerage.

**Answer: A.** Confidentiality outlives the relationship, which is what makes it meaningful. It does not depend on an express extension or on what the seller does next.

# Real Estate Principles - Lesson Assignment 08

## Contracts and transaction formation

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Identify the elements required to form a contract and classify contracts by the standard categories.
- Apply the offer, acceptance, and counteroffer rules to determine whether a contract exists and on whose terms.
- Explain consideration, capacity, and legality, and identify what makes a contract void, voidable, or unenforceable.
- State what the Statute of Frauds requires in real estate and identify the recurring exceptions.
- Explain what a contingency does inside a formed contract and how performance obligations are discharged.
- Distinguish the remedies available for breach and explain what a licensee may say about them.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: contract elements and formation | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: consideration, capacity, legality, and the Statute of Frauds | 50 | Sections 3-4 viewed |
| Guided reading: contingencies, performance, and remedies | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Contract elements

### 1.1 The four elements

A contract is an agreement the law will enforce. Four elements are required:

| Element | What it requires |
|---|---|
| **Mutual assent** | An offer and an acceptance — a meeting of the minds on the same terms |
| **Consideration** | Something of value exchanged, or a legally recognized substitute |
| **Capacity** | Parties legally able to contract |
| **Lawful object** | A purpose the law permits |

Where any is missing, the analysis in Section 3 determines whether what exists is void, voidable, or unenforceable — three different outcomes that students routinely merge.

## 1.2 The classifications

Contracts are described along several axes, and the vocabulary appears throughout the transaction.

| Axis | Types |
|---|---|
| **Formation** | **Express** — stated in words. **Implied** — inferred from conduct |
| **Obligation** | **Bilateral** — a promise for a promise. **Unilateral** — a promise for an act |
| **Performance** | **Executory** — something remains to be done. **Executed** — fully performed |
| **Enforceability** | Valid, void, voidable, unenforceable |

## 1.3 Bilateral and unilateral, in practice

**A residential purchase agreement is bilateral.** The buyer promises to buy; the seller promises to sell. Both are bound on formation.

**An open listing or a reward is unilateral.** The offeror promises to pay if someone performs an act; nobody is bound to perform.

**An exclusive right to sell listing is bilateral** — the brokerage promises to market and the seller promises to pay on the terms agreed.

The distinction matters because in a unilateral contract there is no breach by failing to act. Nobody promised to.

## 1.4 Executory and executed

**A purchase agreement is executory** from acceptance until closing. Both parties still owe performance.

**It becomes executed at closing**, when both have fully performed.

The vocabulary trips students because "executed" also colloquially means "signed." In contract classification it means **fully performed**, and a signed but unperformed agreement is executory.

### 1.5 What a licensee's role in contracts actually is

A licensee prepares transaction documents within the scope of the transaction and explains what provisions do in the transaction.

A licensee does **not** advise on legal effect, on rights and remedies, on whether a party may cancel or refuse to perform, or on entitlement to money. The test from Lesson 01 governs: **would answering require a legal conclusion?**

This lesson teaches contract principles so a licensee can recognize what is happening and route it — not so the licensee can advise on it.

### 1.6 Checkpoint

You should be able to name the four elements, classify a purchase agreement on all four axes, and state what "executed" means in classification.

## 2. Offer, acceptance, and counteroffer

### 2.1 The three formation rules

Three rules resolve most questions in practice:

1. **An offer is a proposal that, if accepted without change, forms a contract.**
2. **An acceptance must match the offer.** Any change to a material term is not an acceptance.
3. **Acceptance must be communicated** to the offeror in the manner the offer or the law contemplates.

**The third rule is the one that gets skipped.** A signed acceptance sitting in a drawer, or in a signing platform nobody delivered, has not been communicated — and no contract has formed.

### 2.2 What makes an offer an offer

An offer must show present intent to be bound, be reasonably definite in its terms, and be communicated to the offeree.

Statements that are **not** offers: an invitation to negotiate, an advertisement in the ordinary case, a listing, or a statement of what someone might accept. A listing invites offers; it is not one.

### 2.3 The counteroffer

The single most misunderstood formation rule, and it is worth stating in full:

> **A counteroffer rejects the original offer and substitutes a new one. The original can no longer be accepted unless it is renewed.**

Two consequences licensees regularly get wrong:

- It is **not** an "acceptance with modifications" forming a contract on the counterofferor's terms.
- It does **not** suspend the original offer, leaving it available if the counteroffer is rejected. **The original is gone.**

And it works in both directions. **A party who signs a counteroffer but writes a change on it before returning it has made a further counteroffer**, however small the change. Signing does not convert a modification into an acceptance.

## 2.4 Revocation, rejection, lapse, and death

An offer can end without ever being accepted:

| Method | Effect |
|---|---|
| **Revocation** | The offeror withdraws it **before acceptance** — generally permitted even where the offer states a deadline, unless supported by consideration as an option |
| **Rejection** | The offeree declines; a counteroffer is a rejection |
| **Lapse** | The stated time expires, or a reasonable time passes where none is stated |
| **Death or incapacity** | Of either party, before acceptance, generally terminates the offer |

**The revocation rule surprises people in both directions.** A buyer's offer stated to be open until Friday can be withdrawn Wednesday, and a buyer relying on the deadline should know that. A seller intending to accept should not assume the offer will still be there.

## 2.5 The option

An **option** is a contract in which the optionor gives the optionee the right to buy on stated terms within a stated time, supported by consideration.

The difference from an ordinary offer is precisely that consideration makes it **irrevocable** for the period. That is what the optionee paid for.

An option is generally unilateral in the sense that the optionee is not obligated to exercise it — but the option contract itself binds the optionor.

## 2.6 Electronic signature and delivery

Electronic signature is ordinary in California residential practice. Two points matter:

**Delivery still has to happen and still has to be evidenced.** An executed document in a signing platform that no one delivered has not been delivered, and the platform's audit trail is frequently the best evidence of when it was.

**The contract's own notice provisions govern** what constitutes delivery for a communication carrying legal effect. Delivery by a method the contract does not authorize may not count.

## 2.7 Checkpoint

You should be able to trace a sequence of signed documents and say at which point, if any, a contract formed and on whose terms.

# 3. Consideration, capacity, and legality

## 3.1 Consideration

**Consideration** is what each party gives in exchange — a benefit conferred or a detriment incurred. It is what distinguishes a contract from a gift promise.

Points that recur:

**Adequacy is generally not examined.** Courts do not ordinarily weigh whether the price was a good deal. Gross inadequacy may be evidence of something else — fraud, duress, or incapacity — but by itself it is not a defect.

**Past consideration is generally not consideration.** A promise to pay for something already done, with nothing new exchanged, is generally not enforceable as a contract.

**Forbearance can be consideration.** Agreeing not to do something you have a right to do can support a promise.

## 3.2 Capacity

Parties must be legally able to contract. The recurring categories:

| Category | Effect |
|---|---|
| **Minors** | Contracts of a minor are generally **voidable by the minor** |
| **Mental incapacity** | Depending on the circumstances, a contract may be voidable, or void where a guardianship or conservatorship applies |
| **Entities** | Capacity depends on existence and on internal authorization |

**A licensee's practical concern is authority, not diagnosis.** A licensee does not assess mental capacity. Where a party's capacity is genuinely in question, the licensee's role is to stop, escalate to the broker, and route it to counsel — never to proceed on the theory that the person seemed fine, and never to characterize a person's capacity in the file.

## 3.3 Lawful object

A contract for an unlawful purpose is not enforceable, and a contract can be unlawful in part.

Two forms recur in real estate:

**Contracts to accomplish an unlawful act** — an agreement to conceal a material defect, or to discriminate in the sale or rental of housing.

**Provisions the law will not enforce** — a lease clause purporting to waive the habitability obligation, or a restriction that discriminates on a protected basis. The provision fails whether or not both parties agreed to it.

## 3.4 Void, voidable, and unenforceable

Three outcomes students merge, with three different consequences.

| | What it means | Example |
|---|---|---|
| **Void** | No contract exists and never did. Nobody can enforce it | An agreement for an unlawful purpose |
| **Voidable** | A valid contract that one party may **elect** to avoid | A minor's contract; one induced by fraud or duress |
| **Unenforceable** | A contract the court will not enforce, though it may have other effects | An oral agreement within the Statute of Frauds |

**The critical distinction is between void and voidable.** A voidable contract is valid and binding until the party entitled to avoid it does so — and that party may instead choose to affirm it. A void agreement was never a contract at all.

### 3.5 Defects in assent

Even where the four elements appear present, assent can be defective:

**Fraud** — a knowing misstatement or concealment of a material fact, intended to be relied on and relied on.

**Misrepresentation** — including negligent misrepresentation, made without reasonable basis or care. Most claims against licensees are here rather than in fraud.

**Duress and undue influence** — coercion, or improper pressure exploiting a relationship of trust or a party's weakness.

**Mistake** — mutual mistake about a material fact may affect a contract; a unilateral mistake generally does not, with exceptions.

**Whether any of these applies is a legal conclusion.** A licensee who recognizes the pattern escalates and refers; a licensee who tells a client "you were defrauded, you can get out of this" has practiced law and may be wrong.

### 3.6 Checkpoint

You should be able to distinguish void from voidable and state the practical difference, and explain what a licensee does when capacity is in question.

## 4. Statute of Frauds

### 4.1 The requirement

The **Statute of Frauds** requires certain contracts to be in writing and signed by the party to be charged in order to be enforceable.

In real estate the categories that matter:

- **Contracts for the sale of real property or an interest in it.**
- **Leases exceeding one year.**

- **Agreements to pay compensation for services in connection with the sale or purchase of real property** — the reason a listing agreement's compensation provision is written.
- **Agreements not to be performed within one year.**

### 4.2 What "in writing" requires

The writing must generally identify the parties, describe the property, state the price or the method of determining it, and reflect the essential terms — signed by the party against whom enforcement is sought.

**It need not be a single elegant document** in every case; the essential point is a signed writing containing the essential terms. But a transaction assembled from fragments is a transaction in trouble, which is why practice uses a complete written agreement.

### 4.3 The consequence of non-compliance

An oral agreement within the statute is **unenforceable**, not void. That distinction has consequences: the agreement may have other effects, a party may perform voluntarily, and doctrines exist under which a court may enforce despite the absence of a writing.

**Part performance** is the recurring one: where a buyer has taken possession, paid, and made improvements in reliance, a court may enforce an oral agreement. **Estoppel** doctrines may operate similarly where one party relied to their detriment.

These are legal doctrines with requirements. A licensee should know they exist — so as not to tell a client that an oral agreement is worthless — and should route the question rather than answering it.

### 4.4 Why this matters to a licensee daily

Because the practical rule that flows from it is one licensees violate constantly:

> **Every agreement affecting the transaction goes in a signed writing.**

An extension of the closing date, a change to what conveys, an agreed repair, a price adjustment — each is a **change to a term of the contract**, made by written amendment signed by both parties and delivered to escrow.

**What does not change a contract:** an email between the agents, a verbal agreement between the parties, an instruction to escrow alone, or a shared understanding that a short extension "won't matter."

> The parties agree during escrow to move closing by a week. The agents confirm by email. Escrow is told. No amendment is signed.
>
> If the transaction later fails, **the parties are litigating on a contract whose closing date is the original one**, with an email chain between non-parties as the evidence of a change.

### 4.5 Oral agreements that are enforceable

Not everything must be written. Many agreements are enforceable orally, including agreements outside the statute's categories and short leases. The professional practice of writing everything down is a **risk practice**, not a legal requirement in every case — and it is worth doing precisely because the boundary is not obvious in the moment.

## 4.7 The statute of frauds, and the sentence that matters

Section 4.1 said that contracts for the sale of real property must be in writing. **Civil Code § 1624** is where that comes from, and the operative subdivision is worth reading exactly because its structure is unusual: it is a list of contracts that are *invalid* unless written.

> *"(a) The following contracts are invalid, unless they, or some note or memorandum thereof, are in writing and subscribed by the party to be charged or by the party's agent:"*

**Three phrases carry the whole doctrine.**

**"Or some note or memorandum thereof."** The statute does not require a contract; it requires a writing sufficient to evidence one. A signed memorandum recording the essential terms can satisfy it even where no formal agreement was ever drawn.

**"Subscribed by the party to be charged."** Only the party being sued needs to have signed. A writing signed by the seller and not the buyer can be enforced *against the seller*. **This asymmetry is the most frequently misremembered feature of the statute** — licensees commonly believe both signatures are required for any enforceability, and the section says otherwise.

**"Or by the party's agent."** An agent may subscribe — which raises the immediate question of the agent's own authority, and the statute answers it in the same breath for real property: an agent's authority to sign a contract for the sale of real property must itself be in writing. **A licensee has no authority to sign a purchase agreement for a client from an oral instruction**, however clear that instruction was.

**Among the contracts listed** are agreements that by their terms cannot be performed within a year; agreements for the sale of real property, or of an interest in it; leases for longer than a year; and — the one that pays licensees' wages — an agreement **authorising or employing an agent or broker to purchase or sell real estate for compensation or a commission**.

**That last one deserves its own sentence.** A listing agreement is inside the statute of frauds. **An oral listing is not an enforceable listing**, and a broker who works on a handshake and then sues for a commission is suing on a contract the Civil Code declares invalid.

## 4.8 What "invalid" means, and what it does not

**It does not mean nothing happened.** A contract inside the statute and not in writing is generally unenforceable rather than void in every sense; performance already rendered, restitution, and doctrines that operate outside the statute may still matter. **This is exactly where a licensee stops and counsel starts.**

**It does mean the writing is the thing to produce.** In any dispute about whether there is a deal, the first question is what writing exists and who signed it. A licensee's practical contribution is to make sure that a writing exists and is signed at the moment agreement is reached, rather than to reason about doctrine afterwards.

**Electronic signatures are writings.** California's Uniform Electronic Transactions Act treats a record or signature in electronic form as satisfying a writing requirement where the parties have agreed to transact electronically. **This course does not read that act in its own text**, and no rule about its scope, its exclusions, or its consent requirements

is taken from it here. What matters at Principles level is that "in writing" has not meant "on paper" for a long time, and that the licensee's obligation is to obtain and preserve the record either way.

## 4.9 Three worked problems

> **One.** A seller and buyer agree terms by telephone. The buyer's agent emails the seller's agent a summary of the terms; the seller's agent replies "Confirmed, my seller agrees." Two days later the seller accepts a higher offer.

**The question is whether a note or memorandum subscribed by the party to be charged exists.** The party to be charged is the seller. The writing is an email from the seller's *agent*, and an agent's authority to bind a seller to a sale of real property must itself be in writing. **A buyer in this position has a genuine dispute and not an obvious win**, and the resolution is a lawyer's, not a licensee's. What the licensee should take from it: **the reply email is not the contract, and treating it as one leads a client into a fight.**

> **Two.** A broker takes a listing orally, markets the property for six weeks, produces the buyer, and the property sells. The seller declines to pay a commission.

**The agreement employing a broker to sell real estate for a commission is inside § 1624.** An oral listing is not an enforceable listing. The broker has done the work and has no written contract. **This is the least sympathetic and most avoidable loss in the business**, and it is prevented by a signature at the beginning rather than an argument at the end.

> **Three.** A tenant and landlord orally agree to a three-year lease at a fixed rent. The tenant moves in and pays for four months. The landlord then demands a higher rent.

**A lease for longer than a year is inside the statute.** An oral three-year lease is not enforceable as a three-year lease. What the tenancy *is* instead — and what the four months of accepted rent established — is a question with a real answer that is outside this course. **The licensee's role is to have papered the lease**, and, having failed to, to route the parties to counsel rather than to advise either of them about what they now have.

## 4.10 The practical rule this reduces to

**Get it in writing at the moment of agreement, signed by everyone, and keep the record.**

That single sentence disposes of § 1624 in practice. Every worked problem above is a problem only because somebody deferred a signature — by a phone call, by an email, by a handshake — and the deferral is always for the same reason, which is that asking for a signature feels like doubting the other person's word.

**It is not doubting their word. It is the statute's requirement**, and a licensee who explains it that way — *"the Civil Code requires this in writing; it protects both of you"* — will almost never meet resistance.

## 4.11 Checkpoint

You should be able to state which real estate agreements must be written, explain why an oral agreement is unenforceable rather than void, and state what actually amends a contract.

# 5. Contingencies and performance

## 5.1 What a contingency is

A **contingency** conditions a party's obligation on a defined event or approval, **inside a contract that has already been formed.**

Three things it is not:

- It does not delay formation. **The contract exists.**
- It is not a general right to cancel for any reason.
- It does not transfer the underlying responsibility to the other party.

## 5.2 The common residential contingencies

| Contingency | What it protects |
|---|---|
| **Investigation / inspection** | The buyer's ability to evaluate condition |
| **Loan** | The buyer's ability to obtain the financing described |
| **Appraisal** | The buyer's exposure if value does not support the price |
| **Sale of buyer's property** | The buyer's dependence on another closing |
| **Review of documents** | Time to review disclosures, reports, association documents |
| **Title review** | The buyer's ability to evaluate title exceptions |

## 5.3 How removal actually works

The single most misunderstood mechanic in California residential practice:

> **Under the standard California residential purchase agreement form, contingencies remain in effect until the buyer removes them in writing. They do not expire automatically when the date passes.**

Consequences:

- A buyer who lets the date pass without delivering a removal has **not** removed the contingency.
- A seller cannot treat the transaction as firm merely because the date passed.
- The seller's route is to deliver **the notice the contract requires**, giving the buyer a defined period to act, after which the seller may cancel per the contract.

**The habit is more durable than the rule: read the contract's own removal mechanism.** Different forms and negotiated terms can operate differently, and the contract in front of you governs.

## 5.4 Time and performance

Nearly every obligation carries a date or a period, and those are **terms of the contract** rather than administrative targets.

Contracts define how time is counted, and the definitions vary: calendar days versus business days, whether the triggering day counts, when a period ending on a weekend or holiday rolls, and what time of day a deadline falls. **Read the definitions in the contract in front of you.** A licensee who assumes and is wrong by one day has cost a client a right.

## 5.5 Discharge of obligations

A contractual obligation can end several ways:

| Method | How |
|---|---|
| **Performance** | The obligation is carried out |
| **Substantial performance** | Performance falling short in a minor respect may discharge the obligation, subject to an allowance |
| **Agreement** | The parties release, rescind, or substitute — including **novation**, where a new party or contract is substituted with consent |
| **Impossibility** | Performance becomes objectively impossible |
| **Operation of law** | Including the running of limitations periods |
| **Breach by the other party** | Which may excuse further performance |

**Assignment and novation are worth distinguishing.** Assignment transfers rights, and the assignor may remain liable. Novation substitutes a party with all parties' consent and generally releases the original. A seller who "let the buyer assign" and assumes he is released has assumed a novation he did not obtain.

## 5.6 Waiver

A party may waive a contract right — a contingency, a condition, a requirement. Two points the client must understand:

1. **Waiving the contingency removes the contractual path to act**, not the ability to investigate. A buyer may still inspect; he simply has no contractual route to respond to what he finds.
2. **The exposure is concrete.** Where an appraisal contingency is waived and the appraisal is low, the buyer's options narrow to bringing funds, renegotiating without leverage, or defaulting with his deposit exposed.

**The licensee's obligation is to put that in writing before the buyer decides, then follow the decision.** Both failure modes are wrong: refusing to write what the client instructs overstates the licensee's role; writing it without comment abandons the advisory duty.

## 5.8 Contingencies as a sequence, not a list

Section 5.2 named the common contingencies. What makes them work — or fail — is that they run on a clock, in an order, and each one's removal forecloses a route out.

| Contingency | What it protects | What must happen inside it |
|---|---|---|
| **Inspection / investigation** | The buyer's ability to discover condition | Inspections ordered, performed, read; specialists engaged; a request for repairs if any |
| **Appraisal** | The buyer against paying above the lender's supported value | Appraisal ordered by the lender, performed, delivered |
| **Loan** | The buyer against being obliged to buy without financing | Application complete, underwriting cleared, conditions satisfied |
| **Title** | The buyer against unacceptable exceptions | Preliminary report read, exception documents obtained and reviewed |
| **Sale of buyer's property** | The buyer whose funds are in another house | That property in contract and progressing |
| **Common interest documents** | The buyer buying into an association | Documents received and read, budget and minutes included |

**The dependency that trips people.** The appraisal usually cannot be ordered until the loan application is in and the lender orders it; the loan cannot clear until the appraisal is back; **and the appraisal contingency and the loan contingency often expire on the same day.** A buyer who applies late has compressed two dependent processes into the tail of one period.

**The sequencing rule that prevents most of it: order everything on day one.** Inspections, the association documents, the insurance quote, the title exception instruments. Nothing about a contingency period requires waiting to see whether the inspection goes well before ordering the documents.

## 5.9 Removing a contingency, and what it costs

**Removal is a decision, not an expiry.** In the California residential form the buyer removes contingencies actively, in writing; a passive lapse is not the same thing and the seller's remedy for a buyer who has not removed is to serve notice.

**What removal costs the buyer:** the deposit. Once contingencies are removed, a buyer who does not close is exposed to the liquidated damages clause Assignment 08 Section 6.13 describes. **Removing the loan contingency before the loan is actually approved is putting the deposit behind an underwriter's decision the buyer does not control.**

**Three removals that are commonly made too early, and the question each one should be asked with.**

**The inspection contingency, before specialists have reported.** A general inspector who recommends a roofer, a structural engineer and a sewer camera has not completed the investigation — they have identified who must. **Removing before those reports arrive removes the contingency on the basis of the report that said more**

**information was needed.**

**The loan contingency, on a pre-approval.** A pre-approval is an underwriting opinion on stated facts. **A loan is approved when the lender says the loan is approved**, in writing, with conditions cleared.

**The appraisal contingency, before the appraisal is read.** A verbal "it came in at value" is a statement about a document nobody has seen.

**A worked timeline.**

> 17-day inspection contingency, 21-day loan and appraisal. Day 1 acceptance. The buyer schedules the general inspection for day 9, because that is when the inspector is available.

**Day 9 has already lost the transaction its margin.** A general inspection on day 9 produces a report on day 10 or 11; specialist referrals are scheduled for days 13 to 16; their reports arrive on day 17 or later. **The contingency expires with the specialist reports unread.**

**What day 1 should have looked like:** general inspection booked for day 2 or 3 with two inspectors called; association documents ordered; insurance quote requested; title exception instruments requested; loan application submitted the same day. **The buyer's options at day 17 are entirely determined by what was ordered on day 1**, and the licensee is the only person in the transaction whose job that is.

### 5.10 Checkpoint

You should be able to explain what a contingency does inside a formed contract, state how removal works under the standard form, and distinguish assignment from novation.

## 6. Breach, rescission, and remedies

### 6.1 What breach is

A **breach** is a failure to perform a contractual obligation without a legal excuse. A **material breach** goes to the essence of the bargain and may excuse the other party's further performance; a minor breach generally does not.

Whether a given failure is material is a legal question, and it is one clients ask licensees constantly.

### 6.2 The remedies

| Remedy | What it is |
|---|---|
| **Damages** | Money compensating the injured party |
| **Specific performance** | A court order requiring the actual performance promised |
| **Rescission** | Unwinding the contract and restoring the parties to their prior positions |
| **Liquidated damages** | An amount the parties agreed in advance would be the recovery on default |
| **Reformation** | Correcting a writing to reflect what the parties actually agreed |

## 6.3 Specific performance and why real estate is different

**Specific performance is available for real property in a way it is not for most goods**, and the reason traces to Lesson 01: **uniqueness.** No two parcels occupy the same location, so damages may not make a buyer whole — only the parcel will.

This is the clearest example in the course of a legal rule flowing directly from a physical characteristic of land.

## 6.4 Liquidated damages

Where the parties agree in advance that a specified amount — commonly the deposit, subject to limits — will be the seller's recovery on the buyer's default, that is a **liquidated damages** provision.

Three points:

- **It must be properly agreed**, which typically requires specific formalities.
- **Its enforceability is constrained by law.** It is not a penalty the seller may simply impose.
- **It generally limits the recovery** rather than adding to it.

## 6.5 Rescission

Rescission unwinds the contract, and it typically requires **restoration** — each party giving back what they received. It is available on grounds including fraud, mistake, duress, undue influence, and failure of consideration, and it is sometimes available by agreement.

A licensee should recognize that rescission is a remedy with requirements, not a synonym for cancellation. **Cancelling under a contract's own contingency provision is not rescission**; it is performing the contract according to its terms.

## 6.6 What the licensee must not do

This section produces more improper legal advice than any other in the course, because the questions arrive in emotional moments.

**Must not:**

- Tell a party whether they may cancel, rescind, or refuse to perform.
- Tell a party whether they are entitled to the deposit.
- Characterize a breach as material or minor.
- Predict what a court would do.
- Advise a party to stop performing.
- Instruct escrow on a party's behalf, or attempt to resolve a dispute between the parties.

**Must:**

- Explain the mechanism — that escrow acts only on mutual written instructions, that the contract has a cancellation procedure, that the deposit is held pending resolution.
- Follow the contract's procedures for any notice the licensee's client wishes to give.

- Document communications and their dates.
- Escalate to the broker and recommend counsel, before any deadline passes.

> **A buyer whose loan is denied asks whether he gets his deposit back.**
>
> **Correct:** "That's a legal question and I can't answer it. What I can tell you is the mechanism: the contract has a cancellation procedure with a written notice requirement, escrow can only act on instructions both parties sign, and if you disagree the deposit stays put until it's resolved. Let's get the notice right and get you an answer from an attorney before the date runs."

### 6.7 Cancellation is a procedure

Cancellation is accomplished by exercising a right the contract provides, following the procedure the contract specifies. It is **not** accomplished by announcing an intention, by ceasing to perform, or by instructing escrow.

What forfeits a contingency's protection: notifying the other agent verbally, instructing escrow unilaterally to return the deposit, or simply ceasing to perform and letting the other party cancel for non-performance — which is a materially worse position.

### 6.8 What actually prevents disputes

Most transaction disputes are not about substance. They are about **whether something was delivered, to whom, and when** — which is why the practices that prevent them are documentary:

1. Build the deadline calendar from the contract and share it in writing.
2. Deliver notices by the authorized method and keep the evidence.
3. Confirm materially important conversations in writing.
4. Amend in writing, signed, and deliver to escrow.
5. Correct errors immediately, in writing, to everyone who received the original.
6. Keep superseded drafts, so the sequence of versions shows how terms changed.
7. Audit the file at closing while memories are fresh.

### 6.9 The contract questions a licensee must route

This lesson describes contract law because a licensee works with contracts daily. **It does not qualify him to answer questions about them**, and the boundary is harder here than anywhere else in the course, because the questions arrive constantly and they sound like transaction questions.

| The question | Why it routes |
|---|---|
| "Is this contract still enforceable?" | **Enforceability is the legal conclusion**, and it depends on facts and law rather than on the document's appearance |
| "Did they breach?" | A legal characterization with consequences attached to it |
| "Can I cancel and get my deposit back?" | Two legal questions — the right to cancel and the disposition of the deposit |
| "What are my damages?" | Section 6.1's territory, and none of it is the licensee's |
| "Does the liquidated damages clause apply here?" | Section 6.4 explains the concept; **whether it operates on these facts is counsel's** |
| "Can I sue for specific performance?" | Section 6.3 explains why the remedy exists; **whether to pursue it is legal advice** |
| "Is this counteroffer still open?" | Formation and revocation, applied to facts — the practice course's worked formation problem shows how quickly this gets hard |
| "Was that email an acceptance?" | Same |
| "Can I add a clause saying they'll pay if the appraisal is low?" | **Drafting a provision that alters rights.** Section 4.1 of Lesson 01 |
| "They signed but wrote a note in the margin — what does that do?" | Formation, again, and the answer is genuinely uncertain |
| "Do I have to disclose that the last deal fell through?" | A disclosure question with a legal answer |

**What the licensee can do with every one of these**, and it is substantial:

1. **Explain what the document provides for procedurally** — what step comes next, what the deadline is, what the form requires.
2. **Identify that a legal question exists**, which is a service most clients cannot perform for themselves.
3. **Recommend counsel in writing, with a date**, before the deadline that makes the answer moot.
4. **Preserve the facts** — the dates, the communications, the sequence — so that counsel is answering from a record rather than from recollection.
5. **Escalate to the broker**, who decides what the brokerage does.

> **The distinction that makes this workable.** "Your contingency period ends Friday at 5" is a fact about the document. **"Your contingency protects you if you cancel Friday" is a legal opinion about your rights**, and the two sentences are one word apart.

**And the reason the boundary is protective rather than restrictive.** Section 4.3 of Lesson 01 makes the general point; here it is specific. **A licensee who answers a contract question and is wrong has caused a loss he is answerable for**, on a subject where he had no authority to speak and where the client had a right to a qualified answer. **The referral costs nothing and transfers the question to the person who can answer it.**

## 6.10 What actually goes wrong in formation

The elements in Section 1 and the mechanics in Section 2 describe how a contract forms. **Real transactions fail formation in a small number of recognizable ways**, and each is prevented by a habit rather than by knowledge.

| The failure | What happened | The habit that prevents it |
|---|---|---|
| **Acceptance not communicated** | A signature exists; nothing shows it reached the offeror before expiration | Transmit and confirm receipt the moment a document is signed |
| **Signed after expiration** | The offer lapsed before the signature | Calendar every expiration, on both sides |
| **A counteroffer treated as an acceptance** | A term was changed; the original offer is terminated and a new one exists | Read what was returned rather than assuming it came back the way it went out |
| **Two documents both signed** | An offer and a counteroffer both executed, in an unclear order | One live document at a time, and the sequence dated |
| **A term left blank** | Filled in later, by someone, off the page | Never transmit an incomplete document, and never complete one after signature |
| **An oral agreement to change a term** | Section 4's problem, and the operative document still says the original | Same-day written amendment, without exception |
| **Delivery to the wrong person** | Sent to a party rather than through the agreed channel, or to an address never consented to | Use the transmission method the agreement specifies, and evidence it |
| **Signature by someone without authority** | A co-owner, a trustee, an entity signatory, or an attorney-in-fact whose authority was assumed | Lesson 03's intake questions, asked before the offer |
| **A margin note** | An annotation on a signed page that may or may not be a change of terms | Anything that changes a term goes in an amendment, not in a margin |

**Two of these deserve emphasis because they recur most.**

**Communication of acceptance.** Formation turns on it, and licensees consistently treat the signature as the event. **A signed acceptance in an outbox has not formed a contract**, and the practice course's worked formation problem shows how quickly that fact becomes consequential when circumstances change in the intervening hour.

**The incomplete document.** A blank in a material term is not a formality. **The document the party signed is not the document in the file**, and no explanation of good intent survives that fact.

> **What a licensee should take from this section.** Section 6.9 establishes that the legal questions route to counsel. **This table is not legal analysis — it is a list of operational habits**, and every one of them is performed by the licensee rather than by anyone else in the transaction. **The contract questions belong to counsel; the reasons counsel gets called usually belong to the file.**

## 6.11 What a licensee actually does with contract law

This lesson is the longest legal treatment in the course, and its practical yield is smaller and more specific than students expect.

**It does not qualify a licensee to advise on contracts.** Section 6.9 lists what routes.

**What it does is make four things possible.**

**One: recognizing that a legal question exists.** A client asks something that sounds procedural and is not. **A licensee who has studied formation, capacity, the Statute of Frauds, and remedies will notice** — and noticing is the whole service, because a client who does not know he needs counsel will not call one.

**Two: performing the operational work correctly.** Section 6.10's table is entirely operational: transmitting, confirming, calendaring, refusing to send an incomplete document, reducing agreements to writing the same day. **None of that requires legal judgment and all of it prevents legal problems.**

**Three: preserving the facts an answer will depend on.** When a contract question does arise, its answer turns on dates, sequence, what was communicated, and what each party received. **A licensee who has kept that record has given counsel something to work with; one who has not has given counsel four recollections.**

**Four: explaining the document's own terms without characterizing their effect.** "Your contingency period ends Friday at five, and here is what the agreement says the removal has to look like" is a service. **"You're protected until Friday" is an opinion about rights.** The two sentences are close, and the distance between them is the entire boundary.

**The three habits that carry most of the value:**

1. **Everything material in writing, the same day.**
2. **Every deadline in a system**, counted from the event the agreement names rather than from the day everyone remembers.
3. **Every transmission evidenced**, because formation and performance both turn on communication rather than on signature.

> **The test of whether this lesson worked.** Not whether a student can recite the elements — **but whether, handed a real situation, he can say which parts are his to handle, which parts are counsel's, and what the file needs to show either way.** Those three judgments are what the lesson was for, and they are what a first year in practice will ask for repeatedly.

## 6.13 Damages, specific performance, and liquidated damages compared

Section 6.4 named the remedies. This section sets them against each other, because a client's real question is always "what do I actually get."

| Remedy | What it gives | When it is realistic |
|---|---|---|
| **Compensatory damages** | Money to put the injured party where performance would have | Whenever loss can be proved. The usual remedy |
| **Specific performance** | A court order to convey the property | **Real property only, in practice** — because each parcel is treated as unique, money is presumed inadequate |
| **Liquidated damages** | The agreed sum, without proving actual loss | Where the clause was properly formed and initialled |
| **Rescission and restitution** | Unwinding; each party returns what they received | Fraud, mutual mistake, failure of consideration |

**Specific performance is the remedy that distinguishes real property.** A buyer of a car who is refused delivery buys another car and sues for the difference. A buyer of a particular house cannot, because there is no other identical house. **The uniqueness of land is not sentiment; it is the doctrinal reason the remedy exists.**

**Liquidated damages solve a problem that money damages create.** A seller whose buyer defaults must otherwise prove what the breach cost — carrying costs, a lower resale price, time on market — which is expensive and uncertain. A liquidated damages clause fixes the number in advance. In California residential purchase agreements the clause is separately initialled, and **that separate initialling is not a formality**: it is the parties' evidence that they agreed to the substitution rather than absorbing it in the boilerplate.

**What a licensee must not do with any of this.** Tell a client what they will recover. **Every row in that table is a legal conclusion**, and each depends on facts a licensee has not verified and doctrines a licensee has not studied.

## 6.14 A worked breach, four ways

> A buyer and seller sign a purchase agreement at $880,000 with a $26,400 deposit and an initialled liquidated damages clause. The buyer removes all contingencies. Two weeks before closing, the buyer's circumstances change and the buyer refuses to close. The seller relists and sells four months later for $845,000, having carried the property at $4,200 a month.

**If the seller pursues actual damages.** The measurable loss is roughly $35,000 in price plus about $16,800 in carrying costs — call it **$51,800** — less anything the seller saved. The seller must **prove** each element, and the buyer will contest the resale price, the marketing, and whether the carrying costs were avoidable.

**If the seller relies on liquidated damages.** The seller takes the **$26,400** deposit and proves nothing. That is roughly half the arguable loss, and it is available immediately and without litigation.

**Which is better is not obvious**, and it is exactly the sort of judgment that belongs to the seller with counsel's advice. The licensee's contribution is to make sure the seller understands there is a choice, and to say nothing about which way it should go.

**If the buyer sues for return of the deposit**, arguing the clause is unenforceable — the analysis turns on how the clause was formed and on statutory limits applicable to residential purchases. **A licensee has no view on this.**

**If the seller had wanted the buyer to complete**, specific performance would in principle be available to a seller as well as to a buyer, though it is far less commonly pursued: a seller usually wants money and another buyer, not a decree compelling a reluctant purchaser to take a house.

**The single most useful thing a licensee can do in this scenario happens before any of it** — making sure the liquidated damages clause was properly initialled at signing. A clause not initialled is a remedy the seller does not have, and discovering that at the moment of breach is discovering it too late.

## 6.15 Checkpoint

You should be able to name the remedies, explain why specific performance is available for real property, and give the correct answer to a client asking about a deposit.

## Key terms

| Term | Definition |
|---|---|
| **The four elements** | Mutual assent, consideration, capacity, and lawful object. |
| **Express / implied** | Stated in words, or inferred from conduct. |
| **Bilateral / unilateral** | A promise for a promise, or a promise for an act. A purchase agreement is bilateral; an open listing is unilateral. |
| **Executory / executed** | Something remains to be done, or fully performed. **"Executed" in classification means performed, not signed.** |
| **Offer** | A proposal showing present intent to be bound, reasonably definite, and communicated. A listing invites offers; it is not one. |
| **Mirror-image acceptance** | An acceptance must match the offer; any change to a material term is not an acceptance. |
| **Communication of acceptance** | The rule most often skipped. A signed acceptance nobody delivered has not been communicated. |
| **Counteroffer** | A **rejection** of the original offer and the substitution of a new one. The original is gone, not suspended — including where the change is handwritten on a signed form. |
| **Revocation** | Withdrawal before acceptance, generally permitted even where the offer states a deadline. |
| **Option** | A contract making an offer **irrevocable** for a period, supported by consideration. |
| **Consideration** | Value exchanged. Adequacy is generally not examined; past consideration generally is not consideration; forbearance can be. |
| **Capacity** | The legal ability to contract. A licensee's concern is **authority, not diagnosis** — where capacity is in question, stop, escalate, and refer. |
| **Lawful object** | A purpose the law permits. Provisions the law will not enforce fail whether or not both parties agreed. |
| **Void** | No contract exists and never did. |
| **Voidable** | A valid contract one party may **elect** to avoid — and may instead affirm. |
| **Unenforceable** | A contract a court will not enforce, though it may have other effects. |
| **Fraud / negligent misrepresentation** | A knowing misstatement intended to be relied on; or a statement made without reasonable basis or care. Most claims against licensees are the second. |
| **Statute of Frauds** | The requirement that certain contracts be in writing and signed by the party to be charged — including sales of real property, leases over one year, and compensation agreements. |
| **Part performance** | A doctrine under which a court may enforce an oral agreement where a party took possession, paid, and improved in reliance. |

| Term | Definition |
|---|---|
| **Written amendment** | The only thing that changes a contract term. Agent emails, verbal agreements, and escrow instructions alone change nothing. |
| **Contingency** | A condition on a party's obligation **inside a formed contract** — not a delay of formation, not a general right to cancel. |
| **Written removal** | How contingencies end under the standard California form. A passed date removes nothing; the seller's route is the contractual notice. |
| **Assignment** | Transfer of contract rights, with the assignor frequently remaining liable. |
| **Novation** | Substitution of a party or contract with all parties' consent, generally releasing the original. |
| **Waiver** | Giving up a contract right. Removes the contractual path to act, not the ability to investigate. |
| **Material breach** | A failure going to the essence of the bargain, which may excuse further performance. Whether a breach is material is a **legal question**. |
| **Specific performance** | A court order requiring the promised performance. Available for real property because of **uniqueness**. |
| **Liquidated damages** | An amount agreed in advance as the recovery on default. Must be properly agreed, is constrained by law, and generally limits rather than adds. |
| **Rescission** | Unwinding the contract with restoration. **Not a synonym for cancellation** under a contingency. |
| **Cancellation** | Exercising a right the contract provides, by the procedure it specifies. Not accomplished by announcing, ceasing to perform, or instructing escrow. |

## Practice problems

### Problem 1

Classify a residential purchase agreement on all four axes at the moment of acceptance. Then classify an open listing offering compensation to whoever produces a buyer.

**Answer.**

> **Solution. The purchase agreement at acceptance: express** — stated in words; **bilateral** — the buyer promises to buy and the seller promises to sell, and both are bound on formation; **executory** — both still owe performance until closing; and **valid**, assuming the four elements are present.
>
> It becomes **executed** at closing, when both have fully performed. The vocabulary trips students because "executed" colloquially means signed — in classification it means **fully performed**, so a signed but unperformed agreement is executory.
>
> **The open listing is unilateral** — a promise to pay if someone performs an act. Nobody is bound to perform, and therefore **nobody breaches by not performing.** An exclusive right to sell listing, by contrast, is bilateral: the brokerage promises to market and the seller promises to pay on the agreed terms.

## Problem 2

A buyer offers $880,000, open until 5:00 p.m. Friday. Wednesday, he withdraws it. Thursday, the seller signs it and puts it in his file. Friday morning the seller's agent emails the signed copy.

**Was a contract formed?**

> **Solution. No, on two independent grounds — either one is enough.**
>
> **The offer was revoked before acceptance.** An offer may generally be revoked before acceptance even where it states a deadline, unless supported by consideration as an **option** — which is precisely what an option buys: irrevocability for the period.
>
> **And acceptance was not communicated on Thursday.** A signed acceptance sitting in a file has not been communicated to the offeror, so nothing formed then; by Friday there was nothing left to accept.
>
> **What transfers, in both directions:** a buyer relying on "open until Friday" should know it can be withdrawn Wednesday, and a seller intending to accept should not assume the offer will still be there. The communication rule is the one most often skipped — including in signing platforms, where an executed document nobody delivered has not been delivered.

## Problem 3

A buyer offers $880,000. The seller strikes the price to $895,000 and the closing date to March 20, signs, and returns it. The buyer signs it but crosses out March 20 and writes March 25 before returning. The seller now says he prefers the original $880,000 offer and will accept it.

**Where do the parties stand?**

> **Solution. No contract, and the original offer is gone.**
>
> The seller's changes were a **counteroffer**, which **rejected** the $880,000 offer and substituted a new one. It was not an "acceptance with modifications" forming a contract on his terms, and it did not suspend the original leaving it available — the original can no longer be accepted unless the buyer renews it.
>
> **The buyer's handwritten date change is a further counteroffer**, however small. Signing does not convert a modification into an acceptance.
>
> **The buyer's counteroffer at $895,000 / March 25 is outstanding.** The seller may accept it, reject it, or counter again — or ask the buyer to renew the original terms, which the buyer is free to decline.

## Problem 4

Four situations: (a) a seller and buyer agree to conceal a known foundation defect from the lender; (b) a 17-year-old signs a purchase agreement; (c) an oral agreement to sell a house, where the buyer has taken possession, paid $60,000, and rebuilt the kitchen; (d) a lease clause waiving the landlord's habitability obligation.

**Classify each as void, voidable, or unenforceable, and state the practical consequence.**

> **Solution.** (a) **Void.** A contract for an unlawful purpose. No contract exists and never did; nobody can enforce it.

(b) **Voidable by the minor.** This is a **valid, binding contract until the minor elects to avoid it** — and the minor may instead choose to affirm it. That is the practical difference from void, and the one students merge: voidable contracts operate until someone acts.

(c) **Unenforceable under the Statute of Frauds** — but not worthless. Unenforceable is not void, and **part performance** is exactly the doctrine these facts raise: possession, payment, and improvements in reliance. Whether it applies is a legal question. A licensee should know the doctrine exists so as not to tell a client an oral agreement is worthless, and should route it rather than answer it.

(d) **The provision is unenforceable**, and the rest of the lease may stand. The habitability obligation is **not waivable**, and the clause fails **whether or not both parties agreed to it.**

## Problem 5

A seller in her late eighties seems confused during the listing appointment, asks the same questions repeatedly, and at one point does not recall that her husband died. Her son, who brought the licensee in, says she is "sharp as ever" and urges signing today. The licensee notes in the file that the seller "appeared to lack capacity."

**What should the licensee do, and what is wrong with the file note?**

**Solution. Stop, escalate to the broker, and route it to counsel.** Do not sign today, and do not proceed on the theory that she seemed fine or that a family member vouched for her.

**A licensee's concern is authority, not diagnosis.** A licensee is not qualified to assess mental capacity, and the file note **characterizes her capacity** — which is exactly the conclusion the licensee may not draw and which will be read later by people who were not there.

**What the note should record instead is observation:** what was said, what was asked repeatedly, what the son said and when, that the licensee did not proceed, and that the matter was escalated on a stated date. Observation, not inference — the same discipline as recording ceiling staining rather than diagnosing a roof leak.

**Two further flags:** the son's pressure to sign today is exactly the pattern that raises **undue influence**, and depending on the circumstances a contract with an incapacitated person may be voidable, or void where a conservatorship applies. All of that is for counsel.

## Problem 6

The parties agree during escrow to move closing back one week. The agents confirm by email, escrow is told, and everyone proceeds. The seller also verbally agrees to leave the washer and dryer. The transaction fails and the parties dispute who breached.

**What is the operative contract?**

**Solution. The original closing date, and no obligation about the appliances.**

A change to a contract term is made by **written amendment signed by both parties** and delivered to escrow so the instructions match the agreement. **An email between the agents does not amend the contract — the agents are not the parties.** Neither does a verbal agreement between the parties, an instruction to escrow alone, or a shared understanding that a short extension "won't matter."

> The parties are now litigating on a contract whose closing date is the original one, with an email chain between non-parties as the evidence of a change.
>
> **The appliances fail for the same reason plus one more:** the agreement concerns an interest in real property within the Statute of Frauds, and personal property that does not convey unless included has not been included in any writing.
>
> **The practical rule:** every agreement affecting the transaction goes in a signed writing. The boundary of what strictly must be written is not obvious in the moment, which is exactly why the practice is to write everything.

### Problem 7

The buyer's investigation contingency period ends on the 17th. Nothing is delivered. On the 18th the seller's agent tells the seller the contingency expired, the buyer is committed, and she may accept a better offer that arrived overnight. Separately, the buyer waived the appraisal contingency to win the property, and the appraisal comes in $20,000 low.

**Correct the first, and state what the licensee owed the buyer on the second.**

> **Solution. All three statements about the contingency are wrong.** Under the standard California form, contingencies remain in effect **until the buyer removes them in writing** — they are not self-executing on a date. The buyer has not removed anything, so his protection is intact, he is not committed, and the seller is not free to sell elsewhere. **The seller's route is the contractual notice**, which starts the period the contract specifies; if the buyer removes during it the transaction continues, and if not the seller may cancel by the contract's procedure.
>
> **The durable habit is better than the rule: read the contract's own removal mechanism.** Different forms and negotiated terms operate differently.
>
> **On the waiver, what was owed before he decided:** an explanation **in writing** of what the contingency protected and what waiving it exposed him to — that he could still investigate but would have no contractual path to act on what he found, and that a low appraisal would narrow him to bringing funds, renegotiating without leverage, or defaulting with his deposit exposed. Then follow his informed decision.
>
> **Both failure modes are wrong:** refusing to write the offer overstates the licensee's role; writing it without comment abandons the advisory duty.

### Problem 8

A buyer's loan is denied. He phones the listing agent, emails escrow demanding his deposit, and stops responding. The listing agent tells her seller the contract is over, that she may keep the deposit, and that the buyer "clearly materially breached." The buyer's agent tells him he will "definitely get it back" and should sue for specific performance if the seller resists.

**Identify every error and state the correct posture.**

> **Solution. Errors on both sides, and almost all of them are legal conclusions.**

> **The buyer forfeited his protection rather than exercising it.** A denial does not end the contract by itself; the loan contingency provides a path with requirements — the **written notice the contract requires**, within its terms, with supporting documentation. A phone call to the other agent is not that notice; a unilateral instruction to escrow is not cancellation, since escrow acts only on **mutual** written instructions; and ceasing to perform invites cancellation for non-performance, a materially worse position. **Cancellation is a procedure**, not an announcement.
>
> **The listing agent gave three wrong answers.** Whether a breach is **material** is a legal question. Whether the seller may keep the deposit is a legal question — and any liquidated damages provision must have been properly agreed, is constrained by law, and generally **limits** recovery rather than adding to it. And the contract is not "over" because a date passed.
>
> **The buyer's agent gave two.** "You'll definitely get it back" is a legal conclusion he is not entitled to give. And **specific performance is a remedy for compelling performance** — available for real property because of **uniqueness**, which is Lesson 01's physical characteristic producing a legal rule — not a route to recovering a deposit.
>
> **The correct posture, for both:** explain the mechanism — the contract has a cancellation procedure with a written notice requirement, escrow acts only on mutual instructions, and a disputed deposit stays put until resolved. Get the notice right, document everything with dates, escalate to the broker, and get the client an answer from counsel **before the deadline runs.**

## Chapter summary

**Four elements form a contract:** mutual assent, consideration, capacity, lawful object.

**Classify on four axes** — express or implied, bilateral or unilateral, executory or executed, and by enforceability. "Executed" in classification means performed, not signed.

**Three formation rules resolve most questions:** an offer accepted without change forms a contract; an acceptance must match the offer; **acceptance must be communicated.**

**A counteroffer rejects and replaces.** The original is gone, not suspended — and a signature with a change written on it is a further counteroffer.

**An offer can be revoked before acceptance even where it states a deadline**, unless consideration made it an option.

**Adequacy of consideration is generally not examined**; past consideration generally is not consideration.

**Capacity is a matter for authority and referral, never diagnosis.** Record observations, not characterizations, and escalate.

**Void, voidable, and unenforceable are three different outcomes.** A voidable contract is binding until the entitled party elects to avoid it — and may be affirmed instead.

**The Statute of Frauds requires a signed writing for sales of real property, leases over a year, and compensation agreements.** Non-compliance makes an agreement unenforceable, not void, and part performance may still reach it.

**Only a signed written amendment changes a contract term.** Agent emails, verbal agreements, and escrow instructions alone change nothing.

**A contingency conditions an obligation inside a formed contract**, and under the standard California form it ends only by **written removal** — never by a passed date.

**Read the contract's definitions of how time is counted.** Being wrong by one day costs a client a right.

**Distinguish assignment from novation**, and explain a waiver's real exposure in writing before the client decides.

**Specific performance is available for real property because land is unique** — the clearest case in the course of a legal rule flowing from a physical characteristic.

**Liquidated damages must be properly agreed, are constrained by law, and generally limit recovery.**

**Cancellation is a procedure; rescission is a remedy.** They are not synonyms.

**Never tell a client whether they may cancel, whether a breach is material, or who gets the deposit.** Explain the mechanism, follow the contract's procedures, document, escalate, and refer before the deadline.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Trace the formation sequence and state whether a contract exists and on whose terms, identify any element or assent defect and classify the result as void, voidable, or unenforceable, state which agreements in the scenario must be in a signed writing and what actually amends the contract, identify each contingency in effect and what would be required to remove it, state the notice the next step requires and its delivery method, identify every question you would decline to answer and why, and state what you would escalate to the broker and refer to counsel and by what deadline. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** A seller and buyer shake hands on a price for a home and exchange text messages confirming the number and the closing month. The buyer then spends money on an inspection. The seller receives a higher offer and refuses to proceed, saying nothing was ever signed. The buyer asks the licensee whether he has a contract. What should the licensee say?

**A. Explain that contracts for the sale of real property generally must be in writing to be enforceable, that whether these communications satisfy that requirement is a legal question, and refer the buyer to an attorney rather than giving him an answer.**

B. Tell the buyer he has an enforceable contract, since the text messages record the essential terms and he relied on them.

C. Tell the buyer he has no contract of any kind, since a handshake and texts cannot create obligations for real property.

D. Tell the buyer that his inspection expense makes the agreement enforceable regardless of the writing requirement.

**Answer: A.** The writing requirement for real property contracts is the governing principle, but whether particular electronic communications satisfy it, and whether the buyer's reliance changes the analysis, are legal questions with real complexity. Answering either way would be practicing law on a question the licensee cannot resolve.

### Engagement check — 5 items, 80% required

**1.** Which elements are required to form a valid contract?

**A. Capable parties, mutual consent, a lawful object, and consideration.**

B. A written document, signatures, notarization, and recording.

C. An offer, an acceptance, a deposit, and a closing date.

D. Mutual consent, a lawful object, and a licensed intermediary.

**Answer: A.** Capacity, mutual consent, lawful object, and consideration are the essential elements. Notarization, recording, deposits, and intermediaries are transaction features rather than formation requirements.

**2.** What is the effect of a counteroffer on the original offer?

**A. It rejects the original offer and substitutes a new one, so the original can no longer be accepted unless it is renewed.**

B. It suspends the original offer, which may be accepted if the counteroffer is rejected.

C. It modifies the original offer while leaving it otherwise in force.

D. It has no legal effect until the original offeror responds to it.

**Answer: A.** A counteroffer terminates the original offer's power of acceptance. It neither suspends nor amends the original, and it takes effect as a new offer on communication.

**3.** What does the Statute of Frauds require in a real estate context?

**A. That contracts for the sale of real property, and certain other agreements, be in writing and signed to be enforceable.**

B. That all real estate contracts be notarized before they take effect.

C. That real estate contracts be recorded to bind the parties.

D. That real estate contracts be prepared by an attorney.

**Answer: A.** The requirement is a signed writing for enforceability. Notarization, recording, and attorney preparation are not what the doctrine requires.

**4.** A minor signs a purchase agreement for real property. What is the likely status of the contract?

**A. It is generally voidable, because capacity is an element of a valid contract and a minor's contracts may typically be disaffirmed.**

B. It is void from the outset and has no effect whatsoever.

C. It is fully valid and enforceable against the minor.

D. It is valid if a parent was present when it was signed.

**Answer: A.** Capacity problems generally make a contract voidable at the incapacitated party's election rather than void. A parent's presence does not supply the minor's capacity.

**5.** What remedy does specific performance provide?

**A. A court order requiring a party to perform the contract, available where damages would be inadequate — as is often argued for real property because each parcel is unique.**

B. Money damages calculated to compensate the non-breaching party's losses.

C. Cancellation of the contract and restoration of the parties to their prior positions.

D. An amount fixed in advance by the parties as compensation for breach.

**Answer: A.** Specific performance compels performance itself. The other three describe damages, rescission, and liquidated damages respectively.

## Remediation set — served only after a failed engagement check

**1.** An offer states it will remain open until Friday. The offeror withdraws it on Wednesday, before acceptance. What is the general rule?

**A. An offer may generally be revoked before acceptance unless it is supported by consideration as an option, so the stated deadline does not by itself bind the offeror.**

B. The offer must remain open until Friday because the offeror stated a deadline.

C. The offer may be revoked only if the offeree has not yet begun to consider it.

D. The offer becomes irrevocable as soon as the offeree receives it.

**Answer: A.** A stated deadline sets an outer limit but does not create irrevocability; consideration is what turns an offer into a binding option. Receipt and the offeree's deliberation do not bind the offeror.

**2.** What distinguishes rescission from a claim for damages?

**A. Rescission unwinds the contract and seeks to restore the parties to their prior positions, while damages leave the contract's effect intact and compensate for the loss.**

B. Rescission is available only for fraud, while damages are available for any breach.

C. Rescission is granted by the parties, while damages are granted by a court.

D. Rescission applies to real property contracts and damages apply to personal property contracts.

**Answer: A.** The two remedies point in opposite directions: undoing the bargain versus compensating within it. Rescission is not limited to fraud and not limited by property type, and both can be pursued through the courts.

**3.** A contract's performance is conditioned on the buyer obtaining financing. What kind of provision is this?

**A. A condition, which qualifies the duty to perform without preventing the contract from being formed.**

B. A covenant, which is a promise that the buyer will obtain financing.

C. A warranty, which guarantees the financing will be obtained.

D. An option, which gives the buyer the right to decide whether to proceed.

**Answer: A.** A condition qualifies performance within a formed contract. A covenant would promise the outcome, a warranty would guarantee it, and an option would give an unconditional election.

**4.** Parties agree in advance that a specified deposit will be the seller's sole recovery if the buyer defaults. What is this called?

**A. A liquidated damages provision, which fixes the recovery in advance and is subject to legal limits on enforceability.**

B. A penalty clause, which is enforceable as written between sophisticated parties.

C. An option payment, which compensates the seller for holding the property.

D. A forfeiture provision, which is automatically enforceable in real property contracts.

**Answer: A.** Fixing damages in advance is liquidated damages, and its enforceability is constrained by law — which is exactly why a provision that operates as a penalty is treated differently. It is not an option payment and it is not automatically enforceable.

**5.** A contract's stated purpose is an activity that is illegal. What is the effect?

**A. The contract fails for want of a lawful object and is generally void, since legality is an element of formation.**

B. The contract is voidable at the election of the party who did not know of the illegality.

C. The contract is enforceable if both parties knew of the illegality when they signed.

D. The contract is enforceable except as to the illegal portion, which is simply ignored.

**Answer: A.** Lawful object is a formation element, so its absence is more serious than a defect making a contract voidable. Mutual knowledge does not cure it, and severing an illegal core purpose is not available.

# Real Estate Principles - Lesson Assignment 09

## Transfer, deeds, title, and recording

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- State the requirements of a valid deed and identify which common assumptions about deeds are wrong.
- Distinguish a grant deed from a quitclaim deed and other deed types by what each warrants.
- Explain delivery and acceptance and why a signed, recorded deed can still fail to transfer title.
- Explain recording, the notice it gives, and how priority is determined.
- Describe title insurance and read a preliminary report as an allocation of risk.
- Distinguish voluntary from involuntary transfer and identify what each requires.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: deed requirements and deed types | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: delivery, acceptance, and recording | 50 | Sections 3-4 viewed |
| Guided reading: title insurance and involuntary transfer | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Deed requirements

### 1.1 What a deed is

A **deed** is the written instrument by which an owner conveys an interest in real property to another. The parties have specific names:

- **Grantor** — the party conveying.
- **Grantee** — the party receiving.

A memory device that survives the examination: the gran**tor** gives; the gran**tee** takes.

## 1.2 The requirements

A valid deed must generally:

| Requirement | Detail |
|---|---|
| **Be in writing** | The Statute of Frauds applies to conveyances |
| **Identify a competent grantor** | Legally capable, and with authority to convey |
| **Identify the grantee** | Sufficiently to be ascertainable |
| **Describe the property** | Adequately — **not** by street address alone |
| **Contain granting language** | Words showing present intent to convey |
| **Be signed by the grantor** | The grantee's signature is generally not required |
| **Be delivered and accepted** | Section 3 — and the requirement most often misunderstood |

## 1.3 What a deed does not require

Students and clients believe several things a deed does not need, and each misbelief causes real problems.

**Consideration is not required for validity.** A deed may be a gift. Consideration matters for other purposes — including whether a party qualifies as a bona fide purchaser under the recording system — but a deed reciting "love and affection" can be perfectly valid.

**The grantee need not sign.** The grantor conveys; the grantee's acceptance is required but is generally presumed where the conveyance is beneficial.

**Recording is not required for validity.** A deed transfers title between grantor and grantee on delivery and acceptance, recorded or not. **Recording protects against third parties** — it does not create the transfer.

**Notarization is not required for validity**, but it is required in practice: a deed must generally be acknowledged before a notary to be recorded. So an unacknowledged deed may be valid and unrecordable, which is a problem the grantee will discover later.

**A perfect legal description is not required if the property is otherwise adequately described**, but adequacy is a legal question and the practice is to use the recorded legal description exactly.

## 1.4 The granting clause

The words showing intent to convey — "grant," "convey," "quitclaim." In California the word **"grant"** carries statutory significance, discussed in Section 2, which is why deed type follows from the operative word rather than from the document's title.

## 1.5 The habendum and other clauses

**The habendum clause** — historically "to have and to hold" — defines the extent of the estate conveyed. Where it conflicts with the granting clause, the resolution is a legal question.

**Reservations and exceptions** carve something out: a reserved life estate, reserved mineral rights, an excepted strip. These are the "except" and "reserving" phrases from Lesson 04, and dropping one while copying describes a different parcel.

**Conditions and restrictions** may appear, and conditional language in a deed is a title matter for counsel, not a curiosity.

### 1.6 The licensee's practice

1. **Take the legal description from a recorded document**, not from a prior listing.
2. **Copy it exactly and completely**, including recording references and every reservation, exception, and "together with."
3. **Never substitute an address or APN.**
4. **Escrow prepares the deed**; the licensee confirms the vesting instruction came from the client after the client consulted counsel.
5. **Route conditional or unusual language** to title and to counsel.

### 1.7 Checkpoint

You should be able to list the requirements of a valid deed and name four things a deed does not require.

## 2. Grant deed and quitclaim deed

### 2.1 The spectrum

Deeds differ in **what the grantor warrants** about the title being conveyed. That is the organizing idea; the names follow from it.

| Deed | What the grantor warrants |
|---|---|
| **General warranty deed** | The broadest warranties, extending back through prior ownership. Uncommon in California residential practice |
| **Grant deed** | Limited implied warranties (Section 2.2). **The standard California residential instrument** |
| **Quitclaim deed** | **Nothing.** Conveys whatever interest the grantor has, which may be none |
| **Trustee's deed** | Given following a trustee's sale under a deed of trust |
| **Sheriff's deed** | Given following an execution sale |
| **Gift deed** | A conveyance for love and affection rather than value |
| **Deed in lieu of foreclosure** | A borrower conveying to the lender to avoid foreclosure |

## 2.2 The grant deed's implied warranties

By use of the word **"grant,"** a California grantor impliedly warrants two things unless the deed says otherwise:

1. **That the grantor has not previously conveyed the same estate** to another.
2. **That the estate is free from encumbrances made or suffered by the grantor** — not by prior owners.

**Both warranties are limited to the grantor's own period of ownership.** A grant deed does not warrant against a defect created by someone who owned the property in 1974.

That limit is exactly why title insurance exists in California residential practice: the deed's warranties do not reach the risks the buyer actually faces.

## 2.3 The quitclaim deed

A quitclaim conveys **whatever interest the grantor has, with no warranty that the grantor has any.**

Its legitimate uses are specific and common:

- **Clearing a cloud on title** — a possible claimant releases whatever interest they might have.
- **Transfers between related parties** where warranties are unnecessary.
- **Correcting a defect** in a prior conveyance.
- **Releasing an easement or other interest.**

**What a quitclaim does not do:** it does not clear liens against the property, and it does not make the grantee's title better than the grantor's was. A buyer receiving a quitclaim in an arm's-length purchase should understand that if the grantor owned nothing, the buyer received nothing.

> **A licensee must not advise a client to accept a quitclaim, or to give one, as a solution to a title problem.** Whether a quitclaim resolves a particular cloud is a legal question, and quitclaims are also used to accomplish frauds precisely because they warrant nothing.

## 2.4 Deed types encountered after default

**A trustee's deed** conveys title following a trustee's sale. A buyer at such a sale takes what the sale conveys — which may extinguish junior liens but not senior ones — and the property is generally sold without the protections of an ordinary transaction.

**A deed in lieu of foreclosure** transfers title to the lender voluntarily. It does not automatically extinguish junior liens, which is the reason a lender may decline one, and its consequences for the borrower are legal and tax questions.

Both belong to Lesson 11's default material. Here the point is recognition: **a chain of title containing one of these tells a story the buyer's counsel and title company should read.**

## 2.5 Reconveyance

Not a transfer of ownership but of a security interest: the **reconveyance** is the recorded document releasing a deed of trust when the debt is satisfied.

**Payment of the debt does not clear the record; the recorded document does.** A seller who says a loan was paid off years ago has stated a fact about the debt and nothing about the title, and an unreleased deed of trust in a preliminary report requires a document.

### 2.6 Checkpoint

You should be able to state what a grant deed impliedly warrants and its limit, and explain what a quitclaim does and does not accomplish.

## 3. Delivery and acceptance

### 3.1 The requirement that surprises everyone

> **A deed transfers title on delivery and acceptance. Signing does not transfer title. Notarizing does not transfer title. Recording does not transfer title.**

A deed that is signed, notarized, and sitting in a drawer has conveyed nothing.

### 3.2 What delivery means

Delivery is not primarily physical. It is the grantor's **present intent to pass title now**, manifested by conduct.

The recurring evidence of intent:

| Evidence | Weight |
|---|---|
| Handing the deed to the grantee | Strong |
| Recording the deed | Raises a presumption of delivery |
| Delivering to escrow with instructions to record on closing | Delivery on the conditions being met |
| Handing it to a third party for the grantee | Depends on the instructions and the grantor's control |
| Keeping it, with instructions to record after death | **Generally not effective delivery** — the grantor retained control and intended a testamentary transfer |

**The failure mode is intent, not custody.** A grantor who hands over a deed while saying "this takes effect when I die" has not manifested present intent to pass title now, and the attempted transfer generally fails as an ineffective testamentary act.

### 3.3 Delivery to escrow

Escrow supplies the ordinary mechanism. The grantor deposits the deed with instructions to deliver on the conditions being satisfied. That is a **conditional delivery**, and it is one of the two elements — with a binding contract — that make an arrangement an escrow at all.

Critically, **once delivered into escrow under a binding contract, the grantor generally cannot unilaterally recall it.** The escrow holder is not the grantor's agent for that purpose.

### 3.4 Acceptance

The grantee must accept. Acceptance is generally presumed where the conveyance is beneficial, and it can be shown by conduct — recording, taking possession, paying taxes, encumbering the property.

Acceptance matters most where it is refused. A grantee can decline a conveyance, and there are real reasons to: contaminated property carrying remediation liability, property carrying assessments exceeding its value, or an unwanted interest in a dispute.

### 3.5 What a void delivery cannot be cured by

**Recording does not cure a defective delivery.** A recorded deed raises a presumption of delivery, and a presumption can be rebutted. A deed recorded by a grantee who took it from a drawer without the grantor's intent to convey did not become effective by being recorded.

This is also the mechanism behind deed fraud: a forged or improperly delivered deed appears in the record and looks like a conveyance. **A forged deed is void and conveys nothing, no matter how many transfers follow it** — which is why the title industry treats forgery as a category of loss distinct from an ordinary defect.

### 3.6 The licensee's role

Delivery and acceptance questions arise in specific situations a licensee should be able to spot:

- A client says a relative "signed the house over" years ago but nothing was recorded and nothing changed.
- A deed appears in the record that the seller says he never signed.
- A parent wants to deed the property to a child "but keep it until I die."
- A grantee wants to refuse a conveyance.

**In every one, the licensee's role is the same:** recognize, stop, escalate to the broker, and route it to title and to counsel. Whether a delivery was effective is a legal conclusion with enormous consequences.

### 3.7 Checkpoint

You should be able to explain why a signed and notarized deed may convey nothing, and identify a delivery that fails for lack of present intent.

## 4. Recording and constructive notice

### 4.1 What the recording system is for

California maintains a public record of documents affecting real property. The system exists to answer one question:

> **Who has notice of what?**

Recording does not make a document valid, and failing to record does not make it invalid between the parties. **Recording protects the recorded party against third parties.**

## 4.2 The three kinds of notice

| Type | What it is |
|---|---|
| **Actual notice** | The person in fact knows |
| **Constructive notice** | The law charges the person with knowing, because it was recorded |
| **Inquiry notice** | Facts that would prompt a reasonable person to investigate |

**Constructive notice is the system's engine.** A recorded document is knowable by anyone who looks, so the law treats everyone as knowing it. That is why a buyer cannot claim to be surprised by a recorded easement he never read.

**Inquiry notice is the one that surprises people**, because nothing was recorded. Someone visibly in possession who is not the record owner, a well-worn path across the rear of a lot, an occupant paying rent to a person other than the seller — each is a fact that would prompt investigation, and a purchaser may be charged with what the investigation would have revealed.

## 4.3 The bona fide purchaser

The recording system's protection generally runs to a **bona fide purchaser**: one who takes **for value**, **in good faith**, and **without notice** of the prior interest — actual, constructive, or inquiry.

Each element does work:

- **For value** is why a donee is treated differently from a buyer, and one reason consideration matters even though a deed does not require it for validity.
- **In good faith** excludes a party who knew of the problem.
- **Without notice** includes what the records showed and what an inquiry would have revealed.

## 4.4 Priority

The general rule: **first in time, first in right**, as measured by recording, for those entitled to the system's protection.

The exceptions from Lesson 05, restated because they belong to the recording material:

| Exception | Effect |
|---|---|
| **Property tax liens** | Generally take priority regardless of when they attached |
| **Mechanic's liens** | Priority may relate back to when work commenced |
| **Subordination agreement** | A lienholder agrees to take a lower position |
| **Purchase-money priority** | Certain purchase-money security interests receive favored treatment |

**Priority determines who is paid first from a limited fund and whose interest survives a foreclosure.** A junior lienholder wiped out by a senior foreclosure has lost its security whatever the merits of the debt — which is why a recording date on a preliminary report is not administrative detail.

## 4.5 The chain of title and the abstract

**The chain of title** is the successive recorded conveyances tracing ownership. A **break in the chain** — a conveyance from someone who never appears as a grantee — is a defect requiring resolution.

**A wild deed** is a recorded document outside the chain: because a searcher following the chain would not find it, recording it may not give constructive notice.

**An abstract of title** is a summary of the recorded documents affecting a parcel. In modern California residential practice the preliminary report and the title policy have largely replaced reliance on an abstract, but the vocabulary persists.

## 4.6 What is recorded and what is not

**Recorded:** deeds, deeds of trust, reconveyances, easements, declarations of restrictions, judgment abstracts, mechanic's liens, lis pendens, maps, and many other instruments.

**Frequently not recorded, and therefore invisible to a records search:** leases, occupancy agreements, unrecorded easements arising by implication or prescription, side agreements between parties, and personal property arrangements.

**That gap is what inquiry notice covers**, and it is why physical inspection of the property is a separate obligation from reading the title report.

## 4.8 The recording statute, and what "void as against" means

Section 4.1 said that recording gives constructive notice and protects a purchaser. **Civil Code § 1214** is the section that does it, and its wording repays close reading because it is a race-notice rule expressed as a rule of voidness:

> *"Every conveyance of real property or an estate for years therein, **other than a lease for a term not exceeding one year**, is **void as against any subsequent purchaser or mortgagee** of the same property, or any part thereof, **in good faith and for a valuable consideration, whose conveyance is first duly recorded**, and as against any judgment affecting the title, unless the conveyance shall have been duly recorded prior to the record of notice of action."*

**Unpack it as four conditions a later buyer must satisfy to defeat an earlier unrecorded conveyance.**

| Condition | The words | What it excludes |
|---|---|---|
| **Subsequent** | *"any subsequent purchaser or mortgagee"* | Someone who took first cannot use the section |
| **In good faith** | *"in good faith"* | A buyer with actual notice of the earlier deed |
| **For value** | *"for a valuable consideration"* | A donee; an heir; a gift |
| **First recorded** | *"whose conveyance is first duly recorded"* | A later buyer who also failed to record |

**All four, together.** This is California's race-notice system in a sentence: the later purchaser must be *both* without notice *and* first to record. Neither alone is enough.

**"Void as against" is narrower than "void."** The unrecorded deed is perfectly good between the grantor and the grantee. It fails only against a person the section describes. **A grantee who never records still owns the property against the whole world except a subsequent good-faith purchaser for value who records first** — which is exactly the person most likely to appear.

**The lease carve-out is a practical one.** A lease for a term not exceeding one year is outside the section. Short residential tenancies are not recorded and were never expected to be, and a buyer of occupied property takes subject to what possession discloses regardless.

**And the tail reaches judgments:** *"and as against any judgment affecting the title, unless the conveyance shall have been duly recorded prior to the record of notice of action."* An unrecorded deed can lose to a judgment in litigation the grantee knew nothing about.

## 4.9 Why possession still matters after recording

§ 1214 protects a purchaser *"in good faith."* Good faith is defeated by notice, and **notice is not only what the records show.**

**Constructive notice comes from two places.** The recorded chain of title, and **the fact of possession**. A person in open, visible, exclusive possession of property puts a prospective purchaser on inquiry: the purchaser is charged with knowing what a reasonable inquiry of that occupant would have revealed.

**This is why a walk-through is a title procedure and not only a condition procedure.** An occupant who is not the seller is a question. A tenant with a five-year unrecorded lease, a relative with an unrecorded life estate, a buyer under an unrecorded contract of sale — **none appears in the records and each appears at the property.**

**The practical instruction for a licensee is one sentence long:** if anyone other than the seller is in possession, find out in writing who they are and on what basis, and give the answer to escrow and to the title company before closing.

## 4.10 A worked priority problem

> **1 March.** Owner deeds the property to Buyer A for $700,000. A takes the deed home and does not record it. **14 March.** Owner deeds the same property to Buyer B for $720,000. B has never heard of A, searches title and finds nothing, and records on 15 March. **20 March.** A records.

**B prevails.** B is a subsequent purchaser, in good faith (no actual or constructive notice — nothing was recorded and, on these facts, nobody was in possession), for valuable consideration, whose conveyance was first duly recorded. A's earlier deed is *"void as against"* B under § 1214.

**Change one fact.** Suppose A had moved in on 2 March and was living there when B inspected.

**Now B loses**, and not because of the recording dates. A's open possession is inquiry notice; B is charged with what an inquiry of the occupant would have revealed, which is A's deed. **B is no longer a purchaser "in good faith,"** and the first condition of § 1214 fails. The recording race is irrelevant because B cannot get past the good-faith requirement.

**Change a different fact.** Suppose the 14 March transfer was a gift to Owner's nephew, who recorded immediately.

**A prevails.** The nephew is subsequent and first to record and may well be in good faith, but he did not take *"for a valuable consideration."* § 1214 does not protect him.

**The lesson a licensee should carry from all three:** recording is decisive only when the other three conditions are met, and the two that fail most often in real life are **good faith, defeated by someone living in the house**, and **value, defeated by a family transfer.** Both are visible before closing to anyone who looks.

## 4.11 The disclosure article, and the waiver that is void

One more section belongs in a chapter about what passes with the transfer. **Civil Code § 1102** opens the residential transfer disclosure article:

> *"(a) Except as provided in Section 1102.2, this article applies to any transfer by sale, exchange, real property sales contract as defined in Section 2985, **lease with an option to purchase**, any other **option to purchase**, or **ground lease coupled with improvements** of any single-family residential property.*
>
> *(b) For purposes of this article, the definitions contained in Chapter 1 (commencing with Section 10000) of Part 1 of Division 4 of the Business and Professions Code shall apply.*
>
> *(c) **Any waiver of the requirements of this article is void as against public policy.**"*

**Subdivision (a) is broader than "sale."** A lease with an option, a bare option, and a ground lease coupled with improvements are all inside the article. A transaction structured to avoid a sale does not thereby avoid the disclosure obligation.

**Subdivision (b) is the cross-reference from Assignment 01 Section 5.8** — the Civil Code borrowing the Business and Professions Code's definitions. A reader of the disclosure article who does not know that is reading with a piece missing.

**Subdivision (c) is one short sentence and it settles a great deal.** *"Any waiver of the requirements of this article is void as against public policy."* A seller cannot contract out of it. A buyer cannot agree to give it up, however sophisticated they are and however much they are paid for the concession. **A licensee presented with an "as-is, no disclosures" arrangement should know that the words do not do what the parties think they do.**

### 4.12 Checkpoint

You should be able to explain what recording does and does not accomplish, define the three kinds of notice, and state the elements of a bona fide purchaser.

## 5. Title insurance and preliminary reports

### 5.1 What a preliminary report is

A **preliminary report** reports the condition of title as shown in the records and states **the terms on which the title insurer would be willing to issue a policy**, including the exceptions it would take.

Three things it is not:

- **Not a guarantee** that title is clear.
- **Not the policy.** It states terms; the policy is the contract.
- **Not a survey.** It addresses record title, not the physical property.

### 5.2 Exceptions, exclusions, requirements

Three categories a licensee must distinguish:

| Category | What it is |
|---|---|
| **Exception** | An item the policy **will not insure against**. The buyer bears that risk unless it is otherwise addressed |
| **Exclusion** | A category the policy form does not cover at all — governmental regulation such as zoning, eminent domain, matters created or agreed to by the insured |
| **Requirement** | Something the insurer needs before issuing — a reconveyance, a resolution, a release, evidence of authority |

**The requirements are the items with deadlines attached**, and the ones most likely to delay a closing.

### 5.3 What the policy does

Title insurance **indemnifies the insured against covered losses from title defects, within the policy's terms and excluding what it excepts.** It also typically obligates the insurer to defend covered claims.

Two features distinguish it from other insurance:

**It looks backward, not forward.** Other insurance covers future events; title insurance covers defects that already exist in the record or the chain, discovered later.

**The premium is generally paid once**, at closing, for coverage that continues.

### 5.4 Owner's and lender's policies

The **owner's policy** insures the buyer's interest. The **lender's policy** insures the lender's lien and its priority.

They insure **different interests**, which is why both commonly exist — and why a buyer who declines an owner's policy because "there's a title policy on the loan" has not economized on a duplicate. He has left his own interest uninsured.

**Extended coverage** may address matters a standard policy excepts, including some survey matters, typically requiring a survey or other evidence. Whether to obtain it is the buyer's decision, made informed.

### 5.5 What title insurance does not cover

The list is as important as the coverage:

- **Zoning and governmental regulation** — excluded.
- **Physical condition of the property.**
- **Boundary location**, under a standard policy — the survey exception.
- **Matters the insured created or agreed to.**
- **Matters known to the insured and not disclosed to the insurer.**
- **Anything the policy excepted.**

> A buyer asks whether the neighbor's fence is on the line and the agent says the title report "came back clean."
>
> **That answer is wrong.** The report addresses record title, and boundary location is exactly what the standard policy excepts. **Nothing in the report speaks to where the fence is.** A survey does.

### 5.6 Reading the report item by item

| Item | Correct handling |
|---|---|
| Utility easement along a boundary | Obtain the document — width, location, permitted use. Can prevent structures the buyer intends |
| Recorded CC&Rs | Obtain and review; bind the buyer regardless of zoning |
| Unreleased deed of trust the seller says was paid | A recorded **reconveyance** must be obtained |
| Mechanic's lien | Route to escrow and title; priority may relate back |
| Judgment against a similarly named person | Route to title; do not assume it is or is not the seller |
| Lis pendens | A serious cloud; route to counsel |
| A requirement for a corporate resolution or trustee evidence | The authority verification from Lesson 03, with a deadline |

**Three responses wrong in every case:** treating an item as routine because most properties have one; asking title to "remove" an exception; and predicting an easement's or restriction's effect on the buyer's plans.

## 5.7 The timing point

The preliminary report and the underlying documents belong at the **front** of the transaction queue, with association documents and hazard-area insurance quotes.

An exception discovered late — an easement across the building site, an unreleased lien requiring a document from a lender that no longer exists — takes time to resolve. A buyer who receives the report on day three has options; one who receives it on day twelve of a fourteen-day review has a formality.

## 5.9 What the two policies cover, side by side

Section 5.4 named owner's and lender's policies. The difference is not a matter of degree, and a buyer who declines an owner's policy on the ground that "the lender has one" has misunderstood what they were declining.

| | Owner's policy | Lender's policy |
|---|---|---|
| **Insured** | The buyer | The lender |
| **Amount** | The purchase price | The loan amount |
| **Duration** | As long as the insured holds an interest, and beyond for warranties of title | Until the loan is paid |
| **Behaviour over time** | Stays at the purchase price | **Declines as the loan amortises** |
| **On a claim** | Pays the owner | Pays the lender; the owner recovers nothing |

**The lender's policy does not protect the buyer at all.** If a title defect surfaces and there is no owner's policy, the lender is made whole and **the buyer bears the entire loss of their equity** — the down payment, every principal payment made, and the property.

**And an owner's policy is the cheapest insurance in the transaction on a per-dollar basis**, because it is issued once for a single premium and never renewed.

## 5.10 Reading Schedule B, and the four exception types

A preliminary report is not a policy. It is an **offer** to issue a policy on stated terms, and the terms are the exceptions in Schedule B. Four types appear, and they call for different responses.

**Monetary liens.** Deeds of trust, judgments, tax liens, mechanics liens. **These are cleared at closing** — paid from proceeds and released. Their presence is a payoff question, not a title question.

**Easements and rights of way.** Utility easements, access easements, drainage. **These do not clear.** They travel with the land, and the question is whether they affect the buyer's intended use. A utility easement across the back of a lot is ordinary; the same easement across the only buildable area is a different property from the one the buyer thinks they are buying.

**Covenants, conditions and restrictions.** Recorded restrictions on use, and in a common interest development the declaration. These do not clear either, and they are frequently the most consequential document in the file.

**Survey and boundary exceptions.** *"Any facts an accurate survey would disclose."* **This exception is the title company declining to insure the boundaries**, and it is standard on the basic policy. A buyer who wants the boundaries insured is buying extended coverage and, usually, providing a survey.

**The habit that catches problems:** read Schedule B against the buyer's stated plans. A buyer who intends to build a workshop, park a boat, run a home business, add a second unit, or fence the perimeter is a buyer for whom a specific exception may matter, and **the licensee is the only person who knows both the plan and the report.**

### 5.11 A worked exception

> A buyer intends to build a detached garage on the north side of the lot. Schedule B, item 7: *"An easement for ingress, egress and public utilities over the northerly 12 feet of said land, as granted to Southern California Edison Company by instrument recorded [date], in Book [x], Page [y] of Official Records."*

**Nothing about this clears at closing**, and no amount of money paid at escrow makes it go away.

**Three actions, in order.** Obtain the recorded instrument itself — the report gives its book and page, and **the report's one-line description is a summary, not the grant.** Compare its width and location against a plot plan or survey. Then determine whether the intended garage sits inside the twelve feet.

**If it does**, the buyer's plan is not feasible as conceived, and the options — relocating the structure, seeking a quitclaim or partial release from the utility, or withdrawing — are questions for the utility, the city and counsel respectively.

**The licensee's whole job here is timing.** Every step above is available in the first week of escrow and impossible in the last. **The failure mode is not missing the exception; it is reading it, understanding it, and forwarding it without connecting it to what the buyer said they wanted to do.**

### 5.12 Checkpoint

You should be able to explain what an exception means, distinguish it from an exclusion and a requirement, and state what title insurance does not cover.

## 6. Voluntary and involuntary transfer

### 6.1 The two categories

**Voluntary transfer** occurs with the owner's intent: sale, gift, dedication, and transfer at death by will.

**Involuntary transfer** occurs without it: intestate succession, escheat, eminent domain, foreclosure, execution sale, tax sale, adverse possession, and transfers by operation of natural forces.

### 6.2 Transfer at death

**Testate** — the decedent left a valid will. Real property passes as the will directs, generally through probate unless a mechanism avoids it.

**Intestate** — no valid will. Property passes by **intestate succession** to heirs in the order the law specifies. That order is statutory and its application is legal work.

**Escheat** — no will and no heirs who take. The property passes to the state.

**Probate** is the court-supervised process of administering a decedent's estate. Sales during probate may require court involvement and may follow particular procedures — which is why the personal representative's authority must be verified against the appointment, exactly as Lesson 03 required.

**Mechanisms that can avoid probate** — a trust holding title, survivorship forms of ownership, and certain statutory instruments — have different consequences and are estate planning matters for counsel.

## 6.3 Adverse possession

Title acquired through possession meeting statutory requirements. The elements are conventionally described as possession that is **open and notorious, hostile to the true owner's interest, actual, exclusive, and continuous** for the statutory period — and in California, **payment of taxes** is also required.

Two points for a licensee:

**The tax payment requirement is the practical filter.** It defeats most casual claims, because a person occupying without paying the taxes generally cannot satisfy it.

**It is a legal doctrine, never a licensee's conclusion.** A client who says "we've used that strip for twenty years, so it's ours" has stated a claim requiring legal analysis — and the neighbor who says "they've used it so long there's nothing I can do" has stated the mirror image. Both go to counsel.

Prescriptive **easements** arise from the same family of doctrines and produce a use right rather than ownership.

## 6.4 Transfer by natural forces

**Accretion** — the gradual addition of land by deposit — generally benefits the owner. **Erosion** is its gradual counterpart. **Avulsion** — a sudden change, such as a river changing course in a storm — generally does not shift boundaries. **Reliction** is land exposed by a permanent recession of water.

These matter on waterfront and watercourse property and are boundary questions for a surveyor and counsel.

## 6.5 Involuntary transfer after default

**Foreclosure** — judicial or nonjudicial — transfers title following default under a security instrument, and is the subject of Lesson 11.

**Execution sale** follows a judgment, transferring title by sheriff's deed.

**Tax sale** follows unpaid property taxes under the applicable process.

Each produces a deed type carrying its own limitations, and each appears in a chain of title as a signal that the buyer's counsel and title company should look closely.

## 6.6 Dedication

**Dedication** is a private owner devoting land to public use, accepted by the public body. It appears most often on subdivision maps, where streets and easements are offered for dedication as a condition of approval.

A licensee reading a recorded map should recognize dedicated areas as land the owner no longer controls — which occasionally surprises a buyer who measured the lot to the pavement.

## 6.7 What ties this lesson together

Every mechanism in this lesson answers one of three questions, and a licensee who keeps them separate will handle unfamiliar situations correctly:

1. **Did title actually transfer?** — the deed requirements, and delivery and acceptance.
2. **Who has notice, and whose interest prevails?** — recording and priority.
3. **What risk is insured, and what is not?** — the policy, its exceptions, and its exclusions.

A licensee who can place a problem into one of those three, and route it accordingly, is doing the job. A licensee who answers it is not.

## 6.8 A worked title problem

> **A licensee takes a listing. The preliminary report reveals:**
>
> - Title vested in a person who died two years ago.
> - A deed from that person to the current occupant, **signed and notarized but never recorded.**
> - A deed of trust recorded eighteen months ago, signed by the occupant.
> - A lien recorded against the deceased owner's name eleven months ago.
>
> **The occupant says: "My uncle gave me the house before he died. I have the deed."**
>
> **What each element means, applying this lesson.**
>
> **An unrecorded deed can still be effective between the parties.** Section 3 establishes that delivery and acceptance are what transfer title, not recording. **The occupant may well own the property.**
>
> **Recording is about notice to the world.** Section 4. **An unrecorded deed does not give constructive notice**, which means subsequent parties dealing with the record owner may take without knowledge of it — and the consequences depend on rules this course states and does not resolve on particular facts.
>
> **The eleven-month-old lien is the problem the unrecorded deed created.** It was recorded against a person the record still showed as the owner, after the deed was signed and before it was recorded. **Whether it attaches is exactly the question the recording system exists to answer**, and it is a legal question with real stakes.
>
> **The deed of trust signed by the occupant** was presumably underwritten on some showing of ownership, which raises its own questions about what the lender was given.
>
> **The delivery question is live.** Section 3.2's requirements — **was the deed delivered during the uncle's lifetime, with intent to pass title presently?** "He gave it to me" describes a belief. A deed found in a drawer after death is a different fact pattern from a deed handed over with intent, and the difference determines whether

> title passed at all or whether the property is part of the estate.
>
> **What the licensee does.**
>
> **He does not take the listing on the occupant's description.** Lesson 03's intake questions apply with force: how is title held, may I see the document, who must sign.
>
> **He routes it — to counsel and to the title company — before marketing. Every one of the questions above is legal**, and the title company will not insure until they are resolved.
>
> **He records what he was told and when**, and he does not repeat the occupant's characterization of ownership in any advertisement.
>
> **What he must not do.** Conclude that the unrecorded deed settles it, record the deed himself, tell the occupant the lien "won't matter because the deed is older," or market the property while the questions are open. **The fourth is the one that turns a solvable title problem into a transaction with a buyer whose deadlines are running.**
>
> **Why this lesson puts it here.** Sections 1 through 5 supply every concept required to see the issues — deed requirements, delivery, recording, notice, priority, and what a preliminary report is. **What they do not supply is the answer**, and knowing the difference is the professional skill.

## 6.10 Involuntary transfer, and the four routes a title can move without a signature

Section 6.3 introduced involuntary transfer. The routes are worth having distinctly, because each leaves a different mark in a title chain and a licensee will meet all four.

| Route | What happens | What appears in the chain |
|---|---|---|
| **Foreclosure** | The security instrument's power is exercised; the property is sold | A trustee's deed upon sale, or a sheriff's deed after judicial sale |
| **Eminent domain** | A public agency takes for public use, paying just compensation | A final order of condemnation, or a deed in lieu |
| **Adverse possession** | Long, open, hostile, exclusive possession under the statutory conditions, **including payment of taxes** | Nothing — until a quiet title judgment records it |
| **Escheat** | An owner dies with no heirs and no will | A state proceeding and its judgment |

**And two more that move title without a conveyance from the owner:**

**Death.** By will, or by intestate succession, or — where the vesting so provides — automatically to a surviving joint tenant under Civil Code § 683.

**Court order.** A dissolution judgment, a partition, a judgment of specific performance, a bankruptcy trustee's sale.

**The one worth pausing on is adverse possession**, because California adds a requirement that surprises people who learned the doctrine elsewhere: **the claimant must have paid the property taxes** for the statutory period. That requirement is why successful adverse possession claims against a well-run owner are rare — the taxes go to the

record owner's address and get paid — and why the claims that do succeed tend to involve strips of land nobody was separately assessing.

### 6.11 Reading a chain of title for the things that matter

A licensee does not examine title. A licensee does read preliminary reports and does look at chains, and there are four patterns worth recognising.

**A conveyance for nominal consideration.** A deed reciting $10 or "love and affection" is usually a family transfer, and family transfers raise the questions Assignment 03 Section 4.8 describes: was it interspousal, was it a gift with reassessment consequences, and did everyone who needed to sign, sign.

**A quitclaim deed in the recent chain.** A quitclaim conveys whatever interest the grantor has, **with no warranty that they have any.** One appearing in a chain is not a defect; it is a question — what was it clearing up, and did it work?

**A deed out of a trust, or into one.** Trust transfers are ordinary. What matters is whether the person who signed had authority under the trust instrument, which is a title officer's question and a real one.

**A gap.** A conveyance from a grantor who does not appear to have acquired title in the chain. Usually an unrecorded intermediate deed, sometimes a name change, occasionally something worse. **This is exactly what Civil Code § 1214 is about**, and it is why the recording system exists.

**A worked chain.**

> 1998: Grant deed to **Robert and Elaine Chen, husband and wife as joint tenants.** 2014: **Quitclaim deed** from Elaine Chen to Robert Chen. 2019: Grant deed from **Robert Chen, a single man**, to the **Chen Family Trust**. 2026: The trustee lists the property. The trustee is Robert Chen's daughter.

**Four questions, each answerable and none by the licensee.**

**Did the 2014 quitclaim sever the joint tenancy and convey Elaine's interest?** A conveyance by one joint tenant generally severs, and a quitclaim conveys what the grantor had. The instrument presumably did both — **and whether it was part of a dissolution, and whether any dissolution order affected it, is not visible in a chain.**

**"A single man" in 2019 is a change of status that should be consistent** with the 2014 transfer. If Robert Chen had remarried before 2019, the community property questions in Assignment 03 Section 4.7 arise.

**Does the trust instrument authorise this trustee to sell?** The daughter's authority comes from the trust, and the title company will want to see it — a certification of trust at minimum.

**Is Robert Chen alive?** A successor trustee acting suggests a death or an incapacity, and if a death, whether the trust was funded correctly with this property matters.

**What the licensee does with all of that:** send the preliminary report and the chain to escrow and the title officer **at listing**, with the specific question *"can you confirm the trustee has authority to convey and that no further signatures are required?"* — and get the answer in writing before the property goes on the market. **Four weeks of marketing on a property that cannot convey is four weeks nobody gets back.**

## 6.12 Checkpoint

You should be able to distinguish voluntary from involuntary transfer, state the adverse possession elements including California's tax requirement, and place a title problem into one of the three questions.

## Key terms

| Term | Definition |
|---|---|
| **Deed** | The written instrument conveying an interest in real property. The gran**tor** gives; the gran**tee** takes. |
| **Deed requirements** | Writing, competent grantor, ascertainable grantee, adequate property description, granting language, grantor's signature, and **delivery and acceptance**. |
| **What a deed does not require** | Consideration for validity, the grantee's signature, recording, or notarization for validity — though acknowledgment is generally required to **record**. |
| **Granting clause** | The words showing present intent to convey. In California, **"grant"** carries statutory significance. |
| **Habendum clause** | Defines the extent of the estate conveyed. |
| **General warranty deed** | The broadest warranties, extending through prior ownership. Uncommon in California residential practice. |
| **Grant deed** | The standard California residential instrument, impliedly warranting that the grantor has not previously conveyed the same estate and that the estate is free of encumbrances **made or suffered by the grantor** — limited to the grantor's own ownership. |
| **Quitclaim deed** | Conveys whatever interest the grantor has, **warranting nothing**. Does not clear liens and cannot make title better than the grantor's. |
| **Trustee's deed** | Given following a trustee's sale under a deed of trust. |
| **Deed in lieu of foreclosure** | A borrower's voluntary conveyance to the lender. Does not automatically extinguish junior liens. |
| **Reconveyance** | The recorded document releasing a deed of trust when the debt is satisfied. **Payment does not clear the record; the document does.** |
| **Delivery** | The grantor's **present intent to pass title now**, manifested by conduct. Not primarily physical, and not accomplished by signing, notarizing, or recording. |
| **Failed testamentary delivery** | A deed handed over or held with instructions to take effect at death — generally ineffective, because the grantor retained control. |
| **Conditional delivery** | Deposit into escrow with instructions to deliver on conditions being met. One of the two elements making an arrangement an escrow. |
| **Acceptance** | Required of the grantee, generally presumed where beneficial, and refusable for real reasons — contamination liability, assessments exceeding value. |
| **Forged deed** | **Void**, conveying nothing regardless of how many transfers follow. |
| **Actual notice** | The person in fact knows. |
| **Constructive notice** | Knowledge the law charges a person with because a document was recorded. The system's engine. |

| Term | Definition |
|---|---|
| **Inquiry notice** | Knowledge charged from facts that would prompt investigation — an occupant who is not the record owner, a worn path, rent paid to someone else. |
| **Bona fide purchaser** | One who takes **for value**, **in good faith**, and **without notice**. The party the recording system protects. |
| **First in time, first in right** | The general priority rule, measured by recording, subject to tax lien priority, mechanic's lien relation-back, subordination, and purchase-money priority. |
| **Chain of title** | The successive recorded conveyances tracing ownership. A break is a defect. |
| **Wild deed** | A recorded document outside the chain, which a searcher following the chain would not find — so recording it may not give constructive notice. |
| **Preliminary report** | A report of record title stating the terms on which a policy would issue. Not a guarantee, not the policy, not a survey. |
| **Exception** | An item the policy will not insure against. |
| **Exclusion** | A category the policy form does not cover at all. |
| **Requirement** | Something the insurer needs before issuing — the item with a deadline attached. |
| **Backward-looking coverage** | Title insurance covers defects already existing in the record or chain, discovered later, for a premium generally paid once. |
| **Survey exception** | Why a standard policy does not insure boundary location. |
| **Testate / intestate / escheat** | Death with a valid will; without one, passing by intestate succession; or to the state where there are no heirs. |
| **Adverse possession** | Title by possession that is open and notorious, hostile, actual, exclusive, and continuous for the statutory period — and in California, **with payment of taxes**. |
| **Accretion / erosion / avulsion / reliction** | Gradual deposit; gradual loss; sudden change, which generally does not shift boundaries; and land exposed by permanent recession of water. |
| **Dedication** | A private owner devoting land to public use, accepted by the public body. Common on subdivision maps. |

## Practice problems

### Problem 1

A deed recites consideration of "love and affection," is signed only by the grantor, was never recorded, and was never notarized. A licensee tells the grantee it is "not a real deed."

**Assess each element.**

> **Solution. The licensee is wrong on all four, and right about one practical consequence he did not identify.**

> **Consideration is not required for validity.** A deed may be a gift. Consideration matters elsewhere — including whether someone qualifies as a **bona fide purchaser** under the recording system — but a deed reciting love and affection can be perfectly valid.
>
> **The grantee need not sign.** The grantor conveys; the grantee's acceptance is required and is generally presumed where the conveyance is beneficial.
>
> **Recording is not required for validity.** A deed transfers title between grantor and grantee on **delivery and acceptance**, recorded or not. Recording protects against **third parties**; it does not create the transfer.
>
> **Notarization is not required for validity** — but a deed must generally be acknowledged before a notary to be **recorded**. So this deed may be valid and **unrecordable**, which is the real problem the grantee will discover later, and the one the licensee missed.
>
> Whether it is effective is a legal conclusion in any event. Route it.

## Problem 2

A seller offers a quitclaim deed, saying it will "clear up" a recorded judgment lien and an unreleased 1998 deed of trust. The buyer's agent says a quitclaim is fine since the seller obviously owns the property.

**Assess.**

> **Solution. A quitclaim conveys whatever interest the grantor has, warranting nothing** — and it does **not clear liens against the property.** The judgment lien and the unreleased deed of trust survive it untouched.
>
> **The 1998 deed of trust requires a recorded reconveyance.** Payment of the debt does not clear the record; the document does.
>
> **The agent's reasoning is backwards.** A quitclaim is risky precisely because it makes no representation about what the grantor owns — if the grantor owned nothing, the buyer receives nothing. In an arm's-length purchase the buyer normally receives a **grant deed**, which impliedly warrants that the grantor has not previously conveyed the same estate and that it is free of encumbrances **made or suffered by the grantor.**
>
> Note the limit that explains title insurance: those warranties reach only the grantor's own period of ownership. A grant deed warrants nothing about a defect created in 1974.
>
> **And a licensee must not advise a client to give or accept a quitclaim as a solution to a title problem.** Whether it resolves a particular cloud is legal, and quitclaims are used to accomplish frauds precisely because they warrant nothing.

## Problem 3

A father signs and notarizes a deed to his daughter, puts it in his safe, and tells her "this is yours when I'm gone." He dies four years later. She finds the deed and records it.

**Did title transfer?**

> **Solution. Generally not — and recording it did not fix anything.**
>
> **A deed transfers title on delivery and acceptance.** Signing does not. Notarizing does not. Recording does not.

> **Delivery is not primarily physical; it is the grantor's present intent to pass title now.** "This is yours when I'm gone" is the opposite: he retained the deed and retained control, and manifested an intent to transfer at death. That is an attempted **testamentary** transfer, which generally fails because it was not made with the formalities a will requires.
>
> **Recording raises a presumption of delivery — and a presumption can be rebutted.** A deed recorded by a grantee who took it from a drawer without the grantor's present intent to convey did not become effective by being recorded.
>
> **What the licensee does:** recognize the pattern, stop, escalate to the broker, and route it to title and to counsel. Whether delivery was effective is a legal conclusion with enormous consequences — and this property may in fact pass through the father's estate instead.

### Problem 4

A buyer's title search is clean. On the property he notices a tenant in the guest house paying rent to someone other than the seller, and a gravel path worn across the rear of the lot to the neighbor's barn. The seller calls the tenant "a friend staying temporarily."

**What notice is in play, and what should happen?**

> **Solution. Inquiry notice — the kind that surprises buyers, because nothing was recorded.**
>
> **Constructive notice** is the system's engine: a recorded document is knowable by anyone who looks, so everyone is treated as knowing it. But **leases, occupancy agreements, unrecorded easements arising by implication or prescription, and side agreements are frequently not recorded** and are therefore invisible to a records search.
>
> **That gap is what inquiry notice covers.** An occupant who is not the record owner, rent paid to a third party, and a worn path to a neighbor's structure are textbook facts that would prompt a reasonable person to investigate — and a purchaser may be charged with **what the investigation would have revealed**, recorded or not.
>
> **This also threatens bona fide purchaser status**, which requires taking for value, in good faith, and **without notice** — actual, constructive, or inquiry.
>
> **What should happen:** investigate rather than accept the explanation. Ask for any written agreement with the occupant, route the path to a survey and to counsel, and do not treat "a friend staying temporarily" as a description of a possessory interest. **Physical inspection is a separate obligation from reading the title report**, precisely because of this gap.

### Problem 5

A buyer asks whether the neighbor's fence is on the line. His agent says the title report "came back clean" and that the owner's policy will cover it if there is a problem. The buyer also declines an owner's policy because the lender is getting one.

**Correct all three.**

> **Solution. "Clean" answers a question he did not ask.** A preliminary report and a policy address **record title** — what the records show about ownership and encumbrances. They are **not surveys**, and the standard policy **excepts** matters a survey would disclose. **Nothing in the report speaks to where the fence is.**
>
> **The policy will not cover it either.** Boundary location under a standard policy is the survey exception, and an **exception is an item the policy will not insure against.** Also outside coverage: zoning and governmental regulation, physical condition, matters the insured created or agreed to, and matters known to the insured and not disclosed.
>
> **Declining the owner's policy is not economizing on a duplicate.** The owner's policy insures the **buyer's interest**; the lender's insures the **lender's lien and its priority.** They insure different interests, which is why both exist — and declining leaves his own interest uninsured.
>
> **What to say:** the report doesn't address that, a survey does, here is how to get one before the contingency expires — and **extended coverage** may address some survey matters, typically requiring a survey or other evidence, which is his decision to make informed.

### Problem 6

A preliminary report shows: recorded CC&Rs; a utility easement along the rear line where the buyer plans to build; an unreleased deed of trust from 2016; a judgment against a similarly named person; a lis pendens; and a requirement for evidence of the trustee's authority. It arrives on day twelve of a fourteen-day review.

**Handle each, and state what went wrong first.**

> **Solution. The timing failure came first.** The preliminary report and its underlying documents belong at the **front** of the queue, with association documents and hazard-area insurance quotes. An unreleased lien needing a document from a lender that may no longer exist, discovered on day twelve, leaves a formality where a review should have been.
>
> **CC&Rs:** obtain and review; they bind the buyer regardless of zoning.
>
> **The easement:** obtain the document — width, location, permitted use. It may prevent exactly what he is buying the lot to build. Do **not** call it routine, ask title to remove it, or predict its effect on his plans.
>
> **The 2016 deed of trust:** a recorded **reconveyance** must be obtained.
>
> **The similar-name judgment:** route to title. A judgment lien is general and reaches everything the debtor owns in the county — do not assume it is or is not the seller.
>
> **The lis pendens:** a serious cloud giving notice that pending litigation may affect anyone acquiring an interest. Route to counsel immediately.
>
> **The trustee evidence is a requirement, not an exception** — something the insurer needs before issuing, and therefore **the item with a deadline attached.** It is the Lesson 03 authority verification arriving through the title company.

### Problem 7

A client says her family has farmed a 40-foot strip beyond her fence line for twenty-two years, so it is "obviously ours now." The adjoining owner's agent says there is nothing his client can do about it. Neither family has ever paid taxes on the strip.

**Assess both positions.**

> **Solution. Both agents have stated legal conclusions, and both may be wrong — but the tax fact is decisive against the claim.**
>
> Adverse possession requires possession that is **open and notorious, hostile, actual, exclusive, and continuous** for the statutory period — **and in California, payment of taxes.** Nobody paid taxes on the strip.
>
> **The tax requirement is the practical filter.** It defeats most casual claims exactly like this one, because a person occupying without paying the taxes generally cannot satisfy it.
>
> **Neither agent may say so as a conclusion.** "It's obviously ours" and "there's nothing you can do" are the mirror images of the same error, and the elements are fact-intensive.
>
> Worth naming alongside it: **prescriptive easements** arise from the same family of doctrines and produce a **use right rather than ownership** — so a claim that fails as adverse possession may still raise a use question.
>
> **Both positions go to counsel**, and the boundary itself goes to a surveyor.

### Problem 8

Three chains of title cross a licensee's desk: one containing a trustee's deed from 2019; one where a conveyance appears from a grantor who never appears as a grantee; and one where a subdivision map shows a 15-foot strip along the frontage offered for dedication, which the buyer measured as part of his lot.

**Identify the issue in each and place it in the lesson's three questions.**

> **Solution. The trustee's deed** signals a completed foreclosure. A buyer at a trustee's sale takes what the sale conveyed — which may have extinguished junior liens but not senior ones — and the property was sold without an ordinary transaction's protections. It is a **"who has notice and whose interest prevails"** question: the buyer's counsel and title company should read what the sale did to the surrounding interests.
>
> **The conveyance from a stranger to the chain is a break in the chain** — a defect requiring resolution. If the instrument sits entirely outside the chain it may be a **wild deed**, which a searcher following the chain would not find, so recording it may not have given constructive notice. That is a **"did title actually transfer"** question.
>
> **The dedicated strip is land the owner no longer controls.** Dedication is a private owner devoting land to public use, accepted by the public body, and it appears routinely on subdivision maps where streets and easements are offered as a condition of approval. The buyer measured to the pavement and bought less than he thinks. That is a **"what risk is insured and what is not"** question — and a description and survey question besides.
>
> **What transfers:** every problem in this lesson is one of three — did title transfer, who has notice and whose interest prevails, and what is insured. A licensee who can place a problem and route it is doing the job. One who answers it is not.

## Chapter summary

**A deed requires a writing, a competent grantor, an ascertainable grantee, an adequate description, granting language, the grantor's signature, and delivery and acceptance.**

**It does not require consideration, the grantee's signature, recording, or notarization for validity** — though acknowledgment is generally needed to record, so an unacknowledged deed may be valid and unrecordable.

**Deeds differ by what the grantor warrants.** A California grant deed impliedly warrants no prior conveyance of the same estate and no encumbrances made or suffered by the grantor — **limited to the grantor's own ownership**, which is precisely why title insurance exists.

**A quitclaim warrants nothing, clears no liens, and cannot make title better than the grantor's.** Never advise giving or accepting one as a title solution.

**Title transfers on delivery and acceptance.** Signing, notarizing, and recording do not transfer title, and a deed held with instructions to take effect at death generally fails.

**Recording raises a presumption of delivery that can be rebutted**, and a forged deed is void no matter how many transfers follow.

**Recording answers who has notice.** Constructive notice comes from the record; **inquiry notice** comes from facts on the ground — and the unrecorded world of leases, occupancies, and implied easements is exactly why physical inspection is a separate obligation.

**The recording system protects the bona fide purchaser** — for value, in good faith, without notice.

**First in time, first in right**, subject to tax lien priority, mechanic's lien relation-back, subordination, and purchase-money priority. Priority decides who is paid and whose interest survives foreclosure.

**A preliminary report states the terms on which a policy would issue.** Distinguish **exceptions** (risks not insured), **exclusions** (categories outside the policy), and **requirements** (the items with deadlines). Order it early.

**Title insurance looks backward**, covers defects already in the record or chain, and does not cover zoning, physical condition, boundary location under a standard policy, or what the insured created or concealed. Owner's and lender's policies insure different interests.

**Voluntary transfer occurs with intent; involuntary transfer does not** — intestate succession, escheat, eminent domain, foreclosure, execution and tax sales, adverse possession, and natural forces.

**Adverse possession in California requires payment of taxes**, which defeats most casual claims — and it is never a licensee's conclusion.

**Every problem in this lesson is one of three questions:** did title transfer, who has notice and whose interest prevails, and what is insured. Place it, and route it.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. State whether title transferred and identify which deed requirement is in question, identify the deed type involved and what it does and does not warrant, identify every form of notice in play including anything giving rise to inquiry notice, distinguish the exceptions from the exclusions and requirements on the report given and state what must be obtained and by when, identify what you would route to title, to a surveyor, and to counsel, and state what you would decline to conclude and why. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** An elderly owner signs a grant deed transferring her home to her nephew, has it notarized, and locks it in her desk, telling a friend the nephew should have the house 'when I am gone.' She dies two years later without ever giving him the deed. The nephew finds it and records it. Another relative disputes the transfer. What is the central legal issue?

**A. Whether the deed was ever delivered with the present intent to transfer title, since a deed takes effect on delivery and acceptance rather than on signing, notarization, or recording.**

B. Whether the deed was properly notarized, since notarization is what makes a deed valid.

C. Whether the nephew recorded the deed within a required period after the owner's death.

D. Whether the deed named the nephew with sufficient certainty to identify him as grantee.

**Answer: A.** Delivery with present intent to pass title is what makes a deed operative, and an intent that the transfer occur at death points toward a testamentary disposition rather than a completed conveyance. Notarization enables recording rather than creating validity, recording does not substitute for delivery, and the grantee's identity is not in doubt.

## Engagement check — 5 items, 80% required

**1.** Which is required for a valid deed?

**A. A competent grantor, an identifiable grantee, words of conveyance, an adequate description of the property, and the grantor's signature.**

B. Notarization and recording in the county where the property is located.

C. The grantee's signature accepting the conveyance.

D. A recital of the actual consideration paid for the property.

**Answer: A.** Those five elements make a deed valid. Notarization and recording concern the public record, the grantee does not sign, and the actual consideration need not be recited.

**2.** How does a grant deed differ from a quitclaim deed?

**A. A grant deed carries implied warranties that the grantor has not previously conveyed the property and has not encumbered it, while a quitclaim conveys only whatever interest the grantor may have, with no warranties.**

B. A grant deed conveys full ownership while a quitclaim conveys only a partial interest.

C. A grant deed must be recorded while a quitclaim need not be.

D. A grant deed is used between strangers while a quitclaim is used between family members.

**Answer: A.** The difference is the warranties, not the quantity conveyed: a quitclaim from a full owner conveys full ownership. Recording practice and the parties' relationship do not define the instruments.

**3.** What is the primary legal effect of recording a deed?

**A. It gives constructive notice to the world of the interest, protecting the grantee against later claimants.**

B. It makes an otherwise invalid deed valid.

C. It transfers title from the grantor to the grantee.

D. It guarantees that the grantor held marketable title.

**Answer: A.** Recording is about notice and priority. Title passes on delivery and acceptance, recording cannot cure an invalid deed, and it makes no guarantee about the state of the grantor's title.

**4.** What does a preliminary report accomplish that a title search alone does not?

**A. It states the terms and exceptions on which the title insurer would be willing to issue a policy, which is an offer to insure rather than a mere report of the record.**

B. It certifies that title is free of all defects as of its date.

C. It resolves any liens or encumbrances discovered in the record.

D. It substitutes for the policy once escrow closes.

**Answer: A.** The preliminary report is an offer to insure on stated terms. It certifies nothing, clears nothing, and is superseded by the policy rather than replacing it.

**5.** Which is an example of an involuntary transfer of title?

**A. Escheat to the state when an owner dies without a will and without heirs.**

B. A gift of real property from a parent to a child.

C. A sale of property through escrow to an unrelated buyer.

D. A transfer of property into the owner's own living trust.

**Answer: A.** Escheat occurs by operation of law without the owner's act. Gifts, sales, and transfers into one's own trust are all voluntary.

## Remediation set — served only after a failed engagement check

**1.** Two deeds to the same property are executed by the same owner to different buyers. The second buyer records first without knowledge of the earlier deed. What principle governs the outcome?

**A. Recording and notice rules, under which a later purchaser who takes in good faith without notice and records first may prevail over an earlier unrecorded interest.**

B. The order in which the deeds were signed, which always controls.

C. The amount paid by each buyer, with the higher price prevailing.

D. The relationship of each buyer to the seller.

**Answer: A.** This is why recording matters: the first-signed deed can lose to a later good-faith purchaser who records first. Price and relationship are irrelevant to priority.

**2.** What is the difference between actual notice and constructive notice?

**A. Actual notice is knowledge a person genuinely has; constructive notice is knowledge the law imputes, such as from the public record or from someone's visible possession.**

B. Actual notice comes from the public record; constructive notice comes from personal communication.

C. Actual notice binds only the parties; constructive notice binds third parties.

D. Actual notice applies to liens while constructive notice applies to deeds.

**Answer: A.** The distinction is between what someone knows and what the law charges him with knowing. The record and visible possession are sources of constructive notice, not of actual notice.

**3.** A buyer is told the seller will 'convey by quitclaim to keep it simple.' What should the buyer understand?

**A. He receives whatever interest the seller has, with no warranty that the seller has any interest at all, so the state of title matters even more than usual.**

B. He receives the same protection as a grant deed, since the instruments have the same effect once recorded.

C. He receives no interest until the seller confirms ownership separately.

D. He receives full title, since a quitclaim from the record owner conveys everything.

**Answer: A.** A quitclaim passes whatever the grantor has, which could be everything or nothing, and carries no warranties either way. That is precisely why it does not equal a grant deed.

**4.** What is the function of title insurance as distinct from the preliminary report?

**A. The policy indemnifies the insured against covered losses from title defects, within its terms and excluding the items it excepts.**

B. It guarantees that no defects exist in the property's title.

C. It insures the physical condition of the property against loss.

D. It transfers responsibility for clearing exceptions to the insurer.

**Answer: A.** Title insurance is indemnity for covered losses, bounded by exclusions and exceptions. It does not guarantee perfect title, does not insure physical condition, and does not assume the job of clearing what it excepts.

**5.** Why does a buyer's possession of a property matter to a subsequent purchaser?

**A. Visible, open possession by someone other than the record owner may put a later purchaser on inquiry notice of that person's rights.**

B. It has no legal effect, since only the recorded documents matter.

C. It automatically creates an ownership interest in the possessor.

D. It obligates the record owner to disclose the possessor's identity.

**Answer: A.** Possession is a classic source of inquiry notice, which is why searching only the record can be insufficient. It neither creates ownership by itself nor triggers a disclosure duty on the owner.

# Real Estate Principles - Lesson Assignment 10

## Escrow, settlement, and transaction chronology

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Explain what makes an arrangement an escrow and what the escrow holder's neutrality forbids.
- Describe how escrow instructions are created, how they relate to the purchase agreement, and what happens when they conflict.
- Explain the handling of deposits and documents, including what escrow may and may not do with a disputed deposit.
- Compute prorations and read a closing statement, identifying which party is debited and credited for each item.
- Sequence signing, funding, recording, and disbursement, and explain why the order is deliberate.
- Build the post-closing record and state what must never be done to a file.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: the escrow holder's role and instructions | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: deposits, documents, and prorations | 50 | Sections 3-4 viewed |
| Guided reading: recording, disbursement, and post-closing records | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. The escrow holder's role

### 1.1 What escrow is

**Escrow** is a neutral third party holding funds and documents under the parties' conditional delivery, authorized to act **only according to their mutual written instructions.**

Two elements make an arrangement an escrow, and both are required:

1. **A binding contract between the parties.**
2. **Conditional delivery** to a neutral holder.

Without both, what exists is a stakeholder arrangement, not an escrow. The conditional delivery element connects directly to Lesson 09: a deed deposited with escrow, to be delivered when conditions are met, is the textbook conditional delivery.

### 1.2 Why escrow exists

The problem escrow solves is simultaneity. A buyer will not release funds before receiving title; a seller will not release title before receiving funds. Neither will go first.

Escrow breaks the impasse by having both go first **to a neutral party**, who releases to each only when the conditions are satisfied. That single function explains every rule that follows.

### 1.3 Neutrality, and what it forbids

Escrow's neutrality is not a courtesy. It is the structural feature that lets both parties rely on the same holder.

| Escrow may | Escrow may not |
|---|---|
| Follow mutual written instructions | Act on one party's instruction alone |
| Hold funds and documents | Advise either party |
| Prepare and circulate documents per the instructions | Decide a dispute between the parties |
| Record and disburse when conditions are met | Release funds because one party says they are entitled |
| Report status to both parties | Take a position on who is right |

Escrow is sometimes described as a **limited dual agent** — owing duties to both parties simultaneously, bounded strictly by the instructions. That description is useful because it explains why escrow **stops** rather than deciding when the parties disagree.

### 1.4 A worked test of neutrality

> The day before recording, the buyer emails escrow: hold back $3,000 from the seller's proceeds for a repair the seller promised verbally. The seller knows nothing about it. The buyer's agent emails escrow confirming the request is legitimate.
>
> **Escrow may not act on it.** A change to the disbursement requires mutual written instructions; one party cannot redirect funds.
>
> **Nor may escrow simply disburse in full**, which also acts on one side's position where a genuine dispute has been raised.
>
> **Nor does the agent's confirmation supply the missing consent.** An agent is not the other party.
>
> **The correct outcome: escrow stops.** The parties resolve it in writing and the resolution reaches escrow as a mutual instruction. The agents' job is to get that done before the closing date, not to argue with escrow about its role.

### 1.5 Who may act as escrow holder

California regulates escrow activity, and escrow services in real estate transactions are provided by licensed escrow companies and by other entities operating under exemptions applicable to their own business — including certain financial institutions, title companies, and attorneys and brokers acting in transactions in which they are otherwise involved.

**A broker performing escrow in a transaction the broker is handling is operating under an exemption with limits.** Whether a particular arrangement fits within one is a legal and licensing question, and it is not a decision an individual licensee makes.

### 1.6 Selection and the referral prohibition

Selection of the escrow holder is negotiable between the parties and is often addressed in the purchase agreement. Two points:

**A licensee must not accept anything of value for directing settlement business.** Referrals are ordinary; payment for them is a serious federal problem, and **disclosure does not cure it.**

**Where the brokerage has a financial interest** in an escrow or title provider, that is an **affiliated business arrangement**, carrying disclosure obligations and other conditions.

### 1.7 Checkpoint

You should be able to state the two elements of an escrow, explain what neutrality forbids, and say what escrow does when one party instructs it alone.

## 2. Escrow instructions

### 2.1 What they are

**Escrow instructions** are the parties' written directions to the escrow holder: what to collect, what to prepare, what conditions must be satisfied, and what to do when they are.

They are how the purchase agreement gets executed operationally. Everything escrow does traces to an instruction.

### 2.2 The relationship to the purchase agreement

This is the point licensees must be able to explain.

> **Escrow's instructions implement the purchase agreement. Where they conflict, the parties' agreement governs, and the discrepancy is reconciled by the parties in writing — not by escrow deciding.**

An escrow opened on an incomplete contract, or without the amendment that changed a term, will produce instructions that do not match the agreement. That surfaces later, usually at the worst time, and the parties then discover they have two documents saying different things about what they agreed.

### 2.3 Opening escrow properly

What escrow needs at opening:

- **The fully executed purchase agreement and all amendments.**
- The parties' contact and identification details.
- The deposit, per the contract's terms and within its time.
- Lender contact where financing is involved.
- Title order details.

**The licensee's contribution is accuracy and completeness.** Delivering a partially executed contract, or omitting the amendment signed last week, guarantees a mismatch.

### 2.4 Amending instructions

Instructions are amended the same way the contract is: **in writing, signed by both parties.**

An email from an agent does not amend escrow instructions any more than it amends the contract. Where the parties change a term, the sequence is: signed amendment to the contract, then delivery to escrow so the instructions match.

### 2.5 What escrow will not do with instructions

- **Interpret ambiguous instructions to favor one side.** Escrow asks for clarification.
- **Follow an instruction from one party that changes another party's rights.**
- **Advise a party whether an instruction is a good idea.**
- **Proceed where the instructions conflict with the agreement** without the parties reconciling it.

### 2.6 Reconciliation is the licensee's job

Nobody else compares the instructions against the agreement line by line. Escrow prepares them from what it received; the lender reads its own documents; the parties read the summary.

**A licensee should read the instructions against the contract and every amendment**, and raise discrepancies immediately. Price, deposit, closing date, what conveys, cost allocation, credits, and possession are the recurring places where a mismatch appears.

### 2.7 Checkpoint

You should be able to state what governs when instructions conflict with the agreement, and describe what a licensee should reconcile and when.

## 3. Deposit and document handling

### 3.1 The deposit

The deposit — earnest money — performs two functions: it signals commitment, and it is the fund from which a seller's remedy is typically drawn if the buyer defaults.

Points the buyer must understand **before** he offers it:

**Where it goes.** To escrow, per the contract's terms, within the time the contract specifies. A deposit that never reached escrow on schedule is a performance problem.

**When it is at risk.** Not on any change of mind. A buyer acting **within a contingency** generally has a path to recover it. Once contingencies are removed, the exposure changes materially.

**Liquidated damages.** Where the parties agreed in advance that a specified amount will be the seller's recovery on default, that provision must have been properly agreed, its enforceability is constrained by law, and it generally **limits** rather than adds to the recovery. It is not a penalty the seller may simply impose.

## 3.2 The disputed deposit

Buyers and sellers both assume the deposit follows automatically from who was right. **It does not.**

> **Escrow may act only on mutual written instructions. Where the parties disagree, escrow holds — pending mutual instruction, or resolution through the contract's dispute resolution provisions or the courts.**

A licensee's role is to **explain the mechanism**, not to predict the outcome or advise on entitlement. Whether a party is entitled to a deposit is a legal question, and it arrives in an emotional moment when a confident answer is exactly what the client wants.

## 3.3 Trust funds and the licensee

Where a deposit passes through the brokerage rather than directly to escrow, it is a **trust fund**, and the rules from Lesson 15 apply in full: separation from the brokerage's own funds, complete records identifying whose funds they are, and timely handling.

**A deposit check held in a desk drawer over a weekend is a trust fund handling problem**, whatever the intention, and the requirement runs to the broker.

## 3.4 Documents escrow handles

Escrow collects, prepares, and circulates the documents the instructions call for: the deed, the loan documents from the lender, payoff demands, statements of information, transfer tax declarations, and the closing statements.

Two categories deserve attention.

**Payoff demands.** Escrow obtains from each lienholder a statement of what satisfies the obligation. **A payoff includes accrued interest to the payoff date and other amounts owed under the note** — routinely more than the principal balance, and routinely a surprise to sellers who were never told.

**The statement of information.** A confidential form collecting identifying details so the title company can distinguish the parties from similarly named people in the records. It is how the judgment-against-a-similar-name problem from Lesson 05 gets resolved, and clients who resist providing it should be told what it is for.

### 3.5 Identity, fraud, and verification

Escrow verifies identity, and licensees should understand why: seller impersonation fraud — in which someone purporting to own a property, often unimproved or non-owner-occupied, attempts to sell it — is a recurring pattern.

The transaction-side signals from Lesson 13 of the Practice course apply here: a seller who never appears and acts only through an intermediary, identification that does not match other documents, urgency to close combined with changing parties or funding sources, and instructions to send proceeds somewhere unexpected.

**A licensee who notices the pattern escalates to the broker.** A licensee does not investigate alone, confront, or warn a suspected participant.

### 3.6 Wire fraud

The highest-risk moment in the transaction is when funds move, and it belongs in every escrow discussion:

1. **Warn the client in writing, at the start of escrow**, that wire instructions will never be changed by email and that they must verify by voice before sending.
2. **Verify by calling escrow at an independently obtained number** — from the engagement documents or the company's published listing, **never** a number from the email carrying the instructions.
3. **Treat any change to instructions as presumptively fraudulent** until verified through that independent channel.

Sent early, the warning costs nothing and prevents the largest single loss a residential client can suffer. Sent the day funds move, it arrives after the attacker has established the thread.

### 3.8 The trust fund statute, in the broker's own words

Section 3.1 described the handling of a deposit. The rule behind it is **Business and Professions Code § 10145**, and it is the section most often cited in Department discipline, so it is worth having exactly.

> *"(a)(1) A real estate broker who accepts funds belonging to others in connection with a transaction subject to this part shall deposit all those funds that are **not immediately placed into a neutral escrow depository** or **into the hands of the broker's principal**, into a **trust fund account maintained by the broker in a bank or recognized depository in this state**. All funds deposited by the broker in a trust fund account **shall be maintained there until disbursed by the broker in accordance with instructions from the person entitled to the funds**."*

**Read it as a decision tree, because that is how it operates.** A broker receiving funds belonging to another has exactly three lawful destinations:

1. **A neutral escrow depository**, immediately; or
2. **The hands of the broker's principal**, immediately; or
3. **The broker's trust fund account**, in a bank or recognised depository **in this state**.

**There is no fourth.** A general business account is not on the list. A personal account is not on the list. A desk drawer is not on the list. **The absence of a fourth option is the whole of trust fund law**, and every commingling case is a broker who invented one.

**"Until disbursed … in accordance with instructions from the person entitled to the funds."** Once in the trust account, the money leaves on the instruction of the person entitled to it — not on the broker's judgment about who ought to have it, and not because a transaction has fallen apart and the broker has formed a view about who is at fault. **A dispute over a deposit is a dispute the broker holds the money through**, and this sentence is why.

### 3.9 Who may sign, and the condition attached to the last one

Section 10145 then addresses withdrawals, and the structure is unusually specific:

> *"(a)(2) Withdrawals may be made from a trust fund account of an individual broker* ***only upon the signature of that broker****, or in the case of a corporate broker, only upon the signature of an officer through whom the corporation is licensed …,* ***or one, or more, of the following persons if specifically authorized in writing by the individual broker or officer****: (A) A* ***real estate salesperson licensed to the broker****. (B)* ***Another broker*** *acting pursuant to a written agreement with the individual broker … (C)* ***An unlicensed employee of the individual broker, if the broker has fidelity bond or insurance coverage*** *equal to at least the maximum amount …"*

**Three points, and the third is the one people miss.**

**The default is the broker's own signature.** Anyone else signing needs specific written authorisation from the broker or, for a corporate broker, from the licensed officer. Verbal authorisation is not on the list.

**A salesperson may be authorised.** Being licensed to the broker is what qualifies them; the written authorisation is what empowers them.

**An unlicensed employee may also be authorised — but only with a bond.** Subdivision (C) attaches a condition the other two do not carry: **fidelity bond or insurance coverage** at least equal to the maximum amount of trust funds the employee has access to. The Legislature was willing to let an unlicensed person sign on a trust account, and unwilling to let it happen uninsured. **A brokerage that authorises a bookkeeper without the bond has satisfied the form of subdivision (C) and not its condition**, which in an audit is indistinguishable from not having complied at all.

### 3.10 What auditors actually find

The failures are few in number and they repeat. A licensee who knows the five will recognise them in a brokerage before an auditor does.

| Finding | What it looks like | Why it is serious |
|---|---|---|
| **Commingling** | Trust funds in the operating account, even briefly, even by accident | § 10145 lists three destinations and this is not one of them. Intent is not an element |
| **Trust account shortage** | The account balance is less than the sum of what is owed to beneficiaries | Money belonging to one beneficiary is being used for another. This is the finding that ends careers |
| **No beneficiary ledger** | A bank balance with no per-person record behind it | Without ledgers, no one can show whose money is whose — the account cannot be proved correct even if it is |
| **Unauthorised signatory** | A person signing who has no specific written authorisation, or an unlicensed employee with no bond | § 10145(a)(2), read literally |
| **Disbursement against a dispute** | The broker releases a deposit to one side of an argument | *"in accordance with instructions from the person entitled to the funds"* — a contested deposit has no such instruction yet |

**The reconciliation habit that prevents four of the five.** Monthly, three figures must agree: the **bank statement balance**, the **book balance**, and the **sum of all beneficiary ledgers**. Reconciling bank against book alone will balance a trust account that is missing a beneficiary's money entirely. **The third leg is what makes the reconciliation mean something**, and it is the one most often skipped.

## 3.11 A worked shortage

> A brokerage holds deposits for four transactions: $15,000, $22,000, $8,500 and $40,000 — $85,500 in total. The bank statement shows $79,300. The broker explains that $6,200 was drawn last month to cover a payroll shortfall and will be replaced when a commission funds next week.

**This is a trust fund shortage of $6,200, and it is not cured by the intention to replace it.**

Notice what has actually happened. The four beneficiaries are owed $85,500 and the account holds $79,300. **Every one of them is now partially secured by a promise rather than by money**, and none of them was asked. If two of them demanded their funds tomorrow, the broker could pay them — using the third and fourth beneficiaries' money. **That is the mechanism by which a small shortage becomes a large one**, and it is why the finding is treated as it is.

**Three separate violations are visible in one sentence of explanation.** Funds were not maintained in the trust account until disbursed on the instruction of the person entitled to them (§ 10145(a)(1)); funds belonging to others were used for the broker's own purpose; and the disbursement went to a payee no beneficiary instructed.

**What a salesperson who learns this should do.** Not investigate, and not confront. **Escalate in writing to the broker, and if the broker is the problem, to counsel.** A salesperson who says nothing has knowledge of a trust fund shortage, and knowledge is a difficult thing to explain later.

### 3.12 Checkpoint

You should be able to explain what happens to a disputed deposit, why a payoff exceeds the principal balance, and what the wire fraud warning must say and when it must be sent.

## 4. Proration and closing statements

### 4.1 What proration is

**Proration** allocates continuing charges and credits between seller and buyer at the ownership boundary, so each bears the portion attributable to their period.

Items commonly prorated: property taxes, association dues, special assessment installments, prepaid or accrued rents on income property, tenant security deposits (transferred rather than prorated), and interest on an assumed loan.

### 4.2 The mechanics

Three questions produce every proration:

1. **What period does the charge cover?**
2. **Has it been paid, or is it owed?**
3. **Where does the ownership boundary fall?**

The two outcomes:

| Situation | Effect |
|---|---|
| Seller **prepaid** beyond the boundary | Seller is **credited**; buyer is **debited** — the buyer reimburses the seller |
| Charge is **owed** for the seller's period | Seller is **debited**; buyer is **credited** — the buyer will pay it |

**Escrow computes the final figures.** A licensee should be able to explain the concept and check that an estimate is in the right range, and should not attempt to produce the operative numbers.

### 4.3 Worked prorations

> **Taxes.** Annual property taxes of $7,300 are paid through June 30. Closing is May 31, and the parties prorate on a 365-day basis with the day of closing to the buyer.
>
> The seller prepaid July 1 through June 30 but owns only through May 30. The buyer's period is **May 31 through June 30 = 31 days.**
>
> Daily rate: $7,300 ÷ 365 = **$20.00 per day.** 31 × $20.00 = **$620.00.**
>
> **Seller credited $620.00; buyer debited $620.00.** The buyer reimburses the seller for the period the seller paid but the buyer owns.

> **Association dues.** Monthly dues of $450 are paid for the current month. Closing is the 12th of a 30-day month, day of closing to the buyer.

> Daily rate: $450 ÷ 30 = $15.00. Buyer's days: the 12th through the 30th = **19 days.** 19 × $15.00 = **$285.00.** Seller credited, buyer debited.

> **Rent on income property.** A tenant paid $2,400 rent on the 1st for a 30-day month. Closing is the 10th, day of closing to the buyer.
>
> The seller collected rent covering days the buyer will own: the 10th through the 30th = **21 days.** $2,400 ÷ 30 = $80.00 per day × 21 = **$1,680.00.**
>
> **Seller debited $1,680.00; buyer credited $1,680.00** — the opposite direction from the tax example, because here the seller holds money for the buyer's period rather than having paid for it.

### 4.4 The conventions that change the answer

**The day-count basis.** A 365-day year and a 360-day year with 30-day months produce different daily rates. The contract or local custom specifies which.

**Who gets the day of closing.** Assigning it to the buyer or the seller shifts one day's worth.

**The tax year.** California's property tax year and installment schedule do not align with the calendar year, and a licensee who prorates as though they do will be wrong.

**Read the convention rather than assuming it.** This is the same discipline as reading the contract's definition of how time is counted.

### 4.5 The closing statement

The closing statement — and, where the transaction involves a consumer mortgage, the lender-required closing disclosure — shows each party's debits and credits and the resulting cash position.

The structure:

| Side | Typical entries |
|---|---|
| **Seller's debits** | Loan payoffs, brokerage compensation, seller-paid closing costs, prorated items owed, credits to buyer, liens satisfied |
| **Seller's credits** | Sale price, prorated items prepaid |
| **Buyer's debits** | Purchase price, buyer-paid closing costs, prorated items reimbursed |
| **Buyer's credits** | Deposit, loan proceeds, seller credits, prorated items owed by seller |

**The single reliable check:** the purchase price is a **credit to the seller** and a **debit to the buyer.** The deposit is a **credit to the buyer**. Everything else follows from asking who benefits and who pays.

### 4.6 The licensee's role with the statement

**Does:** review it against the contract and every amendment before closing; check that the price, deposit, credits, commission, and agreed repairs match what the parties agreed; and raise discrepancies immediately.

**Does not:** prepare the operative figures, explain a lender's charges as though qualified to, or tell a client a fee is "standard" or "about right." Those are lender and escrow questions.

**A discrepancy found the day before closing is a problem; the same discrepancy found after disbursement is a dispute.**

### 4.8 Reading a closing statement line by line

Section 4.2 explained debits and credits. This section reads a real one, because a licensee who cannot check a closing statement is relying on somebody else's arithmetic in a document their client signs.

**The rule that resolves every entry:** a **debit** is a charge to that party; a **credit** is money in their favour. Every item appears once on each side of the transaction, or once on one side only where it belongs to one party alone.

> Sale price **$725,000**. Closing **12 October**. Buyer's new loan **$580,000**. Deposit already in escrow **$21,750**. Annual property taxes **$8,700**, paid by the seller through **31 December**. Seller's loan payoff **$412,300**. Commission **5%**. Seller's escrow fee **$1,450**; buyer's **$1,450**. Title policy (seller) **$2,180**. Recording (buyer) **$185**. Prorate on a 360-day year, 30-day months, day of closing to the buyer.

**Tax proration.** The seller paid through 31 December and owned through 11 October. Buyer's period: 12 October to 31 December = 19 + 30 + 30 = **79 days**. Daily: $8,700 ÷ 360 = **$24.1667**. Buyer owes the seller: 79 × $24.1667 = **$1,909.17**.

| | Buyer debit | Buyer credit | Seller debit | Seller credit |
|---|---|---|---|---|
| Purchase price | 725,000.00 | | | 725,000.00 |
| Deposit | | 21,750.00 | | |
| New loan | | 580,000.00 | | |
| Tax proration | 1,909.17 | | | 1,909.17 |
| Seller's loan payoff | | | 412,300.00 | |
| Commission 5% | | | 36,250.00 | |
| Escrow fee | 1,450.00 | | 1,450.00 | |
| Title policy | | | 2,180.00 | |
| Recording | 185.00 | | | |
| **Totals** | **728,544.17** | **601,750.00** | **452,180.00** | **726,909.17** |

**Buyer brings:** 728,544.17 − 601,750.00 = **$126,794.17**. **Seller receives:** 726,909.17 − 452,180.00 = **$274,729.17**.

**Check it.** Buyer's cash in ($126,794.17) plus the loan ($580,000) plus the deposit ($21,750) = $728,544.17, which equals the buyer's debits. The statement balances.

### 4.9 The four errors a licensee should be able to catch

**A proration on the wrong side.** The commonest error, and it doubles: an $1,909 proration credited to the wrong party is a $3,818 swing. **The test is one question — who paid, and for what period.** The party who paid beyond their ownership is owed; the party who owned without paying owes.

**A payoff quoted to the wrong date.** Loan payoffs carry per diem interest and are quoted good through a specific date. **A payoff good through 5 October used at a 12 October closing is short by seven days' interest**, and the shortage surfaces after closing when the lender does not release the lien.

**A commission computed on the wrong base.** Five per cent of $725,000 is $36,250. Five per cent of a price that changed in a counteroffer nobody carried through to escrow is a different number.

**A charge that belongs to the other side.** Who pays the owner's title policy, the transfer tax and the escrow fee is **negotiable and regional**, and it is settled by the purchase agreement. **The closing statement should be checked against the contract, not against habit.**

**And the professional framing.** The escrow holder prepares the statement and is far less likely to be wrong than the licensee checking it. **That is not a reason to skip the check.** The licensee is the only person in the transaction who has read both the contract and the statement, and an error caught the day before closing is a correction; the same error caught afterwards is a demand letter.

### 4.10 Checkpoint

You should be able to compute a proration in both directions, state which party is credited in each, and describe what a licensee checks on a closing statement.

## 5. Recording and disbursement

### 5.1 The four events, in order

Licensees regularly conflate these, and clients rely on the conflation.

| # | Event | What happens |
|---|---|---|
| 1 | **Signing** | The parties execute the closing documents. **The transaction is not closed** |
| 2 | **Funding** | The lender releases loan proceeds to escrow, subject to its conditions |
| 3 | **Recording** | The deed and security instrument are recorded, establishing the interests of record and giving constructive notice. **Generally when the buyer becomes owner of record** |
| 4 | **Disbursement** | Escrow disburses once recording is confirmed |

## 5.2 Why recording precedes disbursement

Deliberately: **it prevents a gap in which money has moved but the interests are not of record.** If funds disbursed first and recording failed, the seller would hold the proceeds and the buyer would hold nothing enforceable against third parties.

The order is a protection, not a workflow preference.

## 5.3 Recording order and priority

Where multiple instruments record, **the order establishes lien priority.** An out-of-sequence recording can place a new lender behind an interest it was to be ahead of.

This is why closing is sequenced rather than simultaneous, and it is not clerical.

## 5.4 Funding conditions

An approval is commonly conditional, and **prior-to-funding conditions are not formalities.** An unsatisfied condition means the loan does not fund, whatever the schedule says.

Lenders also commonly re-verify credit and employment before funding, which is why the start-of-escrow warning from Lesson 11 — do not open credit, change jobs, or move large sums without telling your lender — prevents more failed closings than any other communication a licensee sends.

## 5.5 The final verification

Before closing, the buyer's final verification of condition — the walkthrough — confirms the property is in the condition the contract requires: agreed repairs completed against the amendment that agreed them, included items present, systems operating, no new damage including from the move-out, and vacancy where required.

**It is not an inspection, and it is not a new opportunity to renegotiate accepted condition** — but it is not informational either.

Where a problem appears:

1. **Document it** — photographs, dated notes.
2. **Address it through the contract before closing**, because the ordinary leverage disappears at closing.
3. **Do not instruct escrow to withhold funds** — escrow cannot act without mutual instruction.
4. **Do not close intending to pursue the seller afterward**, which converts a solvable issue into a claim.

## 5.6 Possession is not ownership

**Ownership transfers at recording. Possession transfers when the contract says it does** — frequently the same day and frequently not.

Where they diverge, the arrangement must be documented. A **post-closing occupancy agreement** should address duration and end date, payment, condition on delivery, insurance and in whose name, utilities and maintenance, a deposit or holdback, and **the remedy for failure to vacate.**

A brief term does not reduce the need for terms. "They only need three days" is how a holdover with no agreed remedy begins — and the buyer now owns a property occupied by someone with no obligation he can enforce quickly.

**Early possession before closing is riskier still** and generally to be discouraged: a buyer who occupies and then fails to close leaves the seller with an occupant and a property to re-market.

### 5.7 Transfer of control

Practical items that generate complaints when handled loosely: when keys transfer and from whom; garage and gate remotes, mailbox keys, association access devices; changing codes on smart locks and alarms; and confirming the seller's remote access to cameras and smart devices is removed.

**A seller who retains app access to interior cameras after closing is a real problem**, and it is addressed explicitly rather than assumed.

### 5.8 Confirming closing to the client

When recording is confirmed, tell the client **in writing, with the date and what it means.** Clients frequently do not know whether they own the property, and the licensee is the person they will ask.

### 5.9 Checkpoint

You should be able to sequence the four events, explain why recording precedes disbursement, and state the correct response to a problem found at the walkthrough.

## 6. Post-closing records

### 6.1 Audit while memories are fresh

The most useful review of a transaction file happens **shortly after closing.** Its purpose is to confirm the file can answer questions later, and to obtain anything still obtainable while the participants respond to messages.

### 6.2 The audit questions

1. **Completeness.** Every required document present — agency disclosures, the agreement, offers and counteroffers, disclosures, notices, amendments, closing documents — **including for the parts that did not go smoothly.**
2. **Dates.** Every document dated, and delivery evidenced where timing matters.
3. **Consistency.** Names, dates, amounts, and property descriptions reconcile across documents.
4. **Chronology.** The sequence makes sense against the contract and against the disclose-before-decide principle — the agency disclosure precedes the agreement, disclosures precede contingency removal, amendments precede the dates they change.
5. **Nothing improper present.** No unexecuted draft mistaken for final, no superseded figure presented as current.
6. **Retention.** Filed where it will be found, for the required period.

### 6.3 Keep the superseded versions

The instinct to keep only final documents should be resisted.

> **The sequence of versions is frequently what shows when a term changed and who agreed to it.**

A file containing only executed finals can prove what was agreed but not how the parties arrived there — which is the question a dispute usually asks.

### 6.4 What to do with findings

- **Obtain what legitimately exists** — a missing copy, an unrecorded acknowledgment.
- **Record what does not**, plainly.
- **Escalate to the broker.**
- **Address the process** that produced the gap, not only the instance.

### 6.5 The line

> Creating a document now and dating it to match the transaction, or removing surrounding records so an inconsistency does not show, is **falsification**.
>
> **A documented gap is a compliance problem a brokerage can survive. A manufactured document is a question about integrity, and it ends careers.**

Corrections are made **visibly**, with the original preserved and the change attributable. A record that can be silently altered is not a record.

### 6.6 Retention

The file is retained for the required period, which runs from closing. **Cancelled and failed transactions are retained too** — and are disproportionately the ones that later produce disputes, which is exactly why they must not be discarded as uninteresting.

Records belong to the brokerage, and the responsible broker answers for them, whoever created them.

### 6.7 What actually prevents disputes

Most transaction disputes are not about substance. They are about **whether something was delivered, to whom, and when.** The practices that prevent them are documentary:

1. Build the deadline calendar from the contract and share it in writing.
2. Deliver notices by the authorized method and keep the evidence.
3. Confirm materially important conversations in writing.
4. Amend in writing, signed, and deliver to escrow.
5. Correct errors immediately, in writing, to everyone who received the original.
6. Keep superseded drafts.
7. Audit at closing while memories are fresh.

## 6.8 The escrow file, item by item

Section 6.2 supplies the audit questions. This section supplies the inventory, because an audit without a list of what should be present can only find defects in what is there.

**A complete escrow file contains:**

1. **The purchase agreement**, fully executed, with acceptance evidenced and dated.
2. **Every counteroffer**, in sequence, each executed — including any that were superseded.
3. **Escrow instructions**, executed by both parties.
4. **Every amendment**, executed, dated, and — critically — **with evidence it reached escrow.**
5. **The deposit receipt**, and evidence of its handling.
6. **The seller's disclosures**, with delivery evidenced to the buyer.
7. **The licensee's own disclosure**, as a separate document.
8. **The preliminary report**, with delivery evidenced.
9. **Association documents** where applicable, with delivery evidenced and the date of delivery recorded.
10. **Inspection and evaluation reports** obtained, and the written recommendations that preceded them.
11. **Every contingency removal or waiver**, dated and with delivery evidenced.
12. **Every notice**, with what it said, when, to whom, and by what method.
13. **Payoff demands**, with their good-through dates.
14. **The loan documents' key facts** — approval, conditions cleared, and the terms actually closed.
15. **The estimated and final closing statements**, with the review that compared them to the agreement.
16. **Recording confirmation and disbursement records.**
17. **Possession arrangements**, where anything other than possession at closing was agreed.
18. **The correspondence that evidences a decision**, moved out of an inbox and into the file.
19. **The close-out memorandum** — what was obtained, what is missing, and what was escalated.

**The five items most often absent**, and they are not random: **4, 9, 11, 12, and 18.** Every one of them is about **transmission rather than execution** — a document that exists somewhere and whose journey to the person who needed it is not recorded.

**Section 6.3's superseded versions belong in items 2, 4, and 15.** The sequence of versions is what proves when a term changed and who agreed, which is the question a dispute usually asks.

> **The audit's real question, restated:** could a person who was not present reconstruct what happened, when, and on what basis? **Item 19 is what makes the answer yes even where items are missing**, because a documented gap is a file that was checked, and an undocumented gap is a file that was not — and from the outside those two look identical until someone asks.

## 6.9 The chain of decisions escrow cannot make

Section 6.7 addresses what prevents disputes. This section states the structural reason escrow does not prevent them, because licensees consistently assume it will.

**Escrow is neutral, and neutrality is a constraint rather than a service level.** It means the escrow holder:

- **Follows the instructions it has**, and does not act on what it was told verbally or on what one party says was agreed.
- **Does not decide between the parties.** Conflicting instructions produce a hold, not a resolution.
- **Does not police the transaction.** It will not notice that a disclosure was late, that a contingency period was miscounted, or that an amendment was never sent to it.
- **Does not advise.** Not either party, on anything, including on whether a figure looks wrong.

**The consequence is a list of things that will not happen unless a licensee does them:**

| What must happen | Who does it if the licensee does not |
|---|---|
| Every amendment reaches escrow | **Nobody** |
| The closing statement is checked against the agreement | **Nobody** |
| The deadlines are calendared and watched | **Nobody** |
| Someone notices that a credit was agreed and is not shown | **Nobody** |
| Someone notices that the payoff demand expires before closing | **Nobody** |
| Someone confirms delivery of the documents rights run from | **Nobody** |
| Someone tells the client what he is about to sign | **Nobody** |

**Seven rows, one answer.** This is the concrete version of Section 6.4's coordinator description, and it is why the file audit in Section 6.2 finds what it finds: **the transaction's most failure-prone elements are the ones with no assigned owner outside the brokerage.**

**Two implications for a new licensee.**

**Do not read escrow's silence as approval.** An escrow that has not raised an issue has not reviewed for it. **Its silence carries no information.**

**Do not read a smooth closing as a well-run one.** Most transactions close without anyone testing whether the amendments arrived, the deadlines were counted correctly, or the disclosures were delivered on time. **The file finds out later, and by then the answer is fixed.**

> **The one habit that covers most of the table:** at every point where something is agreed, ask two questions — **who has to receive this, and how will the file show they did?** Both answers are usually the licensee, and both take a minute.

## 6.11 What the records must be able to produce

Section 6.2 listed the documents a file holds. The standard for keeping them is set by what they must be able to do later, and Regulation 3000(a)(4) states one of those purposes exactly: the school shall maintain records for each student **sufficient to allow preparation of a duplicate certificate on request**.

**The same logic runs through every record a brokerage keeps.** The question is never "how long do we keep this" in the abstract. It is: **what will somebody need to reconstruct, and from what?**

| What must be reconstructable | From | Why it is asked for |
|---|---|---|
| Who represented whom, and from when | Agency disclosure, election, confirmation, all dated | The first question in any agency dispute |
| What the parties agreed | The executed agreement and every counteroffer and addendum, in sequence | Disputes are about terms nobody can locate |
| What was disclosed and when it was delivered | Disclosures with **evidence of delivery**, not merely signature | Signature proves execution; delivery proves receipt |
| Where every dollar went | Trust account records, beneficiary ledgers, reconciliations | § 10145 and an audit |
| What the licensee was paid, by whom | Compensation records and disclosures | § 10176(g) — the full amount, revealed |
| That advertising complied | Copies of advertisements as published | A fair housing or advertising allegation |

**Two habits that make a file reconstructable, and they cost nothing at the time.**

**Date everything at the moment it happens.** Assignment 07's worked audit turns entirely on dates running out of order. A date written later, from memory, is the beginning of a much worse problem.

**Evidence delivery, not just signature.** A disclosure signed by a buyer proves the buyer signed something. A transmittal with a date, or an email, or a delivery receipt proves *when the buyer got it* — which is the fact in dispute in nearly every disclosure claim.

## 6.12 Corrections, and the rule that never bends

Records get things wrong. How the correction is made is the difference between a diligent file and a falsified one.

**The rule: append, never overwrite.** A correction is a new dated entry that states what was wrong, what is right, and when the correction was made. **The original entry stays.**

**Why, in one sentence:** a record that can be silently changed proves nothing about anything, including the parts that were always right.

**What this looks like in practice.**

| Situation | Wrong | Right |
|---|---|---|
| A date was mistyped on a disclosure | Cross it out and write the correct date | A dated memorandum in the file recording the error and the correct date, initialled by whoever knows it |
| A completion record shows the wrong course version | Edit the record | Issue a superseding record referencing the one it replaces |
| An addendum was signed but not scanned | Backdate the scan | Scan it now, with today's date, noting the execution date |
| A commission disclosure omitted a referral fee | Replace the disclosure | Deliver a corrected disclosure now, keep both, and tell the broker |

**The last row is worth its own line.** A licensee who discovers an omitted compensation disclosure has discovered a § 10176(g) problem. **Correcting it forward, promptly, with both versions retained, is the response that is defensible.** Replacing the document is the response that converts a disclosure lapse into a falsification.

**And the same principle governs the platform's own records** — the completion evidence, the study time, the assessment attempts, the examination result. **A record that documents what happened is worth having precisely because nobody can quietly change it**, and that property is only worth anything if it holds when the record is inconvenient.

## 6.13 Checkpoint

You should be able to run the post-closing audit, state what may legitimately be obtained after closing and what may never be created, and explain why failed transactions are retained.

## Key terms

| Term | Definition |
|---|---|
| **Escrow** | A neutral third party holding funds and documents under conditional delivery, acting **only on mutual written instructions**. |
| **The two elements** | A binding contract between the parties, and conditional delivery to a neutral holder. Without both, it is a stakeholder arrangement. |
| **The simultaneity problem** | Why escrow exists: neither party will go first, so both go first to a neutral holder. |
| **Limited dual agent** | The description explaining escrow's shape — duties to both parties, bounded strictly by the instructions, which is why it **stops** rather than deciding. |
| **Mutual written instruction** | The only basis on which escrow may change disbursement or act on a disputed matter. An agent's confirmation is not a party's consent. |
| **Affiliated business arrangement** | Where the brokerage holds a financial interest in a settlement provider. Carries disclosure and conditions. Accepting anything of value for directing settlement business is separately prohibited and **not cured by disclosure**. |
| **Escrow instructions** | The parties' written directions to the escrow holder. They **implement** the purchase agreement; where they conflict, **the agreement governs** and the parties reconcile it in writing. |
| **Reconciliation** | Reading the instructions against the contract and every amendment. Nobody else does it line by line. |
| **Deposit (earnest money)** | The fund signaling commitment and from which a seller's remedy is typically drawn on default. |
| **Liquidated damages** | An amount agreed in advance as the recovery on default. Must be properly agreed, is constrained by law, and generally **limits** recovery. |
| **The disputed deposit** | Held by escrow pending mutual instruction or resolution through the contract's dispute provisions or the courts. Entitlement is a **legal question**. |
| **Payoff demand** | A lienholder's statement of what satisfies the obligation — including **accrued interest and other amounts under the note**, routinely more than the principal balance. |
| **Statement of information** | A confidential form letting the title company distinguish the parties from similarly named people in the records. |
| **Independent verification** | Confirming wire instructions through a channel the attacker does not control — a number from engagement documents or a published listing, never from the email. |
| **Proration** | Allocation of continuing charges at the ownership boundary. |
| **Prepaid item** | Seller **credited**, buyer **debited** — the buyer reimburses. |
| **Accrued item** | Seller **debited**, buyer **credited** — the buyer will pay it. |

| Term | Definition |
|---|---|
| **Day-count basis** | 365-day versus 360-day conventions, and who receives the day of closing. Read it rather than assuming it. |
| **Closing statement** | The record of each party's debits and credits. Price is a credit to the seller and a debit to the buyer; the deposit is a credit to the buyer. |
| **Signing** | Execution of the closing documents. **The transaction is not closed.** |
| **Funding** | The lender's release of proceeds to escrow, subject to its conditions. |
| **Recording** | Recording of the deed and security instrument. Generally when the buyer becomes owner of record. |
| **Disbursement** | Escrow's release of funds **after** recording is confirmed — deliberately, to prevent a gap where money moved but interests are not of record. |
| **Recording order** | The sequence establishing lien priority. Not clerical. |
| **Prior-to-funding condition** | A requirement that must be satisfied or the loan does not fund. Not a formality. |
| **Final verification of condition** | The walkthrough confirming contract compliance. Not an inspection, not a renegotiation, and not informational. |
| **Post-closing occupancy agreement** | The written agreement where possession diverges from recording, covering duration, payment, condition, insurance, utilities, deposit, and the **remedy for failure to vacate**. |
| **Superseded versions** | Earlier drafts kept because the **sequence of versions** shows when a term changed and who agreed. |
| **Falsification** | Creating a document now and dating it to match, or removing records so an inconsistency does not show. Distinct from a documented gap, which is survivable. |

## Practice problems

### Problem 1

Two days before recording, the seller emails escrow instructing it to release $5,000 of the buyer's deposit to him immediately because the buyer "clearly breached." The seller's agent emails escrow confirming the seller is entitled to it. The buyer says nothing.

**What may escrow do, and what should the agents do?**

> **Solution. Escrow stops.** It may act only on **mutual written instructions**, and each alternative fails for its own reason.
>
> It may not release the funds — one party cannot redirect them. It may not take a position on whether the buyer breached, because **escrow does not decide disputes.** And **the agent's confirmation supplies nothing**: an agent is not the other party.

> **Whether the seller is entitled to the deposit is a legal question**, and neither agent may answer it. Buyers and sellers both assume the deposit follows automatically from who was right; it does not. Escrow holds pending mutual instruction or resolution through the contract's dispute resolution provisions or the courts.
>
> **What the agents do:** explain the mechanism to their clients, follow the contract's procedures for any notice their client wishes to give, document communications with dates, escalate to the broker, and recommend counsel **before any deadline passes.**

### Problem 2

Escrow's instructions show a closing date of March 20 and a $12,000 seller credit. The purchase agreement says March 20, but an amendment signed two weeks ago moved closing to March 27 and reduced the credit to $8,000. Escrow was never sent the amendment. Escrow asks the agents which figure to use.

**What governs, and who failed?**

> **Solution. The parties' agreement governs.** Escrow's instructions **implement** the purchase agreement, and where they conflict the discrepancy is reconciled **by the parties in writing** — not by escrow deciding and not by an agent telling escrow which number to use.
>
> **The failure is at opening and afterward.** Escrow needs the fully executed agreement **and all amendments**, and an escrow opened without one produces instructions that do not match. Then nobody reconciled: escrow prepares instructions from what it received, the lender reads its own documents, the parties read the summary, and **nobody compares the instructions against the contract line by line except the licensee.**
>
> **The fix:** deliver the signed amendment to escrow so the instructions can be amended — in writing, signed by both parties, exactly as the contract is amended. An agent's email amends neither.
>
> **The recurring mismatch points to check:** price, deposit, closing date, what conveys, cost allocation, credits, and possession.

### Problem 3

A seller is surprised at closing that his payoff is $412,600 when his statement showed a principal balance of $404,800. He also objects to providing a statement of information, calling it intrusive.

**Explain both.**

> **Solution. A payoff demand states what satisfies the obligation — including accrued interest to the payoff date and other amounts owed under the note.** It is routinely more than the principal balance, and it is routinely a surprise to sellers who were never told.
>
> **The failure was at the listing appointment.** Explaining this on the net sheet, months earlier, is one of the small things separating a licensee who prepared the client from one who did not.
>
> **The statement of information is confidential and has a specific purpose:** it lets the title company distinguish the parties from similarly named people in the records. It is how the judgment-against-a-similar-name problem gets resolved rather than becoming his problem. A client who resists should be told what it is for — not pressured, and not left to assume the worst.

### Problem 4

Compute and state the direction of each: (a) annual taxes of $7,300 paid through June 30, closing May 31, 365-day basis, day of closing to the buyer; (b) monthly association dues of $450 paid for the current month, closing the 12th of a 30-day month; (c) a tenant's $2,400 rent paid on the 1st of a 30-day month, closing the 10th.

**Answer.**

> **Solution.** (a) The seller prepaid through June 30 but owns only through May 30. Buyer's period: **May 31 – June 30 = 31 days.** $7,300 ÷ 365 = **$20.00/day** × 31 = **$620.00. Seller credited, buyer debited** — the buyer reimburses the seller.
>
> (b) $450 ÷ 30 = $15.00/day. Buyer's days: the 12th through the 30th = **19 days** × $15.00 = **$285.00. Seller credited, buyer debited.**
>
> (c) **Opposite direction.** The seller collected rent covering days the buyer will own: the 10th through the 30th = **21 days.** $2,400 ÷ 30 = $80.00/day × 21 = **$1,680.00. Seller debited, buyer credited** — the seller holds money for the buyer's period rather than having paid for it.
>
> **The rule underneath all three:** prepaid beyond the boundary means seller credited; accrued or held for the buyer's period means seller debited. And three conventions change the answer — the day-count basis, who gets the day of closing, and the fact that **California's property tax year and installment schedule do not align with the calendar year.** Read the convention rather than assuming it.

### Problem 5

A licensee reviewing a closing statement the day before closing finds the brokerage compensation is $2,000 higher than the listing agreement, an agreed $3,500 repair credit is missing, and a lender fee he does not recognize. He decides to raise it after closing so as not to delay it, and tells the seller the unfamiliar fee is "pretty standard."

**Assess both decisions.**

> **Solution. Both are wrong, and the timing decision is the expensive one.**
>
> **A discrepancy found the day before closing is a problem; the same discrepancy found after disbursement is a dispute.** Once funds are disbursed the money is gone and the leverage with it. The compensation error and the missing credit are exactly what a licensee is positioned to catch — by reviewing the statement **against the contract and every amendment** and checking price, deposit, credits, commission, and agreed repairs.
>
> **"Pretty standard" is a lender question he answered.** A licensee does not explain a lender's charges as though qualified to, and does not tell a client a fee is standard or about right.
>
> **A quick check on the rest:** the price is a **credit to the seller** and a **debit to the buyer**; the deposit is a **credit to the buyer.** Everything else follows from asking who benefits and who pays.

### Problem 6

A licensee tells his client the transaction "closed" the afternoon the parties signed. Funding occurs the next morning, recording that afternoon, and disbursement the following day. The client had already given notice on her apartment and scheduled movers based on the signing date. Separately, the buyer opened a furniture credit account the week

before.

**Sequence the events and identify both failures.**

> **Solution. Signing** — the documents are executed and **the transaction is not closed. Funding** — the lender releases proceeds to escrow subject to its conditions. **Recording** — the deed and security instrument are recorded, establishing the interests of record and giving constructive notice; **generally when the buyer becomes owner of record. Disbursement** — escrow releases funds once recording is confirmed.
>
> **Recording precedes disbursement deliberately**, preventing a gap in which money has moved but the interests are not of record. And where multiple instruments record, **the order establishes lien priority**, which is why closing is sequenced rather than simultaneous.
>
> **The furniture credit threatens the closing itself.** Prior-to-funding conditions are not formalities, and lenders commonly re-verify credit and employment before funding. The start-of-escrow warning — do not open credit, change jobs, or move large sums without telling your lender — prevents more failed closings than any other communication a licensee sends.
>
> **And when recording is confirmed, tell the client in writing with the date and what it means.** Clients frequently do not know whether they own the property, and the licensee is who they will ask.

## Problem 7

At the final verification the buyer finds an agreed repair was never done and a named built-in refrigerator removed. The listing agent suggests closing on schedule and sorting it out afterward; the buyer's agent suggests instructing escrow to hold back $6,000. The seller then asks to stay three extra days after closing, and both agents agree it is too short to need paperwork.

**Assess all three.**

> **Solution. Closing and pursuing afterward converts a solvable issue into a claim** — the ordinary leverage to resolve it disappears at closing. **Escrow cannot hold back funds** on one party's instruction; it acts only on mutual written instructions.
>
> **Correct:** document the findings with photographs and dated notes, and **address them through the contract before closing.** The walkthrough confirms the property is in the condition the contract requires — it is not an inspection and not a renegotiation of accepted condition, but it is not informational either.
>
> **The three-day occupancy is the failure that will cost the most. Ownership transfers at recording; possession transfers when the contract says** — and any divergence is documented. A written occupancy agreement covers duration and end date, payment, condition on delivery, insurance and in whose name, utilities and maintenance, a deposit or holdback, and **the remedy for failure to vacate.**
>
> **A brief term does not reduce the need for terms.** "They only need three days" is how a holdover with no agreed remedy begins — and the buyer now owns a property occupied by someone with no obligation he can enforce quickly. Add the transfer-of-control items too: keys and from whom, remotes and access devices, smart lock and alarm codes, and **removal of the seller's app access to interior cameras**, which is a real problem addressed explicitly rather than assumed.

### Problem 8

A post-closing audit finds a missing signed copy of an amendment, a closing statement figure inconsistent with an earlier version, and only executed final documents — the drafts were discarded. A colleague suggests recreating the amendment with a matching date and deleting the superseded statement so nothing conflicts. The file is for a transaction that closed; a second file, for a transaction that fell apart in escrow, was thrown away as "not a real file."

**State the correct response and identify both errors about retention.**

> **Solution. The correct response:** obtain what legitimately exists — the missing signed copy may still be retrievable, which is exactly why the audit happens **while participants still respond to messages.** Record what does not exist, plainly. Escalate to the broker. And address **the process** that produced the gap, not only the instance.
>
> **The colleague's suggestion is falsification.** Creating a document now and dating it to match, or removing records so an inconsistency does not show, converts a compliance failure into a question about integrity. **A documented gap is survivable; a manufactured document ends careers.** Corrections are made **visibly**, with the original preserved and the change attributable — a record that can be silently altered is not a record.
>
> **Discarding the drafts was the first retention error.** The **sequence of versions** is frequently what shows when a term changed and who agreed to it. A file of executed finals proves what was agreed but not how the parties got there, which is the question a dispute usually asks.
>
> **Throwing away the failed transaction is the worse one.** Files are retained for the required period from closing — **including cancelled and failed transactions**, which are disproportionately the ones that later produce disputes. That is precisely why they must not be discarded as uninteresting. And the records belong to the brokerage, with the responsible broker answering for them.

## Chapter summary

**Escrow requires a binding contract and conditional delivery to a neutral holder**, and it exists to solve simultaneity — neither party will go first, so both go first to someone neutral.

**Neutrality forbids acting on one party's instruction, advising either party, and deciding disputes.** Where the parties disagree, **escrow stops**, and an agent's confirmation is not a party's consent.

**Never accept anything of value for directing settlement business**, and disclose affiliated business arrangements.

**Instructions implement the agreement; the agreement governs a conflict**, reconciled by the parties in writing. Open escrow on the complete executed contract **and every amendment**, and reconcile the instructions line by line — nobody else does.

**The deposit is at risk differently before and after contingency removal**, liquidated damages are constrained by law and generally limit recovery, and a **disputed deposit is held** pending mutual instruction or resolution. Entitlement is a legal question.

**A payoff exceeds the principal balance** because it includes accrued interest and other amounts under the note — explain it at the listing appointment, not at closing.

**Warn about wire fraud in writing at the start of escrow**, and verify any change through a channel the attacker does not control.

**Prorations run in two directions:** prepaid beyond the boundary credits the seller; accrued or held for the buyer's period debits the seller. Read the day-count convention, who gets the day of closing, and California's tax year rather than assuming any of them.

**On a closing statement the price is a seller credit and a buyer debit, and the deposit is a buyer credit.** Review it against the contract before closing — afterward it is a dispute.

**Signing, funding, recording, disbursement**, in that order. Recording generally transfers ownership, disbursement follows it deliberately, and **recording order sets lien priority**.

**Prior-to-funding conditions are not formalities**, and the start-of-escrow warning about credit, employment, and moving funds prevents more failures than anything else.

**The walkthrough confirms contract compliance**, and problems are resolved **before** closing, while leverage exists.

**Possession transfers when the contract says**, and any divergence is documented in full — including keys, access devices, and the seller's remote camera access.

**Audit shortly after closing, keep superseded versions, obtain what exists, record what does not, and retain failed transactions** — they are disproportionately the ones that produce disputes. A documented gap is survivable; a manufactured document is not.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. State what escrow may and may not do on the facts given and why, identify every discrepancy between the escrow instructions and the agreement and state what governs, compute each proration with its convention stated and identify which party is credited, identify the closing statement entries you would verify against the contract, sequence the closing events and identify any that occurred out of order, state what you would document at the final verification and by when any problem must be addressed, and identify what you would escalate to the broker and refer to counsel. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** Escrow has received mutual instructions, the buyer's funds, and the lender's documents. The day before recording, the buyer emails escrow directing it to hold back $3,000 from the seller's proceeds for a repair he says the seller promised verbally. The seller knows nothing about it. What must escrow do, and why?

**A. Escrow may not act on the buyer's unilateral instruction; a change to the disbursement requires mutual written instructions, and if the parties disagree, escrow's role is to stop rather than to decide between them.**

B. Escrow should hold the funds, since the buyer is entitled to protect himself against a promise the seller made.

C. Escrow should disburse in full and let the buyer pursue the seller afterward, since the instruction arrived too late to act on.

D. Escrow should ask the seller's agent to confirm whether the promise was made and act on that confirmation.

**Answer: A.** Escrow's authority comes entirely from mutual instructions, which is why one party cannot redirect funds and why an agent's confirmation is not the missing consent. Disbursing in full also acts on one side's position; the neutral response to a genuine dispute is to stop and require the parties to resolve it.

### Engagement check — 5 items, 80% required

**1.** What makes escrow a valid escrow arrangement?

**A. A binding contract between the parties and their conditional delivery of funds and documents to a neutral third party who acts only on their mutual instructions.**

B. The involvement of a licensed escrow company selected by the lender.

C. The deposit of the buyer's funds into a trust account before closing.

D. The recording of the escrow instructions in the county records.

**Answer: A.** A binding contract plus conditional delivery to a neutral holder is what constitutes escrow. Who selects the holder, the mechanics of the deposit, and recording are not what create it.

**2.** What do escrow instructions do?

**A. They tell the escrow holder what conditions must be satisfied and what to do with the funds and documents when they are.**

B. They replace the purchase agreement as the operative contract between the parties.

C. They authorize the escrow holder to resolve disagreements between the parties.

D. They set the closing date independently of the purchase agreement.

**Answer: A.** Instructions direct escrow's performance. They implement the purchase agreement rather than replacing it, confer no authority to decide disputes, and do not independently set terms the parties agreed elsewhere.

**3.** What is the purpose of prorating property taxes at closing?

**A. To allocate the tax burden between seller and buyer according to the portion of the tax period each owned the property.**

B. To reduce the buyer's first-year tax obligation to the county.

C. To adjust the purchase price for the property's assessed value.

D. To reimburse the seller for taxes paid in prior years.

**Answer: A.** Proration divides a continuing charge at the ownership boundary. It does not change what the county is owed, adjust the price, or reach back to prior years.

**4.** In what order do recording and disbursement typically occur at closing?

**A. Recording occurs first to establish the new interests of record, and disbursement follows once recording is confirmed.**

B. Disbursement occurs first so the seller is paid before title transfers.

C. They occur simultaneously, since neither can precede the other.

D. The order depends on which party's agent requests priority.

**Answer: A.** Confirming recording before releasing funds protects against a gap in which money has moved but the interests are not of record. It is a deliberate sequence, not a simultaneous event or a matter of agent preference.

**5.** Why must the escrow file be retained after closing?

**A. Because it evidences what was instructed, received, disbursed, and recorded, which is what later questions about the transaction turn on.**

B. Because escrow must produce it for the buyer's lender annually.

C. Because the file is required to issue the title insurance policy.

D. Because retention allows escrow to reopen the transaction if an error is found.

**Answer: A.** The file is the evidentiary record of a completed transaction. It is not an annual lender deliverable, not a prerequisite to the policy, and a closed escrow is not reopened by keeping the file.

## Remediation set — served only after a failed engagement check

**1.** Why is the escrow holder described as a dual agent of both parties in a limited sense?

**A. Because escrow owes duties to both parties simultaneously but may act only within the mutual instructions, which is what keeps it neutral rather than an advocate for either.**

B. Because escrow may advise either party on the transaction's terms.

C. Because escrow represents whichever party pays its fee.

D. Because escrow becomes the agent of the buyer after recording.

**Answer: A.** The limited agency describes duties owed to both, bounded strictly by the instructions. It confers no advisory role, does not follow the fee, and does not shift at recording.

**2.** The buyer's funds arrive but one of the seller's required documents is missing. What should escrow do?

**A. Hold and not close, because the conditions in the instructions have not been satisfied.**

B. Close and obtain the missing document afterward, since the funds are in hand.

C. Close and note the missing document on the settlement statement.

D. Return the buyer's funds and cancel the escrow.

**Answer: A.** Escrow performs only when its conditions are met, which is exactly why it holds rather than closes. Closing with a note or unilaterally cancelling both go beyond what the instructions authorize.

**3.** What does a settlement statement show?

**A. An itemized accounting of the debits and credits to each party, including the purchase price, prorations, payoffs, and costs.**

B. The lender's underwriting conditions and how each was satisfied.

C. The property's title exceptions and how each was cleared.

D. The brokerage's internal allocation of compensation between licensees.

**Answer: A.** The settlement statement is the money accounting for the transaction. Underwriting conditions, title exceptions, and internal commission splits are recorded elsewhere.

**4.** A seller asks escrow to release his proceeds a day early because his replacement purchase is closing. What controls?

**A. The instructions and the conditions for disbursement; escrow cannot advance funds because one party's separate transaction requires it.**

B. The escrow holder's discretion, since the funds are already the seller's after recording.

C. The buyer's agent's consent, which is sufficient to authorize the release.

D. The lender's approval, since the funds originate from the loan.

**Answer: A.** Disbursement follows the instructions and their conditions. Escrow exercises no discretion over timing, and neither an agent nor the lender supplies the authority the instructions require.

**5.** Which best describes the chronology of a typical residential transaction?

**A. Contract formation, opening of escrow, satisfaction of conditions and contingencies, loan funding, recording, disbursement, and delivery of possession.**

B. Opening of escrow, contract formation, recording, loan funding, satisfaction of contingencies, possession.

C. Contract formation, loan funding, recording, opening of escrow, satisfaction of contingencies, possession.

D. Opening of escrow, satisfaction of contingencies, contract formation, recording, disbursement, possession.

**Answer: A.** The contract comes first and everything else implements it, with funding preceding recording and disbursement following confirmation of recording. Each wrong sequence puts escrow or funding ahead of the agreement that authorizes it.

# Real Estate Principles - Lesson Assignment 11

## Real estate finance foundations

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Distinguish the promissory note from the security instrument and explain what each does.
- Explain how a deed of trust operates in California and how it differs from a mortgage.
- Describe the primary and secondary markets and identify the sources of real estate financing.
- Compute interest, amortization components, points, and the effect of each on cost.
- Compute loan-to-value and qualifying ratios and explain what each measures.
- Describe default, the nonjudicial and judicial foreclosure paths, and deficiency and redemption at orientation depth.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: notes, security instruments, and clauses | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: markets, sources, and loan mathematics | 50 | Sections 3-4 viewed |
| Guided reading: ratios, default, and foreclosure | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Promissory notes

### 1.1 Two documents, two jobs

Every secured real estate loan involves at least two instruments, and confusing them is the single most common error in this material.

| Instrument | What it does |
|---|---|
| **Promissory note** | The **promise to repay**. It creates the debt and states its terms |
| **Security instrument** | Pledges the **property** as security for that debt |

> **The note is the debt. The security instrument is the remedy.**
>
> A note without a security instrument is an unsecured obligation — enforceable, but with no claim against the property. A security instrument without a note secures nothing, because there is no obligation to secure.

## 1.2 What the note contains

The principal amount, the interest rate and how it is determined, the payment amount and schedule, the maturity date, the parties, and the consequences of default.

**Parties:** the **maker** (or borrower) promises to pay; the **payee** (or holder) is entitled to receive.

## 1.3 Negotiability

A note meeting certain requirements is a **negotiable instrument**, transferable so that a subsequent holder may take it free of certain defenses the maker could have raised against the original payee.

Practically, this is why loans are sold. A borrower's obligation follows the note into the secondary market, and the borrower's payments may be directed to a servicer they never chose.

**A licensee's role is recognition, not analysis.** Whether a particular note is negotiable and what defenses survive are legal questions.

## 1.4 The clauses that matter

Several note and security instrument provisions come up constantly and are frequently misdescribed.

| Clause | What it does |
|---|---|
| **Acceleration** | On default, makes the entire balance immediately due. **Without it, a lender could only sue for missed payments** — which is why foreclosure depends on it |
| **Alienation (due-on-sale)** | Permits the lender to call the loan due on transfer of the property. This is why loans are generally not assumable without lender consent |
| **Prepayment** | Addresses whether and on what terms the borrower may pay early. A **prepayment penalty** is a charge for doing so, and its permissibility is regulated |
| **Late charge** | A charge for a payment received after a stated period |
| **Subordination** | An agreement to take a lower lien position than the instrument would otherwise hold |
| **Release** | In a blanket loan, permits individual parcels to be released as they are sold |

**Acceleration and alienation are the two students merge.** Acceleration responds to **default**; alienation responds to **transfer.** They do different work and are triggered by different events.

## 1.5 Straight and amortized notes

**A straight note** — sometimes called an interest-only or term note — provides for interest payments with the principal due at maturity. The principal does not reduce along the way.

**An amortized note** provides for payments that retire both interest and principal over the term, so the balance reaches zero at maturity. A **fully amortized** loan retires completely; a **partially amortized** loan leaves a **balloon** payment due at maturity.

### 1.6 Checkpoint

You should be able to state what each instrument does, distinguish acceleration from alienation, and explain what a balloon payment signals about the amortization.

## 2. Deeds of trust and mortgages

### 2.1 The California instrument

California residential lending overwhelmingly uses the **deed of trust**, and it involves **three** parties rather than two.

| Party | Role |
|---|---|
| **Trustor** | The borrower, who conveys title in trust as security |
| **Beneficiary** | The lender, for whose benefit the security is held |
| **Trustee** | A neutral third party holding the power of sale |

A **mortgage** by contrast involves two parties: **mortgagor** (borrower) and **mortgagee** (lender).

**The memory device that survives the exam:** the trus**tor** gives the security; the trus**tee** holds the power; the bene**ficiary** benefits.

### 2.2 Why the third party matters

The trustee holds a **power of sale** — the authority to sell the property on default without going to court.

That single feature is why California residential foreclosure is predominantly **nonjudicial**, and it drives everything in Section 6: the timeline, the borrower's reinstatement window, and the deficiency consequences.

### 2.3 Title theory and lien theory

Jurisdictions describe the security relationship differently. Some treat the security instrument as passing legal title to the lender until the debt is repaid; others treat it as creating a lien while the borrower retains title.

**California's deed of trust is generally treated as a lien for most practical purposes**, notwithstanding its form as a conveyance in trust. The borrower possesses, uses, and can transfer the property, subject to the security interest.

For a licensee the practical point is what it produces: **the borrower is the owner, and the lender holds a claim.**

### 2.4 Satisfaction and the reconveyance

When the debt is satisfied, the beneficiary directs the trustee to reconvey, and a **reconveyance** is recorded releasing the deed of trust.

**Payment does not clear the record; the recorded document does.** A seller who says a loan was paid off in 2016 has stated a fact about the debt and nothing about the title, and an unreleased deed of trust in a preliminary report requires a document — the same point Lessons 05 and 09 make from the title side.

## 2.5 Priority

**First, second, and junior** describe recording position rather than loan type. A "second" is simply a deed of trust recorded after another.

Priority determines **who is paid first from a limited fund and whose interest survives a foreclosure.** A junior lienholder wiped out by a senior foreclosure has lost its security whatever the merits of the debt.

The exceptions from Lesson 05 apply here: property tax liens generally take priority regardless of timing, mechanic's lien priority may relate back, and **subordination** moves a lienholder down voluntarily.

**Subordination is a significant decision, not a formality**, and it belongs to counsel — most often when a seller who carried financing is asked to move behind a construction lender.

## 2.6 Purchase money and seller financing

A **purchase money loan** is one used to acquire the property. California treats certain purchase money loans differently for deficiency purposes, addressed in Section 6.

**Seller financing** — where the seller carries all or part of the purchase price — creates a note and deed of trust in the seller's favor. It is legitimate and common, and it raises specific questions: priority, what happens if the buyer defaults, servicing, and whether any disclosure or regulatory requirement applies to the arrangement.

**A licensee arranging seller financing should route the structure to counsel** rather than assembling it from a form.

## 2.7 Other structures

**Assumption** — the buyer takes over the existing loan. Generally requires lender consent because of the alienation clause, and the seller may remain liable unless released by novation. **A seller who "let the buyer assume" and assumes he is released has assumed a novation he did not obtain.**

**Subject to** — the buyer takes title without assuming the loan, which remains the seller's obligation and remains secured by the property. It triggers the alienation clause and carries real risk for both parties.

**Blanket loan** — one loan secured by more than one parcel, typically with a release clause permitting individual parcels to be sold.

**Construction loan** — advanced in stages as work progresses, with its own priority concerns against mechanic's liens.

**Home equity line** — a revolving credit facility secured by the property.

## 2.9 The security instrument's clauses, and what each one does to a borrower

Section 2.3 described the deed of trust. Five clauses inside it change the borrower's position materially, and a licensee should be able to say what each does — while sending the client to counsel to say what it means for them.

**Acceleration.** On default, the lender may declare the entire balance immediately due. **Without it, a lender could only sue for missed payments** and would have to sue again next month. Acceleration is what makes foreclosure of the whole debt possible, and it is the clause every other remedy depends on.

**Due-on-sale (alienation).** The lender may accelerate if the property is sold or transferred without consent. **This is why a buyer generally cannot simply take over a seller's loan**, and it is the reason assumption is a lender's decision rather than the parties'.

**Prepayment.** Whether, and on what terms, the borrower may pay early. **Its absence is as significant as its presence**: a loan with no prepayment penalty may be refinanced freely.

**Subordination.** An agreement that this lien will take a position junior to a future one. **A borrower who signs a subordination clause in a seller-carried note may find their security behind a large construction loan.**

**Power of sale.** The clause Civil Code § 2924 addresses, conferring on the trustee the authority to sell on default without a court.

**And one term that is not a clause but behaves like one: the release.** A mortgage is released by a satisfaction; a deed of trust by a **reconveyance**. **A full reconveyance not recorded leaves a paid-off loan showing as a lien**, which surfaces years later when the owner sells and is a genuine nuisance to clear.

## 2.10 Deed of trust and mortgage, compared where it matters

| | Deed of trust | Mortgage |
|---|---|---|
| Parties | **Three** — trustor, trustee, beneficiary | **Two** — mortgagor, mortgagee |
| Ordinary California foreclosure | **Non-judicial**, under the power of sale | Judicial, unless a power of sale is present |
| Speed | Months, no court | Longer, court-supervised |
| Right of redemption after sale | **None** after a trustee's sale | Statutory redemption period after a judicial sale |
| Deficiency | **Barred** by CCP § 580d after a trustee's sale | Available, subject to § 580b and fair-value limits |
| Release | Reconveyance | Satisfaction |

**The row that decides which instrument lenders use is the last three read together.** Non-judicial foreclosure is fast and cheap; the price is the deficiency. **A lender that expects the collateral to cover the debt takes the speed**, which is why the deed of trust is effectively universal in California residential lending.

**And the row that matters most to a distressed seller is redemption.** After a trustee's sale there is **no** redemption period — the sale is final. A seller who believes they have months to recover the property after the sale has confused the two instruments, and by the time they discover it, the property is gone.

**A worked situation.**

> A seller carries back a $180,000 second deed of trust to help a buyer purchase. Two years later the buyer asks the seller to sign a subordination agreement so that a $600,000 construction loan can be recorded ahead of the seller's note. The buyer explains that the improvements will increase the value and therefore the seller's security.

**The explanation is plausible and the risk is real.** If the seller subordinates, their $180,000 sits behind $600,000 rather than behind the original first. **If the construction stalls, the improvements are unfinished and the property is worth less than the senior loan**, the seller's position is extinguished by the construction lender's foreclosure.

**What the licensee should say:** that subordination changes lien priority; that this is a decision with a specific downside; and that **the seller must not sign without counsel.** What the licensee must not do is characterise the risk as small because the argument sounds sensible — **the argument always sounds sensible, which is why the clause exists.**

### 2.11 Checkpoint

You should be able to name the three parties to a deed of trust, explain what the power of sale produces, and distinguish assumption from taking subject to.

## 3. Loan markets and sources

### 3.1 Primary and secondary

**The primary market** is where loans are originated — the lender and the borrower.

**The secondary market** is where existing loans are bought and sold between investors.

The secondary market's function is **liquidity**. A lender who can sell a loan recovers its capital and can lend again, so the supply of mortgage credit does not depend on any one lender's balance sheet.

Two consequences a licensee should be able to explain:

**Underwriting standards flow backward from the secondary market.** Lenders originate to standards that make loans saleable, which is why documentation requirements can feel disconnected from a particular borrower's obvious ability to pay.

**Servicing frequently transfers.** A borrower's loan may be sold and the servicing directed elsewhere, and the borrower's obligations follow the note.

## 3.2 Sources of financing

| Source | Character |
|---|---|
| **Depository institutions** | Banks and credit unions lending from deposits and other funds |
| **Mortgage bankers** | Originate and fund loans, frequently selling them into the secondary market |
| **Mortgage brokers** | Arrange loans between borrowers and lenders; do not lend their own funds |
| **Private and hard money lenders** | Individual or fund lenders, typically shorter term and higher rate, often asset-focused |
| **Seller financing** | The seller carries all or part of the price |
| **Government-backed programs** | An agency insures or guarantees the lender, supporting terms qualifying borrowers might not otherwise obtain |

## 3.3 Government-backed programs, and three things licensees misstate

Government-backed programs share a structure: **an agency insures or guarantees the lender against certain losses**, reducing risk and supporting terms — notably lower down payments.

- **The government is not the lender.** Private lenders make the loans.
- **The loans bear interest** on ordinary terms.
- **They are not restricted to new construction**, and not to first-time buyers as a general matter.

Government programs commonly carry **property condition requirements**, which matters to a seller evaluating an offer: a property with deferred maintenance may not satisfy them. **That is a closing-probability question, not a preference.**

## 3.4 Conventional financing and mortgage insurance

A **conventional loan** is one not insured or guaranteed by a government agency. Where the down payment is below a program threshold, **mortgage insurance** is commonly required, adding to the monthly cost and protecting the lender rather than the borrower.

Students consistently get that last point wrong. **Mortgage insurance protects the lender.** The borrower pays for it, and receives access to financing at a lower down payment in exchange.

## 3.5 The Federal Reserve and rates, in outline

Monetary policy influences the cost and availability of credit, and mortgage rates respond to broader capital market conditions rather than being set by any single institution.

**What a licensee should take from this:** rates move for reasons outside any participant's control, and **predicting them is not within the license.** "Rates will be lower in the spring" is a prediction stated as certainty, on which a client may act.

### 3.6 What a licensee may say about financing

**May:** explain the general characteristics of common program types; explain what preapproval is; explain how the appraisal interacts with the loan; explain how a credit affects the transaction; recommend the buyer speak with more than one lender; explain what tends to make an offer read as strong.

**May not:** recommend a specific program as suitable for this buyer; predict what a lender will approve; predict the direction of rates; advise on structuring the buyer's finances to qualify; or suggest anything be omitted or characterized differently on an application.

**And never accept anything of value for referring a buyer to a settlement service provider.** Referrals happen; payment for them does not, and disclosure does not cure it.

### 3.7 Checkpoint

You should be able to explain what the secondary market does and why it shapes underwriting, and state who mortgage insurance protects.

## 4. Interest, amortization, and points

### 4.1 Simple interest

Real estate loans generally use **simple interest** — interest computed on the outstanding principal, not on accumulated interest.

> **Interest = Principal × Rate × Time**

> **A $400,000 loan at 6% for one year:** 400,000 × 0.06 = **$24,000** annual interest.
>
> **One month's interest:** $24,000 ÷ 12 = **$2,000.**

### 4.2 How an amortized payment splits

Each payment on an amortized loan covers the interest accrued since the last payment, and the remainder reduces principal.

> **$400,000 at 6%, monthly payment $2,398.20.**
>
> **Month 1:** interest = 400,000 × 0.06 ÷ 12 = **$2,000.00.** Principal = 2,398.20 − 2,000.00 = **$398.20.** New balance: **$399,601.80.**
>
> **Month 2:** interest = 399,601.80 × 0.06 ÷ 12 = **$1,998.01.** Principal = **$400.19.** New balance: **$399,201.61.**

**The pattern is the lesson.** Early payments are almost entirely interest; the principal portion grows each month while the interest portion shrinks. This is why a borrower five years into a thirty-year loan has repaid far less principal than the elapsed fraction suggests — and why a seller's payoff surprises him.

### 4.3 Points

**One point equals one percent of the loan amount.**

**Discount points** are paid to reduce the interest rate. **Origination points** are a charge for making the loan. Both are quoted the same way and do different things.

> **2 points on a $400,000 loan** = 400,000 × 0.02 = **$8,000.**

**The break-even calculation** is the useful one:

> Paying 2 points ($8,000) reduces the payment by $140 per month.
>
> $8,000 ÷ $140 = **57 months**, about 4 years 9 months.
>
> A borrower who expects to hold the loan longer than that comes out ahead; one who expects to sell or refinance sooner does not.

**A licensee may explain the arithmetic. Whether this borrower should pay points depends on his plans, tax situation, and alternatives — which is a lender and advisor question.**

## 4.4 Rate structures

| Structure | Characteristic | The borrower's exposure |
|---|---|---|
| **Fixed rate** | Rate and payment fixed for the term | None to rate movement; pays for that certainty |
| **Adjustable rate** | Rate changes per an index plus a margin, within caps | Payment changes over time |
| **Interest-only period** | Payments cover interest only for a period | Principal is not retired during it |
| **Balloon** | Payments do not retire principal by maturity | A large sum due at maturity |

**For an adjustable-rate loan, the rate at each adjustment is the index plus the lender's margin, subject to the note's caps** — not the lender's discretion, and not the borrower's credit at that time.

**Caps** limit movement: a periodic cap limits change at any single adjustment; a lifetime cap limits total movement over the loan's life.

## 4.5 Nominal and effective rates

The **nominal rate** is the rate stated in the note. The **effective rate** reflects the actual cost including points and certain fees, which is why a loan with a lower stated rate can cost more.

**The annual percentage rate** is the disclosed measure designed to make loans comparable by including certain costs beyond interest. It is a comparison tool with defined contents, and a licensee should point a borrower to it rather than computing or interpreting it for him.

## 4.6 Impounds

Many loans require an **impound** or escrow account, into which the borrower pays monthly amounts toward property taxes and insurance, which the servicer then pays when due.

Two practical consequences: the monthly obligation is larger than principal and interest alone, and an **impound shortage** after a tax or insurance increase produces a payment increase on a loan the borrower believed was fixed. Explaining that in advance prevents an angry call the licensee will otherwise receive.

## 4.8 Amortisation, points, and the arithmetic clients ask about

Section 4.3 introduced amortisation. This section works the numbers a licensee is asked for at a kitchen table, where the client wants an answer and a wrong one is worse than "let me get you the lender's figure."

**The first month of an amortised loan, from first principles.**

> A $580,000 loan at 6.25% over 30 years, payment $3,571.72.

Monthly interest rate: 6.25% ÷ 12 = **0.5208%**. First month's interest: $580,000 × 0.005208 = **$3,020.83**. First month's principal: $3,571.72 − $3,020.83 = **$550.89**. Balance after one payment: **$579,449.11**.

**Two observations that clients find genuinely surprising and that are worth being able to state.**

**Eighty-five per cent of the first payment is interest.** $3,020.83 of $3,571.72. This is not a feature of a bad loan; it is what amortisation is.

**The crossover — where principal first exceeds interest — comes late.** On this loan it arrives around year 19 of 30. **A borrower who expects to sell in seven years should understand that they will have retired roughly $60,000 of a $580,000 balance.**

**Points, and the break-even.**

> The same loan offered at 6.25% with no points, or at **5.875% with 1.5 points**.

Cost of points: $580,000 × 0.015 = **$8,700**. Payment at 5.875%: **$3,430.99**. Monthly saving: $3,571.72 − $3,430.99 = **$140.73**. Break-even: $8,700 ÷ $140.73 = **61.8 months**, call it **five years two months**.

**The break-even is the whole analysis, and the input that decides it is not financial.** It is how long the borrower will keep the loan. A borrower certain of staying fifteen years should buy the points; a borrower who may transfer in three should not. **A licensee can do this arithmetic and should — while being clear that the loan decision, the tax treatment of the points, and the lender's actual quote are not theirs.**

## 4.9 Qualifying ratios, and what they do and do not predict

**The two ratios.**

> **Front-end (housing) ratio = PITI ÷ gross monthly income Back-end (total debt) ratio = (PITI + all other monthly debt) ÷ gross monthly income**

**PITI** is principal, interest, taxes and insurance — plus, where they apply, mortgage insurance and homeowners association dues.

> **Worked.** Gross income $11,400 a month. Proposed PITI: principal and interest $3,571.72; taxes $755; insurance $190; HOA $310 — **$4,826.72**. Other monthly debt: car $612, student loan $340, minimum card payments $185 — **$1,137**.

Front-end: $4,826.72 ÷ $11,400 = **42.3%**. Back-end: ($4,826.72 + $1,137) ÷ $11,400 = $5,963.72 ÷ $11,400 = **52.3%**.

**Both are high**, and the back-end is the one that will decide the application. Programme limits vary, and a licensee should never quote one as a rule.

**What the ratios do.** They give a lender a comparable, mechanical screen.

**What they do not do.** They say nothing about **childcare, medical costs, income volatility, or the cost of the commute the buyer just took on.** A household at 38 per cent with three children in daycare may be far more stretched than one at 45 per cent without.

**Which is why the third number in Assignment 11 Section 5.7 exists** — what the borrower is *willing* to pay monthly, as distinct from what the lender will allow. **These are different numbers, the second is usually larger, and the gap between them is where buyer's remorse is manufactured.**

**A licensee's professional contribution is to ask the second question**, early, in those words: *not* "what can you qualify for" but "what payment are you comfortable making every month." A buyer who is shown houses at their qualifying limit has been shown the lender's answer to a question they did not ask.

### 4.10 Checkpoint

You should be able to compute a month's interest and the principal split, compute points and a break-even, and explain what determines an adjustable rate at adjustment.

## 5. Loan-to-value and qualifying ratios

### 5.1 Loan-to-value

**LTV = loan amount ÷ value**, where value is the **lower of appraised value and purchase price.**

> **A $920,000 purchase with a $736,000 loan:** 736,000 ÷ 920,000 = **80% LTV.**
>
> **If the appraisal comes in at $900,000**, the lender lends against $900,000. At 80%: 900,000 × 0.80 = **$720,000** — $16,000 less than planned.

**That single rule — lenders lend against the lower of value or price — explains every consequence of a low appraisal**, and it is worth memorizing in exactly that form.

The buyer's options are then: bring the additional funds, renegotiate the price, negotiate another resolution, or cancel if a contingency permits and its procedure is followed.

**What does not happen automatically:** the price does not adjust to the appraised value by operation of any loan program, the loan is not denied, and **no one is entitled to a second appraisal as of right.**

### 5.2 Combined loan-to-value

Where more than one loan is secured by the property, **CLTV** measures the total.

> A $920,000 property with a $736,000 first and a $46,000 second: (736,000 + 46,000) ÷ 920,000 = 782,000 ÷ 920,000 = **85% CLTV.**

### 5.3 Equity

**Equity = value − liens.** It changes with value, with principal reduction, and with new borrowing — which is why a homeowner who takes a home equity line has converted equity into debt without any change in the property.

### 5.4 Qualifying ratios

Lenders measure a borrower's capacity with ratios. The two conventional ones:

**The front-end (housing) ratio** = housing expense ÷ gross monthly income. Housing expense conventionally includes principal, interest, taxes, and insurance — **PITI** — plus association dues where applicable.

**The back-end (total debt) ratio** = total monthly obligations ÷ gross monthly income, including the housing expense plus other recurring debt.

> **Gross monthly income $9,000.** Proposed PITI $2,520. Car payment $480, student loan $300, credit minimums $120.
>
> **Front-end:** 2,520 ÷ 9,000 = **28%. Back-end:** (2,520 + 480 + 300 + 120) ÷ 9,000 = 3,420 ÷ 9,000 = **38%.**

**Thresholds vary by program, by compensating factors, and over time.** A licensee should be able to compute the ratios and explain what they measure, and should **never state a threshold as a rule** — that is a lender question, and stating it is the kind of confident error that costs a buyer a property.

### 5.5 The three numbers, restated

From the Practice course, because it belongs to the mathematics:

**What the buyer can borrow** — the lender's number. **What cash is available** — down payment, closing costs, reserves, moving costs, and the immediate costs of occupying a home. Buyers routinely plan to the down payment and forget the rest. **What the buyer is willing to spend** — often lower than the first, and **the number that should drive the search.**

A licensee who searches to the lender's maximum is showing properties the buyer will feel unable to afford.

### 5.6 What jeopardizes an approval

Advise the buyer of these **in writing at the start of escrow**, because by the time they surface it is usually late:

| Buyer action | Effect |
|---|---|
| Opening new credit, financing furniture or a car | Changes the debt-to-income analysis the approval rested on |
| Changing or leaving a job | Employment is a condition; a change may end the approval |
| Large unexplained deposits | Requires sourcing; may look like undisclosed borrowed funds |
| Moving money between accounts | Complicates asset verification |
| Paying off debt with funds needed for closing | Reduces verified cash to close |
| Missing a payment on any obligation | Affects credit at the re-check |

**A short written note at the start of escrow prevents more failed transactions than any other single communication a licensee sends.**

### 5.7 Occupancy is a material fact

Occupancy — owner-occupied, second home, or investment — affects pricing, program eligibility, and which consumer protections apply. It is therefore a material fact the lender relies on.

**A buyer who asks a licensee to record owner-occupancy on a property he intends to rent is asking for participation in loan fraud.** Decline plainly, explain why, and record the loan as it actually is. Whether he can afford the payment either way is beside the point: the misstatement is about obtaining terms on a false representation of the risk being priced.

### 5.8 Checkpoint

You should be able to compute LTV, CLTV, and both qualifying ratios, and explain why the lower of value or price governs.

## 6. Default, foreclosure, and deficiency

### 6.1 What default is

Default is a failure to perform an obligation under the note or the security instrument. Non-payment is the common form; others include failure to pay taxes, failure to maintain insurance, and unauthorized transfer triggering the alienation clause.

**Acceleration is what makes default consequential.** Without an acceleration clause a lender could pursue only missed payments; with one, the entire balance becomes due.

## 6.2 The two paths

| | Nonjudicial foreclosure | Judicial foreclosure |
|---|---|---|
| Mechanism | The trustee's **power of sale** | A court action |
| Speed | Faster | Slower |
| Court involvement | None | Yes |
| Deficiency judgment | **Generally not available** | May be available, subject to limits |
| Redemption after sale | **Generally none** | A statutory redemption period may apply |

**The trade-off is the point.** A lender proceeding nonjudicially gets speed and gives up the deficiency; a lender proceeding judicially may preserve a deficiency claim and accepts a slower, costlier process. **In California residential practice, nonjudicial foreclosure predominates.**

## 6.3 The nonjudicial sequence, in outline

The process is statutory and its details are legal. In outline:

1. **Default occurs**, and the beneficiary elects to proceed.
2. **A notice of default is recorded**, beginning the statutory period.
3. **A reinstatement period runs**, during which the borrower may generally cure by paying the arrearage and permitted costs — **not the accelerated balance.**
4. **A notice of sale is recorded, published, posted, and mailed**, after the applicable period.
5. **The trustee's sale occurs**, and title passes by **trustee's deed.**

**The reinstatement window is the point most misunderstood by borrowers.** For a period, curing the arrearage restores the loan; after that window closes, the borrower's route is generally **redemption before sale** — paying the full accelerated amount — which is a materially different sum.

California also imposes borrower-protective requirements on servicers in the residential foreclosure context, including contact and single-point-of-contact obligations. **The specifics are legal, and a licensee's role is to know they exist and route the borrower to counsel and to a HUD-approved housing counselor.**

## 6.4 Deficiency

A **deficiency** is the shortfall where the sale proceeds do not satisfy the debt. California restricts deficiency judgments substantially:

- **Generally unavailable after a nonjudicial sale**, whatever the loan type.
- **Restricted for purchase money loans** in defined circumstances — protection connected to the loan having been used to acquire the property.
- **Subject to limits even in judicial foreclosure**, including valuation-based constraints.

**Whether a deficiency is available in a specific case is a legal question with significant consequences**, and it is exactly the question a distressed client will ask a licensee. The answer is a referral.

## 6.5 Alternatives to foreclosure

| Alternative | What it is |
|---|---|
| **Reinstatement** | Curing the arrearage within the window |
| **Forbearance or modification** | The lender agrees to pause, restructure, or change terms |
| **Short sale** | A sale for less than the balance, with lienholder approval |
| **Deed in lieu of foreclosure** | A voluntary conveyance to the lender |

**Short sales and deeds in lieu carry credit, tax, and deficiency consequences that are legal and tax questions.** A licensee who tells a distressed seller that a short sale "won't hurt as much" or that a deficiency "gets wiped out" has given advice in the client's most consequential moment, on a question the licensee cannot answer.

**And a deed in lieu does not automatically extinguish junior liens**, which is one reason a lender may decline one.

## 6.6 Junior liens and the sale

A senior foreclosure generally extinguishes junior liens as claims against the property — **while the underlying debts may survive as personal obligations**, subject to the deficiency limits above.

That is why priority matters and why a junior lienholder monitors senior loans: a second wiped out by a first's foreclosure has lost its security.

## 6.7 The licensee working with distressed sellers

Distressed transactions concentrate every risk in this course, and three practices control most of it:

1. **Refer early and repeatedly.** Counsel for the legal consequences, a tax professional for the tax consequences, and a HUD-approved housing counselor for the process. Do it in writing.
2. **Never predict an outcome** — approval of a short sale, forgiveness of a deficiency, the credit effect, or the timeline.
3. **Recognize the fraud patterns.** Distressed situations attract equity-stripping schemes, rescue arrangements, and transfers that leave the owner worse off. A licensee who sees one escalates to the broker and does not participate, however the request is framed.

## 6.8 Two loans, compared honestly

> **A borrower is offered two structures on the same purchase.**
>
> - **Loan A:** fixed rate for the full term, no points, higher rate.
> - **Loan B:** fixed for an initial period and adjustable afterward, two points paid at closing, lower initial rate.

> **The comparison a licensee is not qualified to perform**, and the analysis that shows why it matters anyway.
>
> **Section 4's mechanics supply the vocabulary.** Points are paid now to reduce the rate later, which makes the comparison a question about **how long the borrower holds the loan.** The shorter the holding period, the worse the points look; the longer it is, the better.
>
> **Section 4's amortization supplies the second half.** Early payments on an amortizing loan are mostly interest, so **a borrower who sells in four years has paid down very little principal** — which means the difference between the two structures is nearly all rate and points rather than equity.
>
> **The adjustable feature is the third variable, and it is the one presented worst.** The initial payment on Loan B is the number the borrower will be shown. **It is the one figure guaranteed to be true for the shortest time**, and the meaningful number is the worst case: what the payment becomes if the rate adjusts to its maximum.
>
> **What determines the right answer**, and none of it is on the rate sheet: how long the borrower expects to hold the property, how stable his income is, what reserves he holds, and what he would do if the payment rose to its maximum.
>
> **What the licensee does.**
>
> **He explains the mechanics** — what points are, what amortization means early in a loan, what an adjustment does — because these are concepts, and Section 4 exists so that he can.
>
> **He tells the borrower to ask the lender for both structures on a common basis**, including the worst-case payment on Loan B and a total cost over the holding period the borrower actually expects.
>
> **He asks the questions the rate sheet does not** — holding period, income stability, reserves — because those are the facts that decide it and nobody else in the transaction is asking.
>
> **He records the conversation.**
>
> **What he does not do.** Recommend either loan, characterize one as cheaper, tell the borrower "you can always refinance," or opine that rates will move in a direction. **The first three are the lender's work and the fourth is a prediction stated as a plan** — which is, across this entire course, the single most damaging sentence available in a financing conversation.

## 6.10 The power of sale, and where it comes from

Section 6.2 described the trustee's sale as the ordinary California foreclosure. **Civil Code § 2924** is the section that permits it, and its opening sentence explains something students often find odd — why California uses deeds of trust at all.

> *"(a) Every transfer of an interest in property, other than in trust, made only as a security for the performance of another act, is to be **deemed a mortgage**, except when in the case of personal property it is accompanied by actual change of possession, in which case it is to be deemed a pledge."*

**A security transfer is a mortgage, whatever it is called** — unless it is made *in trust*. That exception is the doorway, and the deed of trust walks through it. The section then addresses what a power of sale in such an instrument may do:

> *"If, by a mortgage created after July 27, 1917, of any estate in real property … or in **any transfer in trust** made after July 27, 1917, of a like estate to secure the performance of an obligation, **a power of sale is conferred** upon the mortgagee, trustee, or any other person, to be exercised after a breach of the obligation for which that mortgage or transfer is a security, the power shall not be exercised except where …"*

— and there follows the statutory procedure: the notice of default, the period that must run, the notice of sale, and the sale itself.

**Three consequences for a licensee.**

**The deed of trust's three parties are structural, not stylistic.** Trustor (borrower), beneficiary (lender), trustee (neutral holder of the power of sale). The power belongs to the trustee because § 2924 speaks of a transfer *in trust*, and the trustee's neutrality is what makes a non-judicial sale acceptable.

**The procedure is statutory and its steps are not negotiable.** A licensee working with a seller in default cannot improvise timelines, and the dates that govern a short sale, a reinstatement or a payoff come from the recorded notices rather than from the lender's collections department.

**"After a breach of the obligation."** The power is exercisable only on default. This is obvious until a client asks whether a lender can call a loan for something else, at which point the answer lives in the loan documents and belongs to counsel.

## 6.11 The two anti-deficiency statutes, and the choice they create

California limits what a lender may collect after the collateral is gone. Two sections do most of the work and they operate on different triggers, which is why a borrower's exposure can turn on which foreclosure route the lender chooses.

**Code of Civil Procedure § 580d — the trustee's sale bar:**

> *"(a) Except as provided in subdivision (b), **no deficiency shall be owed or collected**, and no deficiency judgment shall be rendered for a deficiency on a note secured by a deed of trust or mortgage on real property … **in any case in which the real property … has been sold by the mortgagee or trustee under power of sale** contained in the mortgage or deed of trust."*

**The trigger is the method.** If the lender forecloses non-judicially — the fast, cheap, ordinary route — **no deficiency may be collected at all**, whatever the loan was for. The lender trades the deficiency for the speed.

**Code of Civil Procedure § 580b — the purchase-money bar.** § 580b protects a borrower on a **purchase money loan** regardless of how the lender forecloses. It also addresses refinancing, and the drafting is careful:

> *"…a **'new advance'** that is not applied to an obligation owed or to be owed under the purchase money loan, or to fees, costs, or related expenses of the credit transaction. **A new credit transaction shall be deemed to be a purchase money loan except as to the principal amount of a new advance.** For purposes of this section, any payment of principal shall be deemed to be applied first to the principal balance of the purchase money loan, and then to the principal balance of a new advance…"*

**Refinancing does not destroy purchase-money protection — it splits the loan.** The refinanced balance keeps its character; only the **new advance** — the cash taken out beyond the old balance and costs — falls outside. And payments are applied to the protected portion first, which preserves the protection for as long as possible.

**Both sections carve out guarantors.** § 580b(c) and § 580d(b) each say the bar *"does not affect the liability that a guarantor, pledgor, or other surety might otherwise have."* **A relative who guaranteed the loan is not protected by a statute that protects the borrower.**

## 6.12 A worked default

> A borrower bought a home for $800,000 with a $640,000 purchase-money first. Four years later they refinanced into a $700,000 loan: $625,000 paid off the old balance, $15,000 covered costs, and **$60,000 came out in cash** for a business. They later default. The lender forecloses non-judicially and the property sells at the trustee's sale for $560,000, leaving a shortfall of about $128,000.

**No deficiency is collectible from the borrower — and the reason is § 580d, not § 580b.**

The lender sold **under the power of sale**. § 580d bars the deficiency outright, whatever the loan's character. The analysis stops there.

**Now change one fact: the lender forecloses judicially instead.** Now § 580d does not apply and § 580b must be worked:

- $625,000 of the new loan paid off the purchase-money balance — **deemed purchase money**.
- $15,000 covered costs of the credit transaction — **deemed purchase money**.
- **$60,000 was a new advance** — outside the protection.
- Payments of principal since the refinance apply **first to the purchase-money portion**.

**So the borrower is protected as to the $640,000 of purchase-money character and exposed as to the $60,000 new advance**, subject to the fair-value rules that govern judicial foreclosure and that this course does not read.

**And the guarantor.** If the borrower's father guaranteed the refinance, neither section protects him. The lender's route to the shortfall may run through the guarantor even where it is closed against the borrower.

**What a licensee takes from this.** Not the ability to advise — every sentence above is a lawyer's conclusion on facts a lawyer must verify. **The ability to recognise that the questions exist**: whether the loan is purchase money, whether cash was taken out on a refinance, whether anyone guaranteed it, and which foreclosure route the lender has chosen. A seller in distress who is told "you'll owe the difference" or "you won't" by their agent has been given legal advice by someone who cannot give it, and the answer above shows how badly a confident guess can go.

## 6.13 Checkpoint

You should be able to compare the two foreclosure paths on speed and deficiency, explain the reinstatement window, and state what a licensee says to a distressed client asking about a deficiency.

## Key terms

| Term | Definition |
|---|---|
| **Promissory note** | The promise to repay. **The note is the debt.** |
| **Security instrument** | The pledge of property as security. **The security instrument is the remedy.** |
| **Maker / payee** | The party promising to pay; the party entitled to receive. |
| **Negotiable instrument** | A note transferable so a subsequent holder may take free of certain defenses. Why loans are sold. |
| **Acceleration clause** | Makes the entire balance due **on default**. Without it a lender could pursue only missed payments. |
| **Alienation (due-on-sale) clause** | Permits the lender to call the loan due **on transfer**. Why loans are generally not assumable without consent. |
| **Straight note** | Interest payments with principal due at maturity. |
| **Amortized note** | Payments retiring interest and principal. Fully amortized retires completely; partially amortized leaves a **balloon**. |
| **Deed of trust** | California's dominant security instrument. **Three parties:** trustor (borrower), beneficiary (lender), trustee (holds the power of sale). |
| **Mortgage** | A two-party security instrument: mortgagor and mortgagee. |
| **Power of sale** | The trustee's authority to sell on default without court action. The feature producing nonjudicial foreclosure. |
| **Reconveyance** | The recorded release when the debt is satisfied. **Payment does not clear the record; the document does.** |
| **Purchase money loan** | A loan used to acquire the property, treated differently for deficiency purposes. |
| **Assumption** | The buyer takes over the loan, generally requiring consent — and **the seller remains liable unless released by novation.** |
| **Subject to** | The buyer takes title without assuming; the loan remains the seller's obligation and remains secured by the property. |
| **Blanket loan** | One loan secured by multiple parcels, typically with a **release clause**. |
| **Primary / secondary market** | Where loans are originated; where existing loans are bought and sold. The secondary market supplies **liquidity** and shapes underwriting standards backward. |
| **Mortgage broker** | Arranges loans; does not lend its own funds. |
| **Government-backed program** | An agency insures or guarantees the lender. **The government is not the lender**, the loans bear ordinary interest, and property condition requirements are a closing-probability fact. |
| **Mortgage insurance** | Commonly required below a down payment threshold. **Protects the lender**, paid by the borrower. |
| **Simple interest** | Interest = Principal × Rate × Time, computed on outstanding principal. |

| Term | Definition |
|---|---|
| **Amortization split** | Each payment covers accrued interest first; the remainder reduces principal. Early payments are almost entirely interest. |
| **Point** | One percent of the loan amount. **Discount points** buy down the rate; **origination points** charge for making the loan. |
| **Break-even** | Cost of points ÷ monthly saving = months to recover. |
| **Index plus margin** | What sets an adjustable rate at each adjustment, subject to the note's **periodic and lifetime caps**. Not lender discretion, not the borrower's later credit. |
| **Nominal / effective rate** | The rate stated in the note; the actual cost including points and certain fees. |
| **Impound account** | Monthly collections for taxes and insurance. A shortage produces a payment increase on a loan the borrower thought was fixed. |
| **Loan-to-value** | Loan ÷ **the lower of appraised value and purchase price.** The rule explaining every consequence of a low appraisal. |
| **Combined loan-to-value** | Total secured debt ÷ value. |
| **Equity** | Value − liens. |
| **Front-end ratio** | Housing expense (PITI plus dues) ÷ gross monthly income. |
| **Back-end ratio** | Total monthly obligations ÷ gross monthly income. **Thresholds vary and are never stated by a licensee as a rule.** |
| **Occupancy** | A material fact the lender relies on. Misstating it is loan fraud, regardless of affordability. |
| **Nonjudicial foreclosure** | Sale under the power of sale. Faster; **generally no deficiency and generally no post-sale redemption.** |
| **Judicial foreclosure** | A court action. Slower; a deficiency may be available subject to limits, and a statutory redemption period may apply. |
| **Reinstatement** | Curing the arrearage and permitted costs within the statutory window — **not the accelerated balance**. |
| **Redemption before sale** | Paying the full accelerated amount after the reinstatement window closes. |
| **Deficiency** | The shortfall where sale proceeds do not satisfy the debt. Substantially restricted in California, and always a legal question. |
| **Short sale** | A sale for less than the balance, requiring lienholder approval, with credit, tax, and deficiency consequences for counsel. |

## Practice problems

### Problem 1

A seller carrying financing asks his agent whether the buyer can "just take over the loan," and whether the seller will still owe anything. Separately, the buyer proposes taking title "subject to" the existing first, and the agent says the two arrangements are the same thing.

**Correct the agent and answer the seller.**

> **Solution. They are not the same thing, and the difference is who owes.**
>
> **Assumption:** the buyer takes over the loan. It generally requires **lender consent** because of the **alienation (due-on-sale) clause** — and critically, **the seller remains liable unless released by novation.** A seller who "let the buyer assume" and assumes he is released has assumed a novation he did not obtain.
>
> **Subject to:** the buyer takes title **without assuming**. The loan remains the seller's obligation and remains secured by the property — so the seller has transferred the property, kept the debt, and lost control of whether it gets paid. It also triggers the alienation clause, with real risk for both parties.
>
> **What the licensee does:** explain the mechanism, and **route the structure to counsel.** Whether the seller is released, and what the lender may do on transfer, are legal questions.

### Problem 2

A note contains an acceleration clause and an alienation clause. The borrower misses three payments; separately, another borrower transfers the property to her adult son. A licensee says both clauses do the same thing and that a lender "can always call the loan."

**Distinguish them.**

> **Solution. They respond to different events and do different work.**
>
> **Acceleration responds to default.** On default it makes the **entire balance immediately due** — and without it, a lender could pursue only the missed payments. That is why foreclosure depends on it: the lender is enforcing an accelerated debt, not three payments.
>
> **Alienation responds to transfer.** It permits the lender to call the loan due when the property is transferred, which is why loans are generally **not assumable without lender consent.** The transfer to the son triggers this clause, not the acceleration clause.
>
> **"A lender can always call the loan" is wrong.** The lender's rights come from the clauses actually in the instrument and the events that trigger them.

### Problem 3

Compute for a $400,000 loan at 6% with a monthly payment of $2,398.20: (a) the first month's interest and principal split; (b) the second month's; (c) the cost of 2 points; (d) the break-even if those points reduce the payment by $140 per month.

**Then state what the pattern in (a) and (b) explains.**

> **Solution.** (a) Interest = 400,000 × 0.06 ÷ 12 = **$2,000.00.** Principal = 2,398.20 − 2,000.00 = **$398.20.** Balance: **$399,601.80.**
>
> (b) Interest = 399,601.80 × 0.06 ÷ 12 = **$1,998.01.** Principal = **$400.19.** Balance: **$399,201.61.**
>
> (c) 400,000 × 0.02 = **$8,000.** One point is one percent of the **loan amount** — not the price.
>
> (d) 8,000 ÷ 140 = **57 months**, about 4 years 9 months. A borrower holding longer comes out ahead; one selling or refinancing sooner does not.
>
> **The pattern:** early payments are almost entirely interest, and the principal portion grows only slowly. That is why a borrower five years into a thirty-year loan has repaid far less principal than the elapsed fraction suggests — and it is the arithmetic behind the **payoff surprise** a seller gets at closing.
>
> **On (d):** a licensee may explain the arithmetic. **Whether this borrower should pay points** depends on his plans, tax situation, and alternatives — a lender and advisor question.

## Problem 4

A buyer with an adjustable-rate loan asks his agent what his rate will be at the first adjustment. The agent says it depends on the lender and on whether the buyer's credit has improved, and adds that rates "will definitely be lower by spring."

**Correct each statement.**

> **Solution. All three are wrong.**
>
> **The rate at adjustment is the index plus the lender's margin, subject to the note's caps.** Not the lender's discretion.
>
> **Not the borrower's credit at that time** either — the margin was set when the loan was made.
>
> **Caps limit the movement:** a **periodic cap** limits change at any single adjustment; a **lifetime cap** limits total movement over the loan's life. Those are in the note, and the borrower should read them.
>
> **The rate prediction is outside the license.** Mortgage rates respond to broader capital market conditions and are not set by any single institution. "Rates will be lower in the spring" is a prediction stated as certainty, on which a client may act.
>
> Worth adding while the subject is open: an **impound shortage** after a tax or insurance increase raises the payment on a loan the borrower thought was fixed. Explaining that in advance prevents an angry call.

## Problem 5

A $920,000 purchase with 20% down. The appraisal comes in at $900,000. The buyer's agent tells him the price will adjust automatically to the appraised value, that the loan is now denied, and that he can demand a second appraisal.

**Compute the shortfall and correct all three statements.**

> **Solution. Lenders lend against the lower of appraised value and purchase price** — so against $900,000. At 80%: 900,000 × 0.80 = **$720,000**, against the $736,000 planned. **A $16,000 shortfall in loan proceeds.**
>
> **All three statements are wrong.** The price does **not** adjust to appraised value by operation of any loan program. The loan is **not** denied. And **no one is entitled to a second appraisal as of right.**
>
> **The buyer's actual options:** bring the additional $16,000, renegotiate the price in whole or part, negotiate another resolution such as a credit or a term change, or cancel if a contingency permits and its procedure is followed.
>
> **The rule worth memorizing in exactly that form** — the lower of value or price — explains every consequence of a low appraisal.

### Problem 6

Gross monthly income $9,000. Proposed PITI $2,520. Car payment $480, student loan $300, credit card minimums $120. The buyer's preapproval says $1.1 million; his comfortable payment supports about $860,000. A relative has offered $100,000 of help.

**Compute both ratios, and address the three numbers and the gift.**

> **Solution. Front-end:** 2,520 ÷ 9,000 = **28%. Back-end:** (2,520 + 480 + 300 + 120) ÷ 9,000 = 3,420 ÷ 9,000 = **38%.**
>
> **A licensee computes and explains the ratios and never states a threshold as a rule.** Thresholds vary by program, by compensating factors, and over time — that is a lender question, and stating one is the kind of confident error that costs a buyer a property.
>
> **Search to $860,000, not $1.1 million.** The three numbers are what he can borrow, what cash is available — down payment, closing costs, reserves, moving costs, and the immediate costs of occupying a home, which buyers routinely forget — and **what he is willing to spend**, which is the number that should drive the search. Searching to the lender's maximum shows him properties he will feel unable to afford.
>
> **On the $100,000: confirm with the lender first.** Ask him to confirm how the assistance would be treated and documented, do not build the search around the higher figure until confirmed, and do not contact the relative directly. **A gift and a loan are treated differently**, because an undisclosed loan is a hidden obligation that undermines the lender's capacity analysis.

### Problem 7

Two weeks into escrow a buyer finances $9,000 of furniture, moves $22,000 from a relative into his checking account, and pays off his car with part of his down payment funds. He also asks the licensee to record the property as owner-occupied, though he intends to rent it, noting he can afford either payment.

**Assess each act.**

> **Solution. All three financial moves attack the file the approval rested on**, and the occupancy request is a different category entirely.

**Financing furniture** changes the debt-to-income analysis. **The $22,000 deposit** requires sourcing and may look like undisclosed borrowed funds. **Paying off the car with closing funds** solves one ratio by breaking another — it reduces verified cash to close.

Underlying all three: an approval rests on the file **as underwritten**, and lenders commonly **re-verify credit and employment before funding.** The written start-of-escrow warning — do not open credit, change jobs, or move large sums without telling your lender first — prevents more failed transactions than any other communication a licensee sends. Also on that list: leaving a job and missing a payment on any obligation.

**The occupancy request is loan fraud, and affordability is beside the point.** Occupancy affects pricing, program eligibility, and which consumer protections apply, and is therefore **a material fact the lender relies on.** The misstatement is not about whether he will pay; it is about obtaining terms on a false representation of the risk being priced. Decline plainly, explain why, and record the loan as it actually is.

## Problem 8

A distressed homeowner two payments behind asks her agent: can she still save the house, will a short sale be approved, will she owe the difference, and would a deed in lieu clear her second mortgage. The agent tells her a short sale "won't hurt as much," that the deficiency "gets wiped out in California," and that a deed in lieu will clear everything.

**Correct the advice and state the correct posture.**

**Solution. Every answer the agent gave was a legal or tax conclusion, and at least two are wrong as stated.**

**On saving the house:** for a period after a notice of default is recorded, a **reinstatement** window lets the borrower cure by paying the **arrearage and permitted costs — not the accelerated balance.** After that window closes, the route is generally **redemption before sale**, paying the full accelerated amount, which is a materially different sum. That distinction is the one borrowers misunderstand most.

**On approval:** never predicted. A short sale requires lienholder approval.

**On deficiency:** California restricts deficiency judgments substantially — **generally unavailable after a nonjudicial sale**, and restricted for **purchase money loans** in defined circumstances. But whether a deficiency is available **in her case** is a legal question with significant consequences, and a short sale's deficiency treatment depends on what the lienholders agree to. "It gets wiped out" is not an answer a licensee may give.

**On the deed in lieu: it does not automatically extinguish junior liens** — which is one reason a lender may decline one, and it means her second may survive.

**The correct posture:** refer early and repeatedly, **in writing** — counsel for the legal consequences, a tax professional for the tax consequences, and a HUD-approved housing counselor for the process. Predict nothing. And recognize that distressed situations attract equity-stripping and rescue schemes: a licensee who sees one escalates to the broker and does not participate, however the request is framed.

## Chapter summary

**The note is the debt; the security instrument is the remedy.** A note without security is unsecured; security without a note secures nothing.

**Acceleration responds to default; alienation responds to transfer.** They do different work.

**California uses a three-party deed of trust**, and the trustee's **power of sale** is what produces nonjudicial foreclosure, the reinstatement window, and the deficiency consequences.

**Payment does not clear the record; a recorded reconveyance does.**

**Priority determines who is paid first and whose interest survives foreclosure**, and subordination is a decision for counsel rather than a formality.

**Assumption leaves the seller liable without a novation; taking subject to leaves the debt entirely with the seller.** Route both to counsel.

**The secondary market supplies liquidity and shapes underwriting backward**, which is why documentation requirements can feel disconnected from an obvious ability to pay.

**Government-backed does not mean government-lent**, and mortgage insurance **protects the lender** while the borrower pays for it.

**Interest is simple: principal × rate × time.** Each amortized payment covers accrued interest first, which is why early payments are nearly all interest and why the payoff surprises sellers.

**One point is one percent of the loan.** Compute the break-even; leave the decision to the borrower and the lender.

**An adjustable rate is index plus margin within the note's caps** — never lender discretion, never the borrower's later credit — and never predict the direction of rates.

**Lenders lend against the lower of appraised value and purchase price.** That sentence explains every consequence of a low appraisal, and nothing about the resolution is automatic.

**Compute the ratios; never state a threshold as a rule.** Search to what the buyer is willing to spend, not the lender's maximum.

**Send the start-of-escrow warning in writing** about credit, employment, and moving funds — and refuse any request to misstate occupancy, whatever the buyer can afford.

**Nonjudicial foreclosure trades the deficiency for speed; judicial foreclosure trades speed for a possible deficiency and a redemption period.** Reinstatement cures the arrearage; redemption requires the accelerated balance.

**With distressed clients, refer early and in writing, predict nothing, and recognize the fraud patterns.**

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Identify the instruments involved and what each does, identify every clause triggered by the facts and by what event, perform each computation the scenario requires — showing the interest split, points, break-even, loan-to-value, and qualifying ratios as applicable — and state what the lower-of-value-or-price rule produces, identify each event during escrow that jeopardizes the approval and the written warning you would have sent, state what you would decline to answer and why, and identify what you would refer to a lender, to a tax professional, to a housing counselor, and to counsel and by what deadline. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

## Applied exercise — 100% required to complete the assignment

**1.** A borrower financed his California home purchase with a loan secured by a deed of trust. He defaults. The lender is considering its options and the borrower asks what could happen to him beyond losing the house. What is the accurate framework to explain?

**A. A deed of trust with a power of sale allows a nonjudicial trustee's sale, which is faster but limits the lender's ability to pursue the borrower for a deficiency; judicial foreclosure preserves more collection options but is slower — and California restricts deficiency recovery in defined circumstances, so the borrower should consult counsel about his specific loan.**

B. The lender may pursue the borrower personally for any shortfall in every case, since the promissory note is a personal obligation.

C. The borrower can never be pursued for a shortfall in California, because all home loans are non-recourse.

D. The outcome depends entirely on whether the lender is a bank or a private lender.

**Answer: A.** The tradeoff between speed and collection rights is the core of the framework, and California's limits on deficiency recovery depend on the loan's characteristics. Both absolute answers are wrong, and the lender's identity is not what determines it — which is why the specific loan needs legal review.

## Engagement check — 5 items, 80% required

**1.** What is the relationship between a promissory note and a deed of trust?

**A. The note is the evidence of the debt and the promise to repay; the deed of trust is the security instrument that pledges the property as collateral for that debt.**

B. The note secures the property while the deed of trust evidences the debt.

C. They are alternative documents, and a loan uses one or the other.

D. The note is recorded and the deed of trust is retained by the lender.

**Answer: A.** Debt and security are separate functions performed by separate documents. The deed of trust is what gets recorded, not the note.

**2.** Who are the three parties to a deed of trust?

**A. The trustor (borrower), the beneficiary (lender), and the trustee, who holds bare legal title for the purpose of the security.**

B. The mortgagor, the mortgagee, and the escrow holder.

C. The borrower, the lender, and the title insurer.

D. The grantor, the grantee, and the county recorder.

**Answer: A.** Trustor, beneficiary, and trustee are the three parties, and the third-party trustee is exactly what distinguishes a deed of trust from a two-party mortgage.

**3.** In a fully amortized loan, how does the composition of each payment change over time?

**A. Early payments are mostly interest with little principal; over time the interest portion falls and the principal portion rises, with the payment amount unchanged.**

B. Early payments are mostly principal, with interest increasing as the balance is repaid.

C. The interest and principal portions remain in the same proportion throughout the term.

D. The payment amount decreases each period as the balance declines.

**Answer: A.** Interest accrues on the outstanding balance, so as the balance falls the interest share falls and the principal share rises within a level payment.

**4.** A borrower pays two points on a $400,000 loan. How much is that?

**A. $8,000, because a point is one percent of the loan amount.**

B. $800, because a point is one tenth of one percent of the loan amount.

C. $8,000, because a point is one percent of the purchase price.

D. $4,000, because two points is one half of one percent of the loan amount.

**Answer: A.** A point is one percent of the loan amount, so two points on $400,000 is $8,000. The calculation is based on the loan, not the purchase price.

**5.** What does the secondary mortgage market do?

**A. It buys loans originated in the primary market, which replenishes lenders' funds and lets them make additional loans.**

B. It makes loans directly to borrowers who cannot qualify in the primary market.

C. It provides second mortgages behind existing first liens.

D. It sets the interest rates that primary market lenders must charge.

**Answer: A.** The secondary market buys existing loans, supplying liquidity to originators. It does not lend to consumers, is unrelated to lien position, and influences rather than sets rates.

## Remediation set — served only after a failed engagement check

**1.** What is the practical significance of a trustee's power of sale in a deed of trust?

**A. It permits foreclosure without court action, which is generally faster than judicial foreclosure but carries consequences for the lender's ability to pursue a deficiency.**

B. It permits the lender to take possession of the property immediately upon default.

C. It permits the trustee to sell the property at any time to protect the lender's interest.

D. It eliminates the borrower's right to cure the default before sale.

**Answer: A.** The power of sale enables nonjudicial foreclosure, with the speed-versus-remedies tradeoff that follows. It does not authorize immediate possession, sale at will, or elimination of the borrower's cure rights.

**2.** What does a loan-to-value ratio of 80 percent mean on a property valued at $600,000?

**A. The loan amount is $480,000, leaving $120,000 of the value not covered by the loan.**

B. The loan amount is $120,000, with the borrower financing the remaining 80 percent separately.

C. The borrower's monthly debt equals 80 percent of his income.

D. The property must appraise at 80 percent of the purchase price.

**Answer: A.** 80 percent of $600,000 is $480,000. The second option inverts the ratio, and the others confuse it with a debt-to-income ratio and an appraisal standard.

**3.** What distinguishes a qualifying ratio based on housing expense from one based on total debt?

**A. The housing ratio measures the housing payment against income, while the total debt ratio adds the borrower's other recurring obligations.**

B. The housing ratio applies to first mortgages and the total debt ratio to second mortgages.

C. The housing ratio is used for conventional loans and the total debt ratio for government loans.

D. The housing ratio measures the loan against value while the total debt ratio measures payments against income.

**Answer: A.** The difference is what goes in the numerator: housing costs alone versus housing costs plus other recurring debt. Lien position and loan program do not define the two ratios, and neither measures loan against value.

**4.** A borrower has an adjustable-rate loan. What primarily determines the rate at each adjustment?

**A. The index the loan is tied to plus the lender's margin, subject to any caps in the note.**

B. The lender's discretion at each adjustment date.

C. The borrower's credit score at the time of adjustment.

D. The property's current appraised value.

**Answer: A.** Index plus margin, constrained by caps, is the mechanism. It is not discretionary, and neither the borrower's later credit nor the property's value drives the adjustment.

**5.** What happens to the deed of trust when the loan is paid in full?

**A. The beneficiary requests the trustee to reconvey, and a recorded reconveyance clears the security interest from the record.**

B. The deed of trust expires automatically and no recording is needed.

C. The borrower records a new deed transferring title back to himself.

D. The lender returns the promissory note, which by itself clears the record.

**Answer: A.** A recorded reconveyance is what removes the encumbrance from the record. Payoff does not clear the record automatically, the borrower does not deed to himself, and returning the note satisfies the debt without clearing the security.

# Real Estate Principles - Lesson Assignment 12

## Valuation and appraisal foundations

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Distinguish value, price, and cost, and state the elements and economic principles that create value.
- Explain highest and best use and apply its four tests.
- Apply the sales comparison approach, adjust in the correct direction, and reconcile indications into a supported range.
- Apply the cost approach, compute depreciation, and identify when the approach is most and least reliable.
- Apply the income capitalization approach and compute value, rate, and income from the IRV relationship.
- State the boundary between an appraisal and a comparative market analysis, and explain appraiser independence.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: value concepts and highest and best use | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: the sales comparison and cost approaches | 50 | Sections 3-4 viewed |
| Guided reading: income capitalization and the appraisal boundary | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Value, price, and cost

### 1.1 Three different things

Students merge these constantly, and every valuation error downstream begins here.

| Term | Definition |
|---|---|
| **Value** | What the property is **worth** — an opinion, formed as of a date, for a stated purpose |
| **Price** | What someone **actually paid**. A historical fact |
| **Cost** | What it took to **create** the improvements. Also a historical fact |

> **Value is an opinion; price and cost are facts. All three can differ, and frequently do.**

A property can cost $900,000 to build, be worth $700,000, and sell for $760,000 — all at the same time, without anything being wrong.

## 1.2 Market value

The appraisal standard is **market value**, and its definition contains conditions that do the work.

Market value is, in outline, the most probable price a property should bring in a competitive and open market under conditions requisite to a fair sale, where:

- **Buyer and seller are each typically motivated** — neither is forced.
- **Both are well informed** and acting in their own interests.
- **A reasonable exposure time** is allowed in the open market.
- **Payment is in cash or its equivalent**, with financing terms not affecting the price.
- **The price is unaffected by special financing or concessions.**

**Each condition excludes something.** A forced sale, an uninformed buyer, a two-week marketing period, or seller-paid concessions inflating the number each produce a price that is not market value.

That is why a distressed sale may be evidence of a transaction and poor evidence of value, and why the analysis in Section 3 asks whether a comparable reflects **this** market.

## 1.3 The elements of value

Four elements must be present for value to exist, remembered as **DUST**:

| Element | What it requires |
|---|---|
| **D** — Demand | Someone wants it, **with purchasing power** |
| **U** — Utility | It satisfies a need or use |
| **S** — Scarcity | It is in limited supply |
| **T** — Transferability | Ownership can be transferred |

**Demand without purchasing power is not demand.** That single qualification explains why desire alone does not create value, and why affordability constraints move markets.

**Transferability is the one students forget.** A property nobody can convey — clouded title, unresolved authority — has impaired value for that reason alone.

## 1.4 The economic principles

These recur throughout the approaches, and each has a practical application.

| Principle | What it says |
|---|---|
| **Supply and demand** | Price responds to their relationship in this market |
| **Substitution** | A buyer will pay no more than the cost of an equally desirable substitute. **The foundation of all three approaches** |
| **Highest and best use** | Value reflects the most productive legally permitted use — Section 2 |
| **Conformity** | Maximum value arises where a property conforms reasonably to its surroundings |
| **Progression** | A lesser property benefits from surrounding better ones |
| **Regression** | A better property is dragged down by surrounding lesser ones |
| **Contribution** | An improvement adds what the market pays for it, **not what it cost** |
| **Increasing and diminishing returns** | Successive investment adds value up to a point, then less than it costs |
| **Anticipation** | Value reflects expected future benefits |
| **Change** | Value is a snapshot; markets and neighborhoods move |
| **Balance** | Value is maximized where the factors of production are in equilibrium |
| **Externalities** | Factors outside the property affect its value |

## 1.5 Substitution is the engine

Every approach in this lesson is an application of substitution:

- **Sales comparison** — a buyer will pay no more than a similar property sold for.
- **Cost** — a buyer will pay no more than the cost of building an equivalent, less depreciation.
- **Income** — an investor will pay no more than a comparable income stream costs.

A student who holds substitution understands why there are three approaches and why they should converge.

## 1.6 Contribution is not cost

The most common client misconception, and one a licensee must be able to explain without giving offense:

> **Money spent on a property does not become value in the property. The market decides what an improvement contributes, and for specialized improvements the contribution is usually well below the cost.**

A $150,000 recording studio built into a garage in a neighborhood of family homes may contribute a fraction of that, because the pool of buyers who want it — and would pay for it — is small. That is **over-improvement relative to the neighborhood**, and it is a recognized phenomenon rather than a rhetorical device for arguing a seller down.

**The complement is also true:** some modest improvements contribute more than they cost, because they remove a specific buyer objection.

## 1.8 Value, price and cost, kept apart

Section 1.1 distinguished the three. They are worth separating carefully because clients use them interchangeably and a licensee who follows them into that habit will say something indefensible.

| Term | What it is | Who determines it |
|---|---|---|
| **Value** | An opinion of worth under stated conditions, at a stated date | An appraiser, on evidence |
| **Price** | What was actually paid in a particular transaction | The parties to that transaction |
| **Cost** | What it took to create the improvement | The market for labour and materials |

**They diverge routinely, and each divergence has an ordinary cause.**

**Price above value.** A buyer with a particular motive — an adjoining owner assembling a parcel, a relative, a buyer under time pressure. **A single high sale is a data point about that transaction, not about the market**, which is why appraisers examine the conditions of sale before using a comparable.

**Price below value.** A distressed seller, a family transfer, a probate sale with limited exposure. **The same reasoning applies in the other direction**, and this is why a foreclosure sale is a poor comparable for an ordinary transaction.

**Cost above value.** The most common divergence in real life. **Over-improvement** — the $180,000 kitchen in a $600,000 neighbourhood — recovers a fraction of its cost, because the market's ceiling is set by the neighbourhood rather than by the owner's spending.

**Cost below value.** Scarcity. In a supply-constrained market a property may be worth substantially more than it would cost to replicate, if replicating it were possible.

**The four value characteristics** — the ones that must all be present — remain the underlying frame:

**Demand** (someone wants it), **utility** (it can satisfy the want), **scarcity** (it is limited), and **transferability** (it can be conveyed). **Remove any one and value collapses**, which is why a landlocked parcel with no access and no easement — untransferable in any practical sense — can be worth almost nothing while its neighbour is valuable.

## 1.9 The conversation a licensee actually has

The distinctions above are not academic. They appear as three sentences clients say, and each needs a different answer.

**"I put $95,000 into this kitchen, so the house is worth $95,000 more."**

This is cost confused with value. **The answer is evidence, not argument:** show what comparable properties with updated kitchens have sold for, against comparable properties without. Often the answer is that the improvement recovers half its cost, and occasionally that it recovers most of it. **What the answer is never is the amount spent.**

**"My neighbour got $940,000, so that's what mine is worth."**

This is price confused with value. **The answer is to look at that sale.** How does the property differ; when did it close; what were the conditions of sale? A neighbour's sale is one comparable, and a comparable is adjusted rather than copied.

**"Zillow says $880,000."**

An automated valuation model is a statistical estimate from public data. It has never been inside the house, does not know about the foundation work or the addition, and does not know the condition of the interior. **It is not a bad starting point and it is not a valuation**, and the way to say so without dismissing the client is to show the three or four ways the subject differs from what the model can see.

**The professional posture underneath all three answers.** A licensee's role is to supply the evidence and its limits, and let the client form the view. Assignment 12 Section 6.14 makes the same point about a CMA: **the list price is the seller's decision, and the licensee's obligation is that it is an informed one.**

### 1.10 Checkpoint

You should be able to distinguish value, price, and cost; name the elements of value; and explain contribution to a seller without giving offense.

## 2. Highest and best use

### 2.1 The concept

**Highest and best use** is the reasonably probable use that produces the highest value. Appraisal of the land assumes it; appraisal of an improved property considers whether the existing improvement represents it.

### 2.2 The four tests

A use must satisfy all four, applied in order:

| Test | Question |
|---|---|
| **Legally permissible** | Is the use allowed — zoning, private restrictions, entitlements? |
| **Physically possible** | Can the site support it — size, shape, soils, access, utilities? |
| **Financially feasible** | Does it produce a positive return? |
| **Maximally productive** | Among the uses passing the first three, which produces the highest value? |

**The order matters.** A use that is not legally permissible is excluded before feasibility is considered, however profitable it would be.

**And "legally permissible" has two halves**, from Lessons 05 and 06: zoning **and** recorded private restrictions, with the more restrictive governing. Zoning permitting a use does not authorize it where the CC&Rs prohibit it.

### 2.3 Interim use

Where the highest and best use is not yet feasible, the current use may be an **interim use** — economically reasonable now, expected to change.

A single-family home on a parcel in a corridor transitioning to commercial is the standard example: the house is the interim use, and the land may be worth more than the improved property.

### 2.4 When the improvement subtracts

> **Where the value of the land as if vacant exceeds the value of the improved property, the improvement has negative contribution** — its removal cost is a deduction rather than an addition.

This is counterintuitive and real. A functionally obsolete building on a valuable site can make the property worth less than the bare land.

### 2.5 Why a licensee needs this

Three situations:

**Pricing a property whose use is changing.** A licensee who prices a transitioning property as a house may be leaving the land value on the table — or, in the other direction, may be pricing land value into a property whose entitlement does not support it.

**Advising on improvements.** A seller asking whether to add a fourth bedroom is asking a contribution and conformity question.

**Recognizing where the analysis exceeds the license.** Highest and best use for a development site is appraisal and entitlement work. A licensee who tells a buyer the parcel's highest and best use is a fourplex has made a legal, physical, and financial determination in one sentence.

### 2.6 Checkpoint

You should be able to apply the four tests in order and explain when an improvement has negative contribution.

## 3. The sales comparison approach

### 3.1 What it does

The sales comparison approach estimates value by analyzing **closed sales of comparable properties**, adjusting each for its differences from the subject, and reconciling the adjusted indications.

It is the primary approach for residential property, because residential buyers behave by substitution — they compare.

## 3.2 The direction of adjustment

The most-missed mechanic in valuation, and worth stating in a form that removes ambiguity.

> **Adjustments are made to the comparable, never to the subject.**
>
> The question each adjustment answers is: *what would this comparable have sold for if it had been like the subject?*

Therefore:

- If the comparable is **superior**, its price is adjusted **downward**.
- If the comparable is **inferior**, its price is adjusted **upward**.

The memory aid: **CBS — Comparable Better, Subtract.** And its complement: comparable worse, add.

## 3.3 A worked grid

Subject: 1,800 sq ft, 3 bed, 2 bath, 6,000 sq ft lot, 2-car garage, updated kitchen, no view.

| | Comp A | Comp B | Comp C |
|---|---|---|---|
| Sale price | $845,000 | $902,000 | $810,000 |
| Closed | 2 months ago | 5 months ago | 1 month ago |
| Living area | 1,800 | 1,980 | 1,700 |
| Bed / bath | 3 / 2 | 4 / 2 | 3 / 2 |
| Lot | 6,100 | 6,000 | 5,400 |
| Garage | 2-car | 2-car | 1-car |
| Kitchen | Updated | Updated | Original |
| **Adjustments** | | | |
| Market conditions | — | +$9,000 | — |
| Living area | — | −$27,000 | +$15,000 |
| Bedroom count | — | −$10,000 | — |
| Lot size | −$1,000 | — | +$4,000 |
| Garage | — | — | +$12,000 |
| Kitchen | — | — | +$20,000 |
| **Net adjustment** | −$1,000 | −$28,000 | +$51,000 |
| **Adjusted value** | **$844,000** | **$874,000** | **$861,000** |

Read what each line does:

- **Comp B closed five months ago in a rising market**, so it is adjusted **up** — it would sell for more today.
- **Comp B is larger and has a fourth bedroom**, both superior, so both are adjusted **down** toward the subject.
- **Comp C has an original kitchen and a one-car garage**, both inferior, so both are adjusted **up**.

### 3.4 Reconciliation

Three adjusted values — $844,000, $874,000, $861,000 — are **not averaged.** Averaging treats a comparable requiring $51,000 of adjustment as exactly as reliable as one requiring $1,000, which it is not, and silently discards that information.

Reconciliation weights by reliability:

1. **Adjustment size**, gross as well as net. A small net can conceal a large gross, and reliability tracks gross.
2. **Recency.**
3. **Similarity in the characteristics driving this market.**

A defensible conclusion: *the supported range is approximately $845,000 to $870,000, most probable near $850,000 to $855,000, weighted toward Comp A as the least-adjusted and most similar indicator.*

**A range, a most-probable point, and a stated reason for the weighting** — not a single number presented as fact.

### 3.5 Where adjustment amounts come from

Adjustment values are derived, in order of preference:

1. **Paired sales analysis** — comparing sales differing in one characteristic to isolate its contribution.
2. **Market-derived rates** — an established rate within this submarket, applied to modest differences only.
3. **Cost with depreciation** — for a specific improvement, recognizing that contribution rarely equals cost.
4. **Reasoned judgment**, disclosed as such.

The last is legitimate when the first three are unavailable, provided it is **identified as judgment rather than presented as measurement.**

### 3.6 What each data category proves

| Category | What it proves | What it does not |
|---|---|---|
| **Closed sales** | What buyers actually paid | Current conditions, if the market moved |
| **Pending sales** | Where the market is moving now | The final price; terms can change |
| **Active listings** | What sellers are asking; the competition | **Value** — asking prices are hopes |
| **Expired and withdrawn** | What the market rejected | Much alone, but a useful ceiling indicator |

**Active listings never establish value.** A seller can ask any number, and three homes listed at a price for over ninety days without an offer are evidence the market has **declined** to pay it three separate times.

### 3.7 Common errors

| Error | Why it is wrong |
|---|---|
| Adjusting the subject instead of the comparable | Reverses the entire logic |
| Averaging adjusted values | Treats unreliable indicators as equal to reliable ones |
| Discarding every comparable with a difference | Leaves nothing to analyze; differences are what adjustments exist for |
| Applying a price-per-square-foot rate across large differences | Contribution per square foot is not linear across a large gap |
| Many small adjustments reaching a target | The grid becomes an argument for a predetermined number |
| Automatic exclusion or non-adjustment of a distressed sale | Whether it reflects this market is an **analytical** question |

### 3.8 Checkpoint

You should be able to adjust in the correct direction, reconcile without averaging, and say what an active listing proves.

## 4. The cost approach

### 4.1 What it does

The cost approach estimates value as:

> **Land value (as if vacant, at highest and best use) + cost of improvements new − accrued depreciation = indicated value**

It applies substitution directly: a buyer will pay no more than the cost of acquiring a site and building an equivalent improvement.

### 4.2 Reproduction and replacement cost

**Reproduction cost** is the cost to construct an **exact replica**, including any obsolete features.

**Replacement cost** is the cost to construct a building of **equivalent utility** using current materials and methods.

**Replacement cost is generally the more useful measure**, because a buyer does not want the obsolete features. Reproduction cost matters for historic and unusual structures.

## 4.3 Cost estimating methods

| Method | How |
|---|---|
| **Square foot (comparative)** | Applying a cost per square foot from comparable construction. Fast, and the common approach |
| **Unit-in-place** | Costing each component — foundation, framing, roofing — installed |
| **Quantity survey** | Itemizing every material and labor cost. The most detailed and least practical |

## 4.4 Depreciation: the three categories

**Depreciation** here means loss in value from any cause, and it comes in three forms. Distinguishing them is the examinable and practical skill.

| Type | Source | Curable? |
|---|---|---|
| **Physical deterioration** | Wear, age, deferred maintenance | Often curable — worn carpet, a failed roof. Sometimes not — structural aging |
| **Functional obsolescence** | Something about the **improvement itself** — poor layout, one bathroom, an outdated system, an over-improvement | Sometimes curable |
| **External (economic) obsolescence** | Something **outside the property** — a new freeway, a declining neighborhood, an adjacent nuisance | **Generally incurable**, because the owner cannot change it |

**Curable** means the cost to cure is justified by the value it adds. **Incurable** means it is not — either because the fix costs more than it returns or because it cannot be fixed at all.

**External obsolescence is the one to recognize by its source.** If the cause is off the property, the owner cannot cure it, and the loss is real.

## 4.5 A worked cost approach

> **Subject:** 2,000 sq ft home, 12 years old, on a lot worth $340,000 as if vacant. Replacement cost new: $260 per square foot. Estimated total economic life: 60 years. Effective age: 12 years. Additional functional obsolescence for a single bathroom: $18,000. External obsolescence from a new arterial behind the lot: $25,000.

**Cost new:** 2,000 × $260 = **$520,000.**

**Physical deterioration, straight-line (age-life):** effective age ÷ total economic life = 12 ÷ 60 = **20%.** $520,000 × 0.20 = **$104,000.**

**Total accrued depreciation:** $104,000 + $18,000 + $25,000 = **$147,000.**

**Indicated value:** $340,000 + $520,000 − $147,000 = **$713,000.**

Note that **land is not depreciated.** Depreciation applies to improvements only.

### 4.6 Effective age versus actual age

**Actual age** is years since construction. **Effective age** reflects condition and updating.

A well-maintained, updated 30-year-old house may have an effective age of 12. A neglected 12-year-old house may have an effective age of 25. **The age-life computation uses effective age**, which is why the same chronological age produces different depreciation.

### 4.7 Where the approach is strong and weak

**Strongest:** new or nearly new construction, where depreciation is minimal and the estimate is close to actual cost. Special-purpose properties with no comparable sales — a school, a church, a fire station. Insurance valuation, where the question is replacement rather than market.

**Weakest:** older improvements, where depreciation must be estimated and the estimate carries the whole answer. Properties where land value is itself hard to establish.

**The recurring misuse:** treating the cost approach as a floor. A property is not worth what it cost to build, and telling a seller "you have $900,000 in it, so it's worth $900,000" is the contribution error at building scale.

### 4.8 Checkpoint

You should be able to run the cost approach with all three depreciation types and explain why external obsolescence is generally incurable.

## 5. The income capitalization approach

### 5.1 What it does

The income approach estimates value from the income a property produces. It is the primary approach for investment property, because investors buy income streams.

### 5.2 Building the income statement

The sequence, and each line matters:

| Line | Computation |
|---|---|
| **Potential gross income (PGI)** | All income at full occupancy |
| **− Vacancy and collection loss** | An allowance, market-derived |
| **= Effective gross income (EGI)** | |
| **− Operating expenses** | Fixed, variable, and reserves for replacement |
| **= Net operating income (NOI)** | |

**Two exclusions students get wrong, and they are the examinable ones:**

> **Debt service is not an operating expense**, and **depreciation is not an operating expense.**

NOI measures the property's performance, independent of how any particular owner financed it or what their tax position is. Two buyers with different loans buy the same NOI.

**Reserves for replacement are included** — the annualized allowance for roofs, systems, and other items that will need replacing. Omitting them overstates NOI and therefore overstates value.

### 5.3 The IRV relationship

> **I = R × V** — Income equals Rate times Value
>
> **V = I ÷ R** — Value equals Income divided by Rate **R = I ÷ V** — Rate equals Income divided by Value

The **capitalization rate** expresses the relationship between a property's NOI and its value, and it is derived from the market — from sales of comparable income properties where both NOI and price are known.

### 5.4 Worked problems

> **A property produces NOI of $84,000. Comparable sales indicate a 6% capitalization rate.**
>
> V = 84,000 ÷ 0.06 = **$1,400,000.**

> **A property sold for $1,250,000 with NOI of $81,250. What rate does it indicate?**
>
> R = 81,250 ÷ 1,250,000 = **6.5%.**

> **Full income statement.** 12 units at $2,100 monthly. Vacancy and collection 5%. Operating expenses $118,000 including reserves. Market cap rate 5.75%.
>
> PGI = 12 × 2,100 × 12 = **$302,400.** Less vacancy: 302,400 × 0.05 = 15,120. **EGI = $287,280.** Less expenses: 287,280 − 118,000 = **NOI = $169,280.** V = 169,280 ÷ 0.0575 = **$2,943,999**, say **$2,944,000.**

### 5.5 The inverse relationship

> **Rate and value move in opposite directions for a given income.**

> The same $169,280 NOI at 5.0% = **$3,385,600.** At 7.0% = **$2,418,286.**

A two-point movement in the rate changes the indicated value by nearly a million dollars on identical income. **That is why the rate's derivation matters more than the arithmetic**, and why a licensee should never select a cap rate to reach a number.

A **higher cap rate** signals higher perceived risk or lower expected growth; a **lower rate** signals the opposite.

### 5.6 Gross rent and gross income multipliers

A simpler screening tool.

> **GRM = sale price ÷ gross monthly rent** (residential) **GIM = sale price ÷ gross annual income** (commercial)

> A property sold for $840,000 with gross monthly rent of $6,000. GRM = 840,000 ÷ 6,000 = **140.** Applying that to a subject renting for $6,400: 6,400 × 140 = **$896,000.**

**The limitation is the lesson.** A multiplier uses **gross** income and therefore ignores expenses entirely. Two properties with identical gross rents and very different expense structures produce identical multiplier indications and very different values. It is a screening tool, not a valuation.

## 5.7 Reconciling the three approaches

An appraiser applies the approaches that fit the property and **reconciles** them — weighting by reliability and relevance, not averaging.

| Property type | Typically weighted toward |
|---|---|
| Single-family residence | **Sales comparison** |
| New construction | Cost, supported by sales comparison |
| Apartment or commercial | **Income capitalization** |
| Special-purpose with no sales | Cost |

Reconciliation is judgment, stated with its reasoning — the same discipline as reconciling comparables within the sales comparison approach.

## 5.9 Capitalization worked in both directions

Section 5.3 introduced the capitalization formula. It is one relationship read three ways, and a licensee who can move between them will not be confused by the way a client states a question.

> **Value = Net Operating Income ÷ Capitalization Rate Cap Rate = NOI ÷ Value NOI = Value × Cap Rate**

**Building the NOI is where the errors are**, not in the division. The order is fixed:

| Line | Example |
|---|---|
| Potential gross income (all units at market rent, full occupancy) | $186,000 |
| **Less** vacancy and collection loss at 6% | (11,160) |
| **Plus** other income (laundry, parking, storage) | 7,400 |
| **Effective gross income** | **182,240** |
| **Less** operating expenses | (69,250) |
| **Net operating income** | **$112,990** |

**Four things never appear in operating expenses**, and each is excluded for a reason a licensee should be able to state:

- **Debt service.** NOI describes the property, not the buyer's financing. Two buyers with different loans buy the same NOI.
- **Depreciation.** A tax entry, not a cash expense.
- **Capital improvements.** A new roof is an investment in the asset, not a cost of operating it this year.
- **Income taxes.** They depend on the owner, not the building.

**Reserves for replacement are the contested line.** Some analysts deduct them and some do not, and the difference moves NOI and therefore value. **A comparison between two properties where one deducted reserves and the other did not is not a comparison** — it is the first failure in Assignment 13 Section 6.1's list.

> **Problem one — value from NOI.** The NOI above is $112,990. Comparable sales in the submarket support a 5.75% capitalization rate. What value is indicated?

$112,990 ÷ 0.0575 = **$1,964,957**, say **$1,965,000**.

> **Problem two — the rate from a sale.** A comparable sold for $2,410,000 with an NOI of $131,000. What rate did the market pay?

$131,000 ÷ $2,410,000 = **5.44%**.

> **Problem three — sensitivity, which is the one that matters.** Take the same $112,990 NOI at 5.25%, 5.75% and 6.25%.

| Rate | Indicated value |
|---|---|
| 5.25% | $2,152,190 |
| 5.75% | $1,964,957 |
| 6.25% | $1,807,840 |

**A one-point swing in the rate moves the value by $344,350 — about 17.5 per cent.** This is the single most important fact about capitalization for a licensee to understand and to convey: **the rate is not a technicality, and a value stated to the nearest thousand dollars conceals a range far wider than the precision suggests.**

## 5.10 The cost approach and the gross rent multiplier, worked

**The cost approach** answers a different question: what would it cost to replace this improvement today, less what it has lost, plus the land.

> **Value = Replacement Cost New − Accrued Depreciation + Land Value**

> **Problem.** A 2,400 sq ft residence. Replacement cost new is $265 per square foot. The improvement is 12 years into a 50-year economic life and has suffered no unusual deterioration. Site value from land sales is $410,000.

Replacement cost new: 2,400 × $265 = **$636,000**. Straight-line depreciation: 12 ÷ 50 = 24%. Accrued depreciation: $636,000 × 0.24 = **$152,640**. Depreciated improvement: $636,000 − $152,640 = **$483,360**. Plus land: $483,360 + $410,000 = **$893,360**.

**Straight-line age-life is a teaching device**, and its weakness is worth naming: it assumes the improvement loses value evenly, which buildings do not do. Real appraisals separate **physical deterioration** (curable and incurable), **functional obsolescence** (a three-bedroom house with one bathroom), and **external obsolescence** (a freeway built alongside). **Only the first is captured by an age-life fraction**, and the other two are frequently larger.

**The gross rent multiplier** is the fastest and crudest of the three.

> **GRM = Sale Price ÷ Gross Rent** (monthly for residential, annual for commercial — say which)

> **Problem.** Three comparable duplexes sold at $712,000 with $4,150 monthly rent; $684,000 with $3,980; and $735,000 with $4,300. The subject rents for $4,240 a month. What does the GRM indicate?

| Comparable | Price | Monthly rent | GRM |
|---|---|---|---|
| A | $712,000 | $4,150 | 171.6 |
| B | $684,000 | $3,980 | 171.9 |
| C | $735,000 | $4,300 | 170.9 |

Indicated GRM ≈ **171.5**. Subject: $4,240 × 171.5 = **$727,160**.

**Why the GRM is a screen and not a valuation.** It uses **gross** rent, so it is blind to every difference in operating expense between the properties. A subject with a master-metered utility system, an old roof and a $9,000 insurance premium produces the same GRM answer as an identical building with none of those. **The GRM says whether a property is worth analysing. The income approach says what it is worth.**

## 5.11 Reconciliation, and the number a licensee must not produce

Three approaches produce three numbers. Reconciliation is the judgment about which deserves weight, and it is not an average.

| Property type | Approach that usually leads | Why |
|---|---|---|
| Single-family residence | **Sales comparison** | Buyers behave comparatively; ample data |
| Small income property | **Income**, supported by sales comparison | Bought for the income stream |
| New construction | **Cost**, supported by sales comparison | Depreciation is minimal and cost data is current |
| Special-purpose (church, school) | **Cost** | Few or no comparable sales exist |

**Averaging the three is the error that marks an untrained analysis.** If the sales comparison approach is reliable and the cost approach rests on a guessed depreciation figure, averaging them imports the guess into the answer at 33 per cent weight.

**And the boundary a licensee must not cross.** A **comparative market analysis** is not an appraisal, and a licensee preparing one is not appraising. The CMA supports a listing or offering decision; it does not state value for a lender, and it must not be presented as though it did. Assignment 12 Section 6.2 states the rule; the arithmetic above is what

makes the temptation real, because **the arithmetic is easy and the judgment is not.**

### 5.12 Checkpoint

You should be able to build an income statement excluding debt service and depreciation, solve IRV in all three directions, and explain what a multiplier ignores.

## 6. Appraisal independence and CMA limits

### 6.1 The boundary

| | Comparative market analysis | Appraisal |
|---|---|---|
| Prepared by | A real estate licensee | A licensed or certified appraiser |
| Purpose | To advise a client on pricing or offer strategy | An independent opinion of value for a defined use, commonly lending |
| Standards | Professional practice; not appraisal standards | Professional appraisal standards |
| Independence | Advises a client the licensee represents | **Independent of the parties** |
| May be called an appraisal | **No** | Yes |

**The difference is not the data used.** A licensee's analysis and an appraiser's report may rely on the same closed sales. The difference is **who prepares it, under what standards, with what independence, and for what purpose.**

### 6.2 What a licensee may and may not do

**May:** prepare a comparative market analysis; give an opinion of value to advise a client; explain how the opinion was formed; discuss what an appraisal is likely to consider.

**May not:** hold the analysis out as an appraisal; use it where an appraisal is required; represent that it satisfies a lender's valuation requirement; or perform an appraisal without the required license or certification.

### 6.3 Appraiser licensing, in outline

California licenses and certifies appraisers at levels tied to the complexity and value of property an appraiser may appraise, administered by the state's appraiser regulatory agency. Federally related transactions carry their own requirements.

A licensee's practical takeaway: **appraiser qualification is a real credential with levels**, and a valuation for a lending purpose requires an appraiser rather than a licensee, however experienced the licensee.

## 6.4 Independence

**A licensee may provide genuinely relevant information to an appraiser through the proper channel** — a list of sales the licensee believes relevant, information about condition and improvements, a copy of the contract.

**A licensee may not communicate a target.** "The deal dies without another $25,000" is exactly what independence rules exist to prevent, and a value that moves after that conversation is unreliable for the purpose the appraisal serves.

**The distinction is between supplying information and supplying a target** — and requests to "take another look" that arrive with a number attached are the pattern to refuse, **including when the request comes from your own client.**

## 6.5 When the appraisal disagrees

A lender's appraisal below the contract price is, first, a **financing event** rather than a verdict on the licensee's analysis. Lenders lend against the lower of appraised value and purchase price.

The options are practical rather than automatic: the buyer brings additional funds; the parties renegotiate; the parties negotiate another resolution; or the transaction is cancelled if a contingency permits and its procedure is followed.

**What does not happen automatically:** the price does not adjust to the appraised value by operation of any loan program, the loan is not denied, and no one is entitled to a second appraisal as of right.

**Where the appraisal contingency has been removed**, the practical options remain but the contractual rights are limited — and whether the buyer may cancel and what happens to his deposit is a **legal question** for counsel, not for the licensee.

## 6.6 Appraisal bias

Valuation is a judgment, and judgment is where bias operates. Concerns about appraisal bias — including in the treatment of neighborhoods and of the people occupying properties — are a recognized issue, and Lesson 14 takes up the fair housing framework.

Two points here. **Objective, market-derived adjustment support is the structural control**, because a derived adjustment can be examined and an impression cannot. And **a licensee who believes an appraisal reflects bias should escalate to the broker** and follow the reconsideration process available through the lender — not confront the appraiser and not advise the client on a claim.

## 6.7 What makes a licensee's opinion defensible

The test is **reconstructability as of the date given**: could someone reviewing this later see what data was used, what adjustments were made, what reasoning connected them, and when?

What the file should contain:

1. The comparables used, with data and sources, **as of the date of the analysis**.
2. The adjustment grid, with the direction and basis of each adjustment.
3. The reconciliation, including what was weighted and why.

4. Comparables **considered and rejected**, with the reason.
5. The market conditions evidence — months of supply, days on market, direction.
6. The recommendation, as a **range with a most-probable point**.
7. The date and the licensee who prepared it.
8. The written advice given, and the client's decision.

**What is not on that list:** that the property eventually sold near the estimate, which is luck rather than method; that the client signed an acknowledgment, which proves delivery rather than soundness; and that the brokerage's template was used, which proves formatting.

### 6.8 When the client chooses a different number

Price is the client's decision; the analysis and advice are the licensee's obligation. Where a seller lists above the supported range, the file needs the analysis, the written advice, the client's decision, and any agreed revisit strategy.

**What must not happen:** the client's reasoning being adopted as the brokerage's opinion of value, or the analysis being quietly revised upward to match the list price.

> **An analysis that follows the price rather than informing it is worse than no analysis.** It documents nothing and looks, later, like an opinion manufactured to fit.

### 6.9 A worked reconciliation

> **Three approaches, one property**: a forty-year-old single-family residence in an established neighborhood, owner-occupied, being valued for a listing decision.
>
> - **Sales comparison** indicates a range, with the three closest comparables clustering and one outlier requiring large gross adjustment.
> - **Cost approach** indicates a figure well above the comparison range.
> - **Income capitalization** indicates a figure well below it.
>
> **The reconciliation is not an average**, and Section 3's reconciliation discussion makes the point. It is a judgment about **which approach the market for this property actually uses.**
>
> **Why sales comparison dominates here.** Buyers of owner-occupied single-family homes decide by comparison to other homes. **The approach mirrors the actual decision process of the actual buyers**, which is the criterion.
>
> **Why the cost approach comes in high, and why that is expected.** Section 4's method estimates replacement cost less depreciation plus land. **Depreciation on a forty-year-old improvement is the hardest element to estimate**, and it is systematically understated — physical wear is visible, functional obsolescence is easy to miss, and external obsolescence is frequently ignored entirely. **A high cost indication on an older property usually means the depreciation estimate is light**, not that the property is worth more than comparable sales say.

> **Why the income approach comes in low, and why it is nearly irrelevant here.** Section 5's method converts income to value. **Owner-occupied homes in most markets sell for more than their rent supports**, because the buyers are not buying income. Applying the approach produces an accurate answer to a question no participant in this market is asking.
>
> **The outlier comparable.** Section 3's adjustment discussion governs: a comparable requiring large gross adjustment is a weak comparable regardless of where its adjusted figure lands. **It is given little weight, and the reasoning is stated rather than the comparable being quietly dropped.**
>
> **The reconciliation, written.** Primary weight to sales comparison, supported by the three clustering comparables; the cost approach as a check with its depreciation limitation stated; the income approach reported and given minimal weight with the reason. **A range, with a most-probable figure inside it, and the reasoning for each on the page.**
>
> **Why this matters for a licensee who will never appraise.** Section 6.7's requirement is that a licensee's own opinion be defensible, and defensibility is exactly this: **the reasoning is visible, the weight given to each indication is explained, and a reader who disagrees can see where.** An opinion that states a number and shows nothing is not defensible even when it is right — **and Section 6.1's boundary means the licensee's opinion is a comparative market analysis, never an appraisal**, however carefully it was constructed.

## 6.10 The three sentences that create appraisal problems

Section 6.4 states the independence requirement and Section 6.6 addresses bias. In practice, licensee involvement in valuation goes wrong through a small number of sentences, each of which sounds harmless.

**"The contract is at 640, so we need it to come in there."** A target, communicated. **The politeness of the phrasing does not change what was conveyed**, and Section 6.4's requirement does not distinguish between pressure and a helpful heads-up.

**"Here are a few comps I pulled that support the price."** Supplying sales an appraiser may not have is legitimate **when the sales are supplied because they are relevant.** Supplying sales selected because they support a number is the same instruction with an extra step. **The test is how the set was assembled**, and a set assembled by working backward from a figure is a target in a different form.

**"Let's use Whitfield — his numbers come in."** The most serious of the three, because it is systemic. **Selecting appraisers by favorable history builds the pressure into the ordering pattern**, it affects every future file, and it is visible in the brokerage's own ordering records.

**What is permissible**, and it is substantial: providing the contract, the property's improvements and their dates, permits, and comparable sales offered as data. **Information, never a target** — and where the licensee cannot tell which one he is providing, the question is whether he assembled it before or after knowing the number the file needs.

> **And where the appraisal comes in low**, Section 6.5 governs: it is a fact, not a problem to solve. It may support a reconsideration through the prescribed channel with additional data, and the appraiser remains free to reject it. **What it does not support is pressure, and "my manager told me to" does not transfer responsibility for making the call.**

## 6.12 The CMA and the appraisal are different documents with different jobs

Section 6.2 drew the boundary. This section makes it operational, because the pressure to blur it is real and it comes from clients who do not know they are asking for something improper.

| | Comparative market analysis | Appraisal |
|---|---|---|
| **Prepared by** | A licensee | A licensed or certified appraiser |
| **For** | A seller deciding a list price; a buyer deciding an offer | A lender, a court, a tax authority, a party needing an opinion of value |
| **Governed by** | The licensee's duties of care and honesty | Appraisal standards and the appraiser's own licensing law |
| **Says** | What comparable properties did, and what that suggests about market position | **An opinion of value**, defined, dated and supported |
| **May be used for lending** | **No** | Yes |
| **Independence requirements** | The licensee is an interested party and the client knows it | The appraiser must be independent of the transaction |

**The distinction is not one of quality.** A careful CMA may use the same sales, apply better local knowledge, and reach a closer number than a hurried appraisal. **It is a distinction of function and of who stands behind it.** The appraiser is independent and accountable under a licensing scheme built for that purpose; the licensee is a party to the transaction with a commission that moves with the price.

**Which is why the language matters.** A CMA that says *"the value of the property is $845,000"* has stated an opinion of value. One that says *"comparable sales in the last six months ranged from $812,000 to $868,000; the closest three suggest a competitive list price between $835,000 and $855,000"* has done the licensee's job and stayed inside it.

**Three sentences a licensee should never write in a CMA:** *"the value is"*; *"this property appraises at"*; *"this supports a loan of."*

## 6.13 Appraiser independence, in practice

**What the rules protect against** is exactly what a transaction under pressure invites: somebody telling the appraiser what number is needed.

**Prohibited, and not subtly:** telling the appraiser the contract price is "what we need to hit"; selecting the appraiser because they are known to be accommodating; refusing to pay or threatening future work over a value; asking for a specific value before or during the assignment.

**Permitted and encouraged:** providing factual data. **The distinction is between information and instruction.**

| Providing information (proper) | Applying pressure (improper) |
|---|---|
| A list of recent comparable sales with addresses and dates | "We need $845,000 to make this work" |
| Documented improvements with dates, costs and permit numbers | "The last appraiser had no trouble with this" |
| The property's own sale and listing history | "The seller will be very upset if it comes in low" |
| Access, and time to inspect properly | Following the appraiser through the house narrating |

**When the value comes in below the contract price.** This is a transaction problem with four ordinary outcomes — the buyer brings more cash, the seller reduces, the parties split, or the contract is cancelled on the appraisal contingency — plus one process option: **a reconsideration of value, requested through the lender, supported by specific comparable sales the appraiser may not have considered.**

**The reconsideration is a factual submission, not an argument.** Sales, dates, addresses, distances, and why each is comparable. A request that says the value is wrong without offering data is not a reconsideration; it is pressure with a form attached.

## 6.14 A worked CMA problem

> A seller wants to list at $920,000. The licensee's analysis: three closed sales in the past four months at $846,000 (0.3 miles, similar), $861,000 (0.5 miles, 180 sq ft larger, updated kitchen), and $878,000 (0.2 miles, 400 sq ft larger, pool). Two active listings at $915,000 and $929,000 have been on market 74 and 91 days. One expired at $935,000.

**What the data says.** The closed sales — the only transactions where a buyer actually paid — cluster between $846,000 and $878,000, and the two larger ones carry features the subject lacks. **The actives at $915,000 and $929,000 have not sold in two and three months**, and the expired at $935,000 did not sell at all. **Actives and expireds are not evidence of value; they are evidence of what has been asked and refused.**

**What the licensee should present.** The three closed sales with their differences stated; the two actives identified as the competition rather than as comparables; the expired identified as a market test that failed at $935,000; and a competitive list range supported by the closed sales.

**What the licensee should not do.** Take the listing at $920,000 without saying any of that, on the reasoning that the seller will reduce later. **The 74 and 91 days on the actives are the forecast for what happens next**, and a listing taken at a price the data does not support costs the seller the first four weeks of exposure, which is the period when the most buyers see it.

**And the honest framing of the conversation:** the list price is the seller's decision. **The licensee's obligation is that the seller makes it knowing what the closed sales show**, in writing, so that a decision to test a higher price is an informed decision rather than an uninformed one.

## 6.15 Checkpoint

You should be able to state the appraisal-CMA boundary, distinguish supplying information from supplying a target, and list what makes an opinion reconstructable.

## Key terms

| Term | Definition |
|---|---|
| **Value / price / cost** | What it is worth — an **opinion**; what someone paid — a fact; what it took to create — a fact. All three can differ. |
| **Market value** | The most probable price under conditions requisite to a fair sale — typically motivated and well-informed parties, reasonable exposure, cash-equivalent payment, unaffected by special concessions. |
| **DUST** | Demand (with purchasing power), Utility, Scarcity, Transferability — the elements of value. |
| **Substitution** | A buyer will pay no more than the cost of an equally desirable substitute. **The foundation of all three approaches.** |
| **Conformity, progression, regression** | Value is maximized by reasonable conformity; a lesser property benefits from better neighbors; a better property is dragged by lesser ones. |
| **Contribution** | What the market pays for an improvement, **not what it cost**. |
| **Over-improvement** | An improvement whose contribution falls well below cost because the buyer pool for it is small. |
| **Anticipation** | Value reflects expected future benefits. |
| **Highest and best use** | The reasonably probable use producing the highest value, tested as **legally permissible, physically possible, financially feasible, and maximally productive** — in that order. |
| **Interim use** | An economically reasonable current use expected to change. |
| **Negative contribution** | Where land as if vacant exceeds the improved value, so removal cost is a deduction. |
| **Direction of adjustment** | Made **to the comparable, never the subject**. Comparable better, subtract; comparable worse, add. |
| **Gross versus net adjustment** | A small net can conceal a large gross; **reliability tracks gross**. |
| **Reconciliation** | Weighting indications by reliability to reach a range and a most-probable point. **Not averaging.** |
| **Paired sales analysis** | Deriving an adjustment by comparing sales differing in one characteristic. The preferred source. |
| **Active listings** | Evidence of asking prices and competition — **never of value**. |
| **Reproduction versus replacement cost** | Cost of an exact replica including obsolete features; cost of equivalent utility using current methods. **Replacement is generally the more useful measure.** |
| **Physical deterioration** | Loss from wear, age, and deferred maintenance. |

| Term | Definition |
|---|---|
| **Functional obsolescence** | Loss from something about the **improvement itself** — layout, one bathroom, an outdated system, an over-improvement. |
| **External obsolescence** | Loss from something **outside the property**. **Generally incurable**, because the owner cannot change it. |
| **Curable / incurable** | Whether the cost to cure is justified by the value it adds. |
| **Effective age** | Age as reflected by condition and updating. **The age-life computation uses effective age**, not actual age. |
| **Land is not depreciated** | Depreciation applies to improvements only. |
| **Potential gross income** | All income at full occupancy. |
| **Effective gross income** | PGI less vacancy and collection loss. |
| **Net operating income** | EGI less operating expenses **including reserves for replacement** — and **excluding debt service and depreciation**. |
| **IRV** | I = R × V; V = I ÷ R; R = I ÷ V. |
| **Capitalization rate** | The relationship between NOI and value, **derived from the market**. Rate and value move in opposite directions for a given income. |
| **Gross rent multiplier** | Price ÷ gross monthly rent. A screening tool that **ignores expenses entirely**. |
| **Comparative market analysis** | A licensee's opinion of value to advise a client. **Not an appraisal and may never be called one.** |
| **Appraiser independence** | A licensee may supply **information** to an appraiser and never a **target** — including at a client's request. |
| **Reconstructability** | The test of a defensible opinion: could a reviewer later see the data, the adjustments, the reasoning, and the date. |

## Practice problems

### Problem 1

A seller says the house "cost $900,000 to build four years ago plus $150,000 for the recording studio in the garage, so it's worth at least $1,050,000." Comparable closed sales support $760,000.

**Explain the analysis without giving offense.**

> **Solution. Value, price, and cost are three different things.** Value is an **opinion** formed as of a date; price and cost are historical **facts**. A property can cost $900,000 to build, be worth $700,000, and sell for $760,000 — all at once, without anything being wrong.

> **Contribution is the concept for the studio.** Money spent on a property does not become value in the property; the market decides what an improvement contributes. Here the pool of buyers who want a recording studio — **and would pay for one** — is small, and the studio also consumed the garage, which most buyers in a neighborhood of family homes do want. That is **over-improvement relative to the neighborhood**, a recognized phenomenon rather than a device for arguing him down.
>
> **Say the complement honestly in the same conversation:** the relationship runs both ways, and some modest improvements contribute more than they cost because they remove a specific buyer objection.
>
> **And the cost approach is not a floor.** "You have $1,050,000 in it, so it's worth that" is the contribution error at building scale.

### Problem 2

A parcel in a corridor transitioning to commercial holds a 60-year-old single-family house. Zoning now permits neighborhood commercial; the recorded CC&Rs from the original 1958 tract restrict the parcel to residential use. A licensee tells the owner the highest and best use is a retail building.

**Apply the tests and assess the advice.**

> **Solution. The four tests run in order, and the analysis stops at the first.**
>
> **Legally permissible** has two halves: zoning **and** recorded private restrictions, with the more restrictive governing. Zoning permits commercial; the CC&Rs prohibit it. Unless the restrictions can be addressed, retail is **not legally permissible** — and the analysis never reaches physically possible, financially feasible, or maximally productive, however profitable retail would be.
>
> **The advice is also outside the license.** Telling an owner the highest and best use is a retail building makes a legal, physical, and financial determination in one sentence. Highest and best use for a development site is appraisal and entitlement work.
>
> **What is true and worth saying:** the house may be an **interim use** — economically reasonable now and expected to change — and if the land as if vacant is worth more than the improved property, the improvement has **negative contribution** and its removal cost is a deduction. Both are reasons to get an appraiser and counsel involved rather than to price the property as a house by default.

### Problem 3

Adjust each toward a subject of 1,800 sq ft, 3 bed, 2 bath, updated kitchen: (a) a comparable of 1,980 sq ft with 4 bedrooms; (b) a comparable with an original kitchen and a one-car garage; (c) a comparable that closed five months ago in a rising market.

**State the direction and the reason for each.**

> **Solution.** Every adjustment answers one question: *what would this comparable have sold for if it had been like the subject?* **Adjustments are made to the comparable, never the subject.**
>
> (a) **Downward, twice.** Larger living area and an extra bedroom are both **superior** — comparable better, subtract.

(b) **Upward, twice.** An original kitchen and a one-car garage are both **inferior** — comparable worse, add.

(c) **Upward.** The market has risen since it closed, so it would sell for more today. Note this is a **market conditions** adjustment, driven by whether the market changed rather than by the calendar — a five-month-old sale in a flat market may need none.

**CBS: Comparable Better, Subtract.**

## Problem 4

Three comparables produce adjusted values of $844,000 (net adjustment $1,000), $874,000 (net $28,000), and $861,000 (net $51,000 gross, and the most recent sale). A licensee averages them to $859,667 and presents it as the value. He also cites three active listings at $1.3 million that have sat 94, 112, and 130 days.

**Correct both.**

**Solution. Averaging treats the $51,000-adjustment comparable as exactly as reliable as the $1,000 one** — it is not, and the average silently discards that information.

**Reconciliation weights by reliability:** adjustment size, **gross as well as net** since a small net can conceal a large gross; then recency; then similarity in what drives this market.

A defensible conclusion: **a supported range of roughly $845,000 to $870,000, most probable near $850,000 to $855,000, weighted toward the least-adjusted and most similar indicator.** A range, a point, and a stated reason — not a single number presented as fact.

**The active listings prove asking prices, not value.** A seller can ask anything. What these three additionally prove is that **the market has declined to pay $1.3 million three separate times**, over three months each. Citing them as support inverts what they show.

## Problem 5

Compute the cost approach: 2,000 sq ft home, effective age 12, total economic life 60, land worth $340,000 as if vacant, replacement cost new $260 per sq ft, $18,000 of functional obsolescence for a single bathroom, and $25,000 of external obsolescence from a new arterial behind the lot. The owner asks whether he can cure the arterial problem by landscaping.

**Answer both.**

**Solution. Cost new:** 2,000 × $260 = **$520,000. Physical deterioration (age-life):** 12 ÷ 60 = **20%** × $520,000 = **$104,000. Total accrued depreciation:** 104,000 + 18,000 + 25,000 = **$147,000. Indicated value:** $340,000 + $520,000 − $147,000 = **$713,000.**

Note that **land is not depreciated** — depreciation applies to improvements only. And the age-life computation uses **effective age**, not actual age: a well-maintained updated 30-year-old house may have an effective age of 12, while a neglected 12-year-old house may have an effective age of 25.

**On the arterial: no. External obsolescence arises outside the property**, which is exactly why it is **generally incurable** — the owner cannot change it. Landscaping may soften the experience and will not remove the arterial. The single bathroom, by contrast, is **functional obsolescence** arising from the improvement itself and

> may be curable if the cost to cure is justified by the value it adds.

### Problem 6

A 12-unit building rents at $2,100 per unit monthly. Vacancy and collection loss 5%. Operating expenses $118,000 including reserves. The market cap rate is 5.75%. The owner's accountant produced a "net income" of $141,000 by deducting debt service of $96,000 and adding back $23,000 of depreciation from the tax return.

**Compute the value correctly and explain the accountant's error.**

> **Solution. PGI** = 12 × 2,100 × 12 = **$302,400.** Less vacancy 5% = 15,120. **EGI = $287,280.** Less operating expenses 118,000. **NOI = $169,280. V = 169,280 ÷ 0.0575 = $2,944,000** (rounded).
>
> **The accountant mixed two different measures. Debt service is not an operating expense**, and **depreciation is not an operating expense.** NOI measures **the property's** performance, independent of how any particular owner financed it or what their tax position is — two buyers with different loans buy the same NOI.
>
> **Reserves for replacement, by contrast, belong in.** Omitting them overstates NOI and therefore overstates value.
>
> Using his $141,000 figure at the same rate would indicate $2,452,174 — nearly half a million dollars off, from a definitional error rather than an arithmetic one.

### Problem 7

The same $169,280 NOI is capitalized by three parties at 5.0%, 5.75%, and 7.0%. Separately, a licensee values a fourplex by applying a GRM of 140 derived from a nearby sale, without examining either property's expenses.

**Show the value spread and state what the multiplier ignores.**

> **Solution. At 5.0%:** 169,280 ÷ 0.05 = **$3,385,600. At 5.75%: $2,944,000. At 7.0%:** 169,280 ÷ 0.07 = **$2,418,286.**
>
> **Nearly a million dollars of spread on identical income.** Rate and value move in **opposite directions**, and that sensitivity is why **the rate's derivation matters more than the arithmetic** — and why a licensee must never select a cap rate to reach a number. A higher rate signals higher perceived risk or lower expected growth; a lower rate the opposite.
>
> **The GRM ignores expenses entirely**, because it uses **gross** income. Two properties with identical gross rents and very different expense structures — one with all utilities paid by the owner, one without — produce identical multiplier indications and materially different values.
>
> **It is a screening tool, not a valuation.**

### Problem 8

A listing agent's analysis supports $845,000 to $870,000. The seller lists at $1,020,000. Two weeks later the agent revises her written analysis upward to match the list price, tells a buyer's agent the price "reflects our brokerage's opinion of value," and emails the lender's appraiser three sales with a note that "the deal dies without another $25,000."

**Assess each act.**

> **Solution. Listing at the seller's number was correct.** Price is the client's decision; the analysis and advice are the licensee's obligation. She discharged both.
>
> **The revision is the failure, and it is worse than having no analysis.** An analysis that follows the price rather than informing it documents nothing and looks, later, like an opinion manufactured to fit. What the file needed instead: the comparables with sources **as of the date**, the adjustment grid with direction and basis, the reconciliation and its weighting, **comparables rejected and why**, the market conditions evidence, the range with a most-probable point, the date, the written advice, and the seller's decision.
>
> **Representing the list price as the brokerage's opinion of value adopts the seller's reasoning as the brokerage's** — the one thing the file must not do.
>
> **The email mixes the permitted with the prohibited.** Sending relevant sales through the proper channel is **information** and is fine. "The deal dies without another $25,000" is a **target**, and a value that moves after that conversation is worthless for the purpose the appraisal exists to serve — including when the request serves her own client.

## Chapter summary

**Value is an opinion; price and cost are facts**, and market value's conditions — typical motivation, informed parties, reasonable exposure, cash-equivalent payment — each exclude something.

**DUST names the elements**, and demand without purchasing power is not demand.

**Substitution is the engine of all three approaches**, and **contribution is not cost**.

**Highest and best use is tested in order** — legally permissible, physically possible, financially feasible, maximally productive — and "legally permissible" means zoning **and** private restrictions. Where land as if vacant exceeds improved value, the improvement subtracts.

**Adjust the comparable, never the subject.** Comparable better, subtract.

**Reconcile, do not average.** Weight by adjustment size — gross as well as net — recency, and similarity, and state a range with a most-probable point and a reason.

**Closed sales prove price; pending sales show direction; active listings never establish value.**

**The cost approach is land plus cost new less accrued depreciation**, with land never depreciated and **effective age** driving the age-life computation. Physical, functional, and external — and external is generally incurable because its cause is off the property.

**NOI excludes debt service and depreciation and includes reserves.** Two buyers with different loans buy the same NOI.

**IRV in all three directions**, with rate and value moving in opposite directions — which is why the rate's derivation matters more than the arithmetic.

**Multipliers ignore expenses** and are a screening tool.

**A CMA is not an appraisal and may never be called one.** The difference is not the data but the preparer, standards, independence, and purpose.

**Supply an appraiser information, never a target** — including at your own client's request. A low appraisal is a financing event, and nothing about the resolution is automatic.

**Defensibility is reconstructability**, and an analysis quietly revised to match a list price is worse than no analysis at all.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. State the highest and best use analysis and where it stops, build the adjustment grid with the direction and basis of each adjustment and reconcile to a range with a most-probable point and stated weighting, perform the cost approach identifying each type of depreciation and whether it is curable, build the income statement and solve for value, rate, or income as the facts require, identify which approach you would weight and why, state what you would decline to characterize and why, and list what the file must retain for the opinion to be reconstructable as of its date. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

## Applied exercise — 100% required to complete the assignment

**1.** An owner spent $150,000 building a custom recording studio in his garage. He lists the home at $150,000 above neighborhood values, saying 'that is what it cost me.' Comparable homes without studios have sold at the neighborhood range; no comparable sale in the area includes a studio. How should the licensee explain valuation to him?

**A. Explain that cost and value are different concepts, that value is measured by what buyers in this market will pay, and that a highly specialized improvement often contributes far less than its cost — a phenomenon of over-improvement relative to the neighborhood.**

B. Agree that the improvement adds its full cost to value, since the money was actually spent on the property.

C. Explain that the studio adds nothing to value, since no comparable sale includes one.

D. Recommend listing at the higher price and reducing it later, since only the market can determine the contribution.

**Answer: A.** Cost, price, and value are distinct, and an improvement contributes what the market pays for it, which for a specialized feature is often well under cost. It is not necessarily zero either — the absence of a directly comparable sale means the contribution is hard to measure, not that it is nothing.

## Engagement check — 5 items, 80% required

**1.** How do value, price, and cost differ?

**A. Value is what a property is worth in the market, price is what was actually paid in a particular transaction, and cost is the expenditure to create or improve it.**

B. Value and price are the same, and cost is what the seller originally paid.

C. Value is set by the appraiser, price by the lender, and cost by the county assessor.

D. Value applies to land and cost applies to improvements, with price being their sum.

**Answer: A.** The three describe worth, an actual transaction amount, and expenditure. They frequently differ, which is why treating them as interchangeable produces errors like pricing at cost.

**2.** What are the four tests of highest and best use?

**A. Legally permissible, physically possible, financially feasible, and maximally productive.**

B. Currently zoned, presently occupied, recently improved, and profitably operated.

C. Physically possible, socially desirable, environmentally sound, and profitable.

D. Legally permissible, historically consistent, financially feasible, and locally popular.

**Answer: A.** The four tests are applied in that order, each narrowing the possibilities until the use that produces the greatest value remains.

**3.** Which approach to value is most commonly relied on for a single-family residence?

**A. The sales comparison approach, which analyzes recent sales of similar properties with adjustments for differences.**

B. The cost approach, which estimates replacement cost less depreciation plus land value.

C. The income capitalization approach, which converts expected income into a value indication.

D. The assessed value approach, which uses the county's valuation for tax purposes.

**Answer: A.** Owner-occupied homes are bought and sold in an active comparable market, which makes sales comparison the most reliable indicator. There is no 'assessed value approach' among the recognized methods.

**4.** How does the cost approach estimate value?

**A. By estimating the cost to replace the improvements, subtracting accrued depreciation, and adding the land value.**

B. By adding the original construction cost to the land's purchase price.

C. By subtracting the property's operating expenses from its replacement cost.

D. By comparing the property's cost to the cost of recently built comparable homes.

**Answer: A.** Replacement cost less depreciation, plus land value, is the formula. Historical cost, operating expenses, and cost comparisons are not the method.

**5.** In the income approach, what is the general relationship between net operating income, the capitalization rate, and value?

**A. Value is estimated by dividing net operating income by the capitalization rate, so a higher rate produces a lower value for the same income.**

B. Value is estimated by multiplying net operating income by the capitalization rate.

C. Value is estimated by dividing the capitalization rate by net operating income.

D. Value is estimated by subtracting the capitalization rate from gross income.

**Answer: A.** Value equals income divided by rate, which is why a higher required return corresponds to a lower value for the same income stream.

## Remediation set — served only after a failed engagement check

**1.** A property's most profitable potential use would violate its zoning. How does this affect highest and best use?

**A. That use is excluded, because a use must be legally permissible before profitability is considered.**

B. That use establishes highest and best use, since the market determines value regardless of zoning.

C. That use establishes highest and best use if a variance is theoretically obtainable.

D. The property has no highest and best use until the zoning question is resolved.

**Answer: A.** Legal permissibility is the first screen, so an unlawful use is eliminated before profitability matters. A theoretical variance is not permission, and the property still has a highest and best use among lawful alternatives.

**2.** Which type of depreciation generally cannot be cured by repair?

**A. External or economic obsolescence, which arises from influences outside the property boundaries.**

B. Physical deterioration from ordinary wear and tear.

C. Functional obsolescence from an outdated floor plan.

D. Deferred maintenance from postponed repairs.

**Answer: A.** External obsolescence originates off the property, so the owner cannot repair its source. Physical deterioration, functional obsolescence, and deferred maintenance are all located within the property, whether or not curing them is economical.

**3.** Why must an appraiser's independence be protected?

**A. Because a valuation influenced by a party with an interest in the outcome is unreliable for the lending and transaction decisions that depend on it.**

B. Because appraisers are prohibited from communicating with any transaction participant.

C. Because appraisal independence determines who may select the comparable sales.

D. Because independence is what allows an appraiser to also act as the transaction's agent.

**Answer: A.** Independence exists so the valuation can be relied on. Appraisers may communicate appropriately, they select their own comparables as part of their work, and independence is precisely what precludes an agency role.

**4.** A comparable property sold six months ago in a rising market. What adjustment is appropriate?

**A. A market conditions adjustment reflecting the change in values between that sale date and the effective date of the analysis.**

B. No adjustment, since a sale within the last year is current.

C. A downward adjustment, since older sales are less reliable evidence.

D. An adjustment based on the difference between the comparable's list price and sale price.

**Answer: A.** Changing market conditions call for a time adjustment in the direction the market moved — upward in a rising market. Age of the sale is not itself a reason to adjust downward, and the list-to-sale spread measures negotiation rather than market change.

**5.** What is the essential limitation a licensee must observe when providing a comparative market analysis?

**A. It is an opinion of value for pricing purposes and must not be presented as an appraisal or used where an appraisal is required.**

B. It may not include closed sales, which are reserved for appraisal use.

C. It may be prepared only for a client who has signed a representation agreement.

D. It must be reviewed by a licensed appraiser before being given to a client.

**Answer: A.** The limitation is about what the analysis is called and what it is used for. Licensees may use closed sales, may prepare an analysis for a prospective client, and need no appraiser review.

# Real Estate Principles - Lesson Assignment 13

## Taxation, investment, and real estate mathematics

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Explain California property taxation, the assessment mechanism, and how assessments change on transfer and improvement.
- Identify the transfer and income tax concepts a licensee must recognize and route, without advising on them.
- Compute cash flow, cash-on-cash return, and the measures an investor uses to compare properties.
- Explain leverage in both directions and identify the risks an investor carries.
- Perform the commission, proration, area, and percentage calculations a licensee needs daily.
- Compare investments and document the analysis so the basis of a recommendation is reconstructable.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: property taxation and tax orientation | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: cash flow, return, and leverage | 50 | Sections 3-4 viewed |
| Guided reading: transaction mathematics and investment comparison | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Property taxation and assessments

### 1.1 The California framework

California property taxation operates on an **assessed value** system with a constitutional limit on the general tax rate and on annual increases in assessed value.

The framework's operative features:

- **A base year value** is established, generally on a change in ownership or on new construction.
- **Annual increases in assessed value are limited** by an inflation factor, subject to the constitutional cap.

- **The general tax rate is capped**, with additional voter-approved indebtedness levied on top of it.
- **Reassessment to current market value occurs on a change in ownership** or on new construction, rather than continuously.

### 1.2 The consequence that matters most in practice

> **Two identical houses side by side can carry very different property tax bills, because their base year values were set in different years.**

This is not an anomaly; it is how the system works. And it produces the single most common tax misstatement a licensee makes:

> **A buyer's property tax will not be the seller's property tax.** It will be based on a new base year value established on the change in ownership.

A licensee who tells a buyer "the taxes are about $4,200 a year" — quoting the seller's bill on a property held since 1998 — has given a number the buyer will budget against and that will be wrong by a multiple. **The correct statement quotes the seller's current bill as the seller's, explains that the property will be reassessed, and directs the buyer to the county assessor and to a tax professional for an estimate.**

### 1.3 New construction and improvements

New construction generally triggers reassessment **of the new construction**, added to the existing base year value rather than replacing it. Ordinary maintenance and repair generally do not.

The line between an improvement that triggers reassessment and maintenance that does not is an assessor question, and a licensee advising a client that a renovation "won't affect your taxes" has answered it without authority.

### 1.4 Exemptions and exclusions

California provides various exemptions and exclusions, including a homeowners' exemption for an owner-occupied residence, exemptions for certain veterans, and exclusions from reassessment for certain transfers.

**The rules governing transfer exclusions have changed**, and their application depends on the relationship, the property's use, and value thresholds.

**This is a referral, not a summary.** A licensee who tells a client that a transfer "won't trigger reassessment" has given tax advice on a question whose rules have moved and whose application is fact-specific. The correct response names the issue and routes it to the assessor and to a tax professional **before the transfer**, because the structure of a transaction can determine the outcome.

### 1.5 Supplemental assessments

When a property is reassessed on transfer or new construction, a **supplemental assessment** captures the difference between the old and new assessed value for the remainder of the tax year.

Buyers regularly do not know this exists. **A supplemental tax bill arriving months after closing, for an amount nobody mentioned, is a preventable client surprise** — and telling the buyer to expect one is a small thing that separates a prepared client from an angry one.

### 1.6 Special assessments and Mello-Roos

**Special assessments** fund improvements benefiting particular property, and they are levied in addition to the general tax.

**Community facilities district (Mello-Roos) special taxes** fund infrastructure and services in defined districts and can add substantially to the annual obligation. They have their own disclosure requirements in a residential transaction, and they can continue for many years.

**A buyer inherits the remaining obligation**, which is why the total annual carrying cost — not the general tax rate alone — is what a buyer should be looking at.

### 1.7 Payment, delinquency, and the tax lien

Property taxes are payable on a schedule of installments with defined delinquency dates, and unpaid taxes become a **lien on the property**.

Two features from Lesson 05, restated: the tax lien is **involuntary and specific**, and it **generally takes priority over other liens regardless of when they attached.**

Continued nonpayment leads ultimately to sale of the property under the applicable process.

### 1.9 Proposition 13 in operation, and the reassessment question

Section 1.2 described the assessed value system. The feature that makes California distinctive — and that generates the questions licensees are actually asked — is that assessment is anchored to acquisition rather than to the market.

**The mechanics, in outline.** A property's assessed value is set at its value when acquired, and thereafter may rise by no more than a small annual inflation factor. The base tax rate is one per cent of assessed value, plus voter-approved indebtedness and direct assessments. **A change in ownership re-anchors the assessment to current market value.**

**This course does not read the change-in-ownership statutes in their own text**, and no exclusion, deadline, claim form or filing period below is taken from them. What follows is the shape of the question and the direction to send it.

**Two consequences a licensee meets constantly.**

**Neighbouring properties pay wildly different taxes.** Two identical houses on the same street may carry annual bills differing by a factor of five, because one has been in a family since 1978 and the other sold last year. **The seller's tax bill therefore tells a buyer almost nothing about their own.**

**The buyer's tax will be based on the purchase price, not the seller's assessment.** This is the single most common closing surprise in California residential practice, and it is entirely preventable.

> **Worked.** A property sells for $1,150,000. The seller's current assessed value is $214,000 and their annual tax bill is $2,690. What should the buyer expect?

New base year value ≈ **$1,150,000**. At approximately 1.1% (base rate plus typical local indebtedness and assessments): **≈ $12,650 a year** — roughly **$1,054 a month**, against the seller's $224.

**The difference is $9,960 a year, and it belongs in the buyer's qualifying conversation** long before it appears on a supplemental tax bill.

## 1.10 Supplemental bills, and the exclusions to route

**The supplemental assessment** is the mechanism that reconciles the two. When ownership changes, the assessor issues a **supplemental bill** for the difference between the old assessment and the new, prorated from the date of change to the end of the fiscal year. **It arrives separately from the regular bill, months after closing, and is not part of any escrow proration.**

**Two failures follow from not explaining it.**

**A buyer with an impound account assumes taxes are handled.** The impound was set from the seller's figure; the supplemental bill is not in it; the buyer receives a demand for several thousand dollars they had no reason to expect.

**A buyer treats it as an error.** It looks like a duplicate bill for a property already taxed, and buyers routinely set it aside.

**The one-sentence disclosure that prevents both:** *"Your property tax will be recalculated from your purchase price, and you will receive a separate supplemental bill some months after closing for the difference — it is not included in your escrow or your impound account."* **In writing, at contract, not at closing.**

**And the exclusions.** California law provides exclusions from reassessment for certain transfers — among them some transfers between parents and children, some transfers between spouses, and, for eligible homeowners meeting age or disability criteria, the transfer of a base year value to a replacement home. **Each has conditions, value limits and filing deadlines, and each has been substantially amended in recent years.**

**A licensee's obligations here are precisely three, and none of them is to explain the rules.**

**Know the exclusions exist**, so that a seller mentioning "I'm buying a smaller place, I'm over 55" is recognised as raising a real question rather than making conversation.

**Say so, and say who answers it** — the county assessor's office and a tax professional.

**Never estimate an exclusion's availability**, because the conditions are specific, the deadlines are unforgiving, and a buyer who relied on a licensee's optimism and missed a filing period has lost a benefit that cannot be recovered.

## 1.11 Checkpoint

You should be able to explain why two neighbors pay different taxes, state what a licensee may say about a buyer's future tax bill, and describe what a supplemental assessment is.

# 2. Transfer and income tax orientation

## 2.1 The scope of this section

**Every topic below is a referral.** The purpose is to let a licensee recognize an issue, use the vocabulary accurately, and route it to a tax professional — not to advise.

A licensee giving tax advice is doing two things wrong at once: exceeding the license, and answering a question whose rules change and whose application depends on facts the licensee does not hold.

## 2.2 Documentary transfer tax

California counties and some cities impose a **documentary transfer tax** on conveyances, computed on the consideration or value transferred, with exemptions for certain transfers.

Practical points: the tax is collected at recording; the allocation between buyer and seller is a matter of the contract and local custom; and some cities impose **additional** transfer taxes that can be substantial. A licensee working across city lines who assumes uniformity will misstate closing costs.

## 2.3 Income tax concepts a licensee should recognize

| Concept | In outline |
|---|---|
| **Basis** | Generally what was paid, adjusted over time |
| **Adjusted basis** | Basis increased by capital improvements and reduced by depreciation taken |
| **Capital gain** | Generally the amount realized less adjusted basis |
| **Depreciation (tax)** | A deduction available for **income-producing** property, taken over a recovery period. **Land is not depreciable** |
| **Depreciation recapture** | Depreciation previously taken may be treated differently on sale |
| **Principal residence exclusion** | An exclusion from gain on the sale of a principal residence, subject to ownership, use, and amount conditions |
| **Like-kind exchange** | A deferral mechanism for qualifying investment or business property, with strict identification and completion timing |
| **Installment sale** | Recognition of gain over time where payments are received over time |
| **Passive activity rules** | Limits on the use of losses from rental activity |
| **Interest and tax deductions** | Available on a personal residence subject to limits and conditions |

## 2.4 The three that generate the most improper advice

**The principal residence exclusion.** Clients ask whether they will "pay tax on the profit," and the answer depends on ownership and use periods, prior use of the exclusion, the amount of gain, and filing status. A licensee who says "you're fine, it's under the limit" has computed a client's tax.

**The like-kind exchange.** The identification and completion deadlines are strict, the structure requires a qualified intermediary, and a mistake is generally not fixable after the fact. **A licensee's role is to identify early that a client may want an exchange and get a tax professional and intermediary involved before the sale closes** — because after closing, the opportunity is usually gone.

**Depreciation and recapture.** Investors frequently do not distinguish tax depreciation from the appraisal depreciation in Lesson 12, and they are entirely different concepts sharing a word.

## 2.5 The two depreciations

Worth stating explicitly because the collision is guaranteed:

| | Appraisal depreciation | Tax depreciation |
|---|---|---|
| What it is | Loss in value from any cause | A **deduction** taken over a recovery period |
| Depends on | Actual condition, function, and externalities | A schedule |
| Applies to | Improvements | Improvements on **income-producing** property |
| Land | Not depreciated | Not depreciable |
| Purpose | Estimating value | Computing taxable income |

A property can be appreciating in value while being depreciated for tax purposes. Both statements are true simultaneously.

## 2.6 What a licensee says

> "That's a tax question and I'm not able to advise on it — the rules depend on facts I don't have and they change. What I can do is flag it now, while there's still time to structure things, and get you to a tax professional before we go further."

**Two features of that answer matter:** it names the limit honestly rather than deflecting, and it **connects the referral to timing.** Most tax opportunities in a real estate transaction close when the transaction does.

## 2.7 Checkpoint

You should be able to use the vocabulary accurately, distinguish the two depreciations, and explain why the exchange referral must happen before closing.

# 3. Cash flow and return

## 3.1 Building from NOI

Lesson 12 built net operating income. Investment analysis continues from there.

| Line | Computation |
|---|---|
| **Potential gross income** | All income at full occupancy |
| **− Vacancy and collection loss** | |
| **= Effective gross income** | |
| **− Operating expenses** (including reserves) | |
| **= Net operating income** | The property's performance |
| **− Annual debt service** | |
| **= Before-tax cash flow** | The investor's performance |

> **NOI is the property; cash flow is the investor.** NOI excludes debt service precisely so two buyers with different loans can compare the same property. Cash flow includes it because that is what the investor actually receives.

## 3.2 A worked cash flow

> **12 units at $2,100 monthly. Vacancy and collection 5%. Operating expenses $118,000 including reserves. Annual debt service $126,000.**
>
> PGI = 12 × 2,100 × 12 = **$302,400** Less vacancy: −15,120 → **EGI = $287,280** Less operating expenses: −118,000 → **NOI = $169,280** Less debt service: −126,000 → **Before-tax cash flow = $43,280**

## 3.3 The return measures

| Measure | Formula | What it measures |
|---|---|---|
| **Capitalization rate** | NOI ÷ value | The property's unleveraged return |
| **Cash-on-cash return** | Before-tax cash flow ÷ cash invested | The return on the money actually put in |
| **Gross rent multiplier** | Price ÷ gross monthly rent | A screening ratio ignoring expenses |
| **Operating expense ratio** | Operating expenses ÷ effective gross income | Expense efficiency |
| **Debt coverage ratio** | NOI ÷ annual debt service | The cushion between income and the loan payment |
| **Break-even occupancy** | (Operating expenses + debt service) ÷ PGI | The occupancy needed to cover everything |

### 3.4 Worked returns

Using the property above, purchased for $2,944,000 with $736,000 down and $60,000 of closing and acquisition costs — **$796,000 of cash invested.**

> **Cap rate:** 169,280 ÷ 2,944,000 = **5.75%**
>
> **Cash-on-cash:** 43,280 ÷ 796,000 = **5.44%**
>
> **Debt coverage ratio:** 169,280 ÷ 126,000 = **1.34**
>
> **Operating expense ratio:** 118,000 ÷ 287,280 = **41.1%**
>
> **Break-even occupancy:** (118,000 + 126,000) ÷ 302,400 = 244,000 ÷ 302,400 = **80.7%**

### 3.5 Reading the numbers

**The debt coverage ratio of 1.34** means NOI covers debt service 1.34 times. Lenders require a cushion above 1.00, and the required level varies by lender and property type — **which is a lender question a licensee does not answer with a threshold.**

**The break-even occupancy of 80.7%** is the operating leverage in one number: below about 81% occupancy, the property does not cover its expenses and its loan. An investor looking at a submarket where occupancy has run at 88% has a 7-point cushion; one where it has run at 84% has three.

**Cash-on-cash below the cap rate** — 5.44% against 5.75% — tells the investor the financing is costing more than the property earns on the borrowed portion. That is **negative leverage**, and Section 4 develops it.

### 3.6 The measures that mislead

**Cap rate ignores financing**, which is a feature when comparing properties and a limitation when evaluating an investor's actual return.

**Cash-on-cash ignores appreciation, principal reduction, and tax effects** — three of the four sources of return on real estate. An investor comparing a real estate cash-on-cash return to a bond yield is comparing incomparable things.

**GRM ignores expenses entirely.** Two properties with identical gross rents and very different expense structures produce identical multipliers and materially different values.

**None of these is a valuation.** They are comparison tools with defined limits, and a licensee should be able to state each limit when quoting the number.

### 3.7 The four sources of return

Real estate return comes from four places, and an analysis quoting only one is incomplete:

1. **Cash flow** — what the property pays out.
2. **Principal reduction** — the loan balance falling with each amortized payment.
3. **Appreciation** — value change, which may be negative.
4. **Tax effects** — which are a tax professional's territory.

### 3.8 Checkpoint

You should be able to build a cash flow from PGI, compute each return measure, and state each measure's limitation.

## 4. Leverage and risk

### 4.1 What leverage is

**Leverage** is the use of borrowed funds to increase the return on invested capital. It works in both directions, and the second direction is the one investors underweight.

### 4.2 Positive and negative leverage

> **Positive leverage:** the property's return exceeds the cost of the borrowed money, so borrowing raises the return on equity.
>
> **Negative leverage:** the cost of borrowing exceeds the property's return, so borrowing **lowers** the return on equity.

The comparison is between the property's unleveraged return — roughly the cap rate — and the cost of debt.

### 4.3 Worked both ways

> **A $1,000,000 property producing $60,000 NOI — a 6% cap rate.**
>
> **All cash:** return = 60,000 ÷ 1,000,000 = **6.0%.**
>
> **75% financing at 5%:** loan $750,000, interest-only for simplicity = $37,500. Cash flow = 60,000 − 37,500 = $22,500 on $250,000 invested = **9.0%. Positive leverage** — borrowing at 5% to earn 6% raised the equity return by three points.
>
> **75% financing at 7.5%:** interest = $56,250. Cash flow = 60,000 − 56,250 = $3,750 on $250,000 = **1.5%. Negative leverage** — the same property, the same NOI, and a return well below the all-cash 6%.

**The property did not change.** The financing did, and it moved the equity return from 9.0% to 1.5%.

### 4.4 Leverage amplifies losses too

The same mechanism magnifies downside. A 10% decline in the value of an all-cash $1,000,000 property costs the investor 10% of his capital. The same decline on $250,000 of equity costs **40%** of it.

**That is the whole risk of leverage in one sentence**, and it is why a licensee should never present leverage as free return.

## 4.5 The risks an investor carries

| Risk | What it is |
|---|---|
| **Market risk** | Value and rent movement |
| **Vacancy and credit risk** | Units empty or tenants not paying |
| **Operating risk** | Expenses rising faster than income |
| **Interest rate risk** | Rate movement on adjustable debt, and at refinance |
| **Liquidity risk** | Real estate cannot be sold quickly at a known price |
| **Legislative and regulatory risk** | Rent regulation, tax changes, land use changes |
| **Management risk** | Performance depends on operations |
| **Physical risk** | Casualty, deferred maintenance, hazard exposure |
| **Refinance risk** | A balloon or maturity arriving in an unfavorable market |

**Liquidity risk traces straight back to Lesson 01.** Immobility and uniqueness are why real estate cannot be sold quickly at a known price, which is why it is not comparable to a listed security however attractive the return looks.

## 4.6 Diversification and concentration

An investor holding one property in one submarket carries **concentration risk**: the specific building, the specific tenant mix, and the specific local economy.

A licensee should be able to name that as a consideration. **A licensee should not tell a client how much of their net worth belongs in real estate**, which is investment advice requiring information and qualification the licensee does not have.

## 4.7 What a licensee may and may not do with investment analysis

**May:** compute and explain the measures; explain what each includes and excludes; explain how leverage works in both directions; gather and present the operating data and its sources; and identify the questions the client should take to their advisors.

**May not:** project future appreciation or rent growth as fact; state a required return or a suitable allocation; advise on the tax consequences; predict interest rates or market direction; or present a pro forma as anything other than a set of assumptions.

## 4.8 Pro formas and the assumption problem

A **pro forma** is a projected operating statement. It is built from assumptions — rent growth, vacancy, expense inflation, and an exit value — and the assumptions carry the answer.

**Three disciplines:**

1. **Label it as projected**, never as actual.
2. **State each assumption and its source**, so a reader can substitute their own.
3. **Distinguish actual historical operating figures from projections** on the same page, because a pro forma presented as an operating statement is a misrepresentation.

A seller's pro forma showing full occupancy at above-market rents is not evidence of income. It is a set of assumptions, and it should be presented as one.

### 4.10 Leverage worked in both directions

Section 4.2 introduced leverage. It is the most misunderstood idea in real estate investment because it is taught with the upside example and met in the downside one.

> **The property.** Purchase $1,000,000. NOI $58,000. Cash purchase versus a $700,000 loan at 6% interest-only ($42,000 a year).

| | All cash | 70% leveraged |
|---|---|---|
| Cash invested | $1,000,000 | $300,000 |
| NOI | $58,000 | $58,000 |
| Debt service | — | (42,000) |
| Cash flow before tax | $58,000 | $16,000 |
| **Cash-on-cash return** | **5.80%** | **5.33%** |

**Leverage made the return worse here**, because the borrowing rate (6%) exceeds the unleveraged return (5.8%). **That is the whole rule: leverage is positive when the cost of debt is below the property's unleveraged return, and negative when it is above.**

**Now add appreciation, which is where leverage earns its reputation.** Suppose the property is worth $1,100,000 after two years.

| | All cash | 70% leveraged |
|---|---|---|
| Equity gain | $100,000 | $100,000 |
| On cash invested | $1,000,000 | $300,000 |
| **Return on the gain** | **10.0%** | **33.3%** |

**The same $100,000 of appreciation is three times the return** because it sits on a third of the cash.

**And now the direction nobody models.** Suppose the property is worth $900,000 instead.

| | All cash | 70% leveraged |
|---|---|---|
| Equity loss | ($100,000) | ($100,000) |
| Equity remaining | $900,000 | **$200,000** |
| **Proportion of invested cash lost** | **10%** | **33.3%** |

**Leverage is symmetrical and nobody's spreadsheet shows the second table.** A 10 per cent decline takes a third of the leveraged investor's capital. A 30 per cent decline takes all of it.

## 4.11 Debt coverage, break-even, and the two numbers a lender watches

**Debt coverage ratio.**

> **DCR = NOI ÷ annual debt service**

At $58,000 over $42,000: **1.38**. Lenders commonly want 1.20 or better on income property, and the reason is not arithmetic elegance — **it is the margin between the income and the payment when a tenant leaves.**

**Break-even occupancy.**

> **Break-even = (operating expenses + debt service) ÷ potential gross income**

> Potential gross income $96,000; operating expenses $38,000; debt service $42,000.

($38,000 + $42,000) ÷ $96,000 = **83.3%**.

**The property must stay 83.3 per cent occupied to cover its costs.** In a submarket whose historical occupancy is 88 per cent, that is a five-point margin. In one whose occupancy has ranged from 79 to 94 per cent, **the property has spent time below break-even and will again.**

**This is the single most useful number a licensee can compute for an investor client**, because it converts an abstract worry about vacancy into a specific figure that can be compared with the submarket's actual history.

**A worked comparison, and the question it should raise.**

> Two properties, both priced at a 5.5% capitalization rate. Property A: break-even occupancy 76%, submarket historical range 85–95%. Property B: break-even occupancy 89%, submarket historical range 82–96%.

**The cap rates are identical and the properties are not comparable.** Property B has been below its break-even within living memory of the submarket; Property A has nine points of margin at its worst. **Nothing in the cap rate says this**, and an investor comparing on cap rate alone is comparing two numbers that happen to match.

**What the licensee supplies** — per Assignment 13 Section 6.3 — is the analysis, the sources and the risks. **The decision is the client's, and the tax treatment of any of it is a question for their accountant.**

### 4.12 Checkpoint

You should be able to demonstrate positive and negative leverage numerically, explain how leverage amplifies loss, and state what a pro forma must be labeled.

## 5. Commissions, prorations, and area math

### 5.1 The percentage relationships

Nearly every transaction calculation is one relationship in three forms:

> **Part = Whole × Rate Whole = Part ÷ Rate Rate = Part ÷ Whole**

Identifying which quantity is missing is most of the work.

### 5.2 Commission calculations

> **A property sells for $840,000 at a 5% total compensation. What is the total?** 840,000 × 0.05 = **$42,000.**

> **The listing and selling sides split it evenly, and the selling salesperson's brokerage splits 60/40 with her. What does she receive?** Selling side: 42,000 × 0.50 = $21,000. Her share: 21,000 × 0.60 = **$12,600.**

> **A salesperson received $9,450, being 60% of her brokerage's share, which was half the total at 4.5%. What was the sale price?** Brokerage share: 9,450 ÷ 0.60 = $15,750. Total compensation: 15,750 ÷ 0.50 = $31,500. Price: 31,500 ÷ 0.045 = **$700,000.**

**Work backward one step at a time**, and identify at each step which quantity you have and which you need.

### 5.3 Net to seller

> **A seller wants to net $600,000 after 5% compensation and $9,000 of closing costs. What must the price be?**
>
> The error is multiplying $600,000 by 1.05. The compensation is a percentage **of the price**, not of the net.
>
> Price − 0.05(Price) − 9,000 = 600,000 0.95(Price) = 609,000 Price = 609,000 ÷ 0.95 = **$641,052.63**
>
> **Check:** 641,052.63 × 0.05 = 32,052.63. 641,052.63 − 32,052.63 − 9,000 = **$600,000.** ✓

**The net-to-seller problem is the most reliably missed calculation in this material**, and it is missed the same way every time: applying the rate to the wrong base.

### 5.4 Prorations

From Lesson 10, with the direction rule restated because it is what students reverse:

> **Seller prepaid beyond the boundary → seller credited, buyer debited. Charge accrued or money held for the buyer's period → seller debited, buyer credited.**

> **Annual taxes $7,300 paid through June 30; closing May 31; 365-day basis; day of closing to the buyer.** Buyer's period: May 31 – June 30 = 31 days. 7,300 ÷ 365 = $20.00/day × 31 = **$620.00 credited to the seller.**

> **A tenant paid $2,400 rent on the 1st of a 30-day month; closing the 10th.** Buyer's days: the 10th – 30th = 21. 2,400 ÷ 30 = $80/day × 21 = **$1,680.00 credited to the buyer.**

**Read the convention rather than assuming it:** the day-count basis, who gets the day of closing, and the fact that California's property tax year does not align with the calendar year.

### 5.5 Area and volume

| Constant | Value |
|---|---|
| Acre | **43,560 sq ft** |
| Mile | **5,280 ft** |
| Section | 1 mile square = 640 acres |
| Square yard | 9 sq ft |
| Cubic yard | 27 cu ft |

> **A 130 × 250 ft lot at $12,000 per acre.** 130 × 250 = 32,500 sq ft ÷ 43,560 = 0.746 acres × 12,000 = **$8,957.**

> **A 5-acre rectangular parcel with 400 ft of frontage — how deep?** 5 × 43,560 = 217,800 ÷ 400 = **544.5 ft.**

> **Concrete for a drive 60 ft × 12 ft × 4 in.** 4 in = 0.333 ft. 60 × 12 × 0.333 = 240 cu ft ÷ 27 = **8.9 cubic yards.**

### 5.6 Interest and loan calculations

> **One month's interest on a $400,000 balance at 6%:** 400,000 × 0.06 ÷ 12 = **$2,000.**

> **A payment of $2,398.20 on that balance:** interest $2,000.00, principal **$398.20**, new balance **$399,601.80.**

> **Two points on a $400,000 loan:** 400,000 × 0.02 = **$8,000.** One point is one percent of the **loan**, not the price.

> **A $920,000 purchase, 20% down, appraisal $900,000:** the lender lends against the lower of value or price. 900,000 × 0.80 = **$720,000**, a **$16,000** shortfall against the $736,000 planned.

### 5.7 The three errors that produce most wrong answers

1. **Applying a rate to the wrong base** — the net-to-seller error, and the same error whenever a percentage is taken of the result rather than the source.
2. **Unit errors** — mixing feet and inches, confusing linear with square measure, dividing when multiplying by 43,560 was required.
3. **Skipping the reasonableness check.**

> **The reasonableness check catches nearly all of them.** A residential lot of 0.55 acres is plausible; 550 acres is not. A commission of $42,000 on an $840,000 sale is plausible; $420,000 is not. **Before reporting a number, ask whether it is the right order of magnitude.**

## 5.9 The documentary transfer tax, and how it is actually computed

Section 5.6 listed the closing costs a seller meets. The documentary transfer tax is the one with a statutory rate, and a licensee who can compute it will be asked to.

**Revenue and Taxation Code § 11911** authorises it. The county rate is set by subdivision (a), and subdivision (b) lets a city within such a county impose its own:

> *"(b) The legislative body of any city which is within a county which has imposed a tax pursuant to subdivision (a) may, by an ordinance adopted pursuant to this part, impose, on each deed, instrument, or writing by which any lands, tenements, or other realty sold within the city shall be granted, assigned, transferred, or otherwise conveyed to, or vested in, the purchaser or purchasers … when the* ***consideration or value of the interest or property conveyed (exclusive of the value of any lien or encumbrance remaining thereon at the time of sale) exceeds one hundred dollars ($100)****, a tax at the rate of* ***one-half the amount specified in subdivision (a)*** *for each* ***five hundred dollars ($500) or fractional part thereof****."*

And subdivision (c) resolves the overlap:

> *"A* ***credit shall be allowed*** *against the tax imposed by a county ordinance … for the amount of any tax due to any city by reason of an ordinance adopted pursuant to subdivision (b).* ***No credit shall be allowed*** *against any county tax for a city tax which is not in conformity with this part."*

**Four mechanics to hold onto.**

**The base is consideration or value, less any lien or encumbrance remaining at the time of sale.** The parenthetical matters: where a buyer takes title *subject to* an existing loan that stays on the property, the balance of that loan comes out of the base. In an ordinary sale where the seller's loan is paid off, nothing remains and the base is the full price.

**The unit is $500 or any fractional part.** The tax is not proportional — it rounds **up** to the next whole $500. A price of $500,001 is taxed on 1,001 units, not 1,000.2.

**A city tax reduces the county tax rather than adding to it**, by the § 11911(c) credit — provided the city ordinance conforms. Some California cities impose substantial transfer taxes under separate charter authority, and those are not always creditable in the same way. **A licensee should never quote a city transfer tax from memory**; the escrow holder has the current schedule.

**The $100 threshold means nominal transfers are outside it.** A deed for consideration of $100 or less is not taxed under this subdivision, which is why many intra-family and correcting deeds recite a nominal figure.

## 5.10 Worked transfer tax and proration problems

> **Problem one.** A property in an unincorporated area of a county sells for $837,400. The county rate under § 11911(a) is $0.55 per $500 or fractional part. What is the documentary transfer tax?

Units: $837,400 ÷ 500 = 1,674.8 → **round up to 1,675** units. Tax: 1,675 × $0.55 = **$921.25**.

**The rounding is the whole problem.** A candidate who computes 1,674.8 × $0.55 = $921.14 has missed the *"or fractional part thereof"* and produced an answer that is wrong by eleven cents and, more importantly, wrong in method.

> **Problem two.** Same county. A buyer purchases for $600,000 and **takes title subject to** an existing first deed of trust with a balance of $355,000 that remains on the property. What is the tax?

Base: $600,000 − $355,000 = **$245,000** — the encumbrance remaining at the time of sale comes out. Units: 245,000 ÷ 500 = **490** exactly. Tax: 490 × $0.55 = **$269.50**.

**Compare the two.** The same $600,000 property, sold in the ordinary way with the loan paid off, would be taxed on the full $600,000: 1,200 units × $0.55 = **$660**. **The structure of the deal changed the tax by $390.50**, which is why the parenthetical in § 11911 is not decorative.

> **Problem three — proration.** Escrow closes on **17 September**. Annual property taxes of $9,240 are paid by the seller for the full tax year beginning **1 July**. Using a 360-day year with 30-day months, and charging the day of closing to the buyer, what is the proration?

Seller's period: 1 July to 16 September = July (30) + August (30) + 16 = **76 days**. Daily rate: $9,240 ÷ 360 = **$25.6667**. Seller's share: 76 × $25.6667 = **$1,950.67**. Buyer's share (the reimbursement to the seller): $9,240 − $1,950.67 = **$7,289.33**.

**Credit the seller $7,289.33 and debit the buyer the same.** The seller paid the whole year and is being reimbursed for the part they will not own.

**Two conventions that must be stated before any proration is computed**, because different escrow holders use different ones and the answer changes:

- **360-day banker's year with 30-day months**, or a **365-day year with actual days**. The two differ by roughly 1.4 per cent on a full year.
- **Who is charged the day of closing.** Charging it to the buyer, as above, is common; charging it to the seller shifts one day's worth.

**A licensee's obligation is not to compute the escrow holder's numbers** — escrow does that, and the closing statement governs. **It is to be able to read the statement and notice when a figure is wrong by a month**, which happens, and which nobody catches if the licensee treats the closing statement as arithmetic performed by someone else.

## 5.11 Checkpoint

You should be able to work a commission problem backward, compute net to seller correctly, prorate in both directions, and apply a reasonableness check.

# 6. Investment comparison and documentation

## 6.1 Comparing on a common basis

Two properties cannot be compared until the numbers describe the same thing.

**The recurring failures:**

- One NOI includes reserves and the other does not.
- One set of expenses is actual and the other is projected.
- One property's income is at market rent and the other's is at in-place rent.
- One analysis deducts debt service and the other does not.
- Acquisition costs are counted as cash invested in one and omitted in the other.

**A licensee's contribution is to normalize the presentation and state what was normalized** — not to declare a winner.

## 6.2 A worked comparison

> **Property A:** price $2,944,000; NOI $169,280; debt service $126,000; cash invested $796,000. **Property B:** price $2,400,000; NOI $132,000; debt service $102,000; cash invested $660,000.

| Measure | A | B |
|---|---|---|
| Cap rate | 169,280 ÷ 2,944,000 = **5.75%** | 132,000 ÷ 2,400,000 = **5.50%** |
| Cash flow | 169,280 − 126,000 = **$43,280** | 132,000 − 102,000 = **$30,000** |
| Cash-on-cash | 43,280 ÷ 796,000 = **5.44%** | 30,000 ÷ 660,000 = **4.55%** |
| Debt coverage | 169,280 ÷ 126,000 = **1.34** | 132,000 ÷ 102,000 = **1.29** |

**A leads on every measure computed — and that is not the answer.** The comparison is incomplete without: whether both NOIs include reserves on the same basis; whether both sets of income are actual or projected; the condition and deferred maintenance of each; the lease structure and tenant quality; the submarket's occupancy history against each property's break-even; the loan terms, including whether either has a balloon; and the exit assumptions.

**A licensee who presents the table alone has presented four numbers as a decision.**

## 6.3 What the client decides and what the licensee supplies

The division is the same one that governs listing price and offer terms:

> **The investment decision is the client's. The analysis, the data, its sources, and the risks are the licensee's obligation.**

**The licensee supplies:** the operating data with its sources, the computed measures with their limitations stated, the risks identified, the questions to take to a tax professional and to counsel, and the written record of what was recommended.

**The licensee does not supply:** a projection presented as fact, a required return, an allocation recommendation, a tax conclusion, or a prediction about rates or market direction.

## 6.4 Verifying the data

Investment analysis rests on operating figures, and the figures come from a seller with an interest in them.

**What to verify and against what:**

| Item | Source |
|---|---|
| Rents | Leases and a rent roll, not a summary |
| Occupancy | Rent roll and payment history |
| Operating expenses | Actual statements and bills, not a percentage estimate |
| Property taxes | The assessor — and **reassessed on transfer**, not the seller's current bill |
| Insurance | A quote for **this buyer**, especially in mapped hazard areas |
| Deferred maintenance | Inspection, not the seller's characterization |
| Utility responsibility | The leases |

**The property tax line is the one most often carried forward wrongly.** A seller's pro forma using the seller's tax bill understates the buyer's expense, sometimes by a large multiple — and it flows straight through NOI into value.

## 6.5 Documenting the analysis

The test is the same one Lesson 12 applied to a valuation: **reconstructability.** Could a reviewer see what data was used, from what source, what assumptions were applied, and when?

The file should contain:

1. The operating data and **its source for each line**.
2. What was actual and what was projected, distinguished.
3. Every assumption in any projection, with its basis.
4. The computed measures and their date.
5. The risks identified and communicated.
6. Referrals made to a tax professional, to counsel, and to specialists — with the client's response.
7. The client's decision, and any instruction that departed from the advice.

## 6.6 The recurring failure

Not that a licensee computed something wrong. **That a licensee presented a seller's pro forma as though it were operating data**, and the client bought the assumptions.

The discipline that prevents it is small and consistent: **label projections, source every figure, verify what can be verified, and state what could not be.**

## 6.7 Why the comparison is the deliverable

Sections 6.1 through 6.6 describe how to compare investments and what the file must hold. The point worth ending on is why the comparison — rather than the recommendation — is what a licensee actually delivers.

**Three reasons.**

**The decision is the client's, and it depends on facts the licensee does not have.** Tax position, other holdings, risk tolerance, liquidity needs, and time horizon are the inputs that decide between two properties with similar returns. **A licensee who recommends has substituted assumptions about those inputs for the client's actual answers.**

**A recommendation cannot be checked; a comparison can.** Section 6.5's documentation requirement exists so that a client — or anyone later — can see the inputs, the arithmetic, and the assumptions. **A client who disagrees with an assumption can say so and the analysis is rebuilt.** A client who disagrees with a recommendation has only the licensee's judgment to argue with.

**The comparison survives being wrong.** Projections are wrong routinely — vacancy, expenses, and appreciation all move. **An analysis whose assumptions are on the page is defensible when the outcome disappoints**, because the reader can see what was assumed and that the assumption was reasonable when made. **A number with no assumptions attached is indefensible the moment it is off.**

> **The one thing that must never appear in an investment analysis:** a projected appreciation rate presented as an expectation rather than as an assumption being tested. Section 6.4's verification requirement covers the inputs that are knowable. **Future value is not one of them**, and the sentence "these have been going up about six percent a year" is a prediction stated as a plan.

**Section 6.6's recurring failure, restated:** the analysis that was performed carefully, delivered verbally, and never written down. **The client made a good decision on good information, and the file cannot say so** — which is the same finding this course reaches in agency, in disclosure, in valuation, and in escrow, and it is the finding that is entirely within the licensee's control.

## 6.8 Checkpoint

You should be able to normalize two properties for comparison, state what the table does not capture, and list what the file must show.

## Key terms

| Term | Definition |
|---|---|
| **Base year value** | The assessed value established generally on a change in ownership or new construction, with annual increases limited thereafter. |
| **Reassessment on transfer** | Why **a buyer's property tax will not be the seller's**, and why two identical neighboring houses carry different bills. |
| **Supplemental assessment** | The bill capturing the difference between old and new assessed value for the remainder of the tax year after a transfer or new construction. |
| **Special assessment / Mello-Roos** | Levies beyond the general tax, funding improvements or district infrastructure and services. Inherited by the buyer. |
| **Property tax lien** | Involuntary and specific, and **generally takes priority regardless of when it attached**. |
| **Documentary transfer tax** | A county and sometimes city tax on conveyances, with some cities imposing substantial additional taxes. |
| **Basis / adjusted basis** | Generally what was paid; adjusted upward by capital improvements and downward by depreciation taken. |
| **Tax depreciation** | A deduction for **income-producing** property over a recovery period. Land is not depreciable, and this is a different concept from appraisal depreciation. |
| **Depreciation recapture** | Depreciation previously taken may be treated differently on sale. |
| **Principal residence exclusion** | An exclusion from gain subject to ownership, use, amount, and filing conditions. A referral, never a computation. |
| **Like-kind exchange** | A deferral mechanism with strict identification and completion timing and a required intermediary. **The referral must happen before closing.** |
| **Net operating income** | The property's performance — excluding debt service and depreciation, including reserves. |
| **Before-tax cash flow** | NOI less annual debt service. **The investor's performance.** |
| **Cash-on-cash return** | Before-tax cash flow ÷ cash invested. Ignores appreciation, principal reduction, and tax effects. |
| **Debt coverage ratio** | NOI ÷ annual debt service. The cushion between income and the loan payment. |
| **Operating expense ratio** | Operating expenses ÷ effective gross income. |
| **Break-even occupancy** | (Operating expenses + debt service) ÷ potential gross income. Operating leverage in one number. |
| **The four sources of return** | Cash flow, principal reduction, appreciation, and tax effects. An analysis quoting one is incomplete. |
| **Leverage** | Borrowed funds used to increase return on invested capital. **Positive** where the property's return exceeds the cost of debt; **negative** where it does not. |

| Term | Definition |
|---|---|
| **Amplification of loss** | The other half of leverage: a 10% value decline costs 10% of an all-cash investor's capital and 40% of a 25%-equity investor's. |
| **Liquidity risk** | Real estate cannot be sold quickly at a known price — traceable to immobility and uniqueness. |
| **Concentration risk** | One property, one submarket, one tenant mix. |
| **Pro forma** | A **projected** operating statement. Labeled as projected, with every assumption and its source stated, and never presented as operating data. |
| **Part, whole, rate** | Part = Whole × Rate; Whole = Part ÷ Rate; Rate = Part ÷ Whole. |
| **Net to seller** | Price − (rate × price) − costs = net. **The rate applies to the price, not to the net** — the most reliably missed calculation in the material. |
| **The reasonableness check** | Asking whether an answer is the right order of magnitude before reporting it. |
| **Normalization** | Restating two properties' figures on a common basis before comparing, and stating what was normalized. |

## Practice problems

### Problem 1

A buyer asks what the property taxes will be. The seller has owned the house since 1998 and pays $4,200 a year. The listing agent tells the buyer "about $4,200," and adds that the planned kitchen remodel "won't affect your taxes." The property is in a Mello-Roos district.

**Identify every error.**

> **Solution. Three errors, and the first will be wrong by a multiple.**
>
> **A buyer's property tax will not be the seller's.** California establishes a **base year value** generally on a change in ownership, with annual increases limited thereafter — which is exactly why two identical neighboring houses carry very different bills. A property held since 1998 carries a base year value from 1998, and this buyer's will be set on transfer.
>
> **The correct statement** quotes the seller's current bill **as the seller's**, explains that the property will be reassessed on the change in ownership, and directs the buyer to the county assessor and to a tax professional for an estimate.
>
> **The remodel answer is an assessor question he answered without authority.** New construction generally triggers reassessment **of the new construction**, added to the existing base year value; ordinary maintenance and repair generally do not — and the line between them is not the licensee's to draw.

> **The Mello-Roos was never mentioned.** A community facilities district special tax can add substantially to the annual obligation, continues for many years, carries its own disclosure requirements, and is **inherited by the buyer.** The number a buyer should be looking at is the total annual carrying cost, not the general rate.
>
> **And nobody told him about the supplemental assessment** — the bill capturing the difference between old and new assessed value for the remainder of the tax year, which will arrive months after closing for an amount nobody mentioned.

### Problem 2

A seller asks whether she will owe tax on her gain, whether she can "do a 1031" on the rental she is also selling, and whether the depreciation she has taken on the rental means it has lost value. Her agent says the gain is under the limit so she is fine, that they can set up the exchange after closing, and that depreciation means the building is worth less.

**Correct each.**

> **Solution. All three are wrong, and the second is the one that cannot be undone.**
>
> **The principal residence exclusion depends on ownership and use periods, prior use of the exclusion, the amount of gain, and filing status.** "You're under the limit so you're fine" **computes a client's tax** on facts the licensee does not hold, under rules that change.
>
> **A like-kind exchange generally cannot be arranged after the sale closes.** The identification and completion deadlines are strict, the structure requires a **qualified intermediary**, and a mistake is generally not fixable after the fact. **The referral must happen before closing** — which is why the licensee's real job here is to identify early that she may want an exchange and get a tax professional and intermediary involved **now**.
>
> **The two depreciations are entirely different concepts sharing a word.** Tax depreciation is a **deduction** taken over a recovery period on income-producing property; appraisal depreciation is **loss in value from any cause**. A property can be appreciating in value while being depreciated for tax purposes — both true simultaneously. Her building has not lost value because she deducted depreciation, and **recapture** means that depreciation may be treated differently on sale, which is a further referral.
>
> **What the licensee says:** *"That's a tax question and I'm not able to advise on it — the rules depend on facts I don't have and they change. What I can do is flag it now, while there's still time to structure things, and get you to a tax professional before we go further."*

### Problem 3

Build the analysis: 12 units at $2,100 monthly, vacancy and collection 5%, operating expenses $118,000 including reserves, annual debt service $126,000, price $2,944,000, cash invested $796,000.

**Compute PGI, EGI, NOI, cash flow, cap rate, cash-on-cash, debt coverage, and break-even occupancy — then say what the last two tell the investor.**

> **Solution.** PGI = 12 × 2,100 × 12 = **$302,400.** Less vacancy 5% (15,120) → **EGI = $287,280.** Less operating expenses → **NOI = $169,280.** Less debt service → **Before-tax cash flow = $43,280.**

**Cap rate:** 169,280 ÷ 2,944,000 = **5.75%. Cash-on-cash:** 43,280 ÷ 796,000 = **5.44%. Debt coverage:** 169,280 ÷ 126,000 = **1.34. Break-even occupancy:** (118,000 + 126,000) ÷ 302,400 = **80.7%.**

**NOI is the property; cash flow is the investor.** NOI excludes debt service precisely so two buyers with different loans can compare the same property.

**The debt coverage of 1.34** means NOI covers the payment 1.34 times. Lenders require a cushion above 1.00 and the required level varies — **a lender question a licensee does not answer with a threshold.**

**The break-even of 80.7% is the operating leverage in one number.** Below about 81% occupancy the property covers neither its expenses nor its loan. An investor in a submarket running 88% has a seven-point cushion; one running 84% has three.

**And cash-on-cash below the cap rate — 5.44% against 5.75% — signals negative leverage.**

## Problem 4

A $1,000,000 property produces $60,000 NOI. Compare: all cash; 75% financing at 5% interest-only; and 75% financing at 7.5% interest-only. Then state what a 10% value decline costs the investor in the all-cash and 75%-financed cases.

**Show the arithmetic and name the principle.**

**Solution. All cash:** 60,000 ÷ 1,000,000 = **6.0%.**

**75% at 5%:** interest = 750,000 × 0.05 = $37,500. Cash flow = 60,000 − 37,500 = $22,500 on $250,000 = **9.0%. Positive leverage** — borrowing at 5% to earn 6% raised the equity return by three points.

**75% at 7.5%:** interest = $56,250. Cash flow = 60,000 − 56,250 = $3,750 on $250,000 = **1.5%. Negative leverage** — the same property, the same NOI, and a return well below the all-cash 6%.

**The property did not change. The financing did**, and it moved the equity return from 9.0% to 1.5%.

**On the downside:** a 10% decline costs the all-cash investor **10%** of his capital ($100,000 of $1,000,000). It costs the leveraged investor **40%** of his ($100,000 of $250,000).

**That is the whole risk of leverage in one sentence**, and it is why leverage is never presented as free return.

## Problem 5

A seller wants to net $600,000 after 5% compensation and $9,000 of closing costs. A salesperson received $9,450, being 60% of her brokerage's share, which was half of a 4.5% total.

**Compute the required price and the sale price, and name the error the first problem invites.**

**Solution. Net to seller.** The error is multiplying $600,000 by 1.05 — **the compensation is a percentage of the price, not of the net.**

Price − 0.05(Price) − 9,000 = 600,000 0.95(Price) = 609,000 **Price = 609,000 ÷ 0.95 = $641,052.63**

**Check:** 641,052.63 × 0.05 = 32,052.63; 641,052.63 − 32,052.63 − 9,000 = **$600,000.** ✓

> **The commission problem, worked backward one step at a time.** Brokerage share: 9,450 ÷ 0.60 = $15,750. Total compensation: 15,750 ÷ 0.50 = $31,500. **Price: 31,500 ÷ 0.045 = $700,000.**
>
> **The net-to-seller problem is the most reliably missed calculation in this material**, and it is missed the same way every time: **applying the rate to the wrong base.**

### Problem 6

Compute and state the direction: (a) annual taxes $7,300 paid through June 30, closing May 31, 365-day basis, day of closing to the buyer; (b) a tenant's $2,400 rent paid on the 1st of a 30-day month, closing the 10th. Then compute (c) a 130 × 250 ft lot at $12,000 per acre and (d) concrete for a 60 × 12 ft drive 4 inches thick.

**Answer, and name the three errors that produce most wrong results.**

> **Solution.** (a) Buyer's period May 31 – June 30 = 31 days. 7,300 ÷ 365 = $20.00/day × 31 = **$620.00 credited to the seller, debited to the buyer** — he reimburses her for the period she paid and he owns.
>
> (b) Buyer's days the 10th – 30th = 21. 2,400 ÷ 30 = $80/day × 21 = **$1,680.00 credited to the buyer, debited to the seller** — the opposite direction, because she holds money for his period.
>
> (c) 130 × 250 = 32,500 sq ft ÷ 43,560 = 0.746 acres × $12,000 = **$8,957.**
>
> (d) 4 in = **0.333 ft.** 60 × 12 × 0.333 = 240 cu ft ÷ 27 = **8.9 cubic yards.**
>
> **The three errors:** applying a rate to the wrong base (the net-to-seller error); **unit errors** — mixing feet and inches, which in (d) would have produced 106 cubic yards, confusing linear with square measure, or dividing where multiplying by 43,560 was required; and **skipping the reasonableness check.**
>
> Also read the convention rather than assuming it: the day-count basis, who gets the day of closing, and the fact that **California's property tax year does not align with the calendar year.**

### Problem 7

An investor is comparing two buildings. Property A: price $2,944,000, NOI $169,280, debt service $126,000, cash invested $796,000. Property B: price $2,400,000, NOI $132,000, debt service $102,000, cash invested $660,000. A leads on every computed measure, and the licensee recommends A.

**Compute the table and state why the recommendation is premature.**

> **Solution. Cap rate:** A 5.75%, B 5.50%. **Cash flow:** A $43,280, B $30,000. **Cash-on-cash:** A 5.44%, B 4.55%. **Debt coverage:** A 1.34, B 1.29.
>
> **A leads on all four — and that is not the answer.**
>
> **The comparison is incomplete without:** whether both NOIs include reserves on the same basis; whether both sets of income are **actual or projected**; whether both are at market rent or in-place rent; condition and deferred maintenance; lease structure and tenant quality; each submarket's occupancy history against each property's break-even; the loan terms including whether either carries a **balloon**; and the exit assumptions.

> **A licensee who presents the table alone has presented four numbers as a decision.** The investment decision is the client's; the analysis, the data, its sources, and the risks are the licensee's obligation — along with normalizing the presentation and **stating what was normalized.**
>
> Note also what the measures themselves omit. Cash-on-cash ignores **appreciation, principal reduction, and tax effects** — three of the four sources of return.

### Problem 8

A seller's marketing package shows an operating statement with 100% occupancy, market rents 8% above the current rent roll, expenses stated as "35% of gross," and the seller's current property tax bill. The buyer's agent forwards it with the comment "the numbers work."

**Identify every defect and state the discipline that prevents this.**

> **Solution. This is a pro forma presented as an operating statement**, which is a misrepresentation whoever authored it — and forwarding it with "the numbers work" adopts it.
>
> **100% occupancy** is an assumption, not a figure. Actual occupancy comes from the rent roll and payment history.
>
> **Rents 8% above the rent roll** are projected. Actual rents come from **the leases**, not a summary.
>
> **"35% of gross" is an estimate substituting for data.** Operating expenses come from actual statements and bills.
>
> **The seller's property tax bill is the single most consequential error**, because the property will be **reassessed on transfer.** Carrying the seller's bill forward understates the buyer's expense, sometimes by a large multiple — and it flows straight through NOI into value.
>
> Two more to verify: **insurance quoted for this buyer**, especially in mapped hazard areas, and **deferred maintenance from an inspection** rather than the seller's characterization.
>
> **The discipline:** label projections as projected, **source every figure**, verify what can be verified, and state what could not be. Distinguish actual from projected on the same page — and record the assumptions and their basis, the measures and their date, the risks communicated, the referrals made, and the client's decision.
>
> **The recurring failure is not a computation error. It is presenting a seller's pro forma as operating data**, and the client buying the assumptions.

## Chapter summary

**California taxes on a base year value system**, so a buyer's tax will not be the seller's, two identical neighbors pay differently, and a supplemental assessment follows the transfer. Quote the seller's bill as the seller's, and route the estimate to the assessor and a tax professional.

**Special assessments and Mello-Roos are inherited**, and the number that matters is total annual carrying cost.

**Every income and transfer tax topic is a referral.** Use the vocabulary accurately, recognize the issue, and **connect the referral to timing** — most tax opportunities close when the transaction does, and the like-kind exchange is the clearest case.

**Tax depreciation and appraisal depreciation are different concepts sharing a word.**

**NOI is the property; cash flow is the investor.** Cap rate, cash-on-cash, debt coverage, operating expense ratio, and break-even occupancy each measure something specific — and each has a limitation to state when quoting it.

**Return comes from four places:** cash flow, principal reduction, appreciation, and tax effects.

**Leverage works both directions.** Positive where the property's return exceeds the cost of debt, negative where it does not — and it amplifies losses in exactly the same proportion.

**Name the risks**, including liquidity risk, which traces to immobility and uniqueness — and never state a suitable allocation.

**A pro forma is a set of assumptions.** Label it, source every assumption, and never present it as operating data.

**Part, whole, rate answers most transaction math.** Work commissions backward one step at a time, and compute net to seller by applying the rate to the price rather than the net.

**Prorations run in two directions**, and the conventions change the answer.

**Most wrong answers come from the wrong base, unit errors, and a skipped reasonableness check.**

**Normalize before comparing, state what was normalized, and verify the data against leases, statements, the assessor, and an inspection.** The client decides; the licensee supplies the analysis, the sources, the risks, and the record.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. State what you would tell the client about property taxation and what you would route to the assessor and to a tax professional, identify every tax issue present and the deadline that makes each referral urgent, build the operating statement and compute each return measure with its limitation stated, demonstrate whether the financing produces positive or negative leverage, perform every transaction calculation the scenario requires showing your bases and units, identify each figure you would verify and against what source, state what you would decline to project or conclude, and list what the file must show for the analysis to be reconstructable. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** An investor is comparing two rental properties. Property A costs $800,000 and produces $56,000 of net operating income. Property B costs $650,000 and produces $42,250 of net operating income. He plans to finance 70 percent of either purchase and asks which is the better investment. How should the licensee frame the analysis?

**A. Show that both produce a 6.5 percent capitalization rate on an all-cash basis, explain that the comparison therefore turns on financing terms, risk, condition, location, and the investor's own tax position, and refer the tax questions to a qualified tax professional.**

B. Recommend Property A, since it produces more net operating income in absolute dollars.

C. Recommend Property B, since it requires less capital and therefore carries less risk.

D. Recommend whichever property has appreciated more over the past five years.

**Answer: A.** Both yield the same 6.5 percent unleveraged return ($56,000 ÷ $800,000 and $42,250 ÷ $650,000), so the arithmetic alone does not decide it. Absolute income, absolute price, and past appreciation each answer a different question than the one the investor asked, and the tax consequences belong to a tax professional.

### Engagement check — 5 items, 80% required

**1.** Under California's constitutional property tax limitation, what generally happens to a property's assessed value when it is sold?

**A. It is reassessed to the new value at the change of ownership, which typically resets the base for future taxation.**

B. It remains at the prior owner's assessed value, which transfers with the property.

C. It is reduced to the purchase price only if the purchase price is lower than the prior assessment.

D. It is recalculated annually based on current market value regardless of ownership.

**Answer: A.** Change of ownership is the reassessment event, which is why a long-held property's assessment can be far below its market value while a newly purchased identical property's is not.

**2.** A property sells for $750,000 with a total brokerage compensation of 5 percent, split evenly between the two brokerages. How much does each brokerage receive?

**A. $18,750 each.**

B. $37,500 each.

C. $15,000 each.

D. $7,500 each.

**Answer: A.** 5 percent of $750,000 is $37,500 in total; split evenly, each brokerage receives $18,750. The second figure is the undivided total.

**3.** What does net operating income represent?

**A. Gross income less vacancy and operating expenses, before debt service and income taxes.**

B. Gross income less all expenses including the mortgage payment.

C. Gross rental collections before any deductions.

D. Cash remaining after debt service and capital improvements.

**Answer: A.** Net operating income deliberately excludes financing and income taxes so properties can be compared independently of how each is financed or who owns it.

**4.** What is financial leverage in a real estate context?

**A. Using borrowed funds to control a larger asset, which can magnify returns on invested capital and equally magnify losses.**

B. The ability to negotiate a lower purchase price because of market conditions.

C. The ratio of a property's income to its operating expenses.

D. The tax advantage that comes from deducting mortgage interest.

**Answer: A.** Leverage amplifies outcomes in both directions, which is what makes it a risk concept rather than simply a benefit. Negotiating power, expense ratios, and tax deductions are separate ideas.

**5.** A seller closes on April 1 having already paid the full annual property tax of $7,200 for a tax year beginning January 1. Using a 360-day year with 30-day months, what proration is due to the seller?

**A. $5,400, representing the nine months of the year the buyer will own the property.**

B. $1,800, representing the three months the seller owned the property.

C. $3,600, representing half of the annual amount.

D. $600, representing one month of the annual amount.

**Answer: A.** The seller prepaid the whole year but owns only January through March, so the buyer reimburses the remaining nine months: $7,200 ÷ 12 × 9 = $5,400. The second figure is the seller's own share rather than the reimbursement.

## Remediation set — served only after a failed engagement check

**1.** A property produces $48,000 of net operating income and comparable properties trade at an 8 percent capitalization rate. What value does the income approach indicate?

**A. $600,000.**

B. $384,000.

C. $3,840.

D. $960,000.

**Answer: A.** $48,000 ÷ 0.08 = $600,000. The second and third options multiply instead of dividing; the fourth uses a 5 percent rate.

**2.** A rectangular lot measures 90 feet by 120 feet and sells for $486,000. What is the price per square foot?

**A. $45 per square foot.**

B. $54 per square foot.

C. $4.50 per square foot.

D. $450 per square foot.

**Answer: A.** 90 × 120 = 10,800 square feet; $486,000 ÷ 10,800 = $45. The other figures misplace the decimal or invert the dimensions.

**3.** Why is an owner advised to consult a tax professional before selling an investment property?

**A. Because the tax consequences depend on the owner's basis, holding period, depreciation history, and overall tax situation, which are outside a licensee's scope.**

B. Because the licensee must report the sale's tax consequences to the taxing authorities.

C. Because tax advice is required before escrow may close on investment property.

D. Because the tax owed determines the property's market value.

**Answer: A.** The variables are personal to the owner and the advice requires tax expertise. Licensees do not report tax consequences, escrow does not require tax advice, and taxes do not determine market value.

**4.** A buyer pays $900,000 with 25 percent down. What is the loan amount, and what is the loan-to-value ratio?

**A. A $675,000 loan at a 75 percent loan-to-value ratio.**

B. A $225,000 loan at a 25 percent loan-to-value ratio.

C. A $675,000 loan at a 25 percent loan-to-value ratio.

D. A $720,000 loan at an 80 percent loan-to-value ratio.

**Answer: A.** 25 percent down is $225,000, leaving a $675,000 loan, which is 75 percent of value. The second option reports the down payment as the loan.

**5.** Two investments produce the same capitalization rate. What does that tell the investor?

**A. That they offer the same unleveraged return on price, which is a starting point rather than a conclusion, since risk, condition, location, and financing still differ.**

B. That the two properties are equally good investments.

C. That the two properties will appreciate at the same rate.

D. That the two properties carry the same level of risk.

**Answer: A.** A capitalization rate compares income to price at a moment in time. It says nothing about future appreciation, risk, or overall suitability, which is why identical rates do not make identical investments.

# Real Estate Principles - Lesson Assignment 14

## Fair housing, civil rights, and consumer protection

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Identify the federal protected classes and the statutes that establish them.
- Identify California's additional protections and explain why the federal list alone is insufficient.
- Recognize prohibited conduct in its obvious and subtle forms, and apply the advertising rules.
- Distinguish a reasonable accommodation from a reasonable modification and apply each correctly.
- Explain fair lending obligations and appraisal bias, and identify the licensee's role in each.
- Respond correctly to a complaint, document the response, and build practices that constrain discretion.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: federal and California protections | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: prohibited conduct, advertising, and accommodations | 50 | Sections 3-4 viewed |
| Guided reading: fair lending, appraisal bias, and complaint response | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Federal protected classes

### 1.1 The framework

Federal fair housing law prohibits discrimination in the sale, rental, and financing of housing, and in the provision of related services, on the basis of specified protected characteristics.

**The federal protected classes:**

| Class |
|---|
| **Race** |
| **Color** |
| **Religion** |
| **Sex** |
| **National origin** |
| **Familial status** |
| **Disability (handicap)** |

The first four and national origin came earlier; **familial status and disability were added later**, which is why some older material lists five.

## 1.2 The statutes to know by name

**The Civil Rights Act of 1866** prohibits racial discrimination in property transactions. Its significance is its reach: it is **not subject to the exemptions** that apply under later fair housing law, and it applies to all property.

**The Fair Housing Act** — Title VIII of the Civil Rights Act of 1968, amended in 1988 — is the principal federal housing discrimination statute, establishing the seven classes above and the enforcement framework.

**The Americans with Disabilities Act** addresses public accommodations and commercial facilities. It reaches a brokerage's own office as a place of public accommodation; it is not the statute governing accessibility in a private dwelling, which is the Fair Housing Act's domain.

**The Equal Credit Opportunity Act** governs discrimination in credit, addressed in Section 5.

## 1.3 What familial status protects

**Familial status** protects households with children under 18, persons who are pregnant, and persons in the process of obtaining custody of a child.

Consequences licensees regularly miss:

- **"Adults only" housing is generally prohibited**, and the exemptions for housing for older persons are **narrow and have specific requirements that must actually be satisfied.**
- **Occupancy standards that are set restrictively enough to exclude families with children** function as familial status discrimination however they are phrased.
- **Steering families toward particular buildings, floors, or areas** is steering.

## 1.4 What disability protection covers

Disability protection reaches physical and mental impairments that substantially limit major life activities, along with a record of such an impairment and being regarded as having one.

Three obligations flow from it, developed in Section 4: **reasonable accommodations**, **reasonable modifications**, and **accessible design and construction requirements** for certain multifamily housing.

**One clarification that prevents a common error:** current illegal drug use is generally not protected, while a record of addiction may be.

### 1.5 Exemptions, and why they matter less than licensees think

Federal fair housing law contains limited exemptions — for certain owner-occupied dwellings of a small number of units, certain single-family sales by an owner without a broker, and certain religious organizations and private clubs.

**Three reasons a licensee should not rely on them:**

1. **The exemptions generally do not apply where a real estate licensee is involved.** That is the point: they cover an owner acting alone, not a transaction with a broker in it.
2. **The 1866 Act's prohibition on racial discrimination is not subject to them.**
3. **California's protections are broader**, and a federal exemption does not create a state one.

> **A licensee who hears "this one is exempt" should treat that as a reason to escalate, not as a reason to proceed.**

### 1.6 Checkpoint

You should be able to name the seven federal classes, name the four statutes, and explain why exemptions are rarely available in a transaction involving a licensee.

## 2. California fair housing protections

### 2.1 The principle to carry

> **California protects the federal classes and adds further characteristics. A licensee who knows only the federal list will engage in conduct that is lawful federally and unlawful in California.**

That single sentence is the section's operative content, and it should shape every practice decision.

### 2.2 The California framework

Two bodies of California law do most of the work.

**The Fair Employment and Housing Act** is California's principal housing discrimination statute, covering the federal characteristics and adding others.

**The Unruh Civil Rights Act** prohibits discrimination by business establishments, and its reach extends beyond housing to business generally — which is why it can apply to conduct that would not fall under a housing-specific statute.

California's protections extend beyond the federal seven to characteristics including **marital status, sexual orientation, gender identity and gender expression, ancestry, source of income, age, genetic information, citizenship, immigration status, primary language, military and veteran status**, and others.

**The list is not static.** It has been added to repeatedly, which is the practical reason a licensee should not work from a memorized list at all.

### 2.3 Source of income

The addition licensees encounter most often in practice.

**An instruction to refuse applicants using housing assistance is an unlawful instruction.** The obligations from the agency lesson apply in full: refuse it, explain why, escalate to the broker, and address whether the engagement can continue.

Advertising and screening practices that exclude assistance recipients — "no vouchers," or a minimum income multiple applied to the full rent rather than the tenant's portion — fail for the same reason.

### 2.4 Why the practice does not depend on the list

Because the list grows, and because copy that describes people is a risk regardless of which characteristic it touches, the reliable practice is not memorization:

> **Describe the property. Do not describe the people who should live in it.**

Property-focused copy never requires reference to any protected characteristic at all, which is why it is safe against a list that changes. And **"it's not one of the federal seven" is not clearance** — it is the reasoning that produces California violations.

### 2.5 Enforcement

Complaints may be pursued through the state civil rights agency, through federal agencies, and through the courts. Remedies can include damages, injunctive relief, civil penalties, and attorney fees.

**A licensee's discipline exposure is separate and additional.** Discriminatory conduct is grounds for action against a license independent of any civil outcome, which means "the case settled" does not close the matter.

### 2.6 The obligation runs to everyone

Fair housing obligations are not limited to the consumer in front of the licensee.

> A licensee who accepts a seller's instruction to limit who sees a property has violated the obligation as to buyers he never met. A licensee whose marketing reaches a narrow audience by design has done the same.

The client relationship is one surface among several, and the harm to a person who never learned the property existed is exactly the harm the law addresses.

## 2.8 California's protected characteristics, in the statute

Section 2.1 said that California protects more characteristics than federal law. **Government Code § 12955** — the housing article of the Fair Employment and Housing Act — is where the list lives, and reading it is the only way to hold it accurately.

> *"It shall be unlawful:*
>
> *(a) For the owner of any housing accommodation to discriminate against or harass any person because of the* ***race, color, religion, sex, gender, gender identity, gender expression, sexual orientation, marital status, national origin, ancestry, familial status, source of income, disability, veteran or military status, or genetic information*** *of that person."*

**Set that against the federal list.** The federal Fair Housing Act, 42 U.S.C. § 3604, prohibits discrimination because of *race, color, religion, sex, familial status, or national origin*, with disability addressed separately at § 3604(f).

| Characteristic | Federal | California |
|---|---|---|
| Race, color, religion, sex, national origin, familial status | ✓ | ✓ |
| Disability | ✓ (§ 3604(f)) | ✓ |
| **Gender identity, gender expression** | — | ✓ |
| **Sexual orientation** | — | ✓ |
| **Marital status** | — | ✓ |
| **Ancestry** | — | ✓ |
| **Source of income** | — | ✓ |
| **Veteran or military status** | — | ✓ |
| **Genetic information** | — | ✓ |

**A licensee who knows only the federal list will act lawfully under federal law and unlawfully in California.** That is not a rhetorical flourish; it is the ordinary consequence of a longer list.

**And the section reaches the licensee, not only the owner.** Subdivision (i) makes it unlawful *"for any person or other organization or entity whose business involves* ***real estate-related transactions*** *to discriminate against any person in making available a transaction, or in the terms and conditions of a transaction"* on the listed grounds. Subdivision (g) reaches anyone who *"aid[s], abet[s], incite[s], compel[s], or coerce[s]"* any of it. **A licensee following an owner's unlawful instruction is inside subdivision (g).**

## 2.9 Source of income, and the two subdivisions that give it teeth

Of the California-only characteristics, **source of income** is the one that most often catches a licensee out, because the discriminatory sentence sounds like a business policy: *"we don't take vouchers."*

§ 12955 does not leave the point to inference. It addresses the mechanics of income screening directly:

> *"(n) To use a financial or income standard in the rental of housing that **fails to account for the aggregate income of persons residing together** or proposing to reside together on the same basis as the aggregate income of married persons residing together or proposing to reside together.*
>
> *(o)(1) In instances in which there is a **government rent subsidy**, to do either of the following: (A) Use a financial or income standard in assessing eligibility for the rental of housing **that is not based on the portion of the rent to be paid by the tenant**. (B)(i) Use a person's credit history … **without offering the applicant the option, at the applicant's discretion, of providing lawful, verifiable alternative evidence** of the applicant's reasonable ability to pay the portion of the rent to be paid by the tenant, including, but not limited to, government benefit payments, pay records, and bank statements."*

**Three operational rules come out of that.**

**Roommates' incomes aggregate the same way spouses' do.** A "three times the rent, per person" standard applied to unmarried co-applicants but not to married ones is inside subdivision (n).

**Where a subsidy exists, the income test runs against the tenant's own share of the rent.** A tenant paying $400 of a $2,400 rent is assessed against $400. Applying a three-times-rent rule to the full $2,400 is precisely what subdivision (o)(1)(A) prohibits.

**Credit history cannot be the only door.** Subdivision (o)(1)(B) requires that a subsidised applicant be **offered the option** of supplying alternative evidence of ability to pay. Not asked for it if they complain — offered it.

**And applying an unlawful standard uniformly does not cure it.** Consistency is a defence to a claim of disparate treatment; it is not a defence to a standard the statute prohibits outright.

## 2.10 Perception, association, and why intent is not the test

Two more features of the California scheme close the gaps that a well-meaning licensee might otherwise fall into.

**§ 12955(m)** provides that the listed characteristics include *"a **perception** that the person has any of those characteristics or that the person is **associated with a person** who has, or is perceived to have, any of those characteristics."*

**The Unruh Civil Rights Act, Civil Code § 51**, does the same for business establishments — and a real estate brokerage is one. **§ 51(e)(7)** extends every listed characteristic to *"(B) A **perception** that the person has any particular characteristic … (C) A **perception that the person is associated with a person** who has, or is perceived to have, any particular characteristic…"*

**What this means in practice is that being wrong is not a defence.** A licensee who treats an applicant differently because of an assumption about their religion has discriminated on the basis of religion whether or not the assumption was correct. A licensee who treats a tenant differently because of their partner's disability has discriminated on the basis of disability.

**And nothing in either statute requires a discriminatory motive.** The question is what the licensee did and on what basis, not what they intended by it. **This is the same point Assignment 14 of the Real Estate Practice course makes about implicit bias**, arriving from the other direction: the law does not ask whether the licensee meant well, because the consumer's access to housing is unaffected by what the licensee meant.

**The professional response, in one line:** apply written criteria uniformly, record what was applied, and route every instruction that would require you to do otherwise to the broker in writing — because § 12955(g) reaches the person who carries the instruction out.

### 2.11 Checkpoint

You should be able to name California's principal fair housing statutes, explain why the federal list is insufficient, and state the practice that does not depend on the list.

## 3. Prohibited conduct and advertising

### 3.1 The prohibited practices

| Practice | What it is |
|---|---|
| **Refusal to sell or rent** | Declining to deal on a protected basis |
| **Different terms or conditions** | Different price, deposit, terms, or services |
| **Steering** | Directing a person toward or away from areas, buildings, or units |
| **Blockbusting** | Inducing sales or rentals by representations about the entry of a protected group into an area |
| **Redlining** | Denying or varying the terms of financing or insurance by area |
| **Discriminatory advertising** | Copy or targeting indicating a preference, limitation, or discrimination |
| **Refusal of accommodation or modification** | Denying a required reasonable accommodation or modification |
| **Falsely denying availability** | Telling a person a unit is unavailable when it is |
| **Retaliation or interference** | Against a person exercising fair housing rights or assisting another |
| **Discouragement** | Deterring an inquiry or application rather than denying it |

### 3.2 The forms that are committed with good intentions

The obvious practices are the ones licensees already know not to do. The subtle ones are where violations actually occur.

| Form | Example |
|---|---|
| **Redirection** | "You'd be more comfortable over here" |
| **Curated balance** | Selecting a "representative mix" chosen by the licensee rather than by the buyer's criteria |
| **Characterization** | Describing residents rather than the property or the area's objective features |
| **Differential enthusiasm** | Showing everything, but presenting some properties warmly and others flatly |
| **Differential effort** | Prompt follow-up on some inquiries, slower on others |
| **Assumed suitability** | Deciding a two-story home "won't work" for a buyer with a disability and not showing it |
| **Soliciting preferences** | Asking which protected characteristics matter so they can be "honored" |
| **Discouragement** | "You probably wouldn't qualify" instead of taking the application |

**The last four are the ones committed with good intentions**, and they are prohibited conduct all the same. **Steering is defined by whose criteria drove the selection, not by the licensee's intent.**

**Discouragement deserves particular attention:** it achieves a denial while producing no record of one, which is exactly why it is hard to detect and dangerous to permit.

### 3.3 The advertising rule

> **Advertising may not indicate a preference, limitation, or discrimination based on protected characteristics, and may not express an intention to make one.**

The workable form:

> **Describe the property. Do not describe the people who should live in it.**

Copy that sorts people, however warmly intended, signals who is and is not welcome. That is the harm, and **intent is not a defense.**

### 3.4 Rewriting copy

| Problem copy | Why it fails | Property-focused rewrite |
|---|---|---|
| "Family-friendly neighborhood" | Familial status | "Cul-de-sac location; park two blocks away" |
| "Perfect for a young couple" | Age and familial status | "Two bedrooms, one bath, 940 square feet" |
| "Walking distance to St. Anne's parish" | Religion | "Walking distance to the town center" |
| "Not suitable for anyone with mobility issues" | Disability | "Second-floor unit; access by stairs, no elevator" |
| "Ideal for professionals, no students" | Sorts occupants | "Quiet building; on-site laundry; assigned parking" |
| "Mature adults only" | Age and familial status | Omit; the older-persons exemptions are narrow and must actually apply |
| "English-speaking building" | National origin, primary language | Omit entirely |
| "Great for empty nesters" | Familial status and age, softened | "Single-story, low-maintenance yard" |
| "No vouchers" | **Source of income** — California | Omit; screen on uniform written criteria |

**Every rewrite is more informative than the original.** "Second-floor unit; access by stairs, no elevator" tells a buyer with a mobility concern exactly what they need, **without deciding for them** whether the property will work.

### 3.5 Accessibility information belongs in the copy

A common overcorrection is to omit accessibility features entirely, on the theory that any mention of disability is prohibited. That withholds information consumers need.

> **The rule is about who the property is *for*, not about what the property *has*.**

**Do describe:** single-level layout, step-free entry, wide doorways, roll-in shower, elevator, grab bars, accessible parking. **Do not characterize:** who the property is or is not suitable for.

### 3.6 Targeting is part of the advertisement

The most consequential digital point, and it is easy to miss because it does not appear in the copy.

Platforms permit advertisers to select who sees an advertisement — by age, by location, by inferred interests, by proxies for demographic characteristics.

> **Restricting who may see a housing advertisement can deny groups access to the housing opportunity, and that is the harm advertising rules exist to prevent.**

Neutral copy delivered selectively excludes as effectively as discriminatory wording. Two consequences: **targeting choices must be examined with the same care as the words**, and **using a platform's tool does not shift responsibility.** "The platform offered that option" is not an answer.

### 3.7 Imagery, disclaimers, and instructions

**Imagery communicates preference as effectively as words.** Marketing that consistently depicts one group can signal who is welcome.

**An equal housing statement does not cure discriminatory content.** A discriminatory advertisement with a fair housing logo is still a discriminatory advertisement.

**A client's instruction does not authorize it.** Documenting that copy came from the seller does not transfer responsibility, and publishing a softened version conveying the same preference is the same violation in gentler words. The professional response is to explain why the copy cannot run, offer the property-focused rewrite, and escalate if the client insists.

### 3.8 Checkpoint

You should be able to name the prohibited practices, rewrite copy that sorts people, and explain why targeting is part of the advertisement.

## 4. Reasonable accommodations and modifications

### 4.1 Two different requests

Using the wrong framework produces the wrong answer, and the error is extremely common.

| | Reasonable accommodation | Reasonable modification |
|---|---|---|
| What it changes | A **rule, policy, practice, or service** | The **physical premises** |
| Examples | Waiving a no-pet policy for an assistance animal; a reserved accessible parking space; permitting a live-in aide; accepting rent on a different date tied to benefit timing | Installing a grab bar; widening a doorway; adding a ramp; lowering a countertop |
| Who requests | The person with the disability, or someone on their behalf | The same |
| Analysis | Is it reasonable, and is it necessary because of the disability? | The same |

> **The classic error is evaluating an accommodation request under the ordinary policy** — treating a request to waive a no-pet rule as a pet question — which produces a denial that never engaged the actual standard.

### 4.2 Assistance animals are not pets

For fair housing purposes, an assistance animal is not a pet. Three consequences frequently mishandled:

1. **A no-pet policy does not, by itself, justify denying the request.**
2. **A pet deposit or pet rent may not be charged.** Charging one imposes a condition on a protected group that others do not bear.
3. **A request cannot be refused merely because the animal is not "certified."** Reliance on a certification requirement is a common and serious error.

The provider may still evaluate reasonableness, and **the resident remains responsible for damage the animal causes and for the animal's behavior.**

### 4.3 What "reasonable" means

Reasonableness is an actual analysis, not a formality, and it **can produce a denial.** Factors that legitimately bear on it include whether the request would impose an undue financial and administrative burden, whether it would fundamentally alter the nature of the operation, and whether an alternative would equally meet the need.

Two points about process:

- **The interactive process matters.** Where a request as made is not workable, the provider engages about alternatives rather than simply refusing.
- **Delay functions as denial.** A request that receives no response is effectively refused, and the absence of a decision is not a defense.

### 4.4 Modifications: who pays and what conditions apply

In private housing, a reasonable modification is generally made **at the requester's expense.** The provider may impose reasonable conditions — workmanlike performance, permits, and in some circumstances restoration when the tenancy ends.

**What the provider may not do is treat the request as an unauthorized alteration and refuse it on that basis.** That applies the lease framework to a fair housing question.

### 4.5 Verification, and its limits

Where a disability or the disability-related need is not obvious, a provider may generally seek information sufficient to establish that the person has a disability and that the requested accommodation is necessary because of it.

**What may not be sought is a diagnosis, medical records, or detail about the nature or severity of the condition.** The question is whether the need exists, not what the condition is.

### 4.6 Design and construction

Certain multifamily housing is subject to accessible design and construction requirements, and **California standards can exceed the federal baseline.**

A licensee marketing new construction should not represent that a property meets accessibility requirements without confirming it, and should direct specific questions to the developer, the architect, or the jurisdiction.

### 4.7 Accessibility in how service is delivered

The obligation is not limited to the property. It extends to how a licensee provides service:

- Offering information in a format a consumer can use.
- Not assuming a consumer's needs or capacities from an observation.
- **Not steering a consumer toward or away from properties based on an assumption about what would suit their disability.**

> **The consumer decides what works for them; the licensee provides accurate information about the property.**

That last point is the one licensees most often get wrong with the best intentions. Deciding on a buyer's behalf that a two-story house "won't work for him" and not showing it is steering, however kindly meant.

### 4.8 Checkpoint

You should be able to classify a request, state the standard applied, and identify what may and may not be asked in verification.

## 5. Fair lending and appraisal bias

### 5.1 The fair lending framework

**The Equal Credit Opportunity Act** prohibits discrimination in any aspect of a credit transaction on protected bases, and requires that an applicant who is denied credit receive a statement of the reasons or notice of the right to obtain one.

**The Fair Housing Act** separately prohibits discrimination in residential real-estate-related transactions, including lending.

**The Home Mortgage Disclosure Act** requires certain lenders to collect and report data on mortgage applications, which supports detection of lending patterns no individual decision reveals.

**The Community Reinvestment Act** addresses depository institutions' obligations to help meet the credit needs of the communities they serve.

### 5.2 Redlining and its modern forms

**Redlining** — denying or varying the terms of financing or insurance by area — is prohibited, and its historical operation is part of why present-day patterns exist.

Federally influenced appraisal and lending practice once graded neighborhoods for lending risk, with grades correlated to racial composition. **Areas graded poorly received less mortgage capital for decades**, which suppressed maintenance, values, and the accumulation of housing equity in exactly the neighborhoods already excluded.

Modern forms include marketing that reaches some areas and not others, branch and service distribution, and — increasingly — **algorithmic and data-driven decision-making that reproduces historical patterns without anyone intending it.**

### 5.3 Why this compounds

**Housing is the principal vehicle of wealth accumulation for most American families. Wealth built through housing is inherited, and inherited wealth becomes the down payment for the next generation.**

Exclusion from housing markets therefore does not end when the exclusionary practice ends. **It compounds** — which explains why equal treatment starting now does not by itself produce equal outcomes.

**What this does and does not imply for a licensee.** It does **not** imply that a licensee should attempt to correct history through their own decisions about who lives where — selecting properties for a buyer based on a protected characteristic is steering regardless of the intent behind it, including a corrective intent.

It **does** imply that a licensee should recognize inherited patterns rather than reading them as natural facts about places, refuse to transmit them as market wisdom, apply uniform practices, and give consumers objective information so they can apply their own criteria.

### 5.4 The licensee's role in lending

**May:** explain in general terms how loan program types work; explain what a preapproval is; recommend the buyer speak with more than one lender; and provide the same information and referrals to every consumer.

**May not:** steer a consumer toward or away from a lender or program on a protected basis; assume from an observation what a consumer can afford or qualify for; discourage an application; or participate in an arrangement that varies terms by area or by borrower characteristic.

> **"They probably wouldn't qualify" is not an assessment a licensee is entitled to make**, and acting on it is discouragement, which produces a denial with no record of one.

### 5.5 Appraisal bias

Valuation is a judgment, and judgment is where bias operates. Concerns about appraisal bias — including in the treatment of neighborhoods and of the people occupying properties — are a recognized issue, and both federal and California attention has increased.

**The structural control is objective, market-derived support.** A derived adjustment can be examined; an impression cannot. Comparable selection, adjustment derivation, and neighborhood description are each places where a stated basis constrains discretion.

### 5.6 The licensee's role with an appraisal

**May:** provide genuinely relevant information through the proper channel — sales the licensee believes relevant, information about condition and improvements, a copy of the contract.

**May not:** communicate a target. "The deal dies without another $25,000" is exactly what independence rules exist to prevent — including when the request comes from the licensee's own client.

**Where a licensee believes an appraisal reflects bias:** escalate to the broker and follow the reconsideration process available through the lender. **Do not confront the appraiser**, and do not advise the client that they have a claim — that is a legal conclusion.

## 5.7 Insurance

Discrimination in the provision of property insurance by area or by protected characteristic raises the same concerns as lending, and insurance availability is increasingly the practical constraint on transactions in mapped hazard areas.

A licensee's role is the familiar one: ensure the buyer investigates **early in the contingency period**, provide the same information and referrals to every consumer, and escalate anything that looks like a pattern rather than a pricing decision.

## 5.9 Appraisal bias, and why it reaches the licensee

Section 5.4 introduced fair lending. Appraisal is the part of it that a residential licensee is closest to, because the licensee is often the person who meets the appraiser at the property.

**§ 12955(i)(2)** puts appraisal inside the statute expressly. It is unlawful:

> *"For any person or other entity whose business includes **performing appraisals**, as defined in subdivision (b) of Section 11302 of the Business and Professions Code, **of residential real property to discriminate against any person in making available those services, or in the performance of those services**, because of race, color, religion, sex, gender, gender identity, gender expression, sexual orientation, familial status, source of income, disability, genetic information, veteran or military status, or national origin."*

**"Or in the performance of those services" is the operative phrase.** The prohibition is not only about refusing to appraise for someone; it reaches **how the appraisal is performed** — which comparables were selected, which neighbourhood boundaries were drawn, what adjustments were made.

**Why this is a mechanism rather than only a motive.** Assignment 14 of the Real Estate Practice course explains that comparable-sales analysis measures the accumulated effect of past exclusion accurately and thereby carries it forward. An appraiser selecting comparables "across the boulevard" rather than within a subject's own neighbourhood, or the reverse, is making a judgment about which market the property belongs to — **and where those boundaries were originally drawn by exclusion, an accurate measurement reproduces it.**

**What a licensee should and should not do at an appraisal.**

**Do provide factual information.** Recent comparable sales the appraiser may not have, a list of improvements with dates and permits, the property's own history. Providing data is proper and useful.

**Do not attempt to influence the conclusion.** Suggesting a value, mentioning what the deal needs, or characterising the neighbourhood is improper, and appraiser independence rules exist precisely to prevent it.

**Do not remove or add anything to the property to signal something about its occupants.** Advice of that kind — to depersonalise a home so the appraiser cannot tell who lives there — is sometimes given informally and is a symptom of the problem rather than a remedy for it. **A licensee who believes an appraisal was influenced by who lives in the house should escalate it, not manage around it.**

**Do know that a reconsideration process exists.** A borrower who believes an appraisal is inaccurate may request reconsideration through the lender, supported by specific comparable sales. **That is a factual process with a defined route**, and it is the answer to "the appraisal came in low" whatever the reason.

### 5.10 The documentation that answers a fair housing question

The recurring professional problem in fair housing is not knowing the rule. It is being able to show, months or years later, what was actually done.

**Four records, each cheap and each decisive.**

**Written selection criteria, applied uniformly.** For a rental: income standard, credit standard, references, occupancy. Written down before any applicant appears, applied to every applicant, with the evaluation recorded. **A criterion invented for one applicant is indefensible even if it is reasonable.**

**A property-showing log.** Which properties were shown, to whom, and on whose criteria they were selected. **The steering allegation is answered by a record showing the client's stated criteria and the properties matching them** — and it is unanswerable without one.

**Advertising copy and where it ran.** Every advertisement, retained, with its publication. § 12955(c) reaches notices, statements and advertisements indicating a preference, and the defence to an allegation is the copy itself.

**The written record of any instruction refused.** An owner who instructs a licensee to exclude a protected class has put the licensee inside § 12955(g) if the licensee complies. **The record of the refusal — the instruction, the refusal, the date, in writing to the broker — is what separates a licensee who declined from one who quietly went along.**

**And the framing that makes this a professional habit rather than defensive paperwork.** Every one of these four records also makes the work better: uniform criteria produce better tenants, a showing log produces better client service, retained copy produces better advertising. **They are not written for the complaint. They are the reason the complaint does not happen.**

### 5.11 Checkpoint

You should be able to name the fair lending statutes, explain why exclusion compounds, and state what a licensee does when an appraisal appears to reflect bias.

## 6. Complaints, documentation, and professional response

### 6.1 Structure beats effort

The central practical finding, and the reason this material belongs in a principles course rather than an ethics seminar:

> **Conscious effort to be fair does not reliably reduce the effects of bias. Structure does.**

Effort fails because it depends on noticing, and much of what produces unequal outcomes operates outside awareness. **Structure works because it removes the discretion in which bias operates.**

## 6.2 The practices that constrain discretion

| Practice | What it constrains |
|---|---|
| **Written criteria applied uniformly** | The decision itself, in screening and selection |
| **Uniform service scripts** | Differential treatment at first contact |
| **The consumer's criteria drive the search** | Whose judgment selects properties |
| **Objective sources for subjective questions** | The licensee substituting characterization for data |
| **Uniform showing and access protocols** | Selective supervision, and the judgments behind it |
| **Documented evaluations** | Makes the basis reviewable, which itself changes behavior |
| **Slowing decisions under time pressure** | Bias operates most strongly when fast |
| **Reviewing outcomes, not intentions** | Detects patterns no individual decision reveals |

## 6.3 Declining characterizations well

Licensees steer partly because declining is hard in the moment. Having language ready removes the difficulty. Each answer **declines the characterization, gives an honest reason, and leaves the consumer better equipped.**

> **"What kind of people live here?"** "I don't describe neighborhoods by who lives in them — that's not something I'm permitted to do, and honestly my impression wouldn't be worth much. Census data and the city's own information are public, and here's where to find them."

> **"Is this a safe area?"** "Safety isn't something I can characterize for you. Local law enforcement publishes incident data by area, and here's where. I'd also suggest visiting at different times of day."

> **"Which schools are good?"** "School quality is something to evaluate against your own priorities. The district publishes performance data — here's the link. I'd avoid ranking them, because what matters in a school varies a lot by family."

**What not to do instead:** refuse and change the subject, which leaves a real informational need to be answered somewhere less careful; answer "in general terms," since a general characterization is still a characterization; or **answer by showing rather than telling**, redirecting the search toward what you would have said.

## 6.4 The unlawful instruction

Write this out in advance, because it is the hardest thing in the lesson to do in the moment — the client is in front of you, the listing is at stake, and the instruction is usually delivered casually.

> "I can't do that, and I want to be straight with you about why. [Characteristic] is protected under California law, and screening or showing on that basis isn't something I'm able to do — it would put your listing and my license at risk. What I can do is [the lawful alternative addressing the underlying concern]. I'm also going to let my broker know we discussed this, because that's the process."

**Four components:** refuses plainly, explains without lecturing, offers a lawful alternative addressing the real concern, and escalates transparently.

**Three failures:** following it while documenting that it came from the client — documentation does not transfer responsibility for the act; complying informally by scheduling around those consumers — which achieves the same exclusion; and withdrawing quietly without explanation — which leaves the client free to repeat the instruction with the next licensee.

## 6.5 Responding to a complaint

When a consumer alleges discrimination, the first response frequently determines the trajectory:

1. **Acknowledge promptly.** Silence reads as evasion.
2. **Notify the broker immediately.**
3. **Preserve everything** — records, communications, drafts, texts, and the marketing as it ran.
4. **Respond factually**, without admitting or denying liability before the file has been reviewed.
5. **Do not offer a settlement or a fee reduction** on your own initiative.
6. **Report to the carrier** where the matter could become a claim.

**Why the wrong responses are wrong:** an immediate detailed defense commits a position before anyone reviewed the file; an apology accepting fault may be treated as an admission and can compromise coverage; a fee reduction commits the brokerage and rarely ends the matter; waiting for a formal demand hardens the matter and may make coverage notice late; and handling it quietly compounds the original problem with a supervision failure.

**Deleting a record that reflects poorly is far worse than the record.** It converts a defensible dispute about professional judgment into a question about integrity, and it is generally discoverable anyway.

## 6.6 Complaints that are not about you

A consumer who reports that another brokerage discriminated should be taken seriously:

- **Record what they report**, without characterizing it as established.
- **Inform them that enforcement agencies accept complaints**, and how.
- **Notify your broker.**

**What not to do:** investigate the other brokerage, tell the consumer such complaints rarely succeed, or take no action because the conduct was someone else's.

## 6.7 Outcome review

The practice most likely to detect a problem is also the least used: periodically look at **your own outcomes** rather than your intentions.

- Where are the properties you showed, mapped?
- How quickly did you respond to inquiries, grouped by source?
- Which applicants did you encourage, and which did you discourage?
- What does your marketing reach, and whom does it reach?

**Individual decisions rarely reveal anything. Patterns do** — and a licensee who reviews their own patterns finds problems while they are still correctable.

## 6.8 What the file must show

For a fair housing question, the record is the defense:

- The consumer's stated criteria, recorded at intake and updated.
- The search parameters used.
- Properties presented and shown, with dates.
- **Where a matching property was not shown, why.**
- Screening criteria and documented evaluations against them.
- Advertising as it ran, where, when, and with whose approval — **including the audience targeting.**
- Instructions declined, and the escalation.

**A list of properties shown, without the criteria that produced it, shows what happened without showing why.** The criteria are what make it defensible.

## 6.10 What happens when a complaint is filed, and what the licensee does

Section 6.4 described the complaint routes. Knowing the shape of a proceeding matters because the licensee's conduct in the first week after an allegation frequently determines the outcome.

**The routes, and they are not exclusive.**

| Route | Filed with | What it produces |
|---|---|---|
| **State civil rights agency** | California's civil rights department | Investigation, conciliation, and a determination; a right-to-sue |
| **Federal** | HUD, or a substantially equivalent state agency | Investigation and conciliation; referral for enforcement |
| **Court** | Directly, by the complainant | Damages, injunction, fees |
| **The Department of Real Estate** | Against the licence | Discipline under B&P §§ 10176 and 10177 |

**A single course of conduct can produce all four.** A licensee who assumes that resolving one disposes of the others has assumed something untrue, and the licence proceeding is frequently the last to arrive and the longest to resolve.

**What the licensee does in the first week.**

**Preserve everything, immediately.** Every record touching the transaction, including drafts, texts and voicemail. **The instinct to tidy is the single most damaging instinct available**, and a file that was altered after notice of a complaint is a different and far worse case.

**Notify the broker, in writing, the same day.** The broker has supervision obligations and errors-and-omissions coverage with notice requirements that can be forfeited by delay.

**Do not contact the complainant.** Not to explain, not to apologise, not to clarify. Every one of those is a communication that will be recounted.

**Do not draft a narrative from memory before reading the file.** Write from documents. A recollection contradicted by a dated record is worse than no recollection.

**Cooperate with the investigation through counsel.** An investigator's questions are proper and the answers matter; **the licensee who answers them alone, informally, and in a hurry is the one who creates the quotable sentence.**

## 6.11 Fair housing as a system rather than a rule

The examinable content of fair housing is a list of protected characteristics and prohibited acts. **The professional content is that neither is where failures happen.** Almost nobody in this business decides to discriminate. The failures come from discretion exercised in good faith and unevenly, and the remedy is structural.

**Four structures, each of which operates whether or not anyone is thinking about fair housing on a given day.**

**Written criteria, published and applied uniformly.** A standard written before the applicant appears cannot be adjusted to them.

**A uniform information script.** The same facts, in the same order, to every enquirer. **Steering is a difference in the information different consumers receive**, and a script removes the mechanism.

**Objective property selection.** Properties selected against the client's stated written criteria, with the criteria on file. Assignment 14 Section 6.9 explains why the showing log answers the allegation; the criteria are what the log is measured against.

**Outcome review.** Periodically, look at who was served and how — not to reach a conclusion, but because **a practice that has never looked at its outcomes has no idea what they are.**

**Why this belongs in a Principles course rather than only in Practice.** The Real Estate Practice course carries the SB 1495 components and the participatory practicum, and it goes further into implicit bias than this course does. **What a Principles student should leave with is the structural insight**: that a licensee's exposure under Government Code § 12955, the Unruh Civil Rights Act and B&P § 10177(l) does not depend on what they intended, and that the only reliable protection is a practice designed so that discretion has less room to operate.

**The closing thought, and it is the honest one.** A licensee who reads this assignment and concludes "I would never do that" has taken exactly the wrong lesson. **The licensees who generate fair housing complaints are, in the overwhelming majority, people who would say the same thing and mean it.** The question worth carrying is not whether you would discriminate. It is whether, if your practice were producing unequal outcomes, **you would have any way of knowing.**

## 6.12 Checkpoint

You should be able to produce the declining scripts, write the unlawful instruction response, state the complaint sequence, and describe what outcome review examines.

## Key terms

| Term | Definition |
|---|---|
| **The federal protected classes** | Race, color, religion, sex, national origin, familial status, disability. |
| **Civil Rights Act of 1866** | Prohibits racial discrimination in property transactions, **not subject to the later exemptions**, and applies to all property. |
| **Fair Housing Act** | Title VIII of the 1968 Act as amended, the principal federal housing discrimination statute. |
| **Americans with Disabilities Act** | Addresses public accommodations and commercial facilities — including a brokerage's own office. |
| **Familial status** | Households with children under 18, pregnant persons, and persons obtaining custody. Older-persons exemptions are **narrow and must actually apply**. |
| **FEHA** | California's principal housing discrimination statute, covering the federal characteristics and adding others. |
| **Unruh Civil Rights Act** | Prohibits discrimination by business establishments, reaching beyond housing. |
| **Source of income** | A California-protected characteristic. An instruction to refuse housing assistance is an unlawful instruction. |
| **"Not one of the federal seven"** | Not clearance. It is the reasoning that produces California violations. |
| **Steering** | Directing a person toward or away from areas, buildings, or units. **Defined by whose criteria drove the selection, not by intent.** |
| **Blockbusting** | Inducing sales or rentals by representations about the entry of a protected group into an area. |
| **Redlining** | Denying or varying financing or insurance terms by area. |
| **Discouragement** | Deterring an inquiry or application rather than denying it. Achieves a denial with **no record of one**. |
| **Assumed suitability** | Deciding on a consumer's behalf that a property will not work for them. Steering, committed with good intentions. |
| **Describe the property, not the people** | The rule that works because it never requires reference to any protected characteristic — and therefore survives a list that changes. |
| **Accessibility information** | Belongs in the copy. The rule governs who the property is **for**, not what it **has**. |
| **Audience targeting** | Part of the advertisement. Restricting who may see a housing advertisement denies access as effectively as the words, and a platform's tool does not shift responsibility. |
| **Equal housing statement** | Appropriate and expected. **Does not cure** discriminatory content. |

| Term | Definition |
|---|---|
| **Reasonable accommodation** | A change to a **rule, policy, practice, or service** because of a disability. |
| **Reasonable modification** | A change to the **physical premises**, generally at the requester's expense with reasonable conditions. |
| **Assistance animal** | Not a pet. No pet deposit or pet rent, no certification requirement — and the resident remains responsible for damage and behavior. |
| **Interactive process** | Engaging about workable alternatives. **Delay functions as denial.** |
| **Verification limits** | Enough to establish the disability and the disability-related need — **not** diagnosis, records, or nature and severity. |
| **Equal Credit Opportunity Act** | Prohibits credit discrimination and requires reasons for adverse action. |
| **HMDA / CRA** | Mortgage application data reporting supporting pattern detection; and depository obligations to community credit needs. |
| **Compounding** | Why exclusion outlasts the practice: housing wealth is inherited and becomes the next generation's down payment. |
| **Corrective steering** | Selecting properties on a protected basis with a corrective intent. **Still steering.** |
| **Appraiser independence** | Supply **information**, never a **target** — including at your own client's request. |
| **Structure beats effort** | Effort depends on noticing; structure removes the discretion in which bias operates. |
| **Outcome review** | Examining your own patterns — showings mapped, response times by source, who was encouraged, whom your marketing reached. |

## Practice problems

### Problem 1

A seller tells a licensee that his fourplex is "exempt from all that fair housing stuff" because he lives in one unit, and instructs the licensee not to rent to families with children or to anyone using a housing voucher. He adds that he would never discriminate on race, so there is no real issue.

**Assess every element.**

> **Solution. The exemption claim fails first, and for three reasons.** Federal exemptions are limited and **generally do not apply where a real estate licensee is involved** — that is the point of them: they cover an owner acting alone. The **1866 Act's prohibition on racial discrimination is not subject to them** at all. And **California's protections are broader**; a federal exemption does not create a state one.
>
> **"This one is exempt" is a reason to escalate, not a reason to proceed.**

**Excluding families with children is familial status discrimination**, federally and in California — and the older-persons exemptions are narrow and must actually be satisfied.

**Excluding voucher holders is source of income discrimination**, protected in California. So is a minimum income multiple applied to the full rent rather than the tenant's portion.

**And his framing is the error the whole lesson addresses.** Race is one of seven federal characteristics, and California protects far more. A licensee who reasons "it's not race, so it's fine" will engage in conduct that is unlawful.

### Problem 2

A licensee shows a buyer three homes in a different area than the two he asked about, tells him he'd "be more comfortable over here," follows up on some inquiries within an hour and others in two days, presents certain listings warmly and others flatly, and does not schedule a two-story listing for a buyer with a mobility impairment because the stairs "won't work for him."

**Classify each and state what makes them all the same violation.**

**Solution. All five are steering**, and **steering is defined by whose criteria drove the selection, not by the licensee's intent.**

**Redirection** — showing a different area than the one asked about. **Differential effort** — allocating access unequally by response time, a distinction that cannot be defended afterward in neutral terms. **Differential enthusiasm** — shaping the selection as effectively as declining to show it. **Assumed suitability** — the two-story home, and the one committed with the best intentions.

**On the last:** the consumer decides what works for them; the licensee provides accurate information about the property — here, that access is by stairs with no elevator. Deciding on his behalf and omitting the property is steering however kindly meant, and it is precisely why accessibility information belongs **in the copy** rather than being used to filter for him.

**The defense is the record:** the buyer's stated criteria, the search parameters used, properties presented with dates, and **the reason where a matching property was not shown.** A list of properties shown without the criteria that produced it shows what happened without showing why.

### Problem 3

Rewrite each and say what makes the rewrite better: (a) "family-friendly neighborhood"; (b) "not suitable for anyone with mobility issues"; (c) "mature adults only, no vouchers"; (d) "walking distance to St. Anne's parish." The seller insists on (a) and offers to sign a statement that it was his idea.

**Answer.**

**Solution.** (a) "Cul-de-sac location; park two blocks away." (b) "Second-floor unit; access by stairs, no elevator." (c) Omit both clauses; screen on uniform written criteria. (d) "Walking distance to the town center."

> **Every rewrite is more informative than the original.** (b) especially tells a buyer with a mobility concern exactly what they need to know **without deciding for them** whether the property will work — which is also the answer to the common overcorrection of omitting accessibility features entirely. The rule governs who the property is **for**, not what it **has**: describe the step-free entry, the roll-in shower, the elevator.
>
> **On (c):** "mature adults only" touches age and familial status and the older-persons exemptions are narrow; "no vouchers" is **source of income** discrimination in California.
>
> **The seller's offer is worthless and the licensee should say so plainly.** A client's instruction does not authorize the copy, **documenting that it came from him does not transfer responsibility**, and publishing a softened version conveying the same preference is the same violation in gentler words. Explain why it cannot run, offer the rewrite, and escalate if he insists.

### Problem 4

A licensee posts a listing with fully neutral copy and an equal housing logo, then boosts it with targeting set to homeowners aged 25–45 in three ZIP codes. Her marketing images consistently depict one group of people. She says the copy is clean so there is no exposure.

**Assess.**

> **Solution. The targeting is the serious problem, and it is easy to miss because it does not appear in the copy at all.**
>
> Platforms permit selection by age, location, inferred interests, and proxies for demographic characteristics. **Restricting who may see a housing advertisement can deny groups access to the housing opportunity — the exact harm advertising rules exist to prevent.** Age-based selection plus geographic proxies is that. **Neutral copy delivered selectively excludes as effectively as discriminatory wording**, and "the platform offered that option" is not an answer: using the tool does not shift responsibility from the advertiser.
>
> **The imagery is a second exposure.** Imagery communicates preference as effectively as words, and marketing that consistently depicts one group can signal who is welcome.
>
> **The logo cures nothing.** A discriminatory advertisement with a fair housing logo is still a discriminatory advertisement, and the same is true of a disclaimer stating that all are welcome.
>
> **Targeting choices must be examined with the same care as the words** — and the archive must record the audience, not only the creative.

### Problem 5

A tenant with a disability asks the property manager to waive the no-pet policy for her assistance animal and to install grab bars in her bathroom at her own cost. The manager replies that the building does not allow pets, that certification would be required in any event, that a $500 pet deposit would apply, that the grab bars are an unauthorized alteration under the lease, and asks for her medical records. Three weeks later he has not decided.

**Classify each request and identify every error.**

> **Solution. The animal is a reasonable accommodation** — a change to a rule or policy. **The grab bars are a reasonable modification** — a change to the physical premises, generally at the requester's expense, subject to reasonable conditions such as workmanlike performance and permits.
>
> **Six errors.** He **evaluated the accommodation under the ordinary pet policy** — the classic mistake, producing a denial that never engaged the actual standard. An **assistance animal is not a pet**, so a no-pet policy does not by itself justify refusal. **Certification may not be required.** A **pet deposit or pet rent may not be charged**, because it imposes a condition on a protected group others do not bear. **Treating the modification as an unauthorized alteration** applies the lease framework to a fair housing question. **Medical records may not be sought** — a provider may seek enough to establish the disability and the disability-related need, **not** a diagnosis, records, or the nature or severity of the condition.
>
> **And the delay is a seventh.** Reasonableness is a genuine analysis that **can produce a denial** — but the **interactive process** requires engaging about alternatives where a request as made is not workable, and **delay functions as denial.** The absence of a decision is not a defense.
>
> What remains true: the resident is responsible for damage the animal causes and for its behavior.

## Problem 6

A buyer's agent tells his client that a particular lender "probably wouldn't approve someone in your situation" and steers him elsewhere without an application. Separately, the agent notices that a lender's marketing appears to reach some neighborhoods and not others, and that an appraisal on a home in a historically underinvested area came in far below his supported range.

**Address each.**

> **Solution. The first is discouragement**, and it is the form that produces a denial with **no record of one** — which is exactly why it is hard to detect and dangerous. **"They probably wouldn't qualify" is not an assessment a licensee is entitled to make**, and acting on it steers the consumer away from credit. What a licensee may do is explain in general terms how program types work, explain what a preapproval is, recommend speaking with more than one lender, and **provide the same information and referrals to every consumer.**
>
> **The marketing pattern is a modern redlining question.** Denying or varying financing or insurance terms by area is prohibited, and modern forms include marketing reach, service distribution, and **algorithmic decision-making that reproduces historical patterns without anyone intending it.** Escalate to the broker rather than concluding.
>
> **On the appraisal:** escalate to the broker and **follow the reconsideration process available through the lender.** Do **not** confront the appraiser, and do **not** advise the client they have a claim — a legal conclusion. And whatever the licensee sends must be **information** — relevant sales, condition, the contract — **never a target.**

## Problem 7

An owner tells a licensee, while signing the listing, that he does not want the property shown to a particular category of buyer. The listing is worth several months of income.

**Write the response and name what each part accomplishes. Then identify three ways licensees fail here.**

**Solution.** *"I can't do that, and I want to be straight with you about why. That's protected under California law, and screening or showing on that basis isn't something I'm able to do — it would put your listing and my license at risk. What I can do is apply the same written criteria and the same showing protocol to everyone, which is what actually protects you if a decision is ever questioned. I'm also going to let my broker know we discussed this, because that's the process."*

**Four components:** it **refuses plainly**, **explains without lecturing**, **offers a lawful alternative addressing the underlying concern**, and **escalates transparently** rather than behind the client's back.

**Three failures.** Following it while documenting that it came from the client — **documentation does not transfer responsibility for the act.** Complying informally by scheduling around those buyers — which achieves the same exclusion. And withdrawing quietly without explanation — which leaves the client free to repeat the instruction with the next licensee.

**Why this is written in advance:** it is the hardest thing in the lesson to do in the moment. The client is in front of you, the listing is at stake, and the instruction is delivered casually — exactly the conditions under which people improvise something softer and comply informally.

**And the obligation runs to people he will never meet.** A licensee who accepts an instruction limiting who sees a property has violated it as to buyers he never met.

### Problem 8

A consumer emails alleging she was discouraged from applying for a rental. The licensee sends a detailed defense within the hour, apologizes for "how it came across," offers to waive the application fee, deletes a text thread with the owner that reads badly, and decides to tell his broker only if it escalates. He also mentions that another brokerage did something similar to a client last month but that "those complaints never go anywhere."

**State the correct sequence and address the other-brokerage report.**

**Solution. Five errors, and the deletion is categorically the worst.**

**The immediate defense** commits a position before anyone reviewed the file. **The apology** may be treated as an admission and can compromise coverage. **The fee waiver** commits the brokerage and rarely ends the matter. **Waiting to tell the broker** compounds the original problem with a supervision failure. And **deleting the thread converts a defensible dispute about professional judgment into a question about integrity** — and it is generally discoverable anyway.

**The correct sequence:** acknowledge promptly, because silence reads as evasion; notify the broker immediately; **preserve everything** including drafts, texts, and the marketing as it ran with its targeting; respond factually without admitting or denying liability before the file is reviewed; offer no settlement on your own initiative; and report to the carrier where the matter could become a claim.

**On the other brokerage: record what the consumer reported** without characterizing it as established, **inform her that enforcement agencies accept complaints** and how, and **notify the broker.** What he must not do is investigate the other brokerage, **tell her such complaints rarely succeed**, or take no action because the conduct was someone else's.

> **And note the separate exposure:** discriminatory conduct is grounds for action against a license independent of any civil outcome. "The case settled" does not close the matter.

## Chapter summary

**Seven federal protected classes, four statutes to know by name** — and the 1866 Act's racial prohibition is not subject to the exemptions.

**Exemptions generally do not apply where a licensee is involved.** "This one is exempt" is a reason to escalate.

**California protects the federal classes and adds many others**, including source of income, and the list keeps growing — which is why the practice cannot be memorization.

**Describe the property; do not describe the people who should live in it.** Property-focused copy never requires reference to any protected characteristic, so it survives a changing list — and "it's not one of the federal seven" is not clearance.

**The prohibited practices include the subtle forms**, and redirection, curated balance, characterization, differential enthusiasm and effort, assumed suitability, and discouragement are the ones committed with good intentions. **Steering is defined by whose criteria drove the selection.**

**Accessibility information belongs in the copy**, because the rule governs who the property is for, not what it has.

**Targeting is part of the advertisement**, imagery communicates preference, an equal housing statement cures nothing, and a client's instruction authorizes nothing.

**Accommodations change rules; modifications change premises.** Evaluating an accommodation under the ordinary policy is the classic error. Assistance animals are not pets, certification may not be required, no pet charge may be imposed, verification may not seek diagnosis or records, and **delay functions as denial.**

**Fair lending reaches credit, insurance, marketing reach, and algorithmic decisions**, and exclusion **compounds** because housing wealth is inherited — which does not license corrective steering.

**Supply an appraiser information, never a target**, and escalate a suspected biased appraisal through the broker and the lender's reconsideration process.

**Structure beats effort.** Written criteria, uniform scripts, consumer-driven search, objective sources, uniform protocols, documented evaluations, slowing under pressure, and **outcome review** — because patterns reveal what individual decisions never do.

**Have the declining scripts and the unlawful-instruction response written in advance.**

**On a complaint: acknowledge, notify the broker, preserve everything, respond factually, commit nothing, notify the carrier** — and never delete an unfavorable record.

**The record is the defense**, and the criteria are what make a list of showings defensible.

## Required applied assignment

Prepare a one-page file memorandum for the applied scenario presented with this assignment. Identify every protected characteristic implicated and under which framework, classify each instruction or practice as permissible or prohibited and name the form it takes, rewrite any advertising copy that sorts people and state what the rewrite adds, classify any disability-related request as an accommodation or a modification and state the standard and what may be asked in verification, draft in your own words the response you would give to any unlawful instruction, state what you would escalate and to whom, and list what the file must contain for the decisions to be defensible. The instructor version contains the scoring rubric.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

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## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

## Applied exercise — 100% required to complete the assignment

**1.** A landlord tells a licensee: 'I won't rent to anyone on housing assistance, I don't want anyone with a service animal because of my no-pet rule, and I prefer a quiet single person over a family with kids.' The licensee's own view is that the landlord is entitled to choose his tenants. How should the licensee proceed?

**A. Explain that each of the three criteria raises a fair housing problem — source of income and familial status are protected in California, and a service animal is not a pet — refuse to apply them, and escalate to the broker to decide whether the brokerage can act for this owner at all.**

B. Apply only the quiet-tenant preference, since noise is a legitimate property concern unrelated to protected characteristics.

C. Follow the landlord's instructions and document that they came from the owner rather than the licensee.

D. Decline the engagement quietly without explaining the fair housing problem to the landlord.

**Answer: A.** All three criteria are problems, and California's protections are broader than the federal baseline. Recasting a familial-status preference as a noise concern does not launder it, documenting an unlawful instruction does not permit carrying it out, and declining without explanation leaves the landlord to repeat the instruction with the next licensee.

## Engagement check — 5 items, 80% required

**1.** Which classes are protected under the federal Fair Housing Act?

**A. Race, color, religion, sex, national origin, familial status, and disability.**

B. Race, color, religion, national origin, age, and marital status.

C. Race, religion, sex, disability, source of income, and sexual orientation.

D. Race, color, creed, occupation, familial status, and citizenship.

**Answer: A.** Those seven are the federal protected classes. Several of the other listed characteristics are protected under California law but are not part of the federal list.

**2.** How does California fair housing law relate to the federal Fair Housing Act?

**A. California protects the federal classes and adds further protected characteristics, so compliance with the federal minimum is not sufficient in California.**

B. California adopts the federal classes exactly, so the two are identical in scope.

C. California law replaces federal law within the state, so only the state list applies.

D. California law applies only to properties with more than four units, with federal law covering the rest.

**Answer: A.** California's protections are broader, which is why a licensee who knows only the federal list will violate California law. State law adds to rather than replacing the federal floor.

**3.** What is 'blockbusting', and must a property actually change hands for it to occur?

**A. Inducing owners to sell or rent by representations about the entry into the neighborhood of persons of a protected characteristic.**

B. Refusing to make loans in particular neighborhoods based on their composition.

C. Directing prospective buyers toward or away from areas based on protected characteristics.

D. Refusing to show a property to a member of a protected class.

**Answer: A.** Blockbusting exploits fear about neighborhood change to generate transactions. The other three describe redlining, steering, and outright refusal to deal.

**4.** What is the difference between a reasonable accommodation and a reasonable modification?

**A. An accommodation is a change in rules, policies, or services; a modification is a physical change to the premises.**

B. An accommodation is requested by a tenant while a modification is offered by a landlord.

C. An accommodation applies to common areas while a modification applies to individual units.

D. An accommodation is temporary while a modification is permanent.

**Answer: A.** Rules versus physical structure is the distinction. Both are requested by the person with the disability and both can apply to units or common areas.

**5.** Why is bias in property valuation a fair housing concern rather than only a professional-standards concern?

**A. Because a valuation influenced by the characteristics of an owner or neighborhood can deny equal access to credit and to the accumulation of housing wealth.**

B. Because appraisers are licensed by the same agency that enforces fair housing law.

C. Because valuations are public documents subject to civil rights review.

D. Because appraisal bias affects only properties in areas covered by fair lending laws.

**Answer: A.** The harm is unequal access to credit and to wealth-building, which is a civil rights injury rather than a technical error. Licensing arrangements and document status are not what make it one.

## Remediation set — served only after a failed engagement check

**1.** A lender declines applications from a particular neighborhood at a markedly higher rate than comparable applications elsewhere, without a documented underwriting basis. What is this pattern called?

**A. Redlining, which denies credit access based on the location and composition of an area rather than on individual creditworthiness.**

B. Steering, which directs applicants toward particular neighborhoods.

C. Blockbusting, which induces sales through fear of neighborhood change.

D. Disparate treatment, which requires proof of an explicit discriminatory statement.

**Answer: A.** Geographic denial of credit is redlining. The last option also misstates the law: discrimination can be shown without an explicit statement.

**2.** A tenant with a disability requests permission to keep an assistance animal in a building with a no-pet policy. How is the request analyzed?

**A. As a reasonable accommodation, because an assistance animal is not a pet for fair housing purposes and the policy may need to be adjusted.**

B. Under the pet policy, with a pet deposit charged consistently with other animals.

C. As a lease violation that may be excused at the landlord's discretion.

D. As permissible only if the animal has been professionally certified as a service animal.

**Answer: A.** An assistance animal is evaluated under the accommodation framework, not the pet policy, which is why charging a pet deposit is itself a problem. Reliance on a certification requirement is a common error.

**3.** A licensee shows every available property to every buyer but describes some neighborhoods as 'better for people like you.' Has she avoided steering?

**A. No — characterizing neighborhoods by who belongs in them influences the buyer's choices, which is steering regardless of how many properties were shown.**

B. Yes, because the buyer was given access to the full inventory.

C. Yes, provided the characterization was accurate.

D. No, but only if the buyer actually changed his search as a result.

**Answer: A.** Steering operates through influence as well as access, so showing everything does not cure it, and accuracy is not a defense. The violation does not depend on proving the buyer changed course.

**4.** An owner directs that a property be advertised as available to 'mature adults only.' What should the licensee do?

**A. Refuse to publish it, explain that the wording expresses a preference based on protected characteristics, and note that senior-housing exemptions are narrow and must actually apply.**

B. Publish it, since age-restricted communities are lawful in California.

C. Publish it with a disclaimer that all applicants are welcome.

D. Publish a revised version reading 'ideal for empty nesters.'

**Answer: A.** Lawful senior housing depends on specific qualifying criteria that must actually be met, not on the owner's preference. A disclaimer does not cure discriminatory wording, and a softened phrasing conveys the same preference.

**5.** A consumer tells a licensee she believes she was discriminated against by another brokerage. What is the appropriate response?

**A. Take the account seriously, document what she reports without characterizing it as established, inform her that enforcement agencies accept complaints, and notify the broker.**

B. Investigate the other brokerage's conduct and report the findings to the consumer.

C. Advise her that such complaints are difficult to prove and rarely succeed.

D. Take no action, since the conduct involved a different brokerage.

**Answer: A.** The licensee's role is to record, inform, and escalate — not to investigate another firm, discourage the complaint, or disengage because the conduct was someone else's.

# Real Estate Principles - Lesson Assignment 15

## Leasing, property management, license law, and integrated transaction

**Course version:** 1.0 submission draft **Assignment time:** 180 instructional minutes **Regulatory status:** Not approved; no California credit is available.

## Learning objectives

- Identify the elements of a lease and the tenant's and landlord's principal rights and obligations.
- Explain what a management agreement must establish and why unsigned authority is a structural defect.
- Apply the trust fund rules and explain why an internal ledger does not cure commingling.
- Describe California licensing, the conduct that produces discipline, and the recovery account.
- Apply the material fact standard across the transaction and identify where disclosure obligations arise.
- Audit an integrated California transaction, rank its defects, and distinguish a documented gap from a falsified record.

## Timed sequence

| Activity | Minutes | Evidence |
|---|---|---|
| Guided reading: leases and management agreements | 55 | Sections 1-2 viewed and notes saved |
| Guided reading: trust funds and California license law | 50 | Sections 3-4 viewed |
| Guided reading: material fact disclosure and the integrated audit | 45 | Sections 5-6 viewed |
| Applied scenario and decision memorandum | 20 | Written response submitted |
| Lesson assessment | 10 | Five scored items submitted |
| **Total** | **180** | **One of 15 separate lesson assignments** |

## 1. Lease formation and tenant interests

### 1.1 What a lease conveys

A lease conveys a **leasehold estate** — possession for a period — while the owner retains the **reversion.** Lesson 03 classified the four leasehold estates by how each terminates; this section addresses the agreement that creates one.

**The parties:** the **lessor** (landlord) conveys possession; the **lessee** (tenant) receives it.

## 1.2 The elements

A lease should identify the parties, describe the premises, state the term, state the rent and when it is payable, and reflect the parties' agreement on the operative terms.

**Writing.** Under the Statute of Frauds, **a lease exceeding one year must generally be in writing.** A shorter lease may be enforceable orally — and the professional practice is to write every lease, because the boundary is not obvious in the moment and because an oral lease proves nothing about its terms.

## 1.3 The operative terms

| Term | What it governs |
|---|---|
| **Term and renewal** | Duration, and whether and how it extends |
| **Rent** | Amount, due date, place and method, late charges |
| **Security deposit** | Amount, purpose, and the accounting on termination |
| **Use** | What the premises may be used for |
| **Maintenance and repair** | Which party is responsible for what |
| **Utilities** | Who pays |
| **Entry** | The landlord's right, purpose, notice, and timing |
| **Alterations** | What the tenant may change, and restoration |
| **Assignment and subletting** | Whether permitted, and on what conditions |
| **Default and remedies** | What happens on breach |
| **Subordination and attornment** | The lease's position relative to financing, and to a successor owner |

## 1.4 Assignment and subletting

Students merge these, and the difference has consequences.

| | Assignment | Sublease |
|---|---|---|
| What transfers | The **entire remaining interest** | **Less than the entire** remaining interest |
| Relationship created | The assignee deals with the landlord | The subtenant deals with the original tenant |
| Original tenant's liability | **Generally remains liable** unless released | Remains liable in full |

**In both cases the original tenant generally remains liable**, which is the point tenants miss. A tenant who "assigned the lease and walked away" has usually not walked away from anything.

### 1.5 Habitability

A residential landlord must maintain the property in a habitable condition. The obligation covers the elements making a dwelling fit to live in — weather protection, plumbing, hot and cold water, heating, electrical, sanitary facilities, and structural integrity, among others.

Two features shape the response:

1. **It is not waivable by agreement.** A lease clause purporting to relieve the landlord does not.
2. **It runs continuously**, not only at move-in.

Where the obligation goes unmet, a tenant may have remedies. **The exposure grows with delay, and a documented prompt response is the defense.**

### 1.6 Quiet enjoyment and entry

The tenant holds a **possessory right**, and entry requires:

1. **A permitted purpose** — necessary repairs, agreed services, showing the unit, permitted inspection, or emergency.
2. **Proper notice**, in the manner and within the time the law requires.
3. **A reasonable time** of day.
4. **Documentation** that notice was given.

**What does not substitute for notice:** the tenant being home, the owner's authorization, the manager holding a key, or the convenience of a contractor's schedule.

### 1.7 Termination and self-help

Termination and enforcement procedures are formal and unforgiving. **A good reason delivered by a defective notice fails**, and the landlord starts over, having lost weeks and improved the tenant's position.

The elements that must be right: the **type** of notice, its **content**, the **period** it gives, **who is named**, how it is **served**, and the **proof of service**. Impeccable documentation of the tenant's conduct does not cure a defect in any of them.

> **Self-help is prohibited.** Changing locks, removing doors, shutting off utilities, or removing belongings to force a tenant out is unlawful, with **no exception** for a tenant who is badly behaved, not paying, or apparently gone — and where a unit appears abandoned there is a legal process for that too.

**Retaliation** is separately prohibited. Enforcement action close in time to a tenant's complaint or assertion of a right can look retaliatory, and the protection is a **documented, independent basis** predating or unconnected to the protected activity — which is another reason the maintenance log matters.

### 1.8 A lease survives a sale

The buyer of a leased property takes **subject to the lease on its terms.** "The tenants will be out by closing" is a representation to verify against the leases, not to accept — along with the deposits held and their amounts, notices already given, and any written agreement to vacate.

## 1.10 The four leasehold estates, and which one a tenancy actually is

Section 1.2 introduced the lease. Classifying the tenancy correctly is the step that determines notice, termination and the parties' expectations, and it is done wrongly often enough to be worth setting out plainly.

| Estate | How it is created | How it ends | Notice |
|---|---|---|---|
| **Estate for years** | A lease with a fixed term and a definite ending date | **Automatically, on the stated date** | None required by the term itself |
| **Periodic tenancy** | A tenancy from period to period — month to month, week to week | On notice by either party | Statutory notice, by period and circumstance |
| **Estate at will** | Possession with the owner's consent, no fixed term, no rent reserved as a period | On notice or by act of either party | Statutory notice |
| **Estate at sufferance** | A tenant who **holds over** after a lawful tenancy ends | On the landlord's action | The tenant is not a trespasser but has no estate |

**The name misleads on the first one.** An "estate for years" need not be for years. A six-month lease and a ninety-nine-year ground lease are both estates for years, because what defines the class is a **definite ending date**, not a duration.

**And the automatic termination is the practical point.** An estate for years ends on its stated date without anyone giving notice. A landlord who believes they must serve notice to end a fixed-term lease is mistaken; a landlord who accepts rent after the date has usually created something else.

**The holdover tenant is the one that generates litigation.** A tenant remaining after a fixed term has expired holds an estate at sufferance: they entered lawfully, so they are not a trespasser, and they have no continuing estate. **What happens next depends on the landlord's conduct**, and accepting a rent payment is conduct — it commonly converts the sufferance into a periodic tenancy on the old terms.

**None of the notice periods appears in this course.** Residential notice requirements in California vary with the length of occupancy, the reason for termination, the type of property, and local ordinance, and they have changed repeatedly. **This course does not read those statutes in their own text**, and any figure a licensee needs comes from the current statute or from counsel — never from a memory of a table.

## 1.11 Assignment, sublease, and the difference that decides liability

Two words clients use interchangeably describe arrangements with different consequences.

**An assignment transfers the tenant's entire remaining interest** to the assignee. The assignee steps into the tenancy for its whole remaining term.

**A sublease transfers less than the whole** — some of the term, or some of the space — and the original tenant retains a reversion.

| | Assignment | Sublease |
|---|---|---|
| What transfers | The entire remaining interest | Less than the whole |
| Original tenant's position | Out of possession, **generally still liable to the landlord on the lease** | Remains the tenant; becomes a sublandlord |
| Who the landlord looks to | Original tenant, and the assignee | **The original tenant** |
| Who the subtenant pays | — | The original tenant |

**The point that surprises tenants:** in both cases the **original tenant generally remains liable to the landlord** unless the landlord expressly releases them. A tenant who assigns a lease and moves to another state has not escaped the obligation; they have added someone to it.

**Most leases require the landlord's consent to either**, and the consent clause is the term to read: whether consent may be withheld at all, and if so on what basis.

**A worked situation.**

> A tenant on a three-year commercial lease at $6,800 a month, with 20 months remaining, arranges for another business to take the space. The landlord signs a one-page "Consent to Assignment." Eight months later the new occupant stops paying. The landlord demands the arrears from the original tenant.

**The original tenant's position depends on one document and one word in it.** If the consent released the original tenant, they are out. If it consented to the assignment without releasing them — which a one-page consent very often does — **they remain liable for the remaining term.**

**What the licensee should have done** is not to advise on the release; that is counsel's. It is to have said, at the time, in writing: *"Consent to an assignment is not the same as a release from liability. Ask your attorney whether this document releases you."* **One sentence, at the moment the document appeared, and the tenant's decision is theirs with the question visible.**

### 1.12 Checkpoint

You should be able to distinguish assignment from subletting, state the entry requirements, and explain why a defective notice defeats a good reason.

## 2. Property management agreements

### 2.1 Management is licensed activity

Managing real property for another for compensation is licensed activity. It is performed **for and under the employing broker**, the funds handled are **trust funds**, and the records are **the brokerage's records.**

Management also differs from sales in a way that shapes the risk: **it is continuous.** A sale ends. A tenancy runs for years, generating funds monthly, decisions weekly, and exposure continuously. **A defect in a sales file is one transaction; a defect in a management practice repeats every month across every unit.**

## 2.2 What the agreement establishes

| Term | What it governs |
|---|---|
| **Parties** | The owner and the **brokerage** |
| **Property** | Exactly which units are managed |
| **Term and termination** | Duration, notice to terminate, what happens on termination |
| **Scope of authority** | What the manager may do without asking, and what requires owner approval |
| **Spending authority** | The approval threshold, and emergency authority |
| **Compensation** | Management, leasing, renewal, and any other fees |
| **Trust funds** | Where funds are held and how they are accounted for |
| **Reporting** | What the owner receives and how often |
| **Owner obligations** | Funding reserves, maintaining insurance, providing disclosures |
| **Insurance and indemnity** | Coverage each party maintains |
| **Fair housing** | The parties' obligations, and the manager's authority to refuse unlawful instructions |

## 2.3 Unsigned authority is a structural defect

A manager acting without a signed agreement is acting **without established authority.** That is not a paperwork gap:

- The scope of authority is undefined, so every decision is arguable.
- The compensation is unenforceable.
- The handling of funds is not authorized in writing.
- The owner can dispute any action taken.

**An audit finding two owners with no signed agreement has found a defect of the same order as commingling**, not a filing oversight.

## 2.4 Spending authority and emergencies

The most practically important term is the approval threshold, paired with **emergency authority.**

Emergencies do not wait for approval. A burst pipe, a failed heater in cold weather, a security failure — these require action, and the agreement should say so, define what counts, and require prompt notice afterward.

**A manager without written emergency authority faces a genuine dilemma:** act and be second-guessed, or wait while damage compounds and a habitability obligation runs. **Settling it in the agreement removes the dilemma.**

## 2.5 Tenant selection

The defensible practice, and the only one that survives review:

1. **Written criteria**, established before applications are taken.
2. **Objective standards** — income relative to rent, credit history, rental history, verifiable identity, lawful occupancy standards.
3. **Applied identically to every applicant.**
4. **Documented** — how each application was evaluated against each criterion.
5. **Disclosed** to applicants before they apply, along with any application fee.

**Uniformity is not merely fair; it is what makes a decision explainable afterward in neutral terms.**

The failures from Lesson 14 apply in full: impression-based selection, compatibility judgments, referral preference, differential strictness, and **discouragement** — telling an applicant they probably would not qualify instead of taking the application, which produces a denial with no record of one.

## 2.6 Maintenance triage

Not every request is equal, and a manager who treats them uniformly responds too slowly to the ones that matter.

| Category | Examples | Response |
|---|---|---|
| **Emergency** | No water, no heat in cold weather, sewage backup, gas odor, electrical hazard, security failure, flooding | Immediate; emergency authority applies |
| **Habitability** | Failed plumbing, non-functioning heat, pest infestation, mold, roof leak | Prompt, documented |
| **Ordinary** | Appliance malfunction, cosmetic damage, minor fixtures | Scheduled within a reasonable period |
| **Cosmetic or improvement** | Repainting by preference, upgrades | Owner decision |

**A loss of water is not routine maintenance.** Requiring a written request or routing through the owner may be part of the process; **neither justifies delaying the response.**

## 2.7 Owner reporting

The manager holds and handles the owner's money. **Reporting is how the accounting duty is discharged**, which is why it must be **regular and itemized** rather than summary. An accounting that cannot be verified is not an accounting, and owner preference for less detail does not change the obligation.

Monthly: rent collected by unit with dates; delinquencies and status; itemized disbursements with supporting documentation; fees charged; reserve balance and trust funds held; **security deposits held by tenant**; maintenance requests and responses; and vacancy and leasing activity. Annually: a summary and tax reporting information.

> **An owner unreported to for four months is not an administrative lapse.** The owner has been unable to verify the handling of their own funds for a third of a year, the trust records have gone that long without external scrutiny, and if there is an error nobody has been positioned to find it.

### 2.8 Checkpoint

You should be able to state what a management agreement must establish, explain why unsigned authority is structural, and triage a set of maintenance requests.

## 3. Trust funds and records

### 3.1 What a trust fund is

**Money received in the course of licensed activity that belongs to someone else is a trust fund.**

In practice that includes: purchase deposits, rents collected for owners, security deposits, owner-provided reserves, and application fees held pending processing.

### 3.2 The three obligations

1. **Separation.** Trust funds go into a trust account or neutral depository, kept **separate from the brokerage's own funds.**
2. **Records.** A complete accounting of every receipt and disbursement, **identifying whose funds they are.**
3. **Timeliness.** Funds are placed as required, without being held personally in the interim.

**A deposit check held in a desk drawer over a weekend is a trust fund handling problem**, whatever the intention — and the requirement runs to the broker.

### 3.3 Commingling and conversion

**Commingling** is mixing trust funds with the brokerage's own funds — including depositing them into the wrong account.

**Conversion** is using trust funds for a purpose other than the one for which they are held. It is the more serious offense and is treated as such.

> **Commingling is complete when the funds are deposited in the wrong account, regardless of how carefully the total is tracked and regardless of whether anyone loses money.**

### 3.4 Why an internal ledger does not cure commingling

The most common defense a licensee offers is that funds in the operating account are tracked separately in the accounting system. It does not work, for a structural reason worth teaching:

> **Funds in a brokerage operating account are exposed to the brokerage's creditors, to its operating losses, and to ordinary business risk. A ledger entry does not protect the money. Separation is what protects it, and the record is what proves the separation was maintained.**

### 3.5 Shortages and overages

| Finding | What it means | Correct response |
|---|---|---|
| **Shortage** | Someone else's money is missing | Cure **immediately** from the broker's own funds; document the cause; reconcile |
| **Overage** | The records do not accurately reflect whose funds are held | Investigate and document the source; **the broker may not simply keep it** |

**Neither is a rounding matter.** There is no tolerance threshold, and neither may be deferred to the next reconciliation.

> A manager discovers he deposited a tenant's rent into the operating account by mistake. The correct response is to correct it immediately, **document the error and the correction**, and notify the broker so the trust records reconcile and the cause is addressed. Correcting it quietly without a record is its own problem: **trust accounting is judged by the record as much as by the balance.**

### 3.6 Reconciliation

The trust account is reconciled on a regular cycle, comparing **three** balances: the bank balance, the book balance, and **the total of the individual beneficiary ledgers.** All three must agree.

> **A reconciliation that balances bank against book but never against the beneficiary ledgers will not detect the error that matters most** — money in the account belonging to a different beneficiary than the records say. The total is right the whole time, which is exactly why it goes unnoticed.

### 3.7 Security deposits

Deposits are the tenant's funds held for defined purposes, and California regulates their handling and their return.

- **Hold them as trust funds**, separate from the brokerage's funds.
- **Document condition at move-in**, thoroughly, with dated photographs. **A deposit dispute is decided on the difference between move-in and move-out condition, and a manager without move-in documentation has no case.**
- **Distinguish damage from ordinary wear and tear.** Wear and tear is not deductible.
- **Account in writing** on termination, itemizing deductions with supporting documentation, within the required time.
- **Return the balance** within the required period.

**Deposit accounting is the single most common source of tenant complaints**, and nearly all of it is prevented by move-in documentation and an itemized written accounting.

### 3.8 Records generally

Transaction and management records belong to the **brokerage**, and the responsible broker answers for them whoever created them. They are retained for the required period, and **cancelled and failed transactions are retained too** — disproportionately the ones that later produce disputes.

**A licensee leaving a brokerage may not unilaterally take files**, redacted or not. What may be taken is governed by brokerage policy and by client direction, and that question should be settled in writing in the office policy long before anyone departs.

### 3.9 Checkpoint

You should be able to explain why a ledger does not cure commingling, name the three balances a reconciliation must agree, and state what wins a deposit dispute.

## 4. California licensing and discipline

### 4.1 The license structure

A **broker** may conduct licensed activity independently and may employ salespersons. A **salesperson** may conduct licensed activity **only for and under a responsible broker.**

**The brokerage is the party** to listings, representation agreements, leases, and management agreements. The salesperson performs the work.

What follows, restated because it recurs in every audit: cancellation of a listing is a broker-level decision; the file belongs to the brokerage; a second salesperson on the other side does not cure dual agency; **and a salesperson may not contract in her own name for licensed activity** — a common and serious property management finding.

### 4.2 Supervision

The responsible broker must exercise **reasonable supervision**, discharged by a system:

1. **Written policies.**
2. **File review**, close enough in time to catch problems before they mature.
3. **Advertising review** before publication.
4. **Trust fund controls**, including reconciliation.
5. **Training**, particularly for new licensees.
6. **An escalation path** a salesperson can actually use.

**A policy nobody follows is not supervision**, and it is not a defense for anyone. **Independent contractor status does not reduce it** — that characterization addresses the tax and compensation relationship and answers a different question.

### 4.3 Unlicensed activity

Licensed activity is defined by **what is done and whether compensation is expected**, not by a job title. Unlicensed assistants may perform administrative work; they may not solicit, negotiate, show property, discuss terms, or be compensated for referrals.

A licensee may accept compensation for licensed activity **only from their responsible broker**, and may not act for more than one responsible broker at a time.

## 4.4 What produces discipline

| Category | Typical conduct |
|---|---|
| **Misrepresentation** | Stating as fact something unverified or untrue, or concealing a material fact |
| **Trust fund violations** | Commingling, conversion, shortages, inadequate records |
| **Failure to supervise** | A broker who did not review files, enforce policy, or notice a pattern |
| **Unlicensed activity** | Performing licensed acts, or compensating an unlicensed person for them |
| **Discrimination** | Conduct violating fair housing obligations |
| **Secret profit or undisclosed conflict** | Taking a benefit the principal did not know about |
| **Dishonest dealing** | Conduct demonstrating unfitness, including outside a transaction |
| **Falsification** | Backdating, altering, or creating records |

**Most of these do not require anyone to have set out to defraud.** Careless misrepresentation and inadequate trust fund records are the ordinary cases.

## 4.5 The disciplinary process, in outline

Investigation, an accusation, an opportunity for hearing, and a decision that may **revoke, suspend, restrict, or condition** a license, or impose other discipline. Related conduct may also carry civil and criminal exposure.

**A licensee contacted by the Department should notify the broker immediately, preserve records, and not respond independently or informally.** Cooperation is expected; **improvised** cooperation without review is where licensees make statements they cannot support.

## 4.6 The Real Estate Recovery Account

Funded by license fees, the account may pay a consumer who obtains a **judgment against a licensee for fraud, misrepresentation, deceit, or conversion of trust funds** where the judgment cannot be collected from the licensee.

Two features: it is a **last resort**, available after the consumer has pursued the licensee; and **payment from it affects the licensee's license until the account is reimbursed.**

## 4.7 Errors and omissions coverage

E&O responds to claims from professional services **within its terms and limits**, and is commonly conditioned on **prompt notice of a potential claim.**

Three consequences: **late reporting can forfeit coverage**; it does not transfer responsibility for the underlying conduct; and **intentional acts are generally excluded** — coverage protects against mistakes, not against decisions to deceive.

### 4.8 What to report to the broker, promptly

Any error affecting a client's decision or a transaction's terms; any client dissatisfaction that could become a claim; any allegation of misrepresentation, discrimination, or mishandling; any contact from another party's counsel; any regulatory contact; any suspected fraud; any wire fraud incident **or near-miss**; any request to alter or backdate a record; and any unlawful instruction from a client.

**The bias should be toward reporting.** A report that turns out unnecessary costs a conversation. An unreported matter that becomes a claim costs the coverage and the credibility.

### 4.10 The two discipline sections, and why there are two

Section 4.3 listed grounds for discipline. There are two statutes, and the division between them is not arbitrary — it is the difference between misconduct **in a licensed transaction** and misconduct that shows a person unfit to hold the licence at all.

**Business and Professions Code § 10176** reaches conduct within the licensed activity. It opens by describing the Commissioner's duty:

> *"The commissioner **may, upon his or her own motion, and shall, upon the verified complaint in writing of any person**, investigate the actions of any person engaged in the business or acting in the capacity of a real estate licensee within this state, and he or she may temporarily suspend or permanently revoke a real estate license at any time where the licensee, **while a real estate licensee, in performing or attempting to perform any of the acts within the scope of this chapter**, has been guilty of any of the following:"*

**"May upon his own motion, and shall upon the verified complaint."** The Commissioner has discretion to open an investigation unprompted and **a duty to investigate on a written verified complaint**. A consumer who files properly is not asking for a favour.

**"While a real estate licensee, in performing or attempting to perform any of the acts within the scope of this chapter."** § 10176 is confined to licensed activity — the § 10131 acts, done while licensed. That confinement is what makes a second section necessary.

**The grounds themselves**, in the statute's words:

> **(a)** *"Making any **substantial misrepresentation**."* **(b)** *"Making any **false promises** of a character likely to influence, persuade, or induce."* **(c)** *"A **continued and flagrant course** of misrepresentation or making of false promises through licensees."* **(d)** *"**Acting for more than one party in a transaction without the knowledge or consent of all parties** thereto."* **(e)** *"**Commingling** with his or her own money or property the money or other property of others which is received and held by him or her."* **(f)** *"Claiming, demanding, or receiving a fee … under any **exclusive agreement** … where the agreement **does not contain a definite, specified date of final and complete termination**."* **(g)** *"The claiming or taking by a licensee of any **secret or undisclosed amount of compensation**, commission, or profit or the failure of a licensee to reveal to the buyer or seller … **the full amount** of the licensee's compensation …"*

**Four of those seven are things this course has already taught, and now they have a citation.**

**(d) is undisclosed dual agency**, and it is the statutory consequence of the Civil Code § 2079.16 requirement in Assignment 07 Section 4.10. The Civil Code says consent is required; § 10176(d) is what happens when it was not obtained.

**(e) is commingling**, the § 10145 rule from Assignment 10 Section 3.8, stated as a ground for revocation. **Note that (e) requires no loss, no shortage and no complaint** — the commingling is the offence.

**(f) is the exclusive listing with no termination date.** An exclusive agreement that runs indefinitely is not merely bad practice; **claiming a fee under one is a ground for discipline.** This is the reason every exclusive listing form has a date on it.

**(g) is the secret profit rule**, and it reaches further than most licensees expect: not only taking an undisclosed profit, but **the failure to reveal the full amount** of compensation. A referral fee not disclosed is inside (g).

## 4.11 Section 10177, and the conduct that is not in a transaction

**Business and Professions Code § 10177** covers what § 10176 cannot: grounds that do not require misconduct inside a licensed act. It reaches licence applications obtained by misrepresentation, convictions of crimes substantially related to the qualifications of a licensee, discipline of other licences held, negligence or incompetence, failure to supervise, and — as Assignment 14 has already read — **§ 10177(l)**, soliciting or inducing a sale or listing on the grounds of loss of value, increase in crime, or decline in school quality due to the entry into the neighbourhood of persons having a characteristic listed in Government Code § 12955.

**The practical division to remember:**

| | § 10176 | § 10177 |
|---|---|---|
| **Reaches** | Conduct **in performing or attempting to perform** licensed acts | Conduct including outside a transaction |
| **Typical grounds** | Misrepresentation, false promises, undisclosed dual agency, commingling, open-ended exclusives, secret profit | Fraudulent application, disqualifying convictions, discipline elsewhere, negligence, **failure to supervise**, blockbusting |
| **Who it most often catches** | The salesperson in the deal | The broker who did not supervise, and the applicant who did not disclose |

**Failure to supervise is the one a broker should read twice.** Assignment 01 Section 3.3 called supervision an affirmative duty. § 10177 is why: a broker whose salesperson commits a § 10176 violation may face their own proceeding for having failed to supervise, and **"I delegated it" is the fact that establishes the ground rather than a defence to it.**

## 4.12 Security deposits, and the definition that closes the loopholes

Property management is licensed activity under § 10131(b), so a licensee who manages will handle deposits. **Civil Code § 1950.5** governs them, and its definition is drafted to defeat renaming:

> *"(b) As used in this section, **'security' means any payment, fee, deposit, or charge**, including, but not limited to, any payment, fee, deposit, or charge … that is imposed at the beginning of the tenancy to be used to reimburse the landlord for costs associated with processing a new tenant or that is imposed as an **advance payment of rent**, used or to be used for **any purpose**, including, but not limited to, any of the following:*
>
> *(1) The compensation of a landlord for a tenant's **default in the payment of rent**. (2) The **repair of damages** to the premises, **exclusive of ordinary wear and tear**, caused by the tenant or by a guest or licensee of the tenant. (3) The **cleaning** of the premises upon termination of the tenancy necessary to return the unit to **the same level of cleanliness it was in at the inception of the tenancy**."*

**"Any payment, fee, deposit, or charge."** A "move-in fee", a "cleaning fee", a "pet deposit", a "key deposit", last month's rent taken in advance — **all of it is security** under § 1950.5(b) and all of it is subject to the section's limits and its accounting obligations. Calling money something else does not remove it from the statute.

**Paragraph (2) fixes the standard for damage: "exclusive of ordinary wear and tear."** A landlord may charge for damage, not for the ordinary consequences of living somewhere. Carpet worn along a hallway after four years is wear; a burn in it is damage.

**Paragraph (3) fixes the standard for cleaning with unusual precision: "the same level of cleanliness it was in at the inception of the tenancy."** Not professionally cleaned; not spotless; **the condition it was in when the tenant moved in.**

**Which makes the move-in condition record the single most valuable document in property management.** Dated photographs and a signed condition report at move-in convert every later deposit dispute from an argument into a comparison. Assignment 15 Section 2.6 recommends the practice; § 1950.5(b)(3) is why it decides cases.

### 4.13 Checkpoint

You should be able to name the discipline categories, state what E&O does and does not do, and describe what the recovery account is and is not.

## 5. Material fact disclosure

### 5.1 The standard

> **A fact is material if it would affect a reasonable buyer's decision to buy or the price they would pay.**

Measured against a reasonable buyer — not the seller's view of importance, not how often the condition appears, and not whether the buyer could have seen it.

### 5.2 The two independent duties

**The seller** discloses known material facts affecting the value or desirability of the property, principally through the statutory transfer disclosure statement supplemented by what the property, its age, and its location require.

**The licensee** conducts a reasonably competent and diligent **visual inspection** of the reasonably and normally accessible areas and discloses material facts it reveals.

**Neither discharges the other, and a professional inspection discharges neither.**

## 5.3 Completing and handling the seller's disclosure

Four rules, each preventing a specific failure:

1. **The seller completes the seller's disclosure.** A licensee who fills it in misattributes the statement.
2. **Every item is answered.** A blank is ambiguous; **"unknown" is an honest, available, and complete answer.**
3. **Uncertain items are not answered "no."** Marking "no" asserts knowledge the seller does not have.
4. **Amend when new information arrives.**

**And where the licensee knows something the disclosure omits**, they raise it with the seller and the broker. **A licensee who delivers a disclosure they know omits a material condition has adopted the omission** — the line separating a compliant licensee from a complicit one.

## 5.4 Observation versus inference

Record what was observed, not what it means:

- **Observation:** "Brown staining approximately three feet across on the ceiling of the northwest bedroom; paint in that area appears newer than the surrounding ceiling."
- **Not a conclusion:** "There was a roof leak that has been repaired."

The first is what the licensee observed and is qualified to state. The second is an inference the licensee is not qualified to make, and it may be wrong in a way the buyer relies on.

## 5.5 Where else material facts arise

| Source | Examples |
|---|---|
| **Physical condition** | Defects, repairs, systems, hazards |
| **Legal condition** | Liens, boundary disputes, litigation, permit status, unpermitted work |
| **Use constraints** | Zoning, association restrictions, easements |
| **Location** | Mapped hazard zones, environmental conditions, proximity |
| **Transaction facts** | Pending government action, an assessment, association litigation |
| **The licensee's own knowledge** | From any source, including a prior transaction |

## 5.6 What the law limits

**California imposes specific limits on the disclosure of a prior occupant's death and on disclosure relating to a prior occupant's illness.** The limits exist for a reason worth teaching: without them, disclosure practice would operate as a channel for discrimination and would attach a permanent penalty to properties for reasons unrelated to their condition.

**Do not volunteer. Do not misrepresent. Escalate.** The precise boundary is a legal question with real consequences on both sides, and it is not one to resolve at a showing.

### 5.7 What must never be represented as fact

- A **prediction** — that values will rise, that a permit will issue, that a variance will be granted.
- A **legal conclusion** — that a use is permitted, that an encroachment is unimportant, that a party may cancel.
- A **specialist's assessment** — that a crack is cosmetic, that a repair was adequate, that mold is harmless.
- **Anything unverified that cannot be attributed.**

The professional treatment of unverified information is to **attribute it and flag it**: "the seller reports the roof was replaced in approximately 2019; this has not been verified" — never to launder it into apparent fact by repeating it, and never to copy a figure from a prior listing as though it had been verified.

### 5.8 Delivery

**Content is half the obligation. Delivery, and evidence of when it occurred, is the other half**, because rights run from delivery.

For each disclosure the file shows **what** was delivered, **to whom**, **when**, **by what authorized method**, and the **evidence.**

**Late delivery is not cured by delivery.** Where a disclosure arrives after the buyer removed contingencies, rights running from delivery are not extinguished because he acted earlier without the information — and neither receipt before closing nor a closing extension addresses his right to respond. The obligation is to raise it immediately.

### 5.9 The three-part test

When unsure what to do about something:

1. **Do I know it?** If yes, the licensee's own obligation is engaged, whatever the seller does.
2. **Would a reasonable buyer consider it important?** If yes, it is material.
3. **Am I qualified to evaluate it?** If no, disclose the observation, recommend the specialist, and do not characterize.

**"Disclose everything" is not the rule.** The rule is: **disclose what is material and known, attribute what is unverified, decline what the law limits, and evaluate nothing.**

### 5.11 Material fact, and the test that actually decides

Section 5.2 defined the disclosure duty. The recurring difficulty is not the duty but the threshold: what makes a fact material.

**The working test.** A fact is material if it would **affect the value or desirability of the property** in the eyes of a reasonable buyer. Civil Code § 2079.16's own statement of the agent's duty uses that language: the duty to disclose *"all facts known to the agent materially affecting the value or desirability of the property that are not known to, or within the diligent attention and observation of, the parties."*

**Read the qualifier at the end**, because it does real work in both directions. The duty covers facts **not known to** the buyer and **not within their diligent attention and observation**. A licensee need not disclose the obvious — the house is on a busy street, the roof is visibly old. **But "they could have seen it" is a weak defence for anything that requires knowing where to look.**

**Four categories, and how they behave differently.**

| Category | Examples | How it behaves |
|---|---|---|
| **Physical condition** | Leaks, foundation movement, past flooding, failed systems, prior repairs | Disclose. The seller's knowledge, and the licensee's own observations |
| **Legal and title** | Boundary disputes, easements in use, unpermitted work, litigation, association assessments | Disclose. These do not resolve at closing |
| **Neighbourhood and off-site** | Planned development, a nuisance use nearby, chronic noise | Disclose what is known. Do not investigate the neighbours |
| **Personal circumstances of an occupant** | Illness, death, criminal history of a neighbour, protected characteristics | **Handle with care — several of these must not be disclosed** |

**The fourth category is where licensees get into trouble by being helpful.** Some facts about people are protected, and disclosing them is itself unlawful. Assignment 14 Section 2.10 explains that treating a person differently on a protected basis does not require intent; **volunteering information about occupants' protected characteristics is a way of inviting exactly that.**

**And the rule that resolves the hardest of them:** where a licensee is unsure whether a fact must be disclosed, must not be disclosed, or may be disclosed only in a particular form, **the question goes to the broker and then to counsel — before the answer is given, not after.**

## 5.12 Unpermitted work, and why it is the most common serious defect

**It is common because it is invisible.** A converted garage, an enclosed patio, an added bathroom, a second unit. The work is often competent and the space is often useful. **The problem is not the quality of the construction; it is the absence of a permit.**

**What it does to a transaction.**

**The square footage is wrong.** Assignment 04 Section 6.11 describes three documents giving three sizes. A 400-square-foot discrepancy is usually unpermitted space, and the assessor's record excludes it because it was never permitted.

**The lender may exclude it.** An appraiser may decline to give value to unpermitted area, which changes the appraised value and can change the loan.

**The insurer may exclude it.** A claim arising in unpermitted space can be contested.

**The buyer inherits the enforcement risk.** A city that learns of unpermitted work may require permits to be obtained retroactively, work to be opened for inspection, or the space to be restored. **That obligation runs with the property, to the new owner.**

**What a licensee does.**

**Ask the seller directly and in writing** whether any work has been done, when, and whether permits were obtained.

**Compare what is in front of you against the assessor's record.** A three-bedroom record and a four-bedroom house is a question.

**Do not characterise it.** Not "it's fine, everybody does it"; not "the city will never know"; not "it's grandfathered." **Grandfathering is a legal conclusion about a specific structure under a specific ordinance**, and a licensee has no basis for it.

**Do disclose what is known and route the rest.** The city's building department answers permit questions, and it answers them to anyone who asks.

**A worked failure.**

> A property is marketed as a four-bedroom, three-bath residence at 2,310 square feet. The assessor shows three bedrooms, two baths, 1,890 square feet. The fourth bedroom and third bath are in a converted garage, done by a previous owner in 2011 with no permit. Nobody asks; the seller's disclosure says "no additions or alterations known."

**The listing itself is the first problem.** Marketing space as living area when the public record shows otherwise is a representation the licensee made, and 420 square feet at that market's prices is well over $200,000 of stated value.

**The seller's disclosure may be true.** A seller who bought the house in 2016 may genuinely not know. **That does not help the buyer**, and it does not answer the licensee's own duty under § 2079.16 to disclose facts materially affecting value that are known to the agent — including the discrepancy the agent could see in the assessor's record before the property was ever listed.

### 5.13 Checkpoint

You should be able to apply the three-part test, distinguish observation from inference, and explain why late delivery is not cured by delivery before closing.

## 6. Integrated California transaction audit

### 6.1 The chronology

A transaction is a sequence in which **each step supplies the information the next step requires.** The test when something seems out of order:

> **Does this decision have, in front of it, the information it was meant to be made with?**

| # | Step | Supplies |
|---|---|---|
| 1 | Agency disclosure | The consumer's understanding of the relationship |
| 2 | Listing or representation agreement | Authority to act, and its terms |
| 3 | Pricing analysis and advice | The basis for the client's price decision |
| 4 | Seller disclosure preparation | The material facts, before pressure exists |
| 5 | Marketing | Exposure, on compliant copy |
| 6 | Offer and negotiation | The terms |
| 7 | Acceptance | The contract, and the deadline clock |
| 8 | Disclosure delivery | What the buyer needs before committing |
| 9 | Investigation | What the buyer needs before removing contingencies |
| 10 | Contingency removal | The buyer's commitment, informed |
| 11 | Loan and appraisal | The financing |
| 12 | Final verification | Condition confirmed while leverage exists |
| 13 | Signing, funding, recording, disbursement | The transfer |
| 14 | Possession | Control |
| 15 | Audit and retention | The record |

**Every common sequencing error is a decision made before its information arrived.**

## 6.2 The audit standard

> **Reconstructability: could a person who was not there determine what happened, when, and on what basis?**

## 6.3 The audit sequence

1. **Completeness** — every required document present, **including for the parts that did not go smoothly.**
2. **Dates** — everything dated; delivery evidenced where timing matters.
3. **Consistency** — names, dates, amounts, and property descriptions reconcile.
4. **Chronology** — the order makes sense against the contract and the disclose-before-decide principle.
5. **Nothing improper present** — no unexecuted draft mistaken for final, no superseded figure presented as current.
6. **Retention** — filed where it will be found, for the required period, **including cancelled and failed transactions.**

**Keep superseded versions.** The sequence of versions is frequently what shows when a term changed and who agreed — the question a dispute usually asks.

### 6.4 A worked audit, ranked

> A closed file contains:
>
> - **(a)** An agency disclosure signed and dated three days **after** the listing agreement.
> - **(b)** A confirmation naming the brokerage as buyer's agent, while the listing file shows seller's agent, with **no dual agency consent** anywhere.
> - **(c)** An email agreeing to move the closing date, with **no signed amendment.**
> - **(d)** A contingency removal, signed but **undated.**
> - **(e)** A transfer disclosure with **two items left blank.**
> - **(f)** A referral fee disclosure dated the day of closing, for a warranty the buyer bought six weeks earlier.
> - **(g)** Marketing copy reading "great family neighborhood."
>
> **Ranked by seriousness:**
>
> **1. (b) The undisclosed dual agency.** Different in kind. It describes the brokerage acting on both sides without either party's informed written consent — a breach of duties actually owed, not a documentation failure.
>
> **2. (g) The fair housing copy.** Also different in kind: it sorts people rather than describing the property, and intent is not a defense.
>
> **3. (d) The undated removal.** Rights ran from it and the file cannot show when. The defect a dispute is most likely to turn on.
>
> **4. (a) Disclosure after the agreement.** The seller committed before being informed. The document exists; the protection does not.
>
> **5. (f) Late conflict disclosure.** Delivered after the buyer acted — the one thing a conflict disclosure must not be.
>
> **6. (c) Unsigned date change.** The operative contract still says the original date.
>
> **7. (e) Blanks in the disclosure.** Ambiguous about whether the items were addressed.
>
> **The response:** record each finding, escalate to the broker, obtain what legitimately exists, and address the **processes** that produced them.

### 6.5 The line

> **What must not happen:** dating the removal now, completing the blanks now, producing an amendment now with a matching date, or creating the consent that was never obtained.
>
> **A documented gap is a compliance problem a brokerage can survive.**
>
> **A manufactured document is falsification.** It converts a defensible situation into a question about integrity, and it ends careers.

Corrections are made **visibly**, with the original preserved and the change attributable. **A record that can be silently altered is not a record.**

## 6.6 The course in four questions

When you meet a situation this course did not cover, four questions will usually produce the right answer:

1. **Whose decision is this?** Price, terms, and whether to proceed belong to the client. The analysis and the advice belong to you. Legal effect belongs to counsel.
2. **Whose duty is engaged?** Fiduciary duties run to the principal; honesty, fair dealing, and disclosure of material facts run to everyone.
3. **Does this decision have the information it requires?** If not, something is out of order.
4. **What will the file show?** If the answer is "nothing," create the record now, while it is contemporaneous and true.

## 6.7 Checkpoint

You should be able to take an unfamiliar problem, apply the four questions, and produce both the action and the record it requires.

## Key terms

| Term | Definition |
|---|---|
| **Lessor / lessee** | The landlord conveying possession; the tenant receiving it. |
| **Written lease requirement** | A lease **exceeding one year** must generally be in writing under the Statute of Frauds. |
| **Assignment** | Transfer of the **entire remaining** leasehold interest. The original tenant **generally remains liable**. |
| **Sublease** | Transfer of **less than the entire** remaining interest, with the subtenant dealing with the original tenant, who remains liable in full. |
| **Habitability** | **Not waivable** by agreement, and running **continuously** rather than only at move-in. |
| **Lawful entry** | A permitted purpose, proper notice, a reasonable hour, and documentation. Not substituted by the tenant being home, the owner's authorization, a key, or a contractor's schedule. |
| **Defective notice** | A notice wrong in type, content, period, parties, service, or proof. **A good reason delivered by a defective notice fails.** |
| **Self-help** | Changing locks, removing doors, shutting off utilities, or removing belongings. Unlawful, with no exception. |
| **Retaliation** | Enforcement action close in time to protected activity. The defense is a **documented, independent basis** predating it. |
| **Continuity of exposure** | A defect in a sales file is one transaction; a defect in a management practice repeats monthly across every unit. |
| **Unsigned authority** | A structural defect — undefined scope, unenforceable compensation, unauthorized fund handling, and disputable actions. |
| **Emergency authority** | Written authority to act where waiting compounds damage while a habitability obligation runs. |
| **Discouragement** | Deterring an application rather than denying it. Produces a denial with **no record of one**. |
| **Trust fund** | Money received in licensed activity belonging to someone else. |
| **The three obligations** | Separation, records identifying whose funds they are, and timeliness. |
| **Commingling** | Mixing trust funds with the brokerage's own — **complete on deposit**, whatever the ledger says. |
| **Conversion** | Using trust funds for another purpose. The more serious offense. |
| **Why a ledger does not cure it** | Funds in an operating account are exposed to the brokerage's creditors and losses. A ledger entry does not protect money; **separation does.** |

| Term | Definition |
|---|---|
| **Shortage / overage** | Missing money, cured immediately from the broker's funds; or records not reflecting whose funds are held, investigated and never simply kept. No tolerance threshold. |
| **Three-way reconciliation** | Bank, book, and **the total of individual beneficiary ledgers** — all three must agree. |
| **Move-in documentation** | What wins a deposit dispute, which turns on the difference between move-in and move-out condition. |
| **Ordinary wear and tear** | Not deductible from a security deposit. |
| **Reasonable supervision** | A system: policies, file review, advertising review, trust fund controls, training, and a usable escalation path. Not reduced by independent contractor status. |
| **Real Estate Recovery Account** | A last-resort fund for uncollectable judgments for fraud, misrepresentation, deceit, or conversion — with consequences for the licensee's license until reimbursed. |
| **Errors and omissions coverage** | Responds within terms and limits on **prompt notice**; excludes intentional acts; transfers no responsibility. |
| **Materiality** | Whether a fact would affect a reasonable buyer's decision or the price they would pay. |
| **Adopting the omission** | Delivering a disclosure the licensee knows omits a material condition. |
| **Observation versus inference** | What the licensee saw, stated as such — never the conclusion about what it means. |
| **Death and illness limits** | California's constraints, existing so disclosure practice does not become a channel for discrimination. Do not volunteer, do not misrepresent, escalate. |
| **Attribution** | "The seller reports approximately 2019; this has not been verified." Never laundering an unverified figure into apparent fact. |
| **Rights run from delivery** | Why an undated disclosure proves the wrong thing, and why receipt before closing does not cure late delivery. |
| **The three-part test** | Do I know it? Would a reasonable buyer consider it important? Am I qualified to evaluate it? |
| **Reconstructability** | Could a person who was not there determine what happened, when, and on what basis. |
| **Documented gap versus manufactured document** | A compliance problem a brokerage survives; versus falsification, which ends careers. |
| **The four questions** | Whose decision, whose duty, does this decision have its information, and what will the file show. |

## Practice problems

### Problem 1

A tenant on a two-year lease transfers her entire remaining interest to a friend and moves out, telling the landlord she is "done." Another tenant lets a roommate take one bedroom for six months. The landlord asks whether either original tenant still owes rent.

**Classify each and answer.**

> **Solution. The first is an assignment** — transfer of the **entire remaining interest**, with the assignee dealing directly with the landlord. **The second is a sublease** — less than the entire interest, with the subtenant dealing with the original tenant.
>
> **In both cases the original tenant generally remains liable unless released**, which is the point tenants miss. **A tenant who "assigned the lease and walked away" has usually not walked away from anything.**
>
> Whether either transfer was permitted at all depends on the lease's assignment and subletting provision, and whether the landlord's consent was required or given.
>
> Note also that this two-year lease **had to be in writing** — the Statute of Frauds reaches leases exceeding one year — which is what makes the terms provable at all.

### Problem 2

A tenant reports Friday morning that the unit has had no water since Thursday night. The manager tells him to submit a written request and that the plumber's next routine visit is Tuesday. On Tuesday he lets the plumber in without notice because the tenant is home. Eleven days after the tenant complained to the city about the delay, the manager serves a termination notice naming one of two tenants on the lease, left under the door.

**Assess each act.**

> **Solution. A loss of water is an emergency**, at the top of the triage list with no heat in cold weather, sewage backup, gas odor, electrical hazard, security failure, and flooding. **Emergency authority exists precisely so this does not wait for approval.** Habitability is **not waivable** and runs **continuously**; requiring a written request may be part of the process but **does not justify delaying the response** — and the exposure grows with the delay.
>
> **The entry is unlawful.** It requires a permitted purpose, proper notice in the required manner and time, a reasonable hour, and documentation. **The tenant being home does not substitute for notice** — nor does the owner's authorization, holding a key, or the contractor's schedule.
>
> **The notice is defective on two elements** — correct parties named, and correct service with proof. **A good reason delivered by a defective notice fails**, and the landlord starts over having lost weeks and improved the tenant's position.
>
> **And the timing creates a retaliation appearance.** The protection is a **documented, independent basis** predating or unconnected to the protected activity — which here does not exist, because the only documented conduct is the manager's own delay.

### Problem 3

An audit finds two owners with no signed management agreement, one owner unreported to for four months, security deposits in the brokerage operating account, and a salesperson signing leases in her own name. The broker says nothing has gone wrong and no one has complained.

**Assess each and the broker's defense.**

> **Solution. Four independent defects, and none depends on harm having occurred.**
>
> **Unsigned agreements are structural, not clerical:** scope undefined so every decision is arguable, compensation unenforceable, fund handling unauthorized in writing, and every action disputable. This sits alongside commingling, not alongside filing.
>
> **The unreported owner** has been unable to verify the handling of her own money for a third of a year, the trust records have gone that long without external scrutiny, and if there is an error nobody has been positioned to find it. **Reporting is how the accounting duty is discharged** — regular and itemized, and an accounting that cannot be verified is not an accounting.
>
> **The deposits are commingled**, complete on deposit.
>
> **The salesperson may not contract in her own name** for licensed activity. The lease is the **brokerage's**, executed for the broker.
>
> **The absence of complaints is not evidence of compliance.** It usually means the problems have not surfaced yet — and in a management practice, which repeats monthly across every unit, they will.

### Problem 4

A manager deposits a month's rents and three security deposits into the operating account, pointing out that his software tracks each beneficiary to the cent and the total is correct. Two months later a reconciliation that matched bank to book to the penny turns out to have concealed a deposit credited to the wrong tenant's ledger. A $340 overage also appears, which the broker proposes to keep as a fee.

**Address all three.**

> **Solution. Commingling was complete on deposit**, regardless of the tracking and regardless of whether anyone lost money. The structural reason the ledger fails: **funds in an operating account are exposed to the brokerage's creditors, operating losses, and ordinary business risk. A ledger entry does not protect the money — separation does**, and the record proves the separation was maintained.
>
> **The reconciliation missed the third balance.** It must compare **bank, book, and the total of the individual beneficiary ledgers** — all three agreeing. Bank-to-book alone cannot detect money held for a **different beneficiary** than the records say, because the total was right the whole time. That is exactly why it went unnoticed for two months.
>
> **The overage may not be kept.** An overage means the records do not accurately reflect whose funds are held; it is **investigated and documented**, and the broker may not simply keep it. A **shortage** is cured **immediately from the broker's own funds** with the cause documented. Neither is a rounding matter, neither has a tolerance threshold, and neither waits for the next reconciliation.

> And when the original error was found, the correct response was to correct it immediately, **document the error and the correction**, and notify the broker — because **trust accounting is judged by the record as much as by the balance.**

### Problem 5

A tenancy ends. The manager withholds the entire $2,400 deposit for carpet replacement and interior repainting, sending a one-line note five weeks later. There is no move-in condition record. The departing licensee who managed the property also takes copies of all her management files, with tenant personal information redacted.

**Assess both.**

> **Solution. The deposit handling fails on every element.** A deposit dispute is decided on **the difference between move-in and move-out condition**, and a manager without move-in documentation **has no case** — which is the entire reason move-in documentation exists. **Ordinary wear and tear is not deductible**, and carpet wear and repainting after a tenancy are the standard examples. The accounting must be **itemized in writing with supporting documentation**, delivered within the required time, with the balance returned within the required period. A one-line note five weeks later is none of that.
>
> Nearly all deposit complaints — the most common source of tenant complaints — are prevented by two practices: **dated photographic documentation at move-in and move-out, and an itemized written accounting.**
>
> **The file removal is not hers to make.** Records belong to the **brokerage**, and the responsible broker answers for them whoever created them. **Redaction addresses a different risk and does not change who owns the record.** What may be taken is governed by brokerage policy and client direction — a question that should be settled in writing in the office policy long before anyone departs.

### Problem 6

Previewing a listing, an agent notices ceiling staining with newer paint. The seller says a pipe leaked two years ago, was repaired, and there is "nothing to disclose because it's fixed." The disclosure comes back with two blanks and one uncertain item marked "no." The agent completes the blanks from what the seller told him verbally, writes in his own disclosure that "there was a roof leak that has been repaired," and copies "roof replaced 2019" from the prior listing into the marketing sheet.

**Identify every error.**

> **Solution. Six, and two duties that exist independently.**
>
> **The leak must be disclosed by the seller.** A repaired condition is still material because **the adequacy of the repair is exactly what a buyer evaluates** — and here there are no records.
>
> **The blanks must be answered by the seller**, with **"unknown"** where that is the truth. A blank is ambiguous; "unknown" is honest and complete.
>
> **The item marked "no" asserts knowledge the seller does not have.**
>
> **The agent completing the form misattributes the statement** — the seller completes the seller's disclosure.

> **"There was a roof leak that has been repaired" is an inference** the agent is not qualified to make and that the buyer may rely on. The correct entry is the **observation**: "brown staining approximately three feet across on the northwest bedroom ceiling; paint in that area appears newer than the surrounding ceiling."
>
> **"Roof replaced 2019" launders an unverified figure** from a prior listing into apparent fact. The professional treatment attributes and flags it.
>
> **And the agent's own visual inspection duty is independent** of the seller's disclosure and of any professional inspection. **A licensee who delivers a disclosure knowing it omits a material condition has adopted the omission.**

## Problem 7

A buyer asks a licensee whether the prior owner died in the house. Separately, the licensee is asked by a client whether a crack in the foundation is "cosmetic," whether the city will approve a variance, and whether values in the area will rise. A disclosure is delivered nine days after the buyer removed contingencies, and the listing agent proposes a one-week closing extension if he objects.

**Handle each.**

> **Solution. The death question is legally constrained.** California limits disclosure of a prior occupant's death and of a prior occupant's illness — limits existing so disclosure practice does not become a channel for discrimination or attach permanent penalties unrelated to condition. **Do not volunteer. Do not misrepresent. Escalate.** The precise boundary is a legal question with real consequences on both sides, and it is not one to resolve at a showing.
>
> **The other three are each things that must never be represented as fact:** a **specialist's assessment** (the crack), a **prediction about a discretionary decision** (the variance), and a **prediction** (values). Disclose the observation, recommend the specialist, point to the planning counter, and decline the forecast.
>
> **On the late disclosure: raise it immediately.** Rights that run from delivery are not extinguished because the buyer acted earlier without the information — **late delivery may revive or extend his ability to respond.** Neither receipt before closing nor a closing extension addresses that right, and the proposal to say nothing unless he objects is itself the violation.
>
> **The rule covering all of it:** disclose what is material and known, attribute what is unverified, **decline what the law limits, and evaluate nothing.**

## Problem 8

Rank the defects in this closed file and state the response: (a) an agency disclosure dated three days after the listing agreement; (b) a confirmation naming the brokerage as buyer's agent while the listing file shows seller's agent, with no dual agency consent; (c) an email agreeing to move closing, no signed amendment; (d) a contingency removal signed but undated; (e) a transfer disclosure with two blanks; (f) a referral fee disclosure dated the day of closing for a warranty bought six weeks earlier; (g) marketing copy reading "great family neighborhood." A colleague offers to "clean it up" before the broker sees it.

**Rank, respond, and address the colleague.**

> **Solution. 1. (b) The undisclosed dual agency** — different in kind, describing the brokerage acting on both sides without either party's informed written consent. A breach of duties actually owed.
>
> **2. (g) The fair housing copy** — also different in kind. It sorts people rather than describing the property, and **intent is not a defense.**
>
> **3. (d) The undated removal** — rights ran from it and the file cannot show when. The defect a dispute is most likely to turn on.
>
> **4. (a) Disclosure after the agreement** — the seller committed before being informed. The document exists; the protection does not.
>
> **5. (f) Late conflict disclosure** — delivered after the buyer acted, the one thing it must not be.
>
> **6. (c) Unsigned date change** — the operative contract still says the original date.
>
> **7. (e) The blanks** — ambiguous about whether the items were addressed.
>
> **The response:** record each finding, **escalate to the broker**, obtain what legitimately exists, and address the **processes** that produced them rather than only the instances.
>
> **The colleague is proposing falsification**, and it is the one thing here that is not survivable. Dating the removal now, completing the blanks now, producing an amendment with a matching date, or creating the consent that was never obtained converts a compliance problem into a question about integrity. **A documented gap a brokerage survives; a manufactured document ends careers.** Corrections are made **visibly**, with the original preserved and the change attributable — **a record that can be silently altered is not a record.**

## Chapter summary

**A lease conveys possession while the owner keeps the reversion**, and one exceeding a year must generally be written. Assignment transfers the whole remaining interest and subletting less — and **in both the original tenant generally remains liable.**

**Habitability is not waivable and runs continuously.** Entry requires purpose, notice, a reasonable hour, and documentation, and **nothing substitutes for notice.**

**A defective notice defeats a good reason**, self-help is prohibited without exception, and retaliation is answered only by a documented independent basis.

**A lease survives a sale.** Verify rather than accept assurances.

**Management is licensed activity, continuous, and performed for the broker.** Unsigned authority is structural; emergency authority belongs in the agreement; selection runs on uniform written criteria; requests are triaged; and reporting is regular, itemized, and verifiable.

**Trust funds require separation, records, and timeliness.** Commingling is complete on deposit, a ledger does not cure it because a ledger does not shield money from the brokerage's creditors, shortages are cured immediately and overages are never kept, and reconciliation compares **three** balances.

**Move-in documentation wins deposit disputes**, wear and tear is not deductible, and records belong to the brokerage — including failed transactions.

**The brokerage is the party; supervision is a system; licensed activity is defined by the act, not the title.** Most discipline categories require no intent to defraud, the recovery account is a last resort with license consequences, and E&O responds only on prompt notice and never to intentional acts.

**Materiality is measured against a reasonable buyer**, and the seller's disclosure and the licensee's visual inspection are **independent duties.** Record observations, never inferences; answer every item; never adopt an omission.

**Attribute what is unverified, decline what the law limits, evaluate nothing** — and remember that delivery, with its date, is half the obligation.

**A transaction is a chronology**, and every sequencing error is a decision made before its information arrived.

**Audit for reconstructability, rank defects by kind rather than count, keep superseded versions, obtain what exists, record what does not, and fix the process.**

**And when the situation is unfamiliar, four questions:** whose decision, whose duty, does this decision have its information, and what will the file show.

## Required applied assignment

Prepare a full transaction and practice audit memorandum for the file presented with this assignment. Sequence the compliance events and identify any that occurred out of order; identify each defect and **rank** the defects by seriousness with your reasoning; classify every fund handled and state the correct treatment; identify each disclosure obligation engaged, whose it was, and whether delivery was evidenced; state for each defect what may legitimately be obtained now and what may not be created; identify the process failure behind each rather than only the instance; and state what you would escalate to the broker and refer to counsel. The instructor version contains the scoring rubric, including the ranking rationale.

## Knowledge check and remediation

Complete the five-item lesson quiz in the secure learning platform. The lesson mastery threshold is 80 percent — four of the five items. An unsuccessful attempt opens targeted remediation: an alternate explanation of the concepts, a second worked scenario, and a different five-item set covering the same concepts. The 80 percent threshold is a StateCourse instructional policy proposed for DRE review; it is not represented as a DRE-mandated score.

## Assignment completion

Completion requires all six instructional segments, the applied memorandum, the quiz submission, and any triggered remediation. Assignment completion does not waive the separate final examination, minimum elapsed-time, identity, proctor, or approval requirements.

## Assessment materials for this assignment

These are the assessment items the student is served inside this assignment. **In the course itself the student sees only the question and the answer choices** — the correct answer and the explanation are withheld until the item has been answered, and the explanation for a failed engagement check is withheld while the student works the remediation set. They are printed here in full because this volume is submitted for review, and a reviewer is entitled to the item, the key and the reasoning.

### Applied exercise — 100% required to complete the assignment

**1.** A broker manages several rental properties. A review finds that tenant security deposits sit in the brokerage's general operating account, one owner has not received a statement in four months, the property management agreements for two owners were never signed, and a salesperson has been signing leases in her own name. The broker says nothing has gone wrong and no one has complained. What is the correct assessment?

**A. Each item is a serious defect independent of whether harm has occurred: deposits are trust funds that may not be commingled, owners are owed an accounting, authority must rest on a signed agreement, and a salesperson may not contract in her own name for licensed activity.**

B. Only the commingling is serious; the others are administrative matters to be corrected in the ordinary course.

C. None is serious as long as the accounts balance and no owner or tenant has complained.

D. The most serious item is the missing owner statements, since owners are the brokerage's clients.

**Answer: A.** All four go to the core of a broker's obligations, and the absence of complaints is not evidence of compliance — it usually means the problems have not yet surfaced. Commingling is the gravest, but unsigned authority and a salesperson contracting in her own name are equally structural rather than clerical.

### Engagement check — 5 items, 80% required

**1.** What distinguishes an estate for years from a periodic tenancy?

**A. An estate for years has a fixed beginning and ending date and expires without notice; a periodic tenancy continues from period to period until properly terminated by notice.**

B. An estate for years lasts at least one year; a periodic tenancy lasts less than a year.

C. An estate for years applies to commercial property; a periodic tenancy applies to residential property.

D. An estate for years may be assigned; a periodic tenancy may not.

**Answer: A.** The distinction is a definite term that self-terminates versus a recurring term requiring notice. It has nothing to do with duration in years, property type, or assignability.

**2.** How must a broker handle trust funds received in the course of licensed activity?

**A. Place them in a trust account or neutral escrow depository, keep them separate from the broker's own funds, and maintain records accounting for every receipt and disbursement.**

B. Deposit them in the brokerage operating account and track them with separate ledger entries.

C. Forward them immediately to the principal to avoid holding funds at all.

D. Hold them in any account, provided the total balance always exceeds the trust obligations.

**Answer: A.** Separation plus records is the requirement. Internal ledger tracking inside an operating account is commingling, and a sufficient overall balance does not cure it.

**3.** What is a material fact for disclosure purposes?

**A. A fact that would affect a reasonable buyer's decision to buy or the price he would pay.**

B. Any fact the seller considers important about the property.

C. Any fact that appears in the public record concerning the property.

D. A fact that has caused measurable financial loss to a prior owner.

**Answer: A.** Materiality is measured by the effect on a reasonable buyer's decision. The seller's own view, the public record, and prior losses each describe something different.

**4.** On what grounds may the Real Estate Commissioner discipline a licensee?

**A. For conduct in licensed activity such as misrepresentation and mishandling of trust funds, and also for certain conduct outside licensed activity that bears on fitness to hold a license.**

B. Only for conduct occurring within a licensed real estate transaction.

C. Only after a court has entered a judgment against the licensee.

D. Only for conduct that caused a consumer to suffer a financial loss.

**Answer: A.** Discipline reaches both licensed activity and conduct outside it that reflects on fitness. It does not require a prior judgment or proof of consumer loss.

**5.** In an integrated review of a completed California transaction, which record most reliably shows compliance?

**A. A file in which each required disclosure, agreement, notice, and amendment appears with its date and evidence of delivery, consistent with the transaction's chronology.**

B. A closing statement showing that all funds were correctly disbursed.

C. A signed acknowledgment from the client that he was satisfied with the service.

D. The absence of any complaint from either party after closing.

**Answer: A.** Compliance is shown by a complete, dated, internally consistent file. Correct disbursement, client satisfaction, and the absence of complaints each say nothing about whether the required steps occurred when they should have.

## Remediation set — served only after a failed engagement check

**1.** A tenant remains in possession after a fixed-term lease expires and the landlord continues accepting monthly rent. What has likely arisen?

**A. A periodic tenancy, created by the parties' conduct in continuing the rental relationship.**

B. A tenancy at sufferance that continues indefinitely without any tenancy rights.

C. A renewed estate for years on the same terms and for the same full term.

D. No tenancy at all, leaving the tenant a trespasser despite the rent payments.

**Answer: A.** Continued possession with accepted rent typically converts a holdover into a periodic tenancy. Acceptance of rent is what defeats the trespasser and sufferance characterizations, and it does not renew the full original term.

**2.** A broker's trust account is short by $2,000 because an owner disbursement was calculated incorrectly. What is the correct characterization?

**A. A trust fund shortage, which is a serious violation requiring immediate correction from the broker's own funds and a documented reconciliation of how it occurred.**

B. An accounting error that may be corrected at the next monthly reconciliation.

C. An acceptable variance so long as it is under a nominal threshold.

D. The responsible salesperson's personal liability rather than the broker's.

**Answer: A.** A shortage means someone else's money is missing, which is why it must be cured immediately and traced. There is no tolerance threshold, and the broker cannot shift responsibility to a salesperson.

**3.** Which fact would most clearly require disclosure to a prospective buyer?

**A. Ongoing litigation between the homeowners association and a builder over construction defects affecting the building.**

B. The seller's reason for moving out of the area.

C. The price the seller paid for the property when he bought it.

D. The identity of the buyers who previously made unsuccessful offers.

**Answer: A.** Construction-defect litigation affecting the building bears directly on value and desirability. Motivation, historical purchase price, and prior offerors are not property conditions and may be confidential.

**4.** A property manager wants to advertise a vacancy using photographs of a different, nicer unit in the same building. What is wrong with this?

**A. It misrepresents the unit being offered, which is deceptive advertising regardless of the units' similarity.**

B. Nothing, provided the units share the same floor plan.

C. Nothing, provided the advertisement notes that photographs are representative.

D. The problem is only that the manager lacks the owner's permission to use the images.

**Answer: A.** Showing a different, better unit misleads about what is actually available. Shared floor plans do not equalize condition, and a generic disclaimer does not cure a specifically misleading impression.

**5.** In a final audit of a California residential file, which omission would be most consequential?

**A. No evidence of when required disclosures were delivered, since the buyer's rights and the transaction's defensibility depend on delivery timing.**

B. No copy of the property's marketing photographs.

C. No record of which licensee showed the property on each occasion.

D. No copy of the comparative market analysis prepared before listing.

**Answer: A.** Delivery timing is what rights run from and what disputes are made of. Marketing images, showing logs, and the pricing analysis are useful records but none of them determines whether the buyer's statutory rights were honored.